

NINTH EDITION

MARKETING PLANS

PROFITABLE STRATEGIES IN THE DIGITAL AGE

MALCOLM McDONALD, HUGH WILSON and DAVE CHAFFEY

WILEY

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Ninth Edition

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Profitable Strategies in the Digital Age

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Malcolm McDonald

Hugh Wilson

Dave Chaffey

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Preface and acknowledgements

Please read this as it contains important information about this book.

The importance of marketing planning is demonstrated by the half million copies of this book that have been sold in English and many other languages since it was first published in 1984.

Since the book's launch, it has helped and encouraged hundreds of thousands of practising managers with the difficult task of marketing planning. Many of them have been kind enough to write expressing their thanks for the book's practical, no-nonsense style and approach to the subject. This has encouraged the first author, Malcolm McDonald, to invite two contemporary thought-leaders in marketing to join him as authors: Professor Hugh Wilson (from the seventh edition), and Dr Dave Chaffey (from this edition). Both add deep experience in today's digitally enabled marketing, from integrated marketing communications and e-commerce to multichannel strategy and customer relationship management (CRM). They are also both highly experienced educators and authors. The authors have been working together on how to evolve marketing planning in a digital world for over 20 years.

The purpose of this book is quite simply to explain and demonstrate how to prepare and use a marketing plan. It is equally relevant for consumer, service and industrial goods companies, as well as not-for-profit organizations, since the process is universal.

It is based on our research into the marketing planning practices of industrial, service and retail companies, which has revealed marketing planning as an area of major weakness. Almost without exception, companies that thought they were planning were in fact only forecasting and budgeting, and suffered grave operational difficulties as a result. The problem, as companies face up to the opportunities and challenges of the twenty-first century is not that the philosophy of marketing is not believed; rather it is that most companies, particularly industrial goods companies and many service organizations, have difficulty in making it work.

This is largely because of ignorance about the process of planning their marketing activities, for which little help is provided in the extant body of literature. Books or articles often turn out to be about the management of the several elements of the marketing mix rather than about the process of combining them into a coherent plan. Others treat marketing planning in such a generalized way that it is difficult to distil from them any guidance of operational significance. Finally, there are many excellent papers about individual aspects of the marketing planning process.

The truth is, of course, that the actual *process* of marketing planning is simple in outline. Any book will tell us that it consists of: a situation review; assumptions; objectives; strategies; programmes; and measurement and review. What other books *do not* tell us is that there are a number of contextual issues that have to be considered that make marketing planning one of the most baffling of all management problems.

Here are some of those issues:

- *When* should it be done, *how often*, by *whom* and *how*?
- Is it different in a *large* and a *small* company?
- Is it different in a *diversified* and an *undiversified* company?
- Is it different in an *international* and a *domestic* company?
- What is the role of the *chief executive*?
- What is the role of the *marketing department*? Who else needs to be involved, and how?
- Should marketing planning be *top-down* or *bottom-up*?
- What is the relationship between *operational* (one year) and *strategic* (longer-term) planning?

Since effective marketing planning lies at the heart of a company's revenue-earning activities, it is not surprising that there is a great demand for a guide which strips away the confusion and mystery surrounding this subject and helps firms to get to grips with it in a practical and down-to-earth manner.

This book explains what marketing is, how the marketing planning process works, how to carry out a marketing audit, how to set marketing objectives and strategies, how to schedule and cost out what has to be done to achieve the objectives, and how to design and implement a simple marketing planning system.

Our approach is both logical and practical. This view has been confirmed by the hundreds of letters and e-mails referred to above, and by the fact that this book is now a standard text on many marketing courses in universities, and in company training programmes around the world.

This book includes:

- Application questions, to help you personalize the learning.
- Exercises at the end of every chapter to enable practising managers to translate the theory into practice.
- Mini case studies to exemplify the points being made.
- A step-by-step process, with templates, for producing marketing plans.

We would like to thank our friends and colleagues for the advice they have given us and material they have generously allowed us to use during the life of this book. To the following we are especially grateful: Dr Chris Bailey, Edmund Bradford, Dr Krista Bondy, Lindsay Bruce, Dr Guy Champriss, Professor Martin Christopher, Professor Moira Clark, Professor Elizabeth Daniel, Professor Iain Davies, Matt Hobbs, Professor Aamir Khan, Ardi Kola, John Leppard, Professor Emma Macdonald, Professor Simon Majaro, Professor Stan Maklan, Dr Anne Mollen, Aly Moore, Peter Mouncey, Professor Adrian Payne, Dr Beth Rogers, Professor Lynette Ryals, Dr Brian Smith, Rod Street and Diana Woodburn. To them and the many other scholars and practitioners who have contributed invaluable ideas in specific sections we will always be grateful. Rather than updating the flow of the text by providing complete individual references, we restrict ourselves to a few references at the end of each chapter. For fuller bibliographies, please see the PhD research on which this book is primarily based: details are available from m.mcdonald@cranfield.ac.uk or hugh.wilson@wbs.ac.uk.

Professor Malcolm McDonald, Cranfield School of Management
 Professor Hugh Wilson, Warwick Business School
 Dr Dave Chaffey, Co-founder, SmartInsights.com
 March 2024

How to use this book to achieve the best results

At the end of each chapter, you will find a number of application questions. More importantly, there are also a number of exercises designed to help you translate the theory into practice in the context of your own organization.

As you work through this book, you will find that some of the exercises are diagnostic and enable you to 'plot' where your company is. Some will help you to understand what might be happening to your organization. Other exercises are more concerned with generating factual information about your organization, its products, its markets or its planning processes. We find this combination of exercises not only provides you with insights and learning about many aspects of marketing planning, but it also helps you to assemble information, which can contribute to a marketing plan for your organization.

Whenever scoring and interpretation are required for an exercise, you will find the answers are provided at the end of each chapter.

This book is written to fulfil three principal needs. The first relates to the process of marketing planning, which, while theoretically simple, is in practice extraordinarily complex, involving, as it does, people, systems and organizational structures. One purpose, then, is to ensure that readers fully understand the process, what the pitfalls are and how to negotiate them.

The second purpose is to ensure that readers know which are the appropriate marketing diagnostic tools, structures and frameworks to use at each stage of the process.

The third and most important purpose, however, is to give both students and managers a no-nonsense, practical, step-by-step guide on how to prepare a really good, strategic marketing plan that will help their organizations to create sustainable competitive advantage for themselves and for their customers.

KEY AREAS FOR IMPROVEMENTS IN STRATEGIC MARKETING PLANNING: WHERE TO LOOK IN THIS TEXT FOR PRACTICAL GUIDANCE

This help section is based on the analysis of over 700 strategic marketing plans from over 50 multinationals during a period of 25 years. A fee was charged for each analysis, so these comments are based on considerably more than just opinions.

Summary of the book

A strategic marketing plan should be a clear and simple summary of key market trends, key target segments, the value required by each of them, how we intend to create superior value (to competitors), with a clear prioritization of marketing objectives and strategies, together with the financial consequences.

Alas, frequently, they come across as diffuse, confusing compilations of unconnected sections, masquerading as marketing plans.

Specific problems encountered and where to look for guidance

- Market overviews contain substantially more information than is necessary, with no hint of the implications for marketing activity. See Chapters 2 and 3.
- Key segments are rarely identified. 'Segments' are often sectors or products, rather than groups of customers with similar needs. See Chapter 3.
- The competitive situation is not well analysed and plans appear to assume no activity or reaction by competitors. See Chapter 6.
- SWOT analyses rarely pin down convincingly the value that is required by segments. They are frequently too general to lead to any actionable propositions. See Chapter 4.
- Our own distinctive competences are rarely isolated and built on. See Chapter 5.
- SWOTs are rarely summarized clearly and logically in a portfolio which provides a categorization of the relative potential of each and our relative strengths in each. See Chapter 5.
- Marketing objectives are frequently confused with marketing strategies and do not follow logically from the portfolio summary. See Chapter 6.
- The resource implications of effecting the marketing plans are not always clear. See Chapter 13.
- Communications such as advertising are fragmented and based on habit, rather than being integrated with each other and targeted on the value required by attractive segments. See Chapter 7.
- The sales plan is developed in isolation from the marketing plan. See Chapter 8.
- Channels are taken for granted, rather than used as a key source of innovation and differentiation. See Chapter 9.
- CRM is delegated to IT or operations. See Chapter 10.
- There is no particular logic behind pricing. See Chapter 11.

Main differences between the Eighth Edition and this Ninth Edition

Whilst all the chapters have been extensively updated, the most significant changes in this edition are in two areas.

First, with the help of new co-author Dr Dave Chaffey, a leading authority on digital marketing, the whole book has been substantially revised to integrate digital strategies into marketing planning. Many of the fundamentals of marketing strategy remain unchanged by the digital world we live in. But there are certainly differences in planning in a hybrid, omnichannel world – some slight, some more profound. So while the more tactical Chapters 7 to 11 are the most fundamentally amended as digital transformation accelerates, there are also significant amendments throughout.

Second, the business world is at last treating sustainability with the attention it deserves, and that has vital impacts on the planning process, starting with its very purpose. See particularly Chapter 3 and 8, but again, every aspect of the process needs to take account of social and environmental outcomes as well as financial ones.

Learning features

This Ninth Edition of *Marketing Plans* has full pedagogical features as follows:

Summary

Each chapter begins with bullet points which highlight the main features and learning to be covered in the chapter.

Key Concepts

Principal marketing ideas and themes are highlighted as snapshots throughout the text.

Crucial Terms

Concise definitions of important terms and vocabulary are provided in the margin to allow for a smoother, easier reading of the text.

Marketing Insights

Real-life marketing stories contextualize learning.

Digital Marketing Insights

While the book's core frameworks apply equally to online and offline marketing, some digital-specific material is provided under this heading.

Headlines

Highlights taken from the text as marginalized notes bring important points to the attention of the reader.

Case Studies

In-depth studies of marketing experiences show how the theories work in real-world companies.

Application Questions

These appear at the end of each chapter and relate the theory to practice by asking the reader to apply the theory to real-life situations.

Chapter Review

This condenses the main themes of the chapter and directs the reader to relevant exercises for each topic for them to try.

Exercises

These appear at the end of each chapter and are preceded, where necessary, by a brief introduction, which informs the reader of the issues and concepts they will find within each exercise. Each exercise helps the reader to translate the theory into practice and reinforces the learning gained from each chapter. Many exercises also end with an 'interpretation' to guide the reader in their workings.

Simulation Practice

You now have a great opportunity to practise the ideas in this book. We have teamed up with Market2Win to provide the key tools from the book and give you an opportunity to learn how to use them in a safe environment. This is done by testing your skills against other marketers in a strategic marketing game called Marketing2Win. The game is built on the core ideas in this book and has been played by thousands of students and executives. At the end of each chapter you will see new exercises that are linked to the game. To find out more, go to www.market2win.com/mp.

An important note to the reader from the authors

"I spend almost all my time on people, strategy, and execution, and most everything else falls from these. If you have the most brilliant people, wicked smart people that collaborate well together; if that strategy is right; and if you're executing like crazy, there's some things that still arise, but the world is a great place."

Tim Cook, CEO, Apple, 2020*

Since the eighth edition, digital marketing has continued to become more important to strategy development and implementation. That is reflected in every aspect of marketing practice, as is clear from just a glance at the chapter headings in Part Two on the major elements of marketing. Once structured simply around the '4 Ps', this part now has chapters on integrated marketing communications, multichannel management and customer relationship management – all topics involving taut integration between online and offline channels and media. And the remaining chapters on pricing and sales are fundamentally transformed by digital practices.

No marketer can deliver without a fundamental understanding of these and other areas of digital practice. It would be a great mistake, however, to only focus on these, as wonderful execution, however digitally sophisticated, is only as good as the foundational strategy which it executes. We are in danger of forgetting the wise warnings of our predecessors earlier in the digital revolution. As long ago as 2013, Nicola Kemp wrote in *Marketing* (p. 52):

For many companies, the greatest threat is not being out of touch with digital development, but losing sight of the fundamental needs of their customers and the underlying long-term drivers of their business.

And the next year, Helen Edwards of London Business School wrote in *Marketing* (pp. 36–37):

Yes, the fourth wave of digital marketing has arrived, but consumers are drowning in an ocean of branded pap and the interactive lifeline they really want to be thrown is the one whereby companies answer calls promptly, answer calls in person, keep their promises, make better products and contribute to a better world.

The point, dear reader, is that without a robust marketing strategy, it just isn't possible to have any kind of meaningful digital strategy. This book begins with how to develop a winning marketing strategy for what is sold, to whom, and why they should buy from us. Although this strategy process, too, is affected by technology, it is vital to start with customer needs and not the technology through which solutions are communicated and delivered. Only when this has been done is it possible to develop a winning digital strategy. This is the topic of Part One which cannot be skipped.

*Tim Cook (2020) Apple CEO Tim Cook explains his three focuses. <https://www.marketingstrategy.com/videos/apple-ceo-tim-cook-explains-his-three-focuses/> (accessed 29 August 2023)

Producing an effective marketing plan that will give your organization competitive advantage is not easy. It takes knowledge, skills, intellect, creativity and, above all, time.

Everything you need to succeed is in this book, but you must be prepared to devote time to it. It is most definitely not a quick read!

FAST TRACK

However, for those who need a fast track to producing a marketing plan, Chapter 14 will help you. Be careful, however:

A little learning is a dangerous thing. Drink deep, or taste not the Pierian Spring.

(Alexander Pope)

INTERMEDIATE TRACK

For those interested principally in how to tie all marketing initiative together in a strategic marketing plan, it is possible to omit Chapters 7–11, as these contain a level of detail on specific areas of the marketing mix. Again, however, be careful and only omit these chapters if you feel that you already know enough about marketing communications, pricing, sales, channels, and customer relationship management to be able to outline appropriate strategies in your strategic marketing plan.

An important test to help you decide which track you need

It is important that you complete the questionnaire which follows before you start Chapter 1. This test was developed by the authors for the president of a global IT company, who asked what he should be looking for in a world-class strategic marketing plan.

Interpretation

In our experience, it is unlikely that many readers will score above five on many of these questions. This is not the point, however. The purpose of the questionnaire is to focus your attention at the beginning of the book on what essential deliverables a marketing plan should produce. If you work carefully through this book and implement it in your organization, you will be able to give yourself high scores in all boxes. Then, you will be a truly market-driven organization!

We have just one more suggestion for readers of this book, which is that they should also complete the very last questionnaire in this book, at the end of Chapter 14. This will most certainly alert readers to the need to focus on the contents of this research-based book.

Professor Malcolm McDonald
Professor Hugh Wilson
Dr Dave Chaffey

ARE YOU GETTING THESE ESSENTIAL DELIVERABLES FROM YOUR STRATEGIC MARKETING PLAN?

Market structure and segmentation • Is there a clear and unambiguous definition of the market you are interested in serving? • Is it clearly mapped, showing product/service flows, volumes/values in total, your shares and critical conclusions for your organization? • Are the segments clearly described and quantified? These must be groups of customers with the same or similar needs, not sectors or demographic groups. • Are the real needs of these segments properly quantified, with the relative importance of these needs clearly identified?	Score out of 10
Differentiation	
• Is there a clear and quantified analysis of how well your company satisfies these needs compared to competitors? • Are the opportunities and threats clearly identified by segment?	
Scope	
• Are all the segments classified according to their relative potential for growth in profits over the next three years and according to your company's relative competitive position in each? • Are the objectives consistent with their position in the portfolio (volume, value, market share, profit)? • Are the strategies (including products, price, place and service) consistent with these objectives? • Are the key issues for action for all departments clearly spelled out as key issues to be addressed?	
Value capture	
• Do the objectives and strategies add up to the profit goals required by your company? • Does the budget follow on logically from all of the above, or is it merely an add on?	
Total score	

Part One

The marketing planning process and the output

INTRODUCTION TO CHAPTERS 1–6

Chapters 1–6 constitute the main purpose of this book, which is to spell out in detail what is required at each stage of the strategic marketing planning process. Each chapter leads logically on to the following chapter until a complete picture is provided of the actions required at each stage. Worksheets are provided to enable users to build their plan as they proceed.

Chapter



UNDERSTANDING THE MARKETING PROCESS

SUMMARY

- What marketing is
- What digital marketing is, and how it has changed marketing
- The role of marketing in getting the best out of the firm's asset base
- The link between the external environment, customers and the marketing mix
- Clearing up the confusion surrounding marketing's role
- Clarification of what customers look for in their suppliers
- The differences and similarities between consumer, service and industrial marketing
- Whether a marketing department is essential
- Exercises to turn the theory into actionable propositions
- Readers who are already wholly familiar with the role of marketing in organizations may wish to go straight to Chapter 2, which begins to explain the marketing planning process

THE MARKETING CONCEPT*

In 1776, when Adam Smith said that consumption is the sole end and purpose of production, he was in fact describing what in recent decades has become known as the marketing concept.

The central idea of marketing is of a matching between a company's capabilities and the wants of customers in order to achieve the objectives of both parties.

It is important at this stage to understand the difference between the marketing concept (often referred to as 'market orientation') and the marketing function, which is concerned with the management of the marketing mix. The management of the marketing mix involves using the various tools and techniques available to managers in order to implement the marketing concept.

* We will use the word 'product' throughout the text to avoid unnecessary reference to 'services', 'not-for-profit services', 'capital goods', 'retail', and so on. The text is equally relevant to all of these.

The marketing concept implies that all the activities of an organization are driven by a desire to satisfy customer needs.

For the sake of simplicity, these are often written about and referred to as the 4Ps, these being Product, Price, Promotion and Place, although today many scholars include a number of additional Ps, such as People, Process, and Perception of customer service (or customer experience).

However, before any meaningful discussion can take place about how the marketing function should be managed, it is vital to have a full understanding about the idea of marketing itself, and it is this issue that we principally address in this chapter.

For readers who are interested in a history of marketing and the role of key players such as Levitt, Kotler, Hunt, Alderson, Holbrook and others, please refer to Jones (1999) in the references section at the end of the chapter.¹

What Is Digital Marketing and How Has it Changed Marketing?

Consumer and business adoption of digital devices such as smartphones and laptops to select and purchase products online has forced many businesses to review their business, revenue and communications models forming the 4Ps. Many digital marketing decisions are tactical, relating to the Promotion element of the mix using digital media channels shown in Figure 1.1.

However, digital marketing can also impact fundamental Product, Pricing and Place decisions. This impact is highest where products and services can be sold online through direct-to-consumer (D2C) or business-to-business (B2B) e-commerce options that deliver digital propositions. These digital propositions can either be a core feature of the product or part of the augmented prod-

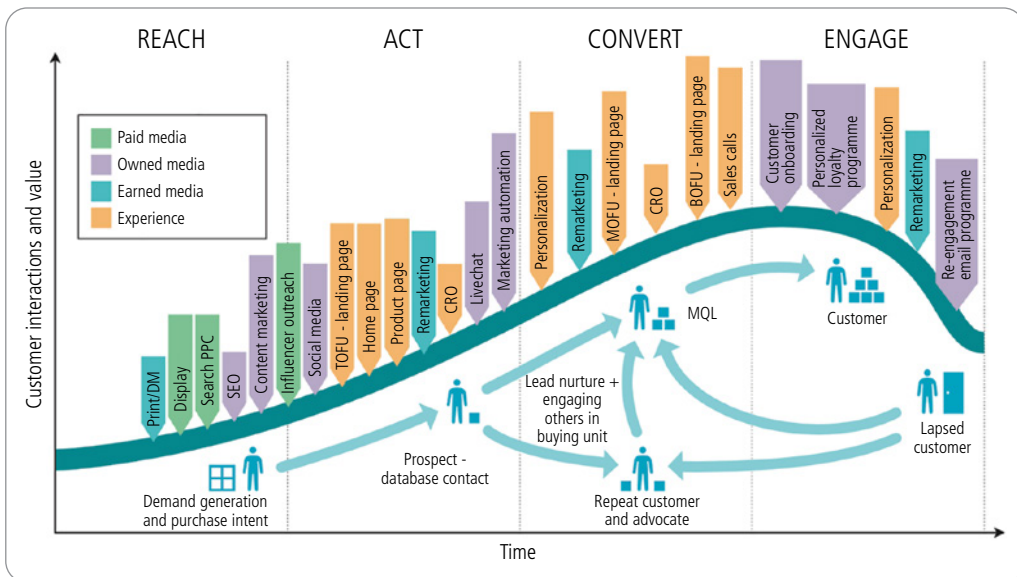


Figure 1.1: Digital media used to support always-on lifecycle marketing communications – business-to-business example of life cycle.

Abbreviations: CRO: Conversion Rate Optimization; TOFU, MOFU and BOFU are top, middle and bottom of funnel content; search marketing includes Search Engine Optimization (SEO) and Pay Per Click (PPC).

Source: Smart Insights (2023) What is lifecycle marketing? <https://www.smartinsights.com/ecommerce/web-personalisation/what-is-lifecycle-marketing/>. Also published in Chaffey and Ellis-Chadwick (2022).

uct. As an example of the latter, the pharmaceutical company Abbott has built global market share through its online Freestyle Libre digital proposition, which invites customers to subscribe to its product to *'Discover how you can manage your diabetes easily with Continuous Glucose Monitoring. User-friendly & discreet sensor-based glucose monitor.'*

Consider the investments in digital media and technology that are now made by businesses to promote their products. Insights from the Internet Advertising Bureau in the UK, US and Europe show that digital media now accounts for more than 50 per cent of media investment. Making the right level and types of investment in 'Always-on digital media' tactics (see Figure 1.1) to target the right prospects is now a major concern. A major motivation is to gain online visibility in search engines, as consumers show intent by searching for products, and looking for reviews about them on publisher sites and in social media to support their purchase decision.

However, the fundamental strategy decisions resulting from the marketing concept remain. Indeed, the best way to take advantage of the opportunities and threats of digital marketing is to consider how best to integrate it with marketing strategy and implementation processes, as suggested by this simple definition of digital marketing:

Achieving marketing objectives through integrating digital media, data and technology to support marketing activities.

(Chaffey and Ellis-Chadwick, 2022)²

The digital marketing concepts introduced in this chapter are explored in more detail later in the book, particularly in Chapter 7 and Chapter 9.

THE MARKETING FUNCTION

There are many definitions of marketing and much confusion about what it is. The following definition should clarify this for readers.

Marketing is a process for

- Defining markets
- Quantifying the needs of the customer groups (segments) within these markets.
- Determining the physical and digital value propositions and revenue models to meet these needs
- Communicating these value propositions to all those people in the organization responsible for delivering them and getting their buy-in to their role.
- Playing an appropriate part in delivering these value propositions and communicating them by selecting relevant media investments
- Monitoring the value delivered to customers and the organization.

For this process to be effective, organizations need to be consumer/customer driven.

This definition is represented as a 'map' in Figure 1.2. This definition and map are important because we will refer to them throughout the remainder of this book.

Starting at the top and moving clockwise, it should be pointed out that the first two boxes are concerned with strategies for markets, whereas the bottom box and the box on the left

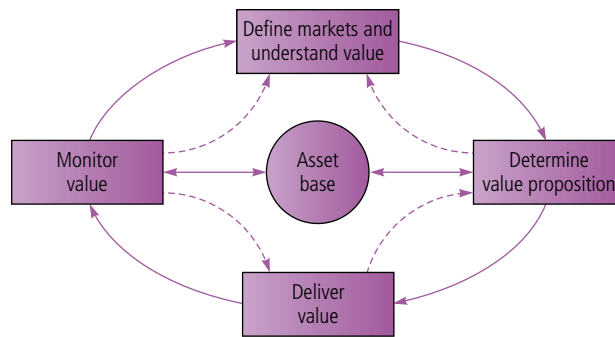


Figure 1.2: A map of marketing. [Value Creation Process].

are concerned with implementing the strategies, once formulated. The fundamental difference between strategies and tactics will be expanded on in Chapter 2.

COMPANY CAPABILITIES

Let us return to the notion of bringing about a matching between a company's capabilities and the wants of its customers. In Chapter 4 we will explain what we mean when we talk about customer wants. But for now it is important to understand what we mean when we talk about a company's capabilities. To explain this more fully, let us imagine that we have been made redundant and have decided to set ourselves up in our own business.

The first thing we would have to do is to decide what it is that we can actually do. In answering this question, we would quickly realize that our actual knowledge and skills restrict us very severely to certain obvious areas. For example, it would be difficult for a former sales manager to set up in business as an estate agent, or for an estate agent to start a marketing consultancy, unless, of course, both had the necessary skills and knowledge. A little thought will confirm that it is exactly the same for a company.

Many commercial disasters have resulted from companies diversifying into activities for which they were basically unsuited.

One such case concerns a firm making connectors for the military and aviation markets. When these traditional markets went into decline, the company diversified into making connectors for several business-to-business markets such as consumer durables, automobiles, and so on. Unfortunately, these markets were so completely different from the ones that the company had been used to that they quickly went into a loss-making situation. Whereas the connector that the company had previously manufactured had been a highly engineered product made to the specifications of a few high-technology customers, the company now had to mass-produce simple connectors for broad markets. This meant making for stock and carrying field inventory. It also meant low competitive prices. The sales force did not know how to cope with the demands of their new markets. They had been used to making one or two calls a day and to having detailed technical discussions with buyers, whereas now they were expected to deal with many customers online each day along with field visits,

to sell against many competitive products, and to work in tandem with desk-based account managers and e-commerce channels. Furthermore, the company just did not have the right image to succeed in the market. The results of all this were very serious financial losses.

The lesson simply is that all firms have a unique set of capabilities in the form of resources and management skills that are not necessarily capable of taking advantage of all market opportunities as effectively, hence as competitively, as other firms. To summarize, the matching process between a company's capabilities and customer wants is fundamental to commercial success. That this is so will become clearer as we get further into the task of explaining the role and the nature of marketing.

DIGITAL MARKETING INSIGHT: DEVELOPING DIGITAL MARKETING CAPABILITIES THROUGH DIGITAL TRANSFORMATION PROGRAMMES

Increased consumer adoption of digital technology has required businesses to adjust their investment in digital marketing to ensure they have the best mix of paid, owned and earned media to reach their customers online. Many larger businesses have implemented digital transformation programmes to improve their capabilities.

To do that, it is essential to understand what good looks like! A 'maturity model' is invaluable for this. This should be based on criteria covering all aspects of digital marketing as shown in Figure 1.3. The evaluation of the firm's current maturity is based on whether there

IMPROVE YOUR DIGITAL MARKETING MATURITY

Use this RACE Growth System maturity assessment to identify priorities to improve across these pillars. Use our visual checklist to audit how well your business or clients are exploiting integrated digital marketing.



BENCHMARK WITH THE 7 PILLARS OF EFFECTIVE MODERN MARKETING

	1. Initial	2. Managed	3. Defined	4. Quantified	5. Optimized
1. Marketing and brand strategy	Outline business and marketing plan.	Detailed annual marketing plan. No brand plan or long-term vision.	Longer-term marketing and brand plans.	Digitally aligned integrated strategy and roadmap.	Agile business and brand strategy.
2. Digital marketing strategy	No dedicated strategy.	Outline digital plan with priority activities.	Defined annual plan and digital initiative roadmap.	90-day optimization approach.	Agile strategic approach.
3. Data and Insight	No digital KPIs or Analytics customization.	Main volume goals defined and analytics customized.	Quality goals defined. Marketing dashboards. Ad hoc customer.	Value goals defined. Use Attribution models.	Lifetime value KPIs. Predictive analytics.
4. Digital media	No plan to increase Reach. No campaign process.	Outline acquisition plan. No search, social media or PR plans or forecasts.	Detailed acquisition plan with target forecast. Campaign process.	Integrated online and offline media plans.	Media optimized for ROI and customer lifetime value.
5. Content marketing strategy	No strategy to encourage Interactions and leads.	Limited content marketing assets.	Full lifecycle content marketing strategy and assets.	Content marketing ROI define.	Content portfolio optimized.
6. Digital experience	No plan to increase Interactions, Conversion or Engagement.	Persons and journey maps defined. Ad hoc website test.	Regular simple tests and customer feedback. Simple personalization.	Full structured CRO experiment programme. Advanced personalization.	AI-based personalization and optimization.
7. Digital messaging	Basic email promotions and newsletters.	Simple welcome strategy.	Contact automation plan across RACE.	Full lifecycle automation. Conversational messaging.	AI-optimized contact strategy.
	"Limited planning"	"Basic planning"	"Competitive planning"	"Advanced planning"	"Agile planning"

Figure 1.3: Digital marketing maturity capability assessment.

Source: Smart Insights (2022) Free digital marketing maturity benchmarking templates.
<https://www.smartinsights.com/guides/digital-marketing-benchmarking-templates/>

are dedicated plans, resources and measurement for each of the seven pillars listed down the left of the figure. Maturity varies from Level 1, Initial, where digital marketing has limited dedicated resources and management, to Level 5, Optimized, where digital marketing is managed well and agile, measured processes are used. It is typical for digitally native businesses that you will use – such as Amazon, Booking.com, Spotify and Uber – to reach level 5, while few traditional multichannel businesses have yet achieved this level to enable them to compete; indeed, research by Smart Insights shows that many businesses are at level 1.

THE ROLE OF MARKETING IN BUSINESS

What causes success in the long run, by which we mean a continuous growth in earnings per share and in the capital value of the shares, has been shown by research^{3,4} to depend on four elements as shown in Figure 1.4.

1. An excellent core product or service and all the associated R&D, which closely matches the wants of the organization's target segments. Clearly, marketing will have a heavy input into this process. All this is showing is that companies with average products deserve average success.
2. Excellent, world class, state-of-the-art product and service operations. All this is saying is that inefficiency today is likely to be punished. Marketing should, of course, have an input to defining operational efficiency in customer satisfaction terms. Where it is not allowed to, because of corporate culture, quality often becomes a sterile token.
3. A culture that encourages and produces an infrastructure within which employees can be creative and entrepreneurial within the prescribed company procedures. Bored and boring people, for whom subservience and compliance is the norm, cause average or below-average performance. This is particularly important because it is the organization's people who deliver value to customers.
4. Professional marketing departments, staffed by qualified professionals (not failures from other functions). All this means is that companies who recruit professionally qualified

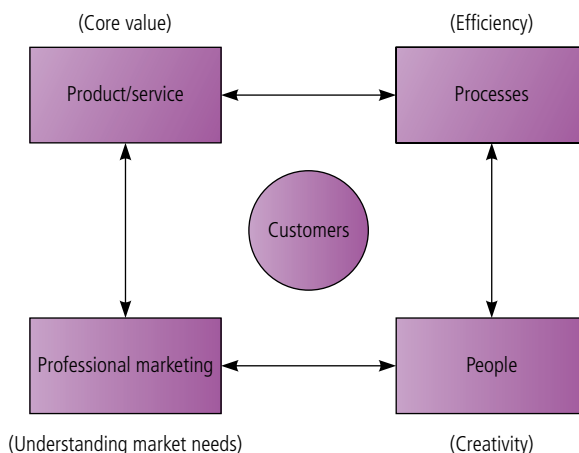


Figure 1.4: Business success.

marketers with appropriate experience have a far greater chance of success than those whose marketing departments are staffed by just about anybody who fancies themselves as marketers.

5. Finally, observe that everything in Figure 1.4 is organized around customers.

Given these ingredients and, above all else, a corporate culture which is not dominated (because of its history) by production, operations or financial orientation, all the evidence shows that marketing as a function makes a major contribution to the achievement of corporate objectives. Its principal role is to spell out the several value propositions demanded by different customer groups so that everyone in the organization knows what their contribution is in creating this value.

THE MARKETING ENVIRONMENT

The matching process referred to earlier takes place in what we can call the marketing environment, which is the milieu in which the firm is operating. Perhaps the most obvious constituent of the marketing environment is our competitors, for what they do vitally affects our own behaviour as a company.

The point is that, since what our competitors do so vitally affects our own decisions, it is necessary to find some way of monitoring this and other elements of the environment and of building this into our decision-making process. In Chapter 12 we show how this can be done.

The political, fiscal, economic, social and legal policies of the governments of the countries where we sell our goods also determine what we can do. For example, inflation reduces the discretionary spending power of consumers, and this can result in market decline. Legislation concerning such things as labelling, packaging, advertising, and so on, all affect the way we run our business, and all these things have to be taken account of when we make our plans.

Perhaps, however, the fastest-changing aspect of the environment is sustainability (or corporate social responsibility, though the concept of sustainability includes environmental as well as social effects of the firm). This has fundamentally affected the behaviour of organizations and those who do not pay close attention to it tend to be punished by consumers and customers. We expand on this topic in Chapter 3.

Technology is constantly changing, and we can no longer assume that our current range of products will continue to be demanded by our customers. Digital technology is now important in delivering core or augmented digital products in many sectors such as retailing and publishing.

The point is that the environment in which we operate is not controlled by us, and it is dynamic. Hence, it must be constantly monitored and we must be prepared to adapt our asset base and our approach to markets. An approach for doing this is outlined in subsequent chapters.

So far, we have talked about the three constituent parts of what we have described as a matching process:

1. The capabilities of a firm.
2. The wants of customers.
3. The marketing environment.

Diagrammatically, this matching process is shown in Figure 1.5.

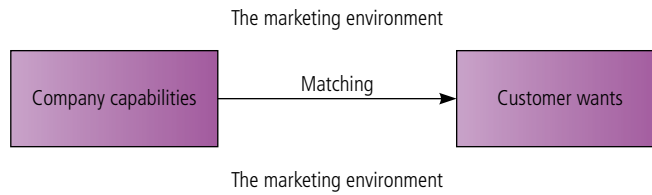


Figure 1.5: The matching process.

CUSTOMER WANTS

Although we shall be dealing with this subject in Chapters 3 and 4, let us briefly turn our attention to the subject of customer wants, so that we can complete our understanding of what marketing is.

Perhaps one of the greatest areas for misunderstanding in marketing concerns this question of customer wants. Companies are accused of manipulating innocent consumers by making them want things they do not really need.

Of course, this sadly does happen, as some firms do not have the integrity or the imagination to profit from actually helping people. If this were generally so, however, we would not have a situation in which a very high proportion of all new products launched actually fail! The fact is people have always had needs, such as, say, for home entertainment. What changes in the course of time is the way people satisfy these needs. For example, audio and video streaming was only commercially viable because people needed home entertainment, and this was yet another way of fulfilling that need.

But let us not be fooled into believing that the customer, in the end, does not have the final say. All customer needs have many different ways of being satisfied, and wherever people have choice they will choose that product which they perceive as offering the greatest benefits to them at whatever price they are prepared to pay.

Apple, Johnson & Johnson, Procter & Gamble, LVMH, and other long-standing great companies create shareholder value by applying the following values: an inspiring vision; clear strategies; rigorous segment and brand positioning; consistent innovation; superior customer value; high employee morale; tight cost control; and concern for all stakeholders, not just customer groups. Having said this, unless customer needs are satisfied in ways which lead to superior market performance, nothing else is possible.⁵ What this means, in effect, since all commercial organizations incur costs in taking goods or services to the market, is that profit, through customer satisfaction, is the principal measure of efficacy or worth of what the company is doing.

Cheapness, efficiency, quality (in the sense of international standards such as ISO) or, indeed, any other measure, are not criteria of effectiveness, since there is little point in producing anything cheaply, efficiently or perfectly if people don't actually want it and don't buy it.

Since costs are incurred in producing products, it is necessary to find customers to buy those products at a sufficiently high price and in sufficient volume (margin turnover) to enable the company to cover its costs and to make a surplus (or profit). This is an economic necessity to enable the company to stay in business and means that, unless what is being offered is seen

by customers as satisfying their wants, they will not buy it. Hence, all other stakeholder groups will be disappointed.

In the commercial sector, research has shown that there is a direct link between long-run profitability and the ability of a firm to understand its customers' needs and provide value for them.^{6,7} For industries previously protected from competition, such as the airline industry and telecommunications, many now know that sustainable profitability can only come in the long run through continuous customer satisfaction.

In the not-for-profit sector, customer satisfaction (or the satisfaction of 'users' or other beneficiaries) is obviously a proxy for profitability. We shall say more about this important point in Chapter 3 on market segmentation.

To summarize, any organization that continues to offer something for which there is a long-term fundamental decline in demand, unless it is prepared to change so as to be more in tune with what the market wants, in the end will go out of business. Even less sensible would be for a government, or a parent company, to subsidize such an operation, since we know that to go on producing what people do not want is economically inefficient, especially when people will get what they want from abroad if they cannot buy it in their home country.

The same line of reasoning must also apply to those who continually counsel increased productivity as the only answer to our economic problems. Unfortunately, any additional production would more than likely end up in stock unless people actually wanted what was being produced.

It would be different, of course, if there was only a temporary hiccup in demand, as occurred for many categories in the Covid-19 pandemic; but, unfortunately, this is rarely the case, because markets are dynamic and we must learn to adapt and change as our markets mutate.

Central to this question of customer wants is an understanding that there is rarely such a thing as 'a market'. To start with, it is clear that it is customers who buy products, not markets. A market is merely an aggregation of customers sharing similar needs for which they want the products and services that best meet these needs. In reality, most markets consist of a number of submarkets, each of which is different. For example, the airline market consists of freight and passenger transport. The passenger side can be subdivided further into VFR (visiting friends and relatives), holidays, business travel, and so on. Failure to understand the needs of these very different customer groups would result in failure to provide the desired services at an acceptable price.

Of course, it is not quite as easy as this, which is why we devote the whole of Chapter 3 to this very important aspect of what we call 'market segmentation'. But for now it is only necessary to understand that it is our ability to identify groups of customer wants, which our particular company capabilities are able to satisfy profitably, that is central to marketing management.

THE MARKETING MIX

As we have already said, managing the marketing mix involves the use of the tools and techniques of marketing. Thus, in order for the matching process to take place, we need information. External and internal marketing information flows (marketing research) and database management are discussed further in Chapter 12.

Having found out what customers want, we must develop products or services to satisfy those wants. This is known as 'product management' and is discussed in Chapter 5. Obviously we must charge a price for our products, and this is discussed in Chapter 11.

We must also tell our customers about our products, for we can be certain that customers will not beat a path to our door to buy whatever it is we are making. Here we must consider all forms of communication, especially advertising, digital, personal selling and sales promotion. These are discussed in Chapters 7 and 8.

All that remains now is to get our products into our customers' hands, thus giving a time and a place utility to our product. Distribution and customer service are discussed in Chapter 9. Chapter 10 considers how we then manage the relationship with our existing customers over time to maximize value to both parties.

Finally, we must consider how to tie it all together in the form of a marketing plan. This latter point is so important that the next chapter is devoted to a discussion of the marketing planning process.

CONFUSION ABOUT WHAT MARKETING IS – VENEER OR SUBSTANCE?

It is a sad reflection on the state of marketing that in spite of over 100 years of marketing education, ignorance still abounds concerning what marketing is.

The marketing function (or department) never has been, nor ever will be, effective in an organization whose history to date is one of technical, production, operations or financial orientation. Such enterprises have long since adopted the vocabulary of marketing and applied a veneer of marketing terminology.

MARKETING INSIGHT

Thus, some of the high street banks have spent fortunes on hiring marketing people, often from the fast-moving consumer goods (FMCG) sector, producing expensive TV commercials and creating a multiplicity of products, brochures and leaflets. Yet still most customers would have difficulty in distinguishing between the major players – so where's the competitive advantage?

Is this marketing in the sense of understanding and meeting customers' needs better than the competition or is it old-fashioned selling with the name changed, where we try to persuade customers to buy what we want to sell them, how, when and where we want to sell it?

The IT hardware industry provides perhaps even clearer examples. For years they have used the word 'marketing' quite indiscriminately as they tried to persuade customers to buy the ever more complex outpourings of their technology. At least one major hardware manufacturer used to call its branch sales managers 'marketing managers' to create the illusion of a local process of understanding and responding to customer needs. Racked by consolidation and huge losses, this is an industry in which most of the major players have either gone bankrupt or (like IBM) have fundamentally changed their business model.⁸

The following are the major areas of confusion about marketing:

1. *Confusion with sales.* One managing director aggressively announced to everyone at the beginning of a seminar in Sydney, Australia: 'There's no time for marketing in my company until sales improve!' Confusion with sales is still one of the biggest barriers to be overcome.
2. *Confusion with product management.* The belief that all a company has to do to succeed is to produce a good product also still abounds, and neither Concorde, New Coke, Google Glass, nor the many thousands of brilliant products that have seen their owners or inventors go bankrupt during the past 30 years will convince such people otherwise.
3. *Confusion with advertising.* This is another popular misconception and the annals of business are replete with examples such as British Airways who won awards with their brilliant advertising campaigns, while failing to deliver what the advertising promised. Throwing advertising expenditure at the public is still a very popular way of tackling deep-rooted marketing problems.
4. *Confusion with customer experience.* The 'Have a nice day' syndrome is still having its hey-day in many countries of the world, as managers fundamentally misunderstood the concept of customer experience originally popularized by Pine and Gilmore (1998).⁹ Many organizations now know, of course, that training staff to be nice to customers does not help a lot if the basic offer is fundamentally wrong. For example, in many railway companies around the world, while it helps to be treated nicely, it is actually much more important to get there on time! 'Stop sending me birthday cards and answer your damned phone!' is a *cri de cœur* many customers will sympathize with.

It should by now be obvious that those people who talk about 'the sharp end' – by which they usually mean personal selling or e-commerce – as being the only things that matter in marketing have probably got it wrong.

For example, personal selling and digital sales channels are just two examples of communicating with customers and to say that those are the only things that matter is to ignore the importance of product management, pricing, distribution and other forms of communication in achieving profitable sales. Selling, for example, is just one part of this process, in which the transaction is actually clinched. It is the culmination of the marketing process, and success will only be possible if all the other elements of the marketing mix have been properly managed. Imagine trying to sell a horse that didn't have four legs! The more attention that is paid to finding out what customers want, to developing products to satisfy these wants, to pricing at a level consistent with the benefits offered, to gaining distribution, and to communicating effectively with our target market, the more likely we are going to be able to exchange contracts through the personal selling process. Exactly the same comments can be applied to digital transactions.

Likewise, it is naive to assume that marketing is all about advertising, since it is by now clear that advertising is only one aspect of communication. Many firms waste their advertising expenditure because they have not properly identified what their target market is.

For example, one public transport company spent half a million euros advertising how reliable their bus service was when, in reality, utilization of buses by the public was declining because they somehow felt that buses were working class! This was a classic case of believing that advertising will increase sales irrespective of what the message is. Had this company done its research, it could have decided to what extent and how advertising could be used to overcome this prejudice. As it was, the company spent a small fortune telling people something that was largely irrelevant!

In reality, many companies spend more on advertising when times are good and less on advertising when times are bad. Cutting the advertising budget is often seen as an easy way of boosting the profit and loss account when a firm is below its budgeted level of profit. This tendency is encouraged by the fact that this can be done without any apparent immediate adverse effect on sales. Unfortunately, this is just another classic piece of misunderstanding about marketing and about the role of advertising in particular. The belief here is that advertising is caused by sales! Also, it is naive in the extreme to assume that advertising effectiveness can be measured in terms of sales when it is only a part of the total marketing process.

For evidence that cutting promotional expenditure during a recession is precisely the wrong thing to do, see a systematic review of marketing in the Covid-19 pandemic by Nikbin et al. (2022).¹⁰

The same, of course, applies to any form of communications, including all modern media, which we discuss in Chapter 7.

WHAT DOES THE CUSTOMER WANT?

Finally, we have to beware of what the words ‘finding out what the customer wants’, which appear in most definitions of marketing, really mean. The reality, of course, is that most advances in customer satisfaction are technology driven. For example, the fabulous technological breakthroughs that occurred as a result of the Houston space programme, when the Americans put two men on the Moon, have provided thousands of opportunities for commercial exploitation. Similarly, the Internet grew in large part out of the US Defense Department’s ARPANET (Advanced Research Project Agency Network), while the World Wide Web was invented to help scientists to work together. The role of marketing has been to find commercial applications for the technology.

The truth, of course, is that there are two kinds of R&D:

1. Technology driven.
2. Market driven.

From the kinds of technology-driven programmes that take place on science parks and in laboratories around the world come opportunities for commercial exploitation.

MARKETING INSIGHT

From the kinds of market-driven programmes that most companies engage in come incremental, and sometimes discontinuous, improvements to product performance. Both are legitimate activities. The former has been glamorized and popularized by companies such as 3M, who claim to encourage and institutionalize unfocused scientific research. This has led to the formation of a number of new businesses and product launches, the most famous of which is Post-it.

The main point to remember, however, is that customers do not really know what they want! All they really want are better ways of solving their problems, so one of the main tasks of marketing is to understand the customers and their problems in depth so that we can continuously work on ways of making life easier for them. Whether this happens as a result of serendipity or focused R&D is less important than the end result.

For example, people didn't ask Apple to invent iPods, iPads, easy music downloads and the like. Apple just invented ways of making life easier and more enjoyable.

ARE BUSINESS-TO-BUSINESS, CONSUMER AND SERVICE MARKETING DIFFERENT?

The central ideas of marketing are universal and it makes no difference whether we are marketing furnaces, insurance policies or margarine. Yet problems sometimes arise when we try to implement marketing ideas in service companies and industrial goods companies.

A service does not lend itself to being specified in the same way as a product, as it does not have the same reproducible physical dimensions that can be measured. Thus, with the purchase of any service, there is a large element of trust on the part of the buyer, who can only be sure of the quality and performance of the service after it has been completed. Largely because of this, the salesperson actually selling the service obviously becomes part of the service, since this is one of the principal ways in which the potential efficacy of the service can be assessed. Additionally, a service product cannot be made in advance and stored for selling 'off the shelf' at some later stage. Nonetheless, apart from some differences in emphasis, the principles of marketing apply to services in exactly the same way.

Business-to-business goods are simply those goods sold to other businesses, institutional or government buyers for incorporation into their own products, to be resold or to be used by them within their own business. Principal types of business-to-business goods are raw materials, components, capital goods and maintenance, repair and operating goods and equipment, although even service companies sell direct to other companies rather than to consumers.

The fact that the share of world trade enjoyed by some manufacturing countries has slumped so dramatically over the past 50 years is not generally because their products were not as good as those produced by other countries, but because they failed to monitor and understand the environmental changes taking place and stuck doggedly to what had worked in the past, whereas organizations that continued to thrive did, including, where necessary, the sourcing of manufacturing in countries with lower costs.

One reason for this is that many manufacturing companies naively believe that the name of the game is making well-engineered products. Making well-engineered products is all some companies are concerned about, in spite of the fact that all the evidence points to the conclusion that more often than not it is for other reasons that the final choice is actually made. Failure to understand the importance of market segmentation (to be discussed in Chapter 3), market share, service and reputation, among other things, is the principal reason why such companies fail to compete successfully in so many world markets. Making what they consider to be good products and then giving them to the sales force to get rid of is just not enough.

But, quite apart from the fact that there appears to be a sort of status about being on the technical side of business, which sometimes acts as a barrier to the consideration of marketing issues, it is also a fact that marketing is difficult in many business-to-business markets. This makes it inevitable that managers will resort to doing things they can understand. For example, demand for all industrial products is derived from the demand for consumer products, which adds greater uncertainty to decision making and makes forecasting extremely difficult.

Failure to understand the importance of market segmentation is the principal reason for failure to compete effectively in world markets.

Consumer products both head the value chain and rely on it.

Consumer products are, therefore, at the head of their value chains leading right back to the production of the basic raw materials. They rely on the whole chain performing well for their success. At the same time, those in charge of marketing consumer products also determine the survival of that value chain. As such they are interdependent.

Consumer services are similar. Thus, a financial adviser or hairdresser will sell to individual consumers and will use tangible products and/or information supplies to deliver their service. Together, they will have a collective impact on their value as will large retailers who will have a significant interdependency with their value chains.

The principal differences in consumer goods, service, industrial and capital goods marketing are spelled out in an appendix at the end of this chapter.

DO YOU NEED A MARKETING DEPARTMENT?

This brings us finally to the question of whether it is necessary for a company to have a marketing department.

It is not essential to have a formalized marketing department for the analysis, planning and control of the matching process. This is particularly so in small, undiversified companies where the chief executive has an in-depth understanding of customers' needs. Even in large companies it is not necessary to have a marketing department, because the management of products can be left to the engineers, pricing can be managed by the accountants, distribution can be managed by distribution specialists, and selling and advertising can be managed by the sales manager.

The dangers in this approach, however, are obvious. Technicians often place too much emphasis on the physical aspects of the products, accountants can be too concerned with costs rather than with market values, distribution people can often succeed in optimizing their own objectives for stock, yet at the same time suboptimizing other more important aspects of the business, such as customer service, and selling and promotion can often be carried out in a way that may not be in the best interests of the firm's overall goals.

However, as a company's product range and customer types grow, and as competitive pressures and environmental turbulence increase, so it often becomes necessary to organize the management of marketing under one central control function, otherwise there is a danger of ending up with the kind of product which is brilliant technically, but disastrous commercially.

In professional organizations, great care is necessary in thinking about the appropriate organizational form for marketing. For example, in a postgraduate business school the major role of the marketing department has traditionally been in the domain of promotion and information coordination. While it does obviously act as a facilitator for strategy development, it is intellectually simplistic to imagine that it could be the primary originator of strategy. In some other service organizations, the central marketing function might also provide the systems to enable others to carry out effective marketing, but in such organizations marketing departments have never actually done marketing, nor ever will.

The reasons are obvious. If the term 'marketing' is intended to embrace all those activities related to demand creation and satisfaction and the associated intelligence, then it is clear that most marketing takes place during the service delivery and customer contact process, in all its

forms. Marketing, then, reflects this process and it is absurd to believe that it is the sole domain of those people in the organization who happen to belong to the marketing department.

In the best professional firms, a 'Marketing Partner' is often appointed. Such a person is usually a qualified professional, such as a lawyer or an accountant, and they take the qualified marketers in the marketing department under their wing so that marketing has a voice in the boardroom.

As Alan Mitchell, a freelance journalist for *Marketing Business* said, 'To say the Marketing Department is responsible for marketing is like saying love is the responsibility of one family member.'

It is absurd to believe that marketing is the sole domain of those people in the organization who happen to belong to the marketing department.

It is equally absurd to suggest that the personnel department actually emphasize personnel management, with all other managers in the organization having nothing to do with people. This could be said for finance and information systems. Indeed, it is such myopic functional separation that got most struggling organizations into the mess they are in today.

Much more important, however, than who is responsible for marketing in an organization is the question of its marketing orientation, that is, the degree to which the company as a whole understands the importance of finding out what customer groups want and of organizing all the company's resources to satisfy those wants at a profit.

We should like to make one final important point in this introductory chapter. It has always been tempting to give in to that strident minority who criticize the whole topic of marketing and marketing planning in particular. So, to conclude this chapter on a positive note we include a quotation from *Management Today*:¹¹

Diageo's well-deserved win as Britain's most admired company is a tale of meticulously planned strategy, consistently executed over many years, with little regard to the whims of corporate fashion.

Good strategy, and good marketing strategy in particular, lasts. Since that quotation, Diageo has continued to excel through classical marketing portfolio management. While the UK's FTSE100 index rose 50 per cent from 2005 to 2023, Diageo's share price rose 400 per cent.

APPLICATION QUESTIONS

1. Describe as best you can what you think marketing means in your company.
2. Describe the role of your marketing department, if you have one.
3. If you do not have a marketing department, describe how decisions are made in respect of the following:
 - the product itself
 - price
 - customer service levels
 - physical distribution
 - advertising
 - sales promotion
 - the sales force
 - information about markets.

4. How do you distinguish between marketing, promotion and selling in your organization?
5. Would you say your products are what the market wants, or what you prefer to produce?
6. Do you start your planning process with a sales forecast and then work out a budget, or do you start by setting marketing objectives, which are based on a thorough review of the previous year's performance? If the former, describe why you think this is better than the latter.

CHAPTER 1 REVIEW

The marketing concept

Providing goods or services for which there is a known customer demand, as opposed to selling what the company likes to produce. By focusing on customers and their wants the company is better positioned to make a profit. The company is then said to be market led, or to have a 'market orientation'.

The marketing function

There are many definitions of marketing and much confusion about what it is. The following definition should clarify this for readers.

Marketing is a process for:

- defining markets
- quantifying the needs of the customer groups (segments) within these markets
- determining the value propositions to meet these needs
- communicating these value propositions to all those people in the organization responsible for delivering them and getting their buy-in to their role
- playing an appropriate part in delivering these value propositions (usually only communications)
- monitoring the value actually delivered.

For this process to be effective, organizations need to be consumer/customer driven.

This definition is represented as a 'map' in Figure 1.2, repeated here as Figure 1.6.

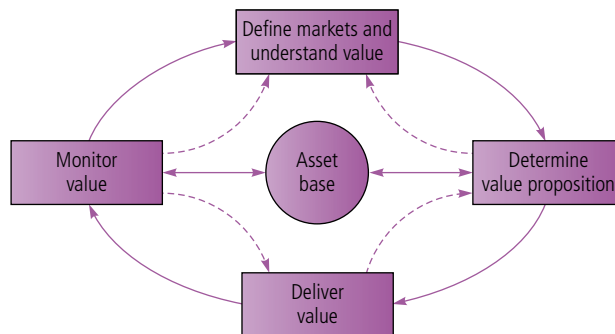


Figure 1.6: Map of the marketing process.

Starting at the top and moving clockwise, it should be pointed out that the first two boxes are concerned with strategies for markets, whereas the bottom box and the box on the left are concerned with implementing the strategies, once formulated. The fundamental difference between strategies and tactics will be expanded on in Chapter 2.

Try Exercise 1.1

Company capabilities

The company will not be equally good at all things. It will have strengths and weaknesses. The astute company tries to identify customer wants that best match its own strengths, be they its product range, relations with customers, technical expertise, flexibility or whatever. Inevitably there is an element of compromise in the matching process, but successful companies strive to build on their strengths and reduce their weaknesses.

Try Exercise 1.2

The marketing environment

No business operates in a vacuum; it has an environment which not only contains all its existing and potential customers and its competitors, but many factors outside its control. Changes in the environment in terms of:

- customer wants
- fashions
- technology
- environmental concerns
- legislation
- economic climate
- competition, etc.,

present the company with both opportunities and threats. Keeping a finger on the pulse of the environment is essential for the successful company.

Try Exercise 1.3

Questions raised for the company

1. Q: Is it different marketing a product or a service?
A: The central ideas of marketing are universal.
2. Q: What do customers want?
A: They don't always know, but dialogue with them and intelligent research can help to answer this question.
3. Q: Do we need to bother with marketing?
A: Some companies are very successful by chance. They happen to be in the right place at the right time. Most other companies need to plan their marketing.

Try Exercise 1.4

4. Q: Do we need a marketing department?
A: Not necessarily. It will depend upon the size and complexity of the company's range of products and services. The higher the complexity, the more difficult it is to coordinate activities and achieve the 'matching' of a company to its customers.

EXERCISES

The exercises are intended to give you an opportunity to explore ways of looking at marketing. Exercise 1.1 enables you to make an assessment of your own beliefs about marketing; the remaining exercises can be applied to your organization.

Exercise 1.1 Marketing orientation

Below are a number of definitions of marketing that have appeared in books and journals over the last 20 or so years. Read through them carefully and note on a piece of paper the numbers of those which most accurately reflect your own views.

While there is no upper limit to the number of definitions you can choose, try, if you can, to limit your choice to a maximum of nine or ten definitions.

1. 'The planning and execution of all aspects and activities of a product so as to exert optimum influence on the consumer, to result in maximum consumption at the optimum price and thereby producing the maximum long-term profit.'
2. 'Deciding what the customer wants; arranging to make it; distributing and selling it at a profit.'
3. 'Marketing perceives consumption as a democratic process in which consumers have the right to select preferred candidates. They elect them by casting their money votes to those who supply the goods or services that satisfy their needs.'
4. 'The planning, executing and evaluating of the external factors related to a company's profit objectives.'
5. 'Adjusting the whole activity of a business to the needs of the customer or potential customer.'
6. '... marketing is concerned with the idea of satisfying the needs of customers by means of the product and a whole cluster of things associated with creating, delivering and, finally, consuming it.'
7. 'The total system of interacting business activities designed to plan, price, promote and distribute products and services to present and potential customers.'
8. '(Marketing is) the world of business seen from the point of view of its final result, that is from the customer's viewpoint. Concern and responsibility for marketing must therefore permeate all areas of the enterprise.'
9. 'The activity that can keep in constant touch with an organization's consumers, read their needs and build a programme of communications to express the organization's purposes.'
10. 'The management function which organizes and directs all those business activities involved in assessing and converting customer purchasing power into effective demand for a specific product or service and moving the product or service to the final customer or user so as to achieve the profit target or other objectives set by the company.'
11. 'The marketing concept emphasizes the vital importance to effective corporate planning and control, of monitoring both the environment in which the offering is made and the needs of the customers, in order that the process may operate as effectively as is humanly possible.'

12. 'The organization and performance of those business activities that facilitate the exchange of goods and services between maker and user.'
13. 'The process of: (1) Identifying customer needs, (2) Conceptualizing these needs in terms of the organization's capacity to produce, (3) Communicating that conceptualization to the appropriate locus of power in the organization, (4) Conceptualizing the consequent output in terms of the customer needs earlier identified, (5) Communicating that conceptualization to the customer.'
14. '(In a marketing company) all activities – from finance to production to marketing – should be geared to profitable consumer satisfaction.'
15. 'The performance of those business activities that direct the flow of goods from producer to consumer or user.'
16. 'The skill of selecting and fulfilling consumer wants so as to maximize the profitability per unit of capital employed in the enterprise.'
17. 'The economic process by means of which goods and services are exchanged and their values determined in terms of money prices.'
18. 'The performance of business activities that direct the flow of goods and services from producer to consumer in order to accomplish the firm's objectives.'
19. 'Marketing is concerned with preventing the accumulation of non-moving stocks.'
20. 'The process of understanding markets and the present and future value required by the different groups within these markets, of communicating it to all customer-impacting functions within the organization and of measuring the value actually delivered.'

Scoring for Exercise 1.1

You should have selected a number of definitions that you identify with. To work out your score, tick the boxes in the table below which equate to your chosen statements. Now add the number of ticks in each group and enter the total in the boxes at the end of each row.

For example, if you selected definitions 1, 3, 5, 6, 10 and 14, then 1 and 10 would score a total of 2 in Group A and 3, 5, 6 and 14 would score a total of 4 in Group B.

Group A	1	2	4	7	10	12	15	16	18	19
Group B	3	5	6	8	9	11	13	14	17	20

Interpretation of Exercise 1.1

If you study the various definitions, you will find that the essential difference between those in Group A and those in Group B is that Group B definitions make an *unambiguous reference* about identifying and satisfying customer needs and building systems around this principle. This is generally accepted as true marketing orientation, and is the stance taken throughout this book about marketing.

Group A definitions tend to focus far less on the customer (unless it is to decide what customers want, or to *exert influence* on the customer – that is, to do things to the customer)

(Continued)

and more on the company’s own systems and profit motives. Thus, Group A definitions could be described as being more traditional views about managing a business. Therefore, the more Group B and the fewer Group A answers you have, the higher your marketing orientation and the less at odds you should be with the ideas put forward in this book.

Please note that this is your personal orientation towards marketing and nothing to do with your company.

Exercise 1.2 Company capabilities and the matching process

- 1. Reflect on your company’s recent history, say the last five years. Over that period, what would you say have been the key strengths that have carried the company to its present position?
 - a) Make a list of these. Note: In a small company, among the strengths might be listed key people. Where this happens, expand on what the person actually brings to the organization, e.g. sales director – their contacts in the industry.
 - (i) _____
 - (ii) _____
 - (iii) _____
 - b) What would you say are the three main weaknesses at present?
 - (i) _____
 - (ii) _____
 - (iii) _____
- 2. Again, considering the last five-year period, has the company got better at matching its strengths to customers and to its business environment, or worse? Often there are both positive and negative forces at work.
 - a) Make a note of the factors which led to improvements.
 - b) Make a note of the factors which led to a deterioration.

At this stage you do not need to draw any specific conclusions from this exercise, although you will probably find it useful to return to this information as you progress through the book.

Exercise 1.3 The marketing environment

You will be asked to consider the marketing environment in more detail later. For now, think back over the last five years of the company’s history and answer these questions:

- 1. Which were the three most significant opportunities in the environment that contributed to the company’s success/present situation?
 - a) _____ ()
 - b) _____ ()
 - c) _____ ()

Put a score against each factor listed, in the brackets, using a 1–10 scale (where 10 is extremely significant).

2. Which were the three most significant threats that operated against the company over this period and which inhibited its success?

- a) _____ ()
 b) _____ ()
 c) _____ ()

Again, score these threats on a 1–10 scale as above.

3. Reflect on what you have written above and consider whether or not these opportunities and threats are increasing or decreasing in significance, or if new ones are on the horizon. Make notes, looking ahead for, say, the next three years.

Opportunities → _____

Threats → _____

Again, at this stage, you do not need to draw any specific conclusions from this exercise, although you will probably find it useful to return to this information as you progress through the book.

Exercise 1.4 Marketing quiz*

Place a tick after each statement in the column which most accurately describes your company situation.

	<i>Very true</i>	<i>True</i>	<i>Don't know</i>	<i>Untrue</i>	<i>Very untrue</i>
1. a) Our return on invested capital is satisfactory.					
b) There is good evidence it will stay that way for the next five years.					
c) Detailed analysis indicates that it is probably incapable of being materially improved.					
2. a) Our market share is not declining.					
b) This is a fact, based on objective evidence.					
c) There is objective evidence that it will stay that way.					
3. a) Our turnover is increasing.					
b) At a rate faster than inflation.					
c) But not at the expense of profitability.					

(Continued)

* Adapted by Professor Malcolm McDonald from a questionnaire devised by Harry Henry Associates.

	Very true	True	Don't know	Untrue	Very untrue
4. I know for sure that our sales organization is only allowed to push less profitable lines at the expense of more profitable ones if there are rational reasons for doing so.					
5. a) I understand why the company has performed the way it has during the past five years.					
b) I know (apart from hoping) where it is heading during the next five years.					
6. a) I am wholly satisfied that we make what the market wants, not what we prefer to produce.					
b) Our functional strategies (such as production, finance, IT, HR, operations, R&D, etc.) are based on a clear understanding of the required customer value, rather than for self-serving functional reasons.					
c) I am satisfied that we do not use short-term tactics which are injurious to our long-term interests.					
7. a) I know that sales and profit forecasts presented by operating management are realistic.					
b) I know they are as exacting as they can reasonably be.					
c) If anyone insists that they are raised, it is because a higher level is attainable not just because a better-looking budget is required.					
8. a) The detailed data generated internally are analysed to provide timely information about what is happening in the key areas of the business.					
b) Marketing research data which operating management acquire are synthesized into plain English and are actually needed and used in the key decision-making process.					

	Very true	True	Don't know	Untrue	Very untrue
9. a) We do not sell unprofitably to any customer.					
b) We analyse our figures to be sure of this.					
c) If we do, it is for rational reasons known to us all.					
10. Our marketing policies are based on market-centred opportunities which we have fully researched, not on vague hopes of doing better.					

Join up the ticks down the page and count how many are to the left of the *Don't know* position and how many are at the *Don't know* position or to the right of it.

Interpretation of Exercise 1.4

If you have 11 or more answers in the *Don't know* position or to the right of it, then the chances are that your company isn't very marketing orientated. It needs to take a closer look at itself in the ways suggested by this book.

Scores between 12 and 20 to the left of the *Don't know* position indicate an organization that appears to have reasonable control of many of the significant ingredients of commercial success. Nonetheless, there is clearly still room for improvement, and this book should be useful in bringing about such an improvement.

Scores above 20 to the left of the *Don't know* position indicate an organization completely in command of the key success variables. Are you certain that this is a true reflection of your organization's situation? If you are, then the chances are that its marketing skills are already highly developed. However, this book will still be useful for newcomers to the marketing function who wish to learn about the marketing process, and it will certainly help to maintain your high standards.

Exercise 1.5 Simulation practice

- Complete any of the Exercises above (Exercises 1.1 to 1.4) for your company in the game. What conclusions can you draw about your company, yourself and your team?
- What level of Digital Marketing Maturity is your company in the game?
- Which real digital music company has the highest level of Digital Marketing Maturity and why?
- How do real digital music companies like Spotify use digital marketing to reach, act, convert and engage customers?

APPENDIX: DIFFERENCES BETWEEN CONSUMER PRODUCTS, SERVICES, INDUSTRIAL AND CAPITAL GOODS MARKETS

Consumer Markets

The key marketing issue for manufacturers or retailers of consumer goods, or providers of consumer services, is that they are faced with large numbers of potential customers. This applies equally to organizations that supply consumer durables, such as laptops, and consumables, such as grocery products. The main differences between these two categories tend to be:

- frequency of purchase
- absolute cost
- degree of involvement in the purchase.

For these reasons, consumable products are often referred to as 'fast moving consumer goods' (FMCGs) where acceptance or rejection occurs in a relatively short space of time, which has implications for the way these products are marketed. Consumer durables, such as 'white goods' (freezers, cookers, etc.) or 'brown goods' (small appliances, furniture, etc.), on the other hand, tend to be infrequent purchases but of some significance to a household. Their purchase, therefore, tends to be a much longer and more considered process, requiring a supplier to adapt their marketing accordingly.

Whatever their category, the fact of very large numbers of potential purchasers remains and presents the suppliers of these products with a significant problem: how to make contact with customers when there are so many people who might be persuaded to buy your products in preference to a competitor's? This problem is compounded when those potential consumers are geographically dispersed or where they represent a small proportion of each community within the market.

Main Methods for Marketing Consumer Products

Over the years, this difficulty has been addressed in a number of different ways and is an area in which significant innovations have taken place at various times.

Personal selling

The most effective way to develop a sales relationship with a potential customer has always been for a person to meet with that customer to explore their needs and to explain the virtues of the offer to them. In most consumer markets, this would once have involved a salesperson calling on individuals and engaging them in the sales process either over the phone or in person. Traditionally, this is known as cold calling or door-to-door selling. However, employing sales people in this way is a very expensive means of making a sale and, where the value of each sale is relatively small, not very profitable. For this reason, consumer goods sold in this manner tend to be:

- Difficult to sell (i.e. the benefits are hard to explain, as is the case for insurance, solar heating or timeshares).
- Highly profitable (i.e. the margin per sale is large, as is the case for double glazing or conservatories).
- Commodity items (i.e. where the only differentiating aspect is the sales process, as can be the case for gardening services, new driveways or loft conversions).

The rapid expansion of call centres at the end of the last century and the beginning of the twenty-first has helped address the need for personal contact, although it has been abused by some organizations on a 'cold calling' basis. Well-run service centres, such as those for O2 or First Direct, however, can be a powerful adjunct to face-to-face personal selling, providing human contact through voice and video calls and chat, along with increasingly human-like chatbots.

Direct mail, email and online messaging

In parallel with the increasing sophistication of IT and databases came a significant increase in the use of direct mail, most of which has now been replaced by email and other online offers. These are a cheaper means of placing a product in front of a consumer while still enabling a direct contact to be made. The increasing ability to target particular types of customer has encouraged many consumer products organizations to explore this route, and the twenty-first century has seen a proliferation of offers arising in email inboxes and in a variety of online messages.

The downsides of this method include a relatively low response rate, progressive disillusionment on the part of consumers who feel deluged, and a loss of any personal contact with suppliers. Spam filters have also reduced the potential for email.

Retail outlets

Given the number and dispersal of potential customers, suppliers of consumer products often rely on retailers to distribute and sell their goods and services. This emphasizes the need to select appropriate retail organizations and the requirement for maintaining good relations with them. Indeed, for some grocery products such as a new cook-in sauce, simply being on the right shelf in the right part of the right chain of supermarkets is almost enough to guarantee success for a product line. The power of such retailers has also given rise to a particular type of marketing referred to as trade marketing, and a supplier industry providing retail 'own label' products.

The Internet has also provided opportunities for established retailers to have another shop window using e-commerce, and new retailers to access a much more dispersed group of customers. An innovative example of a retailer using advanced technology to meet customer needs is provided by Tesco in South Korea. Operating in one of the hardest working countries in the world, Tesco's South Korean branch, called Home Plus, encourages time-poor commuters to buy products through their mobile phones while waiting for their trains, by building virtual aisles on the platforms. These virtual aisles display rich images of grocery items laid out in the same way as they would be in the shop. Every item has a corresponding QR barcode (Quick Response two-dimensional barcode). People waiting on the platform scan the codes of the items they want using their mobile, which are then immediately added to their Home Plus shopping basket.

Brands

Creating and maintaining a brand for a product or set of products is essentially a way of developing and keeping a relationship with a consumer without the need for personal contact.

Strong brands are those that have a personality with which consumers can identify or that evoke a feeling within a consumer that matches their personal values, aspirations and lifestyle. Consumers are, therefore, attracted to brands of this nature and will buy them in preference to lesser (commodity) brands or brands that are targeted at a different segment of the market.

Strong brands elicit customer identification.

Possessing a strong product or company brand provides their owners with power in the market place. Manufacturers and service suppliers who own such brands are able to exert considerable

Brands are often central to consumer marketing strategy.

influence on retailers in terms of price, shelf location, competitor positioning, merchandising, promotions policy, acceptance of new products and many other areas. Distinct retail brands are similarly able to influence lesser branded suppliers and to gain favourable locations and terms for their outlets.

For these reasons, brands and brand strategy are often at the heart of a supplier of consumer products' marketing strategy.

Value Chain Management

The competitive world of consumer marketing has led many suppliers and retailers to pay closer attention to the value chain at whose head they sit. These organizations have recognized that advantage can be gained by exerting influence across all those who affect their products and their ability to supply. These advantages include: lower cost, higher quality, better availability, product innovation, speed to market and a host of other important competitive factors.

In industries such as automotive manufacture, management of aspects of the value chain is sometimes delegated to a small group of key suppliers who are expected to influence and coordinate other suppliers in the chain. In others, such as the computer supply industry, businesses like Dell are working directly with suppliers right down to component level and beyond in seeking efficiency and innovation for competitive advantage.

Micro Marketing

Large numbers of potential consumers with similar needs leads many consumer marketing organizations to a mass marketing approach which tries to satisfy the majority of the market with an indiscriminating product, brand or approach as classically practised by Ford, Coca-Cola or McDonald's. Modern consumer marketers are, however, increasingly finding that markets are

fragmenting as consumers become more sophisticated, individualistic and demanding. With the potential for varying the offer increasing as IT becomes more sophisticated, micro marketing is increasing in significance.

The fragmentation of consumer markets has led to a growth in brands.

One result has been a proliferation of new brands, or in some cases, existing brands being 'stretched' across a number of product variations. A clear example is provided by Neutrogena,

which is now one of the biggest brands in the personal care portfolio of Johnson & Johnson. Originally, however, the brand was a skin-friendly range of mild glycerine soaps. Today the 'mild' associations of the brand have been used to stretch the name, which now covers a wide variety of products ranging from cleansers and moisturizers to hair care products, cosmetics and anti-ageing creams.

Another initiative has been efforts to provide 'mass customization'. This involves consumers being able to configure their own product from a series of modular offerings added on to the core product or service. The relaunched 'Mini' car, designed and produced by BMW, is a good example of this. The base product is devoid of most extras, which will add 50 per cent to the retail price once added, but this allows purchasers to create the car of their choice.

Personalized portfolios, where suppliers such as Amazon or Tesco target offers and information based on past purchases or expressions of interest, are also increasing in use.

Finding ways of keeping the cost of such practices down, and utilizing the growth of direct consumer channels such as the Internet to provide customization in innovative and consumer-friendly ways, remain important challenges for future consumer marketers.

Marketing Service Products

Service businesses became an increasingly significant sector of most advanced economies towards the end of the last century and continue to be a dynamic sector as the twenty-first century unfolds. For example, it currently provides around 80 per cent of civilian employment in the USA and the UK. Table 1.1 illustrates the potential range of service activities involved. At the same time, there has been an accelerating trend to differentiate what were once considered to be simply 'goods' by highlighting the service elements of the offer. Together with the deregulation experienced by many professional and government services, these factors have forced organizations to consider whether any differences are required when marketing service-based products.

At one level, the answer is 'no' since the theory of marketing has universal application. At another, the nature of many service-based products dictates that more emphasis is placed on certain elements of the marketing process. It is very important that marketing organizations understand these elements and how they will affect the marketing tasks they face.

Service is an important differentiation factor.

Defining a service

Defining a service for marketing purposes, however, is not easy. The diversity of organizations involved in services and the tendency to highlight the service elements of an 'offer' for competitive purposes means that they are sometimes hard to classify. One important element, however, is the degree of tangibility involved. Table 1.2 identifies four categories, varying from a 'pure' tangible product to a 'pure' service.

- Retailing, wholesaling and distribution
- Banking, insurance and other financial institutions
- Real estate
- Communications, information and multimedia services
- Health services
- Business, professional and personal services
- Leisure and entertainment
- Education
- Public utilities
- Government services and non-profit service organizations

Table 1.1: Major examples of service industries

• A pure tangible product	• A tangible offer, such as sugar, coal or tea. No services are bought with the product.
• A tangible product with accompanying services such as commissioning, training, maintenance, etc.	• The offer has built-in services to enhance its customer appeal, e.g. computers, machine tools.
• An intangible product with accompanying minor goods	• The offer is basically a service, but has a physical element, e.g. property surveyors, whose expert inspection is encapsulated in a report. Similarly, airlines offer in-flight meals or entertainment.
• A pure intangible product, where one buys expertise	• The offer is a stand-alone service such as market research, counselling, or ski instruction.

Table 1.2: Variations in product tangibility

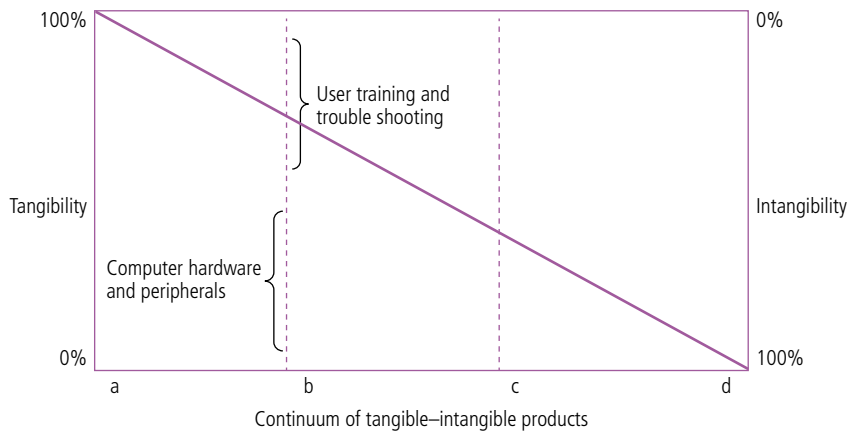


Figure 1.7: Continuum of tangible–intangible products.

Looked at in this way, a continuum of tangible–intangible products emerges as illustrated in Figure 1.7. Point ‘a’ on the left-hand side of this figure illustrates an offer where there is no service element and the product is highly tangible. At the other end of the spectrum, point ‘d’ illustrates a product that is entirely a service and is, therefore, highly intangible. Points ‘b’ and ‘c’ show varying mixes. For example, point ‘b’ illustrates the mix of tangibility for a computer company.

Computer hardware and peripherals are highly tangible and can be regarded as commodities, whereas the service elements of user training and trouble-shooting are largely intangible.

The intangible nature of a service leads to a number of other differences of significance for marketing. These include the implications that:

- Services can easily be copied by competitors, since they cannot be patented and specified with drawings.
- Quality can be difficult to guarantee since services are not previously produced or ‘manufactured’ under controlled conditions. Instead, they are produced and delivered at the time of consumption.
- A service cannot be stored on a shelf or taken down and used at a later time. Services are, therefore, highly perishable.
- People are an intrinsic part of most services and are difficult to separate from the product.
- The true value of a service can only be assessed on consumption. Thus, the purchase of a service involves a high component of trust.
- Services are often very personal in their nature and can involve the customer in their delivery and consumption, as in the case of a golf lesson or making a purchase at IKEA.

An important area in marketing services is, therefore, the *relationship* between the customer and the supplier. The close link between production and consumption, and the personal nature of many service products, emphasize this aspect. Where no personal relationship exists, the contrast between membership-type organizations and ‘hands off’ or automated services is stark and has led many businesses to seek a means of marketing more concrete affiliations as a substitute. In looking at ways and means of marketing the specific features of service products, the management of the relationship with the customer is thus always important. We deal with this relationship in detail in Chapter 10.

The nature of a service also makes it hard for the customer to *evaluate* an offer prior to purchase. Unlike a car, it cannot be test-driven; it is difficult to encapsulate in a technical specification, and quality is uncertain. As examples, it is hard for a potential customer to assess a bank before opening an account with them, and a stay in a hotel can only be judged after one has checked out.

The relationship between customer and supplier is an important aspect of marketing services.

Thus, a crucial aspect of marketing services is to provide, as far as is possible, *tangible evidence* of the product quality. This highlights the need for careful attention to the 'product promise', such as the initial points of contact, descriptive literature, and the peripherals that provide clues to the product's integrity. It is no coincidence that professional service businesses often have plush reception areas, holiday websites are a masterpiece of presentation, and spa-based health clubs make a big show of testing the water. The problems associated with service evaluation can also be addressed by focusing on reputation, or by enhancing the value of a service through the provision of extra benefits such as free offers. Here, word of mouth or third-party endorsements become particularly influential. These can come from existing customers, referral markets and media institutions, all of which can provide powerful testimony to the quality or value of an organization's offering. The increasing use of the Internet has enabled many more organizations to collect and display customer views.

Demonstrating product quality and integrity is crucial to marketing services.

Since many services rely heavily on a personal interaction between the service provider and the customer, or depend on individuals exercising judgement when creating the service, considerable heterogeneity between purchases becomes possible, so that customer experiences of the product may vary enormously. Thus, the performance of a waiter or a shop assistant will have a great impact on the way a customer experiences the core benefit they are seeking. Similarly, two customers in the same hotel can have completely different opinions of their visit if one found their towels unlaundered or had their breakfast delivered late. Since the quality of such elements is in the hands of the people performing the service, employees become a vital concern for marketing services effectively. This requires attention to service-modelling to identify people-related 'fail points', as well as taking an interest in recruitment markets to ensure the right calibre of person. The process of *service delivery* thus needs careful specification, which should include an identification of the skills necessary to reduce the likelihood of product heterogeneity as a consequence of 'people problems'. We discuss service in depth in Chapter 9.

This is particularly important for providers of professional services where service delivery and marketing activities overlap and even spill over into informal client contact. Thus, lawyers, accountants and other professionals need to use time with clients to improve their customer knowledge, identify appropriate levels of service and ensure post-purchase satisfaction. Indeed, the term 'marketing' could be seen as a term to describe professional service delivery.

At this point, it should also be noted that both the intangibility and heterogeneity of services mean that attention to detail becomes central to marketing effectiveness. This is, first, because it is often small factors that provide clues for the consumer about quality and, second, because such factors can have a major impact on customers' experience of service quality. Details, however, are also that part of the process of delivering the service most influenced by individual employees, thereby giving further weight to the focus on process design and human resource management.

Customer management is important in service delivery.

The fact that a service will require the customer's involvement in its creation and delivery enhances the need for efficient management of this customer/provider *interaction*. Since manufacturers are able to check quality prior to delivery, service providers have to find substitutes for this. One solution has been to utilize technology to enhance consistency and

improve accessibility, as was achieved by banks when they introduced automated tills or 'banking through the wall' and the introduction of e-tickets by airlines. Another approach has been to focus attention on front line staff and to 'empower' them to negotiate service delivery to prevent excessive disappointment. Such a situation has worked well with in-store supervisory staff, receptionists and service engineers. A further method has involved better customer management to ensure satisfactory service delivery. Customer management can cover a number of different aspects, from setting appropriate expectations and encouraging customers to signify their satisfaction levels whilst utilizing a service, to getting them to behave in a way that enhances the service. A good example of the latter is the widespread improvement in the queueing technology, which now ensures nobody waits longer than necessary in many banks, post offices and railway stations.

Interest in relationship marketing probably stems from the problems of marketing services.

For marketing managers, the *perishability* of a service places extra emphasis on understanding demand patterns and why such fluctuations exist. However, *matching demand* at all times is rarely possible or, indeed, cost-effective. In the end, the only alternatives are to try to change patterns of demand or to generate increased capacity at peak times. The techniques for managing demand revolve around incentives, such as offering

better value and other sales promotion activities to encourage off-peak use, or using pricing mechanisms, such as premiums or discounts. Capacity can be enhanced by using part-time staff, subcontractors and shared facilities, or by carrying overheads in the form of staff, or assets, which are redundant at certain times. Managers, therefore, have to ensure careful coordination to balance the overall offer with the market's preferred pattern of utilization.

Services are sold into a whole range of markets, including industrial, consumer, government and not-for-profit. Whilst each market creates its own unique marketing requirements, for services it is the distinct characteristics of the product which provide the major marketing challenges. In particular, it would seem to demand an expanded marketing mix beyond the 4Ps of product, price, place and promotion, to include *people, processes and (perceptions of) customer service*. These three additional elements significantly affect the success or otherwise of a service-based offering and will benefit from discrete programmes and action plans being developed for them. The features of service products also underline the importance of third-party markets such as recruitment, referral, influencer and internal markets, plus the overall concept of relationship marketing. Indeed, it has been argued that the recent interest in relationship marketing first grew from developments initiated within service businesses.

Marketing Industrial Products

Whatever an organization is offering, be it public services, involvement in a charity or commercial products, the fundamental principles of marketing always apply. A market-orientated organization will seek an understanding of its customers, the markets of which they are a part, the opportunities that exist within that market, the best ways to compete with its rivals, and so on.

In spite of these similarities, most organizations in industrial or business markets instinctively know that their markets are different and that marketing their products requires a different

set of approaches. To operate effectively in industrial markets, it is important to understand what these differences are, because they will highlight the areas on which the organization must focus.

Having accepted this, it is also important to note that there is no simple or clear divide between business and consumer products and markets. On the product side, some products are sold in the same form to both business and consumer markets. Examples of this include bank accounts, motor cars, personal computers and parts for washing machines. In terms of markets, some consumer goods manufacturers will only sell directly to other businesses, that is, trade sales. As a consequence, business marketing cannot be defined simply by the products involved or by the fact that it involves business-to-business selling.

Industrial marketing is different from consumer marketing, but the divide is not easily drawn.

Understanding industrial marketing

The best way to conceptualize industrial marketing is to look at it as a continuum with obvious slow-moving industrial products at one end and fast-moving consumer products at the other (see Figure 1.8). In the middle of the continuum are faster moving industrial products and slower moving consumer products.

The existence of this continuum also illustrates the possibility of transferring marketing approaches between these different markets. Whilst the context of their usage and the way in which they are applied may vary, no idea should be ignored because it is thought to be more appropriate to the realm of one market or product than another.

Brands, for instance, are usually thought of as most appropriate for consumer product marketing. However, efforts by Intel and the success of Caterpillar provide contrary examples. Earth-moving equipment is an unlikely candidate for branding, yet Caterpillar have established the stylish yellow-tabbed CAT logo as the symbol of the leading global manufacturer of off-road trucks, tractors and other multi-terrain vehicles. The power of the brand is demonstrated by its easy transfer to a range of high-priced heavy-duty designer boots and associated apparel sold to the general public. The latter, though the smaller of the two businesses by far, trades off its sibling's well-established brand values of rugged, durable and dependable performance. Other examples of B2B corporations that have invested efforts in brand building include Oracle and Shell.

No idea should be ignored.

Issues in industrial marketing

The first issue concerns the way in which an industrial purchaser views a product it wishes to buy. Industrial products are often thought of as being more *complex* than the equivalent consumer products, which is obviously not always the case. What is different is the attention paid to the *details* of a product. Even a commodity product, such as sheet steel, cement or a simple component, will be considered in much greater detail by an industrial purchaser. This is because

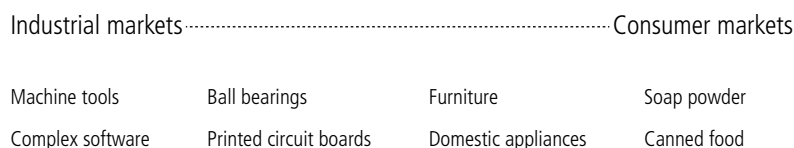


Figure 1.8: Continuum of industrial marketing.

it will be used in more complex ways or small variations will have potentially harmful consequences. As an example, the wrong grade of steel will not machine properly and may put cost up and quality down. Similarly, a personal computer with a slightly wrong specification may make previous software purchases obsolete or networking with existing machines impossible.

The implications of such detailed product evaluations are that industrial purchasers have greater *information needs* than consumer purchasers, both before and after a purchase is made. In turn, this implies larger numbers of people being involved in the purchase decision. Consequently, organizations marketing industrial products have to cope with a larger and more diverse *decision-making unit* and a greater degree of *formalization* in the procedures applied to a purchase.

It also implies that a greater degree of *personal contact* between the supplier and buyer will be necessary, since this is the best way of providing complete information. Personal contact is necessary to isolate *who needs to know what* and *at what point in the decision-making process*, in order to improve the chances of a sale, or continued sales.

Apart from costly and infrequently purchased capital goods, the *volumes* bought by an industrial purchaser are also likely to be higher than by individuals or families in a consumer market. This makes the loss of a supply agreement to both supplier and purchaser more significant. If a supplier fails to deliver the right quantity, the purchaser will find it difficult to continue their business.

Industrial markets exhibit a high degree of interdependence between buyer and supplier.

On the other hand, if a purchaser stops buying, this will have a significant impact on the supplier's income. In industrial markets, therefore, there is often a high degree of *interdependence*. Both supplier and purchaser will rely on each other for their continued existence. The loss of one purchaser in a consumer market is not nearly so significant.

This situation is further complicated by the fact that it is difficult in the industrial context to find mass markets. Apart from there being smaller numbers of customers, one buying organization is likely to differ significantly from the next in their buying requirements. This means that *segmentation* in industrial markets has to be conducted on a different basis.

A further implication is that the degree of *product variability* required can also be greater. In some cases, a single customer can form an entire segment and can consequently demand a high degree of customization. In others, the consumer variables for segmentation such as demography, life-stage and lifestyle need to be replaced by alternatives such as size, applications and competitive positioning. Such heterogeneity is an important factor for the organization marketing industrial products.

In trying to understand, and give some structure to, the markets that industrial suppliers face, it must be recognized that their customers also have customers of their own, who may in turn have customers! Unless the customer is a country's Defence Ministry or some similar body, all industrial products will eventually translate into a consumer purchase. This means that the structure of the market in which an industrial organization operates can be complex, with a whole series of intermediaries or 'value adders' between them and the final consumer. Industrial suppliers are thus faced with a situation of *derived demand* for their goods and services. The way they perceive their market and the way in which opportunities are identified and defined can, therefore, become a very complicated process.

Paradoxically, these factors combine to make market research in industrial markets sometimes more problematic, and sometimes easier, than consumer market research. Because of their low numbers, potential customers are likely to be difficult to find, extract information from, and generalize about. One cannot simply stand in shopping centres and stop passers-by or ring at random from the telephone directory. In addition, the influences on demand are likely to be more complex and remote from each organization, making them difficult to interpret. Where an organization has existing customers, however, market research is often easier since the people who hold valuable information and opinions should already be known and are usually quite willing to be approached.

Industrial marketing and general management

One of the consequences of the complexities that exist in the buyer/seller relationship in industrial markets is that many different functions within the selling organization are required to interact with various aspects of the customer organization. This can include service or maintenance sections, the design team, installation group, training, delivery and finance departments, as well as senior directors and the sales people. While many of these are also points of contact in consumer marketing, these contacts tend to be extensive and of greater significance in industrial markets.

Industrial marketing requires involvement across the management functions.

Such complexity has also given rise to a need for key account management (KAM) (covered in detail in Chapter 8). Supply relationships that are significant for both parties can easily falter if left on a simple transactional basis. Key account managers who take a relationship perspective on an organization-wide basis are more likely to ensure that potential problems are avoided.

Key account management is often a feature of industrial marketing.

The management of marketing in industrial organizations, therefore, tends towards a general management function with small decisions in one area having a greater impact on the customer and business success. This is not to say that such coordination is inappropriate for consumer markets, but that closer attention to building a marketing approach across the management functions has a higher profile.

In general, then, marketing industrial products is a diverse area which can utilize a number of the approaches developed by consumer marketing organizations. What is important is a recognition of the differences that exist in industrial markets and the implications these hold for the supplying organization. In particular, the way that the relationship between supplier and customer is managed takes on a different perspective, but one which must be well understood and nurtured over time for the achievement of continuing and successful business.

Marketing Capital Goods

The marketing of capital goods presents suppliers with some special concerns. These are generated by the nature of the products and the circumstances under which they are bought and sold. Capital goods can be pieces of plant and equipment, such as large machines, boilers or storage facilities, or complete systems such as refineries, telecommunications networks or civil engineering projects.

The purchase of capital goods involves high cost and high risk.

Customers will similarly be large organizations and may be either private or public sector. Whichever the case, the purchase will be a significant event for both the customer and the supplier in terms of the amounts of money involved and the benefits that the products will be required to deliver. Such

high stakes mean that a systematic approach to marketing is required so that the risks involved are carefully managed.

Consequences for marketing

By their nature, orders for capital goods tend to be few in number, even for the 'faster-moving' capital goods such as machine tools. In addition, their high cost also makes them very prone to economic fluctuations. Suppliers are thus often faced with a 'feast or famine' situation whereby they either have no orders and are standing around idle, or they are overwhelmed with enquiries and find it difficult to meet delivery or completion schedules.

This is further exacerbated by the fact that each purchase is usually supplied against a different specification. It is unlikely that such large and complex products will be used in the same way, or serve exactly the same purpose, from one customer to another. Such a situation prohibits the creation of finished stock except at a very early stage in the manufacture or construction process.

The risk associated with the supply and purchase of capital goods also creates pressures that militate against the use of innovative technologies or approaches. On the supplier side, the consequence of product failure in terms of financial penalties or loss of reputation can be very high. Similarly, from the customer's point of view, a capital purchase will frequently have strategic, or at least operational, significance and buyers are likely to be anxious to reduce the chances of something going wrong by sticking to proven technologies or methodologies. Where innovation does occur, its adoption is, therefore, likely to be a slow process and the recovery of development costs a long-term activity.

The consequences of these factors for marketing cover a number of areas. High levels of customization plus the complexity of (particularly) larger products will mean that a product specification will take time to evolve and will typically be the result of much negotiation between supplier and customer. This will require suppliers to resource such negotiations and to maintain the ability to understand a customer's perspectives so that they can translate the benefits that customers seek into a product specification. Protracted negotiations and the absence of finished goods stock will create long order lead times, which will also require suppliers to maintain sales relationships over time. Without this, suppliers may risk losing an order through issues such as:

- changes in personnel
- loss of interest
- situational changes that will alter the product specification
- the activities of competitors.

Repeat business is not as significant in capital goods marketing.

The size of an order may also require suppliers to join together, sometimes as international consortia, to be able to fulfil the requirements of a customer. Managing such relationships in a way that presents customers with a unified face is a distinct skill, but one that is important for the maintenance of relationships with customers. Such relationships, however, will also

need to be continued after a sale has been made since capital goods usually involve lengthy construction and/or installation. Although repeat business is not as significant a feature of capital goods marketing as it is for other types of industrial products, client or customer referrals and

references *are* an important aspect of selling and good relationships will be needed to ensure that these are forthcoming.

Capital goods pricing

Since each product is unique, the price of a particular sale will also vary. In addition, since there is much negotiation about each specification, price is often one of the last factors to be considered. The complexity of supply also means that competing bids for a contract often vary significantly between competitors as a result of the way prices are calculated and the different methodologies that can be applied to the fulfilment of a specification. Indeed, finding alternative cheaper solutions to problems presented in an invitation to tender can be a significant competitive advantage.

At the same time, the variations in demand mean that organizations sometimes adopt a pricing strategy that is closer to marginal cost pricing. This may be done to maintain capacity during times of 'famine' in order to prevent the loss of resources that would make them uncompetitive when business becomes more buoyant. Alternatively, during periods of growth, organizations will often seek to recover cost and limit demand, which will tempt them to quote much higher prices.

Prices in capital goods markets, then, have a tendency to fluctuate quite widely, both between time periods and between different forms of the same product, which makes it difficult to decide how to use price as a competitive weapon. On the other hand, the amounts of money involved and the complexity of the product provide more scope than in other areas for variations on the pricing mix. This can involve:

- payment terms
- payment penalties and bonuses
- profit sharing
- leasing arrangements
- modular pricing
- the way a price is presented
- technology transfer agreements.

The price of capital goods tends to fluctuate wildly.

Decision making in the purchase of capital goods

The size and significance of a capital purchase will mean that large numbers of people are likely to combine to form the decision-making unit. Since relationships are an important factor in capital goods sales, personal contacts and the ability to keep and develop such relationships is a critical factor for success. Similarly, having the flexibility to maintain different types of relationships with different people is also important. The significance of capital purchases, however, can mean that governments will also have an interest in the product. Indeed, for some products, governments *are* the customer. Thus, there can be a political, as well as a commercial, influence in the decision to buy.

Thus, in some instances, such as a defence project, high levels of confidentiality may be required. In others, such as a large infrastructural civil engineering project, awareness of a country's development plans, the involvement of national suppliers or some 'tit-for-tat' investment by the supplier or the supplier's government may be a prerequisite for a successful sale. This political aspect, plus the complex nature of the 'buying centre',

Capital goods marketing demands that suppliers are flexible.

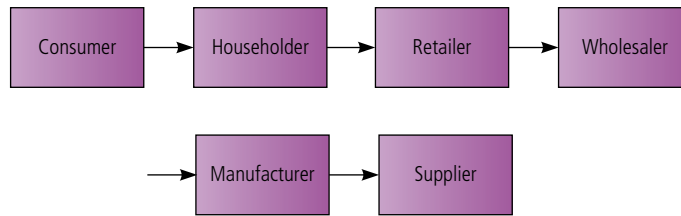


Figure 1.9: Supply chain.

may require a lot of ‘politics’ and building of credibility along a number of different dimensions for an organization to be a viable contender for a piece of business.

Marketing capital goods is, therefore, conducted in a complex market environment. Marketers are faced with long lead times and extended product life cycles, which make it difficult to innovate. In contrast, they are also faced with volatile demand and large variations between one purchase and the next. This is further complicated by the need to develop good relationships with customers, but with the likelihood that any relationship will only be temporary since any one customer is only likely to purchase once or, at best, infrequently. This demands that suppliers are able to be flexible in terms of relationships, capacity and the product they supply. It also demands that they take a long-term perspective on several counts including sales negotiations, product design and development, relationship management, profit planning and funding issues.

It can be readily appreciated from Figure 1.9 that the further a company gets from the eventual consumer, the less control it has over demand. Take the example of brewers. They can communicate directly with their consumers, whereas the company making their plant and the suppliers in turn to the plant company are, in the final analysis, also dependent on ultimate consumers.

Also, information about business-to-business markets is not so readily available as in consumer goods markets, which makes it more difficult to measure changes in market share. There are other difficulties besides these, which make marketing in the business-to-business area more difficult.

Unfortunately, the answer to this problem by many companies has been to recruit a ‘marketing person’ and leave them to get on with the job of marketing. But it will now be obvious that such a solution can never work, because the marketing concept, if it is to work at all, has to be understood and practised by all executives in a firm, not just by the marketing director. Otherwise everyone goes on behaving just as they did before and the marketing person quickly becomes ineffective.

Again, however, the conclusion must be that, apart from differences in emphasis, the principles of marketing apply in exactly the same way.

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Chapter

2

THE MARKETING PLANNING PROCESS: THE MAIN STEPS

SUMMARY

- Planning terms and definitions
- What marketing planning is
- Why it is essential
- The difference and the connection between a strategic and a tactical marketing plan
- Budgets and associated problems
- The marketing planning process
- What a marketing audit is
- Why marketing audits are essential
- Their place in organizational planning
- Who should carry out marketing audits
- What should be done with the audit results
- What the relationship is between strategic marketing planning and corporate planning
- Positioning marketing planning within marketing
- What the key components of the strategic marketing plan are
- How strategic marketing plans should be used
- What the link is to the budget
- Exercises to turn the theory into actionable propositions
- Definitions
- Corporate objectives
- Corporate strategies
- Marketing objectives
- Marketing strategies, for example:
 - Communications objectives
 - Communications strategies
 - Communications tactics

From the above you will observe a hierarchy of objectives, strategies and tactics. Thus, corporate objectives are mainly about desired levels of profitability. At this level (i.e. corporate planning), strategies are about which markets to address with which products, the size and character of the human resource base, corporate financing, and so on. At the next level down, these corporate strategies become marketing objectives, production objectives, HR objectives, etc. In the marketing plan, marketing objectives are about which markets to address with which products, whilst marketing strategies are about marketing communications (such as advertising), selling, pricing, channels, customer service and so on. Traditionally, these marketing strategies have been classified as 'the 4 Ps' (Product, Price, Place and Promotion). Then, as this book will make clear, these 4 Ps each has its own objectives, strategies and tactics. For example, as we will make clear in the book, communications objectives are primarily about two things: creating awareness and/or changing an attitude. Communications strategies are how this is to be done via media. Communications tactics involve the detailed planning. So, it is clear that when we talk about, for example, 'advertising strategies', this is really a shorthand for the advertising plan, which will, of necessity, be tactical.

INTRODUCTION

Although marketing planning would appear to be a simple, step-by-step process, in reality it is a multifaceted, complex, cross-functional activity that touches every aspect of organizational life. This chapter explains and explores some of these pan-company issues by focusing on the process of marketing planning. It is not an attempt to suggest that the model outlined here is the only one that can be implemented. Indeed, other models are discussed. However, the one we select to concentrate on is the one most widely used and accepted by both academics and practitioners.

WHAT IS MARKETING PLANNING?

Any manager will readily agree that a sensible way to manage the sales and marketing function is to find a systematic way of identifying a range of options, to choose one or more of them, then to schedule and cost out what has to be done to achieve the objectives.

This process can be defined as marketing planning, which is the planned application of resources to achieve marketing objectives.

Marketing planning, then, is simply a logical sequence and a series of activities leading to the setting of marketing objectives and the formulation of plans for achieving them. Companies generally go through some kind of management process in developing marketing plans. In small, undiversified companies, this process is usually informal. In larger, more diversified organizations, the process is often systematized. Conceptually, this process is very simple and involves a situation review, the formulation of some basic assumptions, setting objectives for what is being sold and to whom, deciding on how the objectives are to be achieved, and scheduling and costing out the actions necessary for implementation.

The problem is that, while as a process it is intellectually simple to understand, in practice it is the most difficult of all marketing tasks.

The reason is that it involves bringing together into one coherent plan all the elements of marketing, and in order to do this at least some degree of institutionalized procedures is necessary. It is this which seems to cause so much difficulty for companies.

Another difficulty concerns the cultural, organizational and political problems that surround the process itself. This will be dealt with in Chapter 3.

WHY IS MARKETING PLANNING ESSENTIAL?

There can be little doubt that marketing planning is essential when we consider the increasingly hostile and complex environment in which companies operate. Hundreds of external and internal factors interact in a bafflingly complex way to affect our ability to achieve profitable sales. Also, let us consider for a moment the four typical financial objectives which companies set: maximizing ► **revenue**; maximizing ► **profits**; maximizing ► **return on investment**; and minimizing ► **costs**. Each one of these has its own special appeal to different managers within the company, depending on the nature of their particular function. In reality, the best that can ever be achieved is a kind of 'optimum compromise', because each of these objectives could be considered to be in conflict in terms of equivalences.

Managers of a company have to have some understanding or view about how all these variables interact and managers must try to be rational about their business decisions, no matter how important intuition, feel and experience are as contributory factors in this process of rationality.

Most managers accept that some kind of formalized procedure for marketing planning helps sharpen this rationality so as to reduce the complexity of business operations and add a dimension of realism to the company's hopes for the future. Because it is so difficult, however, most companies rely only on sales forecasting and budgeting systems. It is a well-known fact that any fool can write figures down! All too frequently, however, they bear little relationship to the real opportunities and problems facing a company. It is far more difficult to write down marketing objectives and strategies that relate to known opportunities in the market. Take the following hypothetical example, shown in Figure 2.1.

From Figure 2.1 it can be seen that in the current year, this company achieved a 15 per cent increase in sales revenue over the previous year. But, being optimistic, the chief marketing officer set a so-called 'stretch' target of plus 20 per cent for next year, giving a target of 9.6 million which, if achieved, would satisfy the budget holder.

However, consider for a moment a different and more professional way of setting an objective for next year. If the market addressed

Revenue is the monetary value received by a company for its goods or services. It is the net price received, that is, the price less any discounts.

Profit cannot be simply defined, as different organizations define it in different ways and use different terminology. It can, for example, be trading profit, return on sales, return on investment, shareholder value added (SVA) and many other measures. In this book the term is used as a measure of shareholder satisfaction with the financial return made by a commercial organization in which they have an interest.

Costs are charges incurred in running an enterprise. They can take many forms including overhead, direct, indirect, attributable, avoidable and others. In this book the type of costs will be defined when the term is used.

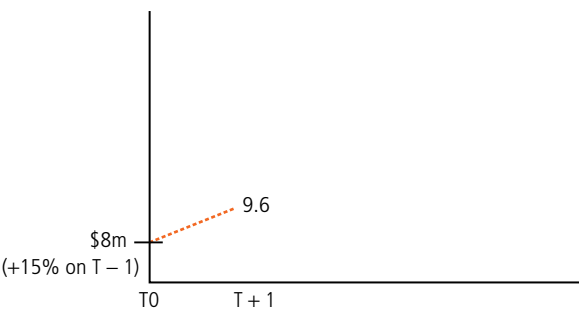


Figure 2.1: A typical sales forecast.

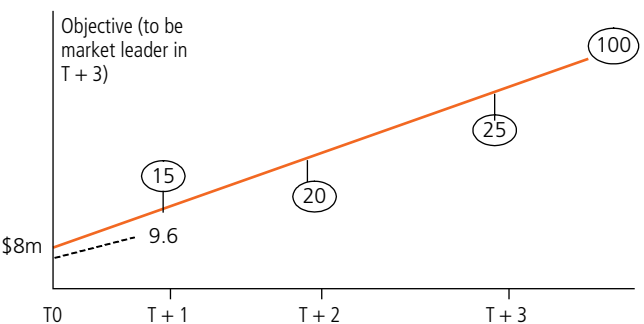


Figure 2.2: Evidence of why the original forecast was wrong.

were a growing market, a strategic objective might be ‘To be market leader in three years’ time’. In order to achieve such an objective, the chief marketing officer would need an assessment of market size in three years’ time – say 100 million. Market leadership in this particular market would be, say, 25 per cent. So, representing this in Figure 2.2 and extrapolating backwards from this target would give a target of 15 million next year, not the backwards-looking historical target of 20 per cent (9.6 million).

Were the target to be set at 15 million as opposed to 9.6 million, everything the company planned to do for the following year in order to achieve 15 million as opposed to 9.6 million would be different, including R&D, operations, IT, HR, and so on.

Also, consider for a moment the possibility that the trend in the previous year had occurred in a growth market, with little effort on the part of the sales force or other channels. In such circumstances, it is not uncommon to find complacent sales forces selling the products that are easiest to sell to those customers who treat them nicest, with the resultant sales going into the company’s database. Also, it is not uncommon to find senior managers setting challenging targets such as a reduction in working capital, which often find their way down to logistics managers. Such managers, in a desperate attempt to achieve their reduced inventory goal, may well find themselves having to turn away legitimate demand in order to achieve their budget target. The result is, of course, recorded in the company’s database and, in such a system, it is clear that to use it as a basis for forecasting is tantamount to extrapolating its own inefficiencies and has little to do with market reality.

Here, it is worth pointing out why forecasts and budgets can never be a substitute for the kind of planning that is the subject of this book. An observation from PWC is still all too true in many boardrooms:

The information appearing in the majority of boardrooms remains predominantly financial in nature. Without (additional) information on value-creating activities management are typically flying blind – when financials tell them there is a problem management have already missed the optimal point for taking appropriate corrective action.

(Transparency in Corporate Reporting, *PricewaterhouseCoopers' Value Reporting Review* 2003, p. 25)

Table 2.1 shows a real company (whose identity has been disguised), which appears to be doing extremely well financially. Again, it is important to stress that this is the kind of financial information typically discussed at board meetings, most of which is based on forecasts and budgets.

A glance at Table 2.2, however, shows that on every market-based dimension, the company is losing ground dramatically and is likely to suffer serious consequences the moment the market stops growing.

Equally ringing true today are the following critiques of how budgeting systems lead to adverse effects on the firm:

Improvements in a short-term financial measure such as economic profit can be achieved through postponing capital investments, reducing marketing and training expenditures, or by divesting assets, each of which may have a positive effect on near term performance but could adversely affect long term value creation performance. Nevertheless, when incentivized with bonuses to 'manage for the measure' this is exactly what many managers will do irrespective of the consequences on shareholder value.

(Why Value Based Management Goes Wrong, Simon Court, *Market Leader*, 2002)

Performance (£million)	Base year	1	2	3	4	5
Sales revenue	£254	£293	£318	£387	£431	£454
– Cost of goods sold	135	152	167	201	224	236
Gross contribution	£119	£141	£151	£186	£207	£218
– Manufacturing overhead	48	58	63	82	90	95
– Marketing & sales	18	23	24	26	27	28
– Research & development	22	23	23	25	24	24
Net profit	£16	£22	£26	£37	£50	£55
Return on sales (%)	6.3%	7.5%	8.2%	9.6%	11.6%	12.1%
Assets	£141	£162	£167	£194	£205	£206
Assets (% of sales)	56%	55%	53%	50%	48%	45%
Return on assets (%)	11.3%	13.5%	15.6%	19.1%	24.4%	26.7%

Table 2.1: InterTech's five-year performance.

Performance (£million)	Base year	1	2	3	4	5
Market growth	18.3%	23.4%	17.6%	34.4%	24.0%	17.9%
InterTech sales growth (%)	12.8%	17.4%	11.2%	27.1%	16.5%	10.9%
Market share (%)	20.3%	19.1%	18.4%	17.1%	16.3%	14.9%
Customer retention (%)	88.2%	87.1%	85.0%	82.2%	80.9%	80.0%
New customers (%)	11.7%	12.9%	14.9%	24.1%	22.5%	29.2%
% Dissatisfied customers	13.6%	14.3%	16.1%	17.3%	18.9%	19.6%
Relative product quality	+10%	+8%	+5%	+3%	+1%	0%
Relative service quality	+0%	+0%	-20%	-3%	-5%	-8%
Relative new product sales	+8%	+8%	+7%	+5%	+1%	-4%

Table 2.2: InterTech's five-year market-based performance.

- 90% of USA and European firms think budgets are cumbersome and unreliable, providing neither predictability nor control.
- They are backward-looking and inflexible. Instead of focusing managers' time on the customers, the real source of income, they focus their attention on satisfying the boss, i.e. the budget becomes the purpose.
- Cheating is endemic in all budget regimes. The result is fear, inefficiency, suboptimization and waste.
- In companies like Enron, the pressure to make the numbers was so great that managers didn't just doctor a few numbers, they broke the law.
- People with targets and jobs dependent on meeting them will probably meet the targets, even if they have to destroy the enterprise to do it.

(S. Caulkin (2005) 'Escape from the budget straitjacket', *Management Today*, January, pp. 47–49)

Why so many firms still fail to correct these long-standing aberrant practices is a mystery. Have they not noticed the outstanding success of firms such as Amazon, whose founder is famous for focusing 'obsessively' (his own word) on the customer? Unfortunately, the public sector has often adopted common poor practice in managing the organization through budgets, rather than starting with the customer and deriving budgets from there. Many economic commentators and politicians remark on the destructive nature of targets set by government for public services. The common thread running through countless examples is that members of the public have ceased to be the focus of the organization. The majority of police, doctors, nurses, teachers and government officers now complain about the way their skills and time are being subverted by the culture of targets. Research backs up their complaint about dysfunctional performance management systems.¹ These public-sector professionals long to put the 'customer' back in the centre of their working lives.

To summarize, the good thing about not having a strategic plan is that failure comes as a complete surprise and is not preceded by a long period of worry and depression.

Apart from the need to cope with increasing turbulence, environmental complexity, more intense competitive pressures and the sheer speed of technological change, a marketing plan is useful:

- for the marketer
- for superiors

- for non-marketing functions
- for subordinates
- to help identify sources of competitive advantage
- to force an organized approach
- to develop specificity
- to ensure consistent relationships
- to inform
- to get resources
- to get support
- to gain commitment
- to set objectives and strategies.

Finally, there are some other pragmatic, profit-related reasons for needing to prepare a strategic marketing plan.

All organizations have a mix of different types of market. Figure 2.3 shows a version of Michael Porter's generic strategies matrix.²

The matrix shows that some markets are inherently more prone to lack of differentiation in products and services (bottom right box). It is obvious that products such as flat glass, chlorine, car insurance policies and the like are harder to differentiate than, say, perfume, mobile handsets, streaming platforms, and so on. In such cases, the attainment of low costs must be a corporate goal, otherwise lack of adequate margins may result. Equally, if an organization's products or services are substantially different from another's, costs are rarely the principal driving force (top left box).

In reality, in their different ways, most organizations have a mix of products or services that could be classified in all four boxes. All organizations have some 'disaster' products, some 'lowest cost' products, some 'niche' products and some 'outstanding success' products.

MARKETING INSIGHT

For example, Canada Dry used to have to sell 'pop' products such as large bottles of lemonade in order to have a full line of soft drinks, even though they made their profits on 'mixer' drinks such as tonic water and ginger ale. It was a requirement to have a full line in order to be a serious player in the market.

Likewise, while it is tempting for accountants to want to delete products like this, it is essential to understand the role they play in making profits. Consequently, it is the role of the strategic marketing plan to spell out at least three years in advance what the mix will be between products and services in each of the four boxes in Figure 2.3.

Also, all organizations have products and services that produce different levels of sales and profit margins. Figure 2.4 shows the make-up of RONA and it is clear from this that profit occurs because of a mix of different margin products and different levels of turnover for each of these products. It is the purpose of the marketing plan to spell out at least three years in advance what the desired mix is of low turnover, high margin/high turnover products and all variations in between. It isn't enough just to do the accounts at the end of the fiscal year and hope the right net profit occurs. How the plan should do this is explained clearly in Chapter 6.

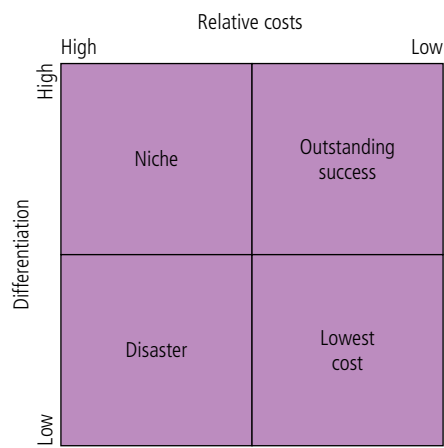


Figure 2.3: Porter's generic strategies.

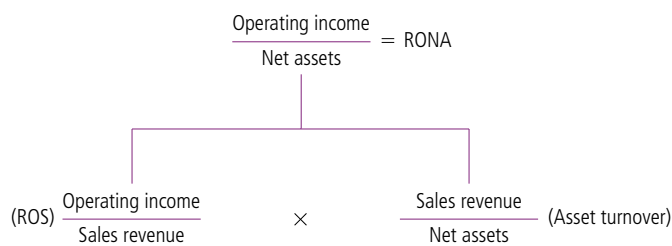


Figure 2.4: Return on net assets.

ARE WE TALKING ABOUT A TACTICAL OR A STRATEGIC MARKETING PLAN?

This section is crucial to understanding the purpose and importance of strategic marketing planning, as Chapters 2 to 6 are principally concerned with the preparation of the strategic marketing plan, whilst Chapters 7 to 11 are more relevant to the detailed one-year operational plan.

The authors' own research has shown that, in peering into the murky depths of organizational behaviour in relation to marketing planning, confusion reigns supreme, and nowhere more than over the terminology of marketing.

Few practising marketers understand the real significance of a ► **strategic** marketing plan as opposed to a ► **tactical**, or operational marketing plan.

Why should this be so? For an answer, we need to look at some of the changes that have taken place during the past five decades. For example, the simple environment of the 1970s and early 1980s, characterized by growth and the easy marketability of products and services, has now been replaced by an increasingly complex and abrasive environment, often made worse by

static or declining markets. For most, the days have gone when it was only necessary to ride the tidal wave of growth. There wasn't the same need for a disciplined, systematic approach to the market. A tactical, short-term approach to marketing planning seemed to work perfectly well in such conditions. But, by failing to grasp the nettle of strategic orientation in plans that identify and develop their distinctive competence, companies became casualties in the 1990s and continued to become so in the first two decades of the twenty-first century (for evidence of this, see McDonald³).

The problem is really quite simple.

Most managers prefer to sell the products they find easiest to sell to those customers who offer the least line of resistance. By developing short-term, tactical marketing plans first and then extrapolating them, managers merely succeed in extrapolating their own shortcomings, as was illustrated in Figures 2.1 and 2.2.

A strategic plan is a plan which covers a period beyond the next fiscal year. Usually this is for between three and five years.

A tactical plan covers in quite a lot of detail the actions to be taken, by whom, during a short-term planning period. This is usually for one year or less.

It is a bit like steering from the wake – that is alright in calm, clear waters, but not so sensible in busy and choppy waters! Preoccupation with preparing a detailed one-year plan first is typical of those many companies who confuse sales forecasting and budgeting with strategic marketing planning – in our experience the most common mistake of all.

MARKETING INSIGHT

It is interesting to note that, of Tom Peters' original 43 so-called 'excellent companies' in 1982, very few were classed as excellent even eight years later, while many had disappeared altogether because of a fixation with excellent tactics at the expense of strategy (Richard T. Pascale, *Managing on the Edge*, Simon and Schuster, 1990).

This brings us to the starting point in marketing planning – an understanding of the difference between strategy and tactics and the association with the relevant adjectives 'effective' and 'efficient'. This point is expanded on in Figure 2.5, which shows a matrix in which the horizontal axis represents strategy as a continuum from ineffective to effective. The vertical axis represents tactics on a continuum from inefficient to efficient. Those firms with an effective strategy (Box 1) continue to thrive. Those with an effective strategy but inefficient tactics (Box 2) have merely survived. Those firms to the left of the matrix are destined to die, as too much emphasis is placed on tactics, so avoiding the underlying strategic issues surrounding changing market needs. Any organization doing the wrong things more efficiently (Box 3) is destined to die more quickly than their less efficient counterparts. It is a bit like making a stupid manager work harder, thus doubling the chaos and probably offending twice as many customers! The complexity of today's integration of digital and traditional paid, owned and earned media introduced in Chapter 1 requires marketing organization to deliver efficient orchestration of communications tactics.

One Scandinavian capital goods manufacturer was devoting its energies to stock control, headcount reduction, cash flow and the like. The problem, however, was one of

falling demand. Had it not been pointed out to the board that this underlying marketing issue had to be addressed, it is easy to imagine how anorexia industrialosa could have resulted (an excessive desire to be leaner and fitter, leading to emaciation and, eventually, death).

Figure 2.6 shows the old style of company in which very little attention is paid to strategy by any level of management. It will be seen that lower levels of management do not get involved at all, while the directors spend most of their time on operational/tactical issues.

Figure 2.7 is a representation of those companies that recognize the importance of strategy and manage to involve all levels of management in strategy formulation.

The rule, then, is simple:

- Develop the strategic marketing plan first. This entails greater emphasis on scanning the external environment, the early identification of forces emanating from it, and developing appropriate strategic responses, involving all levels of management in the process.
- A strategic plan should cover a period of between three and five years, and only when this has been developed and agreed should the one-year operational marketing plan be developed. Never write the one-year plan first and extrapolate it.

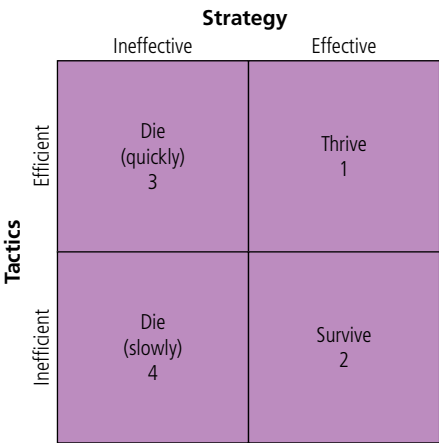


Figure 2.5: Strategy/tactics matrix.

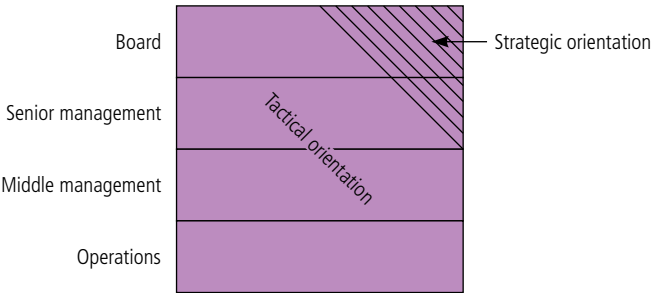


Figure 2.6: Managerial/tactical orientation.

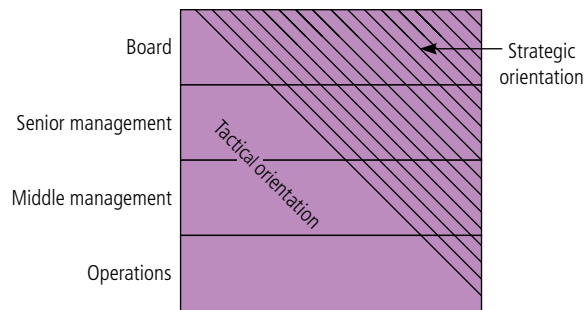


Figure 2.7: Managerial strategic/tactical orientation.

As stated above the emphasis throughout this book is on the preparation of a strategic marketing plan. The format for an operational or tactical plan is exactly the same, except for the amount of detail. This will be dealt with in Chapter 14.

At this point it seems appropriate to deal with the view from many quarters that strategic planning is becoming increasingly irrelevant, given the technology-driven rate of change. Whilst scholars have for many years researched and written about topics such as agility and ambidexterity, there is a countervailing view that the very opposite is true and that strategic marketing planning in particular has become more, not less, important.

Take, for example, Table 2.3, taken from ‘The Ambidextrous Organization’ by O’Reilly et al. (2004).⁴ Many businesses have a mix of more traditional types of business with well-established products (‘Exploitative business’) alongside more fast-moving businesses, which generate radical innovations (‘Exploratory business’). These authors find that these types of business need to be managed in very different ways, as shown in the table. Yet this can be achieved within the same ‘ambidextrous’ organization, provided the two types of business are managed separately in distinct business units. The strategy development process will clearly vary in formality between the two (see the six strategy-forming models we will discuss shortly below).

	Exploitative business	Exploratory business
Strategic intent	Cost, profit	Innovation, growth
Critical tasks	Efficiency, incremental innovation	Adaptability, radical innovation
Competencies	Operational	Entrepreneurial
Structure	Formal	Adaptive
Controls	Margins	Milestones, growth
Culture	Low risk, quality	Risk-taking, speed
Leadership	Authoritative	Visionary, involved

Table 2.3: The scope of the ambidextrous organization.

Although this research was as long ago as 2004, more recent studies on organizational agility continue to stress the crucial importance of the strategy development process:

Under uncertainty, doing the right things is more important than doing things right (i.e., operational efficiency). However, it's hard to do the right things when facing a wall of unknown unknowns. Doing the right things under deep uncertainty requires entrepreneurial management. Dynamic capabilities can be analytically separated from the formulation of strategy but must be congruent with the strategic direction that emerges from the strategy process. A strategy that is consistent, coherent, and accommodating of innovation is just as vital as dynamic capabilities to achieving competitive advantage. Hence, while strategy and capabilities can be analytically separated, as a practical matter, they need to be developed and implemented together.

(D. Teece, M. Peteraf and S. Leih (2016) 'Dynamic capabilities and organizational agility: Risk, uncertainty, and strategy in the innovation economy', *California Management Review*, 58(4), 13–35)

THE EFFECTIVENESS OF MARKETING PLANNING

Research into the efficacy of formalized marketing planning^{5–14} has shown that marketing planning can make a significant contribution to commercial success. The main effects within organizations are:

- the systematic identification of emerging opportunities and threats
- preparedness to meet change
- the specification of sustainable competitive advantage
- improved communication among executives
- reduction of conflicts between individuals and departments
- the involvement of all levels of management in the planning process
- more appropriate allocation of scarce resources
- consistency of approach across the organization
- a more market-focused orientation across the organization.

However, although it can bring many benefits, a strategic marketing plan is mainly concerned with competitive advantage – that is to say, establishing, building, defending and maintaining it.

In order to be realistic, it must take into account the organization's existing competitive position, where it wants to be in the future, its capabilities and the competitive environment it faces. This means that the marketing planner must learn to use the various available processes and techniques which help to make sense of external trends, and to understand the organization's traditional ways of responding to these.

However, this poses the problem regarding which are the most relevant and useful tools and techniques, for each has strengths and weaknesses and no individual concept or technique can satisfactorily describe and illuminate the whole picture. As with a jigsaw puzzle, a sense of unity only emerges as the various pieces are connected together.

The links between strategy and performance (referred to in Chapter 1) have been the subject of detailed statistical analysis by the Strategic Planning Institute. The PIMS (Profit Impact of Market Strategy) project identified six major links from 2,600 businesses.^{15, 16} From this analysis, principles have been derived for the selection of different strategies according to industry type, market conditions and the competitive position of the company.

These principles lie behind some of the frameworks we cover in this book. As always, generalizations permit of exceptions, however, and managerial judgement should always be used in interpreting any framework: you may know something about the firm's specific situation that the tool doesn't. What is agreed, however, is that strategic marketing planning presents a useful process by which an organization formulates its strategies, providing it is adapted to the organization and its environment.

HOW MARKETING PLANNING FITS IN WITH CORPORATE PLANNING AND OTHER FUNCTIONS

First of all, it is necessary to position marketing planning firmly within the context of strategic planning generally. Strategic decisions are concerned with:

- the long-term direction of the organization, as opposed to day-to-day management issues
- defining the scope of the organization's activities in terms of what it will and will not do
- matching the activities of the organization to the environment in which it operates, so that it optimizes opportunities and minimizes threats
- matching the organization's activities to its resource capacity, be it finance, workforce, technology or skill levels.

An important example of how marketing needs to relate to the strategy for other functions is marketing technology, which tends to sit on the interaction of marketing and IT departments. Investments in marketing technology are particularly important for efficient deployment of marketing. This has led to some larger organizations appointing 'Chief Marketing Technologists' to manage this investment to ensure it is utilized through updated operational processes and integrating data and insights where they are needed. However, there is also a need to ensure the investment in 'martech' is providing a return on investment. With research from WARC¹⁷ in 2019 suggesting that around 20 per cent of marketing budget in the UK going to marketing technology and 30 per cent in North America, levels of martech investment are shockingly high and this has led to reduced investment in media. It begs the question of how many businesses are getting return on their marketing technology.

Strategic management characteristically deals with an uncertain future and new initiatives. As a result of this, it is often the harbinger of change. Organizations build their business strategies in a number of different ways.

There are six accepted strategy-forming models:

1. *A Planning Model.* Strategic decisions are reached by use of a sequential, planned search for optimum solutions to defined problems. This process is highly rational and is fuelled by concrete data.
2. *An Interpretative Model.* The organization is regarded as a collection of associations, sharing similar values, beliefs and perceptions. These 'frames of reference' enable the stakeholders to interpret the organization and the environment in which it operates, cultivating the emergence of an organizational culture particular to that company. Strategy thus becomes the product, not of defined aims and objectives, but of the prevailing values, attitudes and ideas in the organization.

3. *A Political Model.* Strategy is not chosen directly, but emerges through compromise, conflict and consensus-seeking among interested stakeholders. Since the strategy is the outcome of negotiation, bargaining and confrontation, those with the most power have the greatest influence.
4. *A Logical Incremental Model.* Strategies emerge from 'strategic sub-systems', each concerned with a different type of strategic issue. Strategic goals are based on an awareness of needs, rather than the highly structured analytical process of the planning model. Often, due to a lack of necessary information, such goals can be vague, general and non-rigid in nature until such a time when events unfold and more information becomes known.
5. *An Ecological Model.* In this perspective, the environment impinges on the organization in such a way that strategies are virtually prescribed and there is little or no free choice. In this model, the organization which adapts most successfully to its environment will survive in a way that mirrors Darwin's theory of natural selection.
6. *A Visionary Leadership Model.* Strategy emerges as the result of the leader's vision, enforced by their commitment to it, their personal credibility, and how they articulate it to others.

(Based on research by Bailey et al.¹⁸ and Johnson et al.¹⁹)

It is unlikely that an organization will use a pure version of any of these models. In all probability, its strategic decision-making model will be a hybrid of some of them. However, it is possible that one or two of these will predominate and thereby give strategic decision making a distinct 'flavour'.

While academics cannot seem to agree on a single, best approach, company executives have to get on with strategy formulation as best they can, using a combination of experience, intuition and hope. One of the earliest PhDs in the domain of marketing planning (the first author's²⁰) came to the conclusion that the process they go through is some sort of a logical sequence leading to the setting of objectives and the formulation of strategies and tactics for achieving them, together with the associated financial consequences. The formality of this process will be a function of the degree of product/market complexity, organizational size and the degree of environmental turbulence. In other words, the degree of formality will be driven in part by the dominant decision-making model in the organization.

Strategic marketing planning obviously cannot be discussed in isolation from the above strategic planning models and it is likely that the way in which an organization's marketing planning is carried out will be a microcosm of the principal mode used by a company for its corporate planning.

For the purpose of this book, however, the Planning Model will be used, as elements of this will underpin all marketing planning processes.

While marketing planning is based on markets, customers and products, business planning involves other corporate resources, which will have a bearing on the identified markets. Corporate planning usually involves applying business planning to several different units of the business aggregate.

Before turning our attention to the steps in the marketing planning process, it would be useful to discuss how marketing planning relates to the corporate planning process.

There are five steps in the corporate planning process. As can be seen from Table 2.4, the starting point is usually a statement of *corporate financial objectives* for the long-range planning period of the company, which are often expressed in terms of turnover, profit before tax and return on investment.

This long-range planning horizon used to be five years although, more recently, three years is becoming increasingly the norm. However, the precise period should be determined by the nature of the markets in which the company operates. For example, five years would not be a long enough period for a glass manufacturer, since it takes that period of time to commission new capital plant, whereas in some fashion or IT industries five years would be much too long. A useful guideline in determining the planning horizon is that there should be a market for the company's products for long enough at least to amortize any new capital investment associated with those products.

Step 1 Corporate financial objectives	2 Management audit	3 Objective and strat- egy setting	4 Plans	5 Corporate plans
	<i>Marketing audit:</i> Marketing effectiveness (Digital maturity – Chapter 1)	Marketing objectives, strategies	Marketing plan	
	<i>Distribution audit:</i> Stocks and control; transportation; warehousing	Distribution objectives, strategies	Distribu- tion plan	
Corporate financial objectives	<i>Operations audit:</i> Value analysis; engineering development; work study; quality control; labour; materials, plant and space utilization; production planning; factories; R&D; information technology, etc.	Operations objectives, strategies	Opera- tions plan	Issue of corporate plan, to include cor- porate objectives and strategies; opera- tions objectives and strategies, etc.; long- range profit and loss accounts; balance sheets
	<i>Financial audit:</i> Credit, debt, cash flow and budgetary control; resource allocation; capital expenditure; long- term finance	Financial objectives, strategies	Financial plan	
	<i>HR audit:</i> Management, technical and administrative ability, etc.	HR objec- tives, strategies	HR plan	

Table 2.4: Marketing planning and its place in the corporate cycle.

Nonetheless, for the purpose of putting in sufficient detail for a strategic plan to be of any practical use, it is advisable to keep the period down to three years if possible, since beyond this period detail of any kind is likely to become pointless. There can certainly be scenarios for five to ten years, but not a plan in the sense intended by this book.

The next step is the *management audit*, to be discussed in more detail later in this chapter. This is an obvious activity to follow on with, since a thorough situation review, particularly in the area of marketing, should enable the company to determine whether it will be able to meet the long-range financial targets with its current range of products in its current markets. Any projected gap can be filled by the various methods of product development or market extension.

Undoubtedly the most important and difficult of all stages in the corporate planning process is the third step, *objective and strategy setting*, since if this is not done properly everything that follows is of little value.

Later on, we will discuss marketing objectives and strategies in more detail. For now, the important point to make is that this is the time in the planning cycle when a compromise has to be reached between what is wanted by the several functional departments and what is practicable, given all the constraints that any company has. For example, it is no good setting a marketing objective of penetrating a new market if the company does not have the production capacity to cope with the new business, and if capital is not available for whatever investment in additional capacity is necessary. At this stage, objectives and strategies will be set for three years, or for whatever the planning horizon is.

Step 4 involves producing detailed *plans* for one year, containing the responsibilities, timing and costs of carrying out the first year's objectives, and broad plans for the following years.

These plans can then be incorporated into the *corporate plan* (sometimes called the business plan), which will contain long-range corporate objectives, strategies, plans, profit and loss accounts, and balance sheets.

At this point it is worth noting that one of the main purposes of a corporate plan is to provide a long-term vision of what the company is or is striving to become, taking account of shareholder expectations, environmental trends, resource market trends, consumption market trends and the distinctive competence of the company as revealed by the management audit.

What this means in practice is that the corporate plan will usually contain at least the following elements:

1. The desired level of profitability.
2. Business boundaries:
 - what kinds of products will be sold to what kinds of markets (marketing)
 - what kinds of facilities will be developed (operations, R&D, information systems, distribution, etc.)
 - the size and character of the labour force (HR)
 - funding (finance).
3. Other corporate objectives, such as sustainability, corporate image, stock market image, employer image, etc.

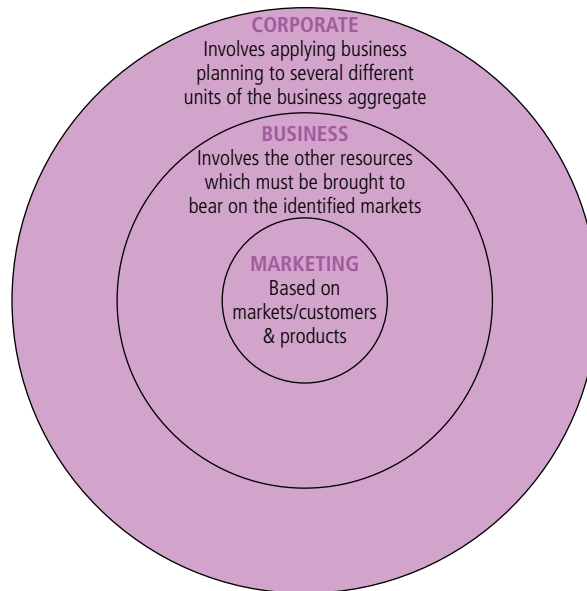


Figure 2.8: Corporate and functional processes.

This book is about the first of these bullet points above – marketing. In the most successful companies, it is the strategic marketing plan (in draft form) that is prepared first. But excellent marketing chiefs check with other functional heads that the resources will be available before finalizing the strategic marketing plan. Even better is to involve other functions in the marketing plan's creation through workshops run by marketers.

The corporate plan can then be completed.

Such a corporate plan, containing projected profit and loss accounts and balance sheets, being the result of the process described above, is more likely to provide long-term stability for a company than plans based on a more intuitive process and containing forecasts, which tend to be little more than extrapolations of previous trends. This process is further summarized in Figure 2.8.

Let us make one further important point at this stage. There is much debate about social and environmental sustainability today, and rightly so. Again, however, the very best companies have always integrated sustainability (or CSR, its predecessor) into their policies. Indeed, Hugh Davidson's influential book, *The Committed Enterprise*,²¹ found this to be the case in 125 long-term successful organizations. Let's not forget those companies such as ICI, who were excellent at CSR, but who failed to satisfy their customers as well as their competitors and who are, therefore, no longer able to be nice to their employees, local communities, charities and the like. This is why the need to be profitable remains a vital goal of corporate planning.

There is a longer, more detailed discussion of this topic in Chapter 3, as environmentalism is rightly having an increasing impact on corporate performance.

One of the main purposes of a corporate plan is to provide a long-term vision of what the company is or is striving to become.

MARKETING INSIGHT

The headquarters of one major multinational company with a sophisticated budgeting system used to receive 'plans' from all over the world and coordinate them in quantitative and cross-functional terms such as numbers of employees, units of sales, items of plant, square feet of production area, and so on, together with the associated financial implications. The trouble was that the whole complicated edifice was built on the initial sales forecasts, which were themselves little more than a time-consuming numbers game. The key strategic issues relating to products and markets were lost in all the financial activity, which eventually resulted in grave operational and profitability problems.

Positioning Marketing Planning Within Marketing

Smith's PhD thesis²² proved a direct link between organizational success and marketing strategies that conform to what previous scholars have agreed constitutes strategy quality, which was shown to be independent of variables such as size, sector, market conditions, and so on.

This thesis linked superior performance to strategies with the following qualities:

1. Homogeneous market segment definition.
2. Segment-specific propositions.
3. Strategy uniqueness.
4. Strength leverage and weakness minimization.
5. Creation of internal and external synergies.
6. Provision of tactical guidance.
7. Alignment to objectives.
8. Alignment to market trends.
9. Appropriate resourcing.
10. Clear basis of competition.

Let us first, however, position strategic marketing planning firmly within the context of marketing itself.

As stated in Chapter 1, marketing is a process for:

- defining markets
- quantifying the needs of the customer groups (segments) within these markets
- determining the value propositions to meet these needs
- communicating these value propositions to all those people in the organization responsible for delivering them and getting their buy-in to their role
- playing an appropriate part in delivering these value propositions to the chosen market segments
- monitoring the value actually delivered.

For this process to be effective, we have also seen that organizations need to be consumer/customer driven.

The map of this process is repeated in Figure 2.9. This process is clearly cyclical, in that monitoring the value delivered will update the organization's understanding of the value that is required

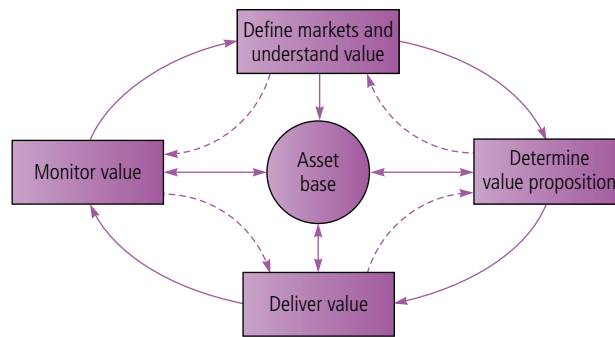


Figure 2.9: Map of the marketing process.

by its customers. The cycle is predominantly an annual one, with a marketing plan documenting the output from the ‘understand value’ and ‘determine value proposition’ processes, but equally changes throughout the year may involve fast iterations around the cycle to respond to particular opportunities or problems.

It is well known that not all of the value proposition delivering processes will be under the control of the marketing department, whose role varies considerably between organizations.

The marketing department is likely to be responsible for the first two processes, ‘Understand value’ and ‘Determine value proposition’, although even these need to involve numerous functions, albeit coordinated by specialist marketing personnel. The ‘Deliver value’ process is the role of the whole company, including, for example, product development, manufacturing, purchasing, sales promotion, direct mail, distribution, sales and customer service. The marketing department will also be responsible for monitoring the effectiveness of the value delivered.

The various choices made during this marketing process are constrained and informed not just by the outside world, but also by the organization’s asset base. Whereas an efficient new factory with much spare capacity might underpin a growth strategy in a particular market, a factory running at full capacity would cause more reflection on whether price should be used to control demand, unless the potential demand warranted further capital investment. As well as physical assets, choices may be influenced by financial, human resources, brand and information technology assets, to name just a few.

Thus, it can be seen that the first two boxes are concerned with strategic marketing planning processes (in other words, developing market strategies), while the third and fourth boxes are concerned with the actual delivery in the market of what was planned and then measuring the effect.

Input to this process will commonly include:

- the corporate mission and objectives, which will determine which particular markets are of interest
- external data such as market research
- internal data which flow from ongoing operations.

Also, it is necessary to define the markets the organization is in, or wishes to be in, and how these divide into segments of customers with similar needs. The importance of doing this

correctly was emphasized earlier in the reference to Smith's 2003 PhD, and the benefits in firm performance have been confirmed numerous times since then.^{23, 24} The choice of markets will be influenced by the corporate objectives as well as the asset base. Information will be collected about the markets, such as the market's size and growth, with estimates for the future.

The map is inherently cross-functional. 'Deliver value proposition', for example, involves every aspect of the organization, from new product development through inbound logistics and production to outbound logistics and customer service.

The map represents best practice, not common practice. Many aspects of the map are not explicitly addressed by well-embedded processes, even in sophisticated companies.

Also, the map is changing. One-to-one communications and principles of relationship marketing demand a radically different sales process from that traditionally practised. Hence exploiting digital media requires a substantial shift in thinking, not just changes to IT and processes. Changes to business and revenue models may be available. For example, marketing managers at one company related to us their early experience with a website which was enabling them to reach new customers considerably more cost-effectively than their traditional sales force. When the website was first launched, potential customers were attempting to self-serve by finding the company on the web, deciding the products were appropriate on the basis of the website, and sending an e-mail to ask to buy. So far so good. But stuck in a traditional model of the sales process, the company would allocate the 'lead' to a salesperson, who would phone up and make an appointment perhaps three weeks hence. The customer would by now probably have moved on to another online supplier who could sell the product today, but those that remained were subjected to a sales pitch that was totally unnecessary, the customer having already decided to buy. Those that were not put off would proceed to be registered as able to buy over the web, but the company had lost the opportunity to improve its margins by using the sales force more judiciously. In time the company realized its mistake: unlike those prospects that the company identified and contacted, which might indeed need 'selling' to, many new web customers were initiating the dialogue themselves, and simply required the company to respond effectively and rapidly. The sales force was increasingly freed up to concentrate on major clients and on relationship building.

Having put marketing planning into the context of marketing and other corporate functions, we can now turn specifically to the marketing planning process, how it should be done and what the barriers are to doing it effectively.

THE MARKETING PLANNING PROCESS

Figure 2.10 illustrates the several stages that have to be gone through in order to arrive at a marketing plan. This illustrates the difference between the process of marketing planning and the actual plan itself, which is the output of the process, discussed later in this chapter.

Each of the process stages illustrated in Figure 2.10 will be discussed in more detail in this chapter. Stages 5–8 will usually have to be gone through more than once before final programmes can be written.

How Formal Should This Process Be?

Although research has shown these marketing planning steps to be universally applicable, the degree to which each of the separate steps in the diagram needs to be formalized depends to a large extent on the size and nature of the company. For example, an undiversified company generally uses less formalized procedures, since top management tends to have greater

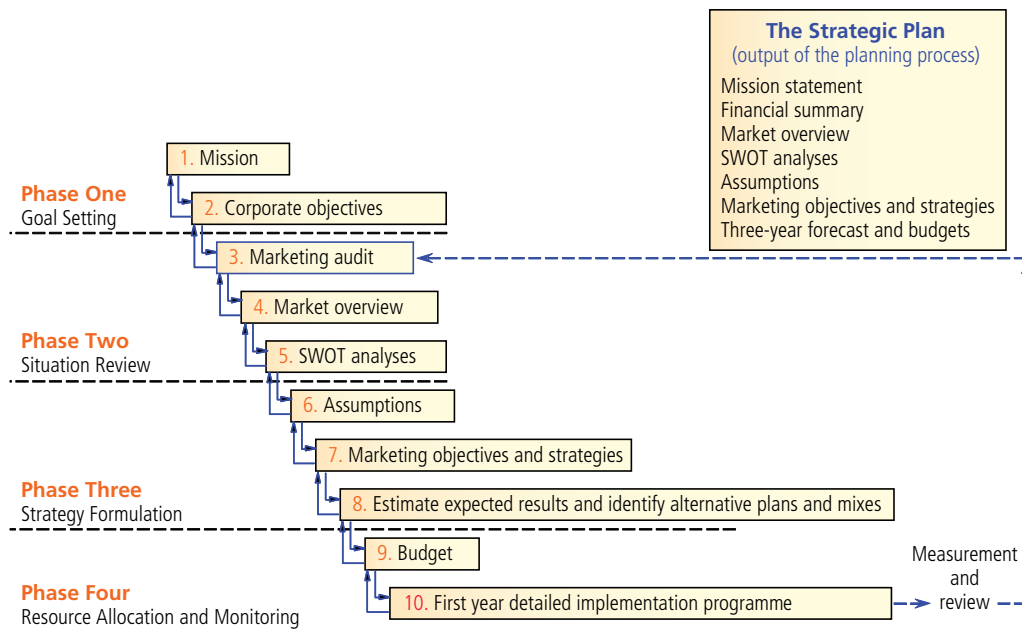


Figure 2.10: The 10 steps of the strategic marketing planning process.

functional knowledge and expertise than subordinates, and because the lack of diversity of operations enables direct control to be exercised over most of the key determinants of success. Thus, situation reviews, the setting of marketing objectives, and so on, are not always made explicit in writing, although these steps have to be gone through.

In contrast, in a diversified company, it is usually not possible for top management to have greater functional knowledge and expertise than subordinate management, hence planning tends to be more formalized in order to provide a consistent discipline for those who have to make the decisions throughout the organization.

Either way, there is now a substantial body of evidence to show that formalized planning procedures generally result in greater profitability and stability in the long term and also help to reduce friction and operational difficulties within organizations.

Where marketing planning has failed, it has generally been because companies have placed too much emphasis on the procedures themselves and the resulting forecasts, rather than on generating information useful to and consumable by management. More about this in Chapter 12. But for now, let us look at the marketing planning process, starting with the mission statement. At this stage, our purpose is merely to outline the steps in the process, as each stage will be spelled out in more detail in later chapters.

Step 1 Mission Statement

Figure 2.10 shows that a strategic marketing plan should begin with a mission or purpose statement. This is perhaps the most difficult aspect of marketing planning for managers to master, because it is largely philosophical and qualitative in nature. Many organizations find their different departments, and sometimes even different groups in the same department, pulling

in different directions, often with disastrous results, simply because the organization hasn't defined the boundaries of the business and the way it wishes to do business.

Some have two levels of mission or purpose statement. One is for the corporation; the other is for each strategic business unit or brand. This is particularly common in diversified firms. For example, Unilever's overall mission statement is 'to meet everyday needs for nutrition, hygiene and personal care with brands that help people look good, feel good and get more out of life'. An example of its brand-level purpose statements is its Dove brand: 'to redefine beauty standards and help everyone experience beauty and body image positively'.

Whatever the level, however, the mission statement should be specific to the organization and provide actionable implications for all employees. All too often, mission statements are of what we term 'Motherhood' – usually found inside annual reports designed to stroke shareholders, and otherwise of no practical use. The following is an example of such a meaningless, vapid mission statement, which most companies seem to have. They achieve nothing and it is difficult to understand why these pointless statements are so popular. Employees mock them and they rarely say anything likely to give direction to the organization. We have entitled this example 'The Generic Mission Statement' and they are to be avoided.

THE GENERIC MISSION STATEMENT

Our organization's primary mission is to protect and increase the value of its owners' investments while efficiently and fairly serving the needs of its customers. [. . . insert organization name . . .] seeks to accomplish this in a manner that contributes to the development and growth of its employees, and to the goals of countries and communities in which it operates.

Another example of a meaningless mission statement was recorded in the *Harvard Business Review*²⁵ in 2008 and is included here:

PLATITUDINOUS MISSION STATEMENT

To maximize shareholder wealth by exceeding customer expectation and providing opportunities for our employees to lead fulfilling lives while respecting the environment and the communities within which we operate.

To avoid these dangers, the following should appear in a mission or purpose statement, which should normally run to no more than one page:

1. *Role or contribution*
 - profit (specify), or
 - service, or
 - opportunity seeker.
2. *Business definition* – define the business, preferably in terms of the benefits you provide or the needs you satisfy, rather than in terms of what you make.
3. *Company or brand purpose* – how the business can impact the lives of customers, wider society, and/or the environment. For example, 'To accelerate the world's transition to

renewable energy' (Tesla); 'Committed to making the planet a better place by giving your clothes a long life' (Unilever's Comfort brand). For more on defining a higher purpose, see author Simon Sinek's recommendations to 'Start with Why'.²⁶ Or have a look at some b-corps in your sector (www.bcorporation.net), as firms that are certified as b-corps have to define a higher purpose than profits and, furthermore, embed it in their articles of association. While the marketing department can inform this purpose statement (for example, by checking that 'giving your clothes a long life' resonates with customers in the example above), clearly this statement is a crucial matter for board decision (as indeed is the whole of the mission statement).

4. *Distinctive competences* – these are the essential skills/capabilities resources that underpin whatever success has been achieved to date. Competence can consist of one particular item or the possession of a number of skills compared with competitors. If, however, you could equally well put a competitor's name to these distinctive competences, then they are not distinctive competences.
5. *Indications for the future*
 - what the organization will do
 - what the organization might do
 - what the organization will never do.

Step 2 Setting Corporate Objectives

What corporate objectives are, and where they fit in the total process, was discussed in the previous section. Corporate objectives form inputs into the remainder of the marketing planning process. In most firms, they will include a small set of:

- Financial objectives
- Environmental sustainability objectives (for example, carbon, waste reduction, etc.)
- Social sustainability (or CSR) objectives (relating, for example, to the well-being of supply chain workers, employees and customers).

Clearly, these should include objectives relating to any stakeholders referenced in the mission statement, including customers. You can't claim to 'help everyone experience beauty and body image positively', in Dove's case, without having some measure for that.

It is then the job of the marketing plan to ensure it is contributing to each of those objectives. We've never seen a firm where that can be done just by projecting last year's performance forwards! It's going to need serious innovation – another reason why most firms need to start with a three-year plan, not a one-year plan.

Step 3 The Marketing Audit

Any plan will only be as good as the information on which it is based, and the marketing audit is the means by which information for planning is organized. There is no reason why marketing cannot be audited in the same way as accounts, in spite of its more innovative, subjective nature. A marketing audit is a systematic appraisal of all the external and internal factors that have affected a company's commercial performance over a defined period. Trends in commercial contributions from different channels should be compared for multichannel businesses (e.g. In-Store, Click-and-Collect and Online).

Given the growing turbulence of the business environment and the shorter product lifecycles that have resulted, no one would deny the need to stop at least once a year at a particular point in the planning cycle to try to form a reasoned view of how all the many external and internal factors have influenced performance.

Sometimes, of course, a company will conduct a marketing audit because it is in financial trouble. At times like these, management often attempts to treat the wrong symptoms, most frequently by reorganizing the company. But such measures are unlikely to be effective if there are more fundamental problems that have not been identified. Of course, if the company survived for long enough, it might eventually solve its problems through a process of elimination. Essentially, though, the argument is that the problems have first to be properly defined. The audit is a means of helping to define them.

Two kinds of variable

Any company carrying out an audit will be faced with two kinds of variable. First, there is the kind over which the company has no direct control, for example, economic and market factors. Second, there are those over which the company has complete control, the operational variables, which are usually the firm's internal resources. This division suggests that the best way to structure an audit is in two parts, external and internal. Table 2.5 shows areas that should be investigated under both headings. Each should be examined with a view to building up an information base relevant to the company's performance.

External audit	Internal audit
<i>Business and economic environment</i> Economic, political, fiscal, legal, social, cultural Technological Intra-company	Own company Sales (total, by geographical location, by industrial type, by customer, by product) Market shares
<i>The market</i>	Profit margins, costs
Total market, size, growth and trends (value/volume)	Marketing information/research
Market characteristics, developments and trends: products, prices, physical distribution, channels, customers, consumers, communication, changing business and revenue model and industry practices in response to market digitalization including increased use of artificial intelligence and automation	Marketing mix variables: product management, price, distribution, promotion, operations and resources
<i>Competition</i> Major competitors Size Market share/coverage Market standing and reputation Production capabilities Distribution policies Multichannel approach Marketing methods Extent of diversification Personnel issues International links Profitability Key strengths and weaknesses	

Table 2.5: Conducting an audit.

Many people mistakenly believe that the marketing audit should be some kind of final attempt to define a company's marketing problems, or, at best, something done by an independent body from time to time to ensure that a company is on the right track. However, many highly successful companies, as well as using normal information and control procedures and marketing research throughout the year, start their planning cycle each year with a formal, audit-type process of everything that has had an important influence on marketing activities. Certainly, in many leading consumer goods companies, the annual self-audit approach is a tried and tested discipline.

Objections to line managers doing their own audits usually centre on the problem of time and objectivity. In practice, a disciplined approach and thorough training will help. But the discipline must be applied from the highest to the lowest levels of management if the tunnel vision that often results from a lack of critical appraisal is to be avoided.

The next question is: what happens to the results of the audit? Some companies consume valuable resources carrying out audits that produce very little in the way of results. The audit is simply a database, and the task remains of turning it into intelligence, i.e. information essential to decision making.

Step 4 Market Overview

This step, which appears prominently in the actual strategic marketing plan, should spell out clearly:

- what the market is
- how it works
- what the key decision-making points are
- what the segments are.

Market definition is fundamental to success and must be made in terms of need sets rather than in product/service terms. Thus, Gestetner failed by defining its markets as 'duplicators' and IBM almost failed by defining its market as 'computers'. Accordingly, a pension is a product, not a market, as many other products can satisfy the same or similar needs. Having done this, a 'market map' should be drawn, which plots the flow of goods or services from supplier through to user, with quantities through the chain that add up to the market size. See Chapter 3.

It is at key decision points that market segmentation should take place. A segment is a group of customers or consumers that share the same (or approximately the same) needs; this is discussed in detail in Chapter 3. This step is crucial, for it is upon the key segments from the market map that SWOT analyses should be completed.

Step 5 SWOT Analyses

The only remaining question is what happens to the results of the audit? Some companies consume valuable resources carrying out audits that bring very little by way of actionable results.

Indeed, there is always the danger that, at the audit stage, insufficient attention is paid to the need to concentrate on analysis that determines which trends and developments will actually affect the company. While the checklist demonstrates the completeness of logic and analysis, the people carrying out the audit should discipline themselves to omit from their audits all the information that is not central to the company's marketing problems. Thus, inclusion of research reports, or overdetailed sales performance histories by product, which lead to no logical actions whatever, only serve to rob the audit of focus and reduce its relevance.

Since the objective of the audit is to indicate what a company's marketing objectives and strategies should be, it follows that it would be helpful if some format could be found for organizing the major findings.

One useful way of doing this is in the form of a number of SWOT analyses. A SWOT is a summary of the audit under the headings, internal strengths and weaknesses, as they relate to external opportunities and threats.

A SWOT should be conducted for each segment that is considered to be important in the company's future. These SWOT analyses should, if possible, contain just a few paragraphs of commentary focusing on key factors only. They should highlight internal differential strengths and weaknesses vis-à-vis competitors and key external opportunities and threats. A summary of reasons for good or bad performance should be included. They should be interesting to read, contain concise statements, include only relevant and important data, and give greater emphasis to creative analysis.

To review digital transformation, some organizations also complete a SWOT of their digital channel effectiveness to identify improvements needed to achieve digital maturity.

How to conduct SWOT analyses is discussed in detail in Chapter 4.

Step 6 Assumptions

Let us now return to the preparation of the marketing plan. If we refer again to the marketing planning process, and have completed our marketing audit and SWOT analyses, assumptions now have to be written.

There are certain key determinants of the marketing plan. If we refer again to the marketing planning process, and have completed our marketing audit and SWOT analyses, assumptions now have to be written.

It is really a question of standardizing the planning environment. For example, it would be no good receiving plans from two product managers, one of whom believed the market was going to increase by 10 per cent, while the other believed the market was going to decline by 10 per cent.

Examples of assumptions might be:

With respect to the company's industrial climate, it is assumed that:

1. Price competition will force price levels down by 10 per cent across the board.
2. Regulation and increasing demand for green energy will increase the cost of energy by an average of 30 per cent and the cost of carbon offsets by 50 per cent.
3. A new product in the field of x will be introduced by our major competitor before the end of the second quarter.

Assumptions should be few in number, and if a plan is possible irrespective of the assumptions made, then the assumptions are unnecessary.

Step 7 Marketing Objectives and Strategies

The next step in marketing planning is the writing of marketing objectives and strategies, the key to the whole process.

An *objective* is what you want to achieve. A *strategy* is how you plan to achieve your objectives.

Thus, there can be objectives and strategies at all levels in marketing. For example, there can be advertising objectives and strategies, and pricing objectives and strategies.

However, the important point to remember about marketing objectives is that they are about *products* and *markets* only. Common sense will confirm that it is only by selling something to someone that the company's financial goals can be achieved, and that advertising, pricing, service levels, and so on, are the means (or strategies) by which we might succeed in doing this. Thus, pricing objectives, sales promotion objectives, advertising objectives and the like should not be confused with marketing objectives. Marketing objectives are simply about one (or more) of the following:

- existing products for existing markets
- new products for existing markets
- existing products for new markets
- new products for new markets.

They should be capable of measurement, otherwise they are not objectives. Directional terms such as 'maximize', 'minimize', 'penetrate', 'increase', and so on, are only acceptable if quantitative measurement can be attached to them. Measurement may, for example, be in terms of some, or all, of the following: sales volume; sales value; market share; profit; percentage penetration of outlets (e.g. to have 30 per cent of all retail outlets stocking our product by year three).

With the growing importance of digital distribution channels some multichannel organizations have set objectives to drive change by increasing the proportion of direct-to-consumer e-commerce sales and 'click and collect' sales. Sainsbury's and their Argos brand share these targets in their financial reports, for example.

Marketing strategies are the means by which marketing objectives will be achieved and generally are concerned with the 4Ps, as follows:

Product – The general policies for product deletions, modifications, addition, design, branding, positioning, packaging, digital products etc.

Price – The general pricing policies to be followed by product groups in market segments.

Place – The general policies for offline versus digital channels and customer service levels.

Promotion – The general policies for communicating with customers under the relevant headings, such as advertising, social media, sales force, sales promotion, public relations, exhibitions, direct mail, etc.

Step 8 Estimate Expected Results and Identify Alternative Plans and Mixes

Having completed this major planning task, it is normal at this stage to employ judgement, analogous experience, field tests, and so on, to test out the feasibility of the objectives and strategies in terms of market share, costs, profits, and so on. It is also normally at this stage that alternative plans and mixes are considered, if necessary.

Step 9 The Budget

In a strategic marketing plan, these strategies would normally be costed out approximately and, if not practicable, alternative strategies would be proposed and costed out until a satisfactory solution could be reached. This would then become the budget. In most cases, there would be a budget for the full three years of the strategic marketing plan, but there would also be a very detailed budget for the first year of the plan, which would be included in the one-year operational plan.

It will be obvious from all of this that the setting of budgets becomes not only much easier, but the resulting budgets are more likely to be realistic and related to what the *whole* company wants to achieve, rather than just one functional department.

The problem of designing a dynamic system for budget setting, rather than the 'tablets of stone' approach, which is more common, is a major challenge to the marketing and financial directors of all companies.

The most satisfactory approach would be for a marketing director to justify all marketing expenditure from a zero base each year against the tasks he or she wishes to accomplish. A little thought will confirm that this is exactly the approach recommended in this chapter. If these procedures are followed, a hierarchy of objectives is built up in such a way that every item of budgeted expenditure can be related directly back to the initial corporate financial objectives. For example, if sales promotion is a major means of achieving an objective in a particular market, when sales promotional items appear in the programme, each one has a specific purpose that can be related back to a major objective.

Doing it this way not only ensures that every item of expenditure is fully accounted for as part of a rational, objective and task approach, but also that when changes have to be made during the period to which the plan relates, these changes can be made in such a way that the least damage is caused to the company's long-term objectives.

The incremental marketing expense can be considered to be all costs that are incurred after the product leaves the factory, other than costs involved in physical distribution, the costs of which usually represent a discrete subset.

There is, of course, no textbook answer to problems relating to questions such as whether packaging should be a marketing or a production expense, and whether some distribution costs could be considered to be marketing costs. For example, insistence on high service levels results in high inventory carrying costs. Only common sense will reveal workable solutions to issues such as these.

Under *price*, however, any form of discounting that reduces the expected gross income, such as promotional discounts, quantity discounts, royalty rebates, and so on, as well as sales commission and unpaid invoices, should be given the most careful attention as incremental marketing expenses.

Most obvious incremental marketing expenses will occur, however, under the heading ‘promotion’, in the form of advertising, sales, salaries and expenses, sales promotional expenditure, direct mail costs, and so on. The important point about the measurable effects of marketing activity is that anticipated levels should be the result of the most careful analysis of what is required to take the company towards its goals, while the most careful attention should be paid to gathering all items of expenditure under appropriate headings. The healthiest way of treating these issues is a zero-based budgeting approach.

Step 10 First Year Detailed Implementation Programme

In a one-year tactical plan, the general marketing strategies would be developed into specific sub-objectives, each supported by more detailed strategy and action statements:

- A company organized according to functions might have an advertising plan, a sales promotion plan, a pricing plan, a communications or digital communications plan and so on.
- A product-based company might have a product plan, with objectives, strategies and tactics for price, place and promotion as necessary.
- A market or geographically based company might have a market plan, with objectives, strategies and tactics for the 4Ps as necessary.
- Likewise, a company with a few major customers might have customer plans.

Any combination of the above might be suitable, depending on circumstances.

WHAT SHOULD APPEAR IN A STRATEGIC MARKETING PLAN?

A written marketing plan is the backdrop against which operational decisions are taken. Consequently, too much detail should be avoided. Its major function is to determine where the company is, where it wants to go and how it can get there. It lies at the heart of a company's revenue-generating activities, such as the timing of the cash flow and the size and character of the labour force. What should actually appear in a written strategic marketing plan is shown in Table 2.6. This strategic marketing plan should be distributed only to those who need it, but it can only be an aid to effective management. It cannot be a substitute for it.

It will be obvious from Table 2.6 that not only does budget setting become much easier and more realistic, but the resulting budgets are more likely to reflect what the whole company wants to achieve, rather than just one department.

We have just described the strategic marketing plan and what it should contain. The tactical marketing plan layout and content should be similar, but the detail is much greater, as it is for one year only.

Table 2.6 is summarized in Figure 2.11. This figure will be used in subsequent chapters as we explain each of the components of the strategic marketing plan.

At this point, it is worth mentioning that ideally the completed plan should be less than 20 pages, otherwise it looks too daunting. A separate document with appendices can be used if necessary.

1. Start with a mission statement.
 2. Here, include a financial summary which illustrates graphically revenue and profit for the full planning period.
 3. Now do a market overview: Has the market declined or grown? How does it break down into segments? What is your share of each? Keep it simple. If you do not have the facts, make estimates. Use market maps, lifecycles, bar charts and pie charts to make it all crystal clear.
 4. Now identify the key segments and do a SWOT analysis for each one. Outline the major external influences and their impact on each segment. List the key factors for success. These should be less than five. Give an assessment of the company's differential strengths and weaknesses compared with those of its competitors. Score yourself and your competitors out of 10 and then multiply each score by a weighting factor for each critical success factor (e.g. CSF 1 = 60, CSF 2 = 25, CSF 3 = 10, CSF 4 = 5).
 5. Make a brief statement about the key issues that have to be addressed in the planning period.
 6. Summarize the SWOTs using a portfolio matrix in order to illustrate the important relationships between your key products and markets.
 7. List your assumptions.
 8. Set objectives and strategies.
 9. Summarize your resource requirements for the planning period in the form of a budget.

Table 2.6: What should appear in a strategic marketing plan.

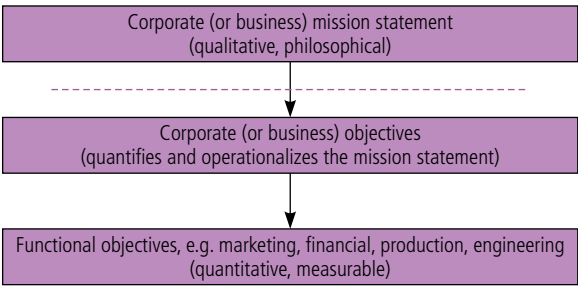


Figure 2.11: Hierarchy of planning.

MARKETING PLANNING SYSTEMS DESIGN AND IMPLEMENTATION

While the actual process of marketing planning is simple in outline, a number of contextual issues have to be considered that make marketing planning one of the most baffling of all management problems. The following are some of those issues:

- When should it be done, how often, by whom and how?
- Is it different in a large and a small company? Is it different in a diversified and an undiversified company?

- What is the role of the chief executive?
- What is the role of the planning department?
- Should marketing planning be top-down or bottom-up?
- What is the relationship between operational (one year) and strategic (longer-term) planning?

We deal with these issues in full in Chapter 12. We will here just make some overall observations.

It is quite clear that any attempt at the introduction of formalized marketing planning requires a change in a company's approach to managing its business. It is also clear that unless a company recognizes these implications, and plans to seek ways of coping with them, formalized strategic planning will be ineffective. Research²⁷ has shown that the implications are principally as follows:

1. Any closed-loop planning system (but especially one that is essentially a forecasting and budgeting system) will lead to dull and ineffective marketing. Therefore, there has to be some mechanism for preventing inertia from setting in through the over-bureaucratization of the system.
2. Planning undertaken at the functional level of marketing, in the absence of a means of integration with other functional areas of the business at general management level, will be largely ineffective.
3. The separation of responsibility for operational and strategic planning will lead to a divergence of the short-term thrust of a business at the operational level from the long-term objectives of the enterprise as a whole. This will encourage preoccupation with short-term results at operational level, which normally makes the firm less effective in the longer term.
4. Unless the chief executive understands and takes an active role in strategic marketing planning, it will never be an effective system.
5. A period of up to three years is necessary (especially in large firms) for the successful introduction of an effective strategic marketing planning system.

The same PhD thesis also found that the principal barriers to implementing marketing planning are those listed in Table 2.7.

1. Weak support from the chief executive and top management.
2. Lack of a plan for planning.
3. Lack of line management support due to any of the following, either singly or in combination:
 - hostility
 - lack of skills
 - lack of information
 - lack of resources
 - inadequate organizational structure.
4. Confusion over planning terms.
5. Numbers in lieu of written objectives and strategies.
6. Too much detail, too far ahead.
7. Once-a-year ritual.
8. Separation of operational planning from strategic planning.
9. Failure to integrate marketing planning into total corporate planning system.
10. Delegation of planning to a planner.

Table 2.7: Barriers to the integration of strategic marketing planning.

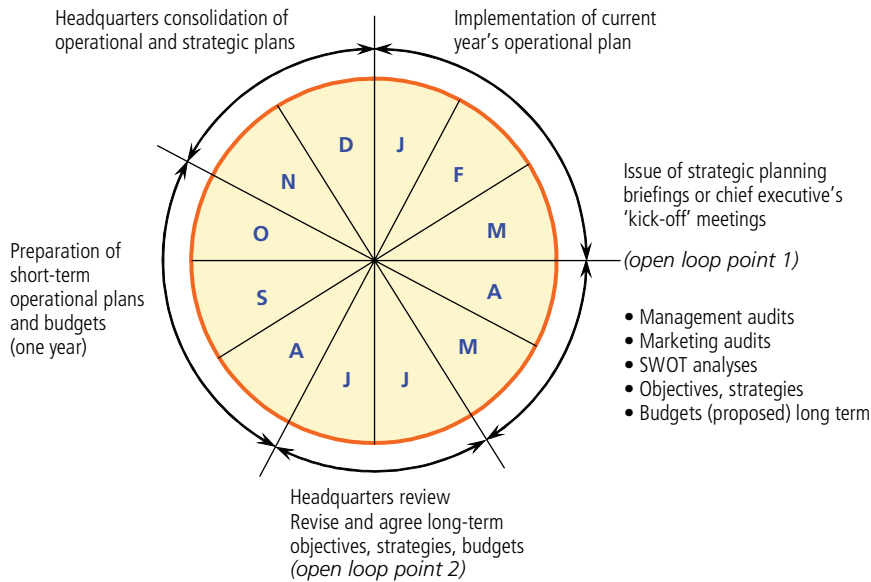


Figure 2.12: Strategic and operational planning – timing.

Let us be dogmatic about requisite planning levels. First, in a large diversified group, irrespective of such organizational issues, anything other than a systematic approach approximating to a formalized marketing planning system is unlikely to enable the necessary control to be exercised over the corporate identity. Second, unnecessary planning, or overplanning, could easily result from an inadequate or indiscriminate consideration of the real planning needs at the different levels in the hierarchical chain.

This process and its relationship to the other issues discussed in this chapter are summarized in Figure 2.11.

Figure 2.12 is another way of illustrating the total corporate strategic and marketing planning process. This time, however, a time element is added, and the relationship between strategic planning briefing, long-term strategic plans and short-term operational plans is clarified.

THE POSITION OF KEY ACCOUNT PLANNING IN THE CYCLE

A key account is a major customer considered by the supplying company to be of strategic importance to the achievement of its own objectives. Hence, such a customer is singled out for special treatment.

There is much debate about this, but it will be clear from looking at the planning cycle in Figure 2.12 that ► **key account** planning must take place at the same time as, or even before, draft plans are prepared for a strategic business unit.

If this is not clear, let us give an example of a supplies company servicing the needs of a national health service shown in Figure 2.13. It will be seen that there are four 'markets' within hospitals to be served. These are:

- medical
- administration

- catering
- energy.

There will be a number of key accounts, or hospital groups, referred to here as Hospital Groups A, B, C, D, and so on. Each of these hospital groups may well have their own key account manager who has to plan for them. Figure 2.13 illustrates this.

Thus, for example, the key account manager for Hospital A has to prepare a draft plan across all four 'markets' and this would clearly be a key input to the planning process shown in Figure 2.14.

As a general principle, planning should start in the market where the customers are. Indeed, in anything other than small organizations, it is clearly absurd to think that any kind of meaningful planning can take place without the committed inputs of those who operate where the customers are.

Figure 2.14 shows a hierarchy of strategic planning starting with key account planning. Every principle outlined in this chapter applies right down to the individual key account. Thus, the planning process shown in Figure 2.9 would start with key accounts. We discuss key account planning in detail in Chapter 8. For more on key account management (KAM), please see another book by one of the authors.²⁸

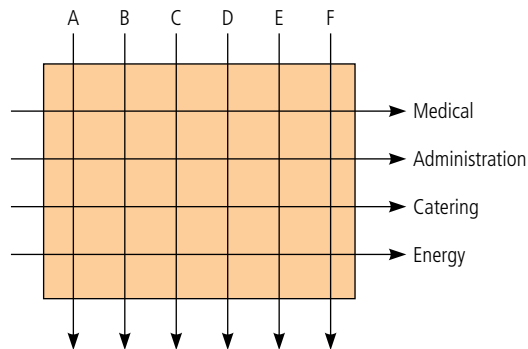


Figure 2.13: Markets and customers within markets.

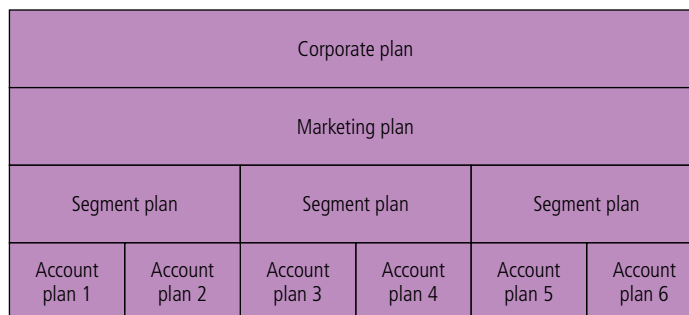


Figure 2.14: A hierarchy of the plan.

**The contents of a strategic marketing plan (T+3)
(less than 20 pages)**

- The purpose statement
- Financial summary
- Market overview
 - how the market works
 - key segments and their needs
- SWOT analyses
- Portfolio summary
 - of SWOTs
- Assumptions
- Objectives and strategies
- Budget for three years

Figure 2.15: The contents of a strategic marketing plan.

IN CONCLUSION

The planning *process* set out earlier in Figure 2.10 and explained in this chapter results in the *output* of the strategic marketing plan itself. Table 2.6 as shown previously is summarized in Figure 2.15 and it is on this that subsequent chapters focus.

Chapters 3, 4 and 5 deal with The Market Overview and SWOT Analyses.

Chapter 6 deals with Assumptions, Marketing Objectives and Strategies and the Budget for three years.

Chapters 7–11 expand on the elements of the marketing mix.

Chapter 12 deals with the implementation issues.

Chapter 13 explains how to measure the effectiveness of the resulting plans.

Chapter 14 provides step-by-step marketing planning systems, together with templates.

Finally, the Conclusion provides evidence from directors and senior managers that the whole process actually works!

APPLICATION QUESTIONS

1. Describe your company's marketing planning system in detail.
2. List the good things and the bad things about it.
3. Say how you think it could be improved.

CHAPTER 2 REVIEW

What is marketing planning?

Marketing planning is a logical sequence of events leading to the setting of marketing objectives and the formulation of plans for achieving them.

The sequence is:

1. Mission statement.
2. Set corporate objectives.
3. Conduct marketing audit.
4. Conduct SWOT analyses.
5. Make assumptions.
6. Set marketing objectives and strategies.
7. Estimate expected results.
8. Identify alternative plans and mixes.
9. Set the budget.
10. Establish first year implementation programmes.

The plan itself contains:

1. Mission statement.
2. Financial summary.
3. Market overview.
4. SWOT analyses.
5. Portfolio summary.
6. Assumptions.
7. Marketing objectives and strategies.
8. Forecasts and budgets.

Try Exercise 2.1

Why do it?

As business becomes increasingly complex and competition increases, a marketing plan is essential.

The benefits are as follows:

1. It allows better coordination of activities.
2. It identifies expected developments.
3. It increases organizational preparedness to change.
4. It minimizes non-rational responses to the unexpected.
5. It reduces conflicts about where the company should be going.
6. It improves communications.
7. Management is forced to think ahead systematically.
8. Available resources can be better matched to opportunities.
9. The plan provides a framework for the continuing review of operations.
10. A systematic approach to strategy formulation leads to a higher return on investment.

Try Exercise 2.2

Will it help us to survive?

All companies need to have a longer-term (strategic) marketing view as well as a short-term (tactical) marketing operation. Often the most potent short-term tactic is the use of the sales force. These can combine thus:

		Market planning	
		Poor	Excellent
Sales performance	Good	Die quickly	Thrive
	Poor	Die slowly	Survive

From this it can be seen that being good at implementing the wrong strategy can lead to a very quick death!

Questions raised for the company

1. Q: Can we ‘buy’ an ‘off-the-peg’ planning system?
A: Since all companies are different, the process has to be ‘tailored’ to fit individual requirements.
2. Q: Are we talking about tactics or strategy?
A: A strategic marketing plan takes a long-term look (say three years) and is, therefore, strategic.
A tactical, or operational, marketing plan is a detailed scheduling and costing out of the first year of the strategic marketing plan.
3. Q: How is the marketing plan used?
A: The plan determines where the company is now, where it wants to go and how to get there.
It, therefore, should be the backdrop against which all organizational decisions are made.
4. Q: Does the plan have to be written?
A: The planning sequence is really a thinking process. However, key pieces of information are worth writing down because they reduce confusion and aid communication. The degree of formality depends on the size of the company and the complexity of its business.
5. Q: How detailed should it be?
A: Enough to be useful.

EXERCISES

Exercise 2.1 The mission statement

The following should appear in a mission statement:

1. *Role or contribution:* ‘Profit’ (specify), or ‘Service’, or ‘Opportunity-seeker’.
2. *Business definition:* This should be defined in terms of the benefits you provide or the needs you satisfy, rather than in terms of what you do or what you make.

3. *Company or brand purpose.* An articulation of how your company (or brand, if you are planning for multiple brands separately) helps customers, wider society, and/or the environment.
4. *Distinctive competence:* What essential skills/capabilities/resources underpin whatever success has been achieved to date? (Note: These factors should not apply equally to a competitor, otherwise there is no distinctive quality about them.)
5. *Indications for the future:* What the company *will* do. What the company *might* do. What the company *will never* do.

Questions

1. To what extent does your company's mission statement meet the criteria listed above?
2. If you do not have a mission statement, try writing one, following the guidelines provided here. Try it out on your colleagues and see if they agree with you or if they can find ways to improve on what you have written.

Scoring and interpretation for Exercise 2.1

Use the following to gauge whether you feel you and your colleagues have developed a mission statement that is of real value:

- What values are true priorities for the next few years?
- What would make me professionally commit my mind and heart to this vision over the next five to ten years?
- What is unique about us?
- What does the world really need that our company can and should provide?
- What do I want our company to accomplish so that I will be committed, aligned and proud of my association with the institution?

Exercise 2.2 The benefits of marketing planning

What follows is a list of the benefits of marketing planning. With your company in mind, score each benefit by means of the scale given below.

0	1 2 3	4 5 6	7 8 9	10
Never	Sometimes	Frequently	Most of the time	Always

1. Our approach to marketing planning ensures that we get a high level of coordination of our various marketing activities.	
2. Our marketing planning process enables us to identify unexpected developments in advance.	
3. Because of the way we approach marketing planning, there is an increased readiness for the organization to change in response to the issues 'flagged up'.	

(Continued)

4. When we are faced with the unexpected, our marketing planning process minimizes the risk of non-rational responses.	
5. Having a marketing plan reduces the conflicts between managers regarding 'where the company should be going'.	
6. Our marketing plan improves communications about market-related issues.	
7. Because of our marketing planning process, management is forced to think ahead systematically.	
8. Having a marketing plan enables us to match our resources to opportunities in an effective way.	
9. Our marketing plan provides us with a useful framework for a continuing review of progress.	
10. Our marketing planning has led us to develop more profitable marketing strategies.	
TOTAL	_____

Scoring and interpretation for Exercise 2.2

The maximum score for the exercise is 100. Check your scores below.

81–100: Marketing planning is really paying off in your company.

61–80: You are not receiving the benefits you should be receiving. What’s getting in the way?

41–60: You appear to be moving along the right lines, but there is still a long way to go.

0–40: Either your marketing planning process is inadequate, or your company is not really trying to make marketing planning work.

Before you tackle this exercise, it is important to remember that profitability and high market growth are nearly always correlated. In other words, the higher the market growth, the higher the profitability.

This phenomenon can sometimes obscure the fact that a company that appears to be doing well can still be losing ground in comparison with its competitors. While apparently thriving, it is in fact dying slowly. The crunch comes when the erstwhile buoyant market growth slows down, and the other companies demonstrate quite clearly their superior performance.

Exercise 2.3 Simulation practice

- a. In the game you have inherited a Mission Statement for your company. How can you improve it? Do you and your team think the new one adds more value? When will you review it again?
- b. What is the best time horizon for your strategic marketing plan in the game?
- c. If you could decide what percentage of your marketing budget to allocate to martech, what would it be and why?

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Chapter

3

THE CUSTOMER AND MARKET AUDIT PART 1: UNDERSTANDING MARKETS AND MARKET SEGMENTATION

SUMMARY*

Market Audit Part 1

- A discussion of whom we sell to
- The difference between consumers and customers
- Why market share is important and why the market must be carefully defined
- Pareto analysis (the 80/20 rule) and its implications
- The market segmentation process is outlined. The steps are:
 - defining the market
 - market mapping
 - listing decision makers and their purchases
 - noting why these decision makers buy what they buy
 - combining like-minded decision makers into segments by means of cluster analysis
- A quick market segmentation method is provided
- The environment audit

(Continued)

* This chapter contains some extracts from *Market Segmentation: How to Do It and How to Profit from It* by Malcolm McDonald and Ian Dunbar (Wiley, 2012). These are reproduced with the permission of the authors.

- E-commerce introduces new routes to market including disintermediation and reintermediation
- Examples of market segmentation are provided
- Exercises to turn the theory into actionable propositions

Market Audit Part 2 (i.e. Chapter 4) focuses on the needs of segments and how to develop value propositions

Market Audit Part 3 (i.e. Chapter 5) focuses on what we sell to our customers

INTRODUCTION

Now that we understand the process of marketing planning, we can begin to look in more detail at its principal components. We have, as it were, seen the picture on the front of the jigsaw puzzle; we can now examine the individual pieces with a better understanding of where they fit.

The next three chapters are designed to help us to carry out a meaningful marketing audit. We have already looked at the issues that need to be considered; what we need now are the means to help us to undertake such an analysis.

It is also important to stress that we are still dealing with steps 3 to 9 in the marketing planning process, which result in the all-important output of the process, the strategic marketing plan itself.

Let us remind ourselves about the all-important *output* of the strategic marketing planning process – the strategic marketing plan itself, the contents of which are shown in Figure 3.1.

The contents of a strategic marketing plan (T+3) (less than 20 pages)

- The purpose statement
- Financial summary
- Market overview
 - how the market works
 - key segments and their needs
- SWOT analyses
- Portfolio summary
 - of SWOTs
- Assumptions
- Objectives and strategies
- Budget for three years

Figure 3.1: The contents of a strategic marketing plan.

The Customer and Market Audit is in three parts:

PART 1 Understanding Markets and Market Segmentation (Chapter 3)

PART 2 Understanding Needs and Developing Value Propositions (Chapter 4)

PART 3 The Product Audit. What we offer our customers (Chapter 5)

It will be recalled that the contents of the strategic marketing plan, outlined in Chapter 2, represent the summarized conclusions emanating from the marketing audit and will only be as good as the audit allows. The marketing audit itself should be a separate step in the process and under no circumstances should voluminous data and analyses appear in the plan itself. All of this rightly belongs in the marketing audit document.

Thus, the marketing audit is a crucial stage in the marketing plan itself, the actual contents of which are set out in more detail in Chapter 14.

At this point, let us revisit our earlier definition of marketing and the accompanying diagram, shown here as Figure 3.2.

Marketing is a process for:

- defining markets
- quantifying the needs of the customer groups (segments) within these markets
- determining the value propositions to meet these needs
- communicating these value propositions to all those people in the organization responsible for delivering them and getting their buy-in to their role
- playing an appropriate part in delivering these value propositions (usually only communications)
- monitoring the value actually delivered.

For this process to be effective, organizations need to be consumer/customer driven.

This process is clearly cyclical, in that monitoring the value delivered will update the organization's understanding of the value that is required by its customers. The cycle may be predominantly an annual one, with a marketing plan documenting the output from the 'understand value' and 'create value proposition' processes, but equally changes throughout the year may involve fast iterations around the cycle to respond to particular opportunities or problems.

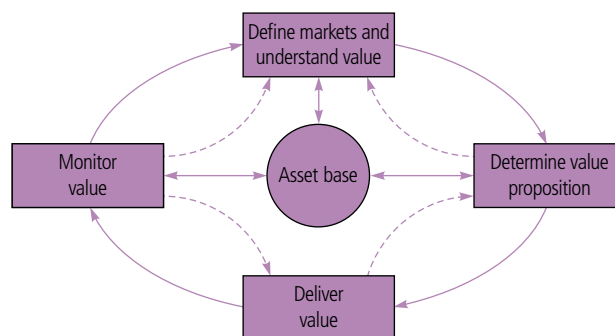
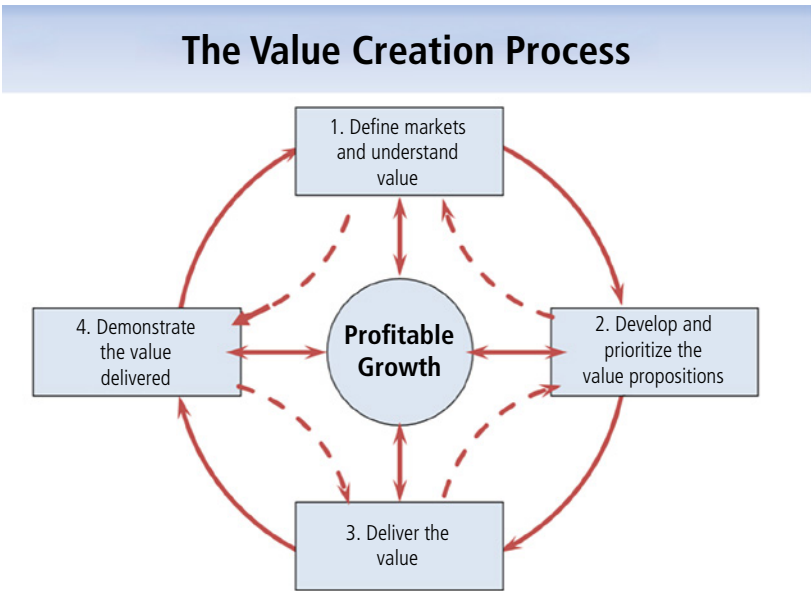


Figure 3.2: Overview of marketing map.

This chapter and Chapters 4 and 5 describe the process involved in this first box under the headings ‘The customer and market audit’ and ‘The product audit’, both being integral to defining markets and understanding and quantifying the value required by the customer groups (segments) within these markets.



Input to this process will commonly include:

- The corporate mission and objectives, which will determine which markets are of interest.
- External data such as market research.
- Internal data which flows from the *deliver value* activities.

The process in the first box in Figure 3.2 involves four major subprocesses, shown in Figure 3.3. First, it is necessary to define the markets the organization is in, or wishes to be in, and how these divide into segments of customers with similar needs. The choice of markets will be

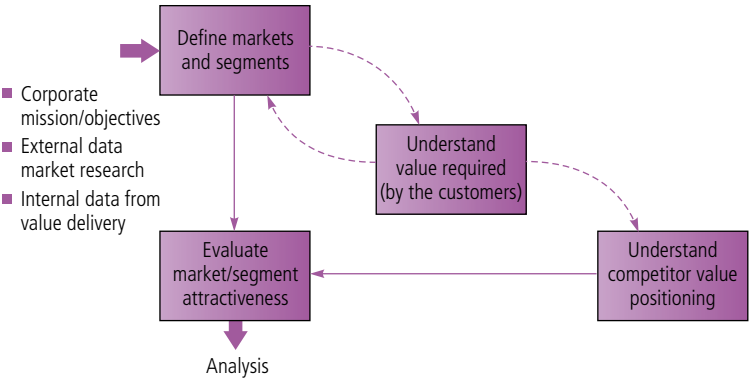


Figure 3.3: Define markets and understand value.

influenced by the corporate objectives as well as the asset base. Information will be collected about the markets, such as the markets' size and growth, with estimates for the future.

Once each market or segment has been defined, it is necessary to understand what value the customers within the segment want or need. This value is most simply thought of as the benefits gained from the product or service, but it can also encompass the value to the customer of surrounding services such as maintenance or information. This step also encompasses what the customer is prepared to give in exchange, in terms of price and other sacrifices, such as lifetime running cost or convenience of purchase. One way of expressing customer value requirements is via a critical success factor analysis which might list such criteria as product specification, quality or reliability, the quality and range of services, price and the ease of purchase, and which might also include weights to illustrate their relative importance to the customer in the buying decision.

This step of 'Understand value required' also includes predicting the value which will be required in the future.

In performing this step, it may emerge that subsets of the customers within a market have very different requirements. In this case, the market may need to be further segmented to represent these subsets. Hence there is an important feedback loop from this step to the 'Define markets' step. How markets are defined and segmented will be spelled out later in this chapter.

'Understand competitor value positioning' refers to the process of establishing how well the organization and its competitors currently deliver the value that the customers seek. To illustrate in terms of critical success factors, this process would correspond to scoring the organization and its competitors on each of the customers' critical success factors. Again it involves looking into the future to predict how competitors might improve, clearly a factor in planning how the organization is to respond. SWOT analysis is one tool used here and will be explained in detail in Chapter 5.

From these three processes, the relative attractiveness of the different markets or segments can be evaluated.

One way of summing up much of the key information is a portfolio matrix such as a Boston Matrix or a Directional Policy Matrix. These are explained in detail in Chapter 5.

We now turn our attention to one of the key determinants of successful marketing planning – *market segmentation*. This is fundamental to the matching process described in Chapter 1. But, in order to understand market segmentation, it is first necessary to appreciate the difference between ► **customers** and ► **consumers**, the meaning of *market share* and the phenomenon known as the *Pareto effect*.

The consumer is the final user of goods or services. Customers are people or organizations who buy directly from us.

THE DIFFERENCE BETWEEN CUSTOMERS AND CONSUMERS

Let us start with the difference between customers and consumers. The term 'consumer' is interpreted by most to mean the final consumer, who is not necessarily the customer. Take the example of a mother or father who is buying breakfast cereals. The chances are that they are intermediate customers, acting as agents on behalf of the eventual consumers (their family) and, in order to market cereals effectively, it is clearly necessary to understand what the end-consumer wants, as well as what the parents want.

This is only relevant in that it is always necessary to be aware of the needs of eventual consumers down the buying chain.

Consider the case of the industrial purchasing officer buying raw materials such as wool tops for conversion into semi-finished cloths, which are then sold to other companies for incorporation into the final product, say a suit, or a dress, for sale in consumer markets. Here, we can see that the requirements of those various intermediaries and the end user are eventually translated into the specifications of the purchasing officer to the raw materials manufacturer. Consequently, the market needs that this manufacturing company is attempting to satisfy must in the last analysis be defined in terms of the requirements of the ultimate users – the consumer – even though the direct customer is quite clearly the purchasing officer.

Given that we can appreciate the distinction between customers and consumers and the need constantly to be alert to any changes in the ultimate consumption patterns of the products to which our own contributes, the next question to be faced is: who are our customers?

Direct customers are those people or organizations who actually buy direct from us. They could, therefore, be distributors, retailers and the like. However, as intimated in the previous paragraph, there is a tendency for organizations to confine their interest, hence their marketing, only to those who actually place orders. This can be a major mistake, as can be seen from the following case history.

A fertilizer company that had grown and prospered because of the superior nature of its products, reached its farmer end-users via merchants (wholesalers). However, as other companies copied the technology, the merchants began to stock competitive products and drove prices and margins down. Had the fertilizer company paid more attention to the needs of its different farmer groups and developed products especially for them, based on farmer segmentation, it would have continued to create demand pull through differentiation.

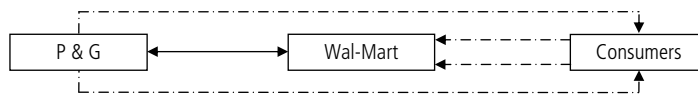
This company recovered its position by understanding the needs of its different farmer groups and targeting them with specific propositions, resulting in it becoming the most profitable company in its sector.

A fuller explanation of how it did this is provided later in this chapter.

MARKETING INSIGHT

There are countless other examples of companies which, because they did not pay sufficient attention to the needs of users further down the value chain, gradually ceased to provide any real value to their direct customers and eventually went out of business.

An excellent example of good practice is Procter & Gamble (P&G) in the USA supplying Wal-Mart, the giant food retailer. As can be seen from the simple diagram below, P&G create demand pull (hence high turnover and high margins) by paying detailed attention to the needs of consumers. But they also pay detailed attention to the needs of their direct customer, Wal-Mart. Wal-Mart are able to operate on very low margins because, as the bar code goes across the till, this is when P&G invoice them, produce another and activate the distribution chain, all of this being done by means of integrated IT processes. This way, they have reduced Wal-Mart's costs by hundreds of millions of dollars.



Closely related to the question of the difference between customers and consumers is the question of what our market share is.

MARKET SHARE

Most business people already understand that there is a direct relationship between relatively high share of any market and high returns on investment (ROI), as shown in Figure 3.4.

Clearly, however, since BMW are not in the same market as Ford, for example, it is important to be most careful about how 'market' is defined. Correct market definition is crucial for: measuring market share and market growth; the specification of target customers; recognition of relevant competitors; and, most importantly of all, the formulation of marketing strategy, for it is this, above all else, that delivers differential advantage.

The general rule for 'market' definition is that it should be described in terms of a customer need in a way that covers the aggregation of all the products or services that customers regard as being capable of satisfying the same need. For example, we would regard the in-company caterer as only one option when it came to satisfying lunchtime hunger. This particular need could also be satisfied at external restaurants, public houses, fast food specialists and sandwich bars. The emphasis in the definition, therefore, is clearly on the word 'need'.

Aggregating currently available products/services is, however, simply an aid to arriving at the definition, as it is important to recognize that new products, yet to be developed, could better satisfy the users' needs. For example, the button manufacturer who believed their market was the 'button market' would have been very

A market is the aggregation of all the products or services which customers regard as being capable of satisfying the same need.

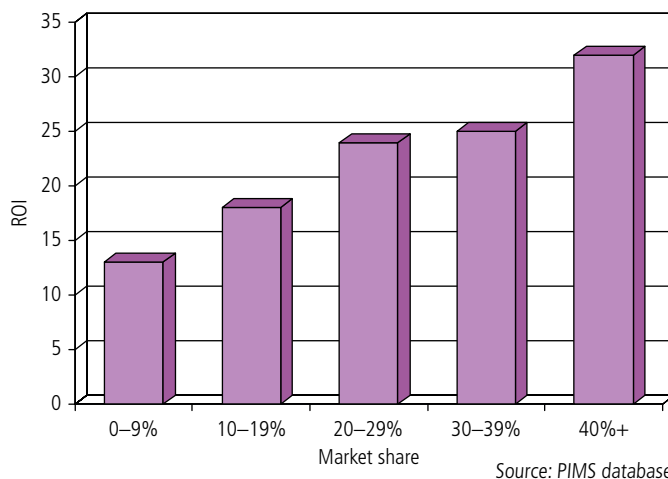
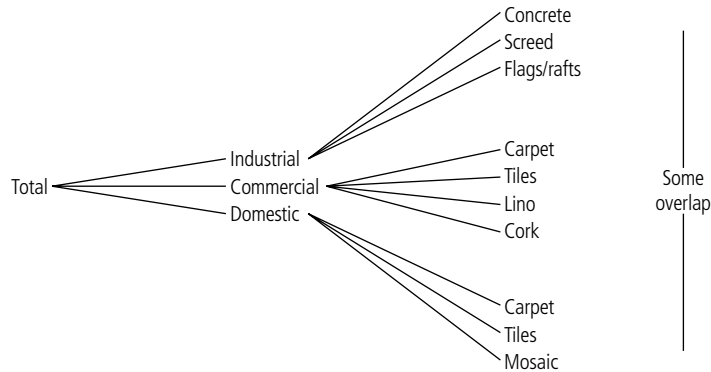


Figure 3.4: The relationship between market share and return on investment.

disappointed when zips and Velcro began to satisfy the need for fastenings! A needs-based definition for this company would have enabled the management to recognize the fickleness of current products, and to accept that one of their principal tasks was to seek out better ways of satisfying their market's needs and to evolve their product offer accordingly.

The following example may help in defining the market your business is in.

A company manufacturing nylon carpet for the commercial sector wanted to check that it had a realistic definition of the market it was in. The first step was to map out the total available market for all floor covering:



Clearly, it would be wrong to include the three types of floor covering used in the industrial sector in the company's market definition. The qualities required from such flooring cannot hope to be matched in a carpet made from any currently known type of fibre. Similarly, in both the commercial and domestic sectors, nylon carpet is not a competitor for the luxury end of the market. This luxury part of the market buys carpet made from natural fibres, particularly wool.

This leaves the non-luxury commercial and domestic sectors which, in total, represented the company's potential available market. It was potentially available because the company could, for example, produce nylon carpet for the domestic sector and extend its market this way. Similarly, the company could move into manufacturing nylon carpet tiles and extend its operation into this product for both the domestic and commercial sectors. There was also no reason why the company should not look at replacing lino, cork or mosaic flooring with nylon carpet.

Many of the opportunities in the potentially available market, however, represent possible strategies for the future. They would be considered during the marketing planning process when the future plans for the current business activity did not achieve the required financial targets. The question now, therefore, is, what is the company's realistically available market?

To assist the company in this final stage of arriving at a market definition the 'needs' being met by the current products, as highlighted by the current customers, were first listed. This revealed that the company's nylon carpet was bought because:

- it fell into a particular price range
- it was quiet underfoot
- it had a life expectancy of 15 years
- it was available in pleasant colours and textures
- the market was within the same country as the manufacturing plant, for reasons of efficient, timely distribution and costs.

In addition to the obvious, this list removed lino, cork and mosaic from the company's available market.

Finally, the company looked at the applicability of its current distribution and selling methods to the potentially available market, ruling out those sections of the market which required different selling and distribution approaches. This meant that it was unrealistic to include the domestic sector in the market definition.

Products and manufacturers which met all the criteria were then listed, along with their end users. The company had now arrived at both a market definition and a current market size, while still keeping open the option of extending it, should the need arise.

This example also illustrates the need to arrive at a meaningful balance between a wide market definition and a manageable market definition. Too narrow a definition has the pitfall of restricting the range of new opportunities that segmentation could open up for your business.

It is necessary to arrive at a meaningful balance between a wide market definition and a manageable market definition.

On the other hand, too wide a definition may make marketing planning meaningless. For example, the television broadcasting companies are in the 'entertainment' market, which also consists of online games, theatres, cinemas and theme parks, to name but a few. This is a fairly wide definition. It may, therefore, be more manageable for the television broadcasters, when looking at segmenting their market, to define their market as being the 'home entertainment' market. This could then be further refined into the pre-school, child, teenager, family or adult home entertainment market.

To help with calculating market share the following definitions are useful:

- Product class, e.g. computers, software, carpets.
- Product subclass, e.g. personal computers, accounting software, carpet tiles.
- Product brand, e.g. Lynx, IBM, Intel, Heuga.

Lynx as a brand (known as Axe in some countries), for the purpose of measuring market share, is only concerned with *the aggregate of all other brands that satisfy the same group of customer wants*. Nevertheless, the manufacturer of Lynx also needs to be aware of the sales trends of deodorants and the personal care market in total.

One of the most frequent mistakes that is made by people who do not understand what market share really means is to assume that their company has only a small share of some market, whereas if the company is commercially successful, it probably has a much larger share of a smaller market.

While it is tempting to think that the examples given above amount to 'rigging' the definition of market and that there is the danger of fooling ourselves, we must never lose sight of the purpose of market segmentation, which is to enable us to create competitive advantage for ourselves by creating greater value for our customers.

MARKETING INSIGHT

Thus, for the carpet manufacturer, or for a London orchestra that defines its market as the aggregation of all London classical orchestras rather than as all entertainment, as long as its market definition enables it to outperform its competitors and grow profitably, this is the key. Obviously, however, the definition needs to be kept under review and revised, if necessary.

To summarize, correct market definition is crucial for the purpose of:

- share measurement
- growth measurement
- the specification of target customers
- the recognition of relevant competitors
- the formulation of marketing objectives and strategies.

This brings us to another useful and fascinating observation about markets.

PARETO EFFECT

It is a phenomenon commonly observed by most companies that a small proportion of their customers account for a large proportion of their business. This is often referred to as the 80/20 rule, or the ► **Pareto** effect, whereby about 20 per cent of customers account for about 80 per cent of business.

Pareto’s law indicates that approximately 20 per cent of any activity will result in approximately 80 per cent of the output.

If we graph the proportion of customers that account for a certain proportion of sales, then we might expect to find a relationship similar to that shown in Figure 3.5. Here, customers have been categorized simply as A, B or C according to the proportion of sales they account for. The A customers, perhaps 25 per cent of the total, account for about 70 per cent of sales; B customers, say 55 per cent of the total, account for 20 per cent of total sales; and C customers, 20 per cent of the total, account for the remaining 10 per cent of sales.

The Pareto effect is found in almost all markets, from capital industrial goods to banking and consumer goods. What is the significance of this? What is certain is that it does not mean that a company should drop 80 per cent of its customers! For one thing, the sales volume bought by these customers makes a valuable contribution to overheads. For another, it is almost certain that the 80/20 rule would still apply to the remaining 20 per cent. One could go on forever, until

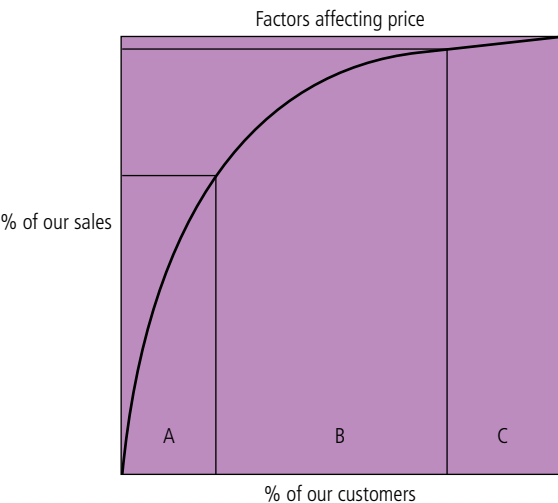


Figure 3.5: The ‘80/20’ effect.

there was only a single customer left! However, in carrying out this kind of analysis, it should become obvious where the company should be placing its greatest effort.

There are, however, two serious dangers. The first is that this form of analysis is static. In other words, the best potential customers may well be in the 80 per cent, or even in the larger group of non-customers. The second is that the same analysis needs to be done for profitability, preferably using activity-based costing (ABC) to establish whether the top 20 per cent of customers are also contributing to the largest proportion of profits.

It is obvious, then, that while such analysis is vital, great care is necessary over how it is used. This is something we can now begin to discuss.

One manufacturer in the soft drinks industry did an analysis of its trade in the south-east of England and found that almost 85 per cent of its trade was coming from 20 per cent of its customers. Yet exactly the same service was being given to them all. All were receiving fortnightly calls from the sales force, all received a fortnightly delivery, and all paid the same price for the product. Not surprisingly, this led to an enormous investment in depots and vehicles, while the associated operating expenses were out of all proportion to the margins enjoyed by the company. In this case, there was a simple answer. Most of the small accounts were handed over to a grateful wholesaler, which freed valuable capital and management time to concentrate on the really important areas of the business. Meanwhile, the company's pricing policy was revised to reward those customers who bought more, and the sales force was now free to concentrate on developing its existing business and on opening new profitable outlets.

MARKETING INSIGHT

The chairman of one European airline, alas now bankrupt, told his assembled general managers that his ambition was for his airline to be the best in the world and to provide customer service to the point of obsession. The problem was that his airline didn't compete in many markets, while their unfocused customer obsession policy led them to give service they just couldn't afford. Heroic and unfocused statements such as this chairman's do more harm than good!

One of the most important aspects of marketing planning is being able to choose the best 20 per cent of your market to focus on, the 'best' being the most profitable now and in the future. A method of doing this will be provided in Chapter 5.

MARKET DEFINITION AND SEGMENTATION

Introduction

It has become clear after at least 100 years of formalized marketing that market definition and segmentation are the very core of the discipline.

How to measure market share has always been at the centre of controversy in discussions of success or failure. As stated earlier, defining a market too widely or too narrowly can both lead to meaningless statistics.

A market segment consists of a group of customers within a market who share a similar level of interest in the same, or comparable, set of needs.

The remainder of this chapter deals in detail with these problems.

While this is not the place to spell out the academic history of market segmentation in detail, it is so crucial to the success of marketing planning that at least a brief commentary is called for. For fuller reviews of the earlier history of market segmentation, see Jenkins and McDonald (1997)¹ and Bailey et al. (2009).²

The father of market segmentation is widely considered to be Wendell Smith (1956),³ who proposed market segmentation as an alternative to product differentiation. Wind's (1978)⁴ review of the state of market segmentation sent it to the top of the agenda of researchers and practitioners. His plea was for new segmentation bases, data analysis techniques and for generally putting market segmentation at the heart of strategic decision making. His recommendations were taken up by leading companies from the 1980s onwards, but practice remained patchy.

In 2009, a whole issue of the *Journal of Marketing Management* was devoted to market segmentation. They confirmed that most of the academic work over the intervening years had been primarily around what segmentation bases to use, such as size of purchase, customer characteristics, product attributes, benefits sought, service quality, buying behaviour and, more recently, propensity to switch suppliers, with much of this work being biased towards fast-moving consumer goods rather than to business-to-business (B2B) and services. But in practice, B2B segmentation remained remarkably poor, while business-to-consumer (B2C) segmentation purely on demographics was still all too common.

One of the author's articles in that issue⁵ was representative of debates in 2000s and 2010s about the relationship between segmentation and the one-to-one strategies enabled by customer relationship management (CRM) and other digital developments. While Coviello et al. (2002)⁶ among others had proposed one-to-one as a successor to market segmentation, Wilson et al. (2002)⁷ found that most CRM projects fail because of poor segmentation. Rigby et al. (2002)⁸ summed this up succinctly by saying that trying to implement CRM without segmentation is like 'trying to build a house without engineering measures or an architect's plan'.

Given all this academic and practitioner focus over 80 years, it is surprising that so little progress has been made. In 2005, Christensen et al.⁹ in the *Harvard Business Review* found that of 30,000 new products launched in the USA, 85 per cent failed because of poor market segmentation. Yankelovich's paper in 2006¹⁰ also reported the widespread failure of segmentation initiatives. Nor were things much better by 2021, according to an academic systematic review.¹¹ This matches the authors' own research. Their analysis of 3,000 marketing plans revealed that only 300 contained proper needs-based segmentation – that is, 90 per cent didn't.

The authors, who have executive experience in blue chips from FMCG to IT, and having worked on practical segmentation with senior teams from leading global multinationals down to SMEs for 30 years, find much of the academic debate referred to above somewhat arrogant and inward-looking.

The justification for saying this is that anyone who says 'we segment markets by . . .' is totally missing the point. Any market, once correctly defined in terms of needs rather than products, consists of 100 per cent of what is bought, how it is used and why it is bought and used in these ways. The role of any supplier is to understand these behavioural patterns and to discover their rationale, rather than trying to impose some predetermined segmentation methodology onto the market.

The purpose here is to spell out proven methodologies for market definition and market segmentation developed over a 30-year period of research at Cranfield School of Management,

Excellent strategies	Weak strategies
Target needs-based segments	Target product categories
Make a specific offer to each segment	Make similar offers to all segments
Leverage their strengths and minimize their weaknesses	Have little understanding of their strengths and weaknesses
Anticipate the future	Plan using historical data

Table 3.1: The link between shareholder value added and excellent strategies.

Warwick Business School and Smart Insights. During this period, a link between shareholder value creation and excellent marketing is shown in the left-hand column of Table 3.1.

Essential Background

A market is the aggregation of all the products or services which customers regard as being capable of satisfying the same need.

(Malcolm McDonald and Ian Dunbar, *Market Segmentation*, Goodfellow Publishing, Oxford, 2010).

Companies frequently confuse target markets with products – pensions or aero-engines, for example. This, coupled with a lack of knowledge about the sources of differential advantage against each segment, signals trouble. Figure 3.6 shows the first attempt at a market map by a publisher of marketing books.

Figure 3.7 shows their second attempt when, instead of defining their market as ‘books’, they defined their market as the promulgation of marketing knowledge in order to reflect the customers’ need. This led to a whole new corporate strategy.

Many companies pride themselves on their market segmentation even though these so-called ‘segments’ are in fact ‘sectors’, which is a common misconception. Everyone with a marketing qualification knows that a segment is a group of customers with the same or similar needs and that there are many different purchase combinations within and across sectors.

But the gravest mistake of all is *a priori* segmentation. Most books state that there are several bases for segmentation, such as socio-economics, demographics, geo-demographics and the like. But to just pick one misses the point totally. For example, Boy George and the Archbishop of Canterbury are both socio-economic group A, but they don’t behave the same! Nor do all 18-to 24-year-old women (demographics) behave the same! Nor does everyone in one street (geo-demographics) behave the same!

All goods and services are made, distributed and used and the purchase combinations that result make up an actual market, so the task is to understand market structure, how the market works and what these different purchase combinations (segments) are.

First, let us examine the factors that cause markets to break into smaller groups (see Figure 3.8).

When new things are invented, such as electric bikes, peer-to-peer lending platforms, vaping and the like, not everyone adopts them at the same time. Many years ago an American

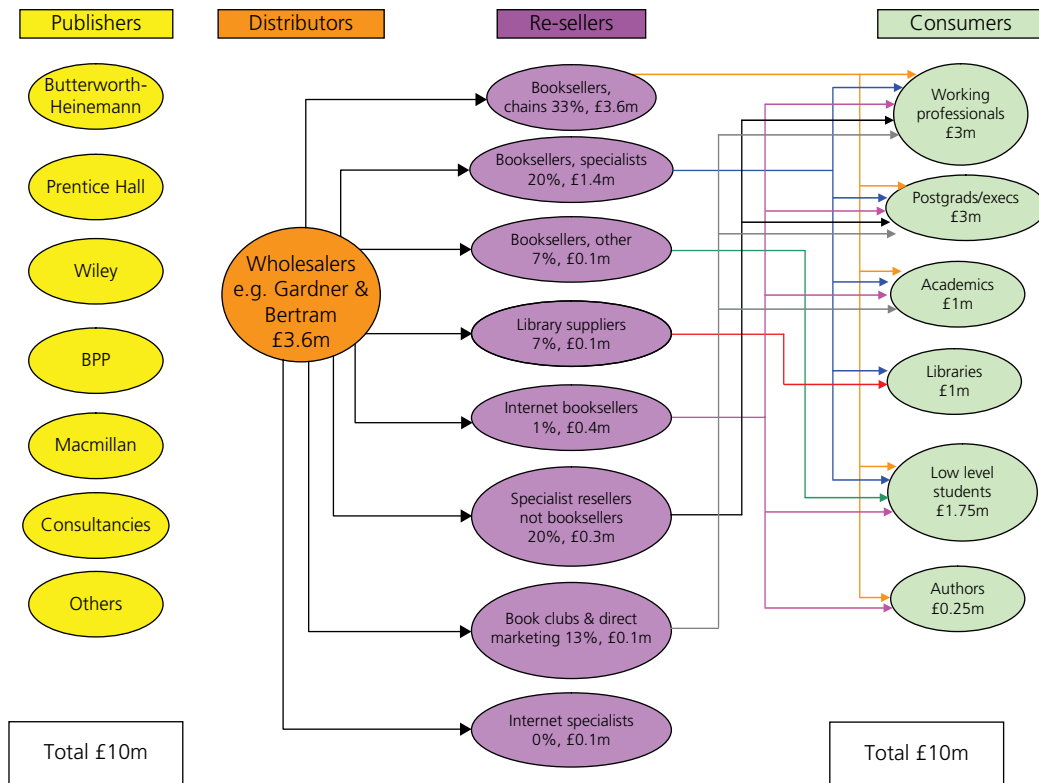


Figure 3.6: Original market map of the marketing books market.

researcher, called Everett Rogers, studied how new products are defused across markets over time. Imagine that television has just been invented. Let us take any market, Germany will do, and let us imagine that there are only 100 households in Germany. Let us further imagine that there is a law limiting each household in Germany to only one television. Clearly, the potential market for televisions in Germany is 100, but not everyone buys one at the same time. Someone has to be the first to adopt new products.

Normally, about 2.5 per cent of any population will be the first to adopt new products. These people are known as 'Innovators'. They are very unusual people who enjoy being different.

These people are followed by another group, known as 'Opinion Leaders'. They tend to be affluent, well educated and very privileged, and they are independent thinkers, who do not care much what other people think of them. They are, however, crucial in getting any new product or service adopted. We can think of them as the Joneses, in the sense of the expression: 'Keeping up with the Joneses'.

This group is followed by a much larger group known as the 'Early Majority'. These people admire the opinion leaders and can be thought of as the Smiths, in the sense of the expression: 'The Smiths try to keep up with the Joneses'. When these people start to enter a market, there is a rapid growth in sales.

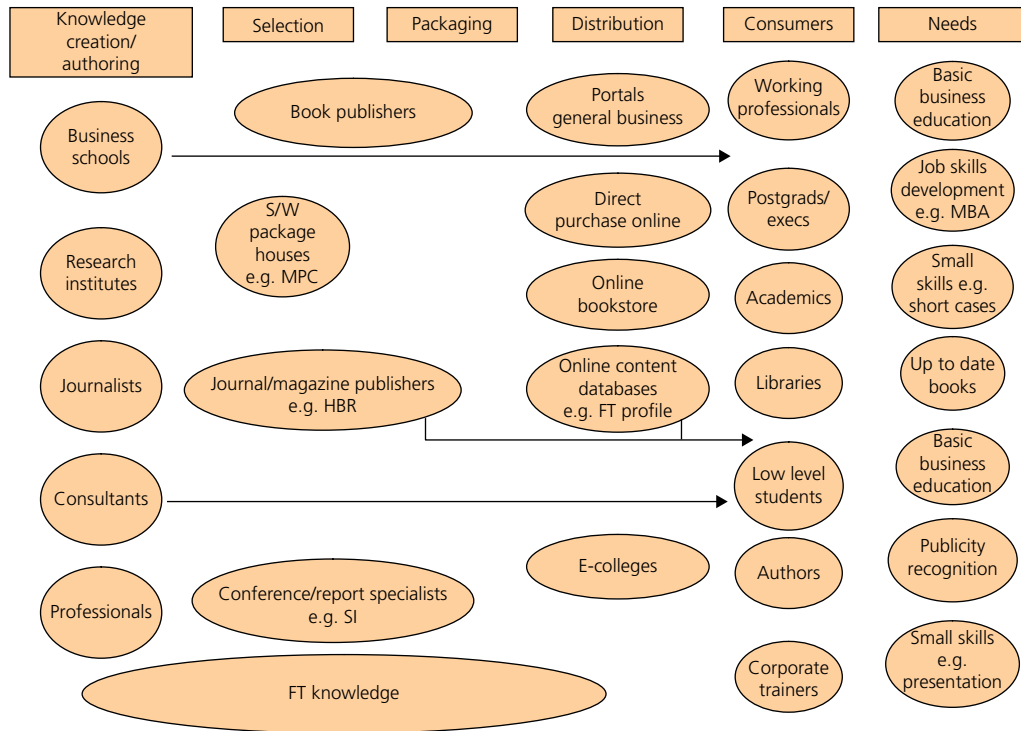


Figure 3.7: Market map of the market for the acquisition of marketing knowledge.

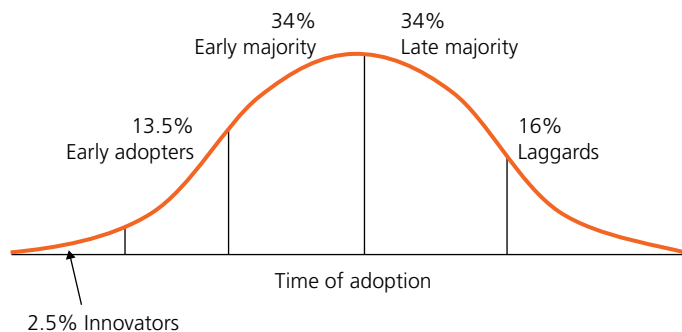


Figure 3.8: Non-cumulative diffusion pattern.

Source: Adapted from E.M. Rogers (2010) *Diffusion of Innovations*, Simon and Schuster.

By now, approximately 50 per cent of all those who could adopt the new product have done so, and it is now that the 'Late Majority' begin to enter the market. Generally, these people are less privileged and less affluent, and price often becomes important at this stage in the market.

Finally, the remaining 16 per cent of the population adopt the new technology. Everett Rogers referred to these people as 'Laggards'. By now, everyone who could have one has got one. For

example, in the United Kingdom, almost everyone has a smartphone, and the market can now be considered to be a replacement market, in which growth will be dependent on population size, demographics and the like. Clearly, in mature markets, getting growth will be much more difficult.

Although this is not the purpose of this chapter, it is useful to note, before we leave the diffusion of innovation curve, that when launching a new product or service, it is advantageous to know who the opinion leaders are in a market, as these people should be targeted first by the sales force, and by other promotional media, as they will be the most likely to respond. For example, certain doctors will be more open-minded about new drugs, whereas other doctors will not risk prescribing a new drug until it has been on the market for a number of years.

The diffusion of innovation curve also explains the phenomenon known as the product lifecycle, and why, after the 50 per cent point on the diffusion of innovation curve is reached, the market continues to grow but the rate of growth begins to decline until maturity is reached (see Figure 3.9).

At the beginning of any market, technology tends to be the driving business force, largely because new products tend to be at the cutting edge. As the new technology begins to take hold, as explained by Everett Rogers,¹² production tends to be very important, because at this stage it is not unusual for demand to be greater than supply. However, as the market grows and new entrants begin to introduce competitive products, sales as a function becomes increasingly important, as the new competition entails a growing consumer choice. A problem frequently occurs at the next stage of the market lifecycle, as there is now more supply than demand, so frequently organizations attempt to cut costs, hence accountancy tends to come to the fore. This is often followed by implementing the latest management consultancy fads, from 'Agile' and 'Lean startup' to 'Holacracy' and 'Teal'. These all have their place in producing a flexible, productive organization, but they're hardly a silver bullet for responding to market maturity. Finally, however, all organizations come to the same conclusion, which is that they need to understand their consumers and customers better in order to meet their needs and this, of course, is where market segmentation, the subject of this section of this chapter, becomes crucial.

All this has been explained in order to introduce the key concept of market segmentation and why it happens. Clearly, in the early days, markets will tend to be homogeneous. But, as demand grows rapidly with the entry of the early majority, it is common for new entrants to offer variations on the early models, as we have just explained, and consumers now have a choice. In order to explain this more clearly, let us illustrate the approximate shape of markets. If we were to plot the car market in terms of speed and price, we would see very small, inexpensive cars in the bottom left-hand corner of Figure 3.10. In the top right, we would see very fast, expen-

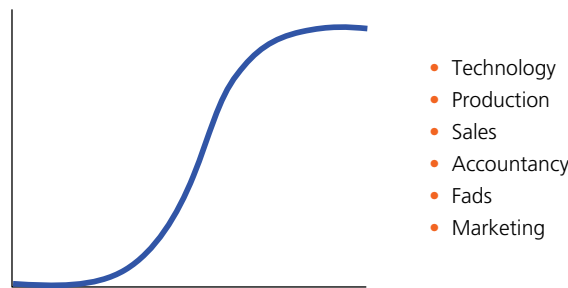


Figure 3.9: The diffusion of innovation curve.

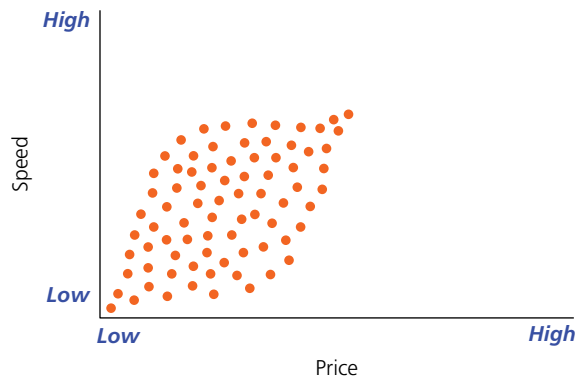


Figure 3.10: Illustration of the shape of the car market.

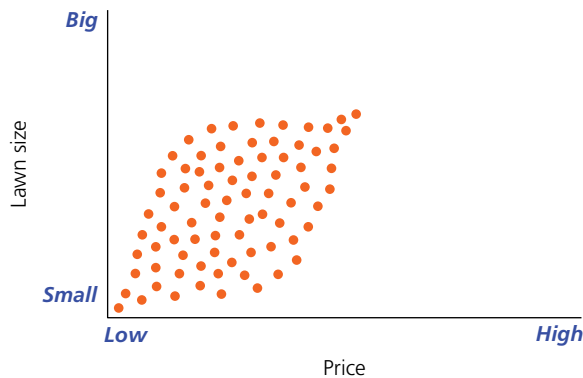


Figure 3.11: Illustration of the shape of the lawn mower market.

sive cars. Most cars, however, would cluster in the middle; what we might call: 'The Mr and Mrs Average market'.

In the same way, the lawn mower market would look very similar (see Figure 3.11). With lawn size on the vertical axis and price on the horizontal axis, at the bottom left would be small, inexpensive, hand-pushed mowers, with expensive sit-on machines for large estates in the right-hand corner.

That leaves the majority of the market with average size lawns, and average-sized lawn mowers, which is where the mass market is.

We can redraw this to represent the shape of any market, particularly at the early growth stage (the shape on the left in Figure 3.12). But when rapid growth begins, new entrants join the market and offer variations on standard products in order to attract sales, and it is at this stage that markets begin to break into smaller groups, while still growing overall. (This is represented by the shape in the middle.) Eventually, when markets mature, and there is more supply than demand, any market growth tends to come in the lower price end of the market, while the top end of the market tends to be immune. (This is represented by the shape on the right.) It is usually the middle market that suffers at this stage, with many competitors vying with each other on

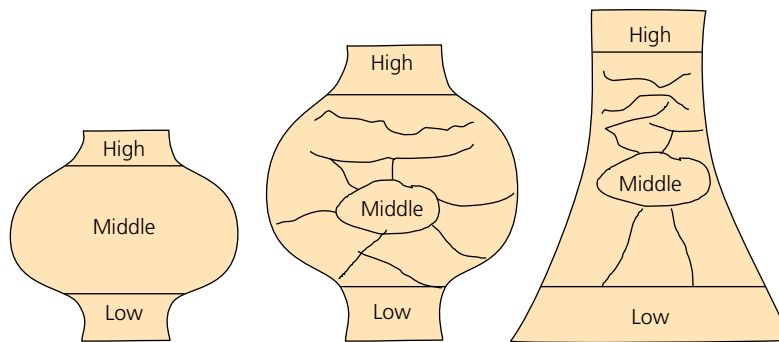


Figure 3.12: The shape of markets from birth to maturity.

price. This, however, is the whole point of market segmentation, for competing only on price is to assume that this is the main requirement of customers, whereas the truth is that this is rarely the case. It is just that a general lack of understanding about market segmentation on the part of suppliers about the real needs of customers in mature markets forces them to trade on price, so encouraging the market to become a commodity market.

It is not widely known that price is rarely the decisive factor in most buying situations. Harvard consumer psychologist Zaltman¹³ documents that while we think we are rationally comparing alternatives on quality and price, 95 per cent of our purchase decisions are entirely subconscious, and primarily emotional. It is certainly the experience of the authors over many years of working on every continent of the world that price accounts for less than 10 per cent of all decisions.

The segmentation project for the fertilizer case study referred to earlier revealed that there were seven distinct types of farmer, each with a different set of needs – three of which are illustrated in Figure 3.13. To give just a few examples of these segments: first, there was a segment they called Arthur, a television character known for his deals. He bought on price alone but represented only 7 per cent of the market, not the 100 per cent put about by everyone in the industry, especially the sales force. Another type of farmer they called Oliver. Oliver, an arable farmer, would drive around his fields on his tractor with an aerial linked to a satellite and an on-board computer. He did this in order to analyse the soil type and would then mix P, N and K, which are the principal ingredients of fertilizer, solely to get the maximum yield out of his farm. In other words, Oliver was a scientific farmer, but the supply industry believed he was buying on price because he bought his own ingredients as cheaply as possible. He did this, however, only because none of the suppliers bothered to understand his needs. Another type of farmer they called Martin. Martin, a dairy farmer, was a show-off and liked his grass to look nice and healthy. He also liked his cows to look nice and healthy. Clearly, if a sales representative had talked in a technical way to Martin, he would quickly switch off. Equally, to talk about the appearance of crops would have switched Oliver off, but this is the whole point. Every single supplier in the industry totally ignored the real needs of these farmers, and the only thing anyone ever talked about was price. The result: a market driven by price discounts, accompanied by substantial losses to the suppliers. ICI, however, armed with this new-found information, launched new products and new promotional approaches aimed at these different farmer types, and got immediate results, becoming the most profitable subsidiary of ICI and the only profitable fertilizer company in the country.

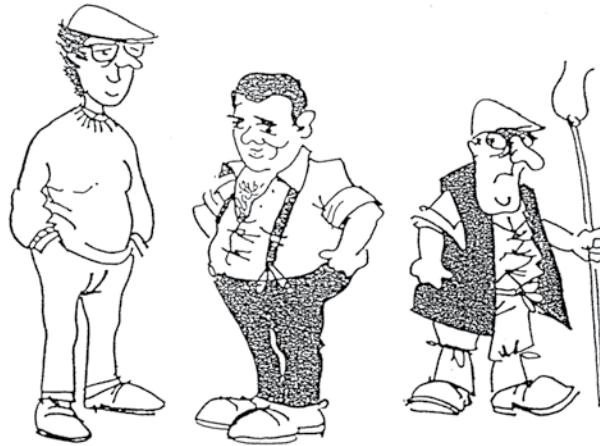


Figure 3.13: Examples of segments for the fertilizer case study.

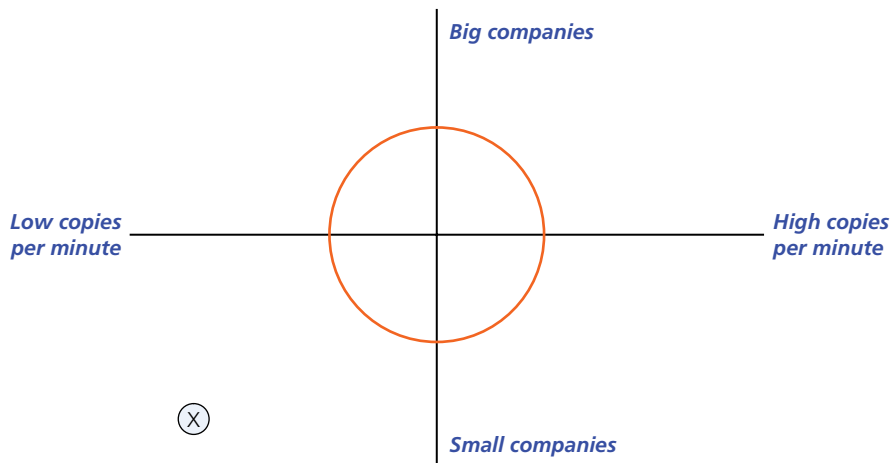


Figure 3.14: The photocopier market in the 1970s.

Let us now return to market dynamics and what happens to markets at the rapid growth stage. At this stage, new entrants come into the market, attracted by the high sales and high profits enjoyed by the industry. Let us illustrate this with another case history. In the early 1970s, a photocopier company had 80 per cent market share and massive profit margins. This is represented by the big circle in the middle of Figure 3.14. When a Japanese newcomer entered the market with small photocopiers, the giant ignored them. The Japanese product grew in popularity, however, forcing the giant to reduce its prices. Within three years, the giant's share was down to 10 per cent, and the battle was lost. They had failed to recognize that the market was segmented and tried to compete in all segments with their main product, a mistake made by hundreds of erstwhile market leaders. The main point about this case history is that companies should not attempt to compete in all segments with the same product, but should recognize that different segments or need groups develop as the market grows, and that they should develop appropriate products and services, and position and brand them accordingly.



<i>Key characteristics</i>	Unique	Product differentiation	Service differentiation	"Commodity"
<i>Marketing message</i>	Explain	Competitive	Brand values	Corporate
<i>Sales</i>	Pioneering	Relative benefits distribution support	Relationship based	Availability based
<i>Distribution</i>	Direct selling	Exclusive distribution	Mass distribution	80 : 20
<i>Price</i>	Very high	High	Medium	Low (consumer controlled)
<i>Competitive intensity</i>	None	Few	Many	Fewer, bigger international
<i>Costs</i>	Very high	Medium	Medium/low	Very low
<i>Profit</i>	Medium/high	High	Medium/high	Medium/low
<i>Management style</i>	Visionary	Strategic	Operational	Cost management

Figure 3.15: The product/market lifecycle and market characteristics.

Figure 3.15 summarizes all of this by showing a product lifecycle representation with some generalizations about how marketing strategies change over time (product lifecycles are explained in more detail in the next chapter). From this, which we suggest you study carefully, you will see at least four major changes that occur over the lifecycle. At the top of the far right-hand column, you will see the word 'commodity', but the point we want to make is that this is by no means inevitable, and only occurs in markets where the suppliers do not understand the power of market segmentation, as illustrated in the fertilizer case history. There are other options, of course, including the option to get out of mature markets. Another is to move the goalposts as it were, somewhat in the manner of First Direct, Amazon, Airbnb, Uber, Spotify and countless others. The strategy we want to concentrate on here, however, is market segmentation, which in our view should be the very first consideration as markets begin to mature.

MARKET SEGMENTATION – HOW TO DO IT

We can now begin to concentrate on a methodology for making market segmentation a reality, market segmentation being the means by which any company seeks to gain a differential advantage over its competitors.

Markets usually fall into natural groups, or segments, which contain customers who exhibit a similar level of interest in the same, or comparable, set of needs.

These segments can be regarded as forming separate markets in themselves and can often be of considerable size. Taken to its extreme, each individual consumer is a unique market segment, for all people are different in their requirements. While CRM systems have made it possible to engage in one-to-one communications, this is not viable in most organizations unless the appropriate organizational economies of scale have been obtained at a higher level of aggregation such as at segment level. Consequently, products are made to appeal to groups of customers who share approximately the same needs.

It is not surprising, then, to hear that there are certain universally accepted criteria concerning what constitutes a viable market segment:

- Segments should be of an adequate size to provide the company with the desired return for its effort.
- Members of each segment should have a high degree of similarity in their requirements, yet be distinct from the rest of the market.
- Criteria for describing segments must enable the company to communicate effectively with them.

While many of these criteria are obvious when we consider them, in practice market segmentation is one of the most difficult of marketing concepts to turn into a reality. Yet we must succeed, otherwise we become just another company selling what are called 'me too' products. In other words, what we offer the potential customer is very much the same as what any other company offers and, in such circumstances, it is likely to be the lowest priced article that is bought. This can be ruinous to our profits, unless we happen to have lower costs, hence higher margins, than our competitors.

There are basically three stages to developing segments, all of which have to be completed (see Figure 3.16).

The first establishes the scope of the project by specifying the geographic area to be covered and defining the 'market' which is to be segmented, followed by taking a detailed look at the way this market operates and identifying where decisions are made about the competing products or services. Successful segmentation is based on a detailed understanding of decision makers and their requirements.

The second is essentially a manifestation of the way customers actually behave in the marketplace and consists of answering the question 'Who is specifying what?'

The third stage looks at the reasons behind the behaviour of customers in the marketplace and answers the question 'Why?' and then searches for market segments based on this analysis of needs.

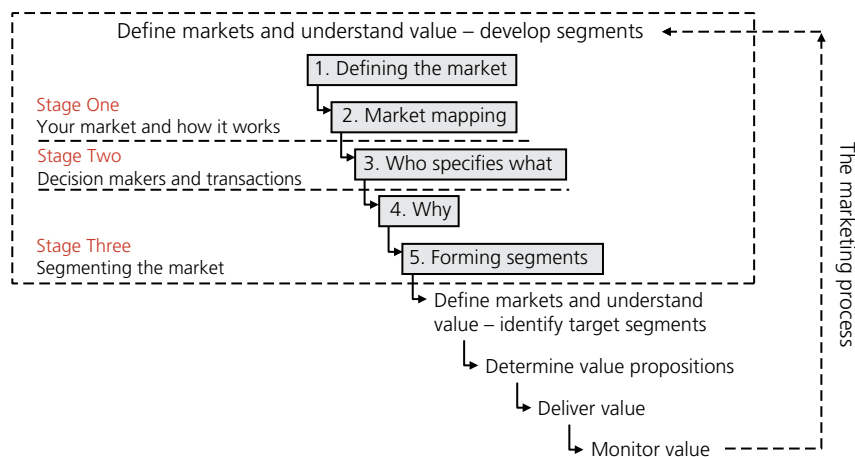


Figure 3.16: The process of developing segments and its position in the marketing process.

The following sections provide an overview of the steps required to complete these three stages and is presented in a format for conducting a segmentation project using internal resources.

Stage 1 – Your Market and How it Works

Defining the market

The first step in market segmentation establishes the scope of the segmentation project by specifying the geographic area covered by the project and by clearly understanding from a customer's perspective the 'market' in which your products or services are competing with those of your competitors. Where necessary, the scope is modified to take into account the realistic capabilities of your organization.

A clear geographic boundary enables you to size the market, to identify the localities in which the dynamics of the market have to be understood and, once the segments have been identified, to develop the appropriate marketing objectives and strategies for those localities.

Keeping the project within the borders of a single country is a manageable starting point because the stage of market development, the available routes to market and the pattern of marketing activity will probably be the same throughout the country. Even this, however, may be too broad for some companies, simply because their geographic reach is limited by physical and/or economic considerations, or even because their appeal has a strong local sentiment attached to it.

For companies trading in numerous countries around the world, there is clearly an enormous attraction in finding a single global segmentation model that can be applied to every country. However, the experience of 'globalization' has highlighted for many of these companies that they have to 'act local' in order to succeed in their market. This doesn't mean that every country is completely unique in respect of the segments found within it. For the international company, a useful guide to predetermining which countries can be included in a single segmentation project is to ensure that in each of these countries the stage of market development, the available routes to market and the pattern of marketing activity are the same, or at least very similar.

As a reminder, the general rule for 'market' definition is that it should be described in a way which covers the aggregation of all the alternative products or services which customers regard as being capable of satisfying that same need.

Table 3.2 is an example from financial services.

Market	Need
Car insurance	Financial protection to cover the unexpected costs of accidents and losses associated with a motor vehicle
Retirement income	The ability to maintain a desired standard of living (for self and/or dependants) from the date of retirement
Future event planning	Schemes to protect and grow money for anticipated cash calling events (e.g. car replacement/repairs, education, weddings, etc.)
Day-to-day transactions	The ability to store, access and move money as and when required
Income protection	The ability to maintain a desired standard of living (for self and/or dependants) in times of an unplanned loss of salary.

Table 3.2: Some market definitions (personal market).

Having established changes/developments in products and channels by defining markets in terms of needs, it is still necessary to draw a market map for your major products and services. A method for doing this is now explained.

Market mapping

A useful way of identifying where decisions are made about competing products and services and, therefore, for those who then proceed to the next stages of segmentation, is to start by drawing a 'market map'.

A ► **market map** defines the distribution and value added chain between final users and suppliers of the products or services included within the scope of your segmentation project. This should take into account the various buying mechanisms found in your market, including the part played by 'influencers'.

An example of a market map is given in Figure 3.17.

It is useful to start your market map by plotting the various stages (referred to as 'junctions') that occur along the distribution and value added chain between the final users and all the suppliers of products or services competing with each other in the defined market. At the same time, indicate the particular routes to market the products are sourced through, as not all of them will necessarily involve all of these stages.

Note at each junction on your market map, if applicable, all the different types of companies/customers that are found there, as illustrated in Figure 3.18.

It is useful at this point to split the volume or value quantity dealt with by each junction between the junction types. Make the most informed estimates you can for these figures if they are not known and note this as a requirement for any follow-up work. This is shown in Figure 3.19.

What we are particularly interested in is where decisions are made in the market (referred to as 'market leverage points') as this identifies the customer group(s) who we will take through to the next stage of the segmentation process.

A market map defines the chain of organizations, from suppliers of products and services to the final user, through which products are sold and distributed, and along which value is added.

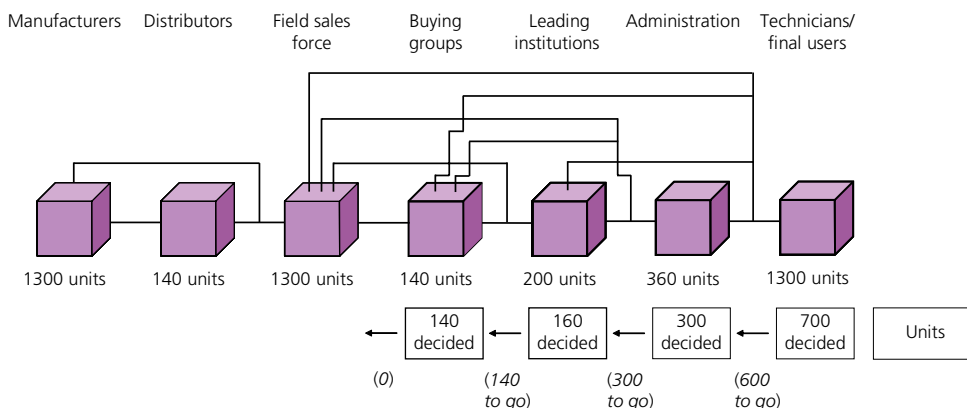


Figure 3.17: Market map – specialized technical equipment – including where decisions are made.

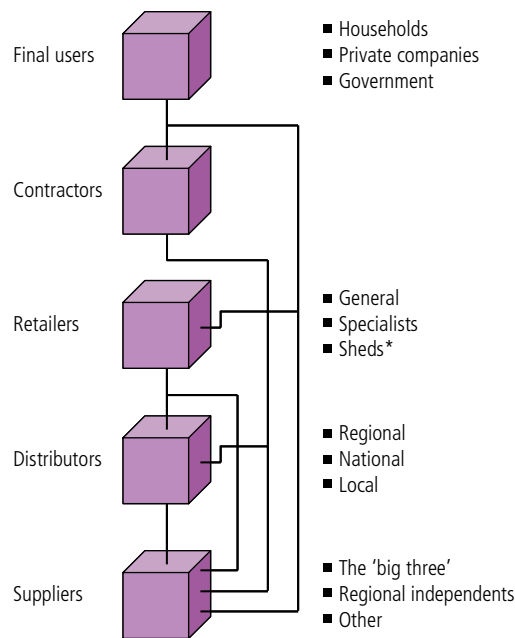


Figure 3.18: Market map listing the different junction types.
Note: **'Sheds' is the name sometimes used to refer to hardware superstores

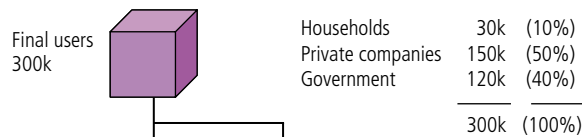


Figure 3.19: Quantities split between junction types.

The easiest junction at which to start this stage of market mapping is the final users' junction, noting at each junction with leverage the volume/value (or percentage of the total market) that is decided there. Once again make the most informed estimates you can; approximate percentages or actuals are acceptable and note this as a further requirement for any follow-up work generated by this first pass at segmenting your market. This is illustrated in Figure 3.20.

In Figure 3.20 we see a market in which 30 per cent of annual sales are decided at junctions other than the final user junction.

An example of a pharmaceutical market map for lipids in South Africa is shown in Figure 3.21.

Without providing a detailed case history – as there isn't space here – only a brief comment is called for. The company (ABC) just wasn't putting its marketing effort into where the decisions were being made as the percentages clearly show.

A second market map (Figure 3.22) is for a type of office equipment. Once again, this map shows a disparity between where the company was putting resources and where decisions were actually being made.

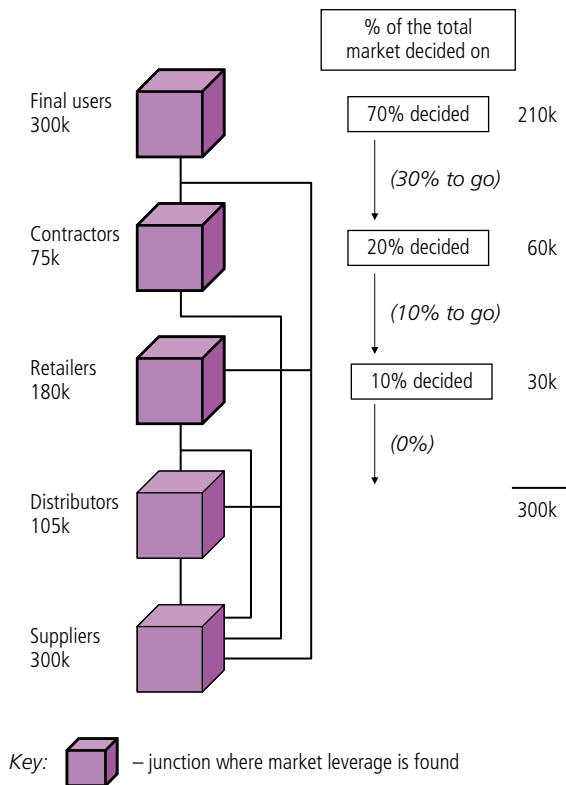


Figure 3.20: Market leverage points on a market map.

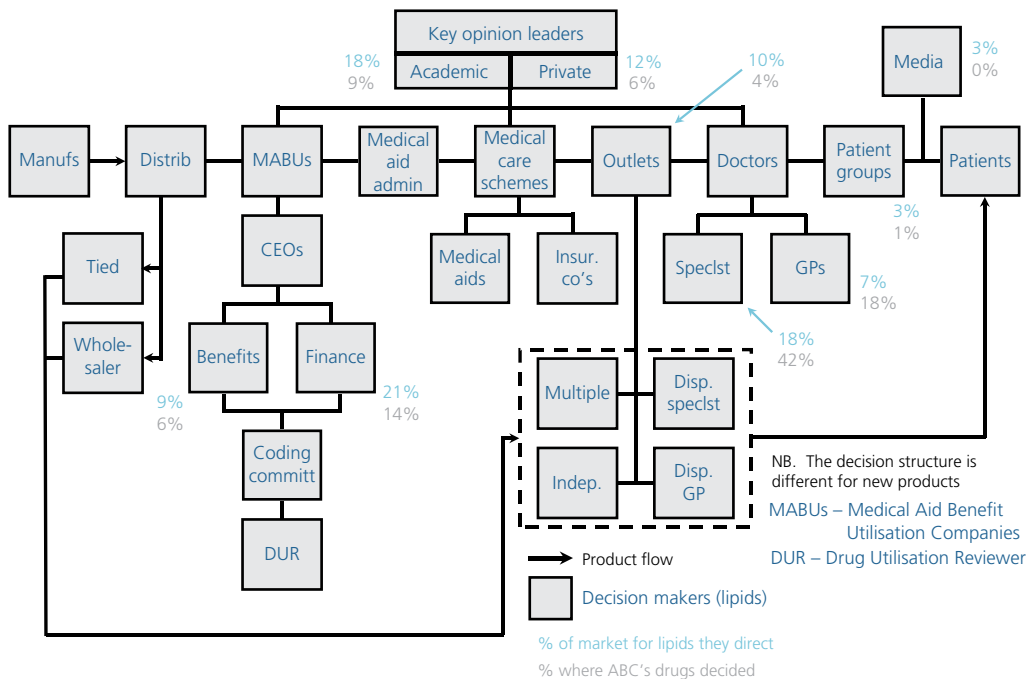


Figure 3.21: Market map – ethical drugs (South Africa).

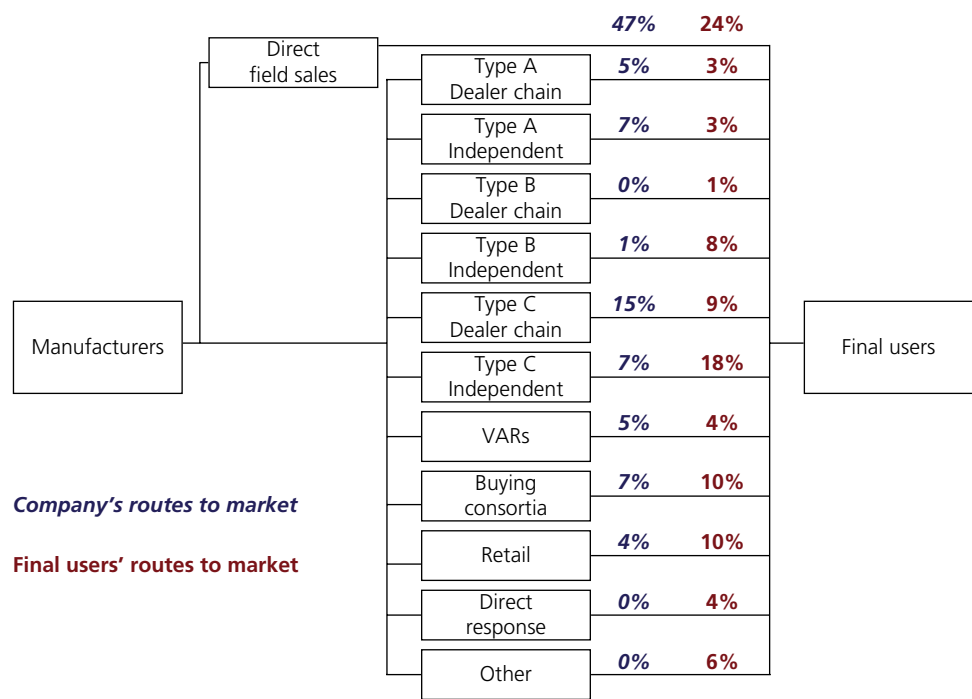


Figure 3.22: Market map – office equipment.

The whole point of market mapping is to answer the question ‘Who is the customer?’ Without this knowledge of where the 80/20 rule applies in terms of where real decisions are made, market segmentation just isn’t possible.

So far, we have built a market map by tracking the distribution and value added chain found between final users and suppliers, and shown the various routes that are taken through the map to link the two together. We then quantified the map. This was followed by expanding the detail to show the different types of companies/customers found at each junction on the map and these were also quantified.

We now need to take each major junction on the market map where decisions are made (i.e. ‘Final users’ in Figure 3.20) and apply the market segmentation process to them.

Stage 2 – Decision Makers and Transactions

Who specifies what, where, when and how?

In this step we are developing a representative sample of different decision makers which identifies the characteristics and properties of a purchase on which decisions are made along with the customer attributes that will be used to describe the decision makers. Each constituent of this sample is called a *micro-segment*.

The uniqueness of a micro-segment is that when determining which of the alternative offers are to be bought, the decision makers it represents demonstrate a similar level of interest in a specific set of features, with the features being the characteristics and properties of ‘what’

Micro-segment	1	2	3	4	5	6	7	8	9	10
What is bought										
Where										
When										
How										
Who										

Figure 3.23: Micro-segments.

is bought, 'where' it is bought, 'when' it is bought and 'how' it is bought as appropriate to the micro-segment. To this is added the descriptors that explain who the micro-segment represents along with an estimate of the volume or value they account for in the defined market.

The principle behind this step is that by observing the purchase behaviour of decision makers and understanding the key constituents of this behaviour, we have a platform for developing a detailed understanding of their motivations. It is, therefore, a critical link with the next step of the segmentation process, which looks at why decision makers select the particular products and services they specify. This, in turn, becomes the basis on which the segments are formed.

Essentially, this step involves identifying all the different purchase combinations that take place in a market made up of the features different customers see as key to making their decision between competing offers. A simple format for capturing this information appears in Figure 3.23.

Key features could include such principal forms as size, colour, specific type of product/service, add-ons, supporting services, branded, unbranded, and so on, along with the channels used, the preferred timing of purchases (when) and how it is bought, such as cash or credit. Next, it is important to describe who behaves in each particular way using relevant descriptors such as demographics. For industrial purchases this might be standard industrial classifications, size of firm, and so on, whereas for consumer purchases this might be socio-economic groups such as A, B, C1, C2, D and E or stage in the lifecycle, or age, sex or geography. Although in Figure 3.23 there are only ten micro-segments, it is normal in most markets for companies to identify around 20–30 micro-segments, occasionally more. Remember, these micro-segments are actual decision makers and purchase combinations that take place in a market.

With Stage 2 complete we can now progress to the final stage of developing segments. This can be seen in Figure 3.24, a repeat of the process summary presented in Figure 3.16.

Before continuing with the process, it must be pointed out that segmentation can and should be carried out at all major leverage points on the market map, not just at the final user junction as in the example referred to earlier (Figure 3.20).

Stage 3 – Segmenting the Market

Why?

For this penultimate, and most difficult, step each purchase combination has to have a brief explanation of the reason for this particular type of behaviour. In other words, we need to list the benefits sought, and it is often at this stage that an organization needs to pause and either commission market research or refer to its extant database of previous market research studies.

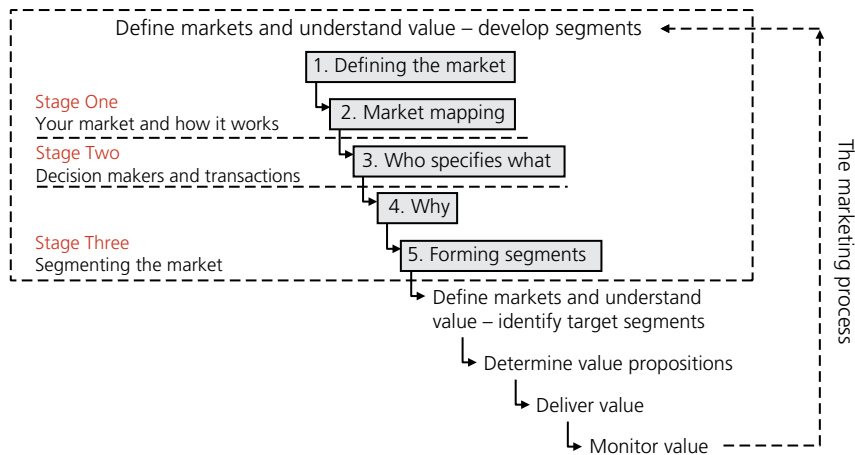


Figure 3.24: The process of developing segments and its position in the marketing process.

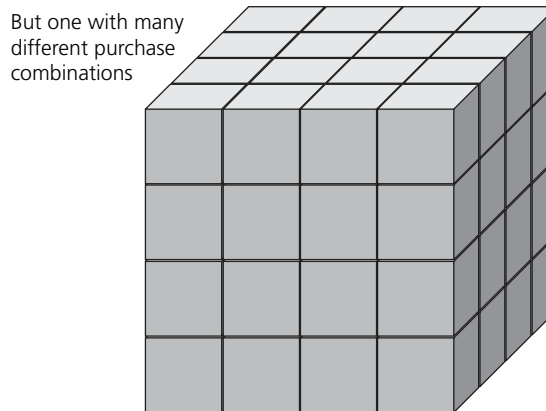


Figure 3.25: An undifferentiated market.

Forming segments

To summarize, it is clear that no market is totally homogeneous and consists of a number of different purchase combinations (see Figure 3.25).

To form meaningful segments we first have to understand these different purchase combinations by the needs that they are satisfying (see Figure 3.26).

However, as it is impracticable to deal with more than between seven and ten market segments, a process has to be found to bring together or cluster all those micro-segments that share similar or approximately similar needs (see Figure 3.27).

Once the basic work has been done in describing micro-segments, that is Steps 3 and 4, any good statistical computer program can carry out cluster analysis to arrive at a smaller number of segments. The final step also consists of checking whether the resulting segments are big

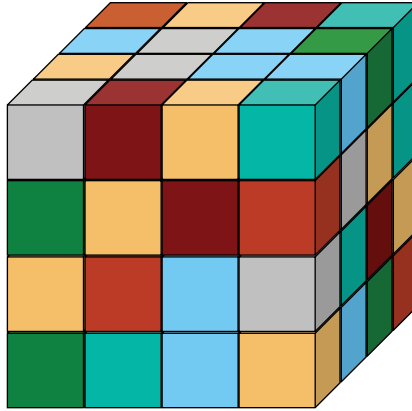


Figure 3.26: Different needs in a market.

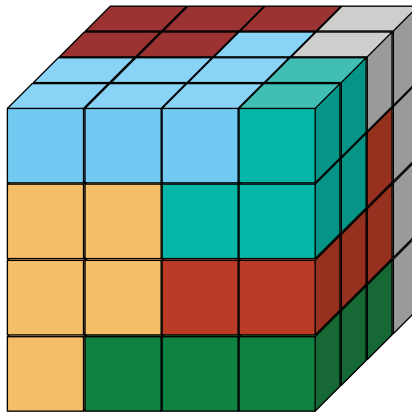


Figure 3.27: Segments in a market.

enough to justify separate treatment, are indeed sufficiently different from other segments, whether they have been described sufficiently well to enable the customers in them to be reached by means of the organization's communication methods and, finally, whether the company is prepared to make the necessary changes to meet the needs of the identified segments.

Before summarizing the process of market segmentation, it will by now be clear that market segmentation is fundamental to corporate strategy. It is also clear that, since market segmentation affects every single corporate activity, it should not be just an exercise that takes place within the marketing department, and has to involve other functions. Finally, the most senior levels of management must lead this initiative if their organization is to be truly market or customer need driven.

Table 3.3 is a summary of what we have discussed so far. It is obvious that there will be very few markets in the world where all customers have the same needs. Also, once market segmentation has been carried out, positioning products and services to meet the different needs of the different segments is comparatively easy. The difficult bit is segmenting markets. The third point

Understand market segmentation
• Not all customers in a broadly defined market have the same needs. • Positioning is easy. Market segmentation is difficult. Positioning problems stem from poor segmentation. • Select a segment and serve it. Do not straddle segments and sit between them: 1. Define the market to be segmented and size it (market scope). 2. Determine how the market works and identify who makes the decisions (market mapping). 3. Develop a representative sample of decision-makers based on differences they see as key (including what, where, when and how), note who they are (demographics) and size them. 4. Understand their real needs (why they buy, the benefits sought). 5. Search for groups with similar needs

Table 3.3: Understand market segmentation.

is that it is vital to focus on serving the needs of the identified segments, while it is dangerous to straddle different segments with the same offer. The photocopier example was only one example of thousands of well-known companies that have suffered from this mistake as markets began to break into segments. The computer industry during the 1980s and 1990s is also replete with examples of this mistake.

The process of developing segments itself consists of five steps. One, be clear about your market and understand how it works. This involves defining the market, drawing a market map and identifying the decision makers. Two, for these decision makers list the different purchase combinations that occur, covering what is bought, where, when and how; and who these decision makers are, using descriptors such as demographics and location. Three, list who the customers are for each of these different purchase combinations. Four, list why they buy, especially the benefits sought. Five, finally, search for groups with similar needs. These will be the final market segments.

Market structure and market segmentation are the heart and soul of marketing (see Figure 3.28). Unless an organization spends time on market segmentation driven from the board downwards, it is virtually impossible for it to be market driven, and in any organization that isn't market driven the marketing function will be ineffective, or at best will spend its time trying to promote and sell products or services that are inappropriate for the market. The figure describes in more detail each of the important steps for developing segments in the market segmentation process and it would be beneficial to study it in some detail.

To see the details behind each stage, read *Market Segmentation: How to Do It and How to Profit from It* (McDonald and Dunbar, 2012).¹⁴

Quick market segmentation method

Professional market segmentation is hard work and time-consuming, but it is also hugely rewarding and is pivotal to a successful marketing strategy.

There follows a quick segmentation exercise. This will quickly produce a very rough segmentation of your market, but it is no substitute for the proper, more detailed and accurate process described above, as the results will only ever be approximate.

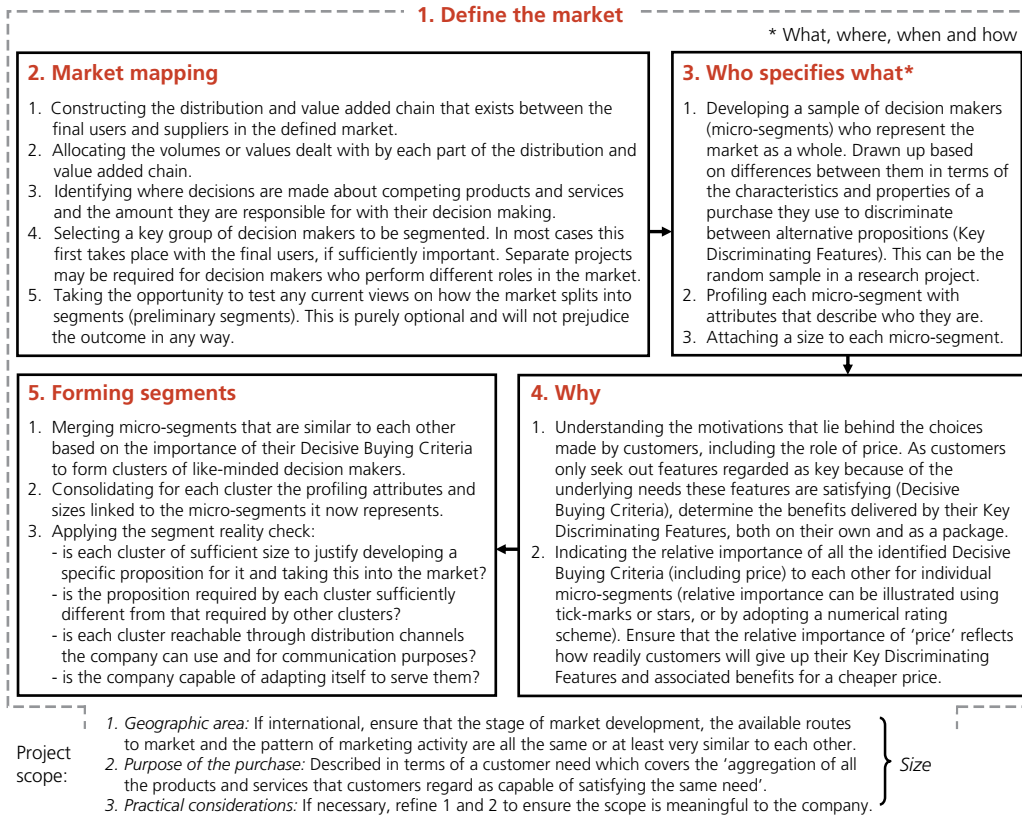


Figure 3.28: The market segmentation process summary – developing segments.

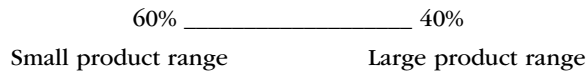
However, it is generally a great deal better than not segmenting the market on customer needs at all! We are grateful to our colleague Professor Brian Smith who pioneered this approach.¹⁵ The steps are as follows:

- Write down the main benefits sought by customers.
- Hygiene factors are benefits that any product or service must have to be acceptable in the market. Try to ignore these.
- The rest are motivators: benefits that contribute towards the customer's decision about which product to buy.
- Choose the two motivators that are most important in the customer's buying decision. (It's generally best to ignore price for this exercise, though clearly it's always relevant.)
- Draw two straight horizontal lines and make an estimate of the percentage of customers at each end. So, for example, if service level is a key motivator of what is bought, see below:

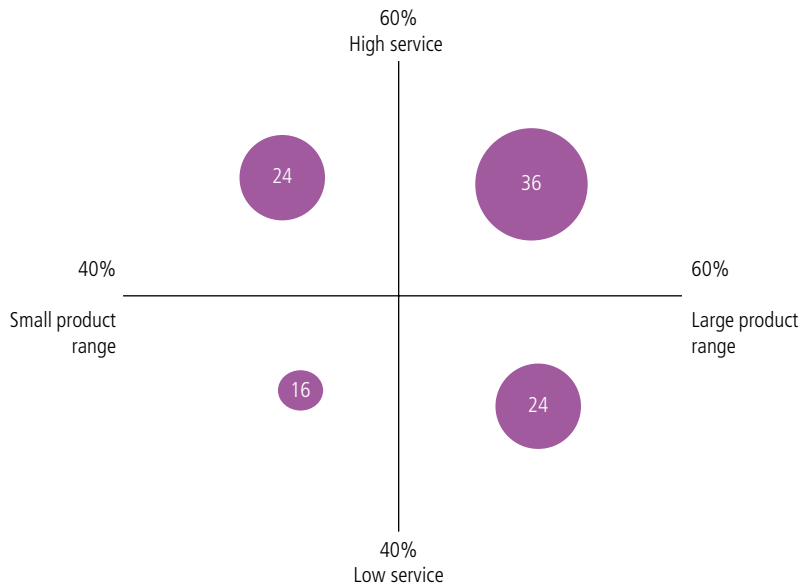
60% _____ 40%

Low service High service

- Likewise, if the breadth of the product range is a key motivator of what is bought, see below:



- Take the left-hand point of the first horizontal line and drag it over the second horizontal line to make a cross as shown here:



- Starting at the top, and moving in a clockwise direction, multiply 60% by 60% to give 36% (see first circle).
- Then multiply 60% by 40% to give 24% (see second circle).
- Then multiply 40% (the bottom of the vertical axis) by 40% to give 16% (see third circle).
- Lastly, multiply 40% by 60% to give 24% (see fourth circle).
- The circles represent segments in the market.

Interpretation

- The first segment (36%), the biggest segment, requires both high service and a large product range.
- The second segment (24%) prefers a large product range and is less interested in service.
- The third segment (16%), doesn't care much about either a large product range or service.
- The fourth segment (24%) prefers good service and is less interested in a large product range.
- Although not essential, you might consider giving each segment a name.

Action

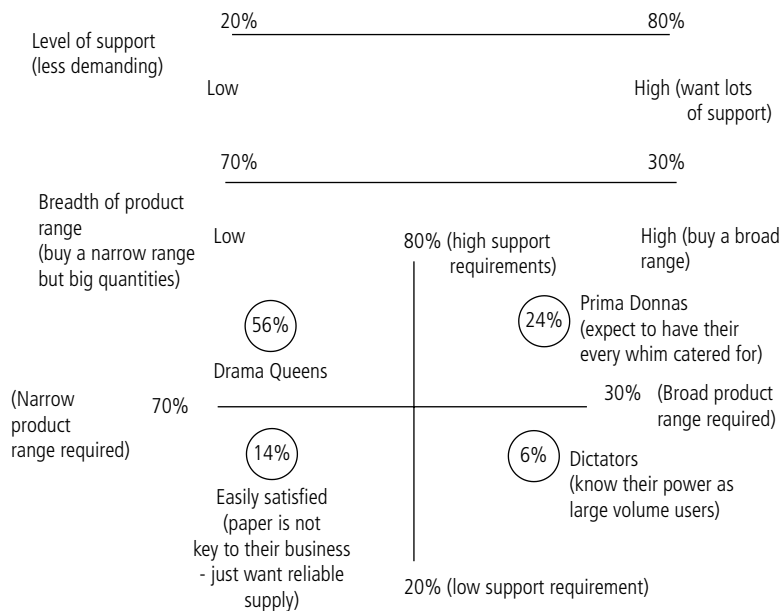
- Ensure your 'offer', including the product, price, service and promotion, reflects the differing needs of each segment.

Example

- An example of segmentation of the A4 paper market follows. Please note that if, as in the case of the A4 paper market, there is one very large segment (in this case 56%), the exercise can be repeated for just this large segment, resulting in seven segments in total.

Example = copier paper

- *Service delivery* – fast, paper always ‘there’: point of delivery availability of products; service levels.
- *Product fit for purpose* – high quality print finish for colour copiers; consistency of quality; paper that doesn’t screw up in the machine; print definition; no waste.
- *Environmental factors* – recyclable.
- *Level of support* – delivered in small lots; consignment stock; easy ordering (online); delivered to difficult locations.

**DIGITAL MARKETING INSIGHT: EVALUATING NEW ONLINE ROUTES TO MARKET**

The advent of e-commerce has changed the dynamic of markets, so as part of market analysis it is important to consider these options. The essence of this stage is to revisit the market map, and consider in what ways it might be affected by e-commerce. Reconfiguring the market map involves examining the current market map, and redrawing it to take account of various anticipated effects of e-commerce.

The resulting vision of how the industry could change as a result of e-commerce presents the organization with choices as to how to position itself in the future industry structure

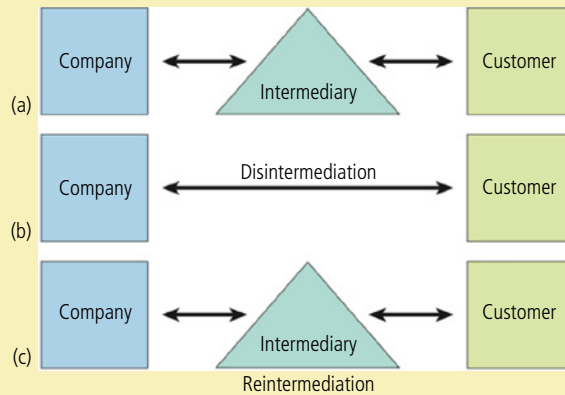


Figure 3.29: Marketplace changes facilitated by e-commerce.

and how to manage the transition period. The two most important options to consider are summarized in Figure 3.29, compared to the traditional arrangement (a). These are disintermediation or the direct-to-consumer model (b), and reintermediation (c) where new digital intermediaries are used to select and/or purchase products.

Here are some examples:

1. **Disintermediation.** As with other IT-enabled channels such as call centres, e-commerce can enable a link to be removed from the market map, by removing intermediaries whose primary function of information transfer can be more effectively performed using the Internet. An example is the direct sales of greetings cards to the public by a card publisher such as the UK's Moonpig, thereby bypassing the retailer. These are often known as direct-to-consumer (D2C) options, and may also offer online subscriptions to encourage continued use of a product. In July 2016, Unilever acquired online-only subscription service Dollar Shave Club for a rumoured US\$1 billion. The digital direct-to-customer subscription start-up brand offers razors delivered by post for a fixed monthly price and at the time held more than half of the online shaving market in the United States.
2. **Partial channel substitution.** This forms a halfway house towards disintermediation, in which an intermediary's role is reduced but not eliminated, through some of its value being provided remotely by the supplier to the intermediary's customer. This is the model adopted by another card manufacturer in its relationship with retailers, where its website is supplementing its agent network rather than replacing it. Avon continues to primarily sell its cosmetics via reps who visit people's homes, with their website supporting this process with a digital value proposition including options to find reps, manage regular purchases and buy one-off products via e-commerce.
3. **Reintermediation.** In some cases, a previous intermediary is replaced by a new online intermediary, rather than bypassed, or an intermediary appears between two types of

organization that previously dealt with each other directly. For example, online product aggregators or ‘comparison’ sites are important for mediating sales in the financial services, utilities and travel sectors. Examples include Moneysupermarket.com, USwitch and TripAdvisor. The digital value proposition of the intermediaries to the consumer typically includes tools for comparing products, reviews and ‘independent’ guidance on selecting products. They enable the product/service providers to bid to place their products with greater visibility and a pay-per-performance or affiliate-based model for selling where there is a fixed cost-per-acquisition for gaining new customers. Compared to other forms of media investment, using biddable media is lower risk than other forms of advertising.

A particularly successful example of a B2B product aggregator or marketplace is Alibaba.com, which provides an e-commerce platform for Chinese and other enterprises, especially small and medium-sized enterprises (SMEs), to sell to local suppliers and helps export Chinese products to the global market

Our research suggests that which of these possibilities becomes the dominant trading mechanism in a given relationship appears to depend on the number of vendors and buyers, and the relative power of suppliers and buyers. Where there are few buyers and many suppliers, or buyer power is great, the market will tend towards either individual buyer websites or buyer-oriented intermediaries such as the Covisint trading platform set up by Ford, General Motors and Daimler Chrysler. Conversely, a small number of suppliers selling to large numbers of customers will have the power to control the market through their own websites or through supplier-oriented consortia. Large numbers of both suppliers and buyers will tend to use a neutral marketplace to reduce the search costs of both parties, though a supplier with a particularly strong brand and/or product differentiation, may choose not to participate in such marketplaces.

To illustrate this thinking about reintermediation, consider Figure 3.30, a simplified value map from the groceries market.

The current market structure, shown in black, involves manufacturers reaching consumers via a combination of the major multiple supermarkets, independent stores and CTN (confectionary, tobacco and news) stores. Our analysis suggests that because the major multiples are few in number and hold considerable buying power, their relationship with manufacturers will either continue to be a direct one, using purchasing systems dictated by the multiples, or will be mediated by a buyer-oriented intermediary, as indicated in the potential future structure shown in blue. However, the many-to-many relationship between manufacturers and independents or CTNs needs a more neutral intermediary, such as is provided currently by warehouses and wholesalers. We predict a similarly neutral online intermediary succeeding here, either through a new entrant start-up or through media addition by a wholesaler. Likewise, the relationship between manufacturers and suppliers is likely to include a neutral spot market for commodity ingredients. These predictions appear consistent with industry developments to date.

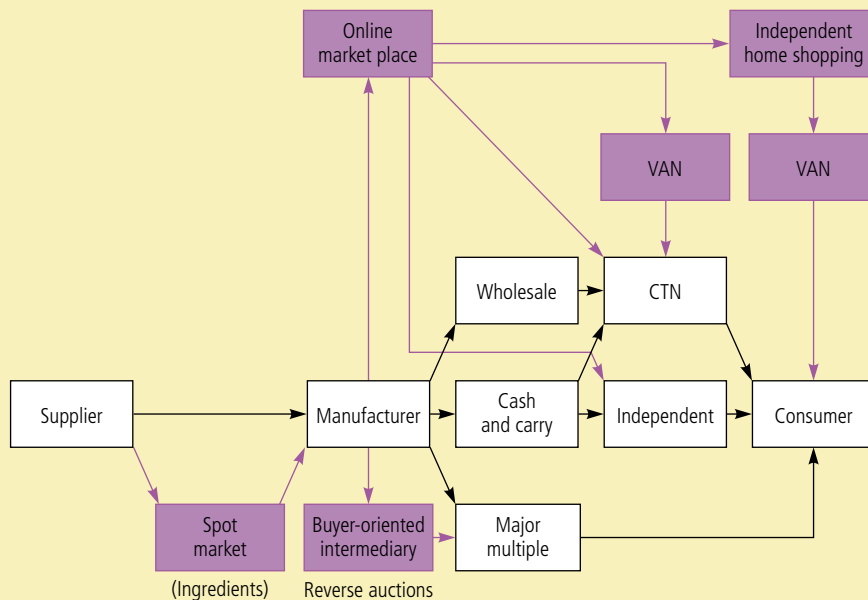


Figure 3.30: Simplified value map for the groceries market.

To reconfigure the market map, therefore, one needs to consider the potential effect of each of our three broad changes in turn. In each case, one needs to:

- Sketch the effect of the possible change on the market map.
- If the effect is positive for some segments, incorporate the transformation in a revised market map (say, for three years hence).

THE ENVIRONMENTAL AUDIT AND SUSTAINABILITY

We finally consider the environmental audit – here using ‘environmental’ in the sense of the natural environment. Mostly, this is now considered under the label of ‘corporate sustainability’. Only a few years ago, most marketers would not need to understand sustainability. It was not a central issue in most marketing plans and not taught on most marketing programmes. Today, it is a key issue for most leadership teams and a key component on respected marketing courses. This underlines the importance of the issue, its scope and its impact. Let us consider each of these in turn.

Its importance

The pressure on organizations to be sustainable is being driven by three powerful forces, namely investors, regulators and customers.

More investor pressure

Globally, over US\$35 trillion is now invested in sustainability assets and Bloomberg estimates this will hit US\$50 trillion by 2025,¹⁶ which will be around a third of all assets under management. The remainder, too, are under pressure to be at least adequate.

More regulator pressure

Governments around the world are acting individually and collectively to drive more sustainable behaviour. As just three examples: in the UK, the government has passed a net-zero emissions law and will force large UK firms to show how they will hit climate change targets. In the EU, in addition to new legislation, €1.82 trillion has been made available to fund transitions towards sustainability via the EU Green Deal. In the USA, US\$2 trillion is being made available via its Green New Deal. The ‘new deal’ terminology speaks to the inseparability of social and environmental outcomes: a transition has to be ‘just’ if it is to carry voters, in addition to moral concerns.

Governments are also working together to drive more sustainable behaviour globally through organizations such as the G20, the EU, the Intergovernmental Panel on Climate Change (IPCC), the UN, COP events and many other multi-government initiatives.

More customer pressure

Customers and consumers are demanding more sustainable products from – and more sustainable behaviour by – corporations. At the consumer end, this is not just about the rise of the Greta Thunberg generation. According to research by Growth from Knowledge,¹⁷ 24 per cent of consumers are actively cutting plastic waste, energy efficiency is now the most important feature when selecting appliances, and ‘helping to preserve nature’ is now ranked number 6 out of 57 personal values for the over 50s in Europe. Consumers are fickle and do not always act according to their claimed intentions, but the sense of direction is clear, so firms wishing to flourish into the future need to think ahead.

Customers in B2B markets are accordingly demanding more sustainability from their suppliers. Their shareholders are demanding sustainable supply chains and therefore they are demanding better reporting, clearer policies and more transparency from their suppliers. In 2021, the Chief Supply Chain Officer at Unilever said, ‘We will soon be asking suppliers to put their carbon footprint figures on their invoices so we know what we are buying.’ That rather focuses the mind of the supplier!

All this means that there is much more CEO focus on this issue and it is not going away anytime soon.

What it is

Before we proceed further, we should take a moment to understand what we mean by “sustainability.” Although the examples above primarily concern environmental issues, sustainability is much broader than this. Indeed, the UN has 17 UN Sustainable Development Goals (SDGs) which are aimed to improve the planet and our society (see Figure 3.31).

Sustainability therefore is not just about carbon emissions and global warming. It includes improving land and water life and many issues related to a better human society. We define corporate sustainability therefore as *the management of the organization so as to achieve positive social and environmental outcomes in addition to positive financial outcomes.*

The *measurement* of an organization’s progress on sustainability has been sharpened over the years and is now covered in financial markets by so-called *Environmental, Social & Governance* (ESG). ESG funds, which invest in firms that are well rated on these criteria, are the main beneficiaries of those trillions of dollars mentioned earlier. This movement suffers from multiple ratings, from an emphasis on what firms report rather than what they improve, and from focusing more on the risks to the firm than the risks to people and the planet. Nonetheless, this ‘wild west’ can be expected to slowly be governed better, putting further pressure on CEOs.



Figure 3.31: The Sustainable Development Goals.

Its impact

Sustainability has a major impact on the marketing audit. It affects how we define the market, how we segment it and how well we understand it.

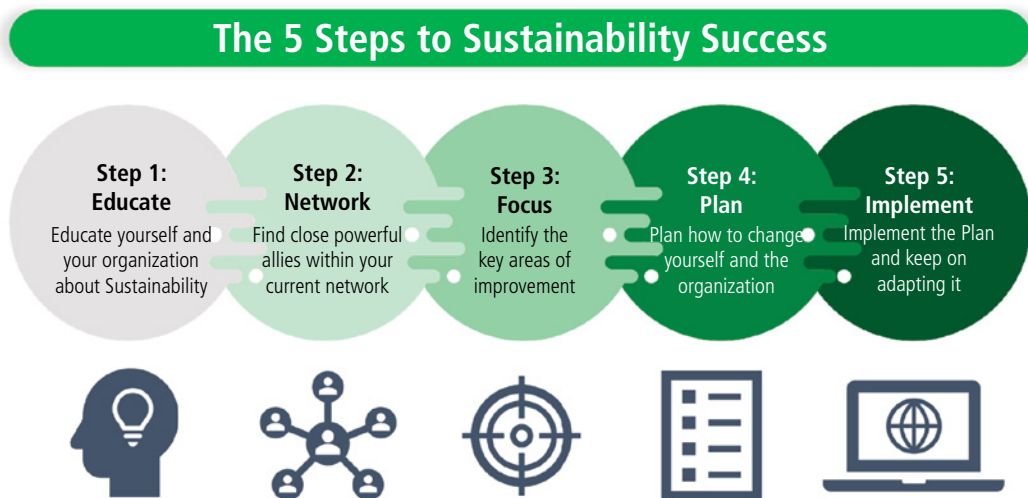
Sustainability offers new opportunities for innovation and growth. This is not only in new products but also in new services (e.g. carbon emission reporting or employee diversity reporting) that help organizations measure progress and become more sustainable. This means the market may need to be redefined.

Once it is defined, the sustainable needs that are already bubbling up to the surface need to be recognized. Once recognized, they must be used in segmenting the market along with other needs. At this time of transition, sustainability criteria are often a powerful segmentation variable, as customers may vary considerably on the importance they attach to them. Once the market is segmented, sustainability can affect our choice of the best segments for the future (to match the firm's own sustainability goals) as well as the best value propositions to specific segments.

All of the above affects how good our SWOT summary of the market really is. Moreover, it affects the whole marketing planning process from corporate purpose to the marketing plan itself, to its delivery and its monitoring.

How to deal with it

Sustainability is a huge and complex area. However, there are some similarities to other fundamental change programmes (e.g. digital transformation) that organizations have undertaken. When we look at corporations that have been at this for a long time, we see patterns in how they deal with it. The Good Growth Academy¹⁸ has identified five major steps that organizations tend to follow in their sustainability journey (see below):



Although this is shown as a linear process, in reality there are return loops which allow the organization to go back and re-do earlier steps as needed. So, for example, you may get to Step 3 and decide that a key issue is a particular brand that does not share the same purpose as the corporation. Maybe the corporate purpose is to be a 'force for good' but this brand is

damaging that reputation. Or you have a great brand which showcases sustainable values but the corporate purpose means it lacks real authenticity. You will then need to go back to Steps 1 and 2 to work through the options and build a supportive alliance to get them more sustainably aligned. Also, please note the long timescales involved, with some corporations having been on this journey for two decades or more.

In conclusion

Marketers are sometimes seen as the enemy of climate change. They are seen as the great 'greenwashers' of the organization, excluded from the real work and tasked with simply communicating progress to the world. However, in many ways, marketers are uniquely positioned to be at the centre of this change rather than at the edge of it. They are used to collaboration, to being future-focused, to being the voice of the customer, and to dealing with many different interfaces. To these skills they now need to add influencing the growth strategy in ways that look after the customer, wider society and the planet.

There are also more and more resources out there to help you do this. For example, you can even play a game that will help you practise the ideas. This Sustain2Win simulation can be found at www.market2win.com/sustain2win.

APPLICATION QUESTIONS

1. Choose a major product or service. What are its features? Identify the benefits (to the customer) of each feature. Identify which of these are differential benefits.
2. If you cannot identify any differential benefits, in what ways could you develop some?
3. For those you have identified, how can they be improved on?
4. Identify your key market segments. How do you describe them?
5. If you cannot identify any distinct segments, how can you begin to identify one or more?

CHAPTER 3 REVIEW

Customers or consumers?

Customers are people who buy from you. Consumers are the users of your products or services – for example, a husband (customer) buys perfume for his wife (consumer). (One of the authors confesses to doing this typically at about 4pm on her birthday. Surprisingly, they're still married.) Sometimes the customer is also the consumer. Marketers need to know about the characteristics of both if they are to develop the best 'package' to meet their needs.

Market share

Market share is a key concept in marketing. It is the proportion of actual sales (either volume or value) within a defined market. How the company defines its market is extremely critical.

Try Exercise 3.1 Market definition

Research shows that there is a direct correlation between market share and profitability.

Market segmentation

A market segment consists of a group of customers within a market who share a similar level of interest in the same, or comparable, set of needs which can be satisfied by a distinct marketing proposition.

Each segment is sufficiently large to give the company a return for its effort. Members of each segment have a high degree of similarity. The criteria for describing segments must enable the company to communicate effectively with them.

Segmentation can be based on a combination of:

1. Analysis of customer behaviour:
 - What do they buy?
 - value/volume
 - price
 - frequency
 - where they buy/outlet
 - products/services, etc.
 - Why do they buy?
 - benefits
 - lifestyle
 - fashion/novelty
 - personality types
 - peer group pressure preferences, etc.

Try Exercise 3.2 Benefit analysis

2. Analysis of customer characteristics (who they are):
 - customer size
 - socio-economic groups
 - demographic considerations
 - industrial classification
 - cultural/geographic factors.

Try the 'Quick market segmentation method' above

Try Exercise 3.3 Micro-segments

Questions raised for the company

1. Q: Why is market segmentation so important?
A: Few companies can be 'all things to all people'. Segmentation allows the firm to target its effort on the most promising opportunities.
2. Q: How can we be expected to know our market share?
A: The more accurately you can define your market segments, the more accurately you will find you can measure your market share. Correct market definition is also critical for:
 - growth measurement
 - specifying target customers
 - recognizing relevant competitors
 - setting marketing objectives and strategies.
3. Q: How can we keep tabs on all our competitors?
A: You don't have to – just concentrate on your closest competitors and try to ensure that you maintain some differential advantage over them.

EXERCISES

Introduction to Chapter 3 exercises

Exercise 3.1 looks at the most crucial and complex issue in marketing, that is, how a market is defined. Until this is clearly understood, issues such as market share, the identification of target customers and their needs, and even the recognition of competitors, will continuously cause difficulty.

Exercise 3.2 introduces benefit analysis, which helps to identify real benefits as a basis for segmentation.

Exercise 3.3 helps to generate micro-segments. Exercise 3.4 provides simulation practice.

Exercise 3.1 Market definition

Often there is confusion regarding what constitutes a market. Unless such confusion is dispelled from the outset, the whole marketing edifice will be built on sand. However, as so often is the case, what on the surface appears to be a relatively simple task can prove to be extremely testing. Take the example shown in Figure 3.32, which vastly simplifies the problem.

XYZ Ltd has five major products, A, B, C, D and E, which are sold to five different markets, as represented in Figure 3.32. Virtually all sales are achieved in the shaded areas.

Is this company's market:

- a) The shaded areas?
- b) The intersection of products A, B and C and markets 2, 3 and 4?
- c) Products A, B and C for all markets?
- d) Markets 2, 3 and 4 for all products?
- e) The entire matrix?



Figure 3.32: Example of market definition.

Scoring and interpretation for Exercise 3.1

1. It would be possible to define our market as the shaded areas ((a) in the exercise), that is, the product/market area currently served. The problem with this is that it might tend to close our eyes to other potential opportunities for profitable growth and expansion, especially if there is a danger that our current markets may become mature.
2. It is also possible to define our market as the intersection of products A, B and C and markets 2, 3 and 4 ((b) in the exercise). The problem with this is that while we now have a broader vision, there may be developments in product areas D and E and markets 1 and 5 that we should be aware of.
3. To a large extent, this problem would be overcome by defining our market as products A, B and C for all markets ((c) in the exercise). The problem here is that markets 1 and 5 may not require products A, B and C, so perhaps we need to consider product development (products D and E).
4. It is certainly possible to consider our market as all products for markets 2, 3 and 4 ((d) in the exercise). The potential problem here is that we still do not have any interest in markets 1 and 5.
5. Finally, it is clearly possible to call the entire matrix our market ((e) in the exercise), with markets 1 to 5 on the vertical axis and each of products A to E on the horizontal axis. The problem with this is that we would almost certainly have too many markets, or segments, and this could lead to a costly dissipation of effort.

The answer to the conundrum, therefore, is that it is purely a matter of management judgement. Any combinations of (a)–(e) above could be used, as long as there is a sensible rationale to justify the choice.

In addition, remember the following definition of ‘market’:

A market is the aggregation of all the products or services which customers regard as being capable of satisfying the same need.

Remember also the following useful definition of market segmentation:

An identifiable group of customers with requirements in common that are, or may become, significant in terms of developing a separate strategy.

Often, the way a market was selected in the first instance can provide clues regarding how it can be defined. Generally, either consciously or intuitively, a screening process is used to eliminate unsuitable markets and to arrive at those with potential. This screening process often works something like that shown in Figure 3.33.

(Continued)

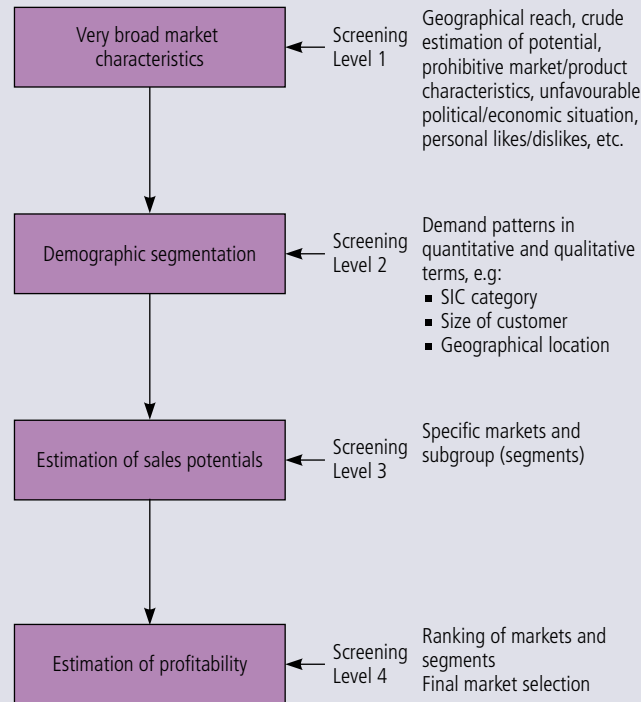


Figure 3.33: Market screening.

Consider one of your current markets and explain:

1. How it came to be chosen
2. How you would define it, so that it is clearly distinct from any other market.

Remember that the crude method outlined above, while working at a very general level, rarely leads to the development of differential advantage, and it is suggested that the other exercises in this chapter should be completed in order to get a better understanding of the central significance of market segmentation in marketing success.

Exercise 3.2 Benefit analysis

Customers buy products and services because they seek to acquire a range of benefits which go with them. In this sense, all products and services are problem solvers. Thus, customers buy aspirin to solve the problem of headaches, they buy drills because they need holes, they buy convenience foods because they solve the problem of there not being enough hours in the day.

It is essential for providers of products or services to be aware that their output is only saleable for as long as it provides the benefits the customer requires, and for as long as it is seen by the customer to be good value when compared with other possible methods of solving

their problems. Once there is a better, cheaper, quicker, tidier, more enjoyable way of putting holes in walls, the drill manufacturer will go the way of the buggy-whip maker. Therefore, it is vitally important to know just as much about the benefits they supply, as it is to know about the products or services themselves.

Hygiene factors

These are provided by the product but are not in any way unique – for example, ‘the propellant in our aerosol does not damage the ozone layer’. Although in this respect your product might be like all others, not to make customers aware of this hygiene factor (sometimes called a ‘standard benefit’) could imply that you still use environmentally unfriendly materials. Clearly this would be to your disadvantage.

Company benefits

The business transaction links the customer to the company. In turn, this means that there ought to be some benefits to that customer for making that choice. Customers will prefer to deal with companies that provide better customer service, inspire confidence, have a reputation for fair trading policies, and so on. Company benefits are a means of differentiating your products or services from competing ones, if to all intents and purposes they are similar. For example, some banks are trying to establish specific identities to the benefits they supply. Hence some countries now have one or more banks differentiating on being ‘the bank that is open when its customers want it to be’!

Differential benefits

These are the benefits that only your products or services provide. It is these that give the company its competitive advantage. It is these that must be identified, developed and exploited if the company is to win success. Here are some examples:

- ‘We are the only company that provides a genuine 24-hour breakdown service. Therefore, any time you need us, we are there to get you moving again.’
- ‘This is the only product on the market with this self-cleaning facility, so you can install it and have no maintenance worries.’

Not every benefit will have equal appeal to all customers, or groups of customers.

However, by talking to them, or carrying out research, it ought to be possible to establish which are the important benefits in their eyes.

It is now possible to prepare a systematic benefit analysis along the lines shown in these examples. See Table 3.9.

1. To get from a feature to an advantage, and then to a benefit, the phrase ‘which means that’ can be helpful – for example, ‘It’s coated in new formula paint (feature), which means that the colour will never fade (advantage).’ If you know this is what the customer needs, then you have also arrived at a benefit.

(Continued)

Customer(s) _____				
Service/product _____				
Customer appeal	Features	Advantages	Benefits	Proof
What issues are of particular concern to the customer, e.g. cost, reliability, safety, simplicity, etc?	What features of the product/service best illustrate these issues? How do they work?	What advantages do these features provide, i.e. what do they do for the customer?	How can tangible benefits be expressed to give maximum customer appeal, i.e. what does the customer get that he/she needs?	What evidence can be provided to back up the benefit and show it can be attained?
Example – saucepans				
Ease of use, ease of washing-up	Teflon-coated	This is a non-stick material	Trouble-free cooking, quicker washing-up	Results of tests
Example – office services bureau				
Accuracy and speedy turn-around of work	We use the latest equipment and very skilled staff	We are extremely versatile	Minimum of errors, cost-saving	What customers say

Table 3.9: Features, advantages, benefits (1).

2. To check whether you have arrived at a benefit and not just an advantage, apply the 'so what?' test. Ask this question after the benefit. If the 'so what?' prompts you to go further, the chances are you have not yet reached the real benefit. For example, 'Our products are handmade (feature), which means they are better quality than machine-made ones (benefit?)' – so what? – 'which means they last longer (the real benefit)'.

Now try producing a benefit analysis for one of your own products or services, as it impacts on a specific customer or customer group. Use Table 3.10.

The customer audit applied to your own company

Working alone, and using your own company as the study vehicle:

1. Choose a major product or service, and identify:
 - a) The main customers
 - b) The features with maximum customer appeal
 - c) The benefits to the customer of each feature
 - d) Which of these benefits are differential benefits (i.e. benefits not recognized or stressed by your major competitors).

Customer(s) _____				
Service/product _____				
Customer appeal	Features	Advantages	Benefits	Proof

Table 3.10: Features, advantages, benefits (2).

2. If you cannot identify any differential benefits, in what ways could you develop them?
3. For those you have identified, how could they be improved upon?
4. Identify your key market segments. How do you describe them?
5. If you cannot readily identify any distinct segments, what would be a sensible way to segment your markets?

Exercise 3.3 Micro-segments

Use the form provided to work out the micro-segments found in your market. For instructions on doing this, please refer to pages 133–136.

Micro-segment	1	2	3	4	5	6	7	8	9	10	-----
Application (if applicable)											-----
What is bought											-----
Where											-----
When											-----
and How											-----
Who											-----
Why (benefits sought)											-----

(Continued)

A selection of standard approaches to profiling benefits

1. Demographic characteristics

- Standard Industrial Classification (SIC) – the latest details are available from the appropriate statistical office. Summaries of both the UK/European and North American SIC systems appear below:

United Kingdom and Europe

Agriculture, Hunting and Forestry (01–02)

Fishing (05)

Mining and Quarrying (10–14)

Manufacturing (15–37)

Electricity, Gas and Water Supply (40–41)

Construction (45)

Wholesale and Retail Trade; Certain Repairs (50–52)

Hotels and Restaurants (55)

Transport, Storage and Communication (60–64)

Financial Intermediation (65–67)

Real Estate, Renting and Other Business Activities (70–74)

Public Administration and Defence; Compulsory Social Security (75)

Education (80)

Health and Social Work (85)

Other Community, Social and Personal Service Activities (90–93)

Private Households with Employed Persons and Miscellaneous (95–97)

Extra-territorial Organizations and Bodies (99)

North America (USA, Canada and Mexico)

Agriculture, Forestry, Fishing and Hunting (11)

Mining (21)

Utilities (22)

Construction (23)

Manufacturing (31–33)

Wholesale Trade (42)

Retail Trade (44–45)

Transportation and Warehousing (48–49)

Information (51)

Finance and Insurance (52)

Real Estate and Retail and Leasing (53)

Professional, Scientific and Technical Services (54)

Management of Companies and Enterprises (55)

Administrative and Support and Waste Management and Remediation Services (56)

Education Services (61)

Health Care and Social Assistance (62)

- Arts, Entertainment and Recreation (71)
 - Accommodation and Food Services (72)
 - Other Services (except Public Administration) (81)
 - Public Administration (92)
 - Size of company – Very small, Small, Small–Medium, Medium, Medium–Large, Large, Very large, Very large+
 - Department/Section – Manufacturing, Distribution, Customer Service, Sales, Marketing, Commercial, Financial, Bought Ledger, Sales Ledger, Personnel Estates, Office Services, Planning Contracts, IT
 - Multidemographic – combining a selection of demographic criteria, such as size of company with job title, along with whether the company is public or private.
2. Geographic
- Postcode
 - City, town, village, rural
 - Country
 - Region – frequently defined in the UK by TV region
 - Country
 - Economic/political union or association (e.g. ASEAN)
 - Continent.
3. Psychographics – buyer characteristics
- Personality – stage in its business lifecycle (start-up, growth, maturity, decline, turnaround); style/age of staff (formal, authoritarian, bureaucratic, disorganized, positive, indifferent, negative, cautious, conservative, old-fashioned, youthful)
 - Attitude – risk takers or risk avoiders; innovative or cautious, and many of the adjectives used to describe different types of personality can also express a company's attitude towards your product line (as opposed to their distinctive personal character)
 - Lifestyle – environmentally concerned; involved with the community; sponsor of sports/arts.

A selection of standard approaches to profiling individuals

1. Demographic characteristics
- Age – <3, 3–5, 6–11, 12–19, 20–34, 35–49, 50–64, 65+
 - Sex – male, female
 - Family lifecycle – bachelor (young, single), split into dependants (living at home or full-time student) and those with their own household; newly married (no children); full nest (graded according to the number and age of children); single parent; empty nesters (children left home or a childless couple); elderly single
 - Family size – 1–2, 3–4, 5+
 - Type of residence – flat/house, terraced/semi-detached/detached, private/rented/council, number of rooms/bedrooms
 - Income (£k) – <10, 10–15, 16–20, 21–30, 31–50, >50

(Continued)

- Occupation – operatives; craftsmen, foremen; managers, officials, proprietors; professional, technical; clerical, sales; farmers; retired, students; housewife; unemployed. white-collar (professional, managerial, supervisory, clerical); blue-collar (manual)
- Education (highest level) – secondary, no qualifications; GCSE; graduate; postgraduate
- Religion – Christian, Jewish, Muslim, Buddhist, Other
- Ethnic origin – African, Asian, Caribbean, UK, Irish, Other European
- Nationality
- Socio-economic – the eight-class version of the socio-economic classification (SEC) introduced by the Office for National Statistics (UK) 2001 and the former Registrar General's 'Social Class' can be found on pages 140 to 142.
- Multidemographic – combining a selection of demographic criteria, such as lifecycle stages and occupation groupings, on the basis that these are indicative of different aspirations and behaviour patterns.

2. Geographic

- Postcode
- City, town, village, rural
- Coastal, inland
- County
- Region (frequently defined in the UK by TV areas – Anglia, Border, Carlton London, Carlton Central, Carlton West Country, Channel, Grampian, Granada, HTV, LWT, Meridian, Scottish, Tyne Tees, UTV, Yorkshire)
- Country
- Economic/Political union or association (e.g. NAFTA)
- Continent
- Population density
- Climate.

3. *Geodemographics*. A Classification of Residential Neighbourhoods (ACORN) produced by CACI Ltd is one of the longer established geodemographic classifications in the UK, updated with Census information and lifestyle data. ACORN covers every street in Great Britain and classifies the whole population into 56 types, summarized into 17 groups, which in turn are condensed into five broad categories. These five broad categories act as a simplified reference to the overall household classification structure and are as follows:

1. 'Affluent Achievers'
2. 'Urban Prosperity'
3. 'Comfortably Off'
4. 'Modest Means'
5. 'Hard Pressed'.

Geodemographic data are also combined with financial data to provide detailed information on financial product ownership. For example, Financial ACORN combines Census and financial research data into 51 types, 12 groups and 4 categories.

4. Psychographic characteristics

- Personality – compulsive, extrovert, gregarious, adventurous, formal, authoritarian, ambitious, enthusiastic, positive, indifferent, negative, hostile; specific ones by sex have also been developed.
- Attitude – degree of loyalty (none, total, moderate), risk takers or risk avoiders, likelihood of purchasing a new product (innovator, early adopter, early majority, late majority, laggard); and many of the adjectives used to describe different types of personality can also express an individual's attitude towards your product line (as opposed to their distinctive personal character).
- Customer status – purchase stage (aware, interested, desirous, ready for sale), user classification (non-user, lapsed user, first time, potential).
- Lifestyle – consists of three main dimensions:

Activities Work, hobbies, social events, vacation, entertainment, club membership, community, shopping, sports

Interests Family, home, job, community, recreation, fashion, food, media, achievements

Opinions Selves, social issues, politics, business, economics, education, products, future, culture

Because the data are based on individuals, variations in the attributes to be used can result in different people in the same household being selected.

- Multidimensional – combining psychographic profiles with selected demographic data and identifying geographic areas where the resulting 'behavioural' types are found. For example, Experian's MOSAIC[®] classifies all the households and neighbourhoods (postcodes) in Great Britain into 52 distinct types which describe their socio-economic and socio-cultural behaviour. These 52 types are aggregated into 12 broad groups:

A	High Income Families	E	Council Flats	I	Independent Elders
B	Suburban Semis	F	Victorian Low Status	J	Mortgaged Families
C	Blue Collar Owners	G	Town House and Flats	K	Country Dwellers
D	Low Rise Council	H	Stylish Singles	L	Institutional Areas

In addition to MOSAIC for Great Britain as a whole, there are separate MOSAICs for Scotland, Northern Ireland and London which identify differences only found in those areas. Experian has also extended MOSAIC to areas outside Great Britain.

[®]'Experian' and 'MOSAIC' are trademarks of Experian Ltd. Further details can be found at www.micromarketing-online.com and www.experian.co.uk.

(Continued)

Exercise 3.4 Simulation practice

In your game:

- a. Are you serving consumers, customers or both?
- b. What is the market definition? [Hint: Review the front page of the Marketing Plan]. Can it be redefined to be more needs-based?
- c. How is the market segmented and how many segments are there? [Hint: Review the Performance Map].
- d. How big is each of the segments and how fast are they growing? [Hint: Click on any of the segments to find out].
- e. What percentage of your total sales and profits come from what percentage of segments? What other Pareto effects can you see in the game? How can this help you decide where to compete?
- f. How will the market segments change in the future? [Hint: review all the information in the game to find out].
- g. Is your current strategy excellent or weak? How can you improve it to beat the competition?
- h. Where does the market sit on the diffusion of innovation curve? Are there any market segments that sit in a different position?
- i. What are the key (decisive) buying factors of your customers? [Hint: Review the 'Value Proposition' chart in the Selected Segment tab to find out].
- j. Considering your company, yourself and your team, what would you see as your CSFs? How can you exploit these to win the game?
- k. What digital intermediaries are there in the game? Is the market trend towards disintermediation or reintermediation in the game? What is the market trend in the real digital music world?

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Chapter

4

THE CUSTOMER AND MARKET AUDIT PART 2: UNDERSTANDING CUSTOMER NEEDS AND DEVELOPING VALUE PROPOSITIONS

SUMMARY

- Customers never have been and never will be rational
- How to understand customers' needs and wants
- How to harness all this knowledge to make a better offer to customers
- What a value proposition is
- How to quantify value propositions
- Exercises to turn the theory into practice

INTRODUCTION

Customers have never known what they want, so don't ask them!

This chapter continues to spell out the essential components of a customer and market audit.

Nonetheless, as the purpose of the audit is to provide all the data and intelligence necessary for the strategic marketing plan itself, once again we repeat in Figure 4.1 the contents of the plan. This chapter will enable you to complete the section headed 'SWOT analyses' (of segments).

The first point we want to make is that people are not rational in their behaviour, no matter what the economists might say.

Most business people will have read about the Coca-Cola/Pepsi taste tests, which have been repeated many times over the past 40 years, always with the same results. In 'blind' tasting, a substantial majority prefer Pepsi. The same people, however, when tasting from bottles with the labels on, prefer Coca-Cola by a significant majority.

Even neurologists agree that people are not rational when choosing between products, as can be seen from the reference shown below.

Neurology and Brand Preference

'Ventromedial prefrontal cortex' (VMPC) is a critical neural substrate for the effect of commercial brand information on human decision making and brand preferences.

The key finding of this study is direct evidence that brand preference is the product of factors unrelated to the product taste. This effect is not present with patients with VMPC damage and defects in emotional processing.¹

The contents of a strategic marketing plan (T+3) (less than 20 pages)

- The purpose statement
- Financial summary
- Market overview
 - how the market works
 - key segments and their needs
- SWOT analyses
- Portfolio summary
 - of SWOTs
- Assumptions
- Objectives and strategies
- Budget for three years

Figure 4.1: Hierarchy of planning.

Neurologists repeated the Coke/Pepsi challenge a number of times always with the same result, except that people with a damaged brain section that affects the emotional part of decision making consistently preferred Pepsi Cola even when shown the brand names. Those respondents with normal ventromedial prefrontal cortex neural substrate consistently preferred Coke on being shown the labels.

Two further examples should convince you:

1. One of the big carmakers organized a competitor comparison day, buying one example of every rival model in a particular category and lining them up in a row. Each car was silver and the badges had been removed. Not only could the assembled experts not tell them apart, some couldn't even pick out their own car!
2. An extreme case has to be that particularly irritating class of nonsense known as 'skincare' ads. Who on earth would believe the incredulous, ludicrously pseudo-scientific, indigestible stir-fry of molecules and meaningless polysyllables?

But a majority of people do!

Hence the crucial importance of the previous chapter, for a failure to understand market segmentation, irrespective of whether you are a business-to-business firm or a business-to-consumer firm, will prevent you from making offers that really meet not only their needs, but also their wants.

DON'T WASTE MONEY ON POOR MARKET RESEARCH

This heading may seem a little strange coming from professors of marketing. The reality, however, is that most market research about customers and consumers is wasted, largely because respondents are asked inane questions about what they want, to which they invariably give rational answers.

To illustrate this point, let us give you an example.

A friend of ours, who prided himself on his rational behaviour, decided to apply a rational process to his new car purchase. He collected the brochures for 20 cars and analysed them on a spreadsheet according to factors such as speed, price, depreciation, and so on. Not only did he have a three-tier scoring system, but he also had a weighting system, because he reckoned he was less interested in price than speed, and so on. He scored all 20 models, multiplied the score by the weight and ended up with a rank order of cars of 1–20.

Every market in the world is segmented. All we have to do is find out what these segments are and what they *need*.

He subsequently asked our advice, as he was clearly unhappy with the results of his own analysis. We asked him why he didn't want the number one ranked car. His response? 'It's a salesperson's car'. His reason for being unhappy with the number two ranked car was 'It's an old man's car'. His reason for being unhappy with the third ranked car was 'It's a boy-racer car'. We eventually asked him which car he really wanted, to which he replied 'It's really difficult, because I quite fancy a BMW'. 'But,' we said, 'you can't have a BMW because it's number 19 on your list', to which he replied: 'Yes, it's really difficult, isn't it?'

Of course he eventually bought a BMW, but if someone had asked him stupid questions about why he bought a BMW, the truth about the emotional and social reasons for his purchase

Please don't ask customers what they want.

would not have been revealed. Of course, a well-designed research study starting with an in-depth, genuinely open-minded qualitative stage is a different matter; we have plenty of good examples in this book, such as the tyre company at the start of Chapter 7, and the fertilizer segmentation in the previous chapter.

And here's the outcome of another properly designed study, that began with a qualitative stage to get behind people's declared wants to their underlying needs, followed by a quantitative stage to scale that up. It concerned buyers of IT, shown here as Figure 4.2. Before the company in question understood this, their brochure contained references to wonderful technological features such as 'fast pad family, multi-media frads, pix firewall, LAN support, gigabit Ethernet' and the like.

Each of the nine segments shown is different from the others and it is quite easy to imagine how each segment would respond to approaches from suppliers of IT equipment. Let's not forget that it isn't companies that buy things, it is *people* in companies, and people don't stop being people just because they are performing a role in a company.

Most companies, however, 'marmalade' their average message across some mythical, average buyer of IT. The result? Because they don't understand the buyer's real motivations, they inevitably end up having to do a deal on price.

The best way to understand customer needs is to observe them in their everyday environment.

Excellent market research organizations, of course, will not waste your money asking silly questions and there are a number of techniques to elicit the truth about customer motivations that do not involve telling the customer what their buying criteria are in a survey and asking them to rank this nonsensical list.

There is absolutely no reason, however, why all organizations can't emulate the excellence of the 3Ms, Apples and P&Gs of the world when it comes to understanding real customer needs. One of the authors was recently asked by the CEO of Nestlé in a major country to help its

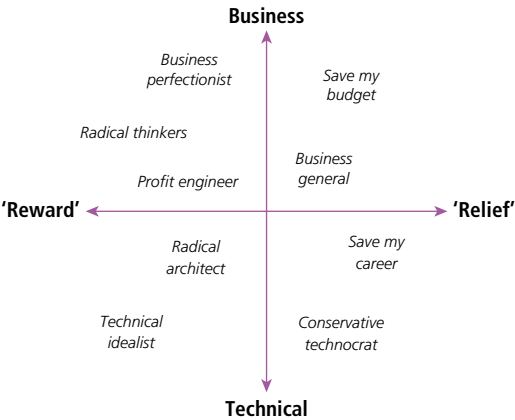


Figure 4.2: Understand the different category buyers.

marketers to be more innovative. He and his colleague Professor Emma Macdonald (at Strathclyde Business School) suggested that they go and live with their customers for a week. The Gucci-dripping capital-city executives came back with profound insights into the life challenges of homemakers, workers and students in the average provincial city. The resulting disruptive product and service innovations were ‘astounding’, according to the CEO.

DIGITAL MARKETING INSIGHT: CREATING CUSTOMER PERSONAS FOR B2C AND B2B MARKETS

How do such ‘real’ segments as those in the IT example above relate to the much-discussed ‘personas’? Audience personas were originally developed as a tactical tool used in advertising to summarize different types of target audience based on varying profile characteristics such as gender, age and economic group. They later proved useful as a tactical tool for website designers to create more customer-centric digital experiences which are aligned to customer needs. For example, a decorating brand used these personas in an early iteration of its website to consider female personas in contrast to the professional B2B decorator audience:

- **FIRST-TIME BUYER** Penny Edwards, Age: 27, Partner: Ben, Location: North London, Occupation: sales assistant
- **PART-TIME MUM** Jane Lawrence, Age: 37, Husband: Joe, Location: Manchester, Occupation: part-time PR consultant
- **SINGLE MUM** Rachel Wilson, Age: 40, Location: Reading, Occupation: business analyst

Each persona used a different approach to interacting with the brand. Penny’s approach was summarized by the statement: ‘I’ve got loads of ideas and enthusiasm, I just don’t know where to start.’ A storyboard was developed that illustrates the typical ‘customer journey’ for each persona and these informed the final design and tools for inspiration and selecting paints.

Personas aren’t a strategic segmentation tool, but can help translate strategic segmentation into tactical implementation. Motivators and barriers to purchase should also be considered to make them more powerful. Furthermore, as Figure 4.3 shows, they can be usefully related to the buying decision process based on information sought, searches performed, and the content and tools used to compare and select providers.

The figure is similar to more detailed templates recommended by Adele Ravella of the Buyer Persona Institute (buyerpersona.com) for B2B marketing. As an example, personas were developed by marketing process improvement company Smart Insights for its different B2B audiences, based on the individual’s role, such as Marketing Mary, Digital Dave, Small Business Simon and Consultant Cassandra.

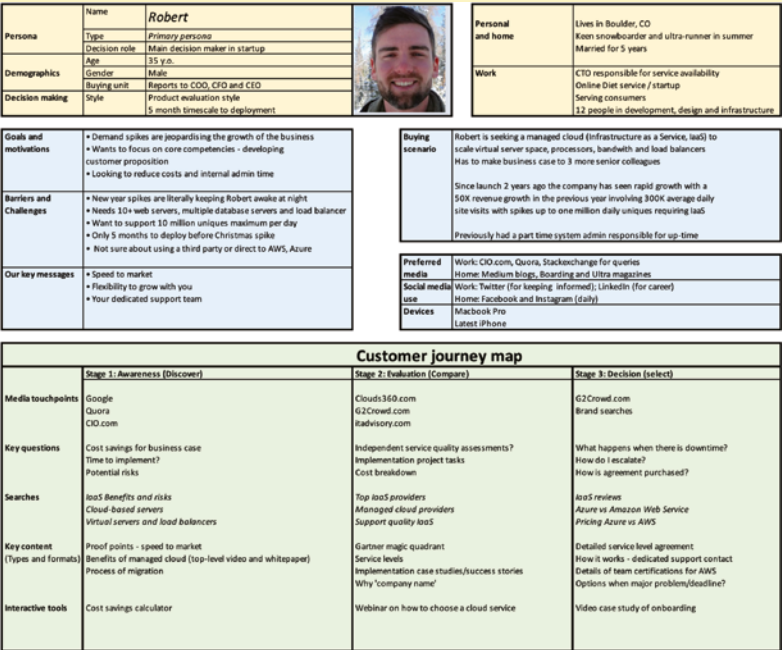


Figure 4.3: Example B2B persona summarizing demographics, buying motivation and customer journey mapping.
Source: Smart Insights (2016) Customer persona guide and template. <https://www.smartinsights.com/guides/customer-persona-guide-and-template/>

A PROCESS FOR UNDERSTANDING WHAT CUSTOMERS WANT

Please don't think we are about to suggest that you should all become sophisticated market researchers. You don't even need to worry if you can't afford expensive research firms, as we are about to show you how you can proceed to do a much better job of understanding your customers' real needs. After all – and this has always been our experience of most organizations – you already have a wealth of data, information, knowledge and wisdom about your markets and your customers, otherwise you wouldn't have got as far as you have. All you need is a process for harnessing all your wisdom and this is what follows. Once you've followed this process, by all means refine your key actionable conclusions with some fresh in-depth research if time and budgets allow; at least you will then know exactly what you are looking for.

You need a process for harnessing all the knowledge and wisdom you already possess.

You cannot, however, implement this part of the process if you have not bothered to complete the market segmentation part in the previous chapter, otherwise you will be adding yet more nonsense to your marketing audit and planning process.

SWOT ANALYSES

Everybody on Planet Earth knows what a SWOT is – it is an analysis of strengths, weaknesses, opportunities and threats. Our experience, however, of SWOTs is that they are so badly completed as to be almost useless.

Most SWOT analyses are as useless as an ashtray on a motorbike.

Why is this? Figure 4.4 shows what SWOTs normally look like and you will observe that we have scrawled across the cross the word 'WRONG'.

As experienced presenters at in-company workshops and conferences, we travel all over the world and often visit the business part of the hotel in which we are staying. In every syndicate room, in every hotel in the world, there is a flip chart with a SWOT on it and they ALL say more or less the same things!

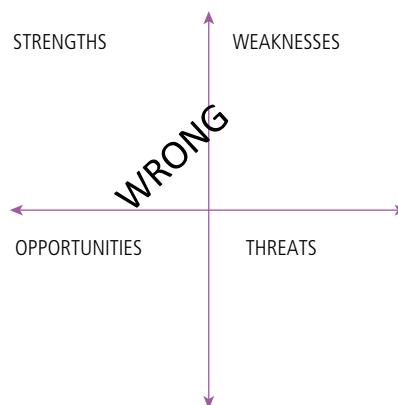


Figure 4.4: : An incorrect SWOT format.

Strengths	Please tick appropriate boxes	Hidden meanings
High quality	☐	We can't think of any real reason why we do business in this market . . .
Low price	☐	That must explain it . . .
Personal service	☐	We still can't . . .
High value to customers	☐	Our products are a bit expensive, but we still sell some
Old-established firm	☐	We must be OK, we've survived so far
Technologically sophisticated	☐	We know more than the customer
Product strengths	☐	Look at the product, never mind the customer
The 'natural' supplier to this market	☐	We don't know who our competitors are
We are the industry standard	☐	We don't think we have any competition

Figure 4.5: ‘Motherhood’ strengths statements.

Under ‘Threats’, they all list: ‘the weather; competitors; government legislation; the Koreans making it better and cheaper’. . . and so on, and so on. On the ‘Opportunities’ side, they all list: ‘the weather; competitors; government legislation’. . . but note – ‘the Koreans’ never make it to the Opportunities side of this totally ridiculous method!

Let us give you some more fatuous examples, where words are written down without any thought given to their real meaning. These are given in Figure 4.5.

Don't use meaningless words in SWOT analyses.

From our sceptical interpretation of these strengths and weaknesses (with thanks to the late Professor Nigel Piercy for his original thinking about this topic), you will see that they mug words and that they come out in a meaningless cacophony.

Even worse, all too often the SWOT charts are applied to customers as a whole rather than a segment, in which case this vapid stream of words reaches a sort of ‘my head is in the oven, my feet are in the fridge, so on average I am quite comfortable’ conclusion.

Guidelines for a Better Approach

Set aside time for conducting proper SWOT analyses on segments.

Before setting out a more robust way of carrying out a SWOT analysis, let us set out some guidelines to ensure a more meaningful output. These are shown in Figure 4.6.

Conducting a meaningful SWOT, however, is still quite a difficult task that will, alas, consume some of your valuable time.

The results, however, will more than compensate for taking your attention away from the pressing day-to-day problems that confront you. Our advice is to

Strengths • It can create value for the organization and customers • It is unique • It is inimitable • It is lasting Opportunities • It is large • It is accessible • It is lasting	Weaknesses • It is meaningful to the customer • It is unique • It is difficult to fix Threats • It is significant • It is lasting
--	--

Figure 4.6: Guidelines for doing a proper SWOT.

1. Identify the Critical Success Factors (CSFs) that influence the customer's decision. There are usually not more than six really important factors.
2. Assign an importance weighting to each CSF so that the weightings for each segment totals 100%.
3. Identify the key competitors for each segment and score performance of your company and each key competitor on a scale of 1 to 10, where 1 = very poor and 10 = excellent. Limit to a few competitors (between one and three).
4. Multiply the weights by the scores and add up the weighted score for each competitor.
5. Assess your relative strength by dividing your score by the best competitor's score.
6. Identify the key issues from the analysis.
7. Note you can change your relative business strength by focusing on improving your strength on the criteria that matter most to customers.

Figure 4.7: A process for completing a SWOT.

set aside a morning or afternoon to meet with a small team of colleagues to complete SWOT analyses on at least five or six segments. Include in your team at least one person who is closely involved with customers, either in a sales or customer service capacity, one person who understands the product/service well and one person who understands your database well. If you have a marketing executive, they should obviously be included.

This small team of four or five people should find an environment in which they will not be interrupted and should be prepared to be totally open-minded about the task to be undertaken. Figure 4.7 describes the process the team should go through, and Figure 4.9 is the template to be completed. It can be seen from column 1 that the exercise should be completed on a *segment*; hence, if you have discovered six or seven segments from your work resulting from Chapter 3, you will need to do six or seven SWOT analyses.

The following two figures explain the process. Figure 4.8 is a completed example. Figure 4.9 is the template to complete for each segment.

CSFs	Weights	Score/weight Score out of 10—multiplying these by the weight			
		You	Compet A	Compet B	Compet C
1. Thought leadership	50	6 3.0	8 4.0		
2. Impact on practice throughput	25	8 2.0	7 1.8		
3. Patient satisfaction	15	7 1.1	10 1.5		
4. Impact on practice budget	10	6 0.6	5 0.5		
5.					
6.					
Totals	100	6.7	7.8		

Relative Business Strength: -1.1

Figure 4.8: Critical success factors: example.

1. SEGMENT DESCRIPTION
It should be a *specific* part of the business and should *be very important* to the organization

2. CRITICAL SUCCESS FACTORS
In other words, how do customers choose?

1	
2	
3	
4	
5	

3. WEIGHTING
(How important is each of these CSFs? Score out of 100)

Total 100

4. STRENGTHS / WEAKNESSES ANALYSIS
How would your customers score you and each of your main competitors out of 10 on each of the CSFs?
Multiply the score by the weight

	You	Comp A	Comp B	Comp C	Comp D
1					
2					
3					
4					
5					
°					

5. OPPORTUNITIES / THREATS
What are the few things outside your direct control that have had, and will have, an impact on this part of your business?

OPPORTUNITIES

1	
2	
3	
4	
5	

6. KEY ISSUES THAT NEED TO BE ADDRESSED
What are the really key issues from the SWOT that need to be addressed?

THREATS

Figure 4.9: Strategic marketing planning exercise – SWOT analysis.

From column 2 (critical success factors – CSFs) it can be seen that there are only five spaces. The problem here, however, is that there is a tendency to write down words such as ‘Product Performance’, ‘Price’, ‘Service’, and so on, all of which are meaningless unless accompanied by a more detailed explanation. A great tip is to put your proposed CSFs through the Benefit Analysis exercise at the end of the previous chapter. We’re interested in listing benefits, not features or even advantages.

The following simple case will explain a methodology for making the summary of CSFs more meaningful.

Ensure that ‘critical success factor’ analysis is properly understood.

Involve a multi-disciplinary team in completing SWOT analyses.

In 2008, the recession led to a decline in the number of parents sending their children to independent/private schools. In other words, sales declined for most independent schools. The knee-jerk reaction of independent schools was to drop the price, with the inevitable result that much of sector became unprofitable.

Faced with this dilemma, the authors were asked to help. Figure 4.10 shows the five key buying factors that parents took account of when considering which school to send their child to. It is important to stress that uncovering these key buying factors did *not* require research, as the schools already knew them – it was just that until then no one had asked them to rationalize what they already knew!

It was a simple task after that to explore in more detail what each heading really meant and some of the details for just one of these headings are shown in Figure 4.11. The same level of detail was generated for each of the four other factors. Just understand how easy it was to generate these details from the heads of these very experienced people.

5 CSFs
academic
school/family relationships
convenience
costs
enhancement

Figure 4.10: Independent schools.

- Personality and vision of Head
- Exam results
- Class size
- League table position (compared to regional competitors)
- Student academic successes (Oxbridge, major universities, competitions)
- Academic planning: A level, IB, pre-U; IGCSE? New subjects?
- Flexibility of subject choice
- Academic history (results over a number of years)
- Quality/knowledge/experience of staff
- Facilities for teaching and learning
- Learning opportunities outside mainstream subjects (could be vocational skills)
- Reporting procedures
- Innovations in teaching and learning

Figure 4.11: Academic factors.

Executives in the independent school sector already knew the factors for success. All that was required was a process to elicit this knowledge from them.

The next step was obviously to generate a number of segments of parents, for clearly not all parents have the same needs or considerations in choosing an independent school for their child.

The main point, however, is that it is OK to write in column 2, for example, 'Academic factors', because behind this there will be a deep understanding of what this really means in the case of a particular segment.

Independent schools are, of course, small organizations in the main, so this case illustrates that this process is not just for large companies.

More importantly, however, is the fact that, having done this SWOT analysis on each segment, each independent school can now look at its asset base and reputation, via communications, to those segments to which it is most likely to appeal.

The main points to take from this little case example are:

- Irrespective of the 2008 recession, these schools had absolutely no reason to reduce their prices. All they needed to do was to harness the knowledge and wisdom they already possessed, using the processes outlined in Chapter 5 and in this chapter.
- Zero market research was involved, as the independent schools already knew this stuff.
- They could now carry out focused, meaningful SWOTs on each segment.

Having completed a SWOT on each segment, it is now possible to select those that most closely match our asset base.

Let's now move to column 3 in Figure 4.9. This requires each CSF to be weighted according to its relevance/importance to each segment. Usually, once the hard work has been done on column 2, this isn't too difficult to fathom, but if it is important and if you have real doubts, go and talk to some customers. In some cases, it might even be necessary to do some market research, but this will only be necessary if the team does not possess deep knowledge of the customers' world already – and

that should be a key criterion when recruiting staff – so often the requisite insight is resting in the heads of your colleagues.

This process will clearly establish what you need to improve to succeed in each segment.

In the above case of independent schools, one segment might rank academic achievement very highly, with price being of lesser importance.

Once this step has been completed, it is possible to move to the fourth column in Figure 4.9. Make a note your own organization's score out of 10 for each CSF as well as the score for

at least one major competitor. A simple process then follows of multiplying the scores by the weights to arrive at a weighted score out of 1,000 for you and at least one major competitor. (Or divide by 100 to get a score between 1 and 10.)

These weighted scores will indicate why you are the best competitor in this segment or, if not, where your weaknesses lie compared with your competitors.

This step is crucial in developing a winning strategy to grow sales and profits, because these weighted scores will later become the driver of your strategies to achieve your objectives. This will form the basis of Chapter 6.

- CSFs provide a customer-focused way of assessing the strengths and weaknesses of our offering
- Obtain a customer view where possible – otherwise use a team of those who are close to the customer
- Validate the results against current financials
- Our weighted average score, compared with the best competitor score, is plotted on the horizontal axis of the Directional Policy Matrix (see Chapter 5)

Figure 4.12: Summary.

The results from your SWOT analyses will also form the basis of your value propositions, which are discussed later in this chapter.

Boxes 5 and 6 in Figure 4.9 are the opportunities and threats from outside the company as they relate to each segment. They are *not* internal and at this stage are *not* things you will do. The final step in completing a SWOT analysis for each segment is to summarize all the key issues arising from your analysis.

The lessons to be learned from the independent schools case are crucial to conducting truly powerful SWOT analyses on each important product/market segment.

We must stress here once again that a SWOT should be conducted on ALL segments, of which there are likely to be at least seven or eight. So it can be seen that this is the most time-consuming and most difficult of all the strategy-formulation steps. Done correctly and diligently, the setting of objectives and strategies becomes a lot easier and more productive.

It is also useful to remember that each SWOT will be much more useful and relevant as a result of the marketing audit process. This audit will inevitably produce significant amounts of data. A SWOT is a very useful way of converting all this data into intelligence as part of the strategy development process.

Figure 4.12 summarizes the process described above.

Remember

- Focus on real segments, not on the whole market.
- Shared vision – it works best if done in a small, experienced group.
- Ideally, write the customer's *goal* as a CSF, rather than what we sell; for example, 'Save my budgets' or 'Enable my radical business model' in the case of the IT company from the previous chapter, rather than 'Price' or 'Service'. For more on this, see the section 'Gaining competitive advantage through value-in-use' in Chapter 11 on Pricing.
- Expressions like 'customer orientation' are meaningless. It is only meaningful if explained properly and if customers really value it.
- Opportunities and threats exist outside the organization – they are not things we plan to do.

We are now ready to proceed to the next step – developing value propositions for each important segment.

Opportunities and threats are outside your control.

UNDERSTANDING THE REAL MEANING OF CUSTOMER VALUE

Understanding more about value propositions will help make the resulting plans much more powerful.

What Is Value?

The very word ‘value’ is highly contentious, because it totally depends on whose point of view is being taken and the context in which the word is used.

It is important to understand the meaning of ‘value’.

Before we give you our own interpretation of the term (which will be used through the remainder of this book), let us share with you some common definitions of the term. We will do this as briefly as possible and only in the interest of not wishing to be labelled as biased marketers.

Value chain analysis

Firstly, there is Michael Porter’s well-known concept of value-chain analysis.² Porter’s concept of value added is an incremental one; he focuses on how successive activities change the value of goods and services as they pass through various stages of a value chain. ‘The analysis disaggregates a firm into its major activities in order to understand the behaviour of costs and the existing and potential sources of differentiation. It determines how the firm’s own value chain interacts with the value chains of suppliers, customers and competitors. Companies gain competitive advantage by performing some or all of these activities at lower cost or with greater differentiation than competitors.’

Shareholder value added (SVA)

Secondly there is Alfred Rappaport’s equally well-known research on shareholder value analysis (Rappaport 2006).³ Rappaport’s concept of value added focuses less on processes than Porter, and acts more as a final gateway in decision making, although it can be used at multiple levels within a firm. He describes the process of analysing how decisions affect the net present value of cash to shareholders. The analysis measures a company’s ability to earn more than its total cost of capital. Within business units, SVA measures the value the unit has created by analysing cash flows over time. At the corporate level, SVA provides a framework for evaluating options for improving shareholder value by determining the trade-offs between reinvesting in existing businesses, investing in new businesses and returning cash to stockholders.

Customer perceived value and value-in-use

A third way of looking at value added is the customer’s perception of value. Unfortunately, despite exhaustive research by academics and practitioners around the world, this elusive concept has proved very hard to pin down: what constitutes (customer perceived) value – even in a single product category – appears to be highly personal and idiosyncratic. A promising academic approach that’s being successfully adopted by some firms is ‘value-in-use’ (see the section ‘Gaining competitive advantage through value-in-use’ in Chapter 11). For an explanation of this concept and an example of the application of this approach to a B2B firm, see Macdonald et al. (2016).⁴ This article defines value-in-use as ‘all customer-perceived consequences arising from a solution that facilitate or hinder achievement of the customer’s goals’. So, the approach starts with the customer’s goals and works backwards: to what extent does the firm’s ‘solution’ (products, services or a mixture) help the customer achieve their goals? The same idea is equally useful in B2C markets, as one of the authors found when working with an arts organization: see table 4 in Kelleher et al. (2019).⁵

Accounting value

Finally, there is the accountant's definition of value added: 'value added = sales revenue – purchases and services'. Effectively, this is a snapshot picture from the annual accounts of how the revenue from a sales period has been distributed, and how much is left over for reinvestment after meeting all costs, including shareholder dividends. Although this figure will say something about the past viability of a business, in itself it does not provide a guide to future prospects.

One reason that the term 'value added' has come to be used rather carelessly is that all these concepts of value, although different, are not mutually exclusive. Porter's value chain analysis is one of several extremely useful techniques for identifying potential new competitive market strategies. Rappaport's SVA approach can be seen as a powerful tool, which enables managers to cost out the long-term financial implications of pursuing one or other of the competitive strategies that have been identified. Customer perceptions are clearly a major driver (or destroyer) of annual audited accounting value in all companies, whatever strategy is pursued.

However, most companies today accept that value added, as defined by their annual accounts, is really only a record of what they achieved in the past, and that financial targets in themselves are insufficient as business objectives. Many companies are now convinced that focusing on more intangible measures of value added such as brand equity, customer loyalty or customer satisfaction are the new route to achieving financial results.

Common sense (and with apologies for this quasi-academic discussion) might argue that developing strong product or service offerings, and building up a loyal, satisfied customer base will usually require a series of one- to two-year investment plans in any business. Also, such is the universal distrust of marketing strategies and forecasts, it is common practice in most companies to write off marketing as a cost within each year's budget. It is rare for such expenditure to be treated as an investment that will deliver results over a number of years, but research shows that companies who are able to do this create a lasting competitive edge.

So we will quantify what a value proposition is from the customer's perspectives.

Accounting value only represents what has been achieved in the past.

Differentiation

For any organization today, differentiation that is wanted by the customer is more challenging than at any time in history, but it remains at the heart of successful marketing. More importantly, it remains the key to a company's survival.

The truth is that if you are in an overcrowded market where you don't stand out, all that lowering prices will achieve is to erode your margins and unless your business costs are lower than anyone else's, discounting is a losing game.

The alternative, of course, is successful differentiation. If you can't come up with something genuinely different and better, there isn't much future for your company.

Differentiation that is wanted by customers is the key to commercial success.

However, before we explain how to go about this, we want to point out that because of technological advances, product differentiation is unlikely to win in the long run, because this is comparatively easy to emulate today.

Much more likely, differentiation will result from the way you relate to your customers.

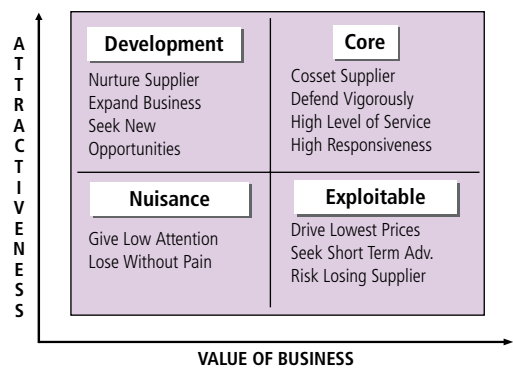


Figure 4.13: Strategic purchasing.

Excellence is not enough – differentiation is essential

For now, let’s call this ‘customer service’ and we will explain later in the book the myriad of forms that customer service can take (see particularly Chapter 9). One such form is the result of market segmentation and we devoted a whole chapter to this fundamental form of differentiation and competitive advantage (Chapter 3).

For now, however, all we want you to understand is that differentiation is the key to commercial success and must be encapsulated somehow in a value proposition.

Let’s start by looking at Figure 4.13, which is based on Kraljic’s strategic purchasing portfolio matrix.⁶

It is used by most buyers in most markets, the only difference being that the vertical axis is sometimes labelled ‘differentiation’ (high or low). The most important box to look at is the bottom right box. Here, the buyer orders a lot and they can get it from virtually any supplier, so not surprisingly, they buy on price.

The bottom left box (low differentiation and the buyer does not purchase a lot), represents a great opportunity for firms to take responsibility from the customer by means of outsourcing.

The top left box, providing a firm offers something different that the customer really values, is an even better opportunity, because even though they don’t buy much, price is rarely important.

Buyers will pay a premium price (and buy a lot) for something which is different and which will help them.

By far the best box to occupy is the top right one. Buyers order a lot and they really value the differentiation offered. Here, it is not unusual for them to pay up to 20 per cent premium to deal with such suppliers.

The bad news, however, is that the low differentiation axis nearly always leads to very low prices and margins for suppliers. This is OK, however, providing at least some of the main products or services you supply are differentiated and it is to this that we now turn our attention in the context of value propositions. Have a look at Figure 4.14.

The technology solutions space is crowded and competitive, and it can be difficult to tell the players by their messaging

Competitor 1 '(ABC offers) comprehensive IT services integrated with business insight to reduce costs, improve productivity and assert competitive advantage.'	Competitor 2 'DEF is the No. 1 provider of integrated business, technology, & process solutions on a global delivery platform.'	Competitor 3 'GHI provides a broad portfolio of business & technology solutions to help its clients worldwide improve their business performance. Our core portfolio comprises information technology, applications, & business process services, as well as information technology transformation services.'
Competitor 4 'JKL provides consulting and IT services to clients globally – as partners to conceptualise and realize technology driven business transformation initiatives.'	Competitor 5 'MNO is the world-leading Information technology consulting, services, and business process out-sourcing organization that envisioned and pioneered the adoption of the flexible global business practices that today enable companies to operate more efficiently and produce more value.'	Competitor 6 'PQR is global management consulting, technology services, & outsourcing company. Committed to delivering innovation, PQR collaborates with its clients to help them become high-performance businesses and governments.'

Figure 4.14: The lack of differentiation in competitors' messaging.

Source: Malcolm Frank, Senior Vice President, Strategy & Marketing, Cognizant, as presented at ITSMA's Marketing Leadership Forum, April 2006.

Then have a look at your own website. Typically they say things such as:

- We are innovative.
- We have better quality.
- We have a great reputation.
- You can trust us.
- We are the leading provider of
- We get good results for our customers.
- We are very responsive.
- Blah, Blah, Blah

Everybody sounds the same and in the main, customers just don't care. We defy you to see any difference in what these suppliers claim to be offering.

The Investopedia definition of a value proposition is: 'A business or marketing statement that summarizes why a consumer should buy a product or use a service. This statement should convince a potential consumer that one product or service will add more value or better solve a problem than other similar offerings.' McKinsey's definition is: 'A clear, simple statement of benefits – both tangible and intangible – in the company will provide along with the price which a customer in that segment will pay for those benefits.' Our own definition is: *A promise of our offer's relative value. Relative value = perceived benefits minus sacrifices such as cost and time. This equation must be positive.*

Our definition of a value proposition is 'A promise of our offer's relative value, which equals perceived benefits minus sacrifices such as cost and time. This equation must be positive.'

A value proposition should also be:

- **Distinctive** It must be superior to competitors.
- **Measurable** All value propositions should be based on tangible points of difference that can be evidenced and, where possible, quantified. In business markets, this quantification should be in monetary terms.
- **Sustainable** It must have a significant life.

Business customers expect their business to be better off as a result of dealing with you and you must be able to prove that dealing with you will create advantage for the customer, not merely help them to avoid disadvantage. This is summarized in Figure 4.15 and please note the key words: creating advantage, not just avoiding disadvantage.

A value proposition has five potential parts, as follows:

- **Added value** (e.g. revenue gains, improved productivity, service enhancement, speed, etc.).
- **Cost reduction.**
- **Cost avoidance.**
- **Reduction of other sacrifices.** Notable are time (being easy to deal with) and risk (how likely are things to go wrong? If they do, who pays, and who takes the blame?).
- **Emotional contribution** (e.g. trust, ‘feel-good factor’, confidence, self-esteem, etc.).

In business-to-business markets it is essential to spend time understanding the intricacies of the customer’s processes in order to find ways of adding value. Just the same applies with a family’s processes: how can a bank help them manage their money better, for example?

The first three are comparatively easy to quantify, the last one less so, although particularly with well-known brands such as SKF, IBM, GE, 3M and the like, they are often high on the business agenda.

An excellent example of this is SKF, the Swedish bearing company. They have a global President of Value Propositions. They tailor their value propositions to each customer, but Figure 4.16 shows a generic value proposition.

From this it can be seen that over the life of the bearings, the significant premium over the bearings of competitors saves the customer \$30.25, representing the quantified added value.

	STRATEGIC	HIGH POTENTIAL
CREATING ADVANTAGE		
AVOIDING DISADVANTAGE		
	KEY OPERATIONAL	SUPPORT

Key: **Strategic** = Issues that will ensure the customer’s long-term success.
 High Potential = Issues that, whilst not crucial currently, could potentially lead to differential advantage for the customer.
 Key operational = Issues that, unless solved reasonably quickly, could lead to disadvantage for the customer.
 Support = Issues that, whilst of a non-urgent nature such as information availability, nonetheless need to be solved to avoid disadvantage for the customer.

Figure 4.15: Identifying sources of differentiation.

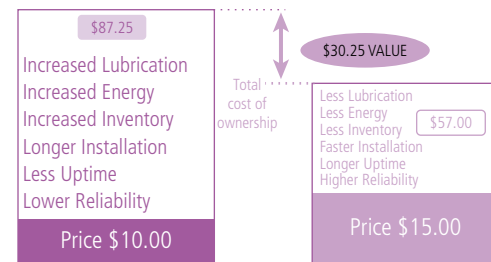
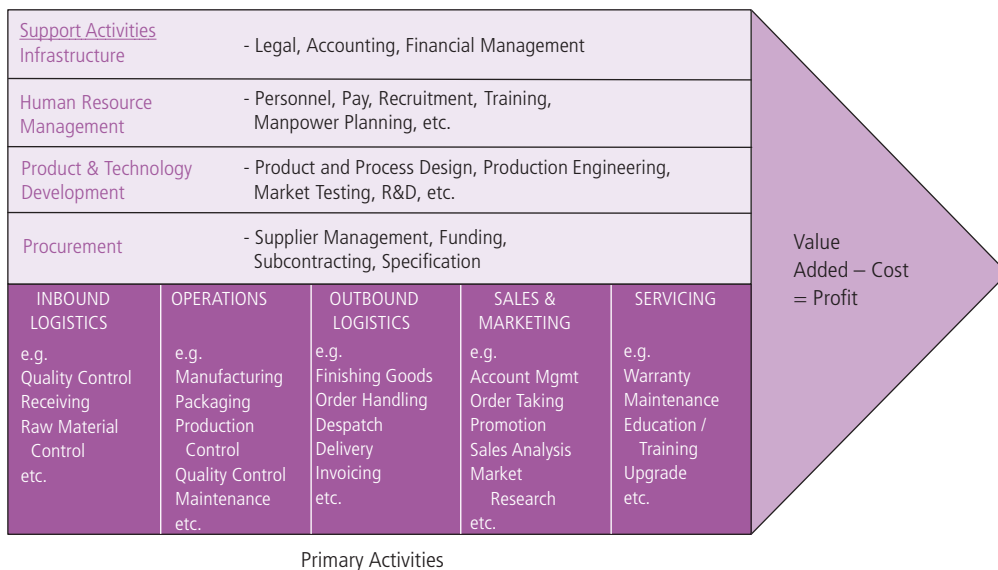


Figure 4.16: SKF quantified value proposition.
Source: Reproduced by kind permission of SKF.



Many activities cross the boundaries – especially information based activities such as: Sales Forecasting, Capacity Planning, Resource Scheduling, Pricing, etc.

Figure 4.17: Porter's value chain.

This, of course, is a simple example and value propositions can be more complex. Look, for example, at Michael Porter's well-known value chain, shown in Figure 4.17.

It will be seen that, particularly for a large, complex customer, the opportunities to add value, reduce or avoid costs, are substantial. But this will require the supplier to spend time understanding the intricacies of how the customer's business works from end to end.

Figures 4.18 and 4.19 give some examples of how this is possible, whilst Figure 4.20 gives a real example from Tetra Pak (reproduced with their kind permission).

Although Tetra Pak is a large organization, it nonetheless is involved with a technology that hundreds of competitors also understand. The difference is that customers value Tetra Pak more highly because of their attention to detail throughout the value chain.

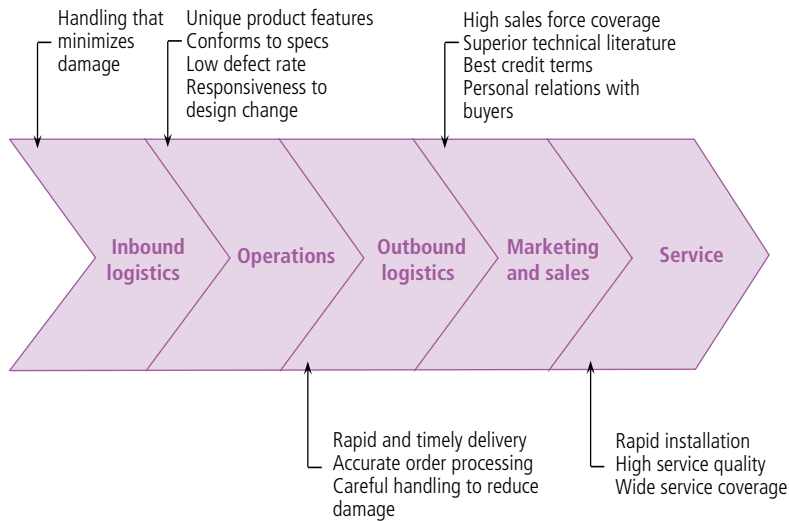


Figure 4.18: Sources of differentiation in the value chain.

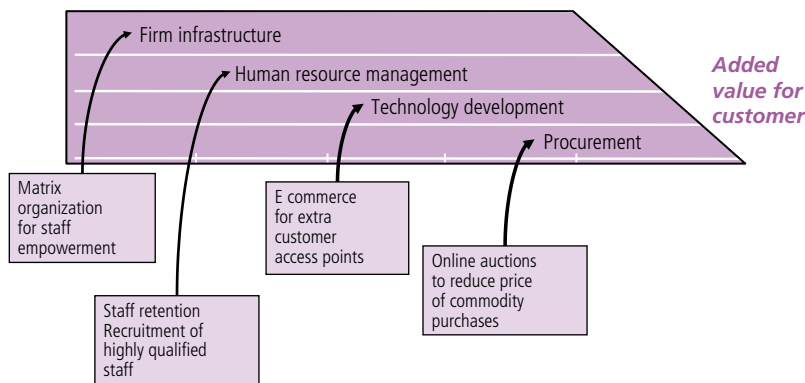


Figure 4.19: How do you add value through key support activities?

An example of a small label company is shown in Figure 4.21 and the benefits are shown in Figure 4.22.

The benefits of financially quantified value propositions

Figure 4.23 shows the benefits of financially quantified value propositions.

The process for quantifying value propositions

The process for quantifying value propositions is shown in Figure 4.24 and Figure 4.25 shows where this fits in the marketing planning process.

Figure 4.26 shows how the analysis done on the customer's value chain as described above can be summarized in financial terms.

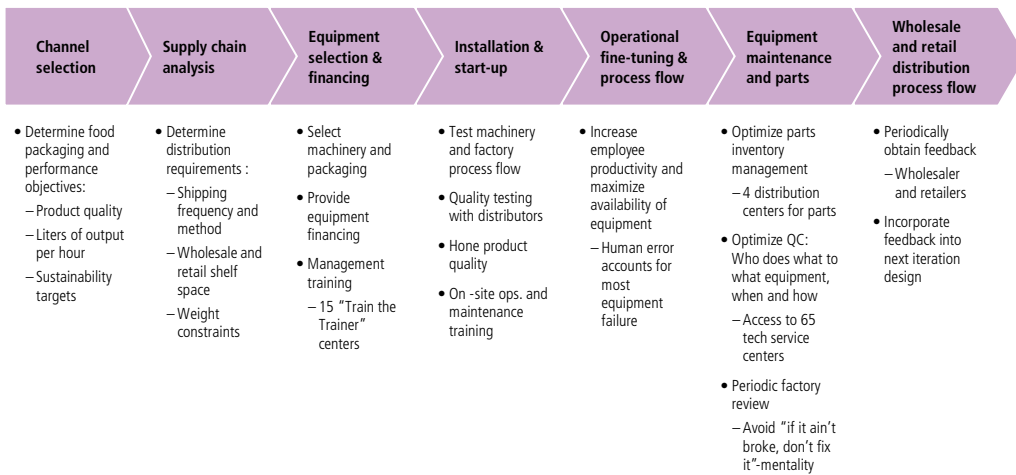


Figure 4.20: Tetra Pak is a multi-stage, multi-level partner.

Source: Reproduced by kind permission of Tetra Pak.

They quantified all of the following:

- It reduces your inventory from six to two weeks
- It reduces the cash tied up in inventory
- It reduces the problems when you have a stock-out
- It reduces stock-out costs (downtime, expedited shipping, overtime)
- It reduces inventory-carrying costs
- It reduces inventory obsolescence
- It increases sales when you can make quick changes
- It eliminates the need to place orders
- And all at the same price

Figure 4.21: Example of a label company to food manufacturers taking over responsibility for almost eliminating their stock-holding.

- They answer the question: 'Why should I buy from you'
- They are different from their competitors
- They reduce the risk of losing a customer to a competitor offering a price reduction
- They make it more difficult for a customer to leave
- They become better at the production and distribution processes
- They can then gain new customers
- Their sales and profits increase

Figure 4.22: Advantage to the label company.

Will help you increase profitable sales for a number of reasons:

- Only 5 per cent of companies have financially quantified value propositions (McKinsey) and developing them will differentiate your company
- Even if you DON'T have any differentiation, the very act of financially quantifying the benefits, even if they are standard benefits, will give you an advantage over your competitors
- You will close more deals (typically an additional 2–10 per cent)
- The sales cycle will be reduced by 10–25 per cent
- It will help reduce discounting by 20–30 per cent
- It will help make marketing campaigns more productive

Additional benefits (harder to quantify) are:

- Avoidance of no/delayed decisions to buy
- Improved customer relationships
- Referrals from satisfied customers
- Sustained relationships

Figure 4.23: Financially quantified value propositions.

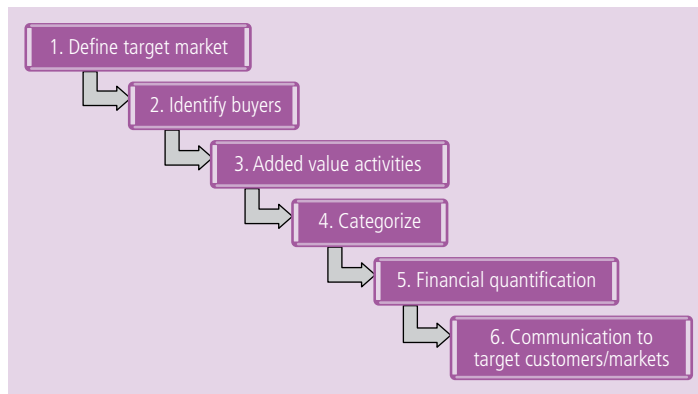


Figure 4.24: Value proposition process.

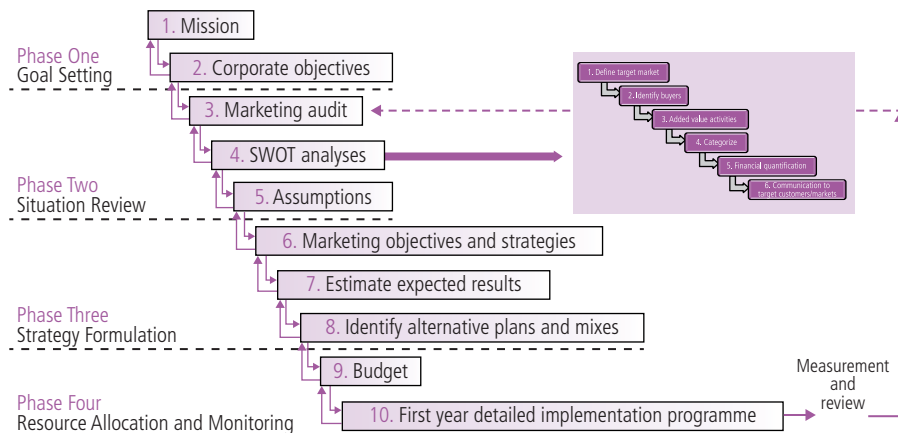


Figure 4.25: The ten steps of the strategic marketing planning process.

Customer's value chain weaknesses and opportunities for the supplier to add value		Customer weaknesses	Describe in words the opportunity for us (the supplier)	Importance to the customer or impact (high/med/low)	Added value + (\$ € £)	Cost reduction - (\$ € £)	Cost avoidance + (\$ € £)	Intangible benefits - (\$ € £)
VALUE CHAIN	Inbound							
	Operative							
	Outbound							
	Marketing and sales							
	Customer service							
VALUE CHAIN FIRM INFRASTRUCTURE	Finance							
	Procurement							
	Technology development							
	HR management							
	Other (e.g. CSR)							
Subtotal:								
TOTAL:					\$ € £			

Figure 4.26: Worksheet.

Everything an organization does is represented by the offer, which has a name attached to it, that is, a brand.

In conclusion, we hope we have convinced you that differentiation and quantifiable value propositions are crucial to profitable growth. There is one final point, however. Everything an organization does, from R&D through to after-sales service, manifests itself in the value proposition offered to the customer and, of course, this value proposition has a name on it – either a brand name or the name of the supplying company. This important topic is covered in some detail in the next chapter.

APPLICATION QUESTIONS

1. Try to establish whether you have any evidence that your customers do not behave rationally. Explain why this should be so.
2. Have a look at some of your SWOT analyses that you and your colleagues have completed in the recent past. Critically analyse them in the light of what we have explained in this chapter.
3. Does your organization have financially quantified value propositions for customers? If not, why not?
4. Are your products/services significantly different from those of your competitors?

CHAPTER 4 REVIEW

Customer behaviour

Customers do not behave rationally, no matter what economists might say.

SWOT analyses

Understanding needs and wants by segment is a crucial step in the marketing planning process.

Be certain not to enter meaningless SWOT analyses headings, such as ‘customer service’ as this could mean anything from answering the phone within five seconds to on-time-in-full delivery.

Customer value

The word ‘value’ has many meanings, but customer value relates to how the offer helps customers to achieve their goals.

Try Exercise 4.1

Differentiation

Differentiation will mainly be achieved through needs-based segmentation rather than through products/services.

EXERCISES

Exercise 4.1 Process (Steps 1–11)

Step 1 – Why Do Customers Buy?

- Why do customers buy a product or service like yours?

Step 2 – Business Problem

- **Because** we are _____ (what is the unit of measure)

Step 3 – Outcome

- **Therefore**, we want to reduce _____

Step 4 – Importance

- Score 1–3

Step 5 – Key stakeholders

- CEO, Sales Director, purchasing

Step 6 – Our offer

- List your offers

Step 7 – Comparison to competitor

- Score 1–3

Step 8 – ROI category

- Reduce a cost, avoid a cost or increase revenue

Step 9 – Value metric

- Staff costs, maintenance costs, downtime

Step 10 – Gather data

- Build savings and/or sales increase profile

Step 11 – Build financial model and dashboard

- Develop model break even, ROI, cost of doing nothing

(Continued)

Exercise 4.1 Process (Steps 1–9) Example

	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8	Step 9
	Why Do Customers Buy?	Business Problem	Outcome	Importance	Key Stakeholders	Our Offer	Comparison to Competitor	ROI Category - Reduce, Avoid, Increase	Value Metric
1	I need to be able to predict revenue	because if we don't (and miss) our shareholder value drops	therefore , I want to maintain or increase my shareholder stock price (mitigate the risk of missing from lack of information)	2	Sales Director	Demand management	3	Increase revenue	Shareholder value, earnings, profit, EBITDA
2	I need to understand my true margins	because it affects our profitability	therefore , I want access to better (more, accurate, etc.) information on costs and revenues	2	VP Finance, CFO,	Financial	1	Increase revenue / Reduce cost	Added new revenue, reduction in labour costs, earnings, operating costs, profit, sales/emp, payro as % of sales, EBITDA
3	We need to increase our billable utilization	because we need to offset costs for our revenue generation workforce	therefore , I want to increase revenue per employee	2	Services Delivery Director	Resource	2	Increase revenue	Revenue per employee, profit, operating cost
4	We need to understand our sales opportunities in the pipeline	because if we don't, we end up spending too much on outsourcing	therefore , I want to reduce my outsourcing costs	2	VP Sales	Demand management	1	Reduce cost	Outsourcing costs, profit, operating costs
5	We need to better understand our staffing of the projects and how to more effectively align resources	because we want to drive down the resource cost for every project	therefore , improving my margin on each resource assignment on a project	1	VP Services, CFO	Project management	1	Reduce cost	Internal resource / labour cost, earnings, operating costs, profit, sales per employee

Exercise 4.2 Simulation practice

Understanding customer needs and value propositions:

- a. What are the customer needs in the game? How are the needs different across different segments? Hint: Read the *Global Customer Survey* in the Research Reports area to aid your answers.
- b. In the game, there are two customer personas in the *Digital Marketing Tactics* sheet of the Marketing Plan. Add a persona for another customer segment that is in the game.
- c. Complete the other columns in the sheet for the new customer.
- d. In the game, there is a *Value Proposition* tool in the Tools area. Download that and use it to sketch out the *desired* (not current) value proposition for a key segment. This might be for the current period or for a future period. Make sure your desired value proposition will achieve superior differentiation against key needs. Then go into the Decisions area and make the decisions that will produce the desired value proposition at the right time.

Complete a SWOT in your game:

- a. Go to the SWOT page in the Marketing Plan.
- b. Choose a key segment for your company. This should be one that is key to your future success. It could be one that you are thinking about investing in or one that you are considering divesting from to release more funds.
- c. Complete the SWOT for this key segment (make sure you discuss it within your team).
- d. Copy the SWOT above to a new sheet [Excel tip: move your cursor to the tab at the bottom, right-click on your mouse, choose 'Move or Copy' and check the 'Create a copy' box].
- e. Repeat for the other key segments.

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Chapter

5

THE CUSTOMER AND MARKET AUDIT PART 3: THE PRODUCT AUDIT

SUMMARY

- What we sell to the segments identified in Chapter 3
- What a 'product' is – throughout the chapter the word 'product' is used, but the guidelines provided apply equally to services
- What a brand is
- What the difference is between a successful and an unsuccessful brand
- Key diagnostic tools, specifically
 - lifecycle analysis
 - the Boston Matrix
 - the directional policy matrix
- The growing importance of category management
- Examples of all these tools in practice are provided in the form of mini case histories
- Exercises to turn the theory into actionable propositions

INTRODUCTION

It will be recalled that, at the beginning of Chapter 3, the diagram of the marketing process – repeated here as Figure 5.1 – indicated that Chapters 3, 4 and 5 would be concerned with Box 1, for clearly a marketing audit is concerned not just with to whom we sell but also with what we sell to them. Consequently, this chapter is concerned with this aspect of the audit.

Referring again to the *output* of the marketing planning process, shown in Figure 5.2, let us remind ourselves that we are still carrying out an audit in order to complete the following sections of the strategic marketing plan:

- How the market works
- Key segments and their needs (these sections were dealt with in Chapters 3 and 4)
- SWOT analyses
- Portfolio summary of the SWOTs

This chapter is principally concerned with what is sold to the customers – the ‘product’ – and it will quickly be made clear that it is impossible to separate the product itself from the way it is delivered. This is why scholars have to date concluded that brand equity and customer equity (explained in Chapter 13) are two sides of the same coin. Digital experiences have become an increasingly important part of the product in many sectors and we recommend defining an Online Value Proposition, as we will explain later.

What Is a Product?

Throughout this chapter we refer to the term ‘product’. However, everything we say is equally applicable to a service.

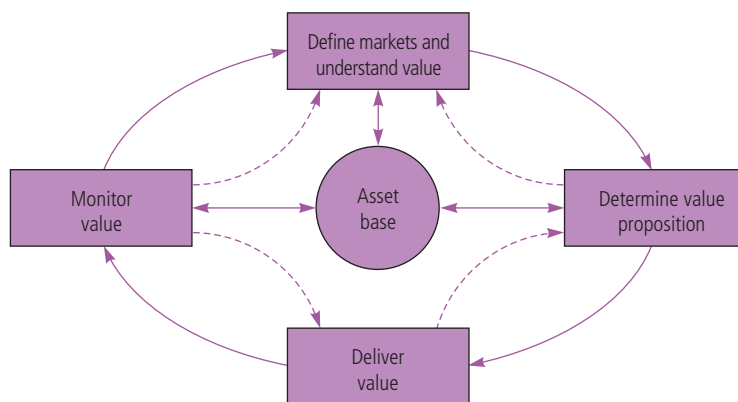


Figure 5.1: Overview of marketing map.

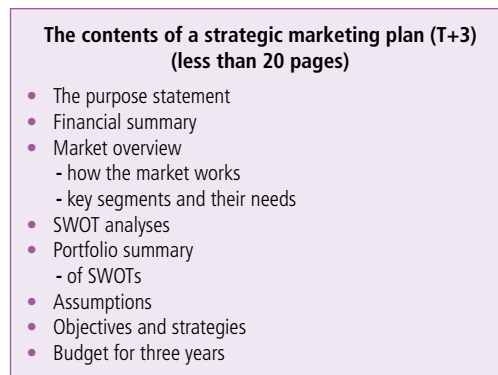


Figure 5.2: The contents of a strategic marketing plan.

The central role that the product plays in marketing management makes it such an important subject that mismanagement in this area is unlikely to be compensated for by good management in other areas.

The vital aspects of product management we shall discuss in this chapter are concerned with the nature of products, product lifecycles, how products make profits, the concept of the product portfolio and new product development. The purpose of this discussion is to help us to carry out a product audit in order that we can set meaningful marketing objectives. But before we can begin a proper discussion about product management, it is necessary first to understand what a product is, since this is the root of whatever misunderstanding there is about product management.

We have already looked at customers; now we begin to look at what we sell to them. Let us start by explaining that a product is a problem-solver, in the sense that it solves the customer's problems, and is also the means by which the company achieves its objectives. And, since it is what the customer actually gets for what they pay, it is clearly a subject of great importance.

The clue to what constitutes a product can be found in an examination of what it is that customers appear to buy. Customers have needs and they buy products to satisfy them. This was made clear in the last chapter on market segmentation. At its simplest level, someone who needs a hole may buy a drill. But if a better way of making a hole is invented – say a pocket laser – demand for drills may fall.

A product (or service) is the total experience of the customer or consumer when dealing with an organization.

The important point about this is that a company which fails to think of its business in terms of customer benefits rather than in terms of physical products or services is in danger of losing its competitive position in the market.

But while this is important at the highest level of a company, it is also extremely relevant even at the level of the salesperson. A salesperson announcing that the quench tank on their furnace is three times bigger than a competitor's quench tank must not be surprised if this news is met with complete indifference, especially if this feature requires a hole to be dug in the ground three times bigger than the one the customer currently has! Much more relevant would be the fact that this larger quench tank would enable the customer to save a large amount of money each year on operating costs, which is a benefit and is the main aspect the customer is interested in. This is what we reference in Chapter 4 as a value proposition.

So far, we have not said much about service products, such as consulting, banking, insurance, and so on. The reason for this is simply that, as we said in Chapter 1, the marketing of services is not very different from the marketing of goods. The greatest difference is that a service product has benefits that cannot be stored. Thus, an airline seat, for example, if not utilized at the time of the flight, is gone forever, whereas a physical product may be stored and used at a later date.

In practice, this disadvantage makes very little difference in marketing terms. The major problem seems to lie in the difficulty many service product companies have in actually perceiving and presenting their offerings as 'products'. Consider the example of the consultant. This country is full of a constantly changing army of people who set themselves up as consultants, and it is not unusual to see people presenting themselves, for example, as marketing consultants. It would be difficult for any prospective client to glean from such a description exactly what benefits this person is offering. Yet the market for consulting is no different from any other market, and it

is a simple matter to segment the market and develop ‘products’ that will deliver the particular package of benefits desired.

We can now begin to see that, when a customer buys a product, even as an industrial buyer purchasing a piece of equipment for a company, they are still buying a particular bundle of benefits perceived as satisfying their own particular needs and wants.

We can now appreciate the danger of leaving product development decisions entirely to technical experts. If we do, they will often assume that the only point in product management is the actual technical performance, or the functional features of the product itself.

These ideas are incorporated in Figure 5.3.

The two outer circles are depicted as ‘product surround’. This product surround can account for as much as 80 per cent of the added values and impact of a product. Often, these only account for about 20 per cent of costs, whereas the reverse is often true of the core product. This is shown in Figure 5.4.

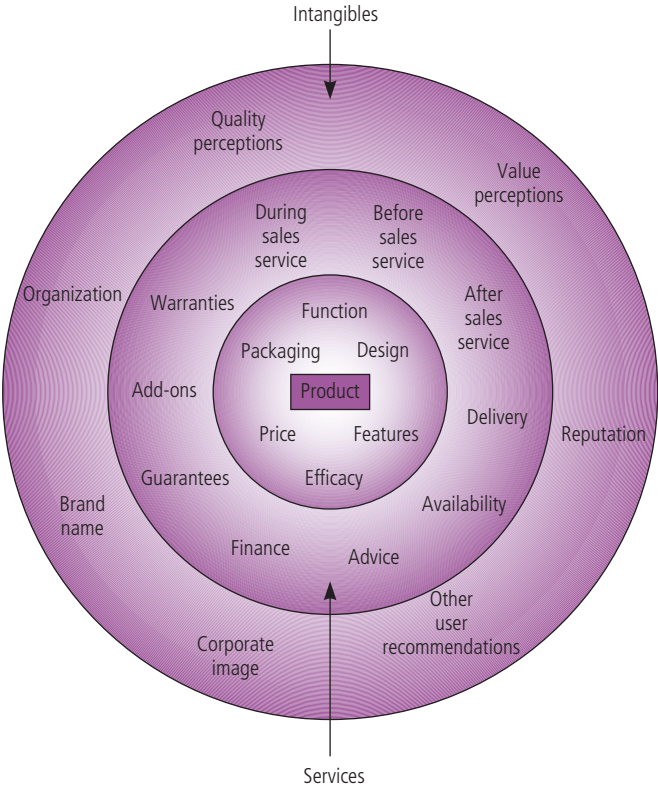


Figure 5.3: What is a product?

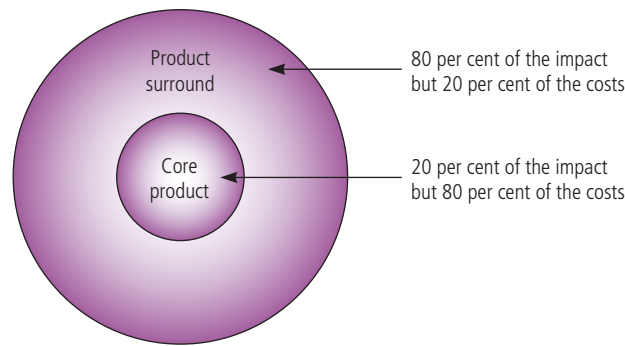


Figure 5.4: Product costs.

DIGITAL MARKETING INSIGHT: DO YOU HAVE A CLEAR OVP?

In a digital marketing context, a brand's differential advantage can be clarified and communicated by developing an online (or digital) value proposition (OVP) as defined by Chaffey and Smith (2022).¹ This is a statement of the benefits of customers using a brand's online services, reinforces the core proposition and differentiates the value proposition from an organization's offline offering and from value propositions of competitors. It is a component of the 'product surround' or extended product. It can be communicated for the brand overall or for specific products which have enhanced digital features.

In his book *Youutility* Jay Baer² has also stressed the importance of investing in quality online content and experiences to add value and to help customers. This is similar to the concept of the OVP. Examples of content-based tools and experiences brands can use to form the OVP include buyers' guides, product selection tools, knowledge bases, explainer videos and customer support forums. Customer satisfaction with the OVP should be evaluated as part of other brand satisfaction assessments such as Net Promoter Score or Customer Satisfaction surveys.

Developing an OVP involves:

1. Developing online content and service and explaining them through messages that:
 - reinforce the core brand proposition and add credibility to it; and
 - communicate what a visitor can get from an online brand experience that they can't get from the brand offline, and they can't readily get from competitors or intermediaries.
2. Communicating these messages to all appropriate online and offline customers with touchpoints in different levels of detail, from straplines to more detailed content on the website or in print.

Communicating the OVP on the website can help create a customer-centric website. For example, Virgin Wines used an OVP to communicate its service promise as follows:

- “And what if. . .
- *You are out during the day?* We promise that our drivers will find a safe place to leave your wine; but if it does get stolen, we just replace it.
 - *You find it cheaper elsewhere?* We will refund the difference if you are lucky enough to find a wine cheaper elsewhere.
 - *You live somewhere obscure?* We deliver anywhere in the UK, including Northern Ireland, the Highlands and Islands and the Scilly Isles for £5.99.
 - *You are in a hurry?* We deliver within seven days, or your delivery is free.”

A brand is a name or symbol which identifies a product. A successful brand identifies a product as having sustainable competitive advantage.

THE IMPORTANCE OF THE BRAND

It will be clear that here we are talking about not just a physical product, but a relationship with the customer, a relationship that is personified either by the company’s name or by the ► **brand name** on the product itself. IBM, BMW and Shell are excellent examples of company brand names. Persil, Coca-Cola, Foster’s lager, Dulux paint and Castrol GTX are excellent examples of product brand names.

Most people are aware of the Coca-Cola/Pepsi-Cola blind taste tests, referred to in Chapter 4, in which little difference was perceived when the colas were drunk ‘blind’. On revealing the labels, however, 65 per cent of consumers claimed to prefer Coca-Cola. This is one of the best indications of the value of what we have referred to as the ‘product surround’. That it is a major determinant of commercial success there can be little doubt. When one company buys another, as in the case of Nestlé and Rowntree, it is abundantly clear that the purpose of the acquisition is not to buy the tangible assets which appear on the balance sheet, such as factories, plant, vehicles, and so on, but the brand names owned by the company to be acquired.

In 2006, P&G paid £31 billion for Gillette yet, as can be seen from Table 5.1, they acquired only £4 billion of tangible assets.

Gillette brand	£4.0 billion
Duracell brand	£2.5 billion
Oral B brand	£2.0 billion
Braun brand	£1.5 billion
Retail and supplier network	£10.0 billion
Gillette innovative capability	£7.0 billion
TOTAL	£27.0 billion

Table 5.1: P&G paid £31 billion for Gillette, but bought only £4 billion of tangible assets.
Source: David Haigh, Brand finance, *Marketing Magazine*, 1 April 2005.

In 2010, Kraft bought Cadbury for over £10 billion, most of which was for the brand names rather than the tangible assets.

This is because it is not factories that make profits, but relationships with customers, and it is company and brand names that secure these relationships.

It is also a fact that, whenever brand names are neglected, what is known as ‘the commodity slide’ begins. This is because the physical characteristics of products – or even their service characteristics – are becoming increasingly difficult to differentiate and easy to emulate. In situations like these, one finds that purchasing decisions tend to be made on the basis of price or availability in the absence of strong brands.

Business history is replete with examples of strong brand names that have been allowed to decay through lack of attention, often because of a lack of both promotion and continuous product improvement programmes.

MARKETING INSIGHT

The fruit squash drink market is typical of this. The reverse can be seen in the case of Intel, which is a fantastic branding success story in a highly competitive global market.

Figure 5.5 depicts the process of decay from brand to commodity as the distinctive values of the brand are eroded over time, with a consequent reduction in the ability to command a premium price.

The difference between a brand and a commodity can be summed up in the term ‘added values’, which are the additional attributes, or intangibles, that the consumer perceives as being embodied in the product. Thus, a product with a strong brand name is more than just the sum of its component parts. The Coca-Cola example is only one of thousands of examples of the phenomenon.

Research has shown that perceived product quality, as explained above, is a major determinant of profitability. This issue is further discussed in Chapter 6 under the heading ‘Competitive strategies’.

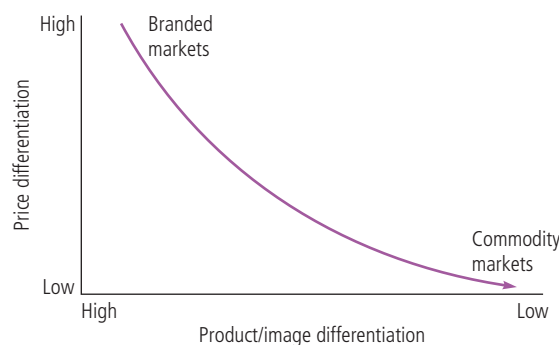


Figure 5.5: The commodity slide.

The Difference Between Successful and Unsuccessful Brands

Successful brand building helps profitability by adding values that entice customers to buy. They also provide a firm base for expansion into product improvements, variants, added services, new countries, and so on. They also protect companies against the growing power of intermediaries. And last, but not least, they help transform organizations from being faceless bureaucracies to ones that are attractive to work for and deal with.

We must not, however, make the mistake of confusing successful and unsuccessful 'brands'. The world is full of products and services that have brand names, but which are not successful brands. They fall down on other important criteria.

A successful brand has a name, symbol or design (or some combination) that identifies the 'product' of an organization as having a sustainable competitive advantage – for example, Tesla, Netflix, Oracle. A successful brand invariably results in superior profit and market performance. In the Covid-19 pandemic, for example, strong brands protected against share price volatility and reductions in stock return (Farhang et al. 2023³). Furthermore, during recessions, continued brand investments increases revenue and profits in both the medium and the long term.⁴ Brands are only assets if they have sustainable competitive advantage. Like other assets, brands depreciate without further investment – for example, Hoover, Singer, MG, Marks & Spencer, and so on.

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There are many 'products' that pretend to be brands, but are not the genuine article. As a Director of Marketing at Tesco said, 'Pseudo brands are not brands. They are manufacturer's labels. They are "me-toos" and have poor positioning, poor quality and poor support. Such manufacturers no longer understand the consumer and see retailers solely as a channel for distribution.'

In the majority of buying decisions, brands simply provide a short cut, because whether we buy Brand A or Brand B isn't a matter of life or death so we buy on a whim or habitual choice.⁵

Seen in this light, pseudo brands can never be mistaken for the real thing, because the genuine brand provides added brand values. Customers believe that the product:

- will be reliable
- is the best
- is something that will suit them better than product X
- is designed with them in mind.

These beliefs are based not only on perceptions of the brand itself relative to others, but also on customers' perceptions of the supplying company and beliefs about its reputation and integrity.

As Mark Ritson said: 'Great stars shine brightest when the sky is darkest. In austere times, great brands bestow pleasure, maintain their premium and take a long view.'⁶

The title 'successful brand' has to be earned. The company has to invest in everything it does so that the product meets the physical needs of customers, as well as having an image to match their emotional needs. Thus it must provide concrete and rational benefits that are sustained by a marketing mix that is compatible, believable and relevant.

The Components of a Brand

There are three principal components: brand strategy; brand positioning; and brand personality.

The first of these, brand strategy, stems from the position of the brand in the portfolio of the organization that owns the brand. Later in this chapter we will see that some poor brands are competing in high-growth markets, while others are competing in mature or declining markets. Thus the objectives for the brand could well call for different levels and types of investment (invest or harvest), innovation (relaunch, augment, cut costs), sales and distribution patterns (extension, reduction, broad, narrow), market share, usage aims (new, existing behaviour), and so on.

The first point to be made, then, is that an organization must be clear what the appropriate objectives are for a brand.

The second component, brand positioning, is concerned with what the brand actually does and with what it competes. In other words, brand positioning starts with the physical or functional aspects of the brand (the centre circle in Figure 5.3). For instance, Fever-Tree is positioned in the UK as a mixer for spirits, rather than as a soft drink competing with Coca-Cola, Pepsi-Cola and 7-Up. Tide is a tough, general-purpose detergent, rather than a powder for woollens. Waitrose is a high-quality grocer rather than a low-price supermarket. IBM is positioned as a business transformation consultant, where once it was positioned as a computer manufacturer – a positioning that was suffering from the problems of market maturity we discussed earlier, and that nearly led IBM to go bust.

As we discussed in Chapters 3 and 4, there are usually several main motivators in any market, only one or two of which are of real importance. These dimensions are best seen as bipolar scales along which brands can be positioned – for example:

1. expensive/inexpensive
2. strong/mild
3. big/small
4. hot/cold
5. fast/slow
6. male/female
7. etc.

Because they are so obvious, they are easy to research in order to establish which are those that people regard as the most fundamental basis for buying. It will be obvious that not all consumers look for the same functional performance, so market segmentation becomes important at this stage. A useful starting point in this kind of primary market interpretation is to draw a bipolar map, as shown in Figure 5.6. Figure 5.7 shows an actual bipolar map for detergents.

Clearly the physical dimensions of any market will change over time, so this kind of basic research should be conducted on a regular basis to establish, first, what the main dimensions are and, second, whether the position of any competing product has changed.

In highly mature markets, brands are likely to be positioned close to one another, thus indicating that the basic functional or physical characteristics are less likely to be the sole basis on which a product or service is selected.



Figure 5.6: A brand position map.

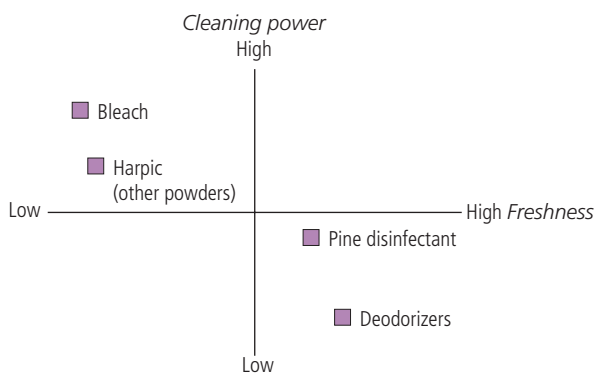


Figure 5.7: Bipolar map for detergents.

MARKETING INSIGHT

This brings us to the final component, brand personality. The late Stephen King said that a product is something that is made in a factory; a brand is something that is bought by a consumer. A product can be copied, but a successful brand is unique and, particularly in mature markets, is a key discriminator in the marketplace.

Brand personality is a useful descriptor for the total impression that consumers have of brands, and in many ways brands are like people, with their own physical, emotional and personality characteristics. Brands are very similar, in that they are a complex blend of physical, emotional and personality characteristics. Thus two brands can be very similar in terms of their functions, but have very different personalities.

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For example, small Toyotas, Peugeots and VWs all perform about the same along the functional dimensions of size, speed and price. Yet each one has a totally different personality, which is the result of a blend of three sorts of appeal: sensual, rational and emotional.

Sensual appeal, that is, how the product or service looks, feels, sounds, and so on, can have an important influence on buying behaviour. It is easy to imagine how this appeal can differ in the case of, say, airlines or business schools.

Rational appeal, that is, how the product or service performs, what they contain, and so on, can also have an important influence on buying behaviour.

Emotional appeal, however, is perhaps the most important and has a lot to do with the psychological rewards the products or services offer, the moods they conjure up, the associations they evoke, and so on. It is easy to imagine the overt appeal of certain products as being particularly masculine, or feminine, or chic, or workmanlike, or flashy.

BMW cars are noted for their hard, sporty personalities, while Mercedes is noted for its solid, reliable engineering prowess. Tesla isn't just distinctive in its sustainability: it also has a distinctive modernity to its design, with associations not just of success but also of cool style.

The point is that, for any brand to be successful, all these elements have to be consistent, as they will all affect the brand's personality and it is this personality, above all else, that represents the brand's totality and makes one brand more desirable, or appealing, than another.

Put at its simplest, it is a brand's personality that converts a commodity into something unique and enables a higher price to be charged for it.

Figure 5.8 combines brand functionality and personality in a matrix. The vertical axis refers to a brand's ability to satisfy utilitarian needs, such as quality, reliability, effectiveness, and so on, where the consumer's need for such benefits is high. The horizontal axis represents the brand's ability to help consumers express something about themselves, be it, for example, their mood, their membership of a particular social group, their status, and so on. Brands are chosen on this dimension because they have values that exist over and above their physical values. We call this dimension 'representationality'. For example, products such as Yves St Laurent neckties are effective brands for expressing particular personality types and roles, with functional attributes being secondary.

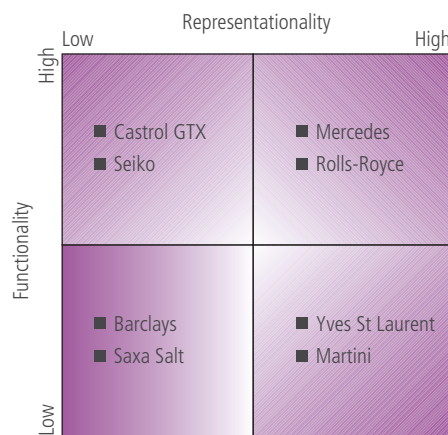


Figure 5.8: Brand functionality and personality.

Source: De Chernatony, L. and McDonald, M. (2011) *Creating Powerful Brands*. Butterworth-Heinemann, Oxford.

It is possible, by means of market research, to identify the degree to which consumers perceive a brand as reflecting functionality and representationality. Having done this, it is then possible for the marketer to consider how best to use the available resources to support the brand.

Market research is the collection, organization, analysis and dissemination of facts and opinions from existing or potential customers and consumers about an organization or its products.

For products and services in the top right-hand box (i.e. ones that both provide functional excellence and are good vehicles for non-verbal communication about themselves), a creative strategy that reinforces consumers' lifestyle requirements should be adopted and communicated through appropriate media channels. Additionally, the quality of the brand needs to be maintained through high standards of quality control and continuous product development. Also, strict control over channels of distribution should be exercised.

For products and services in the top left-hand box (i.e. ones bought by consumers because of a high utilitarian need rather than because of a need to say something about themselves), product superiority needs to be continuously maintained, as 'me-tooism' is a continuous threat to such brands. Also, heavy promotional support is important in communicating the functional benefits of the brand.

For products and services in the bottom right-hand box (i.e. ones that are less important for their functional attributes, but which are high as symbolic devices), it is clearly important to reinforce continuously the cultural and lifestyle aspects of the brand and a heavy promotional presence is almost certainly more important than product-development issues.

For products and services in the bottom left-hand box (i.e. those that are bought by consumers who are not particularly concerned about either functional differences or self-image), successful branding is more difficult, because it is likely that they must have wide distribution and be very price competitive. Cost leadership, then, becomes important to the brand owner, which entails being an efficient producer. Brands in this sector are obviously vulnerable and, to succeed, an attractive price proposition is usually necessary.

The Company as a Brand

It will, by now, be obvious that it is frequently the case that a company's name is the brand used on different products or services, as opposed to an individual brand name for each product, as in the case of, say, Persil.

To present themselves in the most favourable way, firms develop a corporate identity programme, ensuring that all forms of external communication are coordinated and presented in the same way. Corporate identity can be a valuable asset, which if effectively managed, can make a major contribution to brand success.

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In this respect it is easy to see why Ford has been unable to compete effectively in the high-class car market. Ford wasn't even effective in managing the Jaguar brand, which it bought to enter the up-market segment. Equally, it can be seen why Mars was able to enter the ice-cream market using the Mars corporate brand name, but why it uses a totally different brand name, Pedigree, in the animal foodstuffs market.

Classic examples of company brands include Apple, Google, JCB, Microsoft, Virgin and countless others. It works well as a policy, given the prohibitive costs of building individual brands *ab initio*, providing the product or service in question is consistent with the corporate image.

While there is a 'halo' effect of using a famous corporate name on a new product or service, there are also risks to the total portfolio, should any one new product prove to be disastrous.

For a quantitative financial technique for calculating what is known as the capital at risk concept, see McDonald et al.⁷

For products with high representationality, a strong creative strategy needs to be pursued. For products with high functionality, product performance strategy is very important. For example, Levi Strauss was known and respected for jeans. Their extension into Levi tailored classic suits failed because of wrong association. Adding the name Pierre Cardin to bathroom tiles in Spain did little for the value of this core brand!

Peter Doyle developed a useful matrix for considering what an appropriate strategy might be towards corporate, as opposed to individual, product branding. This is given in Figure 5.9.

Global Versus Local Brands

So, if we can now distinguish between a brand and a pseudo brand, what is a global brand? Here is a definition: *a global brand is a product that bears the same name and logo and presents the same or similar message all over the world.* Usually the product is aimed at the same target market and is promoted and presented in much the same way.

Most of the brand valuation companies such as Brand Finance concur on which are the world's most popular and valuable brands and the top ten usually include names like Wal-Mart, Tencent and Louis Vuitton, but Coca-Cola, Sony, Mercedes, Disney, McDonald's, Toyota, IBM and Pepsi are always in such lists. Probably there are few surprises here, but what are the alternative options to having a mass global brand?

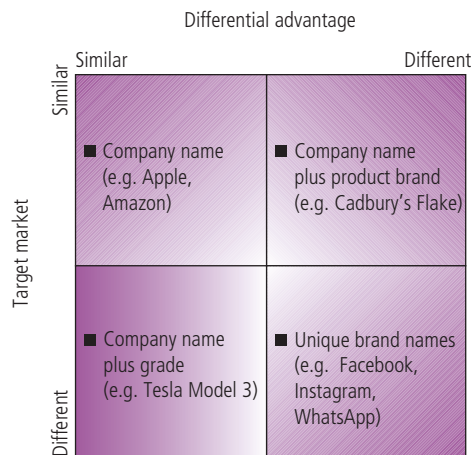


Figure 5.9: Corporate brand positioning.

Source: Professor Peter Doyle, reproduced with his kind permission.

There are only two broad options:

- 1. develop a global brand, such as American Express or Coca-Cola, or
- 2. have a local or regional brand in each country or region of operation.

A global brand is a product that bears the same name and logo and presents the same or similar message all over the world.

What fuels the decision making regarding which choice? Clearly, it depends mainly upon the types of customer. However, there are some other practical considerations to take into account, such as the cost of production, the distribution costs, promotion, competitive market structure, channels, legal constraints and operational structures.

Procter & Gamble experienced major problems trying to get washing powders and liquids established under one brand name across Europe. For one thing, they had to try to accommodate different types of washing machines, different types of water, different washing habits and different cultures. Then there was the business of getting to grips with market structures and competition, and, last but not least (because it can be the greatest barrier of all), getting its own operating structure right.

Clearly, then, the benefits to be derived from economies of scale have to be weighed very carefully against the difficulty of setting up a global brand, as the matrix in Figure 5.10 shows.

Although three of the boxes reduce to fairly obvious choices, the top right-hand box is still something of a poser. Our own inclination is that, when faced with high difficulty, but high economies of scale, we would endeavour to establish global brands.

Of course, while the matrix only represents a concept, it is possible to develop concrete data for it in much the same way as the directional policy matrix (DPM), which is described later in this

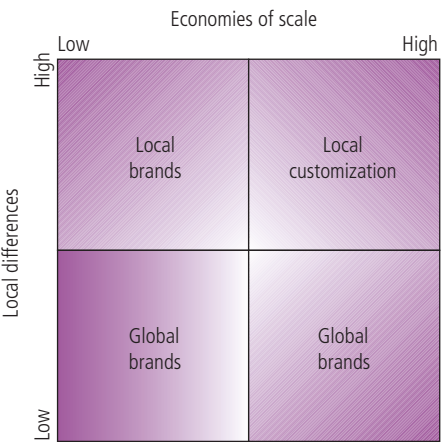


Figure 5.10: Global versus local brands.

chapter. For example, all the savings attributable to economies of scale could be calculated, such as manufacturing, R&D, purchasing, logistics, better management control, and so on. Equally, local differences could be assessed taking into account the infrastructure of markets, demand homogeneity, culture, political/legal framework, market structure, competition, and the like.

By looking at international markets in this way, the odds come out very much higher in favour of global brands as against local ones. Predictions about future trends only serve to reinforce this hypothesis. For example, in the European single market it has been predicted that:

1. Prices will tend to harmonize towards the lowest levels across Europe.
2. Purchasers will tend to buy on a pan-European basis to gain maximum price advantage.
3. Major distributors (especially importers) will operate transnationally and take advantage of remaining price differentials and low-cost suppliers.

MARKETING INSIGHT

Donald Casey of Lauder Associates asserts, 'The growth in global branding is a direct result of the explosion of media consumption amongst the young. In every country the data show that the younger consumers are significantly more aware of international brands, particularly in fields like TV, music, video and sports.' Further support is provided by Alan Woofe who says, 'The most fundamental point of all this is that one day there will eventually be a Euro-market, and there may one day be Euro-consumers in the foreseeable future.'

There is much evidence to confirm that these trends are already happening. The portents are clear. Already, large pan-European retailing groups are appearing and if an organization does not have a European brand, especially if it is in fast-moving consumer goods, it does not appear to have very good prospects. It is brand names that win customers, make a profit and create customer loyalty. As stated earlier, Nestlé wanted to buy Rowntree purely for its brands, not for its factories. A good brand, at the end of the day, is the company's best marketing asset. For that reason it is short-sighted not to invest in the brand. To allow it to slip and become a 'me-too' commodity is tantamount to commercial vandalism.

To summarize, a successful brand is an identifiable product, service, person or place augmented in such a way that the buyer or user perceives relevant, unique added values which match their needs most closely. Its success results from being able to sustain these added values against competitors. Being able to do this on a global basis will bring great rewards, but it will not be easy.

CATEGORY MANAGEMENT

Next a few words about category management are necessary.

Category management (CM) is a concept that developed as a radical alternative to brand management in retail marketing since the mid-1990s. The process of CM can be summarized as:

The strategic management of a group of products clustered around a specific customer need. This group, or category, is managed as a strategic business unit with clearly defined profitability goals.

The impact of CM is that it shifts attention from individual brands to the management of overall categories as defined by local customer needs.

CM emerged from the development of ideas within the concept of Efficient Customer Response (ECR) that was initiated industry-wide in the USA from the mid-1980s onwards. The emphasis of ECR is on sales profitability rather than sales volume and spans the entire business process from the purchase of raw materials to manufacturing, distribution and sale. It is founded on the recent improvements in technology that have allowed suppliers and buyers to reduce waste and stockholding as well as reduced discounts as a means of generating sales. The focus of the concept is the business processes to be found in retail organizations.

Growth of Category Management

Brand management focuses on individual brands from the manufacturer's perspective, grouping all functions that affect a brand's profitability under one manager. Retailers, however, will often group brands together by product (e.g. soap powder, car insurance) because that is more convenient for their customers and reflects the way in which customers shop.

The resultant categories are, therefore, defined by customers, but this can lead to problems of definition. For instance, when a customer wants a cleaner for the bathroom, do they categorize it as a bathroom product, a cleaner or a home safety product? In addition, categories tend to vary regionally and according to customer types, rather than on a broader cross-cultural basis. In response some manufacturers have had to recast their brands for categories, but this in turn raises the question of whether some products should appear in more than one category – for instance, should herbs be categorized with fresh produce, baking goods or both?

In the final analysis, what is important to retailers is that their shelf space sells more than it would if managed another way. Retailers' expertise lies in providing online and offline space to sell products and services to facilitate this. Sometimes, an external supplier is appointed as category manager, who is then made responsible for optimizing sales from that space. By doing so, retailers are exploiting manufacturer skills in such areas as display, sales promotion and merchandising.

The retailer will normally set minimum standards for the category such as demanding that there must be at least one major brand name and one 'own label' product displayed. After that, the category managers make their own stocking and communications decisions on behalf of their assigned category. For example, if GSK were to identify opportunities for increased toothbrush sales within the oral hygiene category for which they acted as category manager, they could spend their own budget on promoting them.

CM reflects the shift of power from manufacturer to retailer.

Contrary to traditional practices, CM obliges manufacturers to consider the profitability of an entire product segment rather than that of just their own brands. The fact that retailers have forced this change is another example of the evolution of retailers from passive distributors to proactive marketers and the shift of power from manufacturer to retailer.

Where category managers are appointed internally, they usually have a similar role – that is, the management of a partnership between a supplier or a number of suppliers with the objective of sales and profit enhancement.

The trend towards CM has also required a shift from the traditionally narrow focus of brand management. Looked at from a category perspective, it is possible to see that the consumer choice is

not just about selecting from competing brands such as Coca-Cola or Pepsi, but involves an entire drinks portfolio of soft drinks, juices, beverages and alcohol. Heinz now organizes its business along category management principles with eight global categories: ketchups, condiments and sauces, infant feeding, seafood, organic and nutritional food, pet food, frozen food and convenience food.

Rather than relying on the power of their brand names, organizations need to ensure that all of their support systems demonstrate to retailers that they are capable of managing categories to advantage. This might mean a review of all of the organization's systems for retail supply such as the logistics of keeping the shelves fully supplied or maintaining efficient electronic data interchange systems for stocks.

Limitations of Category Management

Viewed purely as a strategy to reduce waste, and therefore costs, CM loses its focus on the end customer as the absolute priority. Concentrating on the maximization of shelf space profitability may not improve customer satisfaction levels and this, in the long run, may reduce profits.

One recent report concluded that the availability of a wide selection of goods is a major determinant in customers' decisions about where to shop. CM limits the choice of products to those that are most profitable for the retailer and this can have a negative impact on the customers' shopping experience. If customers feel hindered in their purchase decisions by the inability to compare prices of different brands, the CM process will ultimately rebound.

Further difficulties arise from the issue of positioning different product categories. Should paper tissues, for instance, be categorized with bathroom products or health and beauty? And, should the two categories be set next to each other or apart? In addition, different retailers and manufacturers could well work to different category definitions

CM's emphasis on the manufacturer/retailer relationship can demote a customer focus.

These limitations reflect the fact that much of the emphasis of CM has been on the manufacturer/retailer relationship, whether online or offline. Consumers have effectively been demoted as the focus of marketing strategy as retailers have grown in importance, with consumers attracting 30 per cent of marketing expenditure against retailers at 54 per cent, according to one study.

In order to sustain a customer focus, manufacturers need free access to customer information. This can be obtained through large panel companies such as Nielsen or Taylor Nelson Sofres (TNS), or through the development of a manufacturer's own database, such as Heinz. Manufacturers can also try to establish a reputation for themselves as leaders in ECR.

The future of CM must necessarily take account of the distribution systems for an increasingly 'global village' market. Many mass retailers are unable to market so many products properly, even when redefined as categories. Providing marketing expertise is, therefore, one way in which manufacturers can hope to retain some kind of balance in the relationship with such international retailers.

PRODUCT LIFECYCLE

Having discussed the vital factor of benefits as a part of product management, we must now ask ourselves whether one product is enough.

There are many examples of entrepreneurs who set themselves up in business to manufacture, say, toys such as clackers, who make their fortune and who then just as quickly lose it when this

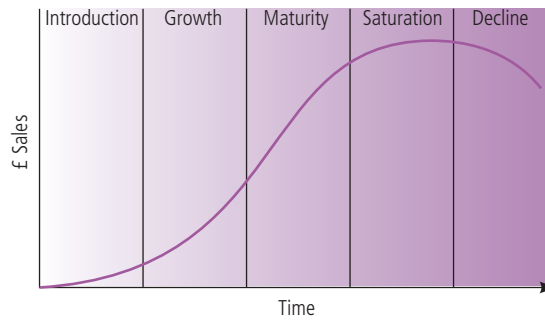


Figure 5.11: **Product lifecycle.**

fashion-conscious market changes to its latest fad. Such examples are merely the extreme manifestation of what is known as the product lifecycle. This, too, is such a vital and fundamental concept that it is worth devoting some time to a discussion of the subject.

Historians of technology have observed that all technical functions grow exponentially until they come up against some natural limiting factor which causes growth to slow down and, eventually, to decline as one technology is replaced by another. There is universal agreement that the same phenomenon applies to products, so giving rise to the concept of the product lifecycle, much written about in marketing literature during the past eight decades.

The product lifecycle postulates that if a new product is successful at the introductory stage (and many fail at this point), then gradually repeat purchase grows and spreads and the rate of sales growth increases. At this stage, competitors often enter the market and their additional promotional expenditures further expand the market. But no market is infinitely expandable, and eventually the rate of growth slows as the product moves into its maturity stage. Eventually, a point is reached where there are too many firms in the market, price wars break out, and some firms drop out of the market, until finally the market itself falls into decline. Figure 5.11 illustrates these apparently universal phenomena.

Nevertheless, while the product lifecycle may well be a useful practical generalization, it can also be argued that particular product lifecycles are determined more by the activities of the company than by any underlying 'law'.

MARKETING INSIGHT

For example, Bailey's liqueur, while exhibiting all the characteristics of the classic product lifecycle, went on to new record sales heights following the appointment of a new brand manager.

A product lifecycle plots the volume or value of sales of a product from its launch to its decline and withdrawal.

Nevertheless, while this example illustrates the dangers inherent in incorrect interpretation of lifecycle analysis, even in this case, sales will eventually mature.

From a management point of view, the product lifecycle concept is useful in that it focuses our attention on the likely future sales pattern if we take no corrective action. There are

several courses of action open to us in our attempts to maintain the profitable sales of a product over its lifecycle.

Figure 5.12 illustrates the actual courses taken by an American company in the management of one of its leading industrial market products. As sales growth began to slow down, the company initiated a programme of product range extensions and market development which successfully took the brand into additional stages of growth. At the same time the company was aggressively seeking new products and even considering potential areas for diversification.

Even more important are the implications of the product lifecycle concept on every element of the marketing mix. Figure 5.13 gives some guide as to how the product has to change over its lifecycle. In addition to this, however, every other element also has to change. For example, if a company rigidly adhered to a premium pricing policy at the mature stage of the product lifecycle, when markets are often overcrowded and price wars begin, it could well lose market share. It could be regretted later on when the market has settled down, for it is often at this stage that products provide extremely profitable revenue for the company. It will become clearer later in this chapter why market share is important.

The same applies to promotion. During the early phase of product introduction, the task for promotion is often one of creating awareness, whereas during the growth phase the task may need to change to one of creating a favourable attitude towards the product. Neither should the policy towards channels be fixed. At first we are concerned with getting distribution for the product in the most important channels, whereas during the growth phase we have to consider ways of reaching the new channels that want our product. All of these points will become clearer in those chapters specifically concerned with the management of price, place and promotion.

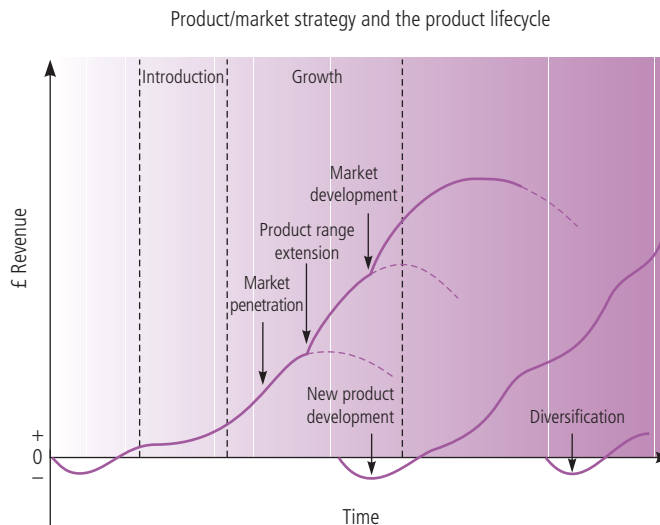


Figure 5.12: Extending the product lifecycle.

The product/market lifecycle and market characteristics

Key characteristics	Unique	Product differentiation	Service differentiation	'Commodity'
Marketing message	Explain	Competitive	Brand values	Corporate
Sales	Pioneering	Relative benefits Distribution support	Relationship based	Availability based
Distribution	Direct selling	Exclusive distribution	Mass distribution	80/20
Price	Very high	High	Medium	Low (consumer controlled)
Competitive intensity	None	Few	Many	Fewer, bigger, international
Costs	Very high	Medium	Medium/low	Very low
Profit	Medium/high	High	Medium/high	Medium/low
Management style	Visionary	Strategic	Operational	Cost management

Figure 5.13: Strategy changes over the product lifecycle.

MARKETING INSIGHT

The famous 3M Post-it notes are representative of the changes that have to take place over the life of a product. At first, prices and margins were high, there were no competitors and the route to market was via direct selling. Sooner or later, new competitors entered the market. When the market reached maturity, 3M added clearer branding to the product and the route to market changed. Today, consumers have a choice of own label, coloured, lined and small or large versions of the Post-it note. Faced with such a change in market circumstances, it is obvious that the key characteristics of management also had to change to ensure continued success.

MARKETING INSIGHT

Another example is Meta. It was originally so associated with its original product that the firm was called Facebook. For some time, it dominated its category. By 2023, there were almost as many Facebook users as toothbrush owners: clearly, the firm was entering market saturation, and as usual, the market was fragmenting. Wisely, though, the firm had been busy segmenting its offer for some time, so by 2023, it still owned four of the top seven social media platforms in Facebook, Instagram, WhatsApp and Messenger.

Plotting a product lifecycle, however, can be extremely difficult, even given the availability of some form of time series analysis. This is connected with the complex question of market share measurement.

First, let us remind ourselves that a firm needs to be concerned with its share (or its proportion of volume or value) of an actual market, rather than with a potential market. The example of the carpet manufacturer given in Chapter 3 emphasized the importance of measuring the right things when determining what a company's market is.

For the purpose of helping us to draw lifecycles, it is worth repeating the definitions given in Chapter 3:

- product class, e.g. social media
- product subclass, e.g. social networks
- product brand, e.g. 'X' (formerly Twitter).

'X' as a brand, for the purpose of measuring market share, is concerned only with the aggregate of all other brands that satisfy the same group of customer wants.

Nevertheless, X's owner also needs to be aware of the sales trends of other social networks such as Facebook and LinkedIn, as well as wider trends in social media (such as messaging, blogs etc.).

One of the most frequent mistakes made by companies that do not understand what market share really means is to assume that their company has only a small share of some market, whereas if the company is commercially successful, it probably has a much larger share of a smaller market segment.

It is interesting to see how many commercial failures can be traced back to a naive assumption on the part of managements that what was successful as a policy at one time will continue to be successful in the future.

MARKETING INSIGHT

A reference back to Figure 5.13 will immediately explain the demise of many companies, particularly in the information technology industry, who continued to pursue policies more appropriate to the second column, when, in reality, the markets for some of their products had moved to the fourth column.

The important point to remember at this stage is that the concept of the product lifecycle is not an academic figment of the imagination, but a hard reality which is ignored at great risk.

Table 5.2 shows a checklist used by one major company to help it determine where its markets are on the lifecycle.

DIFFUSION OF INNOVATION

In Chapter 3 we briefly referred to Everett Rogers' Diffusion of Innovation curve to explain why markets eventually fragment into market segments.

Diffusion is the adoption of new products or services over time by consumers within social systems, as encouraged by marketing.

Diffusion refers to the cumulative percentage of potential adopters of a new product or service over time.

Maturity stage factor	Embryonic	Growth	Mature	Declining
<i>1. Growth rate</i>	Normally much greater than GNP (on small base).	Sustained growth above GNP. New customers. New suppliers. Rate decelerates toward end of stage.	Approximately equals GNP.	Declining demand. Market shrinks as users' needs change.
<i>2. Predictability of growth potential</i>	Hard to define accurately. Small portion of demand being satisfied. Market forecasts differ widely.	Greater percentage of demand is met and upper limits of demand becoming clearer. Discontinuities, such as price reductions based on economies of scale, may occur.	Potential well defined. Competition specialized to satisfy needs of specific segments.	Known and limited.
<i>3. Product line proliferation</i>	Specialized lines to meet needs of early customers.	Rapid expansion.	Proliferation slows or ceases.	Lines narrow as unprofitable products dropped.
<i>4. Number of competitors</i>	Unpredictable.	Reaches maximum. New entrants attracted by growth and high margins. Some consolidation begins toward end of stage.	Entrenched positions established. Further shake-out of marginal competitors.	New entrants unlikely. Competitors continue to decline.
<i>5. Market share distribution</i>	Unstable. Shares react unpredictably to entrepreneurial insights and timing.	Increasing stability. Typically, a few competitors emerging as strong.	Stable with a few companies often controlling much of industry.	Highly concentrated or fragmented as industry segments and/or is localized.
<i>6. Customer stability</i>	Trial usage with little customer loyalty.	Some loyalty. Repeat usage with many seeking alternative suppliers.	Well-developed buying patterns with customer loyalty. Competitors understand purchase dynamics and it is difficult for a new supplier to win over accounts.	Extremely stable. Suppliers dwindle and customers less motivated to seek alternatives.

Table 5.2: Guide to market maturity.

7. <i>Ease of entry</i>	Normally easy. No one dominates. Customers' expectations uncertain. If barriers exist, they are usually technology, capital or fear of the unknown.	More difficult. Market franchises and/or economies of scale may exist, yet new business is still available without directly confronting competition.	Difficult. Market leaders established. New business must be 'won' from others.	Little or no incentive to enter.
8. <i>Technology</i>	Plays an important role in matching product characteristics to market needs. Frequent product changes.	Product technology vital early, while process technology more important later in this stage.	Process and material substitution focus. Product requirements well known and relatively undemanding. May be a thrust to renew the industry via new technology.	Technological content is known, stable and accessible.

Table 5.2: (Continued)

We make no apologies for reintroducing this important concept once again in the context of product management, as it is fundamental to commercial success.

A useful explanation and extension of the product lifecycle is what is known as the 'diffusion of innovation'. Diffusion is the adoption of new products or services over time by consumers within social systems, as encouraged by marketing. Diffusion refers to the cumulative percentage of potential adopters of a new product or service over time.

Everett Rogers⁸ examined some of the social forces that explain the product lifecycle. The body of knowledge often referred to as 'reference theory' (which incorporates work on group norms, group pressures, etc.) helps explain the snowball effect of diffusion. Rogers found that the actual rate of diffusion is a function of a product's:

- relative advantage (over existing products)
- compatibility (with lifestyles, values, etc.)
- communicability (is it easy to communicate?)
- complexity (is it complicated?)
- divisibility (can it be tried out on a small scale before commitment?).

Diffusion is also a function of the newness of the product itself, which can be classified broadly under three headings:

- Continuous innovation (e.g. the new miracle ingredient).
- Dynamically continuous innovation (e.g. disposable lighter).
- Discontinuous (e.g. microwave oven).

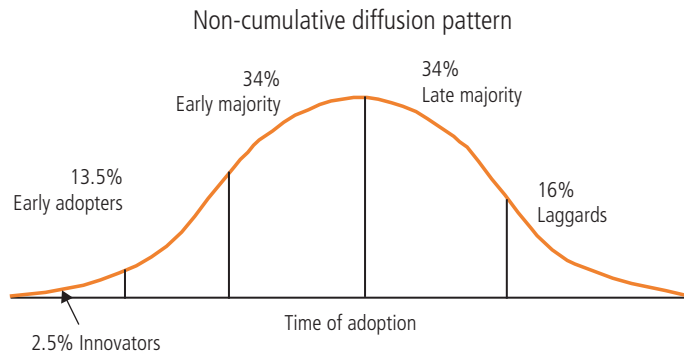


Figure 5.14: Non-cumulative diffusion pattern.

Source: Rogers, E. (2010) *Diffusion of Innovations*, 5th Edition. Simon & Schuster.

However, Rogers found that, for all new products, not everyone adopts new products at the same time, and that a universal pattern emerges, as shown in Figure 5.14.

In general, the innovators think for themselves and try new things (where relevant); the early adopters, who have status in society, are opinion leaders and they adopt successful products, making them acceptable and respectable; the early majority, who are more conservative and who have slightly above-average status, are more deliberate and only adopt products that have social approbation; the late majority, who are below average status and sceptical, adopt products much later; the laggards, with low status, income, and so on, view life 'through the rear mirror' and are the last to adopt products.

This particular piece of research can be very useful, particularly for advertising and personal selling. For example, if we can develop a typology for opinion leaders, we can target our early advertising and sales effort specifically at them. Once the first 7–8 per cent of opinion leaders have adopted our product, there is a good chance that the early majority will try it. Hence, once the 10–12 per cent point is reached, the champagne can be opened, because there is a good chance that the rest will adopt our product.

We know, for example, that the general characteristics of opinion leaders are that they are: venturesome; socially integrated; cosmopolitan; socially mobile; and privileged. So we need to ask ourselves what the specific characteristics of these customers are in our particular industry. We can then tailor our advertising and selling message specifically for them.

Over the years, whilst there has been much discussion and disagreement by scholars about the science of Rogers's theory, intuitively it seems to make sense and we should at least consider it in thinking about marketing theory.

The diffusion of innovation curve, when seen in conjunction with the product lifecycle, helps to explain the dynamics of markets. Figure 5.15 illustrates this relationship. It shows that, when all potential users of a product are using it, the market is a replacement market.

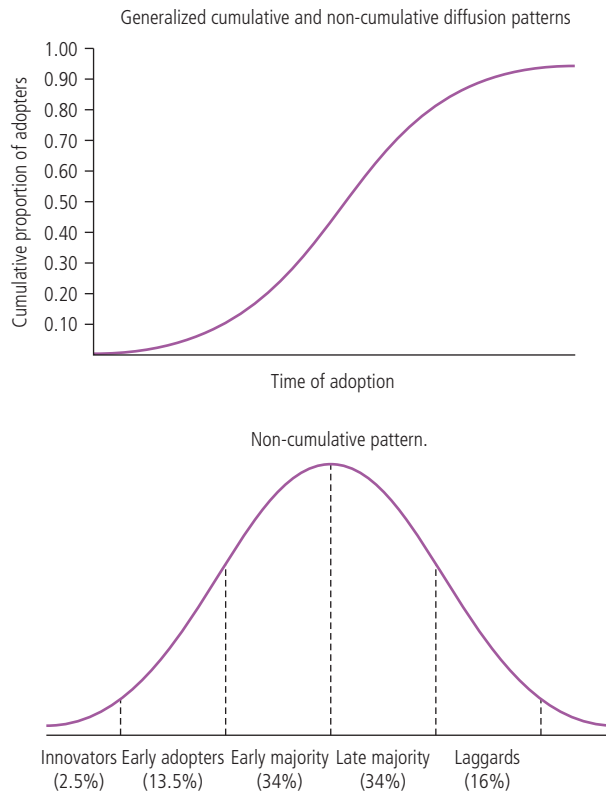


Figure 5.15: Cumulative pattern.

MARKETING INSIGHT

For example, virtually everyone in Western Europe has washing machines, cars and mobile phones. The market is dependent on population growth or decline, so most of these are replacement markets and most competitors wishing to grow their sales would probably have to take it from competitors.

PRODUCT PORTFOLIO

We might well imagine that, at any point in time, a review of a company's different products would reveal different stages of growth, maturity and decline.

In Figure 5.16, the dotted line represents the time of our analysis, and this shows one product in severe decline, one product in its introductory stage, and one in the saturation stage.

If our objective is to grow in profitability over a long period of time, our analysis of our product portfolio should reveal a situation like the one in Figure 5.17, in which new product introductions are timed so as to ensure continuous sales growth.

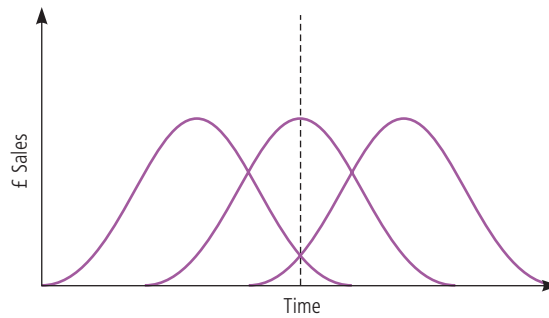


Figure 5.16: Product lifecycle for three products.

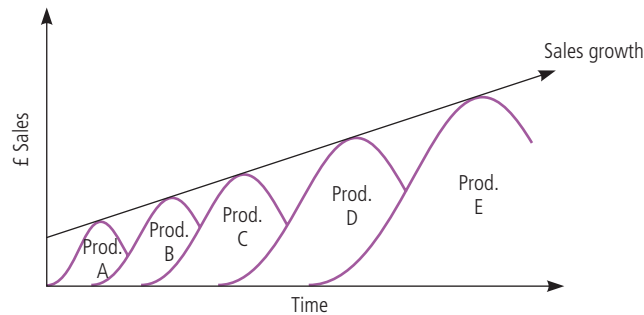


Figure 5.17: New product introductions over time.

The idea of a portfolio is for a company to meet its objectives by balancing sales growth, cash flow and risk. As individual products progress or decline and as markets grow or shrink, then the overall nature of the company's product portfolio will change. It is, therefore, essential that the whole portfolio is reviewed regularly and that an active policy towards new product development and divestment of old products is pursued. In this respect, the classic work of the Boston Consulting Group, begun in the early 1960s, had a profound effect on the way managements think about this subject and about their product/market strategy to this day.

UNIT COSTS AND MARKET SHARE

The experience effect reflects the improvements (usually resulting in lower costs) that result from economies of scale, learning and improved productivity over time

There are basically two parts to the thinking behind the work of the Boston Consulting Group. One is concerned with market share; the other with market growth.

It is a well-known fact that we become better at doing things the more we do them. This phenomenon is known as the learning curve. It manifests itself especially with items such as labour efficiency, work specialization and methods improvement.

Such benefits are themselves a part of what we can call the ► **experience effect**, which includes such items as process innovations, better productivity from plant and equipment,

product design improvements, and so on. In addition to the experience effect, and not necessarily mutually exclusive, are economies of scale that come with growth. For example, capital costs do not increase in direct proportion to capacity, which results in lower depreciation charges per unit of output, lower operating costs in the form of the number of operatives, lower marketing, sales, administration and R&D costs, and lower raw materials and shipping costs. It is generally recognized, however, that cost decline applies more to the value-added elements of cost than to bought-in supplies.

Cost decline applies more to the value-added elements of cost than to bought-in supplies.

In fact, the Boston Consulting Group discovered that costs decline by up to 30 per cent for every cumulative doubling of output. This phenomenon is shown in Figure 5.18. Imagine a factory producing 100 units a year for eight years. It will be seen from the following simple calculation that it becomes more difficult each year cumulatively to double output:

Year	Cumulative	Total
1	100	100
2	100	200 D
3	100	300
4	100	400 D
5	100	500
6	100	600
7	100	700
8	100	800 D

It is this phenomenon which explains the shape of the curve in Figure 5.18. The Boston Consulting Group used logarithmic scales on the data to enable them to make predictions about future costs at forecast output levels, a method favoured for many years by the Japanese as a way of capturing markets in America and Western Europe.

While there are many implications from this for marketing strategy, particularly in relation to pricing policy, we will confine ourselves here to a discussion of the product/market implications.

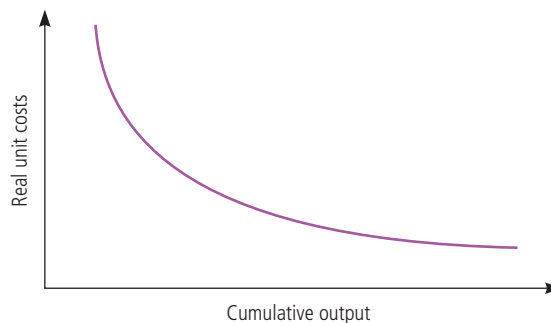


Figure 5.18: Unit cost decline over cumulative output.

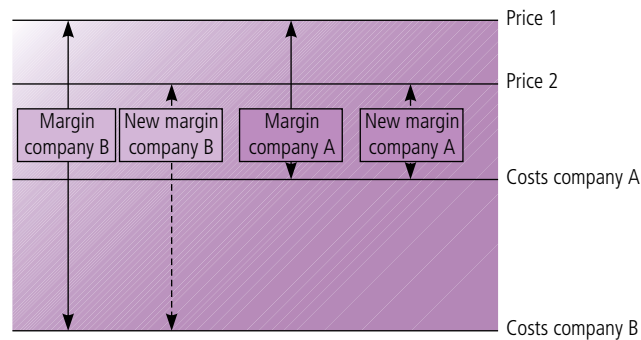


Figure 5.19: The relationship between costs and margin.

There is sufficient evidence to show that this real cost reduction actually occurs, in which case it follows that the greater your volume, the lower your unit costs should be. Thus, irrespective of what happens to the price of your product, providing you have the highest market share (hence the biggest volume), you should always be relatively more profitable than your competitors. This is illustrated in Figure 5.19.

Thus, as a general rule, it can be said that market share per se is a desirable goal.

Indeed, the Strategic Planning Institute's Profit Impact of Market Strategies research has confirmed that market share and profitability are linearly related. However, as we made clear in Chapter 3, we have to be certain that we have carefully defined our market, or segment.

This explains why it is apparently possible for many small firms to be profitable in large markets. The reason is, of course, that, in reality, they have a large share of a smaller market segment. This is another reason why understanding market segmentation is the key to successful marketing.

It would be unusual if there were not many caveats to the above 'law', and, although what these might be are fairly obvious, nevertheless it should be noted that the evidence provided by the Boston Consulting Group shows overwhelmingly that, in general, these 'laws' apply universally, whether for consumer, industrial or service markets.

Turning now to market growth, we observe that, in markets which are growing at a very low rate per annum, it is extremely difficult and also very costly to increase your market share. This is usually because the market is in the steady state (possibly in the saturation phase of the product lifecycle) and is dominated by a few major firms who have probably reached a stage of equilibrium, which it is very difficult to upset.

In markets which are going through a period of high growth, it is fairly obvious that the most sensible policy would be to gain market share by taking a bigger proportion of the market growth than your competitors. However, such a policy is very costly in promotional terms. So, many companies prefer to sit tight and enjoy rates of growth lower than the market rate. The

major problem with this approach is that they are, in fact, losing market share, which gives cost advantages (hence margin advantages) to competitors.

Since we know from previous experience of product lifecycles that the market growth rate will fall, when this stage is reached and the market inevitably becomes price sensitive, the product will begin to lose money and we will probably be forced out of the market. Indeed, seen in this light, it becomes easier to understand the reasons for the demise of many industries in those countries of the world where the Japanese entered the market.

It is interesting to note, however, that even Japanese corporates have suffered in recent years from lower cost suppliers entering the markets using lower prices than they can offer. These suppliers include flourishing sectors in China, Korea and elsewhere. It is unlikely that high-cost 'Western' companies can compete on price alone in most of these markets, which is why segmentation is so important in strategy development today.

MARKETING INSIGHT

Typical of this is the motorcycle industry in the UK in which the output of the Japanese increased from thousands of units to millions of units during a period of market growth, while the output of the British remained steady during the same period. When the market growth rate started to decline, the inevitable happened. The world market is now dominated by Chinese and Indian brands as well as Japanese ones, while a more recent star is Mexican firm Italika. The UK manufacturing base never recovered.

THE BOSTON MATRIX

The Boston Consulting Group combined these ideas in the form of a simple ► **portfolio matrix**, which has profound implications for the firm, especially in respect of cash flow. Profits are not always an appropriate indicator of portfolio performance, as they will often reflect changes in the liquid assets of the company, such as inventories, capital equipment, or receivables, and thus do not indicate the true scope for future development. Cash flow, on the other hand, is a key determinant of a company's ability to develop its product portfolio.

The ► **Boston Matrix** classifies a firm's products according to their cash usage and their cash generation along the two dimensions described above, that is, relative market share and market growth rate. Market share is used because it is an indicator of the product's ability to generate cash; market growth is used because it is an indicator of the product's cash requirements. The measure of market share used is the product's share relative to the firm's largest competitor. This is important because it reflects the degree of dominance enjoyed by the product in the market. For example, if company A has 20 per cent market share and its biggest competitor also has 20 per cent market share, this position is usually less favourable than

A portfolio matrix plots either products or markets using at least a two-dimensional matrix in order to balance growth, cash flow and risk.

The Boston Matrix classifies a firm's products according to their cash usage and their cash generation using market growth and relative market share to categorize them in the form of a box matrix.

if company A had 20 per cent market share and its biggest competitor had only 10 per cent market share. The relative ratios would be 1:1 compared with 2:1. It is this ratio, or measure of market dominance, that the horizontal axis measures. This is summarized in Figure 5.20.

The definition of high relative market share is taken to be a ratio of one or greater than one. The cut-off point for high, as opposed to low, market growth should be defined according to the prevailing circumstances in the industry, but this is often taken as 10 per cent. There is, however, no reason why the dividing line on the vertical axis cannot be zero, or even a minus figure. It depends entirely on the industry, or segment, growth or decline. Sometimes, in very general markets, gross domestic product (GDP) can be used.

The somewhat picturesque labels attached to each of the four categories of products give some indication of the prospects for products in each quadrant. Thus, the 'question mark' is a product which has not yet achieved a dominant market position and thus a high cash flow, or perhaps it once had such a position but has slipped back. It will be a high user of cash because it is in a growth market. This is also sometimes referred to as a 'wildcat'.

The picturesque labels given to the four categories in the Boston Matrix give some indication of the prospects for products in each quadrant.

The 'star' is probably a newish product that has achieved a high market share and which is probably more or less self-financing in cash terms.

The 'cash cows' are leaders in markets where there is little additional growth, but a lot of stability. These are excellent generators of cash and tend to use little because of the state of the market.

'Dogs' often have little future and can be a cash drain on the company. While it is possible that such products are necessary to support more successful products, they are probably candidates for divestment, although often such products fall into a category aptly described by Peter Drucker as 'investments in managerial ego'.

The art of product portfolio management now becomes a lot clearer. What we should be seeking to do is to use the surplus cash generated by the 'cash cows' to invest in our 'stars' and to invest in a selected number of 'question marks'. This is indicated in Figure 5.21.

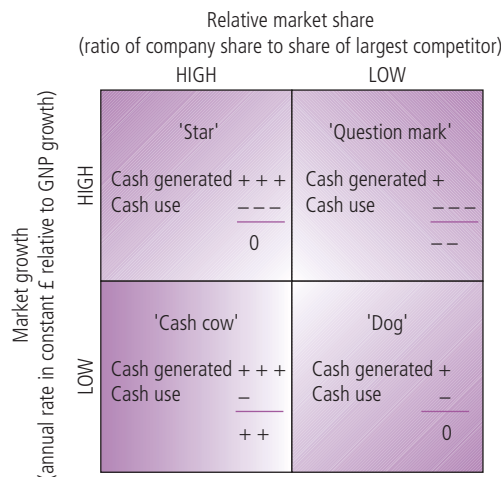


Figure 5.20: Boston Consulting Group and cash flows implications.

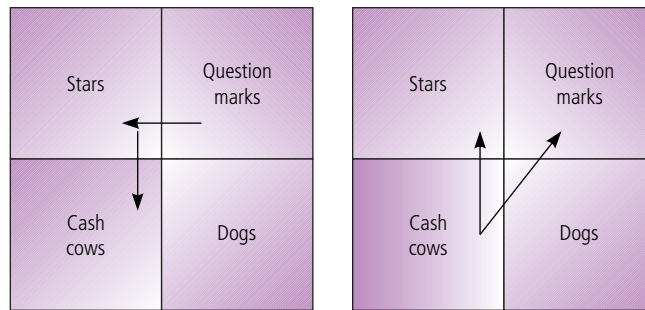


Figure 5.21: Using cash from 'cash cows' to invest in 'stars' and 'question marks'.

The Boston Matrix can be used to forecast the market position of our products, say three years from now, if we continue to pursue our current policies.

Figure 5.22 illustrates this process for a manufacturer of plastic valves. The area of each circle is proportional to each product's contribution to total company sales volume. In the case of this particular company, it can be seen that they are following what could well prove to be disastrous policies in respect of their principal products. Product A, although growing, is losing market share in a high-growth market. Product D is also losing market share in a high-growth market. Products E and C are gaining market share in declining markets.

Such a framework also easily helps to explain the impracticability of marketing objectives such as 'to achieve a 10 per cent growth and a 20 per cent return on investment'. Such an objective, while fine as an overall policy, if applied to individual products in the portfolio, clearly becomes a nonsense and totally self-defeating. For example, to accept a 10 per cent growth rate in a market which is growing at, say, 15 per cent per annum, is likely to prove disastrous in the long run. Likewise, to go for a much higher than market growth rate in a low-growth market is certain to lead to unnecessary price wars and market disruption.

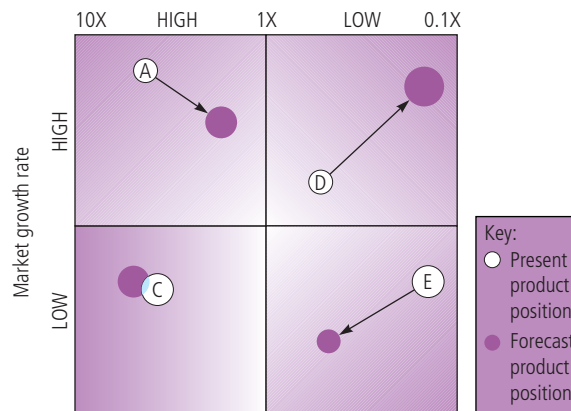


Figure 5.22: An unbalanced portfolio forecast.

This type of framework is particularly useful to demonstrate to senior management the implications of different product/market strategies. It is also useful in formulating policies towards new product development.

Weaknesses in the Boston Matrix Approach

Unfortunately, many companies started using the Boston Matrix indiscriminately in the 1990s and, as a result, it gradually lost its universal appeal. The reason, however, had more to do with lack of real understanding on the part of management than with any major defects in the methodology.

Nonetheless, there are circumstances where great caution is required in its use. Imagine for a moment a company with 80 per cent of its products in low-growth markets, and only 20 per cent of its products as market leaders. Their matrix would look as depicted in Figure 5.23. As can be seen, almost 65 per cent of the company's products are 'dogs'. To divest these may well be tantamount to throwing the baby out with the bath water!

Consider, also, those industries in which market share for any single product in the range has little to do with its 'profitability'. Often a low market share product enjoys the same production, distribution and marketing economies of scale as other products in the portfolio, as, for example, in the case of beers and chemical products.

MARKETING INSIGHT

Let us take the case of a product that is manufactured using basically the same components as other large market share products, is manufactured in the same plant as part of a similar process, and is distributed on the same vehicles and via the same outlets. In such a case it is easy to see how this low market share product can indeed be extremely profitable.

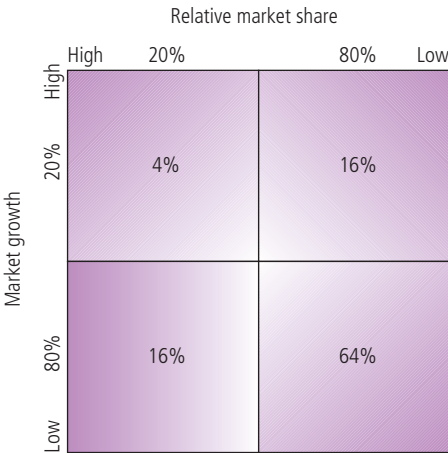


Figure 5.23: Avoid rituals such as 'divest the dogs'.

None of this, however, invalidates the work of the Boston Consulting Group, the principles of which can be applied to companies, divisions, subsidiaries, strategic business units, product groups, products, and so on. Providing great care is taken over the 'market share' axis, it is an extremely valuable planning tool. It is certainly a very useful analysis to complete on major products as part of the customer and market audit.

Further Developments of the Boston Matrix

It is complications such as those outlined above that make the Boston Matrix less relevant to certain situations. While it is impossible to give absolute rules on what these situations are, suffice it to say that great caution is necessary when dealing with such matters. In any case, two principles should always be adhered to.

First, a business should define its markets in such a way that it can ensure that its costs for key activities will be competitive. Second, it should define the markets it serves in such a way that it can develop specialized skills in servicing those markets and hence overcome a relative cost disadvantage. Both, of course, have to be related to a company's distinctive competence.

However, the approach of the Boston Consulting Group is fairly criticized in such circumstances as those described above as relying on two single factors, that is, relative market share and market growth. Many readers will be aware of companies with high market share in a growing market that are not profitable.

To overcome this difficulty, and to provide a more flexible approach, General Electric and McKinsey jointly developed a multi-factor approach using the same fundamental ideas as the Boston Consulting Group. They used industry attractiveness and business strengths as the two main axes and built up these dimensions from a number of variables. Using these variables, and some scheme for weighting them according to their importance, products (or businesses) are classified into one of nine cells in a 3×3 matrix. Thus, the same purpose is served as in the Boston Matrix (i.e. comparing investment opportunities among products or businesses) but with the difference that multiple criteria are used. These criteria vary according to circumstances, but often include at least some of those shown in Figure 5.24. We will expand on this below.

It is not necessary, however, to use a nine-box matrix, and many managers prefer to use a four-box matrix similar to the Boston box. Indeed this is the authors' preferred methodology, as it seems to be more easily understood by, and useful to, practising managers.

The four-box DPM is shown in Figure 5.25. Here, the circles represent sales into an industry, market or segment and, in the same way as in the Boston Matrix, each is proportional to that segment's contribution to turnover.

The difference in this case is that, rather than using only two variables, the criteria which are used for each axis are totally relevant and specific to each company using the matrix. It shows:

- markets categorized on a scale of attractiveness to the firm
- the firm's relative strengths in each of these markets
- the relative importance of each market.

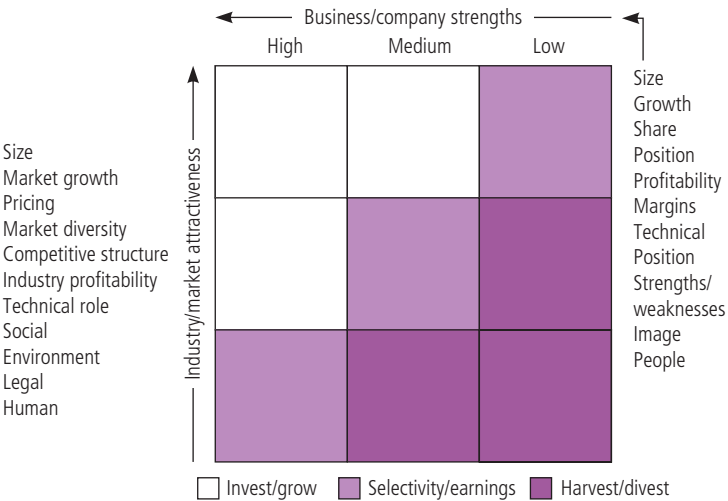


Figure 5.24: The nine-box DPM.

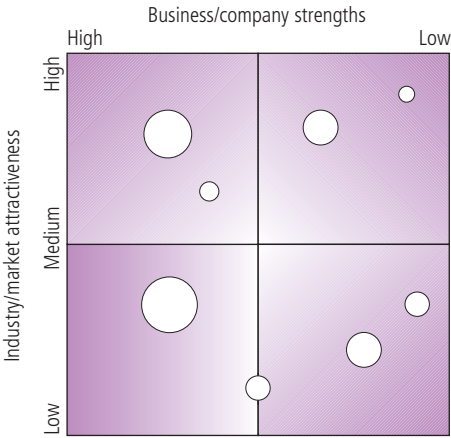


Figure 5.25: The McDonald-Wilson four-box DPM.

It is advisable to use no more than five or six factors for the vertical axis of the DPM, otherwise the calculations become too complex and lose focus.

The specific criteria to be used should be decided by key executives using the device, but a generalized list for the vertical axis is given in Table 5.3. It is advisable to use no more than five or six factors, otherwise the exercise becomes too complex and loses its focus. Read on, however, before selecting these factors, as essential methodological instructions on the construction of a portfolio matrix follow.

<i>Market factors</i> Size (money, units, or both) Size of key segments Growth rate per year: Total Segments Diversity of market Sensitivity to price, service features and external factors Cyclical seasonality Bargaining power of upstream suppliers Bargaining power of downstream suppliers	<i>Financial and economic factors</i> Contribution margins Leveraging factors, such as economies of scale and experience Barriers to entry or exit (both financial and non-financial) Capacity utilization
<i>Competition</i> Types of competitors Degree of concentration Changes in type and mix Entries and exits Changes in share Substitution by new technology Degrees and types of integration	<i>Technological factors</i> Maturity and volatility Complexity Differentiation Patents and copyrights Manufacturing process technology required <i>Socio-political factors in your environment</i> Social attitudes and trends Laws and government agency regulations Influence with pressure groups and government representatives Human factors, such as unionization and community acceptance

Table 5.3: Factors contributing to market attractiveness.

A DETAILED, STEP-BY-STEP APPROACH TO CREATING A PORTFOLIO

The Strategic Business Unit (SBU)

Although the DPM, like other models of 'portfolio analysis', attempts to define a firm's strategic position and strategy alternatives, this objective cannot be met without considering what is meant by the term 'firm'. The accepted level at which a firm can be analysed using the DPM is that of the 'strategic business unit'.

The most common definition of an SBU is as follows:

1. It will have common segments and competitors for most of the products.
2. It will be a competitor in an external market.
3. It is a discrete, separate and identifiable 'unit'.
4. Its manager will have control over most of the areas critical to success.

The process of defining an SBU can be applied all the way down to product or department level.

It is possible, however, to use the DPM for any unit that has in it a number of different variables that could be usefully plotted using a two-dimensional matrix.

What Should Be Plotted on the Matrix?

This is also comparatively simple to deal with, but confusion can arise because the options are rarely spelled out.

The DPM can be used on:

- countries (not all countries are equally attractive)
- sectors (such as agriculture, steel, etc.)
- markets
- regions
- distributors
- segments
- major customers.

Here we will use the 'market' level to explain the DPM.

The DPM is useful where there is more than one (at least three, and a maximum of ten are suggested) 'markets' or segments between which the planner wishes to distinguish. These can be either existing or potential markets.

In order to implement the DPM, the following simple definition of 'market' and 'market segment' is offered:

An identifiable group of customers with requirements in common that are, or may become, *significant* in determining a separate strategy.

The results from Exercise 4.1 from the previous chapter should be plotted on the matrix.

The principal unit of analysis for the purpose of entering data will be the user's definition of 'product for market'.

Preparation

Prior to commencing analysis, the following preparation is recommended:

1. Product profiles should be available for all products/services to be scored.
2. The markets in which the products/services compete should be clearly defined.
3. Define the time period being scored. Three years is recommended.
4. Define the competitors against which the products/services will be scored.
5. Ensure sufficient data are available to score the factors (where no data are available, this is no problem as long as a sensible approximation can be made for the factors).
6. Ensure up-to-date sales forecasts are available for all products/services, plus any new products/services.

Analysis Team

In order to improve the quality of scoring, it is recommended that a group of people from a number of different functions take part, as this encourages the challenging of traditional views through discussion. It is recommended that there should be no more than six people involved in the analysis.

Ten Steps to Producing the DPM

- Step 1 Define the products/services for markets that are to be used during the analysis.
- Step 2 Define the criteria for market attractiveness, set the parameters and define weights for the market attractiveness criteria.
- Step 3 Score the relevant products/services for market. Multiply the scores by the weights.
- Step 4 Define the organization's relative strengths for each product/service for market.
- Step 5 Analyse and draw conclusions from the relative position of each product/service for market.
- Step 6 Draw conclusions from the analysis with a view to generating objectives and strategies.
- Step 7 (Optional) Position the circles on the box assuming no change to current policies – that is to say, a *forecast* should be made of the future position of the circles.
- Step 8 Redraw the portfolio to position the circles where the organization wants them to be – that is to say, the objectives they wish to achieve for each product/service for market.
- Step 9 Detail the strategies to be implemented to achieve the objectives.
- Step 10 Detail the appropriate financial consequences in terms of growth rate by product/service for market and return on sales.

One major chemical company used the DPM to select 50 distributors out of the 450 they were dealing with. They needed to do this because the market was in decline and the distributors began buying for customers rather than selling for the supplier. This led to a dramatic fall in prices. The only way the chemical company could begin to tackle the problem was by appointing a number of exclusive distributorships. The issue of which distributorships to choose was tackled using the DPM, as clearly some were more attractive than others, while the company had varying strengths in their dealings with each distributor.

Portfolio Summary

The resulting portfolio summary pulls together the information from the SWOT analyses, demonstrates the overall competitive position and indicates the relative importance of each product/market segment. The four-box matrix, as in Figure 5.26, illustrates the position most effectively.

Table 5.4 shows how market attractiveness was calculated for three of the segments. Table 5.5 shows how the strengths and weaknesses for one segment were calculated. These were transferred to the DPM, which shows how the circles are positioned.

The horizontal axis in Figure 5.26 reflects the scores in the strengths and weaknesses analysis and the vertical axis quantifies the attractiveness, to the organization, of each of the important segments contained in the plan. The circle sizes are relative to the current turnover in each. The darker circles indicate forecast sales in three years' time. From this graphical representation of a portfolio of products or range of segments, a number of marketing options present themselves:

1. In the top left box, where strengths are high and markets are attractive, the probable option would be to invest heavily in these markets and increase market share.
2. In the bottom left box, where strengths are high, but markets are less attractive, a likely aim would be to maintain market share and manage for sustained earnings.

		Segment 1		Segment 2		Segment 3	
Attractiveness	Weight	Score	Total	Score	Total	Score	Total
Growth	25	6.0	1.50	5	1.25	10.0	2.50
Profitability	25	9.0	2.25	8	2.00	7.0	1.75
Size	15	6.0	0.90	5	0.75	8.0	1.20
Vulnerability	15	5.0	0.75	6	0.90	6.0	0.90
Competition	10	8.0	0.80	8	0.80	4.0	0.40
Cyclicalitv	10	2.5	0.25	3	0.30	2.5	0.25
Total	100		6.45		6.00		7.00

Table 5.4: Establishing how attractive each segment is to your business.

Note: This could be calculated for Year 0 and Year 3, though it is easier and quicker to carry out only the calculations for the final year.

		Your company		Competitor A		Competitor B	
CSFs	Weight	Score	Total	Score	Total	Score	Total
1. Price	50	5	2.5	6	3.0	4	2.0
2. Product	25	6	1.5	8	2.0	10	2.5
3. Service	15	8	1.2	4	0.6	6	0.9
4. Image	10	6	0.6	5	0.5	3	0.3
Total	100		5.8		6.1		5.7

Table 5.5: Scoring your company and your competitors.

Note: Calculations are first made for Year 0 as this enables you to establish a fixed position on the portfolio matrix for your company in each segment against which the forecast outcome of alternative strategies and assumptions for the planning period can be seen when plotted onto the DPM.

3. In the top right box, low strengths, combined with an attractive market, indicate a probable policy of selective investment, to improve competitive position.
4. Finally, in the bottom right box, low strengths allied to poor market attractiveness, point to a management for profits strategy, or even withdrawal.

This matrix gives a clear indication of the marketing objectives for each product for market shown; strategies will be set separately. This is the subject of more detailed treatment in Chapter 6.

COMBINING PRODUCT LIFECYCLES AND PORTFOLIO MANAGEMENT

Figure 5.27 illustrates the consequences of failing to appreciate the implications of both the product lifecycle concept and the dual combination of market share and market growth.

Companies A and B both start out with question marks (wildcats) in years five and six in a growing market. Company A invests in building market share and quickly turns into a star. Company

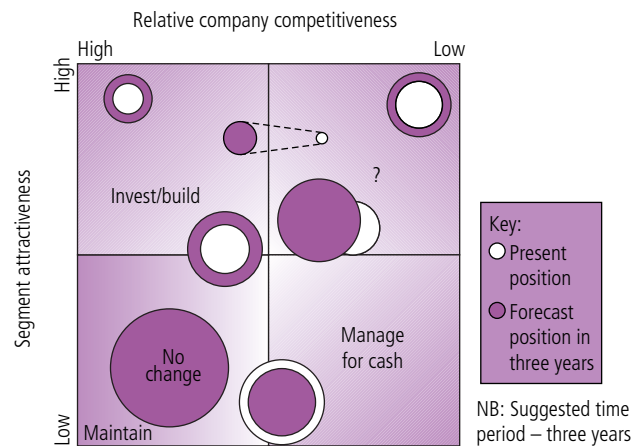


Figure 5.26: A completed DPM.

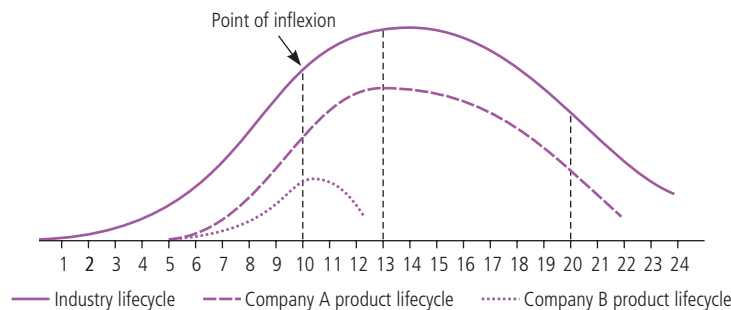


Figure 5.27: Short-term profit maximization versus market share and long-term profit maximization.

B, meanwhile, manages its product for profit over a four-year period so that, while still growing, it steadily loses market share (i.e. it remains a question mark or wildcat). In year ten, when the market becomes saturated (when typically competitive pressures intensify), Company B with its low market share (hence typically higher costs and lower margins) cannot compete and quickly drops out of the market. Company A, on the other hand, aggressively defends its market share and goes on to enjoy a period of approximately ten years with a product which has become a cash cow. Thus, company B, by pursuing a policy of short-term profit maximization, lost at least ten years' profit potential.

RELEVANCE OF LIFECYCLE ANALYSIS AND PORTFOLIO MANAGEMENT TO THE MARKETING AUDIT

It will be recalled that this discussion took place against the background of the need to complete a full and detailed marketing audit prior to setting marketing objectives. Such analyses as those described in this chapter should be an integral part of the marketing audit.

The audit should ideally contain a product lifecycle for each major product and an attempt should be made (using other audit information) to predict the future shape of the lifecycle. It should also contain a product portfolio matrix showing the present position of the products.

CASE STUDY

This section concludes with some case histories showing the use and misuse of the DPM.

CASE STUDY 1 – A BLUE-CHIP COMPANY

The first concerns a senior marketing manager of a blue-chip company who dismissed the DPM as irrelevant because he had only four principal products, each one of which was sold to the same customer (or market). Clearly, we are talking about major capital sales in this instance.

The manager had plotted products A, B, C and D on the horizontal axis with only one ‘market’ on the vertical axis. The resulting matrix obviously had four circles in a straight line. Since the purpose of a matrix is to develop a relationship between two or more variables judged by the planner to be of significance in a given planning context, this matrix was clearly absurd and served no useful purpose whatever.

If this manager really wished to use the DPM, he would have to put products A, B, C and D on the vertical axis and look at their respective size and strengths on the horizontal axis. In such a case, all we have done is to change the nomenclature, making a product equivalent to a market, which is clearly acceptable. The main point is that the purpose of the DPM is to display clearly and visibly the relationship between product/market variables.

CASE STUDY

CASE STUDY 2 – A BUSINESS SCHOOL PORTFOLIO

This is certainly the case for a business school portfolio. Here, the ‘product’ (e.g. the MBA programme) equals ‘market’. This is shown in Figure 5.28. (By astute management, some of these circles have since been moved to the left of the matrix, surely the purpose of using the DPM in the first place!)

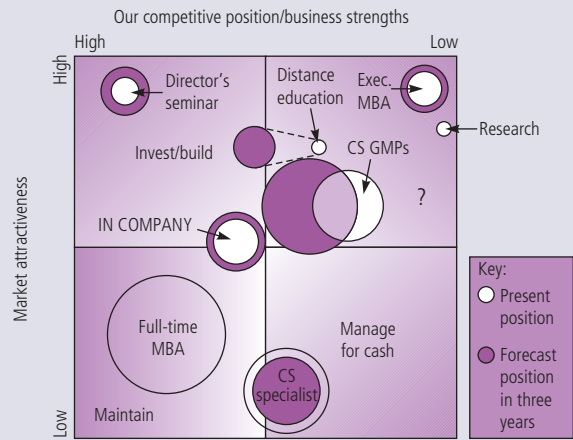


Figure 5.28: A business school portfolio.

Let us now look at two companies whose revenue and profits were static for two consecutive years, and both of which kept their shareholders at bay by selling off part of their assets. The boards of both companies attempted to use the DPM to help clarify the options. In both cases, the resulting matrix was not a reflection of the reality.

CASE STUDY

CASE STUDY 3 – AN INTERNATIONAL ENGINEERING COMPANY

Here, the Shipping, Food, Thermal and Separation Divisions were all operating in no-growth markets; only the Biotechnology Division was in a growth market. Using market growth as a factor obviously caused all divisions to appear in the bottom half of the matrix, except the Biotechnology Division. The other factor used, however, was profitability, which in the case of Shipping and Separation was high. The weighting of 60 per cent on the profit factor pulled both of these divisions into the upper part of the matrix. Strengths in each case were different, and the resulting matrix looked as shown in Figure 5.29.

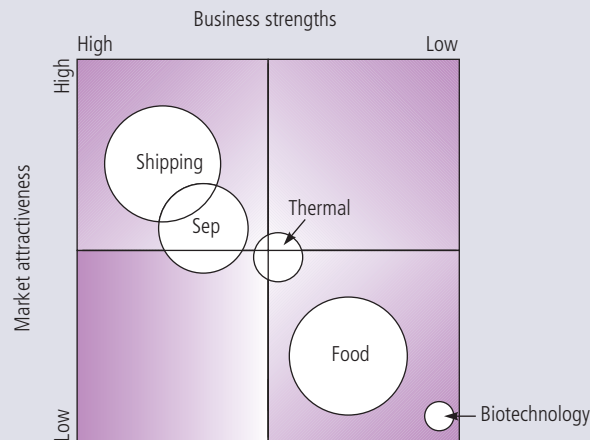


Figure 5.29: Incorrect DPM.

However, since both the Shipping and Separation Divisions had little (if any) potential to increase their volume and profitability in mature markets, and since the Food and Biotechnology Divisions did, the circles were clearly in the wrong place. The reality facing the company was as shown in Figure 5.30.

The opportunity was clearly there for this company to invest in the Food Division, where it was comparatively weak, and also in the Thermal Division. Both of these markets provided ample opportunity for the company to improve its market share and strengths (especially if it also used productivity measures at the same time), in spite of the fact that both markets were relatively mature.

In other words, all we are really interested in is the potential for us to increase our volume and profits, and, in some instances, externally derived factors of market growth and profitability, however accurate, are not particularly useful.

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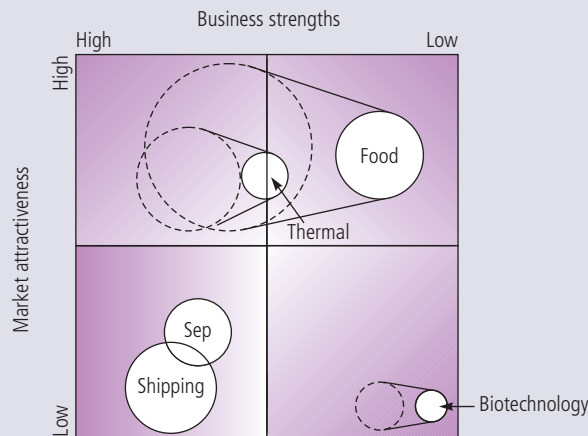


Figure 5.30: Correct DPM.

Having reached the conclusion above, obviously this company then took each division in turn and completed the DPM for each of their component parts in order to decide how best to allocate resources.

CASE STUDY

CASE STUDY 4 – A CONGLOMERATE WITH 12 SEPARATE COMPANIES

This group, although enjoying very high return on capital employed (ROCE), was also under extreme pressure from the financial institutions because its turnover and profits were static. At a directors' meeting, the DPM was used as one of the basic tools of analysis. ROCE of the companies varied between 500 per cent and 5 per cent, with seven about 50 per cent and five below 15 per cent.

Again, using market growth and industry return-on-sales (ROS) as the factors, weighted 30 and 70, not surprisingly all the high-profit companies appeared in the top left of the matrix and all the low-profit companies appeared in the bottom half of the matrix. All this did was to confirm the group's existing position, but was of little value when considering the future.

The directors were advised by the authors of this book to change the factors to encapsulate potential for growth in volume and profits rather than the existing profitability of the markets themselves. The resulting DPM then showed most of the high-profit companies in the lower half of the matrix, since few of them were in growth markets and most already had high market shares.

It also demonstrated clearly another point of policy. One company enjoying a 500 per cent ROCE could grow, providing the chief executive officer was prepared to allow them to redefine their market more broadly and move into lower ROS segments. Such a policy move would have put this particular company back into the top part of the matrix!

But this, of course, is the whole point of using the DPM in the first place. It should raise key issues and force senior executives into thinking about the future in a structured way.

CASE STUDY

CASE STUDY 5 – AN AUSTRALIAN DIVISION OF AN INTERNATIONAL AGROCHEMICAL COMPANY

This Australian division of an international agrochemical company was under extreme pressure to grow the revenue and profits in a declining market. At first glance, the marketing plans looked to be extremely sophisticated. The plans themselves were also well presented.

The problem was that they did not succeed in spelling out a clear strategy to achieve the corporate objectives, the individual product/market objectives appearing to be little more than 'wish lists'. On closer examination, it became clear that the underlying diagnosis was at fault.

The SWOT analysis shown in Table 5.6 is a typical example of the format used. Even a cursory glance at this shows that none of these factors are discriminators in the choice of supply. On discovering, however, that the SWOT had been done on the merchants (or channel) and that merchants were motivated mainly by price, it was easy to conclude that the three main brands were really commodities in the eyes of the merchant, albeit they were major brand names.

The real bottom line on all of this was that the merchants were calling the shots, a situation that was bound to get worse and that would continue to drive the price down.

The next obvious conclusion was that this company needed to go down the value chain to the farmer and to segment them according to need in order to enable the company to create demand pull, thus reducing the power of the channel. SWOTing at the next link in the chain quickly revealed two things:

1. There was ample opportunity for this company to create value for the farmer.
2. Not enough was known about farmers' needs to enable proper SWOTs to be done on them.

The marketing plan of this company contained what looked to be quite sophisticated DPMs. Again, however, on closer examination of the underlying data, one circle that appeared at the top of the 'market attractiveness' axis was clearly in the wrong place, as the data in Table 5.7 illustrate.

CSFs	Success factor scores			
	Weight	Us	Comp A	Comp B
Product efficacy	30	9	8	8
Product price	25	9	9	9
Product image	20	9	8	9
Profitability	20	8	9	6
Formulation	5	8	8	7
		8.8	8.4	8.0

Table 5.6: CSFs scores.

(Continued)

	Product 1	Product 2
Sales in 2016	\$10 million	\$5 million
Profits in 2016	\$1 million	\$0.5 million
Projected sales in 2019	\$10 million	\$7 million
Projected profit in 2019	\$1 million	\$0.7 million

Table 5.7: Comparison of sales of Product 1 and Product 2.

From this, it can be seen that the product manager doing the analysis believed that Product 1 was more attractive than Product 2 because, even in 2019, the absolute dollar profits were going to be greater. Clearly, however, positioning Product 1 near the top of the vertical axis of the DPM implied an invest strategy, while the implied strategy for Product 2 was a maintain (or manage for sustained earnings) strategy. Both strategies would have been wholly inappropriate, thus reducing the value of the DPM as an analytical tool.

Even worse, since we have already seen that the CSF calculation (to derive the position on the horizontal axis of the DPM) was also wrong, the resulting DPM merely served to confuse, rather than to clarify and to provide valuable insights about competitive strategy.

Since then, having had the DPM properly explained to them, all of these organizations were able to develop objectives and strategies designed to grow the business and all are now thriving and prospering.

Finally, it may be useful to conclude this section with a definition of a portfolio matrix: 'The use of graphic models to develop a relationship between two or more variables judged by the planner to be of significance in the planning context.'

Whichever approach is used, it can be seen that obvious consideration should be given to marketing objectives and strategies which are appropriate to the attractiveness of a market (market growth in Boston Matrix) and the extent to which such opportunities match our capabilities (market share in Boston Matrix). What these objectives should be will be discussed in Chapter 6.

APPLICATION QUESTIONS

1. Select a major product and:
 - draw a lifecycle of the product itself
 - draw a lifecycle of the market (segment) in which it competes
 - explain why it is the shape it is
 - predict the shape and length of the lifecycle in the future
 - say why you are making these predictions.
2. Plot your products on a Boston Matrix and:
 - explain their relative positions
 - forecast where they will be (and why), say, five years from now.
3. List your main markets or segments.
4. List criteria for attractiveness (to you).

5. List criteria for business strengths (you vis-à-vis competitors).
6. Devise a scoring and weighting system for each axis.
7. Put the markets or segments through the criteria.
8. Draw circles around the coordinates. The diameter of each circle should be proportional to that segment's contribution to turnover. Is this where you want the circles to be?

CHAPTER 5 REVIEW

What is a product?

A product (or service) is a problem solver, in the sense that it provides what the customer needs or wants. A product consists of:

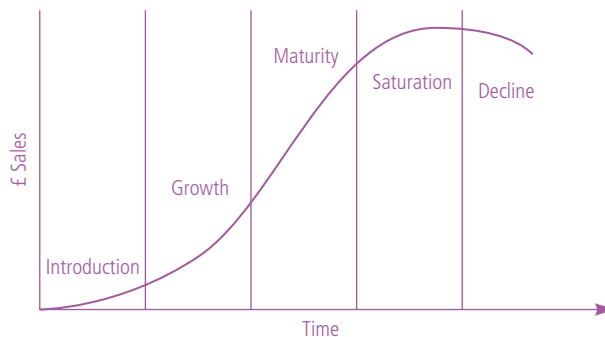
1. A core (functional performance).
2. A surround (a bundle of features and benefits).

Usually the core product has 20 per cent of the impact, yet leads to 80 per cent of the cost. The surround is the reverse of this.

Try Exercise 5.1

The product lifecycle

All products or services have a lifecycle which follows this pattern:



The phases of the lifecycle are:

- A. Introduction
- B. Growth
- C. Maturity
- D. Saturation
- E. Decline

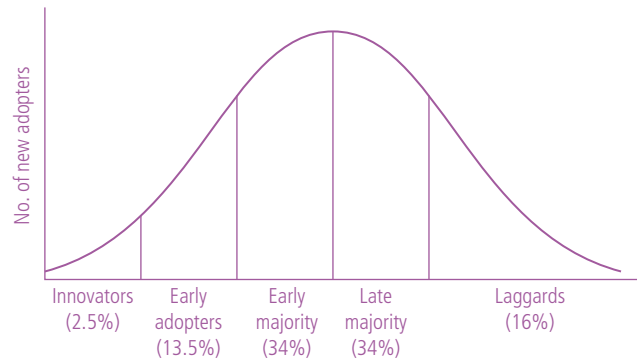
The total lifecycle depends on the type of product or service, for example, fashion products have short lifecycles.

There is a trend for lifecycles of most products to get shorter as changes in technology and customer expectations make greater impact. Each phase of the lifecycle calls for different management responses.

Try Exercise 5.2

Diffusion of innovation

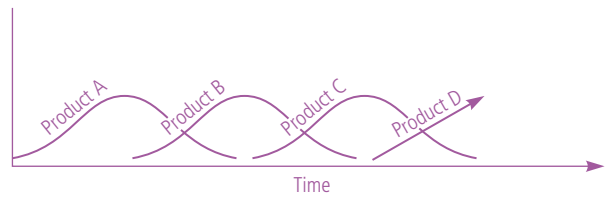
Some people/companies are always prepared to buy new products, while others wait until things are tried and tested. All products and services have customers that fall into these categories.



Discovering a typology for innovators and early adopters can help in the promotion of new products.

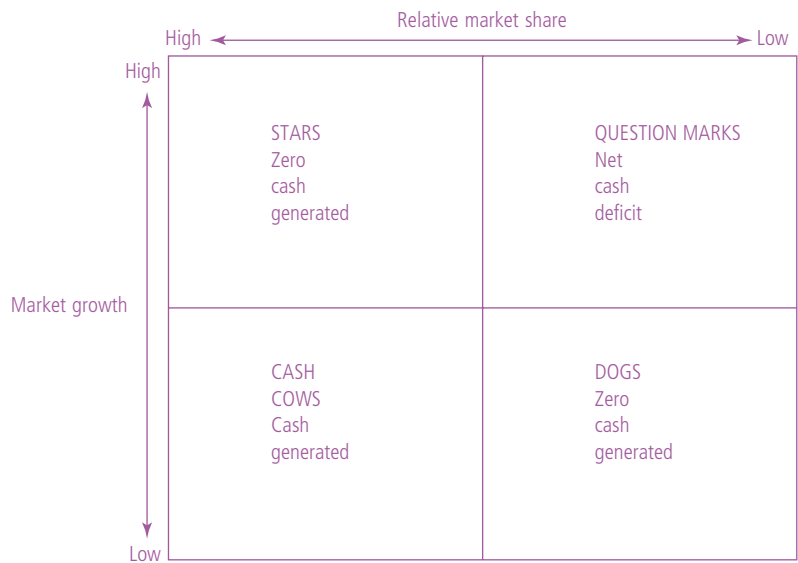
Product portfolio

Ideally, a company should have a portfolio of products whose lifecycles overlap. This guarantees continuity of income and growth potential.



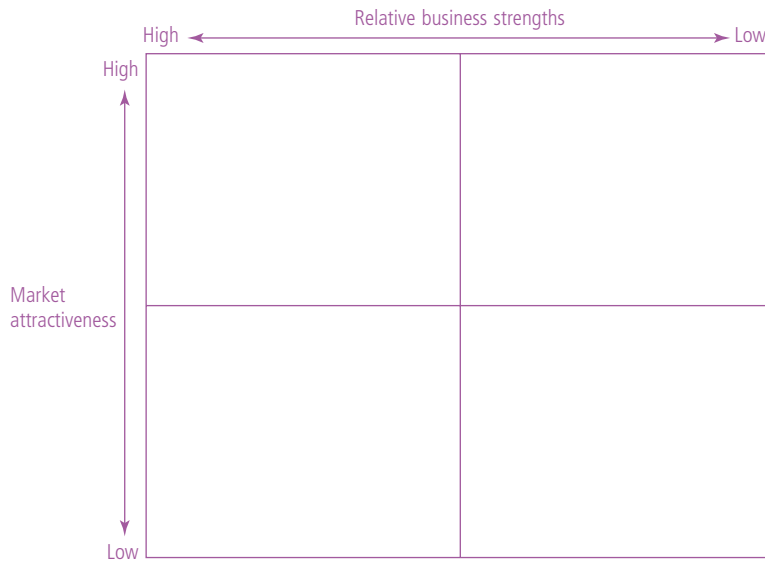
Boston Matrix

The product portfolio can be analysed in terms of revenue-producing potential, using this technique.



DPM

Not all companies possess the data required by the Boston Matrix. Similar results can be obtained using this technique. The axes become as shown on the following figure.



Try Exercises 5.4 and 5.5

Questions raised for the company

1. Q: How useful is a brand name?
A: Well-known brands have successfully differentiated themselves from competing products by conveying something extra. Such differentiation enables them to command a higher price than unbranded, 'commodity' products.
2. Q: How does market share relate to cash generation, as in the Boston Matrix?
A: The higher the market share, the higher the output, and the lower the unit costs through economies of scale and the learning curve. Thus a company can command higher margins and generate more revenue.
3. Q: Should 'dogs' always be killed off?
A: It is a question of timing. It is possible sometimes to squeeze extra earnings from a 'dog'. Sometimes a 'dog' is supportive of another product. Sometimes a 'dog' product can be profitable because it shares in the economies of scale of another product in the range.

EXERCISES

The exercises are designed to help you to look at your product or service range in three different ways:

1. As a 'package' of benefits (Exercise 5.1).
2. From the point of view of their lifecycles (Exercise 5.2).
3. By constructing and interpreting a DPM for your own company (Exercise 5.3).

EXERCISE 5.1 BENEFIT PACKAGE ANALYSIS

It has been shown that customers buy products and services for many reasons. Different people look for different types of benefits from the product to satisfy their needs. Here are some typical sources of customer benefits:

1. Good comparative price.
2. Well-known product/service.
3. Good after-sales service.
4. Reputable company image.
5. Low after-sales costs.
6. Prompt delivery.
7. Efficient performance.
8. Well-designed product.
9. Fashionable.
10. Ease of purchase.
11. Good quality.
12. Reliability.
13. Safety factors.

Obviously, the better one's products/services provide benefits to customers and match their needs, the more competitive they are going to be in the marketplace. The following process is designed to help you complete a benefit analysis on your products or services.

By doing this you will discover or confirm which items of your range are the strongest on the market when compared to your competitors'. It should also provide you with insights about where attention might be paid to your products or services, either to improve existing customer benefits or to put emphasis on new ones.

Proceed as follows:

1. Study the customer benefits list above. Are these typical of the reasons why people buy your products or services? If you can think of others that are more pertinent to your particular business, write them down in the spaces provided.

2. Taking into account the market segments with which you do business, look at the customer benefits list and decide which are the three most important benefits demanded by your most important segment(s). Make a note of these.
3. Now identify the next three most important benefits demanded by these customers, and also make a note of these.
4. Finally, tick any other benefits on the list that are relevant to these customers.
5. Repeat this exercise for other important segments.
6. You are now asked to transpose this information on to Worksheet 1 (an example of a completed sheet is provided in Worksheet 2). Proceed as follows:

Step 1 In column 1 list the products or services you supply. No particular order is required.

Step 2 Take the three most important benefits that you selected above and use them as headings for columns 2, 3 and 4 on the worksheet, so that column 2 represents one benefit, column 3 another and column 4 the third.

Step 3 Fill in columns 2, 3 and 4 as follows. Starting with column 2, look at the benefit heading and work down your list of products or services scoring each one on a 1 to 10 point scale: 1 will show that the product barely supplies this particular benefit to the customer and compares badly with competitors' performance, whereas a 10 score would demonstrate very high meeting of customer needs, superior to that provided by competitors. For example, if the benefit heading was 'Delivery' and, working down the list of products, the first product had a good delivery record, as good as any in the trade, then it could be allocated 9 or 10 points. If the next product on the list had a very patchy record on meeting delivery, and we knew several competitors were better, then we might only allocate 4 or 5 points, and so on. Follow the same procedure for columns 3 and 4. Note that the 1–10 scoring scale is only used on columns 2, 3 and 4 because these represent the major benefits to your customers and thus need to be weighted accordingly.

Step 4 Now take the second three most important benefits and use these as headings for columns 5, 6 and 7.

Step 5 As before rate each of your products or services against each heading, in comparison with competitor performance, but this time only use a scoring scale of 1–6, where again 1 point represents low provision of the benefit and 6 high. The 1–6 scoring scale is in recognition of the reduced importance these benefits have for customers.

Step 6 Finally, take any other benefits you ticked above and use these as headings for column 8 and onwards as far as required.

Step 7 Again work through your list of products or services comparing them against how well they meet the benefit heading of each column, but this time only use a 1–3 points scoring scale. The reduced scale reflects the reduced level of importance of the customer benefits in this last group.

(Continued)

Worksheet 2 Benefit package analysis (Exercise 5.1)

Col. nos.1	Major benefits			Medium benefits			Lesser benefits											Total	Ranking	Notes, observations, qualifying comments, strengths, etc.			
	Low score		High score	Low score		High score	Low score																
	1	10		1	6		1	3	12	13	14	15	16	17	18								
Customer benefits	Price	Quality	Delivery	Design	Safety	Reliability	Our image	After-sales service	Packaging	Comprehensive range													
Prods or services																							
Water butts	5	8	5	3	6	6	1	1	2	2								39	4	Check costing and deliveries			
Containers	8	8	7	5	6	3	3	2	3	2								47	1	Again business difficult to improve except on delivery and reliability			
Toy (compts)	3	8	9	5	6	5	1	1	2	2								42	2	Doesn't always mix with other work			
Cones for road works, etc.	7	8	6	4	6	5	1	1	3	1								42	2	Work at price and delivery. Also need to improve designs and range			

Exercise 5.2 Lifecycle analysis

It is universally accepted that all products or services go through a lifecycle of five stages – introduction, growth, maturity, saturation and, ultimately, decline.

Depending upon the nature of the particular product and its market, the lifecycle can be of short or long duration. Similarly, different products will have different levels of sales. Nevertheless, allowing for these differences in 'width' and 'height', product lifecycle curves all have a remarkably similar and consistent shape. It is because of consistency of the lifecycle curve that this aspect of the product audit becomes such a powerful analytical tool.

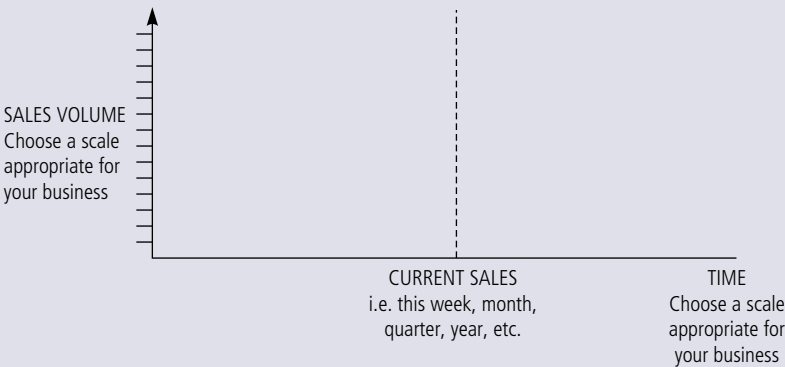
The following exercise is designed to help you construct a lifecycle analysis for your company's products or services. By doing this it will help to focus on information that will be used in setting marketing objectives and strategies.

1. Using Worksheet 1, invent a suitable scale for the sales volume axis, i.e. one that will encompass the sales peaks you have had or are likely to experience in your business.
2. At the position marked 'Current sales', record the levels of sales volume for your products or services. You will have to select the timescale you use. If your products are short-lived, perhaps you might have to calculate sales figures in terms of days or weeks. For longer-lived products, perhaps annual sales figures will be more appropriate.
3. Taking each product in turn, plot a lifecycle curve based upon the historical data at your disposal, e.g. if in 2 above you decided that a monthly sales analysis would be

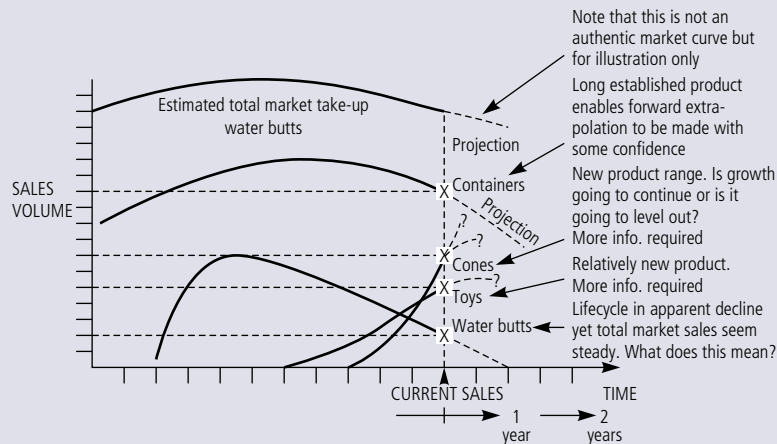
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- necessary to capture the movement on the lifecycle curves, then check back through your sales records and plot the sales volume for each product at monthly intervals.
- From the lifecycle curves you have drawn, extend those into the future where extrapolation looks feasible, i.e. where a distinct pattern exists. You should finish up with a worksheet looking something like Worksheet 2.
 - So far you have only looked at your products in isolation. Now on a separate piece of paper (or on the same worksheet if it doesn't cause too much confusion), compare each lifecycle pattern of your major products or services with the total market lifecycle for each one. Do your product patterns mirror the market lifecycle? Are your sales falling, while the total market sales are steady or increasing? Is the reverse happening? Many outcomes will be possible, but whatever they are, you are asked to explain them and to write down what these comparisons between the total market and your sales tell you about your product/service range and its future prospects. If you find it difficult to establish total market lifecycles then refer to the 'Guide to market maturity', later in this exercise.
 - Finally, and to demonstrate that this examination of product lifecycles is not just an intellectual exercise, prepare a short presentation for one of your senior colleagues, or, better still, your boss, following the instructions given on the 'Special project brief', at the end of this exercise.

Worksheet 1 Lifecycle analysis (Exercise 5.2)



Worksheet 2 Lifecycle analysis (Exercise 5.2) – a plastics processing company



Guide to market maturity

The following checklist is used by one major company to help it determine where its markets are on the lifecycle (repeated earlier from Table 5.2).

	Maturity stage			
Factor	Embryonic	Growth	Mature	Declining
1. Growth rate	Normally much greater than GNP (on small base)	Sustained growth above GNP. New customers. New suppliers. Rate decelerates towards end of stage	Approximately equals GNP	Declining demand. Market shrinks as users' needs change
2. Predictability of growth potential	Hard to define accurately. Small portion of demand being satisfied. Market forecasts differ widely	Greater percentage of demand is met and upper limits of demand becoming clearer. Discontinuities such as price reductions based on economies of scale may occur	Potential well defined. Competition specialized to satisfy needs of specific segments	Known and limited
3. Product line proliferation	Specialized lines to meet needs of early customers	Rapid expansion	Proliferation slows or ceases	Lines narrow as unprofitable products dropped
4. Number of competitors	Unpredictable	Reaches maximum. New entrants attracted by growth and high margins. Some consolidation begins toward end of stage	Entrenched positions established. Further shake-out of marginal competitors	New entrants unlikely. Competitors continue to decline
5. Market share distribution	Unstable. Shares react unpredictably to entrepreneurial insights and timing	Increasing stability. Typically, a few competitors emerging as strong	Stable, with a few companies often controlling much of the industry	Highly concentrated or fragmented as industry segments and/or is localized
6. Customer stability	Trial usage with little customer loyalty	Some loyalty. Repeat usage with many seeking alternative suppliers	Well-developed buying patterns, with customer loyalty. Competitors understand purchase dynamics and it is difficult for a new supplier to win over accounts	Extremely stable. Suppliers dwindle and customers less motivated to seek alternatives

(Continued)

7. Ease of entry	Normally easy. No one dominates. Customers' expectations uncertain. If barriers exist they are usually technology, capital or fear of the unknown	More difficult. Market franchises and/or economies of scale may exist, yet new business is still available without directly confronting competition	Difficult. Market leaders established. New business must be 'won' from others	Little or no incentive to enter
8. Technology	Plays an important role in matching product characteristics to market needs. Frequent product changes	Product technology vital early, while process technology more important later in this stage	Process and material substitution focus. Product requirements well known and relatively undemanding. May be a thrust to renew the industry via new technology	Technological content is known, stable and accessible

Special project brief

Product lifecycles

Take any product you know well and prepare a short presentation (say ten minutes) which covers the following areas/questions:

1. Brief product description – your definition of the market it serves.
2. Your estimates of the product's current point in the lifecycle curve.
3. Your reasons for believing it is at this point.
4. Your estimate of the length and shape of this lifecycle.
5. Your reasons for this estimate.
6. Your predictions of the prospects for this product over the next three years.
7. Your reasons for these predictions.

Exercise 5.3 Applying the DPM to your own organization

Follow these instructions:

1. Choose a product (or group of products) that is bought by many different markets (or segments).
2. List no more than eight of these markets (or segments).
3. Develop a set of criteria for judging:
 - Market attractiveness
 - Your strength in these markets.

4. Develop a scoring and weighting system for these criteria.
5. Evaluate the markets you have chosen, using these criteria.
6. Locate the point of each of these markets on a four-box DPM.
7. Using an approximate scale of your own choice, make the circle diameter proportional to your current turnover.
8. Comment on the current portfolio.
9. Indicate approximately the size and position of each circle in three years' time.
10. Outline (briefly) the strategies you would pursue to achieve these objectives.

Exercise 5.4 Simulation practice

Use the DPM in your game (which can be found under the Tools button). If you do not have time to score all the segments, choose a few that you think are critical to your success and worthy of extra *investment*. Score those segments first. Then choose a few segments that you think are good candidates for *divestment* and score those. These may be segments where you anticipate low returns for the foreseeable future. Once you have scored them all, you can check that your thinking was right and then change your funding accordingly.

There is further help on using the DPM in the game in the on-screen help feature, the Support Documents area and video tutorials at The Market2Win Academy.

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Chapter

6

SETTING MARKETING OBJECTIVES AND STRATEGIES

SUMMARY

- What marketing objectives are
- How marketing objectives relate to corporate objectives
- How to set marketing objectives
- What competitive strategies are
- How to use competitive strategies to gain competitive advantage
- How to start the process of marketing planning using 'gap analysis'
- New product development as a growth strategy
- What marketing strategies are
- How to set marketing strategies
- Why this step is the most crucial in the marketing planning process
- Exercises to turn the theory into actionable propositions

INTRODUCTION

From our 'map' of marketing, repeated below as Figure 6.1, we have so far dealt in detail in Chapters 3, 4 and 5 with Box 1, 'Define markets and understand value'.

We also introduced Box 2, 'Create value proposition' in Chapter 3, when we gave an overview of the marketing planning process.

The purpose of this chapter is to expand on the 'Determine the value proposition' step and to spell out how to set marketing objectives and strategies within the strategic marketing plan. We begin by expanding Box 2, 'Create value proposition' (Figure 6.2). The key input to this process

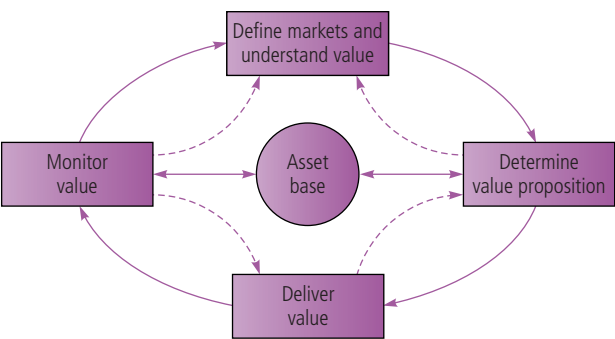


Figure 6.1: Map of marketing.

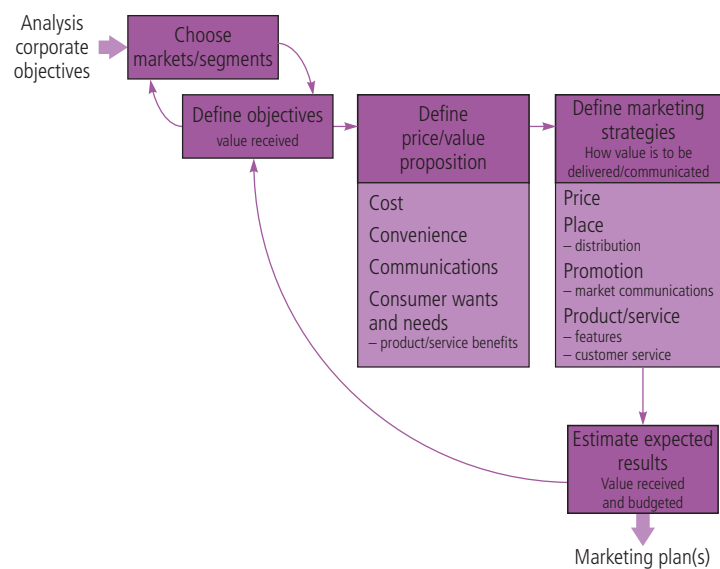


Figure 6.2: Determine value proposition.

is the analysis of customer needs, and the relative attractiveness of different customer segments, which were discussed in detail in Chapters 4 and 5.

The creation of the value proposition to the customer contains five subprocesses, shown in Figure 6.2.

First, using the analysis which flows from the previous process, the range of markets and segments in which the organization is to operate is chosen and prioritized, as explained in Chapters 4 and 5. This will take into account both the market's inherent attractiveness, and the organization's actual and potential ability to meet customer needs within the segment. It will also be shaped by the corporate objectives.

The next two processes define the core of the value proposition to the customer. While they can occur in either order, organizations typically start by defining the value they hope to receive from the segment: 'Define objectives'. This involves defining marketing objectives in terms, for

example, of market share, volume, value or contribution by segment, to be discussed in more detail in this chapter.

The other half of the equation is defining the value to be delivered to the customer in return. This price/value proposition can be thought of using the 4Cs: 'Cost', 'Convenience', 'Communications' and 'Consumer wants and needs'. These translate the 4Ps of marketing from what the organization does to what the customer cares about. For example, the customer is concerned with 'convenience' of purchase, which influences how the organization will 'place' the product through distribution channels. Similarly, instead of 'product', we have 'consumer wants and needs', which are met by the product. The customer is interested in the total 'cost' to them, not necessarily just the upfront 'price'.

And finally, 'promotion' translates into two-way 'communications' in which customers declare their requirements and learn about the organization's offerings.

The fourth subprocess may involve iterations with the third one since, in defining the marketing strategies – how the value is to be delivered and communicated – it may be necessary to reconsider what that value can actually be. We have listed the four major aspects of this process using the 4Ps. While separate plans, or plan sections, may be produced for each of these, the decisions are closely intertwined: for example, the choice of distribution channel will impact what communications are feasible, what surrounding services can be delivered, and what price can be charged.

Some reformulations of the 4Ps include others such as 'Provision of customer service', 'People', and 'Processes'. We include customer service within 'Product/service', as it is often difficult to separate the core product or service from surrounding services, but clearly every aspect for the customer interaction needs to be planned for. 'People' and 'Processes' represent dimensions that certainly need to be planned, but we view them as arising from the consideration of the customer-focused 4Ps by asking what changes to people or processes are necessary in order to achieve the desired product offering, price, place or promotions.

Once these issues have been resolved, an estimate of the expected results of the marketing strategies can be made, in terms of the costs to the organization and the impact of the price/value proposition on sales. This final step closes the loop from the original setting of objectives, as it may be that iteration is required if it is considered that the strategies that have been defined are not sufficient to meet the financial objectives.

The output from the 'Determine value proposition' process is typically a strategic marketing plan, or plans, covering a period of at least three years. This is the document referred to throughout this book and its contents are repeated here as Figure 6.3.

From this, it will be seen that we are now ready to determine the assumptions on which our plan depends (described in some detail in Chapter 2), set marketing objectives and strategies for our main products for markets, and derive the budget for the three-year period from the planned revenues, margins and expenditure on marketing strategies.

In some cases, specific plans are produced for aspects of the 4Ps, such as a pricing plan, a distribution plan, a customer service plan or a promotions plan. However, even when no plans are produced, the organization is implicitly taking decisions on the offer to the customer and how this offer is to be communicated and delivered. The content of these plans has to be communicated to and agreed with all departments or functions responsible for delivering the customer value spelled out in the plans.

We can now proceed to explain in detail how to set marketing objectives and strategies.

**The contents of a strategic marketing plan (T+3)
(less than 20 pages)**

- The purpose statement
- Financial summary
- Market overview
 - how the market works
 - key segments and their needs
- SWOT analyses
- Portfolio summary
 - of SWOTs
- Assumptions
- Objectives and strategies
- Budget for three years

Figure 6.3: The contents of a strategic marketing plan.

MARKETING OBJECTIVES: WHAT THEY ARE AND HOW THEY RELATE TO CORPORATE OBJECTIVES

There are no works on marketing which do not include at least one paragraph on the need for setting objectives. Setting objectives is a mandatory step in the planning process. The literature on the subject, though, is not very explicit, which is surprising when it is considered how vital the setting of ► **marketing objectives** is.

An objective will ensure that a company knows what its strategies are expected to accomplish and when a particular strategy has accomplished its purpose. In other words, without objectives, strategy decisions and all that follows will take place in a vacuum.

A marketing objective is the quantification of what an organization sells (its products) and to whom (its markets).

Following the identification of opportunities and the explicit statement of assumptions about conditions affecting the business, the process of setting objectives should, in theory, be comparatively easy, the actual objectives themselves being a realistic statement of what the company desires to achieve as a result of a market-centred analysis, rather than generalized statements borne of top management's desire to 'do better next year'.

However, objective setting is more complex than at first it would appear to be.

Most experts agree that the logical approach to the difficult task of setting marketing objectives is to proceed from the broad to the specific. Thus, the starting point would be a statement of the nature of the business (the mission statement), from which would flow the broad company objectives. Next, the broad company objectives would be translated into key result areas, which would be those areas in which success is vital to the firm. Market penetration and growth rate of sales are examples of key result areas. The third step would be creation of the sub-objectives necessary to accomplish the broad objectives, such as product sales volume goals, geographical expansion, product line extension, and so on.

The end result of this process should be objectives which are consistent with the strategic plan, attainable within budget limitations, and compatible with the strengths, limitations and economics of other functions within the organization.

At the top level, management is concerned with long-run profitability; at the next level in the management hierarchy, the concern is for objectives that are defined more specifically and in greater detail, such as increasing sales and market share, penetrating new markets, and so on. These objectives are merely a part of the hierarchy of objectives, in that corporate objectives will only be accomplished if these and other objectives are achieved. At the next level, management is concerned with objectives that are defined even more tightly, such as: to create awareness among a specific target market about a new product; to change a particular customer attitude; and so on. Again, the general marketing objectives will only be accomplished if these and other sub-objectives are achieved.

The logical approach to the difficult task of setting objectives is to proceed from the broad to the specific.

It is clear that sub-objectives per se, unless they are an integral part of a broader framework of objectives, are likely to lead to a wasteful misdirection of resources.

For example, a sales increase in itself may be possible, but only at an undue cost, so that such a marketing objective is only appropriate within the framework of corporate objectives. In such a case, it may well be that an increase in sales in a particular market sector will entail additional capital expenditure ahead of the time for which it is planned. If this were the case, it may make more sense to allocate available production capacity to more profitable market sectors in the short term, allowing sales to decline in another sector. Decisions such as this are likely to be more easily made against a backdrop of explicitly stated broad company objectives relating to all the major disciplines.

Likewise, objectives should be set for advertising, for example, which are wholly consistent with wider objectives. Objectives set in this way integrate the advertising effort with the other elements in the marketing mix and this leads to a consistent, logical marketing plan.

SO WHAT IS A CORPORATE OBJECTIVE AND WHAT IS A MARKETING OBJECTIVE?

A business starts at some time with resources and wants to use those resources to achieve something. What the business wants to achieve is a ► **corporate objective**, which describes a desired destination, or result. Most often this is expressed in terms of profit, since profit is the means of satisfying shareholders or owners, and because it is the one universally accepted criterion by which efficiency can be evaluated, which will, in turn, lead to efficient resource allocation, economic and technological progressiveness and stability. How it is to be achieved is a strategy. In a sense, this means that the only true objective of a company is, by definition, what is stated in the corporate plan as being the principal purpose of its existence.

A corporate objective describes a desired destination or result. Most often this is expressed in terms of profit.

The only true objective of a company is, by definition, what is stated in the corporate plan as being the principal purpose of its existence.

This means that stated desires, such as to expand market share, to create a new image, to achieve an x per cent increase in sales, and so on, are in fact strategies at the corporate level, since they are the means by which a company will achieve its profit objectives. In practice, however, companies tend to operate by means of functional divisions, each with a separate identity, so that what is a strategy at the corporate level becomes an objective within each division, or strategic business unit.

For example, marketing strategies within the corporate plan become marketing objectives within the marketing department and strategies at the general level within the marketing plan themselves become operating objectives at the next level down, so that an intricate web of interrelated objectives and strategies is built up at all levels within the framework of the overall company plan.

Corporate strategies define how corporate objectives are to be achieved through the use of its resources.

The really important point, however, apart from clarifying the difference between objectives and strategies, is that the further down the hierarchical chain one goes, the less likely it is that a stated objective will make a cost-effective contribution to company profits, unless it derives logically and directly from an objective at a higher level.

Corporate objectives and strategies can be simplified in the following way:

Corporate objectives

- Financial: desired level of profitability, growth etc.
- Social and environmental sustainability: inclusivity of workforce, carbon footprint etc.

Corporate strategies

- which products and which markets (marketing)
- what kind of facilities (operations, distribution, IT, R&D, etc.)
- size and character of the staff/labour force (personnel, resource management)
- funding (finance)
- other corporate strategies such as social responsibility, sustainability, corporate image, stock market image, employee image, etc.

It is now clear that at the next level down in the organization, that is, at the functional level, what products are to be sold into what markets become marketing objectives, while the means of achieving these objectives using the marketing mix are marketing strategies. At the next level down, there would be, say, advertising objectives and advertising strategies, with the subsequent programmes and budgets for achieving the objectives. In this way, a hierarchy of objectives and strategies can be traced back to the initial corporate objective. Figure 6.4 illustrates this point.

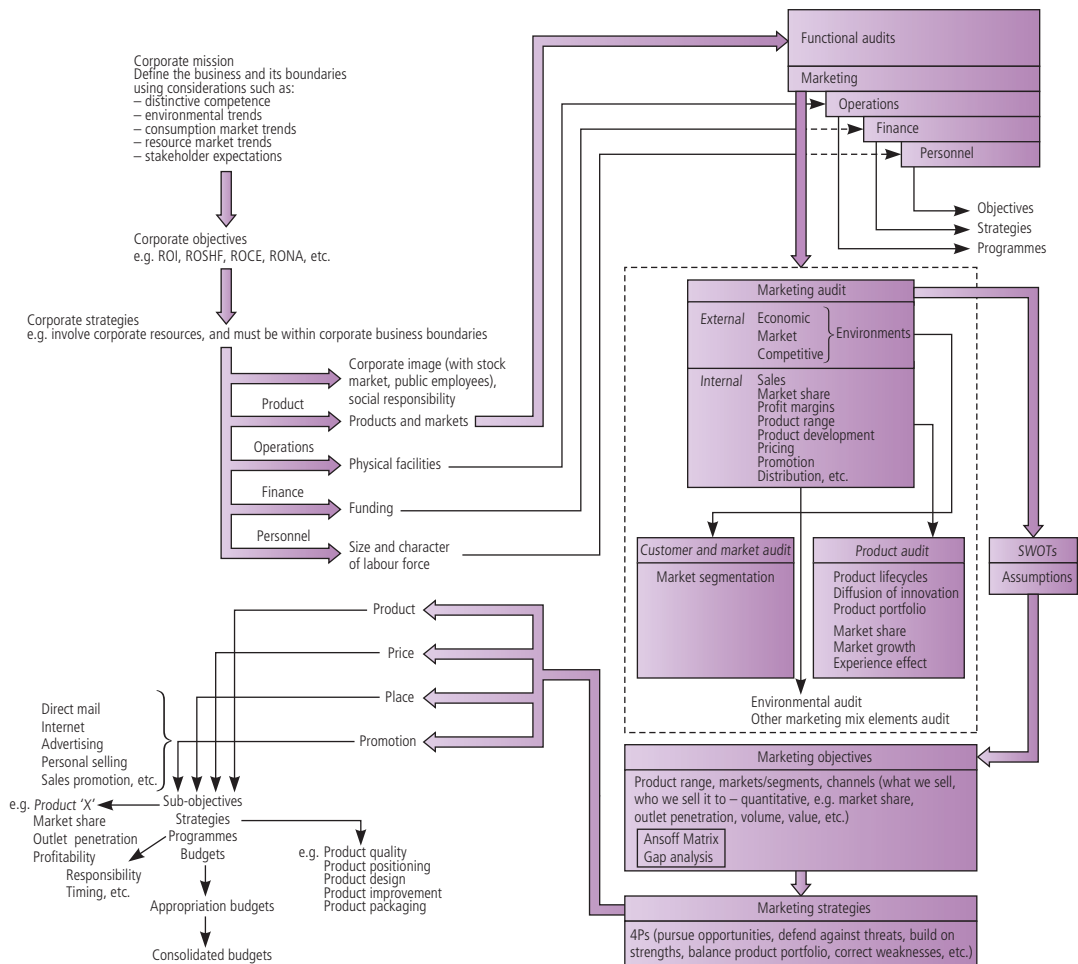


Figure 6.4: Hierarchy of objectives and strategies.

HOW TO SET MARKETING OBJECTIVES

Without doubt, the most useful starting point in setting marketing objectives is to conduct a SWOT analysis on each important product for market to be included in your strategic marketing plan. A detailed methodology for completing really useful SWOT analyses is spelled out in detail in Exercise 6.4 at the end of this chapter. So, SWOTs should be completed on each principal box in the Ansoff Matrix, which is the subject of this next section.

The Ansoff Matrix¹ can be introduced here as a useful tool for thinking about marketing objectives.

A firm's competitive situation can be simplified to two dimensions only – products and markets. To put it even more simply,

Pricing objectives, sales promotion objectives, advertising objectives, and the like, should not be confused with marketing objectives.

Ansoff’s framework is about what is sold (the ‘product’) and who it is sold to (the ‘market’). Within this framework Ansoff identifies four possible courses of action for the firm:

- 1. Selling existing products to existing markets.
- 2. Extending existing products to new markets.
- 3. Developing new products for existing markets.
- 4. Developing new products for new markets.

The matrix in Figure 6.5 depicts these concepts.

It is clear that the range of possible marketing objectives is very wide, since there will be degrees of technological newness and degrees of market newness. Nevertheless, Ansoff’s Matrix provides a logical framework in which marketing objectives can be developed under each of the four main headings above.

In other words, marketing objectives are about products and markets only.

Common sense will confirm that it is only by selling something to someone that the company’s financial goals can be achieved, and that advertising, pricing, service levels, and so on, are the means (or strategies) by which it might succeed in doing this. Thus, pricing objectives, sales promotion objectives, advertising objectives, and the like, should not be confused with marketing objectives.

Marketing objectives are generally accepted as being quantitative commitments, usually stated either in standards of performance for a given operating period, or conditions to be achieved by given dates. Performance standards are usually stated in terms of sales volume or value and various measures of profitability. The conditions to be attained are usually a percentage of market share and various other commitments, such as a percentage of the total number of a given type of distribution outlet.

There is also broad agreement that objectives must be specific enough to enable subordinates to derive from them the general character of action required and the yardstick by which performance is to be judged.

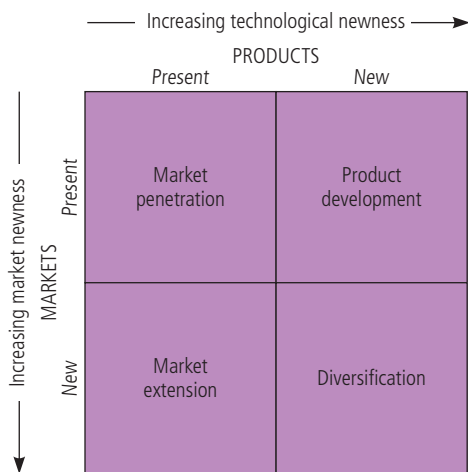


Figure 6.5: Ansoff Matrix.

Objectives are the core of managerial action, providing direction to the plans. By asking where the operation should be at some future date, objectives are determined. Vague objectives, however emotionally appealing, are counterproductive to sensible planning, and are usually the result of the human propensity for wishful thinking, which often smacks more of cheerleading than serious marketing leadership. What this really means is that it is unacceptable to use directional terms such as 'improve', 'increase', 'decrease', 'optimize' and 'minimize' as objectives, because it is logical that, unless there is some measure, or yardstick, against which to measure a sense of locomotion towards achieving them, then they do not serve any useful purpose.

Objectives are the core of managerial action, providing direction to the plans.

Ansoff defines an objective as 'a measure of the efficiency of the resource-conversion process'.

An objective contains three elements: the particular attribute that is chosen as a measure of efficiency; the yardstick or scale by which the attribute is measured; and the particular value on the scale which the firm seeks to attain.

Marketing objectives, then, are about each of the four main categories of the Ansoff Matrix:

1. *Existing products in existing markets.* These may be many and varied and will certainly need to be set for all existing major products and customer groups (segments).
2. *New products in existing markets.*
3. *Existing products in new markets.*
4. *New products in new markets.*

Thus, in the long run, it is only by selling something (a 'product') to someone (a 'market') that any firm can succeed in staying in business profitably. Simply defined, product/market strategy means the route chosen to achieve company goals through the range of products it offers to its chosen market segments. Thus the product/market strategy represents a commitment to a future direction for the firm. Marketing objectives, then, are concerned solely with products and markets.

Marketing objectives are concerned solely with products and markets.

The general marketing directions which lead to the above objectives flow, of course, from the lifecycle and portfolio analysis in the audit and revolve around the following logical decisions:

1. *Maintain.* This usually refers to the 'cash cow' type of product/market and reflects the desire to maintain competitive positions.
2. *Improve.* This usually refers to the 'star' type of product/market and reflects the desire to improve the competitive position in attractive markets.
3. *Harvest.* This usually refers to the 'dog' type of product/market and reflects the desire to relinquish competitive position in favour of short-term profit and cash flow, unless there are sound reasons not to.
4. *Exit.* This also usually refers to the 'dog' type of product/market, also sometimes the 'question mark', and reflects a desire to divest because of a very weak competitive position or because the cost of staying in it is prohibitive and the risk associated with improving its position is too high.
5. *Enter.* This usually refers to a new business area.

DIGITAL MARKETING INSIGHT: USING DIGITAL CHANNELS TO SUPPORT ANSOFF OBJECTIVES

Digital media and sales channels have given new opportunities to support these objectives as follows:

1. **Market penetration.** Effective investments in paid, owned and earned media can be used to sell more existing products into existing markets.
2. **Market development.** Here digital media is used to sell into new geographical markets, taking advantage of the low cost of advertising internationally without the necessity for a supporting sales infrastructure in the customers' countries.
3. **Product development.** New products or services are developed that can be communicated online. These are typically digital products.
4. **Diversification.** In this sector, the Internet supports selling new products, which are developed and sold into new markets.

Zalando, a Germany-based fashion retailer, provides an example of growth achieved through market development. Since its launch in 2008, it has entered many European markets using techniques such as search engine marketing – for example, Google ads and organic search – display advertising and social media marketing to create awareness and demand for services. Zalando now sells in 25 different markets where it has rapidly achieved traction using digital media combined with digital sales:

- 2008 – Germany, Austria
- 2010 – The Netherlands, France
- 2011 – Italy, UK, Switzerland
- 2012 – Sweden, Belgium, Spain, Denmark, Finland, Poland, Norway, Luxembourg
- 2018 – Czech Republic, Ireland
- 2021 – Slovenia, Lithuania, Slovakia, Croatia, Estonia, Latvia
- 2022 – Hungary, Romania

A startup, once based in the basement of a shared apartment, now includes a network of 12 fulfilment centres in Europe with more than 16,000 staff.

Such new entrants that gain market share using different digital disruption techniques of innovative business or revenue models are sometimes referred to as 'digital disruptors'. Digital media have the advantage that forecasts based on funnel-based conversion models such as those available from <https://www.smartinsights.com/conversion-model-spreadsheets/> and shown in Figure 6.6 can be used to predict online sales forecasts and profitability using the complex range of digital media. However, this is more complex than when offline advertising was the main basis of such forecasts.

A		B		C	D	E	F	G	H	I	J	K	L		
1	Home	Online Media Mix model - based on % budget - with example of 'average' clickthrough rates													
2	Input parameter table	Overall budget	£100,000		Blue cells = input variables - vary these for 'what-if' analysis										
3		Average order value	£100												
4		Gross profit margin	30.0%		Orange cells = output variables (calculated - do not overtype)										
5		Total media % (keep less than 100%)	100%												
6	Advertising - Offline and online display												Search		
7			Offline ads (CPM)	Display ads (CPM)	Programmatic display or ad networks (CPC)	Social media awareness ads (CPC)	Social media retargeting ads (CPC)	GDN and/or YouTube (CPC)	Paid search Non-brand (CPC)	Paid search Brand and remarketing (CPC)	Natural search (organic)	Affiliates (CPA)			
8	Media costs	Setup/creative / Mgt costs	£0	£0	£0	£0	£0	£0	£0	£0	£0	£0	£0		
9		CPM	£1.0	£1.0	£4.0	£4.0	£4.0	£4.0	£4.0	£4.0	£4.0	£0.2	£0.2		
10		CPC	£0.0	£0.0	£0.20	£0.20	£0.20	£0.20	£0.20	£0.20	£0.20	£0.10	£0.1		
11		Media costs	£0	£0	£10,000	£5,000	£5,000	£5,000	£10,000	£5,000	£20,000	£10,000			
12		Total cost/setup & media	£0	£0	£10,000	£5,000	£5,000	£5,000	£10,000	£5,000	£20,000	£10,000			
13	Budget % [VARY THIS to update C5]		0%	0%	10%	5%	5%	5%	10%	5%	20%	10%			
14	Media impressions & Response	Impressions or names	0	0	2,500,000	1,250,000	1,250,000	1,250,000	2,500,000	1,250,000	100,000,000	50,000,000			
15		CTR	0.1%	0.1%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	0.2%	0.2%			
16	Conversion to Opportunity (Lead)	Clicks or site visits	0	0	50,000	25,000	25,000	25,000	50,000	25,000	200,000	100,000			
17		Conversion rate to opportunity	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%			
18		Number of opportunities	0	0	5,000	2,500	2,500	2,500	5,000	2,500	20,000	10,000			
19	Conversion to Sales	Cost per opportunity	£0.0	£0.0	£2.0	£2.0	£2.0	£2.0	£2.0	£2.0	£1.0	£1.0			
20		Conversion rate to sale	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%			
21		Number of sales	0	0	500	250	250	250	500	250	2,000	1,000			
22	Revenue	% of sales	0.0%	0.0%	8.3%	4.2%	4.2%	4.2%	8.3%	4.2%	33.3%	16.7%			
23		Cost per sale (CPA)	£0.0	£0.0	£20.0	£20.0	£20.0	£20.0	£20.0	£20.0	£10.0	£10.0			
24	Costs	Total revenue	£0	£0	£50,000	£25,000	£25,000	£25,000	£50,000	£25,000	£200,000	£100,000			
25		Cost of goods sold	£0	£0	£35,000	£17,500	£17,500	£17,500	£35,000	£17,500	£140,000	£70,000			
26		Media costs	£0	£0	£10,000	£5,000	£5,000	£5,000	£10,000	£5,000	£20,000	£10,000			
27	Profitability	Total costs (inc media)	£0	£0	£45,000	£22,500	£22,500	£22,500	£45,000	£22,500	£160,000	£80,000			
28		Profit	£0	£0	£5,000	£2,500	£2,500	£2,500	£5,000	£2,500	£40,000	£20,000			
29	Return on Investment		-	-	11.1%	11.1%	11.1%	11.1%	11.1%	11.1%	25.0%	25.0%			

Figure 6.6: Conversion-based digital marketing forecasting spreadsheet showing media costs and conversion rates for different media in columns.

Source: Smart Insights (2010). Digital marketing planning spreadsheet. <https://www.smartinsights.com/guides/digital-marketing-planning-spreadsheet/>

As already stated, however, great care should be taken not to follow slavishly any set of 'rules' or guidelines related to the above. Also, the use of pejorative labels like 'dog', 'cash cow', and so on, should be avoided.

General guidelines should not be followed unquestioningly.

The use of pejorative labels like 'dog', 'cash cow', and so on, should be avoided.

A full list of marketing guidelines as a precursor to objective setting is given in Table 6.1. Figure 6.7 sets out a fuller list which includes guidelines for functions other than marketing. One word of warning, however. Such general guidelines are included more as checklists of questions that should be asked about each major product in each major market before setting marketing objectives and strategies.

It is at this stage that the circles in the directional policy matrix (see Chapter 5) can be moved to show their relative size and position in three years' time. You can do this to show, first, where they will be if the company takes no action, and second,

where you would ideally prefer them to be. These latter positions will, of course, become the marketing objectives.

COMPETITIVE STRATEGIES

At this stage of the planning process, it would be helpful to explain developments in the field of competitive strategies, since an understanding of the subject is an essential prerequisite to setting appropriate marketing objectives.

One of the principal purposes of marketing strategy is for you to be able to choose the customers, and hence the markets, you wish to deal with.

In this respect, the directional policy matrix discussed in Chapter 5 is particularly useful. The main components of strategy are:

- the company
- customers
- products/services
- competitors.

So far, we have said very little about competitors, although, clearly, if we are to succeed we need to work hard at developing a sustainable competitive advantage. The important word here is 'sustainable', as temporary advantages can be gained in numerous ways, such as a price reduction or a clever sales promotion.

If we are to succeed, we need to work hard at developing a sustainable competitive advantage.

Most business people would agree that, as markets mature, the only way to grow the business without diversifying is at the expense of competitors, which implies the need to understand in depth the characteristics of the market and of the main competitors in it. The leading thinker in this field is Michael Porter of the Harvard Business School, and any reader wishing to

	Business strengths		
	High		Low
High	<i>Invest for growth</i> Defend leadership, gain if possible Accept moderate short-term profits and, if necessary, negative cash flow Consider geographic expansion, product line expansion, product differentiation Upgrade product development effort Aggressive marketing posture, viz. selling, advertising, pricing, sales promotion service levels, as appropriate		<i>Opportunistic</i> The options are: - Move it to the left if resources are available to invest in it - Keep a low profile until funds are available - Divest to a buyer able to exploit the opportunity
Market attractiveness	<i>Maintain market position, manage for sustained earnings</i> Maintain market position in most successful product lines Prune less successful product lines, unless necessary to market success Manage for profit Differentiate products to maintain share of key segments Limit discretionary marketing expenditure Stabilize prices, except where a temporary aggressive stance is necessary to maintain market share	<i>Selective*</i> Acknowledge low growth Do not view as a 'marketing' problem Identify and exploit growth segments Emphasize product quality to avoid 'commodity' competition Systematically improve productivity Assign talented managers	<i>Manage for profit</i> Prune product line aggressively Maximize cash flow Minimize marketing expenditure Maintain or raise prices at the expense of volume (All of these are on the assumption that such products are not essential to market position)
Low			

Table 6.1: Strategies suggested by portfolio matrix analysis.

*Selective refers to those products or markets which fall on or near the vertical dividing line in a directional policy matrix.

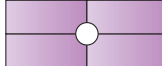
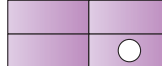
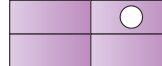
					
Main thrust	Invest for growth	Maintain market position, manage for earnings	Selective	Manage for cash	Opportunistic development
Market share	Maintain or increase dominance	Maintain or slightly milk for earnings	Maintain selectively segment	Forgo share for profit	Invest selectively in share
Products	Differentiation – line expansion	Prune less successful Differentiate for key segments	Emphasize product quality Differentiate	Aggressively prune	Differentiation – line expansion
Price	Lead – aggressive pricing for share	Stabilize prices/raise	Maintain or raise	Raise	Aggressive – price for share
Promotion	Aggressive promotion	Limit	Maintain selectively	Minimize	Aggressive marketing
Distribution	Broaden distribution	Hold wide distribution pattern	Segment	Gradually withdraw distribution	Limited coverage
Cost control	Tight control – go for scale economies	Emphasize cost reduction, viz variable costs	Tight control	Aggressively reduce both fixed and variable	Tight – but not at expense of entrepreneurship
Production	Expand, invest (organic acquisition, joint venture)	Maximize capacity utilization	Increase productivity, e.g. specialization/automation	Free up capacity	Invest
R&D	Expand – invest	Focus on specific projects	Invest selectively	None	Invest
Personnel	Upgrade management in key functional areas	Maintain, reward efficiency, tighten organization	Allocate key managers	Cut back organization	Invest
Investment	Fund growth	Limit fixed investment	Invest selectively	Minimize and divest opportunistically	Fund growth
Working capital	Reduce in process – extend credit	Tighten credit – reduce accounts receivable, increase inventory turn	Reduce	Aggressively reduce	Invest

Figure 6.7: Guidelines suggested for different positioning on the directional policy matrix.

explore this vital subject in more depth should refer to his classic book, *Competitive Strategy*,² as well as Whittington et al.'s (2020) wider review of the subject.³

Perhaps the best way to summarize this complex subject would be to tell a story.

Imagine three tribes on a small island fighting each other because resources are scarce. One tribe decides to move to a larger adjacent island, sets up camp, and is followed eventually by the other two, who also set up their own separate camps. At first it is a struggle to establish themselves, but eventually they begin to occupy increasing parts of the island, until many years later they begin to fight again over adjacent land. The more innovative tribal chief, that is, the one who was first to move to the new island, sits down with his senior warriors and ponders what to do, since none are very keen to move to yet another island. They decide that the only two options are:

1. Attack and go relentlessly for the enemy's territory.
2. Settle for a smaller part of the island and build in it an impregnable fortress.

These two options, that is, terrain or impregnable fortress (or both), are in fact the same options that face business people as they contemplate competitive strategy. Let's look in turn at each of these options, continuing for a moment longer with the military analogy, and starting with terrain.

Imagine two armies facing each other on a field of battle (depicted by circles). One army has 15 soldiers in it, the other 12. Imagine also that they face each other with rifles and all fire one shot at the other at the same time, also that they don't all aim at the same soldier! Figure 6.8 depicts the progress of each side in disposing of the other. It will be seen that after only three volleys, the army on the right has only one soldier remaining, while the army on the left, with eight soldiers remaining, is still a viable fighting unit.

One interesting fact about this story is that the effect observed here is geometric rather than arithmetic, and is a perfect demonstration of the effect of size and what happens when all things are equal except size. The parallel in industry, of course, is market share.

Companies like Amazon, Tencent, Visa, and so on, always seem to win when attacked by smaller competitors.

So, all things being equal, a company with a larger market share than another should win over a smaller competitor. Or should it? Clearly, this is not inevitable, providing the smaller companies take evasive action. In the computer industry, just look at how successful NCR were with their 'global fortress' strategy (e.g. ATMs for the financial market).

Even the long-term survivors like IBM have had to adapt. In the 1990s they got caught unawares, with disastrous financial results, by quicker-moving, smarter, smaller competitors. They recovered by regrouping and resegmenting their market. They also used their enormous market power and reach to take advantage of the newer but substantial markets for services.

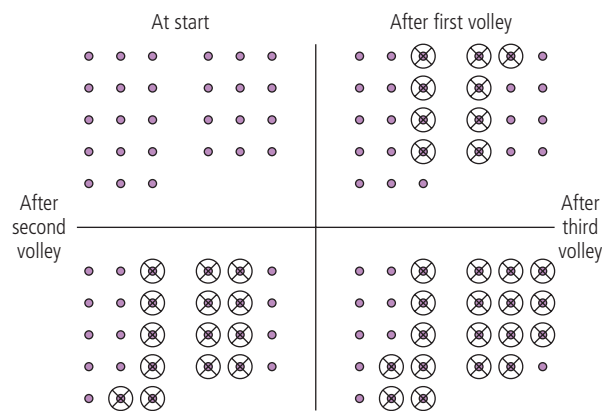


Figure 6.8: The importance of market share.

MARKETING INSIGHT

In the banking market, First Direct took a commanding position by means of a differentiated product, dispensing with all the paraphernalia of expensive branches.

MARKETING INSIGHT

In the UK insurance market, Direct Line changed the rules of warfare by dispensing with brokers, taking direct orders online and avoiding online aggregators such as MoneySupermarket or GoCompare. This direct sales model helps them be price-competitive and still profitable.

Put yet another way, look for a moment at the economists’ model of supply and demand shown in Figure 6.9. Here we see that when supply is greater than demand, price will fall, and that when demand exceeds supply, the price will tend to rise. The equilibrium point is when supply matches demand. The only way a competitor can avoid the worst effects of such a situation is by taking one of the following actions:

- 1. Being the lowest cost supplier.
- 2. Differentiating the product in some way so as to be able to command a higher price.

Michael Porter combined these two options into a simple matrix, as shown in Figure 6.10. It can be seen that Box 1 represents a sound strategy, particularly in commodity-type markets such as bulk chemicals, where differentiation is harder to achieve because of the identical nature of the chemical make-up of the product. In such cases, it is wise to recognize the reality and pursue a productivity drive with the aim of becoming the lowest cost producer. It is here that the experience effect described in Chapter 5 becomes especially important.

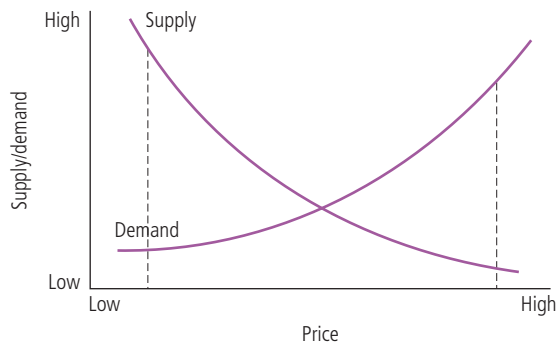


Figure 6.9: Supply/demand/price model.

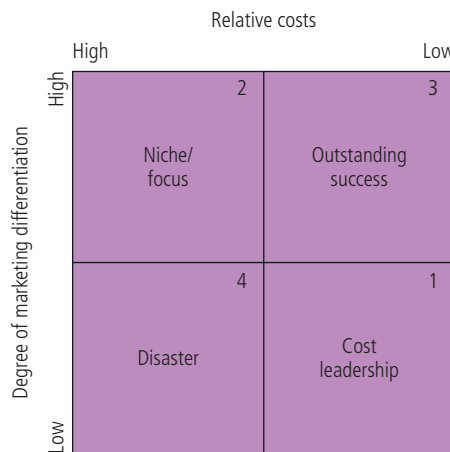


Figure 6.10: Porter's generic strategies matrix.

Many companies, however, such as Tesla and BMW, could not hope to be the lowest cost producers. Consequently, their whole corporate philosophy is geared to differentiation and what we have called added value. Clearly, this represents a sensible strategy for any company that cannot hope to be a world cost leader and indeed many of the world's great companies succeed by means of such a focus. Many of these companies also succeed in pushing themselves into Box 3, the outstanding success box, by occupying what can be called 'global fortresses'.

Companies like 3M, McDonald's, Procter & Gamble and General Electric, however, typify Box 3, where low costs, differentiation and world leadership are combined in their corporate strategies. Nothing, however, is forever and readers will be aware of the problems encountered by McDonald's, as consumers and the media become more health conscious.



Figure 6.11: Benefits analysis matrix.

Referring to Box 4, we can see that a combination of commodity-type markets and high relative costs will result in disaster sooner or later. A position here is tenable only while demand exceeds supply. When, however, these markets mature, there is little hope for companies who find themselves in this unenviable position.

An important point to remember, when thinking about differentiation as a strategy, is that you must still be cost effective. It is a myth to assume that sloppy management and high costs are acceptable as long as the product has a good image and lots of added values.

Also, in thinking about differentiation, please refer back to the section on segmentation in Chapter 3, for it is here that the route to differentiation will be found. It is also clear that there is not much point in offering benefits that are costly for you to provide but which are not highly regarded by customers. So consider using a matrix like the one given in Figure 6.11 to classify your benefits. Clearly, you will succeed best by providing as many benefits as possible that fall into the top right-hand box.

ICI is an example of a company that proactively attempted to change its global strategy by systematically moving away from bulk chemicals in Box 1 (in Figure 6.10) towards speciality chemicals in Box 2 and then going on to occupy a 'global fortress' position in these specialities (Box 3). This, however, proved extremely difficult in this mature market, and its spinout Zeneca needed to combine with Astra to form a pharmaceutical firm of sufficient global weight to support the expensive and risky R&D involved.

The main point here, however, is that when setting marketing objectives, it is essential for you to have a sound grasp of the position in your markets of yourself and your competitors and to adopt appropriate postures for the several elements of your business, all of which may be different. It may be necessary, for example, to accept that part of your portfolio is in the 'Disaster' box (Box 4). You may well be forced to have some products here, for example, to complete your product range to enable you to offer your more profitable products. The point is that you must adopt an appropriate stance towards these products and set your marketing objectives accordingly, using, where appropriate, the guidelines given in Table 6.1 and Figure 6.7.

Finally, here are some very general guidelines to help you think about competitive strategies.

1. Know the terrain on which you are fighting (the market).
2. Know the resources of your enemies (competitive analysis).
3. Do something with determination that the enemy isn't expecting.

In respect of this last one, the great historian of military strategy, Lanchester, put forward the following equation when applying his findings to industry:

$$\text{Fighting strength} = \text{weapon efficiency} \times (\text{number of troops})^2$$

Let us simplify and summarize this. 'Weapon efficiency' can be elements such as advertising, the sales force, the quality of your products, and so on; '(number of troops)²' is more difficult to explain, but is similar in concept to Einstein's theory of critical mass:

$$\begin{aligned}\text{Energy} &= \text{mass}(\text{velocity of light})^2 \\ E &= mc^2\end{aligned}$$

Let us take as an example the use of the sales force. If your competitor's salesperson calls on an outlet, say twice a month for six months, they will have called 12 times. If your salesperson calls four times a month for six months, they will have called 24 times. What Lanchester's Square Law says, however, is that the *effect* is considerably more than twice that of your competitor.

An example of this was the Fever Tree attack on the British mixer market. By training the sales force to a high peak of effectiveness (weapon efficiency), by focusing on specific market segments and out-calling their much larger rival, and by canny media investments specific to those market segments, they were gradually able to occupy particular parts of the market and then move on to the next, until they gained a significant market share. What would have been foolhardy would have been to tackle Schweppes, the market leader, head on in a major battle. The result would have been similar to the fate of the troops in the Charge of the Light Brigade!

STRATEGIC MARKETING PLANNING: WHERE TO START

Understanding the Variables

Figure 6.12 illustrates what is commonly referred to as 'gap analysis'.

Essentially, what it says is that if the corporate sales and financial objectives are greater than the current long-range trends and forecasts, there is a gap which has to be filled. Ideally, the objective should be a 'must' objective – that is, an objective that must be met in order to achieve your mission.

This gap can be filled in six ways:

- by improved productivity (e.g. reduce costs, improve the sales mix, increase prices, reduce discounts, improve the productivity of the sales force, and so on)
- by market penetration of existing products in existing markets (e.g. increase usage, increase market share)

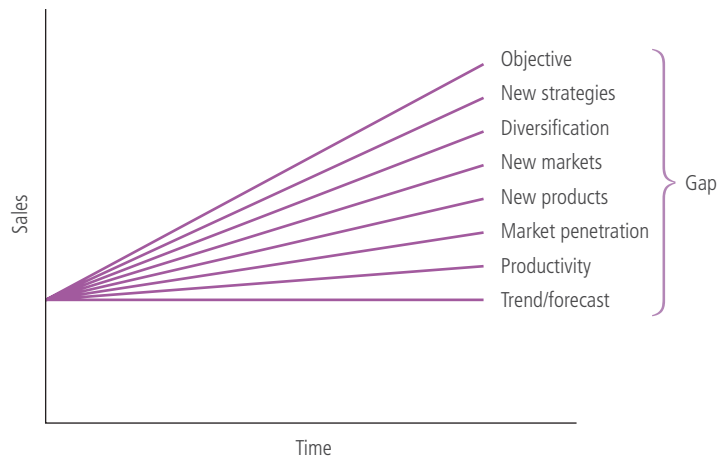


Figure 6.12: Gap analysis.

- by new products in existing markets
- by existing products in new markets (e.g. new user groups, enter new segments, geographical expansion)
- by a combination of new products and markets
- by new strategies (e.g. acquisition, joint ventures, licensing franchising).

Another option, of course, is to reduce the objectives! The problem here, however, is that the objective could not have been a 'must' objective! Gap analysis is best done in two separate steps. Step 1 should be done for sales revenue only so, under the operations gap, above, reducing costs is not relevant as we are only interested in revenue growth. Step 2 should then go through the same stages, but this time looking at the profit and costs implications of achieving the sales growth.

A detailed, step-by-step methodology for completing both steps is given in the exercises at the end of this chapter.

If improved productivity is one method by which the profit gap is to be filled, care must be taken not to take measures such as 'to reduce marketing costs by 20 per cent overall'. The portfolio analysis undertaken during the marketing audit stage will indicate that this would be totally inappropriate to some product/market areas, for which increased marketing expenditure may be needed, while for others 20 per cent reduction in marketing costs may not be sufficient.

As for sales growth options, it is clear that productivity improvements and market penetration should always be a company's first option, since it makes far more sense to attempt to increase profits and cash flow from existing products and markets initially, because this is usually the least costly and the least risky. Here, refer back to Figure 6.5 earlier in this chapter.

This is so because, for its present products and markets, a company has developed knowledge and skills which it can use competitively. Associated with this is the growing interest in customer retention and there is now much evidence to show that keeping existing customers can be a source of ever-increasing profits.^{4, 5}

For the same reason, it makes more sense in many cases to move along the horizontal axis for further growth before attempting to find new markets. The reason for this is that it normally

takes many years for a company to get to know its customers and markets and to build up a reputation. That reputation and trust, embodied in either the company's name or in its brands, is not so easily transferable to new markets, where other companies are already entrenched. The famous Walmart entry into Germany is an example of this – for many years they lost hundreds of millions of dollars and were consistently voted Germany's worst supermarket. Tesco's loss of £1 billion in its American venture is another example.

The marketing audit should ensure that the method chosen to fill the gap is consistent with the company's capabilities and builds on its strengths.

As for sales growth options, it is clear that market penetration should always be a company's first option.

New products should be consistent with the company's known strengths and capabilities. Diversification is the riskiest strategy of all.

MARKETING INSIGHT

For example, it would normally prove far less profitable for a dry goods grocery manufacturer to introduce frozen foods than to add another dry foods product. Likewise, if a product could be sold to existing channels using the existing sales force, this is far less risky than introducing a new product that requires new channels and new selling skills.

Exactly the same applies to the company's operations, distribution and people. Whatever new products are developed should be consistent as possible with the company's known strengths and capabilities. Clearly, the use of existing operations capacity is generally preferable to new processes. Also, the amount of additional investment is important. Technical personnel are highly trained and specialist, and whether this competence can be transferred to a new field must be considered. A product requiring new raw materials may also require new handling and storage techniques, which may prove expensive.

MARKETING INSIGHT

It can now be appreciated why going into new markets with new products (diversification) is the riskiest strategy of all, because new resources and new management skills have to be developed. This is why the history of commerce is replete with examples of companies that went bankrupt through moving into areas where they had little or no distinctive competence.

This is also why many companies that diversified through acquisition during periods of high economic growth have since divested themselves of businesses that were not basically compatible with their own distinctive competence.

The Ansoff Matrix (shown in Figure 6.5), of course, is not a simple four-box matrix, for it will be obvious that there are degrees of technological newness as well as degrees of market newness. Figure 6.13 illustrates the point. It also demonstrates more easily why any movement should generally aim to keep a company as close as possible to its present position, rather than moving it to a totally unrelated position, except in the most unusual circumstances.

Nevertheless, the product lifecycle phenomenon will inevitably force companies to move along one or more of the Ansoff Matrix axes if they are to continue to increase their sales and profits.

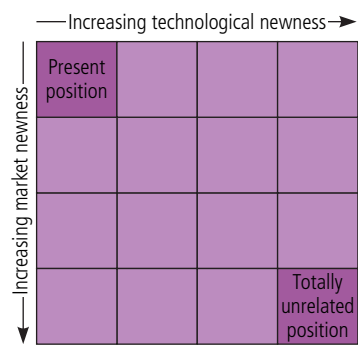


Figure 6.13: Ansoff Matrix: degrees of newness.

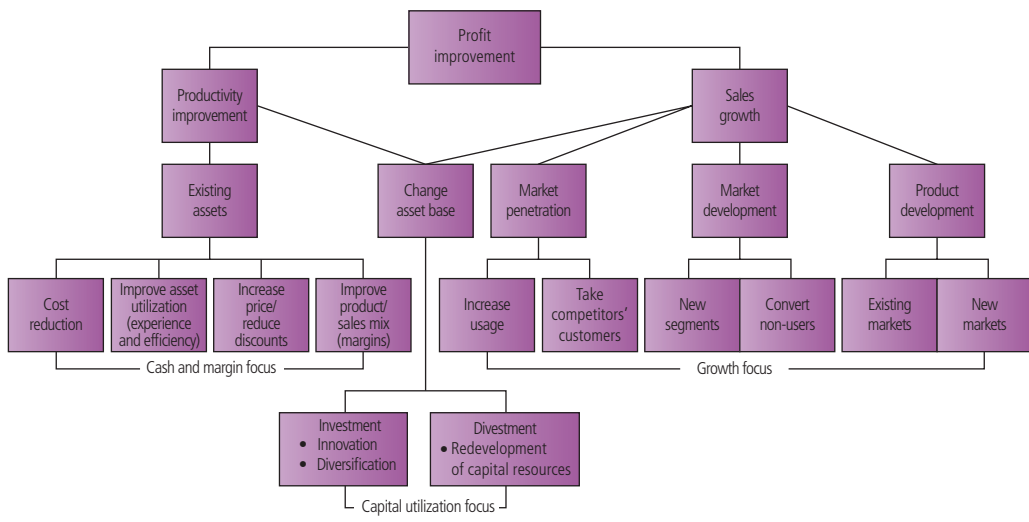


Figure 6.14: Profit/division profit improvement options.

Source: After Professor John Saunders, Aston University, used with his kind permission.

A key question to be asked, then, is how this important decision is to be taken, given the risks involved.

A full list of the possible methods involved in the process of gap analysis is given in Figure 6.14. From this it will be seen that there is nothing an executive can do to fill the gap that is not included in the list. It is worth mentioning again that the precise methodology to implement this concept is given in Exercise 6.1 at the end of this chapter.

MARKETING INSIGHT

At this point, it is important to stress that the 'objectives' point in gap analysis should not be an extrapolation, but your own view of how much revenue would make this into an excellent business.

The word 'excellent' must, of course, be relative only to comparable businesses. If all the executives in a company responsible for SBUs were to do this, then work out what needed to be done to fill any gaps, it is easy to understand why this would result in an excellent overall business performance. Instead, what often happens is that executives wait until there is a crisis before doing any strategic planning. In the late 1990s and at the dawn of the new century, countless dotcom businesses jumped on the Internet bandwagon with no properly thought-out strategies, and their demise was inevitable. The lesson had still not been learned during the first decade of the twenty-first century, when a record number of businesses went bankrupt.

One final point to make about gap analysis based on the Ansoff Matrix is that, when completed, the details of exactly how to achieve the objectives still need to be worked out. This is the purpose of the strategic marketing plan. So, gap analysis represents a very useful starting point in mapping out the general route, which is why we suggest you start here, rather than going to all the trouble of preparing a strategic marketing plan only to have to change it later.

The point is, however, that gap analysis using the Ansoff Matrix is not a marketing plan.

NEW PRODUCT DEVELOPMENT/MARKET EXTENSION/DIVERSIFICATION

As stated earlier in this chapter, sooner or later all organizations will need to move along one or both axes of the Ansoff Matrix. How to do this should be comparatively simple if the marketing audit has been completed thoroughly.

It is not the purpose here to explore in detail subsets of marketing, such as market research, market selection, new product development, and diversification. What is important, however, in a book on marketing planning is to communicate an understanding of the framework in which these activities should take place.

What we are aiming to do is to maximize synergy, which could be described as the $2 + 2 = 5$ effect. The starting point is the marketing audit, leading to the SWOT analyses. This is so that development of any kind will be firmly based on a company's basic strengths and weaknesses. External factors are the opportunities and threats facing the company.

Once this important analytical stage is successfully completed, the more technical process of opportunity identification, screening, business analysis and, finally, activities such as product development, testing and entry planning can take place, depending on which option is selected (Figure 6.15 illustrates the process).

The important point to remember is that no matter how thoroughly these subsequent activities are carried out, unless the objectives of product development/market extension are based firmly on an analysis of the company's capabilities, they are unlikely to be successful in the long term.

The criteria selected will generally be consistent with the criteria used for positioning products or businesses in the directional policy matrix described in Chapter 5. The list shown in Table 5.2 in Chapter 5 (which is also totally consistent with the marketing audit checklist), however, can be used to select those criteria that are most important. A rating and weighting system can then be applied to opportunities identified to assess their suitability or otherwise.

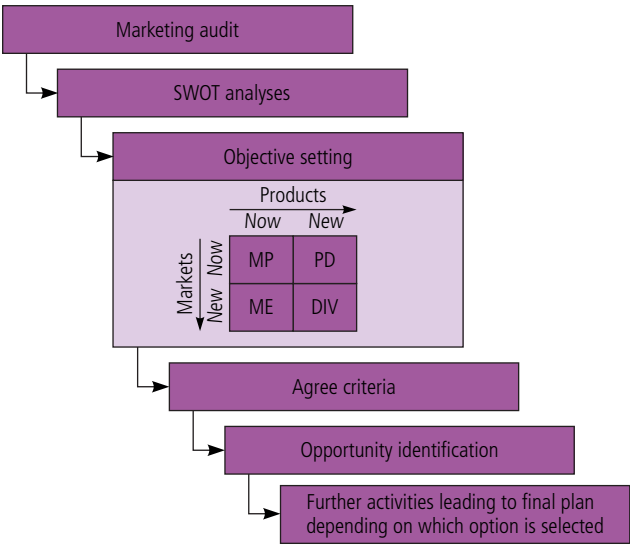


Figure 6.15: New product development in the context of the marketing planning process.

Those criteria selected and the weighting system used will, of course, be consistent with the SWOT analyses.

Having said that it is not the purpose of this book to explore in detail any of the subsets of marketing such as market research, it would nonetheless be quite useful briefly to outline the process of new product development and its relationship to the gap analysis described above.

After a marketing audit and gap analysis have clarified the place of new product development in a broad company context, the organization must examine the micro considerations. These involve the range of factors that must be taken into account when a product is assessed in terms of its fit within the product portfolio and its contribution towards objectives.

Figure 6.16 depicts the relationship of the new product development process with the marketing audit and SWOT analyses. New product development can usefully be seen as a process consisting of the following seven steps:

1. *Idea generation* – the search for product ideas to meet company objectives.
2. *Screening* – a quick analysis of the ideas to establish those which are relevant.
3. *Concept testing* – checking with the market that the new product ideas are acceptable.
4. *Business analysis* – the idea is examined in detail in terms of its commercial fit in the business.
5. *Product development* – making the idea ‘tangible’.
6. *Testing* – market tests necessary to verify early business assessments.
7. *Commercialization* – full-scale product launch, committing the company’s reputation and resources.

MARKETING STRATEGIES

What a company wants to accomplish, in terms of such things as market share and volume, is a marketing objective. How the company intends to go about achieving its objectives is strategy. Strategy is the overall route to the achievement of specific objectives and should describe the

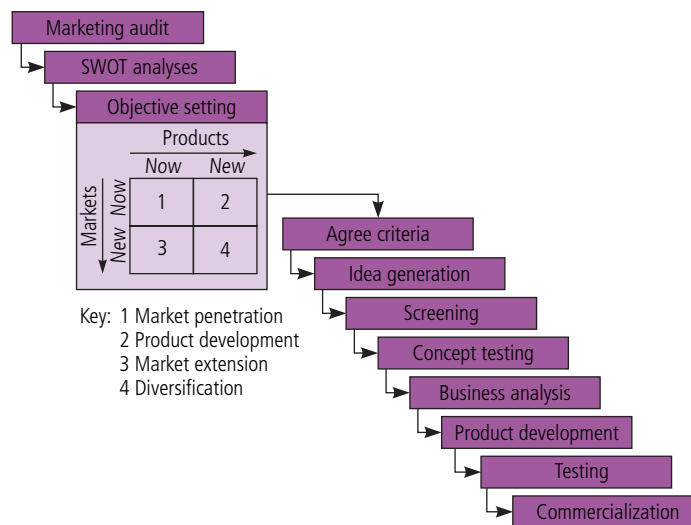


Figure 6.16: The new product development process.

means by which objectives are to be reached, the time programme and the allocation of resources. It does not delineate the individual courses the resulting activity will follow.

There is a clear distinction between strategy and detailed implementation or tactics.

Strategy is the route to achievement of specific objectives and describes how objectives will be reached.

Marketing strategies are the means by which a company achieves its marketing objectives and are usually concerned with the 4Ps.

Marketing strategy reflects the company's best opinion as to how it can most profitably apply its skills and resources to the marketplace. It is inevitably broad in scope.

The plan which stems from it will spell out action and timings and will contain the detailed contribution expected from each department.

There is a similarity between strategy in business and strategic military development. One looks at the enemy, the terrain, the resources under command, and then decides whether to attack the whole front, an area of enemy weakness, to feint in one direction while attacking in another, or to attempt an encirclement of the enemy's position. The policy and mix, the general direction in which to go and the criteria for judging success, all come under the heading of strategy. The action steps are tactics.

Similarly, in marketing, the same commitment, mix and type of resources as well as guidelines and criteria that must be met, all come under the heading of strategy.

For example, the decision to use distributors in all but the three largest market areas, in which company salespeople will be used, is a strategic decision. The selection of particular distributors is a tactical decision.

The following headings indicate the general content of strategy statements in the area of marketing which emerge from marketing literature:

1. Policies and procedures relating to the products to be offered, such as number, quality, design, branding, packaging, positioning and labelling, etc.
2. Pricing levels to be adopted, margins and discount policies.
3. Advertising, sales promotion, direct mail, call centres and the Internet. The mix of these, the creative approach, the type of media, the type of displays, the amount to spend, etc.
4. What emphasis is to be placed on personal selling, the sales approach, sales training, etc.
5. The distributive channels to be used and the relative importance of each.
6. Service levels, etc., in relation to different segments.

Thus, marketing strategies are the means by which marketing objectives will be achieved and are generally concerned with the four major elements of the marketing mix.

These are:

Product. The general policies for product branding, positioning, deletions, modifications, additions, design, packaging, etc.

Price. The general pricing policies to be followed for product groups in market segments.

Place. The general policies for channels and customer service levels.

Promotion. The general policies for communicating with customers under the relevant headings, such as: advertising, sales force, sales promotion, public relations, exhibitions, direct mail, call centres, the Internet, etc.

The following list of marketing strategies (in summary form) covers the majority of options open under the headings of the 4Ps:

1. Product
 - expand the line
 - change performance, quality or features
 - consolidate the line
 - standardize design
 - positioning
 - change the mix
 - branding.
2. Price
 - change price, terms or conditions
 - skimming policies
 - penetration policies.
3. Promotion
 - change advertising or promotion
 - change the mix between direct mail, call centres, the Internet
 - change selling.
4. Place
 - change delivery or distribution
 - change service
 - change channels
 - change the degree of forward or backward integration.

Chapters 7–11 are devoted to a much more detailed consideration of promotion, pricing, service and distribution. These chapters describe what should appear in marketing communications, sales, pricing, multichannel and CRM plans. This detail is intended for those whose principal concern is the preparation of a detailed one-year operational or tactical plan.

The relationship of these chapters to the strategic plan is in the provision of information to enable the planner to delineate broad strategies under the headings outlined above. There is no chapter specifically on product management because all the product options have been covered already, particularly in Chapter 5 in the discussion on the product audit.

There are further steps in the marketing planning process before detailed programmes are put together. These are estimating in broad terms the cost of the strategies, and delineating alternative plans. Both of these steps will be covered in more detail in Chapter 11.

In times of recession, marketing should be even more centre stage. What will work is a company-wide focus on market segments and customers with whom we want to work in the long term.

Here are some guidelines for managing in a recession:

1. Remember that customers are attracted by promises, but are retained through satisfaction. This means that, if you can't describe the value required by customers, you certainly will not be able to deliver it. So, make a special point of understanding their needs.
2. Do not try to cover too many markets, segments and customers. Focus on the ones you want to be with in the long term.
3. Reduce your product portfolio, i.e. do you have too many products, services, pack sizes, etc.?
4. Look carefully at your distribution network. Has it grown too big?
5. Improve the productivity of all your promotional spend, but especially that of the sales force.
6. Get your costs down in unproductive areas of the business. This includes costs associated with serving unprofitable markets and customers.
7. Work out your banker (key) customers. Take them away from the sales force and give one to each of your best managers.
8. Don't let the sales force do big deals – within days everyone will have maximum discounts.
9. Selectively attack (focus on) competitors' key customers that are attractive to you. Don't worry if you lose some of your own unprofitable customers.
10. Keep the heart of the business – key products, key markets and key customers.

Above all, follow model 2 rather than model 1 in Figure 6.17.

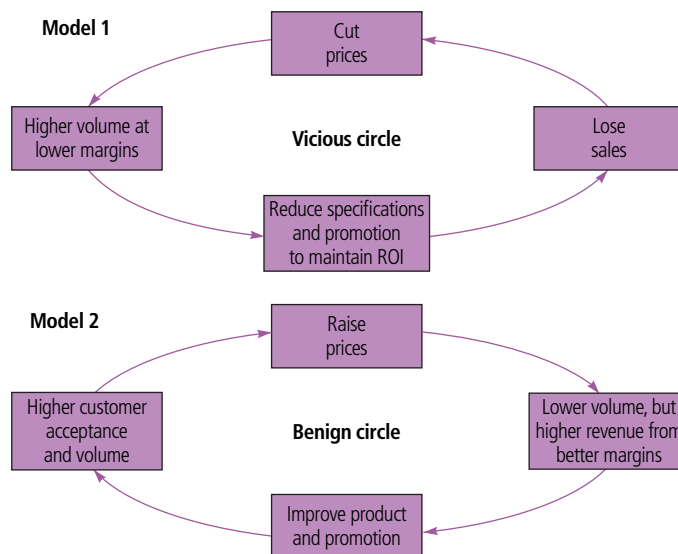


Figure 6.17: Alternative pricing models.

MARKETING OBJECTIVES, STRATEGIES AND PROFITABILITY

Finally, guidelines follow on the profitability aspects of setting marketing objectives and strategies.

It is strongly advised, however, that you consult your accountant when considering this section, as the methodology described is quite complex and the implications are very profound for the total organization. This methodology is expanded on and explained in more detail in Chapter 13.

Valuing Key Market Segments

Background/facts

- Risk and required return are positively correlated, i.e. as risk increases, investors expect a higher return.
- Risk is measured by the volatility in expected returns, i.e. the likelihood of making a very good return or losing money. This can be described as the quality of returns.
- All assets are defined as having future value to the organization. Hence assets to be valued include not only tangible assets like plant and machinery, but intangible assets, such as key market segments.
- The present value of future cash flows is one of the most acceptable methods to value assets including key market segments.
- The present value is increased by:
 - increasing the future cash flows
 - making the future cash flows ‘happen’ earlier
 - reducing the risk in these cash flows, i.e. improving the certainty of these cash flows (hence the required return).

DIGITAL MARKETING INSIGHT: INCREASING PROFITABILITY THROUGH SETTING DIGITAL CONTRIBUTION OBJECTIVES

Specific digital contribution objectives are useful since the proportion of online sales is significant in many markets such as retail, travel, financial services and transactional B2B. Since the advent of online sales we have witnessed a growth in online sales (and leads) as customers have changed their behaviour to researching and buying online.

So, it is helpful for businesses to understand their success in supporting this behaviour change, particularly since lack of physical resources mean that digital channels are more profitable. Digital contribution objectives simply state the volume and proportion of leads and sales generated online. Examples include:

- Proportion of sales online (%)
- Proportion of profit online (%)
- Proportion of leads online (%)

Digital contributions can also be set as objectives and tracked for specific channels that a brand may offer customers, for example, mobile web versus desktop website and mobile apps, if relevant. Retailers may also set objectives and report on different buying options,

e.g. online sales (e-commerce) and click and collect sales (fulfilled in store, but influenced by online customer journeys).

UK retail group Sainsbury's – that also includes Argos, which was formerly a catalogue retailer – shares these KPIs in its annual reports. For example, Sainsbury's recently recorded that 39 per cent of their business came through digital channels, up from 23 per cent in 2019/20. The group also reports on Click and Collect vs Online Sales for both of the Argos and Sainsbury brands.

Suggested Approach

- Identify your key market segments. It is helpful if they can be classified on a vertical axis (a kind of thermometer) according to their attractiveness to your company. 'Attractiveness' usually means the potential of each for growth in your profits over a period of between three and five years and according to your relative competitive strengths in each. This will produce a directional policy matrix (DPM) as detailed in Chapter 5 (see Figure 6.18).
- Based on your current experience and planning horizon that you are confident with, make a projection of future net free cash in-flows from your segments. It is normal to select a period such as three or five years. These calculations will consist of three parts:
 - revenue forecasts for each year
 - cost forecasts for each year
 - net free cash flow for each segment for each year.
- Identify the key factors that are likely to either increase or decrease these future cash flows. These factors are likely to be assessed according to the following factors:
 - the riskiness of the product/market segment relative to its position on the Ansoff Matrix
 - the riskiness of the marketing strategies to achieve the revenue and market share
 - the riskiness of the forecast profitability (e.g. the cost forecast accuracy).

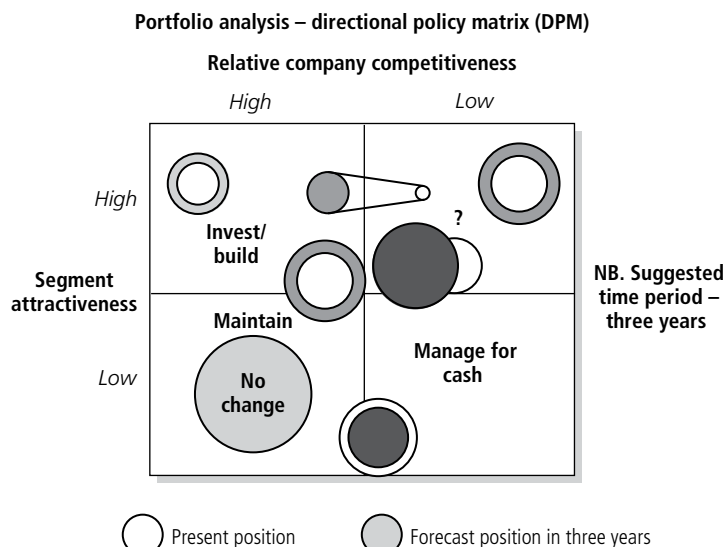


Figure 6.18: Valuing key market segments.

- Now recalculate the revenues, costs and net free cash flows for each year, having adjusted the figures using the risks (probabilities) from the above.
- Ask your accountant to provide you with the overall SBU cost of capital and capital used in the SBU.
- This will not consist only of tangible assets. Thus, £1,000,000 capital at a required shareholder rate of return of 10 per cent would give £100,000 as the minimum return necessary.
- Deduct the proportional cost of capital from the free cash flow for each segment for each year.
- An aggregate positive net present value indicates that you are creating shareholder value – i.e. achieving overall returns greater than the weighted average cost of capital, having taken into account the risk associated with future cash flows.

For a full explanation of the above methodology, see McDonald et al. (2014).⁶

Formulating marketing objectives and strategies is one of the most critical and difficult parts of the entire marketing process.

CONCLUSION

Formulating marketing objectives and strategies is one of the most critical and difficult parts of the entire marketing process. It sets the limit of success. Communicated to all management levels, it indicates what strengths are to be developed, what weaknesses are to be remedied, and in what manner.

Marketing strategies enable operating decisions to bring the company into the right relationship with the emerging pattern of market opportunities which previous analysis has shown to offer the highest prospect of success.

Before proceeding to describe the next stage of marketing planning, that is, the construction of actual working plans, it should be stressed that the vital phase of setting objectives and strategies is a highly complex process which, if done badly, will probably result in considerable misdirection of resources.

This chapter has confirmed the need for setting clear, definitive objectives for all aspects of marketing, and that marketing objectives themselves have to derive logically from corporate objectives. The advantages of this practice are that it allows all concerned with marketing activities to concentrate their particular contribution on achieving the overall marketing objectives, as well as facilitating meaningful and constructive evaluation of all marketing activity.

For the practical purpose of marketing planning, it will be apparent from the observations above concerning what was referred to as a hierarchy of objectives that overall marketing objectives have to be broken down into sub-objectives which, taken all together, will achieve the overall objectives. By breaking down the overall objectives, the problem of strategy development becomes more manageable, hence easier.

MARKETING INSIGHT

A two-year study of 35 top industrial companies by McKinsey revealed that leader companies agreed that product/market strategy is the key to the task of keeping shareholders' equity rising. Clearly, then, setting objectives and strategies in relation to products and markets is a most important step in the marketing planning process.

Once agreement has been reached on the broad marketing objectives and strategies, those responsible for programmes can now proceed to the detailed planning stage, developing the appropriate overall strategy statements into sub-objectives.

Plans constitute the vehicle for getting to the destination along the chosen route, or the detailed execution of the strategy. The term 'plan' is often used synonymously in marketing literature with the terms 'programme' and 'schedule'. A plan containing detailed lists of tasks to be completed, together with responsibilities, timing and cost, is sometimes referred to as an appropriation budget, which is merely a detailing of the actions to be carried out and of the expected financial results in carrying them out. More about this in Chapters 7–11.

Those readers who believe they already know enough about promotion, place and pricing, and who are principally concerned with the preparation of a strategic marketing plan, can go straight to Chapter 12. Please be careful, however, as the very latest research into global best practice (spelled out in Chapters 7–11) indicates that the implications of marketing strategies will have a direct influence on the objectives from which they derive.

APPLICATION QUESTIONS

1. Critically analyse your company's corporate objectives.
2. Critically analyse your company's corporate strategies.
3. Critically analyse your company's marketing objectives.
4. Critically analyse your company's marketing strategies.
5. Has there been any product/market extension during the past ten years which has not been compatible with your company's distinctive competence? If so, state why.
6. Draw up criteria for product/market extension that are compatible with your company's distinctive competences.

CHAPTER 6 REVIEW

Corporate objective

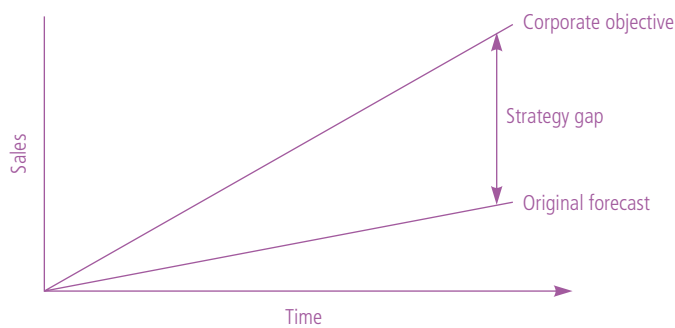
The primary corporate objective is usually the desired level of profit the organization seeks to achieve. There may be other financial objectives. There will also usually be social and environmental sustainability objectives (e.g. workforce diversity, carbon targets, etc.).

The corporate strategy for doing this covers:

1. Which products and which markets (marketing).
2. What facilities are required (e.g. operations, distribution).
3. The number and character of employees (personnel).
4. What funding is required and how (finance).
5. Social responsibility, corporate image, etc. (other corporate strategies).

Gap analysis

Gap analysis explores the shortfall between the corporate objective and what can be achieved by various strategies.



The *operations gap* can be filled by reducing costs, improving the sales mix, increasing market share.

The *strategy gap* can be filled by finding new user groups, entering new segments, geographical expansion, new product development, diversification.

Try Exercise 6.1

Competitor analysis

Try Exercise 6.2

Assumptions

Try Exercise 6.3

Marketing objectives

These are concerned with what is sold (products) and to whom it is sold (markets). There are four possible combinations of products and markets (Ansoff Matrix).

		Products	
		Existing	New
Markets	Existing	A	B
	New	C	D

An objective contains three elements:

1. The attribute chosen for measurement, e.g. sales, market share.
2. The particular value selected, e.g. 25 per cent market share.
3. For a given operating period, e.g. by the end of year three.

The matrix suggests four main categories of objectives:

- A = market penetration
- B = product development
- C = market extension
- D = diversification

Try Exercise 6.4

Marketing strategies

There are four broad strategies:

1. To invest and grow.
2. To extract earnings selectively.
3. To harvest.
4. To divest.

There are also more specific marketing strategies concerning the 4Ps:

1. Product
 - expand range
 - improve quality or features
 - consolidate range
 - standardize design
 - reposition product
 - change the mix
 - branding.
2. Price
 - change price
 - change terms and conditions
 - penetration policy
 - skimming policy.
3. Promotion
 - change advertising
 - change promotion
 - change the mix between call centres, direct mail and the Internet
 - change selling
 - change overall communication mix.
4. Place
 - change channels
 - change delivery or distribution
 - change service levels
 - forward or backward integration.

Try Exercise 6.5**Questions raised for the company**

1. Q: Who should set the marketing objectives and strategies?
A: Usually they would be formulated by the marketing director, but they must be agreed at the highest level in the company so that there is genuine commitment to them.
2. Q: Is diversification really a viable objective, bearing in mind the risk in moving into the unknown?
A: It depends how strong the factual evidence is for this step. Clearly it is not a decision to be taken lightly.
3. Q: How secret should marketing objectives and strategies be? Should staff at lower levels know what they are?
A: Staff are much more committed to a company that 'knows where it is going'. Ideally subordinates should be given the necessary information to understand their job context.
4. Q: What happens if we get our marketing objectives and strategies wrong?
A: If the process used for arriving at them was based on facts, the chances are they will not be wrong. Clearly, it will be essential to monitor progress and take corrective action when required.

EXERCISES

In these exercises, the most critical part of the marketing planning process will be tackled.

Exercise 6.1 is concerned with carrying out a gap analysis.

Exercise 6.2 is concerned with competitor analysis, which clearly is an important part of a marketing audit.

Exercise 6.3 looks at the assumptions that are made before setting marketing objectives. Clearly, such assumptions should be kept to a minimum, but it is useful to be under no misapprehension regarding what they are, and, just as importantly, the risks attached to making such assumptions.

Exercise 6.4 gets to the heart of the matter and is concerned with setting marketing objectives, while Exercise 6.5 addresses the issue of selecting the most appropriate marketing strategies to match the chosen objectives.

Exercise 6.1 Gap analysis

Revenue

You are asked to complete this two-part exercise. The first part is concerned with revenue, the second with profit.

Objective

Start by plotting the sales position you wish to achieve at the end of the planning period, point E (Figure 6.19). Next plot the forecast position, point A.

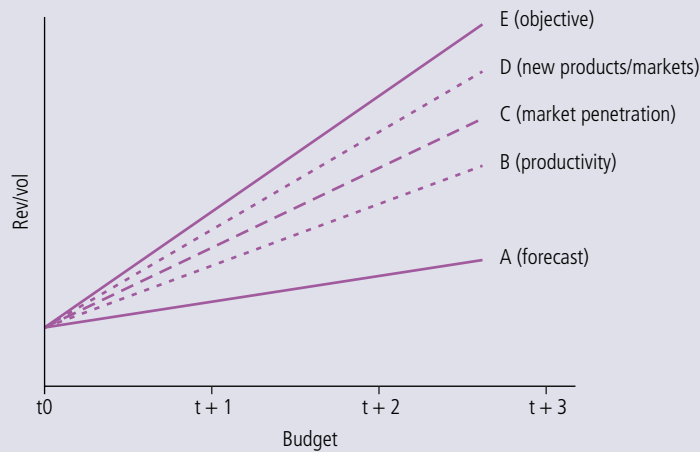


Figure 6.19: Gap analysis.

Productivity (NB: not all factors are mutually exclusive)	Revenue
Better product mix (1)	
Better customer mix (2)	
More sales calls (3)	
Better sales calls (4)	
Increase price	
Reduce discounts	
Charge for deliveries	
Total	

Table 6.2: Productivity factors (1).

Productivity

Are there any actions you can take to close the gaps under the headings in Table 6.2, point B? (These represent cash and margin focus.)

Ansoff product/market (market penetration)

List principal products on the horizontal axis (in Figure 6.20) and principal markets on the vertical axis. In each smaller square write in current sales and achievable sales during the planning period.

Next, plot the market penetration position, point C (Figure 6.21). This point will be the addition of all the values in the right-hand half of the small boxes in the Ansoff Matrix. Please note, revenue from (1), (2), (3) and (4) from the productivity box should be deducted from the market penetration total before plotting point C.

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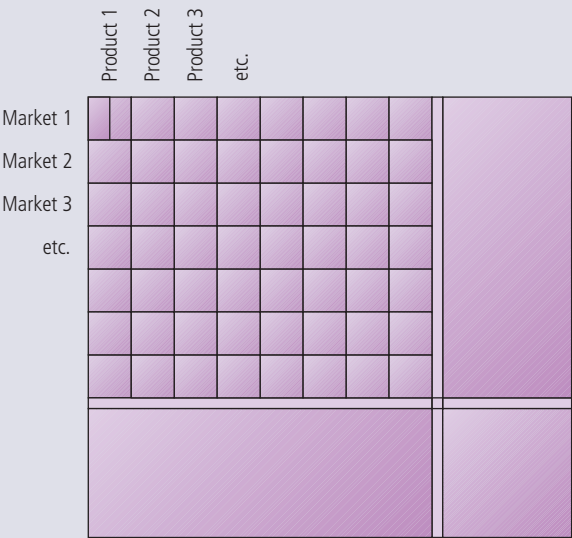


Figure 6.20: Ansoff Matrix.

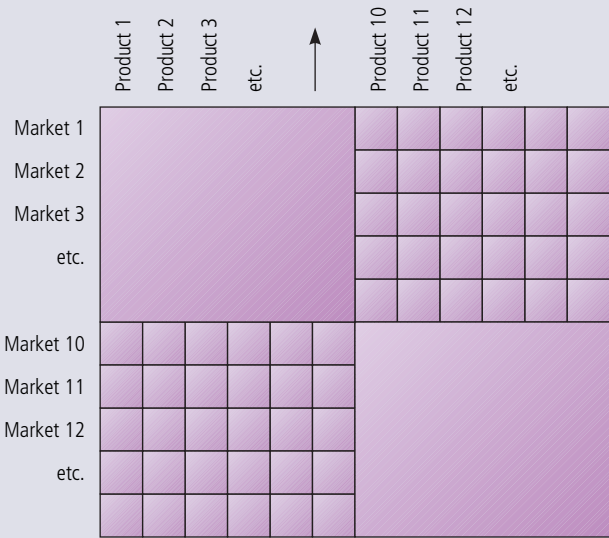


Figure 6.21: Ansoff Matrix.

Ansoff product/market matrix (new products/new markets)

Next, list the value of any new products you might develop which you might sell to existing markets (Figure 6.21). Alternatively, or as well, if necessary, list the value of any existing products that you might sell to new markets. Plot the total value of these on Figure 6.19, point D.

Diversification

List the value of any new products you might develop for new markets until point E is reached. (Steps 3, 4 and 5 represent a sales growth focus.)

Capital utilization

If none of this gives the required return on investment consider changing the asset base. This could be:

- A. Acquisition
- B. Joint venture.

Profit**Objective**

Start by plotting the profit position you wish to achieve at the end of the planning period, point E (Figure 6.22).

Next plot the forecast profit position, point A.

Productivity

Are there any actions you can take to close the gap under the headings in Table 6.3? Plot the total profit value of these in Figure 6.22, point B. (These represent cash and margin focus.)

Ansoff product/market (market penetration)

List principal products on the horizontal axis in Figure 6.22 and principal markets on the vertical axis. In each smaller square write in current profit and achievable profit value during the planning period.

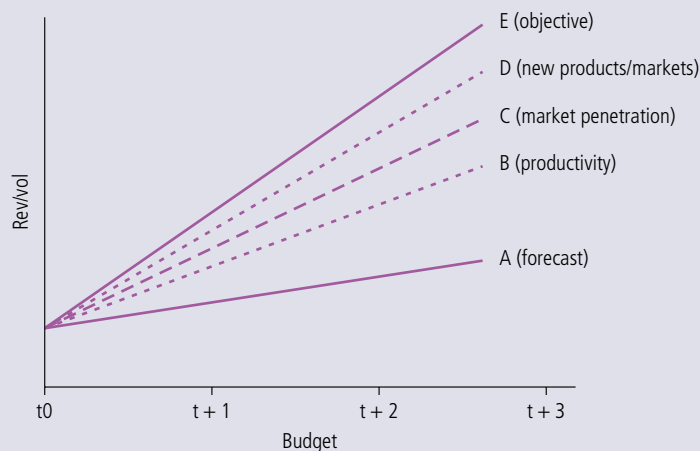


Figure 6.22: Gap analysis.

(Continued)

Productivity (NB: not all factors are mutually exclusive)	Profit
Better product mix	
Better customer mix	
More sales calls	
Better sales calls	
Increase price	
Reduce discounts	
Charge for deliveries	
Reduce debtor days	
Cost reduction	
Others (specify)	
Total	

Table 6.3: Productivity factors (2).

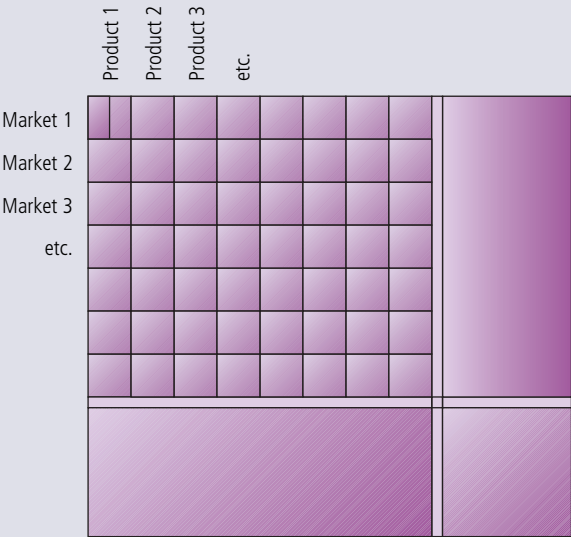


Figure 6.23: Ansoff Matrix.

Next plot the market penetration position, point C, Figure 6.21. This point will be the addition of all the values in the right-hand half of the small boxes in the Ansoff Matrix (Figure 6.23).

Ansoff product/market matrix (new products/new markets)

Next, list the value of any new products you might develop which you might sell to existing markets (Figure 6.24). Alternatively, or as well, if necessary, list the value of any existing products that you might sell to new markets. Plot the total profit value of these on Figure 6.21, point D.

Diversification

List the profit value of any new products you might develop for new markets until point E is reached. (Steps 3, 4 and 5 represent a sales growth focus.)

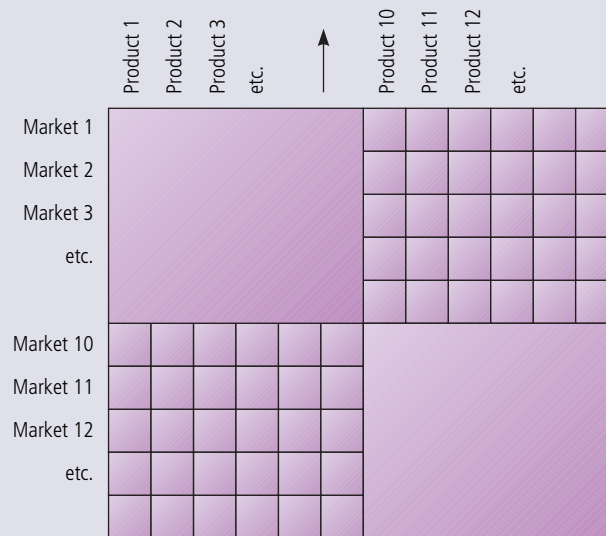


Figure 6.24: Ansoff Matrix.

Capital utilization

If none of this gives the required return on investment, consider changing the asset base. This could be:

- A. Acquisition
- B. Joint venture.

Exercise 6.2 Competitor analysis

Exercise 6.2 is concerned with summarizing the information gathered about your opportunities and threats in your marketing audit in a more usable format, in the SWOT analysis.

Complete the competitor analysis table (Table 6.4) in order to help you to rate yourself more accurately against your competitors.

Guidelines for completing Table 6.4 are given below.

Main competitor	Products/markets	Business direction and current objectives and strategies	Strengths	Weaknesses	Competitive position

Table 6.4: Competitor analysis.

(Continued)

Guide to competitive position classifications

Leadership	Has major influence on performance or behaviour of others.
Strong	Has a wide choice of strategies. Able to adopt independent strategy without endangering short-term position. Has low vulnerability to competitors' actions.
Favourable	Exploits specific competitive strength, often in a product/market niche. Has more than average opportunity to improve position; several strategies available.
Tenable	Performance justifies continuation in business.
Weak	Currently unsatisfactory performance; significant competitive weakness. Inherently a short-term condition; must improve or withdraw.

The following list includes five business directions that are appropriate for almost any business. Select those that best summarize the competitor's strategy.

Business directions

1. Enter – allocate resources to a new business area. Consideration should include building from prevailing company or unit strengths, exploiting related opportunities and defending against perceived threats. It may mean creating a new industry.
2. Improve – to apply strategies that will significantly improve the competitive position of the business. Often requires thoughtful product/market segmentation.
3. Maintain – to maintain one's competitive position. Aggressive strategies may be required, although a defensive posture may also be assumed. Product/market position is maintained, often in a niche.
4. Harvest – to relinquish intentionally a competitive position, emphasizing short-term profit and cash flow but not necessarily at the risk of losing the business in the short term. Often entails consolidating or reducing various aspects of the business to create higher performance for that which remains.
5. Exit – to divest oneself of a business because of its weak competitive position or because the cost of staying in it is prohibitive, and the risk associated with improving its position is too high.

Exercise 6.3 Assumptions

What are the risks attached to making assumptions? Suppose we get it wrong?

To give some measure of risk assessment, a technique has been developed that looks at the assumption from the negative point of view. It leads one to ask 'What can go wrong with each assumption that would change the outcome?' For example, suppose the product was an oil derivative and was thus extremely sensitive to the price of oil. For planning purposes an assumption about the price of oil would have to be made. Using this 'Downside risk' technique we would assess to what level the price could rise before increased material

costs would make our products too expensive and cause our marketing plans to be completely revised.

Now complete the 'Downside risk assessment form' (Table 6.5) to evaluate some of the key assumptions you used in setting your marketing objectives.

Exercise 6.4 Setting marketing objectives

Marketing objectives are solely concerned with which products go to which markets, and marketing strategies are concerned with how that is done. Therefore, because marketing objectives are only concerned about products and markets, an extremely useful planning aid is provided by the Ansoff Matrix, depicted in Figure 6.25.

Key assumption	Basis of assumption	Confidence in assumption (high/med/low)	What would have to happen to make outcome unattractive?	What is the risk of this happening? (high/med/low)	What would be impact if event occurs?	How far could things be allowed to deviate from plan before action is taken?	What contingency action is planned?

Table 6.5: Downside risk assessment.

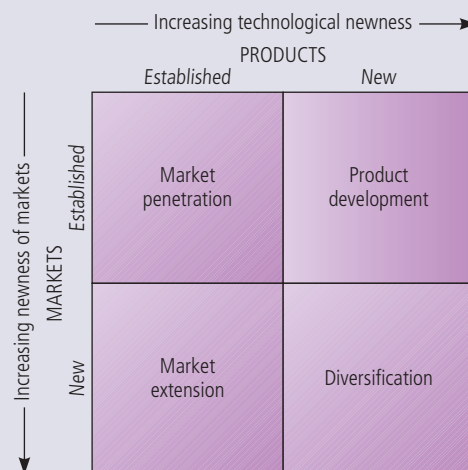


Figure 6.25: The Ansoff Matrix.

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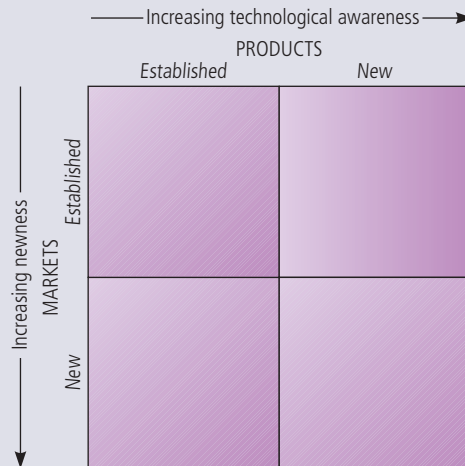


Figure 6.26: Blank Ansoff Matrix.

This matrix suggests there are four types of marketing objective:

1. Selling established products into established markets (market penetration).
2. Selling established products into new markets (market extension).
3. Selling new products into established markets (product development).
4. Selling new products into new markets (diversification).

Task 1

Using the blank Ansoff Matrix (Figure 6.26), or perhaps using a larger sheet of paper, draw the matrix for your company's products and markets.

Please note that when you consider whether or not a market is new or established, the question you must ask yourself is 'How long does it take to get one's distinctive competence known in this market?' If you have been dealing with the market for anything less than your answer to this question, then that is a new market.

Similarly, new products are those probably at the early stages of their lifecycles, where the company is still 'learning' how to make them, that is, it hasn't solved all the operational, scheduling, quality, design and technical problems in the same way as it has for the established products.

Task 2

Combining the information on the Ansoff Matrix with that of your SWOT analyses, pick out those areas of business that offer the best prospects for your company. For each one, summarize your marketing objective for your longer-term planning horizon, that is, 2, 3, 4 or 5 years. This must be quite explicit in terms of:

1. The product/service.
2. The customer/market segment.

3. The volume of sales.
4. The market share.

Now repeat the exercise, stating the specific objectives for the first year of your planning horizon.

The marketing objectives should be consistent with the information from the product lifecycle analysis and portfolio matrix, completed in Chapter 5. Further guidance is provided in the notes which follow.

Guidelines for setting marketing objectives

Contained within your SWOT analyses will be key information gleaned from your marketing audit. You will know the reasons why customers want your products or services. You will know your best market segments. You will know the 'life' of your products or services and, probably most important of all, the portfolio matrix will have shown you how the various items of your range relate to each other in terms of raising funds.

Creative and intelligent interpretation of the portfolio matrix is the secret behind setting the right marketing objectives for your company. For this to happen, it is important to distinguish the essentially different characteristics of products or services falling into the four quadrants of the matrix. Let us take these in turn:

Invest

Products or services in this quadrant are by implication aimed at those markets most attractive to your company. These will almost certainly be the markets with the higher growth rates.

Marketing objectives for such products should be calculated to match or exceed the market-growth rate and thereby hold or extend the company's market share. Since these markets are likely to be attractive to others, the company will have to be aggressive to achieve its objectives.

This marketing posture has to be supported by tight budgeting and control processes to ensure that all resources are used effectively. Concern for present earnings should be subordinate to the main thrust of keeping or extending market share.

The increase in sales looked for in these products or services is likely to come from:

1. Possible geographic expansion.
2. Possible product line expansion.
3. Possible product line differentiation.

These may be achieved by internal development, acquisition or joint ventures.

Sustain

In these less attractive markets it doesn't make sense to go for aggressive growth as with the invest quadrant – it would prove to be too costly and counterproductive. Instead, the

(Continued)

objectives should be aimed at maintaining a profitable position with greater emphasis on present earnings.

The most successful products/services should be maintained, while less successful ones should be pruned. Marketing effort should be aimed at maintaining the market share of key market segments with minimum expenditure. Prices should be stabilized except when a temporary aggressive stance is required to maintain market share.

Sustain products must be managed to be the major source of funding for the company.

Selective

For products/services in this quadrant there are two broad choices:

1. Invest in the products for future earnings, i.e. groom them to be tomorrow's invest products and subsequent sustain products; or
2. Manage them for present earnings.

In practice it is only feasible to 'groom' a limited number of question marks and so these have to be carefully chosen for their genuine potential. Investment across the range would be prohibitive.

Cash

In effect there are two kinds of product/service in this quadrant:

1. Genuine cash products (to the right of the quadrant).
2. Select products (to the left of the quadrant, adjacent to the sustain quadrant).

The marketing objectives for genuine cash products should be to divest where appropriate or to manage for present earnings. Marketing expenditure should be minimized, product lines pruned and prices stabilized or raised where possible, even at the expense of sales volume.

The marketing objectives for select products should acknowledge the low growth/attractiveness of these products and services, but still seek to identify and exploit growth segments, not by flying in the face of reason and trying to restore the product to its previous higher growth rate by costly advertising and promotion, but by emphasizing product quality and looking for improvements in productivity. Judicious marketing expenditure might be reasonable in special circumstances, but the emphasis should be on maximizing present earnings.

Exercise 6.5 Marketing strategies

Now that the marketing objectives have determined what the company must achieve, you have to decide how that might be done by your marketing strategies. Whereas there are only four types of marketing objective, there are a whole range of possible marketing strategies

which can be used either singly or in combination with others. A choice of possible marketing strategies is shown in the list below.

Using this list, identify the broad marketing strategies most supportive to each of the marketing objectives you set for the company. Having done this, you will probably find it helpful to refer back to Figure 6.5. The left-hand column of this figure lists the marketing variables that need to be considered, such as pricing, distribution, and so on. The other columns represent the key positions on the portfolio matrix and are headed accordingly. Thus, it becomes a fairly straightforward procedure to identify the best marketing strategies for your chosen objectives.

Chapters 7–10 will provide you with additional information about advertising, sales promotion, selling, pricing and distribution. Only finalize your marketing strategies after completing these later sections of this book.

Possible marketing strategies

1. Change product performance.
2. Change quality or features of product.
3. Change advertising.
4. Change promotion.
5. Change pricing.
6. Change delivery arrangements.
7. Change distribution channels.
8. Change service levels.
9. Improve operational efficiency.
10. Improve marketing efficiency.
11. Improve administrative procedures.
12. Change the degree of forward integration.
13. Change the degree of backward integration.
14. Rationalize product range.
15. Withdraw from selected markets.
16. Standardize design.
17. Specialize in certain products/markets.
18. Change sourcing.
19. Buy into new markets.
20. Acquire new/different facilities.
- 21.
- 22.
- 23.
- 24.

Add any other strategies that occur to you in the spaces provided.

(Continued)

Exercise 6.6 Simulation practice

In your game:

- a) Undertake a Gap Analysis to estimate the gap between your market objectives and your forecasts. Consider both your sales and profits when doing this (you can also consider market share and ROS margins as well). You can use the Marketing Plan in the game to help you if you wish. Review your Value Proposition in each of the segments and also set your objectives for those (there is a blank Value Proposition spreadsheet in the Tools area if needed). If you wish to save time, focus on the key segments. Finally, if enabled in your game, you can also use the Cash Flow Forecast if you would like to do an advanced gap analysis on the net present value calculations.
- b) Use the Marketing Strategies (Ansoff) page of your Marketing Plan to think about the strategies required to close the gaps. [Tip: If you have not done so already, do Exercise 5.4 to help you use the Ansoff Matrix properly. The strategies arising from the Ansoff Matrix should be consistent with the strategies arising from the DPM.] Ensure that the strategies have explicit timed objectives both in the Ansoff model and in the following pages of your Marketing Plan: Marketing Sales Objectives, Marketing Profit Objectives and Product Group Analysis. Make sure you update the Strategy Summary boxes on the Strategies (Ansoff) page afterwards.
- c) Undertake a thorough competitor analysis of all your competitors. You can use the Competitor Profile page of your Marketing Plan to help you. Insert additional information into the profile page and add extra columns to provide additional insights if needed.
- d) Think carefully about the assumptions that you have about your team, your company and the market. Write these into the Assumptions page of your Marketing Plan. Undertake a 'Downside risk assessment' to fully appreciate the risks around your assumptions.
- e) Review your Value Proposition in each of the segments (see the first point above) and adjust your value in line with your overall strategy. Try to be both effective and efficient in doing so.
- f) Return to the Digital Marketing Tactics sheet in the Marketing Plan and review whether those need to be updated to remain integrated with the updated marketing strategy.

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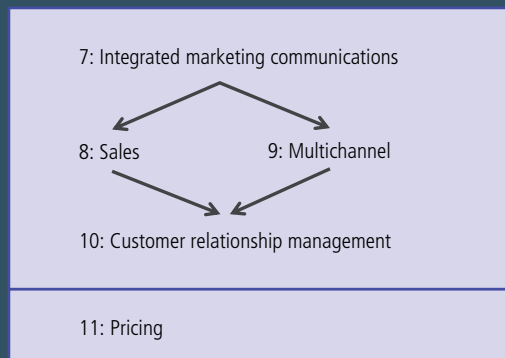
Part Two

The major elements of marketing

INTRODUCTION TO CHAPTERS 7–11

These chapters are intended for those readers who need to know how to set more detailed objectives and strategies for the elements of the marketing mix. These details are more concerned with one-year operational plans and readers who wish to stay with the strategic marketing plan can go straight to Chapter 12. We do, however, strongly recommend readers to study them.

The figure below shows the structure of this part of the book. Chapter 7 on Integrated Marketing Communications is followed by two chapters about the next steps in the customer journey. Chapter 8 considers the sales force specifically, with particular attention to key account planning, while Chapter 9 describes how to plan for the multiple channels available today for both sales and service. Chapter 10 covers development of the relationship with current customers. Finally, Chapter 11 provides more detailed consideration of the vital topic of pricing.



Chapter



THE INTEGRATED MARKETING COMMUNICATIONS PLAN

SUMMARY

- Defining communications objectives
- Designing the customer journey
- Choosing the communications mix
- Detailed communications planning
- Digital communications
- Sales promotion
- Public relations
- Sponsorship
- Exercises to turn the theory into practice

INTRODUCTION

Now that we have explored the central area of marketing objectives and strategies, let us turn our attention to the question of how we communicate with customers, both current and potential. See Figure 7.1 for a summary of how the integrated marketing communications plan fits in with the wider marketing plan.

The number of ways of communicating with customers has increased dramatically with the profusion of digital channels, although it is still possible to distinguish the following two main categories of communications:

1. *Impersonal communications*, e.g. offline advertising, point-of-sale displays, sales promotions, public relations and digital ads including display ads, search engine ads and paid social ads.

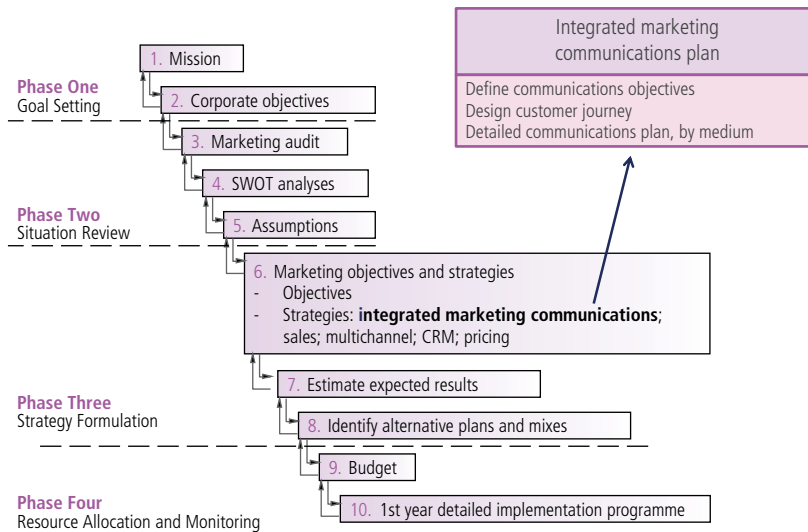


Figure 7.1: Integrated marketing communications in the context of the marketing planning process.

2. *Personal communications*, e.g. sales meetings, personal emails, online chat and company moderated online forums.

Another important distinction is between broadcast media, such as traditional television, radio and press advertising, and interactive media, such as websites, social networks and call centres.

Companies have at their disposal an armoury of communication techniques, which may be used either singly or in a combination (the 'communication mix') as the particular situation demands, to achieve maximum effect within given budget constraints.

Companies with acknowledged professionalism in the area of communicating with customers are continually experimenting with the mix of communication techniques they employ in an attempt to become more cost-effective in this important, sometimes expensive, part of their business.

In this chapter, we will examine a number of the possible means of communicating with customers, and how to go about preparing detailed plans for these important elements of the marketing mix. In Chapter 8, we will do the same for personal selling and the sales plan.

But while companies need expertise in this plethora of techniques, it is all too easy for companies to lose sight of what they are trying to achieve. So the aim of integrated marketing communications is to combine our communications efforts so that customers feel that they have a

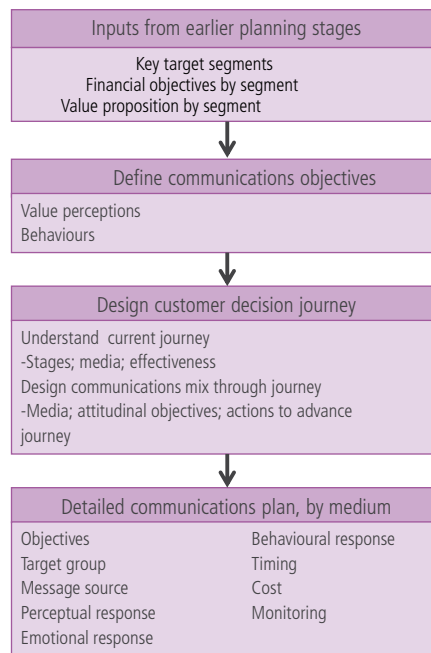


Figure 7.2: Developing the integrated marketing communications plan.

single, consistent conversation with the firm, helping both parties to achieve their objectives. We will therefore begin by examining how this can be achieved. See Figure 7.2 for an overview of the process of developing the integrated marketing communications plan.

DEFINING COMMUNICATIONS OBJECTIVES

Before any decision can be made about whether to spend any money on advertising and promotions at all, let alone how to spend it, we need to be clear on whether communications are the right way to achieve our marketing objectives. It is all too easy for communications specialists and their budgets to become a solution looking for a problem.

A major mobile telecoms company found that the vast sums it was spending on advertising were having very little effect. Continuous experience tracking by an experience research firm, MESH Experience, found that prospective customers were listening instead to negative word of mouth from current customers who were aggrieved at low service levels. The moral was clear: focus on putting service right first.

So, the first question that has to be grappled with is how to determine the communications objectives. Fortunately, the tools we covered in Chapters 4–6 provide an ideal basis for determining these communications objectives. There are three key things we need to know first: who are the key target customer segments; what our financial objectives are for each; and what the value proposition is for each segment. Here is an example.

CASE STUDY

SETTING COMMUNICATIONS OBJECTIVES – A MAJOR TYRE COMPANY

The country director of a major tyre company felt that the company ought to be doing better in the car market, given the high quality of its premium imported product as compared with lower-quality locally manufactured competitors. With the help of one of the authors, they decided to construct a directional policy matrix (which we described in Chapter 5) but soon realized that they had insufficient information about how the market segmented. So they commissioned some market research, which led to the four segments illustrated in Figure 7.3.

The price-sensitive segment was easily discounted. While amounting to about 20 per cent of the market, there was no way that the company’s expensive imported tyres could compete here with the locally manufactured competition. Neither would the managing director want to, as margins in this segment were wafer-thin or non-existent.

The company’s strongest segment was the ‘technical’ buyers, who knew about cars, or at least thought they did. They recognized the superior quality of the company’s product, and when they could afford it, they bought it. But this wasn’t the most attractive segment to the company director. Far from being brand loyal, these customers were as likely to buy from an obscure but good-quality competitor as from the well-known brand, and they were acutely aware of market prices.

The ‘ignorant’ segment was at least less price sensitive. These customers would buy primarily on brand image and on the recommendation of the dealer.

But the most attractive segment was the ‘rational buyers’. In the UK market we would call these ‘Which? readers’, after a consumer magazine. If they didn’t know about tyres, they would quiz the dealer, read promotional materials or ask a friend in the trade, in an

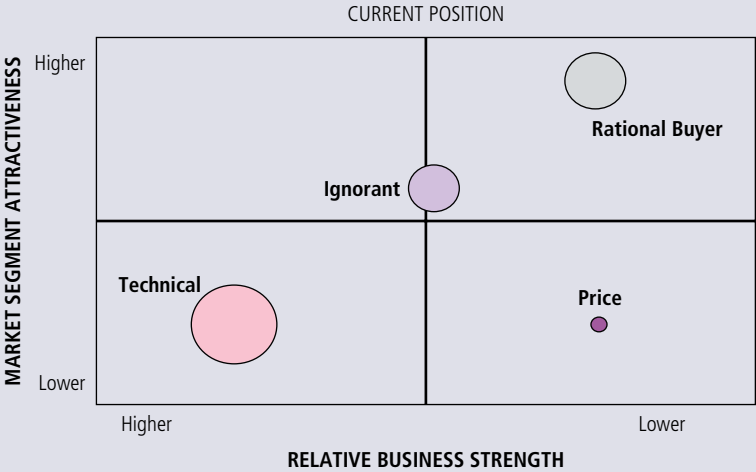


Figure 7.3: A tyre company – directional policy matrix.

Car tyres-for-Cluster4						
Current Critical Success Factor Scores						
accept cancel close			done			
	Factor	Weight	Score	Contribution	Competitor	Contribution
1:	Durability	18	2	0.36	3	0.54
2:	Quality	21	3	0.63	2	0.42
3:	Price	15	2	0.3	4	0.6
4:	Safety	22	3	0.66	4	0.88
5:	Track record	11	5	0.55	6	0.66
6:	Dealer support	13	5	0.65	5	0.65
Strength in Market:				3.2	Competitor:	3.8
Product-for-Market Snapshot						

Figure 7.4: Measuring perceived performance against buying criteria.

attempt to come to a reasonably informed decision. Typically in middle- to high-income brackets, they didn't mind paying a bit extra for a quality product. And yet they were not currently buying the company's product in great numbers.

How could they increase their share with this segment? The critical success factor analysis (see Chapter 5) in Figure 7.4, which compares the company's performance against a leading competitor on the segment's main buying criteria, showed what needed to be done. While the company could do little about the high perceived price, the durability scores showed that customers didn't realize that the product's high quality led to a high durability and, therefore, just as good a price per mile. And neither had they taken in the high safety specification.

These perceptual issues were ideal targets for advertising. The country director cancelled the current, technology-focused advertising campaign, and a few months later launched a new campaign focused at this target segment, and in particular at their perceptions of durability and safety. Due to the market research, the director was able to brief the advertising agency on the target segment: who they were, what television programmes they watched, what they read, what sports they liked, and so on.

The strategy worked: overall car tyre sales duly went up, with a doubling of market share over three years, as the company succeeded in attracting more of the profitable 'rational buyers' without losing its share of the 'technical' segment. This was achieved with no incremental spend whatsoever. And the country director was promoted to strategy director for the parent company.

This example illustrates the point we made in Chapter 6 about how critical success factor analysis can be used as a basis for determining marketing strategies. In this case, the problem was purely a perceptual one, so the solution related solely to communication. More often than not, though, we are pulling multiple levers to increase sales, with marketing strategies that also relate to pricing, product design, distribution, and so on. The objectives of the communication part of this marketing mix are, therefore, more specific than increasing sales. Some common communication objectives are shown in Table 7.1.

Education and information	To . . . Create awareness; inform; get enquiries
Branding and image building	Get company/brand name in consideration set
	Create company image
	Reach personnel inaccessible to salespeople
Affecting attitudes	Ease the selling task
	Get editorial
	Overcome prejudice
	Influence end users
Loyalty and reminding	Reduce selling costs
	Achieve sales

Table 7.1: Some communication objectives.

DESIGNING THE CUSTOMER’S DECISION JOURNEY

Once we know what we are trying to communicate, based on critical success factor analysis, our next task is to decide what communications tools to use. The most common method of choosing communications tools is sheer habit! Another common method has equally little to commend it – blindly copying the competition. While communications agencies have a vested interest in persuading marketing managers that they need to achieve the same ‘share of voice’ as their competitors, hence ratcheting up spend across a sector, this can lead to a collective delusion that spend will necessarily lead to results. The tyre company we discussed in the previous section achieved exceptional results not by spending more, but by spending appropriately to its target segments and their buying criteria.

Fortunately, there are three more sensible ways of choosing the communications mix. What they have in common is a focus on the role of communications in the *customer journey* of *each target segment*.

1. Matching Communications Tool Strengths with the Role of the Communication

A good place to start is to consider which of the following four tasks each communication needs to achieve:

- *Differentiate*. Positioning the company, product or brand so that it is perceived to be different from its competitors.
- *Reinforce*. Reminding or reassuring customers about a brand.
- *Inform*. Making customers aware of a brand’s existence or attributes.
- *Persuade*. Encouraging customers to behave in particular ways.

Communication tools clearly have different strengths with respect to these four tasks, so typically will need to be combined in the customer journey. Advertising is good at informing prospective customers that the product or service exists and about its basic features. It is also good for differentiating, as we saw with the tyre company. TV and online video advertising are good for conveying emotions. Sales promotion can be useful for helping prospective customers who already have a favourable attitude to translate this attitude into purchase, such as by offering a trial or favourable payment terms. Personal selling can also be persuasive in translating positive attitudes into a concrete forward plan, through the consultative problem-solving process

Broadcast		Traditional earned media	
TV	Outdoors	Expert review/commentary	
Radio	Banner	Editorial	
Print	Affiliate sites	News	
Dialogical: firm initiated		Peer-to-peer media	
Email/content	Paid search	Online social media platforms	
Mail	Call centre (outbound)	Online recommendation sites	
Direct response	Seminar/trade show	Company hosted peer-to-peer	
		Viral content (firm or peer created)	
		Offline social events	
		One-to-one WOM (online, offline)	
		Observing other customers	
Dialogical: customer initiated			
Natural search	Website		
Supplier visit	Call centre (inbound)		
Point of sale			
Sales meeting			
Sales promotion			
Retailer/distributor communication			

Figure 7.5: A simplified typology of communications media.

which is difficult to achieve by other means. Direct marketing suits persuasive tasks which do not require such complex discussion, and can also play a role in reinforcing brand messages to existing customers.

Figure 7.5 provides an overall menu of the main communications options, though of course there are many variations and additional media.

DIGITAL MARKETING INSIGHT: REVIEWING THE BRAND VERSUS DIRECT RESPONSE INVESTMENT BALANCE

Research¹ reviewing the goals and results of UK ad campaigns by Binet and Field² discussed the rationale for each type of campaign and recommended that for a consumer brand the ideal ratio between long-term brand response and direct response investment was 60:40. The research focused on consumer brands, but has been more recently³ applied to B2B organizations where the balance between brand-building and direct response is typically more similar.

Binet and Field note that there is a continuum between brand and direct response campaigns and that **brand response campaigns** which seek to combine the two goals are becoming more popular. It has been argued by Dawson (2010)⁴ that a simplistic division of brand versus direct response is limiting. He gives examples of brand response campaigns from companies such as Sainsbury's (the 'Try Something New Today' campaign featuring recipe cards from chef Jamie Oliver) and the O2 launch campaign (encouraging people to adopt tactical propositions such as Pay and Go and Bolt Ons) and explains the value of the technique:

Marketers and their agencies have long been caught in their own 'Tyranny of the OR' as they have wrestled with how to achieve the right balance of brand-building and response-driving tactical activity within campaigns. Terms such as 'theme and scheme' or 'strategic promotions' have been variously used to describe this ongoing challenge.

Brand Response is the marketing communications industry's Genius of the AND. It sounds too good to be true. It asks us to live with two apparently contradictory ideas at the same time. It can be defined simply as a strategic and executional campaign approach where brand building drives response and this response in turn builds the brand in a virtuous circle of effectiveness.

Binet and Field assessed UK consumer brand campaigns and reviewed the variables that affect marketing effectiveness, considering both digital and traditional media. They summarize their findings as:

1. Broad-reach marketing campaigns that target new customers are still the best way to drive market share, which is in turn a key driver of profit. Campaigns act to remind previous purchasers about a brand, so encouraging repeat purchase, but aren't able to change perceptions based on experiencing a brand.
2. The inclusion of digital media in a campaign has increased the potential effectiveness of most forms of marketing, including traditional media.
3. Consumer brands that invest at the right level and in the right way can succeed with mass marketing but should adopt the new options available to improve targeting (such as segmented website landing pages depending on keywords used in search).
4. Balancing long-term brand building and short-term activation is crucial. For consumer brands around 60% investment in brand and 40% activation is still the best combination. Brand-building advertising is most effective at creating awareness and brand favourability, leading to long-term benefits. Sales activation uses media directly to increase purchase intent by couponing. The Drum (2019)⁵ reports on similar research from the same authors covering the B2B sector that a more balanced combination is appropriate.
5. Video advertising, both on and offline, is the most effective brand-building form. TV is still the most effective medium, but online video makes it work even harder when integrated.
6. Paid search and email emerge as the most effective activation channels.

2. Matching Communications to Segment Media Consumption

A great advantage of a good segmentation is in selecting appropriate media. It is important that segmentation projects include a profile of media usage for each segment. This is then invaluable in selecting the communications mix. An example for a house builder is in Table 7.2. By focusing on the media within this list, which were unique to each segment, spend could be tautly focused on target segments with advertisements designed to appeal to each. Unusually for this sector, these advertisements contained pictures not of houses but of 'people like me', as research had shown that a like-minded community of neighbours was a key buying criterion. An advertisement for young single women, for example, had a picture of 'Emily' saying: 'Warm, stylish and well built. If only I could find a man like that!'

Single and young couples	20–34, no kids	Selective TV, cinema, posters, viral ads
Young families	20–34, kids aged 1–4	Radio, parenting magazines and websites
Mature families	35–54, kids aged 5–15	Weekend newspapers, home magazines, Facebook, ITV, posters
Empty nesters	45+, no kids	TV, news sites
Retired	65+, no kids	Day TV, newspapers

Table 7.2: Aligning communications media to target segments: a housebuilder.

3. Combining Communications Tools in the Customer Journey

There is plenty of evidence that integrated campaigns work better than single-channel ones even when you are targeting a specific segment – provided the channels are complementing each other and not just repeating the same message. TV might be used, for example, for initial emotional engagement, followed by direct marketing for eliciting a direct response, and online for developing a dialogue to work out the best solution for the customer, for example.

So a useful approach is to map the customer's journey from first awareness of the company or product through to purchase and repurchase. We presented a visualization of this in Figure 1.1. Often, communications tools work in combination at different points of this journey. For many years, people believed that advertising worked in a delightfully simple way, with the advertiser sending a message and the target receiving it and understanding it. Research, however, has shown that in a grossly over-communicated society, the process is more complex. Figure 7.6 gives some indication of the process involved.

Before taking decisions on how communications might play a role through this journey, a good starting point is to understand the customer's *current* journey with the firm, or with rival organizations in the category. For example, entertainment firm Fox tracked the customer journey of consumers when deciding what movie to see. See Figure 7.7.

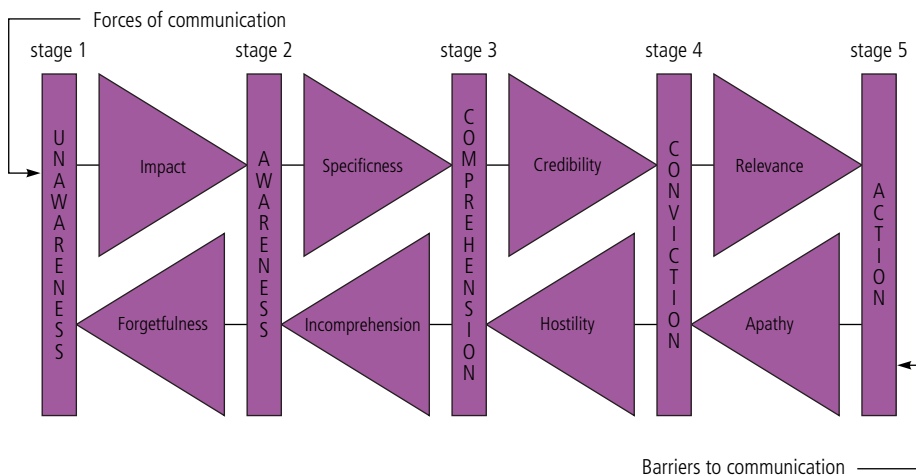


Figure 7.6: Brand loyalty ladder: the five stages of communication.

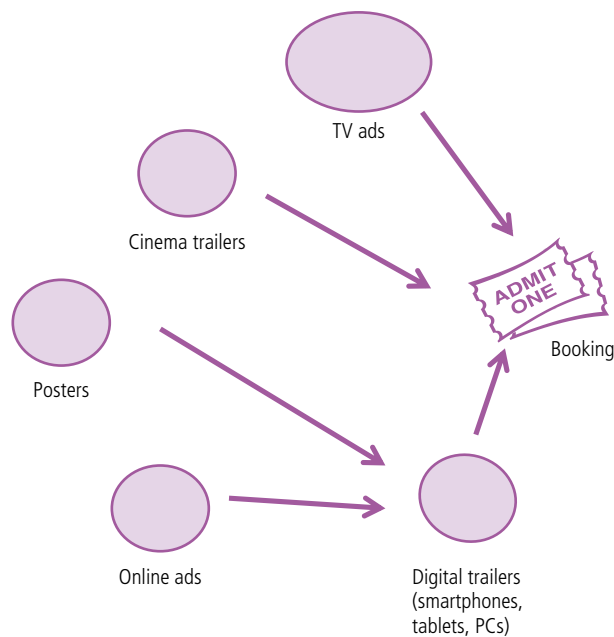


Figure 7.7: Tracking the customer journey: choosing a movie.

They enlisted the help of research agency MESH Experience's innovative real-time experience tracking method, which involves asking a panel of consumers to send a structured text message every time they have a touchpoint with the brand, such as seeing an advert. By seeing how these touchpoints combine in the customer journey, Fox was able to optimize its spend. For example, posters and banner ads only tended to be effective if the consumer then looked at a trailer. This was more likely to follow online ads than offline ones. So Fox increased its online spend, focusing it on generating traffic to trailers, which tended to be immediate precursors of purchase.

It is important to think about this multimedia customer journey not just for customer acquisition but also for other steps in the relationship, such as contract renewal, cross-buying (or cross-selling from the company's point of view), and recommending the firm. An influential framework for thinking about this longer-term, high-level journey is McKinsey's consumer decision journey⁶ in Figure 7.8. Communications need to be clear on where the target customers are in this journey, and what the next behaviour being requested of the customers is.

In business-to-business contexts, the buying process is complicated by the involvement of several people – the 'decision-making unit'. Let us consider two separate surveys on how industry buys. These are shown in Tables 7.3 and 7.4.

Even a cursory glance at these will reveal the following information:

1. More than one person has an influence on what is bought.
2. Salespeople do not manage to see all the important 'influencers'.
3. Companies get the information on which they make their decisions from a variety of sources, only one of which is the salesperson.

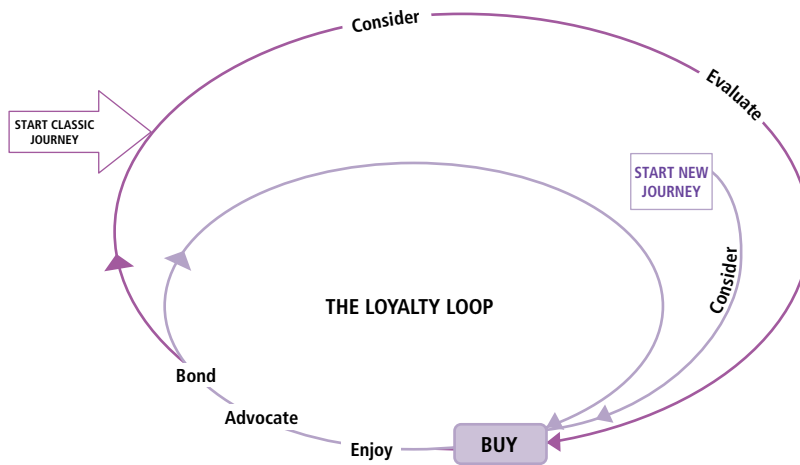


Figure 7.8: McKinsey's consumer decision journey.

Number of employees	Average number of buying influences	Average number of contacts made by salespeople
0–200	3.42	1.72
201–400	4.85	1.75
401–1,000	5.81	1.90
1,000+	6.50	1.65

Table 7.3: Buying influences by company size.

Source: McGraw-Hill.

	% Small companies	% Large companies
Trade and technical press	28	60
Salespeople	47	19
Exhibitions	8	12
Mail/email/content marketing	19	9

Table 7.4: Sources of information.

Source: Maclean Hunter.

Generally, it is possible to split the decision-making process into several distinct steps, such as the following:

1. The buyer organization recognizes it has a problem and works out a general solution. For example, the design team of a new factory may decide that they need a specialist supplier to provide factory automation equipment, maintenance and consulting.

2. The characteristics of what is needed are worked out. This is the outline design process specifying equipment and service requirements.
3. A specification is then drawn up.
4. A search is made for possible sources of supply. This may involve simply turning to known preferred suppliers, or a wider consideration set may be drawn up through search.
5. Potential suppliers will submit proposals.
6. With or without trials, suppliers are selected.
7. An order is placed and the products and/or services are delivered.
8. The products and services are checked against specification, and prior to renewal or repurchase, the supplier is re-evaluated against soft criteria such as the quality of the customer relationship as well as hard criteria such as the financial value from the transaction.

Similar steps are followed for more complex solutions, such as outsourcing information technology – though the more complex the problem, the more the supplier may be involved at early stages in collaboratively developing the outline of the solution, and the more the solution evolves after the purchase transaction as well as before.

Clearly this process allows for variations. For example, where it is a case of simply reordering something that has been bought before, the search and even tender processes may not be necessary. The newness of the decision to the buying organization also determines which types of people and how many are involved at each stage. Newness is a function of:

- The complexity of the product or service.
- The commercial uncertainty surrounding the outcome of the purchase.

The higher the 'newness' on both these dimensions, the more people are involved and the higher their status. If product complexity is high, but commercial uncertainty low, then the more important role is that of technical users such as engineers, marketers using CRM (customer relationship management) systems, and so on. If newness is low on both dimensions, purchasing managers tend to dominate the process.

When faced with a new buy situation, the salesperson will be involved with a large number of people over a long period, helping, advising and informing, always trying to influence the decision process and to build up a growing commitment towards their product.

A typical example of this process at work can be seen in the following example of the purchase of a CRM system:

1. The marketing director and IT director (with luck; sometimes it is the IT director alone) propose to replace the company's CRM system.
2. Corporate IT and marketing departments analyse the company's needs and recommend likely matches with potential selling organizations.
3. A group of managers who use the CRM system are 'consulted'.
4. The marketing and/or IT director select, with influence from others, the supplying company and the system.

The reason for going into such detail about the business-to-business buying process is simply to illustrate that it is not possible to determine the precise role of advertising versus, say, personal selling, until a company fully understands how its potential customers buy and who are the important people that have to be contacted at the different stages in the buying process. For, clearly, financial and administrative people will be involved at a different stage from, say,

engineers, and they will also require different kinds of information. For example, price, performance characteristics, delivery, before- and after-sales service, reputation/reliability, guarantees, payment terms, and so on, are not relevant to all people at all stages in the buying process.

The first point, then, is that a firm must understand the buying process of the markets to which it addresses itself. It is important to identify the people with significant influence on the purchase decision and the specific benefits each influencer wants: this can be done simply by repeating the critical success factor exercise (from Chapter 5) for each influencer. Having done this analysis for our major customers/potential customers, it should be comparatively easy to:

1. Group them in some way (segmentation).
2. Determine the most cost-effective way of communicating these benefits to each group.

We will return to how to evaluate the cost-effectiveness of communications later. First, we will consider in more detail how to plan for specific communications media, beginning with advertising.

PREPARING THE ADVERTISING PLAN

Once we are clear on our communications objectives and have selected advertising as part of our communications mix, objectives for the advertising itself need to be defined. Just as for the communications activities as a whole, advertising is not the straightforward activity that many people believe it to be. It is highly unlikely, for example, that any firm will be able simply to put out an advertisement and expect their sales to increase. This brings us to perhaps the greatest misconception of all about advertising – that objectives for advertising for the purpose of measuring effectiveness should be set in terms of sales increases. Naturally, we hope that advertising will have an important influence on sales levels, but in most circumstances, advertising is only one of a whole host of important determinants of sales levels (such as product quality, prices, customer service levels, the competence of the sales force, and so on).

Advertising is communication
in paid-for media.

Generally, then, it is absurd to set sales increases as a direct objective for advertising. So, what objectives should be set for advertising? Well, we can start by agreeing that we need to set objectives for advertising, for the following reasons:

1. We need to set the budget for advertising.
2. We need to determine who our target audience is.
3. We need to determine the content of advertisements.
4. We need to decide on what media to use.
5. We need to decide on the frequency of advertising.
6. We need to decide how to measure the effectiveness of our advertising.

These decisions can be summarized as follows:

1. *Why* (objectives).
2. *Who* (target).
3. *What* (copy platform).
4. *Where* (media).
5. *How* (creative platform).

6. *When* (timing).
7. *How much* (budget).
8. *Schedule*.
9. *Response*.
10. *Evaluation*.

The whole edifice, however, depends on the first of these.

Advertising Objectives

Research has shown that many companies set objectives for advertising which advertising cannot achieve on its own. Apart from increasing sales, the 'annihilation of the enemy' and other such ridiculously unachievable objectives are set. For example, it is unreasonable to set as an objective 'to convince our target market that our product is best' if it is perfectly clear to the whole world that someone else's product is better. You cannot blame your advertising agency if this objective is not achieved!

MARKETING INSIGHT

Another example of inadequate thought being given to advertising expenditure was the bus company who spent vast sums advertising the reliability of their bus service, while research showed the real reason why sales were deteriorating was that many people thought buses were 'working class'. Again, this is a classic example of scoring a bull's-eye at the wrong target.

One more example should serve to prove the point.

A machine tool company could not understand why, after an expensive advertising campaign in Germany in which they emphasized the extremely high quality and reliability of their products, they made little headway in the market. Subsequent market research showed that their target customers already believed this company had the best product. What they were concerned about, and why they were not buying, was their dissatisfaction over delivery and customer service. This is yet another example of advertising wasted because of ignorance about customer beliefs.

The first step, then, is to decide on reasonable objectives for advertising. The question that must be asked is: 'Is it possible to achieve the objective through advertising alone?' If the answer is *yes*, it is an objective for advertising. If the answer is *no*, it is not an objective for advertising. Advertising through media can do the following:

- convey information
- alter perceptions/attitudes – provided these are consistent with word-of-mouth from current customers
- create desires
- establish connections (e.g. service/Singapore Airlines)

- direct actions
- provide reassurance
- remind
- give reasons for buying
- demonstrate
- generate enquiries.

Setting reasonable, achievable objectives, then, is the first and most important step in the advertising plan. All the other steps in the process of putting together the advertising plan flow naturally from this and are summarized briefly below.

- Who . . .* are the target audience(s)?
 What do they already know, feel, believe about us and our product or service?
 What do they know, feel, believe about the competition?
 What sort of people are they? How do we describe or identify them?
- What . . .* response do we wish to evoke from the target audience(s)?
 . . . are these specific communications objectives?
 . . . do we want to 'say', make them 'feel', 'believe', 'understand', 'know' about buying or using our product or service?
 . . . are we offering?
 . . . do we not want to convey?
 . . . are the priorities of importance of our objectives?
 . . . are the objectives that are written down and agreed by the company and advertising agency?
- How . . .* are our objectives to be embodied in an appealing form?
 What is our creative strategy/platform?
 What evidence do we have that this is acceptable and appropriate to our audience(s)?
- Where . . .* is/are the most cost-effective place(s) to expose our communications (in cost terms vis-à-vis our audience)?
 . . . is/are the most beneficial place(s) for our communications (in expected response terms vis-à-vis the 'quality' of the channels available)?
- When . . .* are our communications to be displayed/conveyed to our audience?
 What is the reasoning for our scheduling of advertisements/communications over time?
 What constraints limit our freedom of choice?
 Do we have to fit in with other promotional activity on other products/services supplied by our company, competitors' products, seasonal trends, special events in the market?
- Results.* What results do we expect?
 How will we measure results?
 Do we intend to measure results and, if so, do we need to do anything beforehand?
 If we cannot say how we would measure precise results, then maybe our objectives are not sufficiently specific or are not communications objectives?
 How are we going to judge the relative success of our communications activities (good/bad/indifferent)? Should we have action standards?

Budget. How much money do the intended activities need?
How much money is going to be made available?
How are we going to control expenditure?

Schedule. Who is to do what and when?
What is being spent on what, where and when?

The usual assumption is that advertising is deployed in an aggressive role and that all that changes over time is the creative content. But the role of advertising usually changes during the lifecycle of a product. For example, the process of persuasion itself cannot usually start until there is some level of awareness about a product or service in the marketplace. If awareness has been created, interest in learning more will usually follow. Creating awareness is, therefore, usually one of the most important objectives early on in a lifecycle.

Attitude development now begins in earnest. This might also involve reinforcing an existing attitude, or even changing previously held attitudes, in order to clear the way for a new purchase. This role obviously tends to become more important later in the product lifecycle, when competitive products are each trying to establish their own 'niche' in the market.

Diffusion of Innovation

So, also relevant in setting objectives is what is known as the 'diffusion of innovation curve', discussed in Chapter 5. To refresh our memories we repeat the curve in Figure 7.9.

Research into any product's progress along the diffusion curve can be very useful, particularly for advertising and personal selling. For example, if we can develop a typology for opinion leaders, we can target our early advertising and sales effort specifically at them. Once the first 3 per cent of innovators have adopted our product, there is a good chance that the early adopters, or opinion leaders, will try it, and once the 8–10 per cent point is reached, the champagne can be opened, because there is a good chance that the rest will adopt our product.

We know, for example, that the general characteristics of opinion leaders are that they are: venturesome; socially integrated; cosmopolitan; socially mobile; and privileged. So we need to ask ourselves what are the specific characteristics of these customers in our particular industry. We can then tailor our advertising message specifically for them.

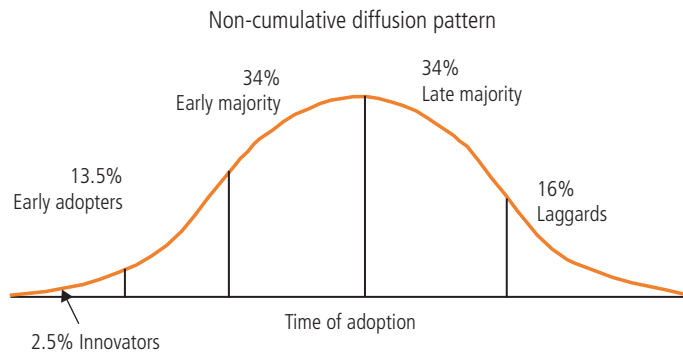


Figure 7.9: Diffusion of innovation curve.

Source: Adapted from Everett Rogers.

Finally, we should remind ourselves that advertising is not directed only at consumers. It can be directed at channels, shareholders, media, employees, suppliers and government, all of whom have an important influence on a firm's commercial success.

We now turn to decisions on what media are used for advertising. The considerations for deciding the communications mix that we discussed in the previous section apply equally for deciding on which specific advertising media to use. But often, only experience will show what media work best. So evaluating effectiveness becomes key in order to ensure value for money.

Refining Advertising Through Effectiveness Metrics

Whatever the marketer's choice of advertising media, we would be foolish if we did not endeavour to refine the mix through measurement of effectiveness. This will naturally depend on the advertising objectives, but some of the possible approaches are as follows.

Individual tracking

Direct response and interactive media allow effectiveness to be directly tied to individual customers. Examples are conversion rates from direct mail or email, click-through rates on banner ads and cost per click on paid search. This is clearly the ideal approach, but care is needed in two respects. First, not every lead is a good lead: where possible, customers should be tracked through to purchase and indeed to their lifetime value rather than simply measuring the cost per response. Second, where possible we should track the advertising impact of direct response media as well as the direct response itself. Some fascinating research studies⁷ have showed that even the act of sending a satisfaction survey to customers can increase their loyalty as they feel listened to; similarly, a presence at a trade show or a banner ad may build engagement which contributes to a sale much later. Equally, excessive direct mail, or a clumsy cross-sale pitch in a service call centre, may actually damage the customer relationship.

Control cells

Where individuals cannot be tracked, the use of a control cell (often known as A/B testing in the marketing world, or a randomized controlled trial or simply an experiment in the academic literature) can often tease out the specific effect of different media. Control cells are groups of customers, *selected at random*, who are not exposed to the advertising. The random selection is important to ensure that the group does not differ in any other respect from the advertising recipients.

Figure 7.10 shows an example from an airline (with some numbers removed to protect confidentiality). A control cell was used to check on the effectiveness of a mailed magazine for loyalty card holders. The final column shows that mailed members made more transactions at a higher transaction value than the control group. From this, the airline could calculate a return on investment (ROI) figure.

The airline then experimented with whether it should send emails along with the magazine or just mail the magazine, again by defining two random groups. Figure 7.11 shows that emails increased spend by a further 6 per cent.

Control cells are common in direct mail and in designing home pages of websites, but this powerful tool is much underused by marketers in many other areas of practice. They can equally be used, for example, to check on whether to use sales visits, remote channels or both in the pharmaceuticals sector: one study found that the sales force cost more than it generated in incremental revenue! Or different marketing practices can be adopted in different stores or branches, again selected at random. Marketing practice is some way behind best practice in R&D in the use of experimental approaches to pilot new initiatives.

	Performance pre-mailing		Performance post-mailing		Increase Vs pre-mailing period (%)		Out-performance of mailed members
	Mailed members	Control cell	Mailed members	Control cell	Mailed members	Control cell	
Active members							+ 6.8
Spend							+ 23.7
Visits							+ 7.4
Transactions							+ 15.1
Average transaction value							+ 11.8
Average spend per visit							+ 16.8
Average spend per member							+ 19.8

- The loyalty card members were split into two groups – at random: an experimental group, who were sent a magazine, and a control group, who weren't.
- This proved that the mailing increased spend by 23 per cent.

Figure 7.10: Control cell example (1).

	Performance pre-mailing		Performance post-mailing		Increase Vs pre-mailing period (%)		Out-performance (members receiving magazine + emails)
	Magazine only	Magazine + emails	Magazine only	Magazine + emails	Magazine only	Magazine + emails	
Active members							+ 4.7
Spend							+ 5.9
Visits							+ 0.3
Transactions							+ 2.2
Spend per Active member							+ 1.4

- The mailed group were further divided into two – again at random. One group were also sent emails; the other group weren't.
- This proved that the emails increased spend by a further 6 per cent.

Figure 7.11: Control cell example (2).

Econometric modelling

It is not always possible, however, to set aside a group who will not be exposed to a communication. In these circumstances, econometric modelling may be considered. Econometric modelling, sometimes known as marketing mix modelling, looks at the impact of several different communications tools – or other marketing mix elements – simultaneously, teasing out their relative impact statistically. This is a specialist area, requiring skills which tend to be found either in specialist agencies or in analytic divisions of the larger communications agencies, but the general idea is not hard to grasp. See Table 7.5 for an example.

Channel	Unique users	Half-life	Unique users per £ spent
TV	12,000,000	10 wks	2
Radio	250,000	1 wk	5.5
Press	3,000,000	3.5 wks	13
Online	1,200,000	3 days	4
Competitor activity	-1,000,000	5 wks	–

Table 7.5: Econometric modelling: online retailer.

In this (real) example, a UK online retailer collected information on spend across television, radio, press and online in each week for a two-year period. For each week, the overall effectiveness of these marketing communications was measured by the number of new visitors to its website. Information was also entered on competitor activity during the week as this was thought likely to negatively impact on new visitors. A statistical analysis identified the relative effects of the communications media, as shown in the table. The retailer found that while every pound spent on television advertising provided two new visitors, a pound spent on press advertising was far more effective, generating 13 visitors. The 'half-life' of television, though, was much longer – its effects were felt long after the advertisement. Overall, the retailer rebalanced its spend to achieve greater effectiveness, while maintaining some television presence due to its significant coverage and longer-term impact.

Econometric modelling, then, is an excellent way to assess the relative effects of multiple influences on an objective such as sales or lead generation. It does, however, require a substantial amount of data to be available, and the need for statistical expertise means that it is not cheap. So it is generally only appropriate for products with significant promotional budgets.

DIGITAL COMMUNICATIONS

What's different about digital communications? After all, they have long left their silo in an innovation corner of the marketing function, and become the dominant set of communications tools in many integrated campaigns. Nonetheless, the online revolution has forced marketers to think rather differently about marketing in a digital world. Our 6Is framework (Figure 7.12) encapsulates some of these differences. The framework considers six capabilities provided by digital channels which, when these enhance performance against the customers' buying criteria, can be beneficial in creation of value for the customer and the firm.

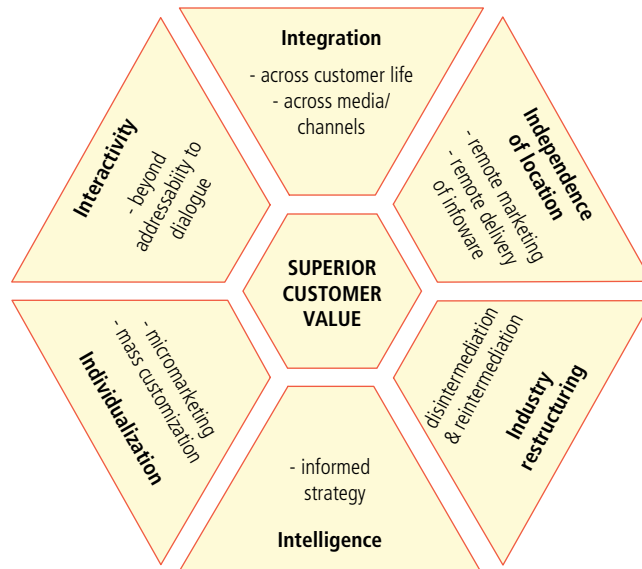


Figure 7.12: The 6Is of e-marketing.

The 6Is of E-marketing

Integration: joining up the customer experience

In the early days of the Internet, the talk was of pureplay business models: businesses entirely dealing with their customers online. But while some highly successful examples of this single-channel strategy clearly flourish, for the great majority of firms, the Internet is part of a multi-channel mix. And this is not just in the sense that different customers use different channels: rather, many individual transactions involve a multichannel customer journey from awareness through to information collection, purchase and delivery. A hotel chain found that only 8 per cent of its customers did not touch the Internet at all in their purchase process. An airline found an even lower figure – around 2 per cent – despite many of the final purchases still being made by telephone or with travel agents in some countries.

So multichannel integration is as important with the Internet as with any other communication medium, a fact often lost on companies who delegate the website to an online marketing group or, worse, outsource its development and operations with minimal provision for channel integration – hence repeating the mistakes often made in the early days of the call centre. Instead, Dell point customers to its website through ‘e-value codes’ in magazines and brochures, which direct the customer to the exact page they want. This has the crucial benefit of enabling Dell to track the effectiveness of the offline communications. And once on the website, telephone numbers and chat buttons are prominently displayed so the customer does not give up if they need further help.

In similar vein, the dotcom director of a major retailer told us how he had been challenged by a new chief executive as to why he should keep his job. He was able to respond with proof that not only was he making a small but growing profit from online sales, but also he was generating four times as much revenue for the high street stores as he was taking online. If a customer searches on his website for, say, a bed, the webpage offers information on the location of the nearest store with the bed in stock, so the customer can go in and try bouncing on it! And, like Dell, the retailer is careful to ensure that these cross-channel journeys can be tracked by such means as giving the customer a code to quote in the store in order to be entered for a prize draw.

A good way to think through how channels fit together in the customer journey is to draw what we call a channel chain diagram – see Figure 7.13 for an example for this retailer. The predominantly online channel chain on the left is the one followed by default when companies first go online. The middle model, starting online and ending offline, had the great advantage of exploiting the company’s offline presence – providing an important differentiation compared with pureplay competitors. Furthermore, for some purchases, the customer would start in the store and complete the purchase later online – the right-hand model. We will return to channel chain diagrams in Chapter 10.

The need for management of customer relationships implies the need for systems which manage data on the whole of the customer interaction, throughout the customer lifecycle, from initial contact, through configuration and sales, to delivery and post-sales service. The multiple channels by which the consumer demands to be able to reach the supplier implies that this data must also be integrated across communication mechanisms, so a telephone salesperson knows about a service request that was sent yesterday by email, and a sales representative in the field can call on information about previous purchases and customer profitability to assist judgements about discount levels. We will return to this issue in our consideration of CRM in Chapter 10.

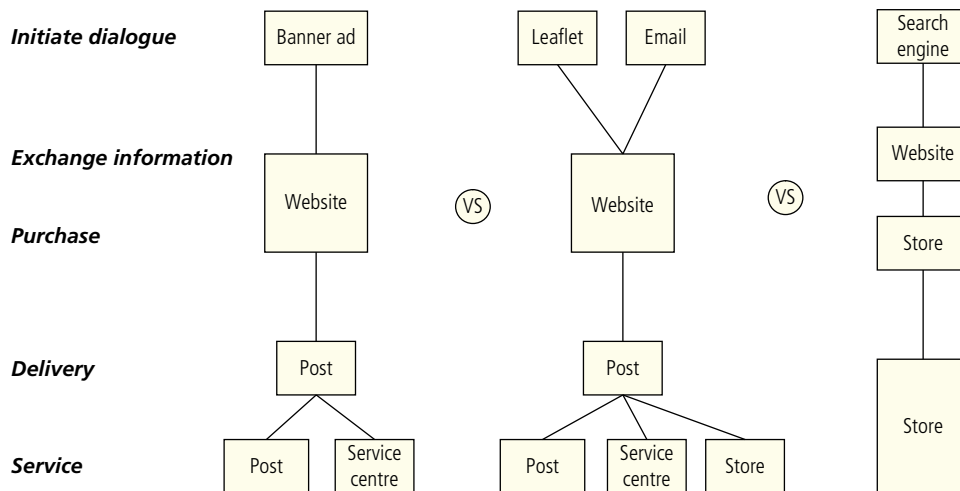


Figure 7.13: Channel chain diagram – major retailer.

Interactivity: beyond addressability to dialogue

Knowing your customers means closing the loop between the messages sent to them and the messages they send back. It has been said that this is the age of addressability, as organizations communicate with individual customers through carefully targeted direct mail, email, paid search, and so on. Interactivity goes one step further, listening to the customer and responding appropriately, as one would in a face-to-face conversation. With so many interactive channels now available – websites, social media, call centres, apps, and so on – marketers need to think differently about the sales process, as customers rightly expect them to use interactivity to hold a true dialogue. In Figure 7.14, we contrast the traditional concept of communication as a one-way bombardment of the customer – apparent from the language of ‘campaigns’, ‘targets’, ‘persuasion’, and so on – with our proposed recrafting of the purchase process as an interaction between equal parties.

Traditional ‘push-based’ models of marketing, in which after the product is made prospects are found and persuaded to buy the product, are illustrated on the left. The delivery and service that follow are operational functions with little relationship to marketing. Traditional models of buyer behaviour, illustrated on the right of the figure, assume more rationality on the part of buyers, but underplay the importance of what the buyer says back to the seller. The seller’s offer is assumed to be predetermined, rather than developed in conjunction with the buyer.

The interaction perspective replaces this one-way process as follows:

- ‘Recognize exchange potential’ replaces ‘Category need’ or ‘Problem recognition’. Both sides need to recognize the potential for a mutual exchange of value.
- ‘Initiate dialogue’ replaces ‘Create awareness’ or ‘Prospecting’. The dialogue with an individual customer may be started by either party. One feature of the web, for example, is that on many occasions, new customers will approach the supplier rather than vice versa. All too often, marketers are so busy organizing their next outbound campaign that these ad-hoc queries are not followed up.

Supplier perspective		Interaction perspective	Buyer perspective	
Advertising	Selling	Interaction	Decision theory	Consumer behaviour
Brand awareness		<i>Recognize exchange potential</i>	Problem recognition	Category need
Brand attitude	Prospecting	<i>Initiate dialogue</i>	Information search	Awareness
- info re benefits - brand image - feelings - peer influence	Provide information	<i>Exchange information</i>	Evaluation of alternatives	Information gathering & judgement
	Persuade	<i>Negotiate/tailor</i>	Choices/purchase	Purchase process
Trial inducement	Close sale	<i>Commit</i>		
Reduce cognitive dissonance	Deliver	<i>Exchange value</i>	Post-purchase behaviour	Post-purchase experience
	Service	<i>Monitor</i>		

Figure 7.14: An interaction perspective on communication.

- ‘Exchange information’ replaces ‘Provide information’. If we are to serve the customer effectively, tailor our offerings and build a long-term relationship, we need to learn about the customer as much as the customer needs to learn about our products.
- ‘Negotiate/tailor’ replaces ‘Persuade’. Negotiation is a two-way process, which may involve us modifying our offer in order to better meet the customer’s needs. Persuading the customer instead that the square peg we happen to have in stock will fit their round hole is not likely to lead to a long and profitable relationship.
- ‘Commit’ replaces ‘Close sale’. Both sides need to commit to the transaction, or to a series of transactions forming the next stage in a relationship – a decision with implications for both sides.
- ‘Exchange value’ replaces ‘Deliver’ and ‘Post-sales service’. The ‘post-sales service’ may be an inherent part of the value being delivered, not simply a cost centre, as it is often still managed.

One-to-one communications and principles of relationship marketing, then, demand a radically different sales process from that traditionally practised. This point is far from academic, as an example will illustrate.

MARKETING INSIGHT

The company in question provides business-to-business financial services. Its marketing managers relayed to us their early experience with a website which was enabling them to reach new customers considerably more cost-effectively than their traditional sales force. When the website was first launched, potential customers were finding the company on the web, deciding the products were appropriate on the basis of the website, and sending an email to ask to buy. So far, so good.

However, stuck in a traditional model of the sales process, the company would allocate the 'lead' to a salesperson, who would phone up and make an appointment, perhaps three weeks' hence. The customer would by now probably have moved on to another online supplier who could sell the product today, but those that remained were subjected to a sales pitch, complete with glossy materials, which was totally unnecessary, the customer having already decided to buy. Those that were not put off would proceed to be registered as able to buy over the web, but the company had lost the opportunity to improve its margins by using the sales force more judiciously.

In time, the company realized its mistake, and changed its sales model and reward systems to something close to our 'interaction perspective' model. Unlike those prospects that the company proactively identified and contacted, which might indeed need 'selling' to, many new web customers were initiating the dialogue themselves, and simply required the company to respond effectively and rapidly, which was done with a small desk-based team, who only called on the sales force for complex sales where their involvement was needed and justified. The sales force was increasingly freed up to concentrate on major clients and on relationship building.

Individualization: information-enabled tailoring

Integrated information about the customer provides the basis for individualizing both communications and the product itself. Royal Bank of Scotland produces annual reports for its customers which break down how they are spending their money and provide tailored advice. Their web pages are similarly tailored to the individual, providing 'next best action' prompts, in the jargon of the customer relationship management community, suggesting what the customer might wish to do next to improve their finances. Both deliver excellent financial results. Even where a customer arrives at your website from is data which can be used to enhance the customer experience. The UK's Money and Pensions Service (www.moneyhelper.org.uk) engages new arrivals by tailoring the front page accordingly. In a simpler way, retailer Benefit Cosmetics tailors the conversation with the customer throughout their journey on the website. In a nice example of thinking about the customer's needs, the site can be navigated not just by product but also by 'dilemma', from 'skin woes' to 'brows behaving badly'. The latter leads to an online consultation about what kind of brows you have (if you are female, that is; the male authors' brows are assumed to be behaving well, it seems) and what help you need.

The point is not that we always need to individualize just because the Internet makes it possible; the 6Is provide e-marketing mix levers, in the same way that the 4Ps delineate the overall levers available to any marketer, to be pulled where necessary in order to achieve marketing objectives. Individualization is closely linked to independence of location, our next topic.

Independence of location: the death of distance

What is the difference between shoes made to measure by the village cobbler and custom trainers made to order by Nike? Both achieve individualization, but Nike combines it with post-industrial revolution economies of scale. It is able to do this because its website can serve a widely spread geographical population, using the data transport provided by the Internet and the physical transport of our 21st-century infrastructure, plus a database-driven manufacturing

facility. Independence of location allows individualization to be achieved economically. Niche products can serve their target markets even if spread globally.

Freeing up the company from the cost of physical facilities can lower overall costs in sectors such as banking, travel and Internet retailing: a US study calculated costs of 1 cent for a transaction conducted over the Internet, as opposed to \$1.07 for a branch transaction and 27 cents for an ATM.

There are exceptions, however, such as the high rates of stock returns by clothes retailers – generally around 20–40 per cent, though ASOS has reduced its returns rate significantly by such online tools as a virtual fitting service that compares an item under consideration with an item the customer has already bought. Another exception is the high picking and delivery costs for grocery retailers: UK retailer Ocado, loved by its customers for the high reliability that derives from its dedicated high-technology picking centres, took many years to reach the scale necessary to deliver even modest profits on its £2.5 billion-plus revenue.

MARKETING INSIGHT

The public sector was slower to exploit independence of location in many countries, but early successes such as the UK DVLA's switch to Internet ordering of tax discs inspired today's rapid transformations. Instead of asking car owners to go with a paper form to their local post office – a high-cost indirect channel partner from DVLA's point of view – the car owner is now encouraged to visit a website or phone an interactive voice response (IVR) service. Importantly, rather than giving away margin by lowering the price online, the DVLA instead created additional convenience benefits for the customer: the website automatically checks whether the customer has valid insurance and whether the car has an 'MOT' certificate of roadworthiness, saving much searching in drawers at home! This careful focus on the customer's buying criteria, along with a communications campaign, shifted the great majority of car owners to remote channels within two years of launch.

For business-to-business firms, too, the cost advantages of the Internet can be significant – though mostly as part of a multichannel mix. BT's Business division found that by switching simpler purchases to telephone and the web, it could reduce total sales and marketing costs from 25 per cent of revenue to 18 per cent – putting 7 per cent of revenue straight on the bottom line. Its sales force remained crucial, though, for selling more complex services to high-value customers.

For consumers, too, high-involvement products may require a face-to-face component of the mix. At the high end of the luxury goods market, Fabergé's beautiful website positively encourages customers to book an appointment by telephone or in person to gain advice. Some mystery shopping by one of the authors led to an agent offering to fly over to show a five-figure item . . . an offer which the author sadly felt he should decline!

If the Internet enables the firm to be independent of its location, the same can be true for the customer. Serving customers wherever they are can be enhanced by location-based services on mobile devices which detect their location and advise them accordingly. Applications range

from Campari providing drinks offers as consumers approach leisure areas of town – and then providing a money-off voucher for a car-share home once the drink has been ordered – to London's Regent Street app pushing relevant content as you approach a store. While examples are legion, uber-successful taxi service Uber is one of the first to achieve serious scale. Not surprisingly, much ad-spend is moving to mobile, to reach customers at the right time and place: around \$400 billion of the world's \$900 billion of advertising is on mobile platforms at the time of writing in 2023, a figure which continues to rise rapidly.

Intelligence: informed strategy

Interactivity does not just enable individual customers to get what they want. It also provides a rich source of insight for the firm in order to inform marketing strategy. Dell collates online buyer behaviour to categorize its customers into segments such as 'All about price', 'Design is important', 'All about high-end products' and 'Tailored for my country', so it can ensure it has the right offer for each segment without needlessly sacrificing margin by cutting prices across the board. Tesco uses Clubcard data for multiple strategic purposes. One Clubcard-derived segmentation, for example, divides households into six groups: 'price sensitive', 'mainstream', 'traditional', 'convenience', 'healthy' and 'finer foods'. These are used for everything from product development and sourcing to a store's range decisions and pricing.

As the world moves towards a more decentralized and open Web 3.0, complaints and problems are best looked at as a source of insight rather than as a public relations problem to be managed through press releases, as the famous case of Kryptonite locks showed. An online video of these bicycle locks being readily opened with a paperclip led to a defensive response from the company that sounded all too much like advertising copy: 'The world just got tougher, and so did our locks.' The response from bloggers was immediate and devastating: 'We've spent over \$100 on these types of locks for our bicycles, and hearing "the world just got tougher and so did our locks", kinda got us a little miffed. The world didn't get tougher, it got Bic pens and blogs and your locks got opened.' The company never recovered.

By the time of the 'exploding laptops' problem due to faulty batteries in 2007, exacerbated by similar humorous YouTube videos, major online players such as Dell had learnt to have a more open dialogue. Its Direct2Dell and Ideastorm services provided a medium through which its customers felt listened to, not preached to. Dell staff would feel free to give in the customer's interests, with posts like: 'My advice: Don't even think about upgrading from a D420 to a D430, this is the same computer with the same flaws . . .'. So when Dell recalled 4 million laptop batteries, the online buzz was predominantly positive rather than negative. Influential site iMedia Connection reported: 'They actually handled it quite well. Because they already had a way to converse with customers – and their competitors who had to recall their laptop batteries did not – Dell actually may have come out ahead.' Yet even today, many firms have not learned the value of this authenticity and open exchange in online communications.

The Internet, then, provides numerous ways of gaining intelligence, ranging from traditional questionnaires to behavioural analysis. Some of the behavioural techniques available are summarized in Table 7.6.

Industry restructuring: redrawing the market map

As with all technological innovations, the effect of digital marketing is sometimes incremental but often radical, with customer needs being met in new ways by new players. Examples which would have seemed unthinkable 20 years ago are all around us. Newspapers – both offline and online – face a torrid time as the young gain their entertainment and news from more fragmented digital sources, and advertising revenues follow audiences online. High-street travel

Purpose of intelligence	Example measures	Notes
Customer needs and satisfaction	Channel satisfaction (e.g. website)	e.g. American Customer Satisfaction Index (www.foreseerresults.com)
	Customer needs	Online questionnaires, focus groups
	Usability	Testing, online mystery shopping
Promotion effectiveness	Ad impressions	Number of advertisements seen
	Ad clicks	Clicks on advertisements by users
	Click-through rate	Ad clicks/ad impressions
	Cost per click	Clicks on ad (or search engine entry)/cost
	Cost per acquisition	Cost (from ad or intermediary)/acquired customer
	Unique visitors	Number of different people visiting site
Website effectiveness	Bounce rate	Proportion of single page visits
	Stickiness	Page views/visitor sessions ('PPV')
	Attrition rate	How many visitors are lost at each stage, e.g. from placing items in basket to checking out ('Basket abandonment rate')
	Conversion rate	Purchases/visitors
Performance outcomes	Channel contribution	Channel revenue minus channel costs
	Multichannel contribution	Total revenue of multiple channels minus sum of channel costs

Table 7.6: Gaining intelligence online: some of the available tools.

agents have been thoroughly 'disintermediated' by direct online sales by airlines and hotels, and 'reintermediated' by online specialists such as Expedia, only surviving in some niches and some countries. Book publishers and business schools who package and disseminate knowledge face the threat of disintermediation from their customers conducting their own research online, or collaboratively creating content such as Wikipedia. Record companies were disintermediated by peer-to-peer file sharing sites and reintermediated by iTunes and Spotify, allowing many musicians to self-publish with help from YouTube and other social networks.

Each of these innovations can be thought of as a redrawing of the market map which we discussed in Chapter 3. Uber and its competitors, for example, added a link between a consumer and a taxi firm – 'reintermediation' – as well as allowing drivers to work directly for the consumer rather than via a taxi firm if they wish – 'disintermediation'. Airbnb provided a new category of supplier – consumers' own homes – to compete with hotels, as well as itself being a new category of intermediary competing with Expedia and its peers.

While all predictions have to be reconsidered constantly in the light of experience, these innovations are not random or fundamentally unpredictable: rather, they succeed or fail according to whether they improve the value proposition for the end customer. So a good way to do at least

an initial sense-check of the plausibility of a proposed redrawing of the market map is to evaluate what its impact would be on the end customer's critical success factors, using the quantified SWOT analysis we covered in Chapter 4.

The 6Is, then, are a way of thinking about what is different about digital communications. It is worth reflecting on a company's current position on these 6Is: which aspects of digital media are currently being exploited well and which are not? There are numerous specific tools that can be used in support of these broad principles; while we cannot cover them in detail here, we summarize some of the main digital communications tools next.

The Digital Communications Mix

The increase in purchases using digital devices means that communications plans require two important decisions to be made about investment for the online promotion or the online communications mix. These are:

1. The level of investment in digital media compared to traditional media, to support marketing campaign activities, and to maintain a continuous 'always-on' online presence.
2. The mix of investment in the alternative digital media channels or communications tools, which we will review in this section. Again, this is to support both campaign and always-on activity.

Digital communications techniques use paid, owned and earned media to achieve goals of brand awareness, familiarity and favourability, and to influence purchase. Paid media are those for which the firm pays, such as pay-per-click ads. Owned media are those where the firm has direct control of the medium: its website, for example. Earned media are those where content is provided by third parties such as expert review or peer review; so, any positive comment in these media is deemed to be 'earned' by the firm due to the quality of its products and services. Chaffey and Ellis-Chadwick (2022)⁸ simplify the many different tools available from different digital platform providers such as Google, Meta and Microsoft into six main channels that are summarized in Figure 7.15.

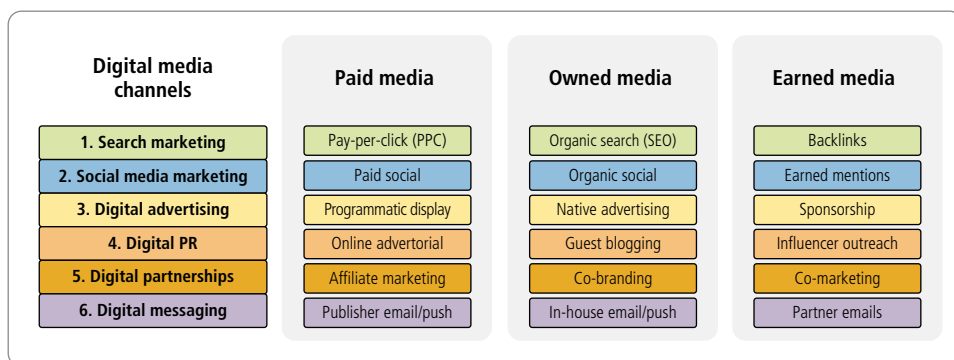


Figure 7.15: Six digital communications categories related to different media types.

Source: Chaffey, D. and Ellis-Chadwick, F. (2022) *Digital Marketing: Strategy, Implementation and Practice*, 8th Edition. Pearson Education. With permission of SmartInsights.com where this framework was originally published.

These six main media channels available to any business can be summarized as follows.

1. **Search engine marketing.** This means gaining visibility on a search engine to encourage click-through to a website when the user types a specific keyword phrase. Two key search marketing techniques are paid placements using pay-per-click (PPC), typically in Google Ads and placements in the natural or organic listings using search engine optimization (SEO) where no charge is made for clicks from the search engine.

For Google to maximize ad revenue, paid ads – labelled ‘sponsored’ – are most prominent. Try searching in most business categories and you will see that the paid ads are dominant, so encouraging businesses to invest in Google Ads and encouraging competition that will increase the bids needed to gain prominence. For example, if you search for a travel service like a hotel you will find that you have to scroll down several screens before the free organic listings appear.

SEO can be considered owned media since it involves on-page optimization by improving the relevance of content and technical improvements to the website to improve ‘crawlability’ (the ability of a search engine to access a web page and review its content). This can be monitored through Google Search Console. SEO also has an earned media component, as visibility in the search engines can be improved by getting relevant ‘backlinks’ from other websites such as media sites and blogs, which is valuable since these effectively count as a citation or vote.

2. **Social media marketing.** This means both paid advertising on social networks and ‘organic’ social media amplification, whereby companies aim to gain visibility through content shared by social media feeds and pages which are owned media. Gaining visibility in the organic social media feeds is challenging (in much the same way it is challenging with search marketing). Social networks such as Facebook and Instagram who want to maximize ad revenue throttle ‘organic reach’, meaning that to maximize reach, brands are forced to ‘pay to play’, that is, to gain visibility. For businesses to maximize return-on-investment in paid search and paid social media it is important to consider how to reduce wastage, so ads are only displayed to those that have the most affinity to buy. For example, a travel business could limit its ads to those that have a high affinity for specific types of travel.
3. **Display advertising.** This involves the use of online ad formats such as banners and videos on publisher sites to achieve brand awareness and encourage click-through to a target site. These are usually considered as separate investments from paid search and paid social ads, since display ads are typically displayed on publisher sites. ‘Programmatic’ display refers to where media and target audiences are selected by trading or bidding against other advertisers. ‘Native advertising’ involves paying to publish content that appears on a media site rather than a banner ad. Since more engaging content is published this tends to gain more consumer engagement and is more favourable to the brand. It is similar to when companies pay for features on pages in newspapers. It is also similar to sponsorship and in both cases, there may be a long-term relationship where a brand pays for its name to be associated with publisher or event. For example, Guardian Labs (<https://advertising.theguardian.com/labs>) offers branded content from brands including Levis, Tena, Visa, Oatly and Renault where ‘native ad’ articles are published.
4. **Digital PR.** This involves maximizing favourable ‘offsite’ mentions of your company, brands and products by other organizations and people, especially media sites and influencers such as celebrities. These mentions may create name awareness. They also have the benefit that they can also drive visits through links, and they can support SEO through backlinks. These mentions may occur on publisher websites, blogs or social networks, as well as podcasts accessed by your target audience. Guest-blogging involves writing an article for which no fee is typically charged on another business’s website. It is often a reciprocal arrangement. Influencer outreach is used in both B2B and B2C communications. It usually refers to

working with individuals rather than publishers to gain mentions through their social media, blogs or podcasts. Digital PR also includes responding to negative or positive online brand mentions and conducting public relations via a site through a social media news centre or blog, for example.

5. **Digital partnerships.** This refers to creating and managing long-term arrangements to promote your online services on third-party websites or through website content and messaging. Affiliate marketing involves a commission-based arrangement where the advertiser only pays when a sale occurs. It is most applicable to retail, travel and financial services sectors, where an affiliate website will get paid for traffic when an online sale occurs. Co-branding is a paid or owned media technique where two brands are featured within email marketing or native advertising. Co-marketing is similar, but it is a 'contra' arrangement for which no fee is usually paid when companies collaborate to share content with the aim of raising awareness and leads amongst the pooled audiences. For example, Dave Chaffey set up a co-marketing arrangement for publisher Smart Insights with martech vendor HubSpot, in which joint research reports were created to raise awareness and generate leads for both brands. HubSpot has dedicated co-marketing managers in different regions to manage this activity because they see it as important.
6. **Digital messaging.** Traditionally, digital messaging to individuals who have subscribed to updates has focused on email marketing, which is still a commonly used digital media channel since it is cost-effective. Many retailers use email to encourage sales by prompting prospects to receive a discount on first purchase provided they subscribe to email, which is used to deliver relevant voucher codes.

However, email is used less by younger audiences, who are more likely to subscribe to mobile push notifications from websites and apps. Digital messaging options including placing ads in third-party e-newsletters (paid media), or most commonly the use of an in-house list for customer activation and retention (owned media), or co-marketing techniques using other companies' newsletters. Buying or renting lists of email addresses is considered as a spamming technique and is not permitted under the privacy legislation.

Regardless of the form of media, it is also useful to consider the need for a relevant **landing page** on a website, so that when the audience clicks through to the site they see a relevant message rather than a more generic home page.

We will now explain a crucial four of these techniques in more detail.

Search engine marketing

As a high proportion of customer journeys online begin with a search engine, search marketing is a crucial part of the communications mix, particularly for customer acquisition. Research by the Internet Advertising Bureau in the US, UK and Europe highlights the importance of search marketing. The IAB Europe AdEx Benchmark 2022 Report⁹ reveals that the ad spend breakdown across Europe is:

- Search advertising: 43.5% of budget
- Social media advertising: 25.2%
- Display advertising (excluding above categories): 24.7%
- Classified and directories: 6.6%

The Google Ads site explains simply how to sign up for paid search, and has a keyword tool to help find out what terms customers are searching on and average cost-per-click bid amounts. Increasingly, though, Google offers programmatic machine learning options to bid rather than manual bids.

However, search engine optimization (SEO) remains important although Google has limited opportunities for organic listings to appear near to the top of the search results page. A plethora of advice is available on how Google and other search engines prioritize web pages, and optimizing websites to ensure they are ranked high in the list is a specialist skillset, but the basic principles are common sense. Attractive, regularly updated content, which many people engage with, revisit and provide their own links to, will find its way up the rankings.

Even if these basics are in place, it is so important to appear high on the first page that it is worth going the extra mile and finding some help from a web designer with SEO skills. The majority of all search traffic comes from search results on page one. A boutique hotel chain found that on many commonly used search strings entered by its target customers, such as 'luxury hotel Edinburgh', it was coming on page two or lower. A simple analysis of its better-performing competitors showed why they were ranked higher: they included common search terms within the page title; they repeated these search words several times on the home page; and they had customer review facilities to engage repeat customers with the site, encourage traffic and provide advocacy. Some straightforward amendments – such as simply adding 'luxury' to the page title and copy, as many customers search on that and not the industry's term 'boutique' – brought the site onto the first page of some key search terms.

Social media

Social networks such as Facebook, Instagram, Snapchat, and LinkedIn account for a significant proportion of people's time online. For example, according to the IAB in the UK, of the average 3 hours 30 minutes people spend online, 2 hours is spent on social media.¹⁰

Broadly there are four purposes of social media for the marketer:

1. *Customer insight.* Social media provide a vast repository of free qualitative data about how customers think about the firm's product category and its offerings. Pernod Ricard, for example, use social media data to find out how well their advertising is working: whether they are reaching the target groups, and whether social media mentions of the ads show that they are building the intended brand values.
2. *Social media* are also a rich source of data to enhance service experiences. For example, Cranfield School of Management's Dr Emma Macdonald worked with research agency SpectrumInsight to establish what the buying criteria are for supermarkets, and to validate this insight by correlating customer perceptions from Twitter with the supermarket's sales each week.*

Some companies focus this free market insight by developing communities of innovative, enthusiastic customers – 'lead users' – who develop and evaluate new product ideas. This is the sole source of R&D in the case of clothes retailer Threadless (www.threadless.com), where the most popular designs submitted by customers are made by the company and sold online. Finnish tour operator Suntours similarly uses an online community to design better holidays. With the help of service design agency Kopla, the customers blog about their holidays in real time and participate in online brainstorming about how the holidays can be improved.

3. *Brand exposure.* The rise of social networking has been accompanied by a stream of claims of the importance of social networks in purchase decisions. A Cranfield study supports these claims: across multiple categories, word of mouth is more effective than brand advertising in influencing consumer attitudes. The default reaction of many marketers is to add community facilities to their own website, in the hope of making this the destination of choice

* We are grateful to Mark Westaby of agency SpectrumInsight for introducing us to Pernod Ricard and this impressive case study.

for customers in their product category, be it soft drinks, washing powder, accounting software or electrical equipment. This can work well with high-involvement categories such as telecoms or charities. BT asked on Facebook how a storyline running through TV advertisements about two characters, Adam and Jane, should end: it received 1.6 million responses. On a smaller scale, Amnesty International asked its supporters for funding for a press ad against Shell's activities in Nigeria: it collected £40,000. But there are two dangers with this thinking. The first is that not all products have 'social currency': do today's housewives, house-husbands or home workers really want to talk about washing powder? The second danger is that even if there is a relevant conversation to be had – about parenting, say, in the case of P&G – do we want to have it on a brand-owned website?

In choosing where to hold social conversations, then, two principles should be borne in mind. First, not every brand can host a true destination site, any more than they can hope to host their own television channel. P&G recognized this in its launch of *supersavvy*.com, which aggregates many brands into a lifestyle site for women. This is working far better than most brand sites, with 1.4 million unique users per month, though scepticism still remains, as illustrated by this blog post: 'It is full of useful bits and bobs about mothering, and along the way it has competitions featuring Procter and Gamble products, as it is P&G running the whole thing. But is this what mothers really want?'

Which raises the second principle: marketers of all but the strongest brands need to go to where the customers are. There are existing flourishing networks for many areas of professional practice (e.g. Just Plain Folks for musicians), interests (such as e-democracy.org for politics) and affinity groups (BlackPlanet for African Americans, iVillage for women, and so on), and the general networks all host these communities of interest too. Cranfield School of Management links with practitioners not just through its face-to-face courses and website but also through a presence on YouTube, Twitter, iTunes, and so on.

4. *Activating sales.* Where brand building ends and the sales process begins in earnest is a moot point, but social networks can play a role for customers actively involved in a current purchase. In both business and consumer markets, word-of-mouth plays a crucial role in converting interest to action through reducing the customer's perceived risk of making the wrong decision, and it has the benefit of being free. Retailer *onlineshoes.com* found that customers viewing at least one product review were over twice as likely to go on to buy the product as those who don't. And products with more reviews on the retailer's site sold better, irrespective of whether the reviews were positive, negative or mixed! So the retailer positively incentivized reviews, until its customers had developed the habit of posting them regularly.

For business-to-business marketers, equally, social networks can be important for building relationships that raise the brand within the customer's consideration set. Electronics distributor RS Components successfully runs a network for electrical engineers, DesignSpark, which has helped acquire new, younger customers.

5. *Customer service.* The final use of social media is perhaps more mundane but no less important: the provision of customer service. Not only is online advice cheaper to provide than telephone support, as less expert time is typically needed, but also answers to common questions are available to all, providing an economy of scale. Furthermore, as compared with the call centre, a happy customer can readily tell others about their experience, as this post demonstrates:

... in desperation – I turned to Twitter to try to penetrate what felt like the huge, uncaring behemoth of Carphone Warehouse. And I found Guy Stephens, the company's Knowledge and Online Help Manager, who appeared to be tackling customer rage in a passionately empathetic way on Twitter. I tweeted him at 8pm; by 8.07pm, I had a reply, rendering me unconditionally blown away. Three months of periodic call centre torture had got me nowhere, but via social media I felt listened to within minutes and my problem solved within a few days.

Even better, customers can serve each other, experienced users of a product or service advising less experienced people. Zappos grew to an independent \$2 billion online shoe retailer, now owned by Amazon, which is well worth sampling as a company built on customer service and using social media creatively. The extensive customer reviews lower return rates and are wonderful for search engine optimization. The site has a page aggregating all customer comments without editing, a move that would seem foolhardy were its satisfaction levels less high.

Social media, then, are perfect for customer service. Take-up is only being delayed by the tendency of many firms to delegate social media to a corner of the marketing department – typically the young, digitally literate intern!

Advertisements and affiliates

With the dramatic growth in search marketing and social media, is the traditional display ad dead? Far from it. Yes, click-through rates have been in long-term decline from the very first banner ad's 44 per cent in 1994, but the same could be said for response rates to any other form of outbound advertising as we are bombarded by ever more messages in ever more media. Display ads are placed in several ways, notably:

- On individual sites.
- On the major networks such as Google and YouTube.
- Through ad exchanges such as Google's DoubleClick. These provide marketplaces which match content sites with ad space to sell with advertisers.

Other formats include in-game advertising and the trends towards digital billboards and other 'digital out of home' devices. While advertisers will naturally wish to evaluate their ads on the basis of their performance, only a minority of ad space is actually bought on the basis of cost per click (about 36 per cent according to one study) or cost per acquisition (about 6 per cent). Instead, most space is still being bought using exposure-based metrics such as the number of impressions ('CPM').

A related technique is affiliate marketing, in which a firm places its banner ad or text link on another firm's website (the affiliate). Affiliates use techniques such as paid and organic search and social media marketing to attract visitors to their site and then act as brokers, receiving a fee when sales are referred from their site. The millions of affiliates of Amazon receive a commission of up to 5 per cent whenever a book sale results from a click through to Amazon's website. Affiliates drive a quarter of the online sales of UK startup Hotel Chocolat (which the authors like to follow as it was founded by Cranfield alumnus Angus Thirlwell, and the odd sample comes our way . . .). Its model is similar to that of Amazon: a 7 per cent commission, even if the customer makes the purchase up to 45 days after clicking through to the Hotel Chocolat website.

Email and viral marketing

Like the display ad, the email campaign no longer has the excitement of youth in the innovation-obsessed world of digital marketing, but it is nonetheless still an important part of the online communications mix. While response rates (measured by clicking on a link in the email) average out at around 2.8 per cent, this masks much poor mass marketing with undifferentiated content being sent to poorly maintained lists, which can achieve considerably less than 1 per cent. Conversely, well-crafted email campaigns to specific segments using a clean database will often achieve 10–15 per cent click rates. Of course, we are referring here not to unsolicited spam – which now forms 80 per cent of email traffic – but to customer-centric information and offers to registered customers and prospects. So, for most firms email forms part of the firm's CRM strategy to grow the value of existing customers.

There are exceptions, though, where email can form part of an acquisition strategy:

- Cold emails, using a consumer email list provider such as Experian or a business email list such as Corpdata, are technically opt-in as the recipient may have agreed to receive offers by email, but care is needed as they can feel like spam to the recipient, and response rates are often microscopic.
- Co-branded emails are somewhat better. A department store, for example, teamed up with a grocery retailer to sell products which the grocer did not sell. Advertised to the grocer's email list as part of a regular customer update, the emails generated a healthy 8 per cent response rate and a good return to both parties. Clearly the brands need to be consistent with each other, and the product lines complementary, for this to make sense.
- Finally, the customer may opt into email using another medium. An influential campaign within the car industry was conducted by General Motors around the launch of a new model of the Vectra. In a change from the traditional mass-marketing model of this sector, this 'Dialogue' programme provided a response number and website on its advertisements. The 100,000 respondents were asked some simple questions: what car they drove, what kind of car they were interested in, when they were likely to replace their car, and whether they wished to be contacted by email or post. This led to simply tailored quarterly brochures, delivered by mail or email, reflecting the customer's position in the purchase cycle: soft, branding messages to begin with; harder information on model variations and pricing nearer to the customer's estimated replacement date. The end result was 7,000 more cars sold than in a control group who were not contacted – a very healthy return on some simple emails and mailings. The tailoring may have been simple, but it led consumers to feel that they were indeed in a relevant dialogue.

The ease of forwarding emails makes it an ideal vehicle for viral marketing: a promotional message which is passed from peer to peer. Most 'virals' are based on humour. Coca-Cola's Happiness Machine video, for example, a low-cost ad made specifically for viral distribution and launched on Twitter, has had 11.6 million views on YouTube at the time of writing. Successful virals can also be shocking, clever or compulsively informative. Of course, these criteria may be met by material which is nothing to do with brands, or indeed which is created by 'economic terrorists': the telecommunications support person who fell asleep in a customer's flat was still on the first page of Google results for searches of 'Comcast' several years after its release, at untold cost to Comcast in negative publicity, showing yet again that the most important form of promotion is to ensure that the core product or service meets the customer's buying criteria.

Finally, we should not forget the importance of inbound emails, which may be service queries, but equally may form sales leads. Many companies are so geared up to recruit customers from their outbound campaigns that no one has time to answer emails from prospects! These are often managed along with chat by a multimedia service centre, which is also handling telephone traffic; but however they are handled, it is important in marketing plans to ensure that resources are available to react to customers when they contact a company.

CUSTOMERS AND THE SUSTAINABILITY MARKETING MIX

We will next consider one important application of marketing communications: steering our customers towards sustainable behaviours. We often need our customers' help in achieving our sustainability objectives. We might design a new product or service that is greener or more socially positive, but we need customers to buy it, use it appropriately, and dispose of physical products correctly. This section considers how we can do that.

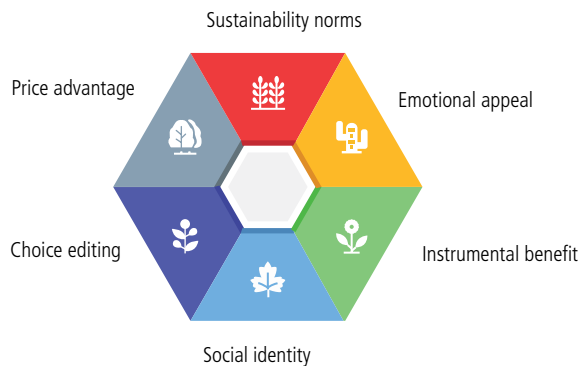


Figure 7.16: The sustainable marketing mix.

Source: Professor Hugh Wilson, Warwick Business School.

It isn't easy. Sustainability professionals often come to marketers and ask them to educate the customers, to explain to them how low the product's carbon is or how many underprivileged children the firm helps, and all will be well. Occasionally that works. But often there's an *attitude-behaviour gap* in sustainable behaviour. As consumers and as business customers, there's a big difference between being sympathetic to a cause and putting our money and time wholeheartedly behind it. Ever tried losing weight or giving up an addiction? Our habits are ingrained, our lives are busy with multiple things to think about, and change is difficult. Even getting customers' attention is hard, bombarded as they are with messages from all sides.

Fortunately, there has been a large body of academic and practitioner research into this problem of sustainable customer behaviour. Marketers can choose from an array of approaches. Figure 7.16 lists a 'sustainable marketing mix' of six of the most widely effective. In practice, life as a marketer in firms such as Unilever that do their best to be sustainable is a process of constant experimentation with these different approaches. The framework applies equally whether the behaviour to be changed relates to purchase, usage (such as turning heating down), disposal, or another '*engagement behaviour*', such as helping the firm design products or giving 'word of mouth' (WOM) – recommendation – to other customers. We'll next explain the six elements of the mix, which can be used individually or – often – in combination.

Choice editing. A simple but powerful approach to behaviour change is to 'edit', or design, the options available to the customer. At the very least, the firm can provide a *free choice* in which one option is sustainable. Coca-Cola adopts this approach with its cola drinks: you can buy a cola with or without sugar, and with or without caffeine. The firm makes no attempt to steer which choice you make, though some countries and retailers may. UK retailer Marks & Spencer, for example, '*nudges*' the consumer's choice by putting the zero-sugar cola at eye level; if you really want the high-sugar variety, you have to search for it by your feet. In some other categories, though, M&S provides a *constrained choice*, removing some options altogether. Cotton manufacture, for example, has all sorts of sustainability implications, but most consumers would not think of checking the labels of cotton clothing to check on how ethically sourced it is. So in order to meet its own sustainability targets, M&S decided to offer only sustainable cotton from 2020 onwards.

Price advantage. One of the first things that sustainability professionals often suggest to marketers is to lower the price of the 'right' product. The big problem with that is clear. If the firm

makes 5 per cent net profit, then a 5 per cent discount will give away 100 per cent of our profits! Of course, an easy and powerful action for regulators is to tax the less sustainable product and/or subsidize the more sustainable one. But marketers will often prefer to look at price reduction as a last resort. Putting *up* the price, however, is another matter. A high price can signal a higher-quality product, and can be effective particularly with less price-sensitive segments. For example, we mentioned earlier that Nespresso's coffee has impressive sustainability credentials, with a high-quality fair-trade supply chain helping both farmers and the environment. Nestlé signal this not through a low price but through a high one, building a brand association between 'fair trade' and high quality.

Sustainability norms. Turning to advertising approaches, we have mentioned that the most obvious approach is to stress the behaviour's sustainability benefits in helping people or the planet. There are two ways of doing that. The first is a direct, ethical appeal to what psychologists call an **injunctive norm**: that is, a societal rule as to what you 'should' do. The famous Patagonia 'Don't buy this jacket' campaign is a case in point. Arguing that if consumers buy less, then 'together we can reduce our environmental footprint', consumers were invited to join a crusade to 'save our home planet', buying fewer clothes – but buying ethically sourced clothes like Patagonia's when they do. Sales of course went up.

Patagonia could get away with this approach because it was authentic, backed up by Patagonia's numerous large donations to environmental causes. Not all brands will feel they can lecture their customers, though. A second form of sustainability appeal is fortunately also available: a **descriptive norm**. This stresses not what is the right thing to do but what everybody else (or everybody else that matters!) is doing. OPower, a 2007 start-up now owned by Oracle, works with utilities to reduce the energy consumption of their customers (with the help of regulation in many US states that mandates utilities to do that). One effective approach is to put information on utility bills that say, for example, '9 out of 10 households of the same size use less electricity than you'. This reduces usage by between 2% and 5%, according to the firm.

Emotional appeals. Another choice is the extent to which the appeal to the customer is emotional versus rational. There are a variety of emotions that can be useful in sustainability marketing: engendering pride at doing the right thing or guilt at doing the wrong thing, for example. Generally, positive emotions work better than negative ones. Research by a Cranfield team, for example, showed that while pride and guilt both work, if anything pride works even better.¹¹ The problem with guilt is that if you engender too much of it, consumers can give up and conclude that the behaviour is just too hard. Emotions do not have to relate directly to the social or environmental cause, though: if you can make a behaviour fun, or exciting, or relaxing, so much the better. It is no coincidence that many small cars, which are inherently greener due to the low carbon in manufacturing as well as lower fuel consumption, are mainly marketed with messaging around fun.

Instrumental benefit. Another option is to design in some kind of 'instrumental' benefit to the customer: that is, something that is useful to them in some way (as opposed to a 'hedonic' benefit that gives them a positive emotional experience). That does not have to relate in any way to the sustainability issue that is motivating the firm. For example, Tesla designs in numerous instrumental benefits, with two benefits mentioned in this advertisement: 'With SmartSummon, your Tesla will manoeuvre around objects as necessary to find you. Making searching for your car a thing of the past. With one of the highest safety ratings of any car on the road.'

Primed identity. Even amongst experienced marketers, the final option is often poorly understood. As well as emotional and instrumental goals, humans have identity goals. Our identity is

what we think about ourselves: I am smart, kind, environmentally responsible, and so on. Part of that identity is our social identity: what groups we regard ourselves as belonging to. Depending on the occasion, I (Hugh Wilson, the author of this section in the book) might like to think of myself as a marketer, a professor, a musician, a father, and so on. That can be leveraged to influence my behaviour. That is because we will do almost anything to make our social group look good to others, and to make ourselves central within the group. For example, Jeep uses this effect to train its drivers to drive responsibly off-road. At 'JeepFest' events for new drivers, Jeep asks experienced drivers to train the novices in what makes responsible driving. These old hands do this willingly – quite irrespective of whether they've ever given responsible driving a moment's thought! That is because during the event, the relevant social group is Jeep drivers, and they want to belong within that group so they follow the lead of high-status members, namely the Jeep managers making the request.

If you would like to learn more about this powerful social identity theory and how you can use it to influence customers, there's an easy-reading *Harvard Business Review* article about it by one of the authors along with behavioural scientist Guy Champniss and Professor Emma Macdonald.¹²

SALES PROMOTION

The term advertising (often referred to as 'above-the-line expenditure') can be defined as all non-personal communication in measured media. This includes television, cinema, radio, print and outdoor media, as well as the various types of online advertising we have discussed.

► **Sales promotion**, for which the term 'below-the-line expenditure' is often used, is not so easily defined. For example, Americans often use the term to describe all forms of communication, including advertising and personal selling. In other parts of the world, the term is used by some to describe any non-face-to-face activity concerned with the promotion of sales; some use it to describe any non-media expenditure; while others use it specifically to mean in-store merchandising.

Sales promotion is non-face-to-face activity concerned with the promotion of sales.

It involves the making of a featured offer to defined customers within a specific time limit.

The fact is that none of these definitions is an accurate reflection of how sales promotion works in practice, which is why there is so much confusion about many aspects of this important area of marketing activity.

In practice, sales promotion is a specific activity, which can be defined as the making of a featured offer to defined customers within a specific time limit.

In other words, to qualify as a sales promotion, someone must be offered something which is featured, rather than just being an aspect of trade. Furthermore, the offer must include benefits not inherent in the product or service, as opposed to the intangible benefits offered in advertising, such as adding value through appeals to imagery.

Seen this way, every other element of the marketing mix, including advertising, personal selling, point-of-sale material, pricing, after-sales service, and so on, can be used as part of a structured activity in order to achieve specified objectives.

Sales Promotion in Practice

Sales promotion is essentially a problem-solving activity designed to ask customers to behave more in line with the economic interests of the company.

Typical tasks for sales promotion are: slow stock movement, counteracting competitive activity, encouraging repeat purchase, securing marginal buyers, getting bills paid on time, inducing trial purchase, and so on.

From this, it will be seen that sales promotion is not necessarily concerned with volume increases. For example, it is often used to assist production and distribution scheduling by persuading customers to bring forward their peak buying from one period to another. To summarize, sales promotion seeks to influence:

- salespeople to sell
- customers to buy
- customers to use more, earlier, faster, etc.
- users to buy
- users to use.

In recent years sales promotion activity has increased to such an extent that it now accounts for as much expenditure as above-the-line advertising.

However, it is important to realize that, on its own, sales promotion will not replace selling, change long-term trends, or build long-term customer loyalty.

Nevertheless, while sales promotion is essentially a tactical device, it also has an important strategic role to play, as we shall see later.

Different kinds of sales promotion

The many and varied types of sales promotions are listed in Table 7.7. Each of these different types is appropriate for different circumstances and each has advantages and disadvantages. For example, with a promotion that consists of a free case bonus, it is possible to measure precisely both the cost of the extra cases and the additional volume resulting from the offer; it is fast and flexible; it is effective where the customer is profit conscious; it can be made to last as long as required; and it is simple to set up, administer and sell. On the other hand, it has no cumulative value to the customer, is unimaginative, and can often be seen as a prelude to a permanent price reduction.

Points schemes are flexible, have wide appeal, do not involve the company in holding stocks of gifts, customers cannot easily value gifts, and they are easy to administer. On the other hand, they offer no advantages in bulk buying, are difficult to budget, and they lack the immediacy of dealer loaders.

Great care is necessary, therefore, in selecting a scheme appropriate to the objective sought.

The strategic role of sales promotion

Because sales promotion is essentially used as a tactical device, it often amounts to little more than a series of spasmodic gimmicks lacking in any coherence. Yet the same management that organizes sales promotion usually believes that advertising should conform to some overall

	Type of promotion					
	Money		Goods		Services	
Target market	Direct	Indirect	Direct	Indirect	Direct	Indirect
Consumer	Price reduction	Coupons Vouchers Money equivalent Competitions	Free goods Premium offers (e.g. 3 for 2) Free gifts Trade-in offers	Stamps Coupons Vouchers Money equivalent Competitions	Guarantees Group participation events Special exhibitions and displays	Cooperative advertising Stamps Coupons Vouchers for services Events admission Competitions
Trade	Dealer loaders Loyalty schemes Incentives Full-range buying	Extended credit Delayed invoicing Sale or return Coupons Vouchers Money equivalent	Free gifts Trial offers Trade-in offers	Coupons Vouchers Money equivalent Competitions	Guarantees Group participation events Free services Risk reduction schemes Training Special exhibitions Displays Demonstrations Reciprocal trading schemes	Stamps Coupons Vouchers for services Competitions
Sales force	Bonus Commission	Coupons Vouchers Points systems Money equivalent Competitions	Free gifts	Coupons Vouchers Points systems Money equivalent	Free services Group participation events	Coupons Vouchers Points systems for services Event admission Competitions

Table 7.7: Types of sales promotions.

strategy. Perhaps this is because advertising has always been based on a philosophy of building long-term brand franchise in a consistent manner, whereas the basic rationale of sales promotion is to help the company retain a tactical initiative.

Even so, there is no reason why there should not be a strategy for sales promotion, so that each promotion increases the effectiveness of the next.

In this way a bond between seller and buyer is built up, so that the tactical objectives are linked in with some overall plan, and so that there is generally a better application of resources.

Influential promotional schemes such as Tesco Clubcard, which has conversion rates on its coupons of around 23 per cent, are proof that it is possible to establish a style of promotion that, if consistently applied, will help to establish the objectives of a product over a long period of time, which are flexible and which have staying power. For Tesco, the coupons build not just sales today but also long-term customer value, for example by motivating trial of products that the firm predicts this particular customer will like.

Applying sales promotion to business-to-business products

Business-to-business goods are always sold to other organizations and this has the effect of changing the emphasis placed on certain elements of the marketing mix, rather than having any fundamental effect on the relevancy of the marketing concept.

It will not be surprising, then, to learn that, suitably adapted, most consumer goods sales promotional techniques can be applied to business-to-business goods and services.

Yet in spite of this, sales promotion is comparatively rare in business-to-business markets, perhaps partly from a belief born in the engineering discipline that if a firm has to promote its products, there must be something wrong with them.

In recent years, however, business-to-business companies have begun to take note of the enormous success of sales promotion campaigns and are becoming more aware of sales promotion as a flexible and competitive tool of marketing.

One industrial goods company with divisions spanning a range of products from fast-moving industrial goods to high-priced capital goods has developed a range of special promotional schemes, which include the following: trade-in allowances; competitions; reciprocal trading schemes; credit arrangements; training schemes; desktop give-aways; custom-built guarantees – all made as featured offers.

Preparing the sales promotion plan

There is widespread acknowledgement that sales promotion is one of the most mismanaged of all marketing functions. This is mainly because of the confusion about what sales promotion is, which often results in expenditures not being properly recorded. Some companies include it with advertising, others as part of sales force expenditure, others as a general marketing expense, others as a manufacturing expense (as in the case of extra product, or special labels, or packaging), while the loss of revenue from special price reductions is often not recorded at all.

Such failures can be extremely damaging because sales promotion is such an important part of marketing strategy. Also, with increasing global competition, uncertain economic conditions, and growing pressures from channels, sales promotion is becoming more widespread and more acceptable.

This means that companies can no longer afford not to set objectives, or to evaluate results after the event, or to fail to have some company guidelines. For example, a 1 ecu case allowance on a product with a contribution rate of 3 ecu per case has to increase sales by 50 per cent just to maintain the same level of contribution.

Failure at least to realize this, or to set alternative objectives for the promotion, can easily result in loss of control and a consequent reduction in profits.

In order to manage a company's sales promotion expenditure more effectively, there is one essential step that must be taken. First, an objective for sales promotion must be established in the same way that an objective is developed for advertising, pricing or distribution.

The objectives for each promotion should be clearly stated, such as trial, repeat purchase, distribution, display, a shift in buying peaks, combating competition, and so on. Thereafter, the following process should apply:

- select the appropriate technique
- pre-test
- mount the promotion
- evaluate in depth.

Spending must be analysed and categorized by type of activity (e.g. special packaging, special point-of-sale material, loss of revenue through price reductions, and so on).

Sales promotion is an important part of marketing strategy, but it is one of the most mismanaged of all marketing functions.

One company manufacturing self-assembly kitchens embarked on a heavy programme of sales promotion after a dramatic reduction in consumer demand. While they managed to maintain turnover, they were worried that their sales promotional activity had been carried out in such a haphazard and piecemeal fashion that they were unable to evaluate the cost-effectiveness of what they had done. They were also very concerned about its effect on company image and their long-term consumer franchise. So, the company made a concentrated study of this area of expenditure, which now represented over half their communication budget. Next time round they had clear objectives, a clear promotional plan properly integrated into the marketing plan, and an established means of assessment.

As for the sales promotional plan itself, the objectives, strategy and brief details of timing and costs should be included. It is important that too much detail should not appear in the sales promotional plan. Detailed promotional instructions will follow as the marketing plan unfurls. For example, the following checklist outlines the kind of detail that should eventually be circulated. However, only an outline of this should appear in the marketing plan itself.

Checklist for promotional instruction

Heading	Content
1. <i>Introduction</i>	Briefly summarize content – what? where? when?
2. <i>Objectives</i>	Marketing and promotional objectives for new product launch.
3. <i>Background</i>	Market data. Justification for technique. Other relevant matters.
4. <i>Promotional offer</i>	Detail the offer: special pricing structure; describe premium; etc. Be brief, precise and unambiguous.
5. <i>Eligibility</i>	Who? Where?
6. <i>Timing</i>	When is the offer available? Call, delivery or invoice dates?
7. <i>Date plan</i>	Assign dates and responsibilities for all aspects of plan prior to start date.
8. <i>Support</i>	Special advertising, point of sale, presenters, leaflets, etc., public relations, samples, etc.
9. <i>Administration</i>	Invoicing activity; free goods invoice lines; depot stocks; premium (re)ordering procedure; cash drawing procedures.

10. <i>Sales plan</i>	Targets; incentives; effect on routing; briefing meetings; telephone sales.
11. <i>Sales presentation</i>	Points to be covered in call.
12. <i>Sales reporting</i>	Procedure for collection of required data not otherwise available.
13. <i>Assessment</i>	How will the promotion be evaluated?
<i>Appendices</i>	

Usually designed to be carried by salespeople as an aid to selling the promotion:

- summary of presentation points
- price structures/profit margins
- summary of offer
- schedules of qualifying orders
- blank order forms for suggested orders
- copies of leaflets.

Also required by the sales force may be:

- samples of (new) product
- demonstration specimen of premium item
- special report forms
- returns of cash/premiums, etc., issued.

Note: It is assumed that the broad principles of the promotion have already been agreed by other managers affected by it, such as sales managers.

Public Relations*

As the name suggests, 'public relations' is concerned with an organization's relationships with the various groups, or 'publics', that affect its ability to achieve its goals and objectives. The aspects of these relationships which act as a focus for public relations are the image and information a market holds about an organization. In other words, its *position* in the market. At a simple level, this is achieved through publicity in various print and broadcast media. However, the broader views being encouraged by moves towards relationship marketing require public relations activities to be more specific in their targeting and objectives. Public relations, therefore, is an important support for both positioning and relationship marketing.

Public relations messages can be far more influential than advertising. Interest in public relations is also being stimulated by the reducing power and cost-effectiveness of mass media advertising. As the volume of communications aimed at the public increases and media channels proliferate, public relations offers an alternative means of reaching the audiences that an organization would like to influence. A message received, for instance, via an editorial can be up to five times more influential than one received via an advertisement. Public relations, however, is unlikely to replace advertising or other means of communication and promotion. A more likely development is that it will increase its significance as an integral part of a communications or promotions mix.

* The sections on public relations and sponsorship are indebted to Ardi Kolah.

Public Relations Communications Tools

Public relations activities cover a number of different areas

News generation

One of the most widely used is the *generation of news*. News is best structured around a story, which can incorporate information about an organization or its products. Stories can be created around discoveries, achievements, personalities or changes. Often surveys or projects are commissioned to provide 'objective' reports about topics of relevance to both the sponsoring organization's products and its position. Thus, toothpaste manufacturers might support dental health research or a financial services organization might investigate people's attitudes towards saving. News can also be used to make consumers aware of the existence of a product or service in order to stimulate enquiries from interested parties. It must also be remembered, however, that placing news where it will be accepted for publication is as important a skill as spotting and reporting newsworthy activities.

Events

Organizations can also gain people's attention through staging or sponsoring *events*. These can range from simple news conferences and seminars to exhibitions, competitive activities, anniversary dinners and stunts. All are likely to gain media coverage and draw attention to the sponsoring organization's name. They can also aid the achievement of credibility or establish images with which an organization would like to be associated. Events are also good opportunities to develop relationships with suppliers, opinion leaders and associates, as well as customers.

Publications

An organization's *publications* are another method of communication in which public relations will have an active interest. Sales support material is an obvious example, which can include brochures, manuals and presentations, usable by all personnel who have contact with the outside world. Annual reports, other public interest communiqués and special publications such as cookery books and children's stories also provide vehicles for influencing both customers and those who can affect customers' perceptions. Internal audiences and significant stakeholders are often addressed by organizational newsletters and magazines.

Support for good causes

Organizational *support for good causes* is another means of promoting an image and associating an organization with a certain set of values. This can include charity donations in return for product coupons; the sponsorship of public service activities such as festivals; and individual executives' support for local community interests such as educational establishments, hospitals or crime prevention. All these provide many opportunities for publicity elsewhere.

Expert opinion

Individuals within an organization can also act as sources of *expert opinion* for journalists, public enquiries or other forms of research and investigation. Public relations managers may seek to promote the expertise in their organization through the dissemination of contact lists and by grooming individuals' interviewing and presentational skills.

Visual identity

Organizations also often seek to establish a *visual identity* through either conformity of design or logos. While design can make it easier for customers to recognize an organization's products when they come across one, logos and other identification marks can be more important for internal markets as a means of signifying change or commonality of purpose.

Scope of Public Relations

Public relations are a powerful support to positioning

Public relations can provide a powerful support for an organization's positioning objectives. As examples, *events* can be used to reinforce brand values, or *publications* can help to draw the public's attention to features such as the stability or innovative nature of an organization. Less directly, but still importantly, public relations can be used to establish credibility for either an organization or its technologies, on the back of which a position can be established. Similarly, public relations may be used to build awareness of new products, new processes or other changes which will enhance an organization's ability to serve its customers. Public relations can thus prepare the way for more direct positioning activities such as sales force campaigns; advertising; pricing mechanisms; and packaging.

Developing relationships with both customers and other markets can also benefit from public relations activities. At one level, good relationships involve sharing information, and public relations tools such as sales support materials, specialist publications and research results are useful vehicles here. At another level, relationships should involve demonstrations of commitment and, again, public relations can provide support. This can be through inviting individuals from targeted markets, be they customer markets, influencer markets, referral markets or third party intermediaries, to events. Alternatively this could be achieved by acknowledging their activities with awards, mentions in press releases or by referrals of media enquiries to them. These can be further supported by sales force and sales promotions activities.

An additional role for public relations is in dealing with special problems or disasters and limiting the damage such events can have on an organization. In this respect, the tobacco industry maintains a vigilant public relations campaign to limit the effects of adverse health publicity and government restrictions on advertising. An alternative example is provided by Perrier when it became known that some of their product had become contaminated with poisonous chemicals. To limit the potential damage to their brand names, they immediately embarked on a widespread public relations campaign to show that this was an isolated event and that the public were in no danger. Coca-Cola, however, were not so lucky when they launched Dasani (bottled purified water) in the UK in 2004. First, they just survived the revelation that it was simply tap water, filtered with some additives with some good defensive public relations ('it goes through a sophisticated high tech filter system'). However, the death knell came a few weeks later when it was revealed that a batch of minerals had contaminated the water with a potentially carcinogenic bromate, which no amount of public relations could overcome.

Public relations can be a powerful means of shaping attitudes and opinions

Public relations, then, can be a significant aspect of an organization's promotional mix and can be very influential in shaping attitudes and opinions. Relatively speaking, it is also a cheap means of gaining publicity and access to media channels. As an example, the value to Fuji of advertising on a modern airship was not the direct effect on the people it flew over, but the television coverage it gained from the novelty of the presentation. On a lesser scale, public relations are also very useful for smaller organizations with limited promotional budgets, although the exact results of public relations spending are always hard to quantify.

Sponsorship

Sponsorship has been a popular means of supporting a product or organization's position in its chosen markets since the 1980s. The impetus is to seek a wider variety of communication channels to promote a name or product derived mostly from the growing cost of media

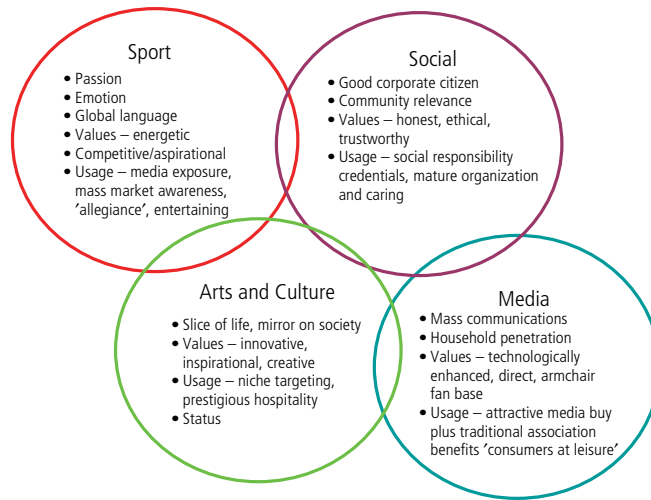


Figure 7.17: Sponsorship types.

Source: Kolah, A. (2006) *Sponsorship: Strategies for maximizing the return on investment*. Sport Business Group, London.

advertising. In addition, sponsoring the right kind of person or activity often gave global coverage that would have been difficult to achieve elsewhere, and sponsorship also offered tobacco companies exposure that was increasingly difficult to achieve as they were banned from TV advertising.

Sponsorship can be defined as any commercial agreement by which a sponsor, for the mutual benefit of the sponsor and sponsored party, contractually provides financing or other support in order to establish an association between the sponsor's image, brands or products and a sponsorship property in return for rights to promote this association and/or for the granting of certain agreed direct or indirect benefits.

Types of sponsorship

In general, sponsorship falls into four distinct property types: sport (83 per cent), social (5 per cent), arts and culture (7 per cent) and media (5 per cent) (Figure 7.17).

Examples of sponsorship activities include:

- The Arts – Unilever and the Tate Modern
- Social and Community – Tesco's Race for Life
- Educational – BT and information technology in schools
- Entertainment – T in the Park
- Broadcast – Nokia and X-Factor, ITV1
- Sports – Emirates and Arsenal FC
- Personality – Gucci and Jude Bellingham

Sponsorship can be on a local, regional, national, international and global level, ranging from as little as under £100 to over £1 billion and more. Thus, in 2022, Budweiser spent about \$75 million as official sponsor of the football World Cup and several million pounds are required to sponsor a high profile football team for a year.

Growth of sponsorship

As the twenty-first century unfolds, sponsorship continues to be one of the fastest developing areas of marketing practice in the world today. The global sponsorship market is currently worth over \$66 billion. For many organizations, sponsorship has established itself as an essential part of the marketing mix as a result of its perceived ability to make a difference, not only to brand awareness but also, more significantly, to a sponsor's 'bottom line'.

Objectives of sponsorship

To use sponsorship well, organizations have to be clear about the outcomes they desire. Simply requiring a better 'bottom line' is inappropriate since there are few occasions where increased business or acceptance of a price increase can be directly traced to sponsorship. More realistic and potentially more measurable objectives include:

- Competitive advantage from association or exclusivity.
- Alteration or reinforcement of public perception of the sponsor.
- Associating a business with particular market segments.
- Involving the company's employees in the community.
- Generating positive media coverage.
- Building goodwill among decision makers.

Sponsorship processes

Like all positioning support activities, sponsorship needs to be carefully planned and managed, as illustrated in Figure 7.18.

Phase 1: Existing activity review

The existing activity review should include all positioning support activities and how sponsorship can both complement and enhance them. It is important that any sponsorship programme is consistent with the creative aspects used in other communications and that timings of activities can be coordinated. If, for example, sponsorship is for a high profile event, other communication activities need to support the build-up to the event, and then consolidate the position as the event fades from the public's mind.

Getting the right balance of activities is particularly important if sponsorship is to be used to support brand positioning where consistency of brand values is paramount. Sponsoring a

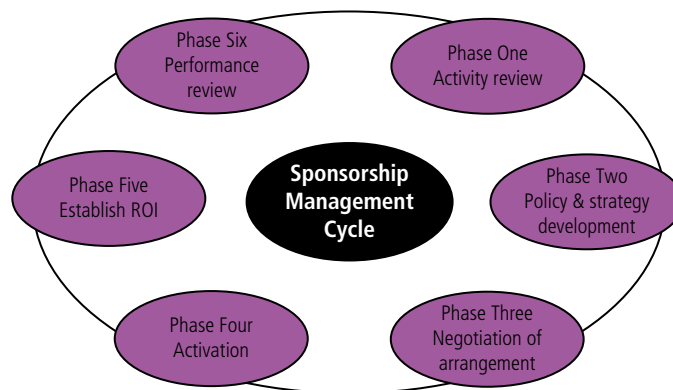


Figure 7.18: Sponsorship management cycle.

poor-performing Formula One racing team, for instance, may not enhance the brand value as much as desired. Similarly, to ensure ROI, sponsoring a televised event must take into consideration the expected audience profiles and viewing figures to be worthwhile.

Phase 2: Policy and strategy development

A sponsorship strategy needs to be focused on the positioning objectives being pursued. The core decision is what or who should be sponsored, followed by plans for leveraging the association to the maximum cost-effective extent. In the early 2020s, Emirates' sponsorship portfolio included several football clubs with international brands, such as AC Milan, Real Madrid and Arsenal, in addition to brands in rugby and tennis such as the US Open, as well as classical orchestras. The intended association was excellence on a global scale and much effort was put into gaining as many spin-off benefits as possible.

Any sponsorship policy and strategy should include:

- measurable objectives (as far as possible)
- audience segmentation (including employees)
- brand essence or image being supported
- fit with desired positioning
- timescales and timings
- geographical requirements
- integration with other communications channels (spin-off opportunities)
- desired impact on behaviour of audiences
- contingency plans if things change.

The key issue is to ensure a good business case for any sponsorship to avoid serving personal preferences rather than positioning objectives.

Phase 3: Negotiation

The objective of the negotiation phase is usually:

- an extension of a sponsorship programme
- an extension subject to certain amendments
- a new sponsorship agreement
- termination of the old relationship.

Sponsorship negotiations vary depending on the respective bargaining strengths of the parties involved as well as the nature of the property involved. Whatever the case, however, it is important to ensure satisfactory legal arrangements, that the costs of sponsorship match the value of the intended returns, and that there is sufficient exclusivity.

Phase 4: Activation of the sponsorship programme

Negotiation of the right to associate with a sponsored property is, however, only the first step in a sponsorship programme. Coca-Cola in the USA, for instance, spends upwards of four times the sponsorship rights fee in its activation of its FIFA football World Cup and Olympic Games properties. Activation activities based on Nike's sponsorship of US top basketball player LeBron James might include:

- advertising (LeBron James wears Nike)
- new media promotions (Nike/LeBron James websites)
- hospitality (come and join us at a LeBron James basketball match)

- licensing (special LeBron James Nike shoes)
- public relations (LeBron James visits Nike factory in Indonesia)
- promotions (free entry into a 'Dinner with LeBron James' competition with every Nike product purchase).

Phase 5: Return on investment (ROI)

Establishing an overall ROI for a sponsorship programme can be tricky since it will be hard to link sales directly with sponsorship expenditure given the more powerful impact of other marketing activities. However, if measurable objectives have been set as part of the strategy and activation processes, it is possible to ensure the expected returns in other areas are achieved. These could include:

- expected media exposure and audience figures
- increases in awareness, image, affinity, etc.
- levels of association
- attendance at sponsored events.

Phase 6: Review

Following measurements of the ROI of a programme, all experiences need to be evaluated and any lessons to be learnt established. These might include seeking answers to questions such as: 'did we sponsor too many events?' and 'how did competitors respond to our sponsorships?' Sponsors may decide to withdraw sponsorship of, say, a football team if too many of its players get embroiled in violent conduct. Similarly, a retailer might withdraw from sponsorship of food banks (popular with the public in the early 2020s due to the difficult economy) if its competitors find a better way of offering the sponsorship. In the UK supermarket giants Tesco and Sainsbury have variously emphasized vouchers that can be exchanged for computers, sports equipment and (since the Covid-19 pandemic) extra online tuition by schools.

CHAPTER 7 REVIEW

The communications mix

In order to achieve its marketing objectives, the company has to communicate with existing and potential customers. It can do this directly, face-to-face, generally using a sales force, or call centres, or indirectly, using advertising, promotion, electronic media and point-of-sale displays. The choice of communications mix should be determined on the basis of what is going to be most cost-effective in terms of achieving the objectives, that is, whatever gets the best results per given cost.

Advertising objectives

There are many possible advertising objectives:

- to convey information
- to alter perceptions
- to alter attitudes
- to create desires
- to establish connections, e.g. basketball and Nike
- to direct actions
- to provide reassurance
- to remind

- to give reasons for buying
- to demonstrate
- to generate enquiries.

Try Exercises 7.1 and 7.2

Acid test – is it possible to achieve this objective by advertising alone?

No – rethink objective and/or the means of achieving it

Yes – go ahead

The advertising plan

The advertising plan has a number of questions to ask: Who is the target audience? What do we know about them? What sort of people are they, and so on? What response do we want to achieve? What do we want to say, convey, make them feel, believe or understand, and so on? How are we going to proceed? What is our creative platform? Can we be sure this is appropriate? Where is the best place to put our communications? Will it be cost-effective? Does it generate the right image, and so on?

Try Exercise 7.3

When will our communications be displayed? Is this the best time? Does it mesh in with other activities, and so on? *Result* – what do we expect to achieve? How will we measure this? Does it mesh in with other activities, and so on? *Budget* – how much is needed? How much is going to be available? How will it be controlled, and so on? *Schedule* – who is going to do what, where and when? What is being spent on what, where and when?

Try Exercise 7.4

Sales promotion objectives

Sales promotion seeks to influence: salespeople to sell customers to buy more, customers to use earlier, users to buy faster, users to use, distributors to stock, and so on. It is essentially a short-term tactic. In order to achieve these objectives the promotion can use: *money* – price reductions, coupons, competitions, and so on; *goods* – free goods, for example, two for the price of one, trade-ins, free trials, redeemable coupons, and so on; *services* – guarantees, training, prizes for events, free services, and so on.

Try Exercise 7.5

The sales promotion plan

The sales promotion plan covers the objectives of the promotion: *background* – why the method was chosen; *eligibility* – who and where?; *timing* – opening and closing dates; support in terms of materials; administration required; *the sales plan* – target, incentives; *sales presentation* – points to cover; monitoring procedure to collect data regarding progress, and so on; *assessment* – how will it be evaluated?

Try Exercise 7.6***Questions raised for the company***

1. Q: Who should design marketing communications?
A: There is no golden rule and options might be limited by the available budget. Most companies use outside agencies in order to achieve the required level of professionalism. Communications objectives, however, should always be set by you and not by an advertising agency.
2. Q: It's been said that 'half the advertising budget is wasted; the problem is to know which half'. Is this true?
A: It might be for some companies, but, by following the notes and exercises provided here, you should be able to avoid such a problem.
3. Q: Sales promotions aren't used in our business, so would they be a viable marketing tactic for us?
A: If, by using a promotion, a company breaks new ground, it could give it a differential advantage over competitors.
4. Q: If a sales promotion is successful, should it be kept running?
A: Once it has achieved its objectives, there seems little point in continuing. It can always be brought back later, and thereby retain its impact and 'freshness'.

APPLICATION QUESTIONS

1. How does your company determine its communications mix (i.e. the relative emphasis given to advertising, sales promotion and personal selling)?
2. Describe the buying process in one of your major customer groups. Who are the key influencers? Critically appraise your strategy for communicating with them.
3. Critically appraise your advertising objectives.
4. Using the checklist given in the text, critically appraise your advertising plan.
5. When you launch a new product or service, do you target your communications specifically at the opinion leaders? Do you know who they are? Can you describe them in terms that are relevant to advertising?
6. Critically evaluate your sales promotional plan.
7. How do you evaluate your sales promotional activities?

EXERCISES

These exercises look at the topics in the context of a 'communications mix'.

We start with an examination of what communications objectives are (Exercise 7.1).

We then look at how to set communications objectives for one of your own product/market areas (Exercise 7.2), how to choose the most appropriate communications media (Exercise 7.3) and how to build up an advertising plan (Exercise 7.4).

(Continued)

Sales promotion is tackled in a slightly different way. The first question that is asked is: 'Is a promotion necessary?' (Exercise 7.5). If the answer to this question is affirmative, then Exercise 7.6 demonstrates how to plan a sales promotion.

Exercise 7.1 What are communications objectives?

There are two basic questions that communications objectives should address. 'Who are the people we are trying to influence?' and 'What specific benefits or information are we trying to communicate to them?'

Research has shown that many companies set objectives for marketing communications which cannot possibly be achieved through communications alone. For example, 'to increase sales' or 'to wipe out the competition'. Equally, it is unrealistic to set an objective 'to convince the target market that our product is best', when any rational analysis would clearly show this not to be true.

Often there is an element of confusion about what communications objectives are and what marketing objectives are. Remember, marketing objectives are concerned with what products go to which markets, whereas communications objectives are measurable targets concerned principally with changing attitudes and creating awareness.

Here is a list of marketing or other objectives and communications objectives mixed up together. Read through this list and write against each objective:

C – if you believe it to be a communications objective, or

M – if you believe it to be a marketing or other objective.

Marketing (M) or communications (C) objectives?

1. To make attitudes more favourable to a particular product.
2. To build an image for the product.
3. To stop existing users turning to competitive products.
4. To get across the idea of a unique product.
5. To create a brand leader to help the launch of additional products at a future date.
6. To win back previous product users who have defected to a competitive product.
7. To expand the whole market.
8. To reduce existing negative attitudes.
9. To keep building loyalty.
10. To establish the brand and position it in a particular way, e.g. as warm and friendly.
11. To create a brand leader in a particular market.
12. To increase sales among existing users.
13. To improve the frequency of purchase.
14. To keep new entrants out of the market.

15. To convey the idea that the product is 'value for money'.
16. To say how much people like the product.
17. To improve market share compared with competitors.
18. To maintain brand distribution.

The answers to Exercise 7.1 are as follows:

Communications objectives: numbers 1, 2, 4, 8, 9, 10, 15 and 16.

Marketing or other objectives: numbers 3, 5, 6, 7, 11, 12, 13, 14, 17 and 18.

If you made some mistakes in identifying the objectives correctly, go back and have another look at them and see if you can work out where you went wrong.

Exercise 7.2 Setting advertising objectives

Behind all effective advertising there lies a lot of careful thought and planning, and much of it goes into ensuring that the advertising objectives are the right ones. If these are wrong, everything else that follows is doomed to failure.

In this exercise you are asked to concentrate on just one key market or market segment. It should be a relatively simple matter to repeat the process for other markets at some later date.

Make a note somewhere about which market or segment you will be addressing. Remember, from the Boston Matrix or directional policy matrix, 'stars' will probably be most deserving of the advertising budget.

Now make a note about the marketing objectives which have been set for this market/ segment, for example, what products? what quantities? to whom? and so on. Having assembled this information, from the list of 'Possible advertising objectives' below:

1. Select the most appropriate objectives, i.e. those that look the most promising to help the company achieve these marketing objectives (tick in the column).
2. From those you have ticked, eliminate any objectives that you believe can only be achieved by personal communication, i.e. by the sales force.
3. List your remaining objectives in rank order, the most important being at the top of the list.
4. Use only the top objective (and perhaps the second) as a basis for your advertising campaign.

(Continued)

Possible advertising objectives

	Tick here		Tick here
• To establish an immediate sale • To bring a prospect closer to a sale • To change customer perceptions • To direct customer action • To support the sales force • To reinforce attitudes of existing customers • To open up distribution • To improve company image • To demonstrate the product capabilities • To generate enquiries • To impart information • To reassure customers • To 'score points' off competitors' advertising • To enter new markets • To give reasons for buying • To create awareness • To support retailers • To convey the idea of 'value for money' • To reach new geographical areas		• To promote the idea of a unique product • To back up promotions • To develop favourable attitudes to a particular product • To counter price competition • To remind customers about our product • To reinforce the company image • To defend market position • To support the launch of a new product/service • To explain new uses for product • To emphasize range and choice • To reinforce brand recognition • To inform about product availability • To educate customers • To communicate company strengths • To build customer loyalty • To say how much people like the product	

If you think this list omits possible advertising objectives for your company, then extend the list by adding your own objectives to it.

Exercise 7.3 Choosing the communications media

The previous exercise should have helped to identify the advertising objectives for your chosen market/segment. The next logical step would be to decide exactly what you want to communicate – your creative platform.

However, such a step does not really lend itself to an exercise. Indeed, copywriting is such a specialized form of communication that most companies engage outside specialists to deal with it. Even so, having decided upon the advertising objectives, you must switch your focus of attention now to the target population you hope to influence:

- Who are they?
- What positions do they hold?
- What is their influence on the purchasing decision?
- What personality traits do they exhibit?
- What socio-economic groupings do they belong to?
- What lifestyles do they have?
- How old are they? What gender are they? Are they married? And so on.

Please note that it is usually easier to determine the most appropriate media in the case of business-to-business customers, although the same logic applies.

You need to assemble as much information as you can about the target population. The more you know about them, the better your chances of selecting the best medium for your advertising platform.

The accompanying worksheet gives a list of possible advertising media. Study this list and select what would be the best choice, taking into account your objectives and the profile of the target audience.

In making your choice, you will need to take four factors into account:

1. *The character of the medium* – the geographical coverage it gives, the types of audience it reaches, its frequency of publication or showing, its physical possibilities (such as colour, sound, movement), its power or potential to reach special groups, etc.
2. *The atmosphere of the medium* – its ability to convey an image consistent with your objectives, e.g. hard and punchy, discreet, elegant, exclusive, etc.
3. *The 'size' of the medium* – the number of people exposed to the medium in terms of being aware of the contents. For example, a newspaper might be read by two or three members of a family, whereas a technical journal might be circulated to a large number of managers within a company. Alternatively, a poster might be passed by tens of thousands of people.
4. *The comparative cost* – how much will it cost to reach a specific audience.

The cost per 1,000 viewers is often used as a comparative ratio.

There is space on the accompanying worksheet to make notes about these factors, should you be required to keep a record of what influenced your choice of medium.

Worksheet Advertising media (Exercise 7.3)

	Medium	Characteristics	Atmosphere	Size	Comparative cost
Printed media	Local newspapers				
	National newspapers				
	Trade and technical press				
	Magazines and periodicals				
	Direct mail				
	Leaflets				
	Directories (Yellow Pages, buyers' guides, etc.)				
Others	Television				
	Posters (static)				
	Transport (on trains, buses, vans, etc.)				
	Cinema				
	Radio				
	The Internet				
	Other (specify)				

(Continued)

Having decided what you want to communicate (your advertising objectives, Exercise 7.2), worked out the creative platform of the exact message you wish to convey, and decided on the choice of media (Exercise 7.3), you have assembled the key ingredients of an advertising plan. What remains to be done is to establish when the advertising will be used, who will be responsible for the various activities in bringing what is still an idea into life, how progress will be monitored and the criteria by which success will be judged.

The accompanying worksheet provides a simple format to record all this information. We would recommend that you try using it, and then adapt it to your particular purposes, so that you finish up with something that is genuinely tailor-made.

Exercise 7.4 The advertising plan

Worksheet Advertising plan (Exercise 7.4)

ADVERTISING PLAN FOR _____ (either product or service/ market or segment)							
ADVERTISING OBJECTIVES TO _____							
<i>Selected media</i>	<i>Brief description of advert</i>	<i>Timing</i>	<i>Responsibility</i>	<i>Budget</i>	<i>Actual cost</i>	<i>Criteria by which success will be judged</i>	<i>Evaluation comments</i>

Note: Now complete advertising plans for other products/services and market segments.

Exercise 7.5 Is a promotion necessary?

Sales promotions should be seen as the logical development of the company’s marketing strategy. As such, they should be complementary to all other parts of the communications mix and should not be seen as an alternative, or some disconnected activity.

There are three key questions to be answered:

- 1. How do we decide whether or not to run a promotion?
- 2. What form should the promotion take?
- 3. How do we plan it?

The first two questions are addressed by this exercise. The planning element is covered in Exercise 7.6.

In order to give this exercise a clear focus, please select just one of the product/market areas of your portfolio and work with it. Once you have worked through this process, you will see how it can be used elsewhere, with other products/markets.

- Step 1 On a separate piece of paper, write down the problems you see affecting sales of the product or service in the market/market segment you have chosen. If there are no problems, you might question why a sales promotion is being considered in this area. Your efforts might be better spent focusing on another part of your product/service range.
- Step 2 Look at the problems you have listed and rank them in order of 'seriousness', 1 being the major problem, 2 the next, and so on.
- Step 3 Transfer the information you have just assembled to column 1 of the accompanying worksheet.
- Step 4 Taking the major problem first, work across the page on the worksheet and consider the possible solutions to the problem listed there. You will note that there is space to add solutions of your own.

Clearly, a sales promotion is not always going to be the way to resolve a sales problem. However, the economics or convenience of one type of solution compared with another might well sway the argument. For example, the best solution to the sales problem might be to modify the product, but this might be very costly and take time to achieve. In such circumstances, a sales promotion might work in terms of both costs and immediacy.

Therefore, considered judgement has to be used in weighing up the costs and likely chances of success of each possible solution. Only when the sales promotion option looks favourable should you take matters to the next stage of deciding upon the type of promotion.

- Step 5 If a sales promotion will not make any impact on the major sales problem, work across the page again for the next problem down. Continue this process for other sales problems until a sales promotion is found which would appear to hold the promise of success.

Ideally, the sales promotion should make an impact on a fairly serious sales problem. If it is only going to affect a marginal issue, it raises questions about whether or not it is worth spending the time and effort on the promotion and whether another area might be more deserving of attention.

(Continued)

Worksheet Deciding if sales promotion will help (Exercise 7.5)

PRODUCT/SERVICE/MARKET SEGMENT UNDER CONSIDERATION _____														
Problems affecting sales	POSSIBLE SOLUTIONS													
	More advertising		More sales effort?		Change price?		Change product?		Sales promotion?		Other ideas (add your own)			
	Cost	Likely success	Cost	Likely success	Cost	Likely success	Cost	Likely success	Cost	Likely success	Cost	Likely success	Cost	Likely success
Major problem	1													
	2													
	3													
Problems listed in reducing order	4													
	5													
	6													

Having established that a sales promotion is a suitable way to have an impact on a particular sales problem you must now decide on the nature of the promotion.

In broad terms, a promotion can be aimed at three target groups:

1. Customers or consumers.
2. Channels/intermediaries.
3. Your own sales force.

The promotion can also take one of three forms:

1. It can involve money.
2. It can involve goods.
3. It can involve services.

You will have to decide first of all which target group needs to be influenced most to make an impact on your sales problem. You might even decide it is more than one group.

Having made that decision, you then have to work out what type of promotion will have maximum appeal to that group. Ideally, you will be able to devise something with maximum appeal, at a modest cost. However, when considering the cost element, you must remember that the promotional costs have to be weighed up against the benefits of reducing the specific sales problem.

Table 7.4 provides a number of ideas about sales promotions and enables you to select the most appropriate type for your purposes.

Exercise 7.6 Planning a sales promotion

It is important to ensure that any sales promotion is well coordinated in terms of what happens before, during and after the promotion. At different stages, different people might be participating and special resources might be required. Therefore, a plan needs to be prepared in a simple way that most people can follow. In essence, this is all you need in a plan.

Heading	Content
Introduction	Briefly summarize the problem upon which the promotion is designed to make impact
Objectives	Show how the objectives of the promotion are consistent with the marketing objectives
Background	Provide the relevant data or justification for the promotion
Promotional offer	Briefly, but precisely, provide details of the offer
Eligibility	Who is eligible? Where?
Timing	When is the offer available?
Date plan	The dates and responsibilities for all elements of the promotion
Support	Special materials, samples, etc., that are required by the sales force, retailers, etc.
Administration	Budgets, storage, invoicing, delivery, etc.
Sales plan	Briefing meetings, targets, incentives, etc.
Sales presentation	Points to be covered
Sales reporting	Any special information required
Assessment	How the promotion will be evaluated

Using these guidelines, and the accompanying worksheet, try to extend the information you assembled in Exercise 7.5 into a complete promotional plan.

Worksheet Promotion plan (Exercise 7.6)

Content	Heading
1	Introduction
2	Objectives
3	Background
4	Promotional offer
5	Eligibility
6	Timing
7	Date plan
8	Support
9	Administration
10	Sales plan
11	Sales presentation
12	Sales reporting
13	Assessment

(Continued)

Exercise 7.7 Simulation practice

For real digital music companies, what does the customer journey look like in B2C versus B2B? Is it different when buying different products?

In your game, if you have not done so already, download the Marketing Plan (by going to Market Players and clicking on Marketing Plan). Then locate the Digital Marketing Tactics sheet.

This sheet provides a great template for defining the digital marketing budgets, targets and objectives for each market segment.

For each market segment in Column B, review, update and write:

1. The Value Proposition for the segment. Can it be improved? If it does not exist yet, then write one.
2. The Budgets for the segment. Go to the Expenditure Decisions screen in the simulation to check how much budget you plan to spend over the year.
3. The Targets for the Year ahead. The first two rows (covering Reach and Act), you should state the target performance of your value proposition (from 1 to 5) across the key customer needs. For the third row (covering Convert) you should state the sales targets for the year ahead.
4. If you could input the following information to the simulation, what would be:
 - a) The Digital Marketing Objectives for the next 6 months.
 - b) The Social Media Actions/Campaigns required [see the “Social media marketing” category in Figure 7.15].
 - c) The Website and Search Engine Actions/Campaigns required (see the “Search marketing” category in Figure 7.15).
 - d) The Other Digital Marketing Actions/Campaigns required (see categories 3 to 6 in Figure 7.15).
 - e) The IT Requirements necessary to deliver the plan.

What other elements of the communication mix are important to your plan? How will these tactics integrate with the digital marketing tactics? Add these to the Marketing Strategies sheet in the Marketing Plan.

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Chapter



THE SALES AND KEY ACCOUNT PLAN

SUMMARY

- Linking personal selling to marketing strategy
- How important is personal selling?
- The role of personal selling in the marketing mix
- How to set quantitative and qualitative sales objectives
- How to improve sales force productivity
- How sales forces should be managed
- How to prepare the sales plan
- How to manage key accounts
- How to prepare a key account plan
- Exercises to turn the theory into practice

INTRODUCTION

In the previous chapter, we described how to develop an integrated marketing communications plan. Another aspect of the 'promotion' part of the marketing mix is the sales force. In many sectors, personal selling still has an important strategic role to play in communicating between a company and its customers. Even when the sale is made by a channel partner such as a retailer, someone has to sell to (or work with) the retailer! To have a chance of success, management must be able to answer the following kinds of questions:

- How important is personal selling?
- What is the role of personal selling in the marketing mix?
- How many salespeople do we need?
- What do we want them to do?

- How should they be managed?
- Should we treat key accounts differently?

These and other questions will be considered in this chapter as important determinants of the sales plan. However, those readers who believe they already know enough about personal sales and key account management (KAM), or those who primarily use other sales channels such as websites, can go straight to the next chapter on multichannel planning.

LINKING PERSONAL SELLING TO MARKETING STRATEGY

A senior sales vice-president of a global chemical company informed the authors that in his particular division, it was well understood that with reference to the Ansoff Matrix:

- Selling products to existing customers requires one unit of sales effort.
- Selling new products to existing customers requires four units of sales effort.
- Selling existing products to new customers requires 40 units of sales effort.
- Selling new products to new customers requires 400 units of sales effort.

Marketing strategists should bear these 'statistics' in mind! Although they have not been validated by scholarly research, intuitively, any experienced person would agree with the essential insight.

HOW IMPORTANT IS PERSONAL SELLING?

Most organizations had an organized sales force long before they introduced a formal marketing activity of the kind described throughout this text. In spite of this fact, sales force management has traditionally been a neglected area of marketing management.

Personal selling is promotion via a person-to-person conversation, whether it be by video call, at the customer's premises, on the phone or elsewhere.

There are several possible reasons. One is that not all marketing and product managers have had experience in a personal selling or sales management role; consequently, these managers often underestimate the importance of efficient personal selling.

Another reason for neglect of sales force management is that sales personnel themselves sometimes encourage an unhelpful distinction between sales and marketing by depicting themselves as being at 'the sharp end'.

After all, isn't there something slightly daring about dealing with real live customers as opposed to sitting in an office surrounded by marketing surveys, charts and plans? Such reasoning is obviously misleading.

Unless a good deal of careful marketing planning has taken place before salespeople make their effort to persuade the customer to place an order, the probability of a successful sale is much reduced.

The suggested distinction between marketing 'theory' and sales 'practice' is further invalidated when we consider that profitable sales depend not just on individual customers and individual products but on groups of customers (i.e. market segments) and on the supportive relationship of products to each other (i.e. a carefully planned product portfolio).

Another factor to be taken into account in this context is the constant need for the organization to think in terms of where future sales will be coming from, rather than to concentrate solely on present products, customers and problems.

The authors have investigated many European sales forces over the last two decades and have found an alarming lack of planning and professionalism. Salespeople frequently have little idea about which products and which groups of customers to concentrate on, have too little knowledge about life within the businesses they are selling to, do not plan meetings well, rarely talk to customers in terms of the customers' own goals, make too little effort to close the sale, and make many calls without any clear objectives. Even worse, marketing management is rarely aware that this important and expensive element of the marketing mix is not being managed effectively.

The fact that many organizations have separate departments and directors for the marketing and sales activities increases the likelihood of such failures of communication. Although its importance varies according to circumstances, in many businesses the sales force is the most important element in the marketing mix.

MARKETING INSIGHT

In industrial goods companies, for example, it is not unusual to find very small amounts being spent on other forms of communication and very large sums being spent on the sales force in the form of salaries, cars and associated costs. Personal selling is also used widely in many service industries where customers are looking for very specific benefits. Personal financial advisors, for example, are often paid through a commission on the customer's purchases. Many of these 'sales' of higher-margin, more complex products are still personal, whether face-to-face or by video or telephone call. Customers almost invariably need to discuss which investments would best fit their particular needs and circumstances; it is the task of the salesperson to explain the choices available and to suggest the most appropriate investments.

Recent surveys show that more money is often spent by companies on their sales forces than on advertising and sales promotion combined. Personal selling, then, is a vital and expensive element in the marketing mix.

The solution to the problem of poor sales force management can only be found in the recognition that personal selling is, indeed, a crucial part of the marketing process, but that it must be planned and considered as carefully as any other element. Indeed, it is an excellent idea for any manager responsible for marketing to join the sales force for a few days each year and obtain orders by solving customers' problems. It is a good way of finding out what customers really think of the organization's marketing policies!

HOW DIGITAL MEDIA IMPACT PERSONAL SELLING

Digital media have transformed personal selling in five main ways that need to be considered when reviewing the effectiveness of sales and key account planning. The increase in digital selling touchpoints during and since the Covid-19 pandemic have increased the importance of all these activities:

1. **Digital customer discovery and negotiations.** Sales discovery conversations to understand customer needs are now often completed remotely using digital meeting platforms, as are negotiation conversations.
2. **Account-based Marketing (ABM).** ABM has developed as a concept describing how key account management can be scaled and supported by digital technology, including customer relationship management systems, to target different members of the buying unit in an organization. ABM can be seen as a strategic approach that coordinates personalised sales and marketing efforts, to target specific accounts for new business as well as to create deeper and broader relationships with existing customers. In contrast to using content marketing to support inbound marketing, account-based marketing uses content to engage and nurture defined target accounts and decision makers.¹ We explore ABM more at the end of the chapter.
3. **Customer on-boarding.** Once sales are complete, customers can be supported as they use and deploy new products and services using digital media. For example, digital messaging can be used to support training and learning.
4. **Content.** There are many new options to support selling using richer, more highly personalized content to inform the purchase decision and facilitate sales discussions. A content marketing strategy can be used to prioritize which 'Top', 'Middle' and 'Bottom-of-funnel' content (that is, content that the customer may wish to view as they proceed through their buying journey from the start to the end of the sales 'funnel') is used to support the buying decision.
5. **Social selling.** The use of social networks has increased opportunities for sales people to interact with prospects and customers online. This is particularly the case in B2B marketing, where sales people can use such tools as the LinkedIn Sales Navigator to identify potential clients as part of the sales process for both purchases involving individuals and group purchasing where ABM is important.

All of these activities can be considered as 'always-on' sales processes to increase conversion. As key touchpoints, these processes need to be planned and managed with sufficient investment in technology and content to support and optimize them.

To understand the importance of digital media and technology in supporting the buying process, consider the example of the customer journey for a high involvement consumer purchase such as laser eye surgery. Touchpoints include:

- **Lead generation content prompted by search.** Top-of-funnel content sometimes known as a 'lead magnet' buyer's guide to the service can be offered on the website, with permission-based marketing principles used to invite the prospect to opt in and be profiled based on their postcode or zip code.
- **Follow-up communications to encourage the sales dialogue.** After permission for contact has been gained, the prospect can be contacted by phone or digital messaging to discuss their needs to find the best procedure.
- **Nurture to sales using content.** Middle and bottom-of-funnel content in downloadable and video formats can be sent by messaging related to the sales conversation including testimonials, reviews and details of surgeons. This can be personalized based on the customer needs and location.

THE ROLE OF PERSONAL SELLING

Personal selling can be seen most usefully as part of the communications mix. (Other common elements of the communications mix, it will be remembered, are advertising, sales promotion, public relations, a variety of online channels, call centres, exhibitions, etc.) The surveys set out in Chapter 7 show that organizations cannot leave the communications task only to the sales force. The same question remains, however, with advertising: 'How is the organization to define the role of personal selling in its communications mix?' Again, the answer lies in a clear understanding of the buying process that operates in the company's markets.

The efficiency of any element of communication depends on achieving a match between information required and information given. To achieve this match, the marketer must be aware of the different requirements of different people at different stages of the buying process. This approach highlights the importance of ensuring that the company's communications reach all key points in the customer journey. No company can afford to assume that the actual sale is the only important event.

In order to determine the precise role of personal selling in its communications mix, the company must identify the major influencers in each purchase decision and find out what information they are likely to need at different stages of the buying process.

Most institutional buying decisions consist of many separate phases, from the recognition of a problem through to performance evaluation and feedback on the product or service purchased. Furthermore, the importance of each of these phases varies according to whether the buying situation is a first-time purchase or a routine repurchase. A similar multi-stage process applies to more complex consumer decisions. Clearly, the information needs will differ at each stage. (This was discussed in some detail in Chapter 7 – in particular, see Figure 7.6.)

The efficiency of any element of communication depends on achieving a match between information required and information given.

Personal selling has a number of advantages over other elements of the communications mix:

1. It is a two-way form of communication, giving the prospective purchaser the opportunity to ask questions of the salesperson about the product or service.
2. The sales message itself can be made more flexible and, therefore, can be more closely tailored to the needs of individual customers.
3. Salespeople can use in-depth product knowledge to relate their message to the perceived needs of the buyer and to deal with objections as they arise.
4. Where the product or service can be tailored to the customer, a dialogue can take place about how best to do this.
5. Most importantly, salespeople can ask for an order and, perhaps, negotiate on price, delivery or special requirements.

Once an order has been obtained from a customer and there is a high probability of a rebuy occurring, the salesperson's task changes from persuasion to reinforcement. All communications at this stage should contribute to underlining the wisdom of the purchase. This is best done by helping the customer actually achieve the benefits they sought when they made the purchase! The salesperson may also take the opportunity to encourage consideration of other products or services in the company's range.

Clearly, in different markets, different weighting is given to the various forms of communication available. In the grocery business, for example, advertising and sales promotion are extremely important elements in the communications process. However, the food manufacturer must maintain an active sales force which keeps in close contact with the retail buyers. This retail contact ensures vigorous promotional activity in the chain. In the wholesale hardware business, frequent face-to-face contact with retail outlets through a sales force is a key determinant of success. In industries where there are few customers (such as capital goods), an in-depth understanding of the customers' production processes has to be built up; here, again, personal contact is of paramount importance. In contrast, many fast-moving industrial goods are sold into fragmented markets for diverse uses; in this area, forms of communication other than personal selling take on added importance.

Many companies in the IT sector use personal selling to good advantage. IT hardware and software applications vary enormously in the range of capabilities they offer. Technical details can be supplied in brochures and digital content, but the managers likely to be taking the purchase decision often find it difficult to evaluate the alternatives. A good salesperson can ascertain quickly the requirements of a particular client and identify to what extent these will be fulfilled by their solutions. For their part, the customer can identify quickly whether the company understands their requirements, whether it appears credible, and whether or not it is able to provide the back-up service necessary to implement the solution and establish its use in the organization. Such considerations are likely to be far more influential than the comparison of technical data sheets in a decision to purchase.²

DETERMINING THE ROLE OF SALESPEOPLE

Whatever the method used to organize the salesperson's day, there is always comparatively little time available for selling! In these circumstances, it is vital that a company should know as precisely as possible what it wants its sales force to do. Sales force objectives can be either quantitative or qualitative.

Quantitative Objectives

Principal quantitative objectives are concerned with the following measures:

- How much to sell (the value of unit sales volume).
- What to sell (the mix of product lines to sell).
- Where to sell (the markets and individual customers that will take the company towards its marketing objectives).
- Desired profit contribution (where relevant and where the company is organized to compute this).
- Selling costs (in compensation, expenses, supervision, etc.).

The first three types of objectives are derived directly from the marketing objectives, which are discussed in detail in Chapter 6, and constitute the principal components of the sales plan.

There are, of course, many other kinds of quantitative objectives which can be set for the sales force, including the following:

- Number of point-of-sale displays organized (in retail).
- Number and effectiveness of messages or letters written to prospects.
- Number of telephone calls and online meetings with prospects.
- Number of reports turned or not turned in.
- Use of sales aids in presentations.
- Number of service calls made.
- Number of customer complaints.
- Safety record.
- Collections made.
- Training meetings conducted.
- Competitive activity reports.
- General market condition reports.

Salespeople may also be required to fulfil a coordinating role between a team of specialists and the client organization.

A company selling CRM systems, for example, employs a number of 'good general salespeople', each with client-side experience in one of the target sectors, who establish contacts and identify which ones are likely to lead to sales. Before entering into negotiations with any client organization, the company selling the systems may feel that it needs to call in a team of highly specialized business process consultants for consultation and advice. As design work proceeds, technical specialists are also brought in. It is the task of the salesperson in this company to identify when specialist help is needed and to coordinate the people who become involved in the negotiation.

However, most objectives are subservient to the major objectives outlined above, which are associated directly with what is sold and to whom.

Qualitative Objectives

Qualitative objectives can be a potential source of problems if sales managers try to assess the performance of the sales force along dimensions which include abstract terms such as 'loyalty', 'enthusiasm', 'cooperation', and so on, since such terms are difficult to measure objectively. In seeking qualitative measurements of performance, managers often resort to highly subjective interpretations, which cause resentment and frustration among those being assessed.

However, managers can set and measure qualitative objectives that actually relate to the performance of the sales force on the job. It is possible, for example, to assess the skill with which a person applies their product knowledge on the job, or the skill with which they plan their work, or the skill with which they overcome objections during a sale interview. While still qualitative in nature, these measures relate to standards of performance understood and accepted by the sales force.

Given such standards, it is not too difficult for a competent field sales manager to identify deficiencies, to get agreement on them, to coach in skills and techniques, to build attitudes of professionalism, to show how to self-train, to determine which training requirements cannot be tackled in the field, and to evaluate improvements in performance and the effect of any past training.³⁻⁵

IMPROVING SALES FORCE PRODUCTIVITY

Many salespeople might secretly confess to a proclivity to meet more frequently with those large customers who give them a friendly reception and less frequently with those who put obstacles in their way.

If we classify customers according to their friendliness to us, as well as to their size, it is easy to see how a simple matrix can be developed to help us decide where our major effort should be directed. From Figure 8.1, it can be seen that the boxes which offer the greatest potential for increased sales productivity are Boxes 4 and 5, with Boxes 1 and 2 receiving a ‘maintenance’ contact rate. Boxes 7 and 8 should receive an ‘alternative strategy’ approach to establish whether hostility can be overcome. If these alternative approaches fail, a lower contact rate may be appropriate. Box 9 is the ‘Don’t bother’ box, while Boxes 3 and 6 will receive the minimum attention consistent with our goals.

None of this is meant to indicate definitive rules about meeting frequencies, which will always remain a matter of management judgement. Its sole purpose is to question our assumptions about call frequencies on existing and potential accounts to check that we are not using valuable time, which could be more productively used in other directions.

SALES FORCE PROFESSIONALISM

Set against all of this is the issue of the professional standards of salespeople. Almost all disciplines have their professional bodies and professional qualifications. In the UK, for example, marketers have CIM, HR has CIPD, purchasing has CIPS, finance has ACA and CIMA; sales, however, does not have its stand-alone chartered institute, though the Institute for Sales Professionals is developing fast. Even worse, very few universities and business schools even bother to teach selling and sales force management. There is, therefore, much improvement still to be made in personal selling.

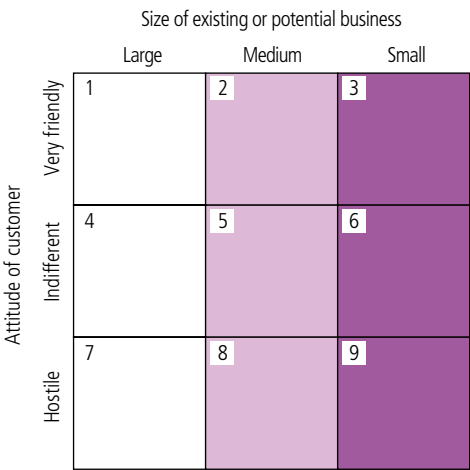


Figure 8.1: Sales productivity matrix.

MANAGING THE SALES FORCE

Sales force motivation has received a great deal of attention in recent times, largely as a result of the work done by psychologists in other fields of management. There is now widespread appreciation of the fact that it is not sufficient merely to give someone a title and an office and expect to get good results.

Effective leadership, it is acknowledged, is as much 'follower-determined' as it is determined by management.

While for the purposes of this discussion it is not necessary to enter into a detailed discussion of sales force motivation, it is worth mentioning briefly some important factors that contribute to effective sales force management.

If a sales manager's job is to improve the performance of the sales force, and if performance is a function of incentives minus disincentives, then the more incentives can be increased and disincentives reduced, the better will be performance.

Research has shown that an important element of sales force motivation is a sense of doing a worthwhile job. In other words, desire for praise and recognition, the avoidance of boredom and monotony, the enhancement of self-image, freedom from fear and worry, and the desire to belong to something believed to be worthwhile, all contribute to enhanced performance. One well-known piece of research carried out in the USA examined the reasons for the results of the 20 highest producing sales units in one company compared with the 20 lowest producing sales units. The research showed all the above factors to be major determinants of success.

If performance is a function of incentives minus disincentives, then the more incentives can be increased and disincentives reduced, the better will be performance.

Emotional intelligence (EI) is well known as a key determinant of successful leadership.

Having strong emotional intelligence is the single biggest factor to being successful.

Tony Rice, CEO Cable and Wireless, Cranfield forum

Develop emotional intelligence to become the kind of leaders that others choose to follow.

*Dr Jacquie Drake, Director MSc in Strategic Leadership,
Cranfield University School of Management*

However, remuneration will always be a most important determinant of motivation. This does not necessarily mean paying the most money, although clearly unless there are significant financial motivations within a company, it is unlikely that people will stay. In drawing up a remuneration plan, which would normally include a basic salary plus some element for special effort, such as bonus or commission, the following objectives should be considered:

- To attract and keep effective salespeople.
- To remain competitive.
- To reward salespeople in accordance with their individual performance.
- To provide a guaranteed income plus an orderly individual growth rate.
- To generate individual sales initiative.
- To encourage teamwork.

- To encourage the performance of essential non-selling tasks.
- To ensure that management can fairly administer and adjust compensation levels as a means of achieving sales objectives.

A central concept of sales force motivation is that individual salespeople will exert more effort if managers encourage them to concentrate on:

1. Their expectations of accomplishing their sales objectives.
2. The personal benefits derived from accomplishing those objectives.

This theory of sales force motivation is known as the path-goal approach because it is based on the particular path the salesperson follows to a particular sales objective and the particular goals associated with successfully travelling down that path. The salesperson estimates the probability of success of travelling down various paths or sales approaches and estimates the probability that their superiors will recognize their goal accomplishments and will reward them accordingly.

The motivational functions of the sales manager consist of increasing personal pay-offs to salespeople for work-goal attainment, making the path to these pay-offs easier to travel by clarifying it, reducing road blocks and pitfalls, and increasing the opportunities for personal satisfaction en route.

HOW TO PREPARE THE SALES PLAN

No two sales plans will contain precisely the same headings. However, some general guidelines can be given. Table 8.1 is an example of setting objectives for an individual salesperson. Clearly, these objectives will be the logical result of breaking down the marketing objectives into actual sales targets.

All companies set themselves overall objectives, which in turn imply the development of specific marketing objectives. In this chapter, we have discussed personal selling in the context of the overall marketing activity. This approach leads us to the following hierarchy of objectives: corporate objectives – marketing objectives – sales objectives, as outlined in Figure 8.2.

The benefits to sales force management of following this approach can be summarized as follows:

1. Coordination of corporate and marketing objectives with actual sales effort.
2. Establishment of a circular relationship between corporate objectives and customer wants.
3. Improvement of sales effectiveness through an understanding of the corporate and marketing implications of sales decisions.

The following example illustrates the main point that a sales force cannot be managed in isolation from broad corporate and marketing objectives. The sales force of a company manufacturing stainless steel containers was selling almost any kind of container to almost anybody who could buy. This caused severe production planning and distribution problems throughout the business, down to the purchase of raw materials. Eventually, the company's profitability was seriously affected. The sales force was finally instructed to concentrate on certain kinds of products and on certain kinds of user industries. This decision eventually led to economies of scale throughout the whole organization.

Task	The standard	How to set the standard	How to measure performance	What to look for
1 To achieve personal sales targets	Sales target or period of time for individual groups and/or products	Analysis of territory potential and individual customers' potential; discussion and agreement between salesperson and manager	Comparison of individual salesperson's product sales against targets	Significant shortfall between target and achievement over a meaningful period
2 To sell the required range and quantity to individual customers	Achievement of specified range and quantity of sales to a particular customer or group of customers within an agreed time period	Analysis of individual customer records of potential and present sales; discussion and agreement between manager and salesperson	Scrutiny of individual customer records; observation of selling in the field	Failure to achieve agreed objectives; complacency with range of sales made to individual customers
3 To plan journeys and call frequencies to achieve minimum practicable selling cost	To achieve appropriate call frequency on individual customers; number of live customer calls during a given time period	Analysis of individual customers' potential; analysis of order/call ratios; discussion and agreement between manager and salesperson	Scrutiny of individual customer records; analysis of order/call ratio; examination of call reports	High ratio of calls to an individual customer relative to that customer's yield; shortfall on agreed total number of calls made over an agreed time period
4 To acquire new customers	Number of prospect calls and messaging (e.g. social selling) during time period; selling new products to existing customers	Identify total number of potential and actual customers who could produce results; identify opportunity areas for prospecting	Examination of call reports, records of new accounts opened and ratio of existing to potential customers	Shortfall in number of prospect calls from agreed standard; low ratio of existing to potential customers
5 To make a sales approach of the required quality	To exercise the necessary skills and techniques required to achieve the identified objective of each element of the sales approach; continuous use of sales material	Standard to be agreed in discussion between manager and salesperson related to company standards laid down	Regular observations of field selling using a systematic analysis of performance in each stage of the sales approach	Failure to identify objective of each stage of sales approach, to identify specific areas of skill, weakness, to use support material

Table 8.1: Objectives for the individual salesperson.

Source: Based on the original work of Stephen P. Morse when at Urwick Orr and Partners.

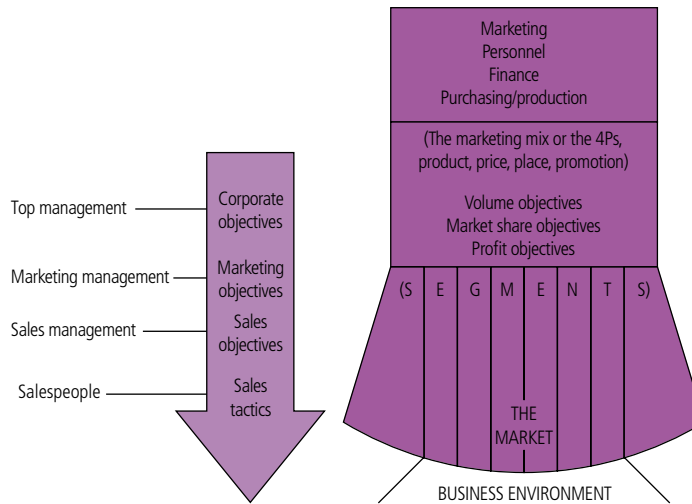


Figure 8.2: The hierarchy of objectives.

THE RELATIONSHIP BETWEEN SELLING AND KAM

Figure 8.3 is an important indicator of what has happened during the past 30 years in the domain of marketing and selling.

With the advent of digital, small customers (bottom left) were taken away from the sales force and given to contact centres and the Internet. Big, powerful customers (top right) on the other hand, have been placed in a special dedicated function known as 'Key Account Management' (KAM) and is supported by Account-based Marketing (ABM) technology. (In the USA, it is referred to as 'Strategic Account Management'.) The first sections of this chapter were concerned with the mass market represented by the areas in the middle of Figure 8.3. The remainder of this chapter is concerned with KAM.

HOW TO MANAGE KEY ACCOUNTS

Many firms find that a large proportion of their sales comes from just a small number of customers. These customers have always been treated differently from 'mass' customers, as the opportunities from deepening relationships with them can be very significant, and of course the risk to the business if even one is lost is far greater. So, senior management is often actively involved in these relationships, which are highly attractive for ambitious salespeople.

But the best acquirer of new customers does not necessarily make the best builder of these major relationships, which in any case cannot be simply delegated to a single salesperson, however talented. Many a 'key account manager' seems to be a fish out of water – a salesperson 'promoted' on the basis of their performance in managing a portfolio of smaller accounts and prospects, a very different art. So, KAM is best thought of as quite distinct from traditional field sales. In this section, we will first discuss what it is – what constitutes a key account, as well as what the job of a key account manager is.

We will then discuss how to manage KAM relationships, which vary considerably. At one extreme, what is a key account for the seller may be a minor supplier from the buyer's perspective, with no particular reason for loyalty or a deep relationship. At the other extreme, both parties may

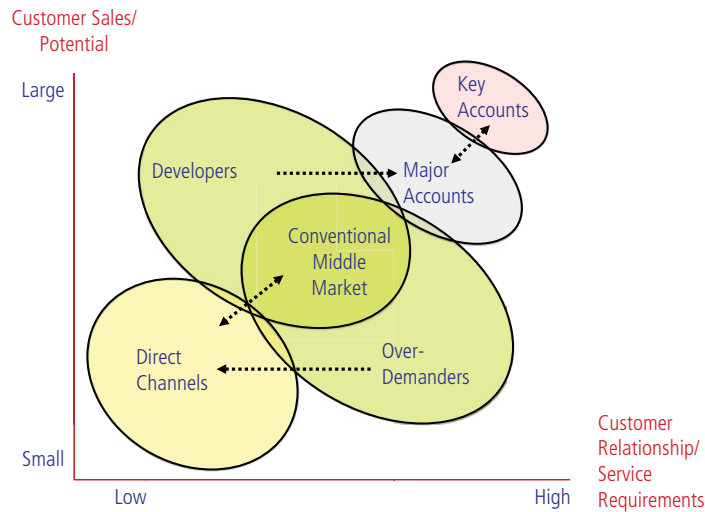


Figure 8.3: The customer portfolio.

work together closely from product development through to the process of selling to the buyer's buyer – as in the case of the engine suppliers in the aerospace industry. These clearly need to be managed in a very different way. In these closer relationships, the buyers will seek to gain the benefits of vertical integration and the advantages of outsourcing simultaneously. They will be seeking to achieve advantages such as competitive pricing, additional expertise and flexibility, and avoid the disadvantages frequently encountered with internal, group suppliers: for example, high fixed cost, lack of flexibility and complacency.

MARKETING INSIGHT

A supplier of products such as mobile accessories, stationery and greetings cards had two key accounts which were large high-street retailers. Account A viewed the supplier as a commodity provider of readily substitutable products. Account B, though, viewed the firm as a key partner in growing its offering. The chief executive put two very different people in charge of these key accounts. Account A was managed by a skilled negotiator with an accountancy background, who organized highly efficient, low-cost delivery and service processes in order to hit a low price point and still maintain a margin. Account B was managed by a former retail executive, who was masterful at recrafting the customer's own category management processes to achieve the retailer's objectives – a service so valuable that the retailer would not have dreamed of delisting the supplier for fear of losing this free consultancy. When a third key account switched to a low-cost transactional strategy like Account A, though, the chief executive decided to forgo this business, to avoid an overreliance on three customers: he needed the power to lose any single customer if he was to maintain his bargaining position on price. In a tough sector, the supplier continues to grow its revenue and profits.

What Is a Key Account?

We begin, then, with some definitions. A key account is a customer in a business-to-business market identified by the selling company as of strategic importance.^{6, 7} This definition immediately begs the question of how strategic importance should be defined. In practice, key accounts are effectively defined by the criteria used by selling companies to select them. While these are often implicit, it is far more sensible to have explicit criteria. These should include not just current revenue but also potential revenue, if 'strategic importance' is to mean anything; commonly, a measure of complexity is also included.

Many companies still list huge numbers of customers as key accounts. One major IT company claimed to have 1,000 key accounts, compared with DHL Worldwide, who at one point claimed to have only 18. When executives genuinely embrace the idea that realization of KAM implies development of rather intense and far-reaching relationships, they recognize the need to ration the number of candidates for this treatment. That recognition drives more rigorous selection, which finally results in a tighter definition of key accounts.

What Is KAM?

KAM is the process of allocating and organizing resources to achieve optimal business with a balanced portfolio of identified accounts whose business contributes or could contribute significantly or critically to the achievement of corporate objectives, present or future.⁸ There are any number of related terms, such as global account management, which is a specific subset of KAM where the client is not only global but also organizes purchasing globally, at least to some extent.

A key account is a business-to-business customer identified by the selling company as of strategic importance.

It is notable that this definition does not mention selling. Indeed, in many cases where the relationship has been in existence for years, if not decades, the customer is already 'sold', and the emphasis has switched to management and development across a broad front. This change of emphasis has important implications in the definition of the role of key account managers.

KAM is the process of allocating and organizing resources to achieve optimal business with a balanced portfolio of identified accounts whose business contributes or could contribute significantly or critically to the achievement of corporate objectives, present or future.

Note also the word 'balanced'. The reader will recall the directional policy matrix (DPM) discussed in Chapter 5 as a key tool for ensuring a balanced portfolio of product-markets; this tool can also be adapted to plot not product-markets but key accounts, as we will discuss later. However, the important thing is that the company maintains balance across its entire customer portfolio, and not necessarily within its key account portfolio alone.

What Is a Key Account Manager?

A key account manager is the person with overall responsibility for the commercial relationship with one or more key accounts. The key account manager typically has to work with many others within the firm to fulfil this responsibility, such as field salespeople responsible for particular countries or product lines, and technical staff involved both in sales processes and in implementation. Whether this coordinating role operates by control or persuasion is an important issue. Cultural differ-

ences across geography and across functions can be a barrier to a control approach, and an important top-management role is to look to align norms of acceptable behaviour so as to enable KAM to work better.⁹ One study of global account management found that cultural differences were such that it would be dangerous to work on a worldwide control basis, and the role should be one of persuasion and coordination.¹⁰ Whether or not this is ideal, it is often inevitable in complex matrix structures, so an important part of the key account manager's skill set is influencing skills.

A key account manager is the person with overall responsibility for the commercial relationship with one or more key accounts.

These influencing skills are critical not just in sales processes but also in implementation. In fact, KAM more often fails because of the selling company's organizational problems in delivery of the programme than the buying company's inability to accept it or deliver a satisfactory return to the selling company (although that is common as well).

MARKETING INSIGHT

As an example, Citibank's Global Account Management programme was highly effective with customers, but nevertheless successfully sabotaged by country managers; it was eventually revived, though some time later.

It is evident that this coordinating role of KAM has important implications for how the role is remunerated. Selling has always been characterized by reward structures different from any other function in the organization. It has been widely accepted in practice that powerful financial incentives should be offered and directly linked to short-term outcomes, usually sales volume, occasionally margin. On this motivational principle has grown up a whole culture and ethos around salespeople that will not readily be changed, neither in organizations who have trusted to it for decades, nor with salespeople who have operated in this environment for their entire career. But is this appropriate for key accounts, where a large part of the job is about successful implementation, without which the lifetime value of the account could be destroyed overnight? We find that the remuneration framework is a litmus test that sets apart genuine key account managers from salespeople of all seniorities.

MARKETING INSIGHT

A major IT company remunerates key account managers on a mix of global 'share of wallet' and customer satisfaction – measured sometime after each sale. The customers know it, so they know that all in the firm will work hard to ensure successful implementation. Not surprisingly, the company commands a substantial price premium over its competitors.

Having outlined what KAM is, we will now discuss its benefits.

Benefits of KAM

Risk reduction

Clearly there are potential benefits from KAM, or companies would not be energetically engaged in pursuing this approach. Theoretically, the benefits to the selling company are business

Risk reduction	Cost reduction
Sharing of assets (lower breakeven costs)	Reduced production costs
Sharing of information, informally and formally	Reduced transaction costs
Increased flexibility versus vertical integration	Reduced R&D costs
Volume commitments and joint planning	

Table 8.2: Types of risk reduction and cost reduction for buying companies originating from partnership with selling company.

Source: Ellram, L.E. (1991) Supply chain management. *International Journal of Physical Distribution and Logistics Management*, 21(1), 13–22.

growth, risk reduction and possibly cost reduction; however, as we will see, there is a danger of uncontrolled cost increase as well. On the buying side, the impetus towards further development of supplier relationships is mainly driven by cost reduction and risk reduction (see Table 8.2 for a list of sources of benefit under each of these two headings), leading to enhanced customer satisfaction and contributing to overall competitive strategy. Benefits can include the possibility of collaboration in real mould-breaking strategies, which challenge the status quo to bypass competition, and which a buying company cannot achieve alone.

Both parties benefit from risk reduction, which must be a major driver in relationship development. ‘Internal’ risks are of two kinds: short-term crises such as sudden demand or supply gaps, and longer-term uncertainties, which complicate planning and result in suboptimal use of resources. External risks are those originating in the market, or originating outside the market and acting through it, as in the case of government legislation, for example. A collaborative relationship has the potential to reduce external risk for both parties through market information sharing, greater flexibility in response, and leveraging market influence. For more on the buyer’s benefits see Bettencourt et al. (2015).¹²

Financial drivers for selling companies

Building and maintaining relationships at a sophisticated level has considerable costs – a good reason to be highly selective in determining what constitute key accounts. Nevertheless, selling companies expect the direct financial benefit to outweigh the relationship costs. However, although key accounts have the potential to deliver the greatest profit, they also have the potential to generate the greatest losses. It is often a company’s largest two or three customers that lose money when costs are fully attributed to them. Good, appropriate information systems and the will to use them, plus careful management, are needed in order to ensure financial benefits from key accounts. Loss situations often arise when the buyer has negotiated a price based on the cost of goods sold, but is enjoying excess value in terms of a range of additional, uncoded services. One of the major dangers in developing sophisticated relationships through KAM is the escalation of costs absorbed by and in the relationship.

There is an additional danger that sophisticated and close relationships are seen as the only formula in KAM. In fact, there are many cases of customers who should still qualify as key accounts, but who should be managed in an efficient, transactional manner. They may not want to develop the relationship further, or the business may not be able to repay investment in it. Analysis of each key account should focus on the incremental benefit of investing in development beyond its current status.

Nonetheless, ongoing research at Cranfield School of Management’s KAM Research Club clearly indicates that this whole area is in need of further study, as they observed many companies

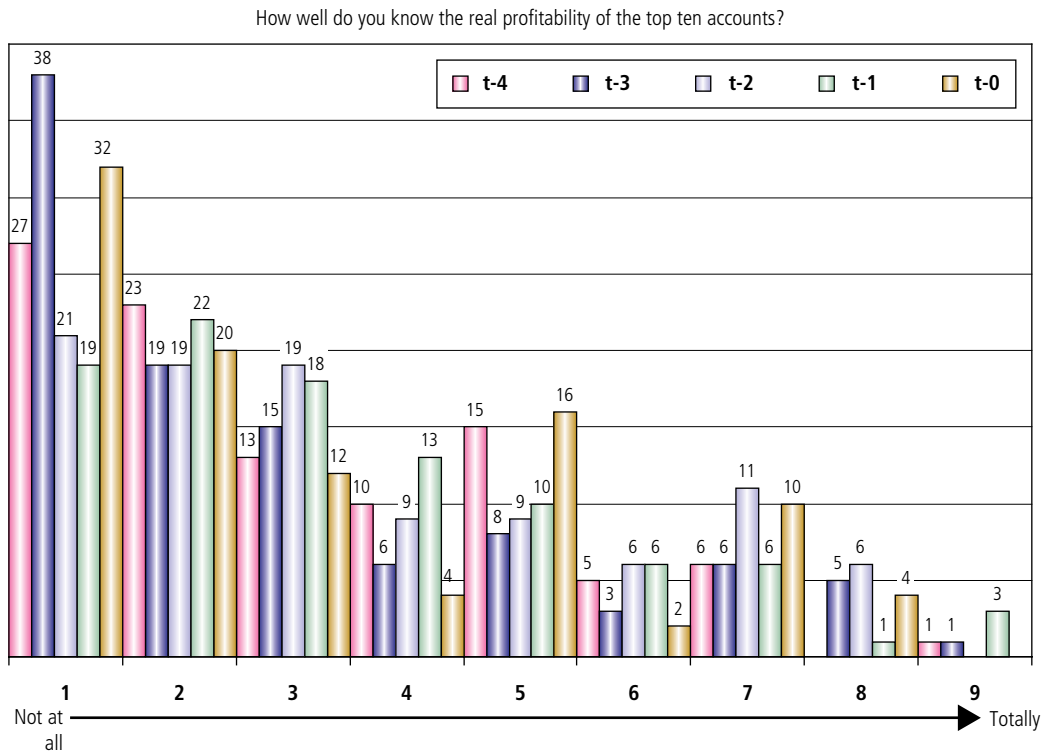


Figure 8.4: The profitability of key accounts is still poorly understood.

losing substantial sums of money in their dealings with large customers. Professor Lynette Ryals¹³ has shown that this is because a majority of companies do not use activity-based costing systems and consequently do not attribute major costs appropriately.

The data presented in Figure 8.4 are the result of a Cranfield survey of directors and senior managers on conferences and courses using an automated response system in order to elicit unbiased responses to a question about KAM profitability, having explained the principle of activity-based costing. In all, 500 respondents were surveyed over a five-year period ('t-4' to 't-0' in the figure), and while we do not claim that the sample is representative, the survey nevertheless provides indicative evidence that companies may still be losing money on their dealings with their top key accounts.

Cost savings for buying companies

There are 'legitimate' or mutually beneficial cost savings available to buying companies which are preferable to driving suppliers' profits below adequate levels. Better management of the flow of supplies, elimination of unnecessary or duplicated processes and tighter quality control all reduce cost.

DHL's collaborations with customers such as Virgin and British Airways are examples which reduce the customer's cost as well as increasing the customer's revenue through increased satisfaction with services such as catering, thereby generating benefits that can be shared with DHL rather than costs becoming a zero-sum game of argument between the two parties.¹⁴

In addition to savings in current operational costs, savings through collaborative product development and R&D cost sharing are a very significant source of advantage, particularly to companies with high investment in development, long development cycles or markets with short product lifecycles. The buying company benefits from supplier expertise, leading to better and more cost-effective design, while the selling company can beta-test new products or services in real life on a larger scale than their own facilities permit.

There are potential dangers attached to close relationships for buying companies as well. The range of pitfalls may be grouped around two issues: cost increase (from duplication of effort, and/or from the substitution of cash for activity, by giving the supplier the opportunity to add some of the value that the buying company could have fulfilled itself); and concerns over control and dependence. Paradoxically, concerns about the negative aspect of dependence may be seen as an outcome derived from positive, ongoing relationship benefits, when considered together with the issue of termination costs.

All these fears are paralleled by selling companies, except that concern about price/margin erosion replaces concern about cost increase. The issue of dependence may be slightly different, but is very real if the relationship has reached a large proportion of the selling company's turnover. For both parties, then, it is important to be very clear about the strategic rationale before deepening the relationship. The relationship metaphor is an opposite one: key account relationships typically last a good deal longer than the average marriage.

However, we have observed more than once that key account relationships are not all the same, and nor should they be. We will next make this crucial idea more actionable by outlining a simple typology of stages in KAM relationship development.

The Stages of KAM Relationship Development

Research into KAM by a number of academics shows that KAM relationships vary from highly transactional, arm's-length relationships at one extreme to thoroughly integrated companies at the other. It is useful to think of KAM relationship development as proceeding through a series of stages from one to the other, though we should raise two important warnings. The first is that any stage model is an approximation. Individual firms may clearly be between stages. The second is that it should not be assumed that all KAM relationships should evolve towards the more relational, integrated end of the spectrum. Not least, if there is no desire for close relationship on the buyer's side, it is delusional and seriously expensive for the supplier to invest heavily in the relationship. Although some relationships do move steadily through these stages, others do not.

With those warnings, Figure 8.5 outlines some of the common steps which relationships move through.

Before we spell out this model in detail, here are some references on its origins for the interested reader. The model was originally developed by Millman and Wilson;¹⁵ their original names for each stage are shown in the figure in *italics*. The model was researched further by McDonald, Millman and Rogers.¹⁶ For some empirical evidence and suggested refinements, see the papers by Davies and Ryals.^{17, 18} For more relevant research studies, see Pardo et al.¹⁹ and Leischnig et al.²⁰ Whilst KAM has become more sophisticated over recent years, there is still much research that needs to be done in this domain. The Cranfield KAM Research Club has just celebrated its 25th anniversary and is still going strong. Its research findings and detailed processes for world class KAM are spelled out in a book by Woodburn and McDonald.²¹

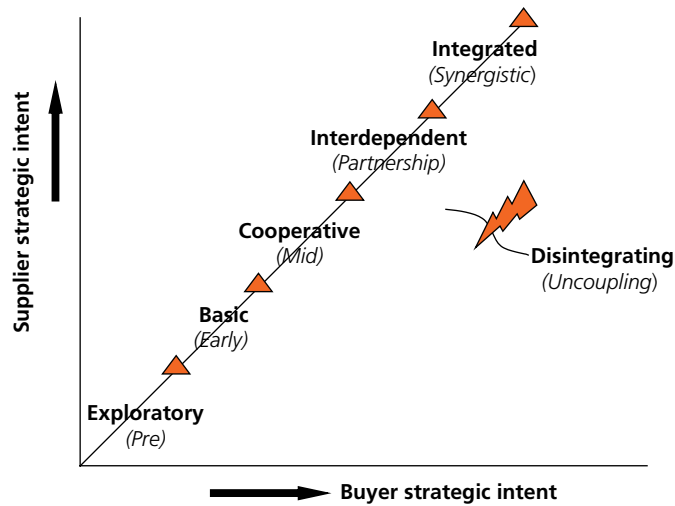


Figure 8.5: KAM relationship stages.

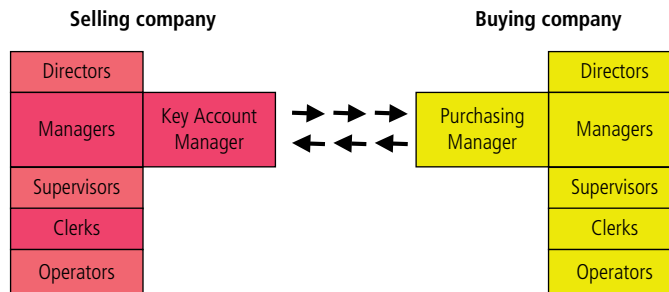


Figure 8.6: Exploratory KAM relationship.

Exploratory KAM

This stage precedes KAM of any kind, but implies that the potential importance of the relationship will qualify the buying company to be a key account if business is secured. At this stage the selling company will be courting the buying company and exploring its needs, which of them they are required to fulfil and the size of the opportunity, as well as generally getting a feel for the organization, the people who are influential in the buying decision, their personalities and their modus operandi. At the same time, the buying company will be exploring the supplier's offer, capabilities and credentials, quite possibly with more than one supplier simultaneously. See Figure 8.6.

Basic KAM

This stage implies a relationship with a transactional emphasis. If it is a new relationship, then it may be effectively a trial time, during which the selling company has to prove its ability to deliver its offer in an efficient manner. Buyers will obviously prefer to develop business further with suppliers who have demonstrated that they can live up to minimum operational

requirements. However, trial experience of each other may not always be possible, for example, major contracts. At this stage, the buying company may also use other suppliers of the same product or service, but not necessarily: multiple sourcing may not suit the need.

Even if the relationship is successful at this level, it may still not be appropriate to develop it for a number of good reasons, for example:

- There may be changes pending in the environment in terms of legislation, technology, market, company ownership, etc., which limit the length of life of the relationship, so that investment in relationship building is unlikely to pay back.
- The buying company may be low-cost focused and unresponsive to added value.
- The buying company may be known for supplier switching.
- In summary, the overall lifetime value of the relationship is not expected to repay investment in the relationship in terms of time, adaptation, etc.

At this stage, most contact will be one-to-one through the key account manager and the purchasing director or manager, as shown in Figure 8.7.

Cooperative KAM

At this stage the buying company will have been able to satisfy itself about the selling company's credentials through its own experience after a period at basic KAM level. If performance is acceptable, the selling company may then be able to work more closely with the buying company and develop the relationship. Opportunities to add value to the customer will be suggested by the supplier, and the buyer will adopt a positive and communicative attitude towards the supplier, perhaps in terms of indicating further opportunities to do business together, or helping the supplier to solve some of the operational problems that arise. If the customer uses a list of preferred suppliers, the selling company will be on it.

At this stage, contact involves a wider range of people, as illustrated in Figure 8.8. It is often at this stage that the real potential to progress the relationship from cooperative to interdependent is either grasped or not by the supplying company as, by definition, the relationship is already more complicated than at the basic stage.

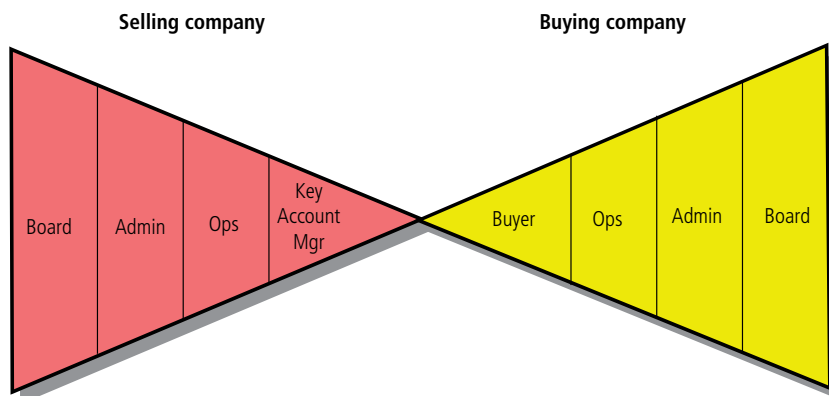


Figure 8.7: Basic KAM relationship.

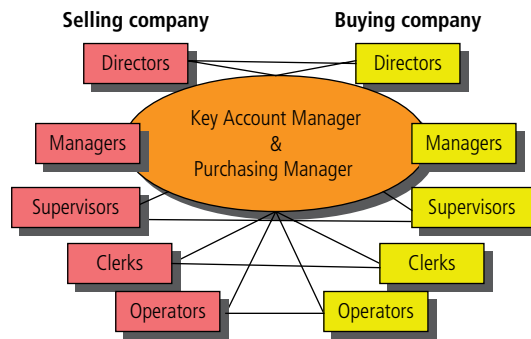


Figure 8.8: Cooperative KAM relationship.

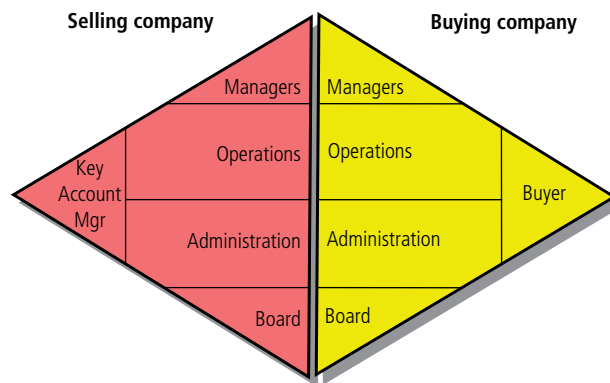


Figure 8.9: Interdependent KAM relationship.

Interdependent KAM

At this stage, both buying and selling company acknowledge the importance of each to the other. They are locked into each other, not inextricably, but if the relationship were to end, retreat would be difficult and time-consuming. Inertia, as well as strategic suitability, holds the partners together. They may have set up various initiatives together, such as common working practices, product specifications, joint marketing activity, and so on, which would take time and effort to undo.

Even if multiple sourcing is possible in theory, in fact the selling company has become sole or at least first option supplier. A range of functions in both organizations work closely together, orchestrated by rather than administered by or channelled through the key account manager and purchasing manager; see Figure 8.9.

One consequence of this kind of relationship is the high probability of the supplying company over-serving the customer. This stage of relationship frequently results in a loss to the supply company.

Integrated KAM

This type of relationship involves working together in cross-boundary functional or project teams – see Figure 8.10. This means that the organizations become so integrated that individuals may feel more affinity with their team than with their official employer organization. The teams

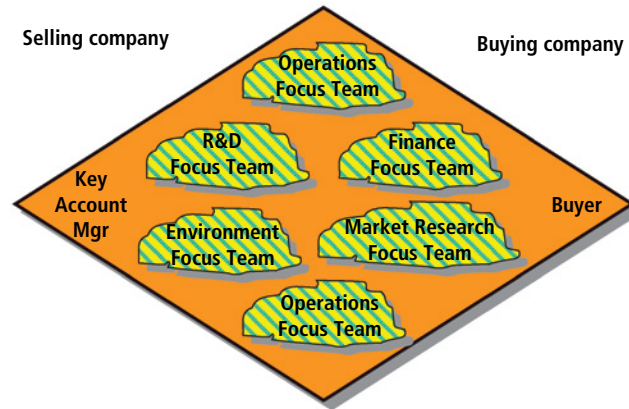


Figure 8.10: Integrated KAM relationship.

run the business, rather than either organization, and they make decisions about their interactions with other teams according to the strategy they are implementing. Some staff will probably be based at their partner's premises. At this stage, exit would be traumatic at both a personal and organizational level.

Disintegrating KAM

Finally, at any time, the relationship can fall apart for a number of reasons, such as a takeover of either company, a change of key people, switching to a new supplier with a sufficiently significant enhancement in the core product or service to justify the pain of switching, or the introduction of new technology. Disintegration can be sudden and exit complete, or it may be a return to a lower level of relationship at which the companies can continue to do business together, but on different terms. In any case, disintegrating KAM is not a stable state, as any of the others can be, but a transitional stage before the relationship settles down into another stage, and possibly no relationship at all. The key account manager's role may change to damage limitation, and a business developer may not be the right kind of person to fulfil this need.

In summary, then, within the sales plan it is important to be very clear for each key account on:

1. What stage the relationship is currently at.
2. What a realistic target stage is, given the buyer's aspirations and the cost/benefit trade-off of deepening the relationship.
3. What actions are needed for developing the relationship and, crucially, what kind of person is best to manage a relationship of this type.

It is also clear that key accounts need to be managed as a portfolio, reflecting their differing attractiveness and the company's different strengths of relationship. We will return to this issue in the next section on preparing the sales plan. First, however, we consider aspects of the sales plan which apply to all accounts, major or minor.

In the case of key accounts, we have the additional challenge of managing the set of accounts as a portfolio. This is particularly important if limited resources are to be used on the right accounts to achieve the right objectives. If the firm has key accounts, then, a key account portfolio should be included in the plan. We discuss how this is to be done next.

PLANNING FOR A KEY ACCOUNT PORTFOLIO

Portfolio analysis is simply a means of assessing a number of different key accounts, first, according to the potential of each in terms of achieving the organization's objectives and, second, according to the organization's capability for taking advantage of the opportunities identified.

Key account portfolio analysis is essentially an adapted version of the Directional Policy Matrix, which we described in Chapter 5, but plotting key accounts rather than markets or segments. It uses several indicators in measuring the dimensions of 'account attractiveness' on the one hand and 'company capabilities' (relative to competitors) on the other. These indicators can be altered by management to suit the operating conditions of particular industrial sectors. The outcome of using portfolio analysis is the diagnosis of an organization's situation and strategy options relative to its position with respect to these two composite dimensions.

The purpose of the following guidelines is to obtain the maximum value out of this methodology.

Key Definitions

We begin with two key definitions.

Key account attractiveness is a measure of the potential of the key account for yielding growth in sales and profits. It is important to stress that this should be an objective assessment of key account attractiveness using data external to the organization. The criteria themselves will, of course, be determined by the organization carrying out the exercise and will be relevant to the objectives the organization is trying to achieve.

Business strength/position is a measure of an organization's actual strengths in each key account. In other words it is the degree to which it can take advantage of a key account opportunity. Thus, it is an objective assessment of an organization's ability to satisfy key account needs relative to competitors.

Preparation

Prior to commencing portfolio analysis, the following preparation is advised:

1. Data/information profiles should be available for all key accounts to be scored.
2. Define the time period being scored. A period of three years is recommended.
3. Ensure sufficient data are available to score the factors. (Where no data are available, this is not a problem as long as a sensible approximation can be made for the factors.)
4. Ensure up-to-date sales forecasts are available for all products/services plus any new products/services.

In order to improve the quality of scoring, it is recommended that a group of people from a number of different functions take part, as this encourages the challenging of traditional views through discussion.

Key account attractiveness is a measure of the potential of the key account for yielding growth in sales and profits.

Business strength/position is a measure of an organization's actual strengths in each key account.

Twelve Steps to Producing the KAM Portfolio

Step 1 Define the key accounts that are to be used during the analysis

Step 2 Define the criteria for key account attractiveness

Step 3 Allocate weights to each of the attractiveness factors

Step 4 Define scoring criteria for each attractiveness factor

Step 5 Score the relevant key accounts out of 10 on the attractiveness factors and multiply the scores by the weights to achieve a total weighted score

Step 6 Define the critical success factors (from the customer's point of view) for each key account and the weight for each

Step 7 Score your organization's performance out of 10 on each critical success factor relative to competitors

Step 8 Produce the position of key accounts on the horizontal axis in the portfolio

Step 9 Position the key accounts on the box assuming no change to current policies. That is to say a forecast should be made of the future position of the key accounts (this step is optional)

Step 10 Redraw the portfolio to position the key accounts where the organization wants them to be in, say, three years' time. That is to say the objectives they wish to achieve for each key account

Step 11 Set out the strategies to be implemented to achieve the objectives

Step 12 Check the financial outcomes resulting from the strategies.

Let us now consider each step in turn.

Step 1: List the population of key accounts that you intend to include in the matrix

As stated earlier in this chapter, the list can include key accounts with which you have no business yet or accounts that are currently small or entrepreneurial, but which have the potential to become big. To do this, it is suggested that a preliminary categorization be done according to size or potential size. Thus, if there were, say, 100 key accounts, the preliminary categorization might resemble Figure 8.11.

It is important not to use the methodology which follows on all 100 accounts at once, as the criteria for each group may need to be different. The methodology should, in the example shown, be carried out as three separate exercises: A, B and C.

Step 2: Define key account attractiveness factors

All key accounts may be attractive by definition, but with limited resources (such as people), it is important to compare their relative attractiveness to the firm. Key account attractiveness is a combination of a number of factors, which can usually be summarized under three headings: growth rate, accessible volume or value, and profit potential.

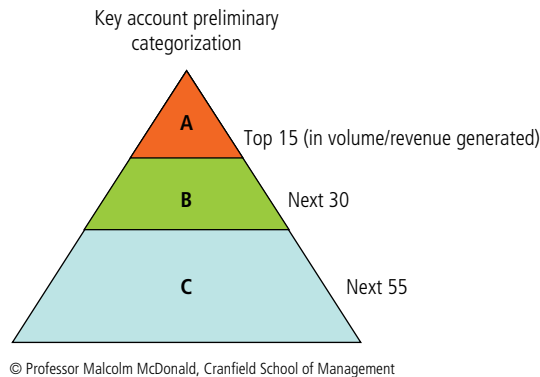


Figure 8.11: Example of an outcome of preliminary categorization.

1. *Growth* – the average annual growth rate of revenue spent on the relevant goods or services by that key account. So, this is the growth rate in the accessible spend of the customer, or ‘wallet’, of which we are competing for a share. All other things being equal, customers who are spending more on the product category are more attractive as there is more new business to chase.
2. *Accessible volume or value* – an attractive key account is not only large, it can also be accessed. One way of calculating this is to estimate the total spend of the key account on the relevant category of goods or services, less revenue which is impossible to access, regardless of investment made. Alternatively, the total spend can be used, which is the most frequent method as it does not involve any managerial judgement to be made, which could distort the truth. *The former method is the preferred method.*
3. *Profit potential* – intuitively, it is clear that some key accounts offer the potential for large profits, while in the case of others, it is clear that margins will always be low. It is, however, difficult to estimate with any certainty, particularly as we are interested in the potential profit and not our current margins, which may, for example, be due to our current investment in establishing our position with the customer. One way of assessing the profit potential is to make an estimate of the margins available to any competitor. Another is to estimate the margins achieved by the leading competitor, that is, the competitor who currently has the greatest share of wallet with this customer. (Margin should be used rather than total profit pool, in order to avoid double counting with accessible volume/value.)
4. *Soft factors* – naturally, growth, size and profit will not encapsulate the requirements of all organizations in what makes key accounts more or less attractive to them. It is then possible to add another heading, such as ‘soft factors’, ‘risk’ or ‘other’ to the aforementioned three factors (growth rate, accessible volume/value and profit potential).

The following are the factors most frequently used to determine account attractiveness:

- status/reference value
- learning from customer (e.g. customer has market-leading engineering, service design, etc., from which we can learn)
- ‘focal’ company in a network
- regular flow of work – stability
- strategy match
- prompt payment
- customers who see value in a broad product offering
- ease of doing business

- importance to a sister company
- requirement for strategic alliances
- willingness to abdicate (customer hands over total responsibility)
- blue-chip customer capable of meeting your financial security requirements (e.g. top 100 company).

Accessible volume or value is the total spend of the key account less revenue impossible to access, regardless of investment made.

We find, though, that it is best to keep the total list of factors to five or less, otherwise the calculations become cumbersome and the overall logic becomes less clear.

In addition, once agreed, under no circumstances should key account attractiveness factors be changed, otherwise the attractiveness of your key accounts is not being evaluated against common criteria and the matrix becomes meaningless. However, the scores will be specific to each key account.

Profit potential is the margins available to any competitor.

It is also important to list the key accounts that you intend to apply the criteria to before deciding on the criteria themselves, since the purpose of the vertical axis is to discriminate between more and less attractive key accounts. The criteria themselves must be specific to the population of key accounts and must not be changed for different key accounts in the same population.

One global chemical company went through the total KAM selection protocol, then went to the customer, who said ‘No thanks, we prefer to treat you as a supplier of commodities and we expect a lower price accordingly’. Thereafter, this company included in the protocol a highly weighted factor of ‘The customer’s willingness to be a key account’.

Step 3: Allocate weights to each of the attractiveness factors

The factors should now be weighted out of 100, to indicate their relative importance to the firm in comparing the attractiveness of key accounts. For example:

Factors	Weight
Growth rate	30
Accessible volume or value	15
Profit potential	40
Reference value	15
	100

These weights will reflect the priorities of the firm. So, for example, a firm with a single factory running to full capacity might wish to weight margins more highly than accessible volume/value and growth, with perhaps 40 per cent for margins, 20 per cent for volume/value and growth, and 20 per cent for other soft factors. Conversely, a firm with aspirations to be global market

KA attractiveness factors	10–7	6–4	3–0	X weight
Volume/value	>10m	1–10m	<1m	15
Growth/potential %	>20%	5–20%	<5%	30
Profit potential %	>25%	10%–25%	<10%	40
‘Soft’ factors	Good	Medium	Poor	15
				100

Table 8.3: Key account attractiveness factors – weights and scoring criteria.

leader developing its plan for a relatively new country might wish to weight volume/value and growth higher – at, say, 40 per cent each – and margins/profit relatively low – at, say, 20 per cent.

Step 4: Define scoring criteria for each attractiveness factor

In the next step, each key account will be scored on each attractiveness factor out of 10. In this step, the criteria by which this will be done are defined. See Table 8.3.

Step 5: Score each key account

Score each key account on a scale of 1–10 against the attractiveness factors and multiply the score by the weight. This will place each key account in the key account attractiveness axis from low to high. This process is very similar to the comparison of market/segment attractiveness described in Chapter 5, which contains some examples, such as Table 5.3.

Step 6: Define business strength/position

This is a measure of an organization’s actual strengths in each key account. Whereas we had one set of key account attractiveness criteria, for this analysis each key account will need a different set of criteria for assessing the firm’s strengths, as customers differ in what they look for from suppliers. We call these criteria ‘critical success factors’ (CSFs). For each account, therefore, in consultation with those close to the customer, it is necessary to list the few things that are most influential in determining the share of the customer’s wallet in the product/service category. These will often fall under the four headings of:

- product requirements
- service requirements
- price requirements
- relationship requirements.

These should be weighted out of 100 to indicate the relative importance of the factors in the eyes of the customer. What does the customer insist on? What might the customer compromise on? This process is very similar to the CSF analysis for whole segments described in Chapter 5, which contains some examples, such as Table 5.4.

Step 7: Score CSFs

Score the organization’s actual current strengths in each key account on each CSF. These should be scored from the customer’s perspective: if they think your service is unreliable, it’s unreliable! By multiplying scores by weights, an overall weighted average score can be calculated for each key account. By also scoring the leading competitor, a relative score can be calculated, by subtracting the leading competitor’s score from your score. Again see Table 5.4 for an example.

An alternative, easy way of doing steps 6 and 7 is simply to decide what stage the relationship is currently at, from basic to integrated, in order to find the position on the horizontal axis in step 8:

- 1. *Exploratory* (you do not currently do business with this account).
- 2. *Basic* (you have some transactional business with this account).
- 3. *Cooperative* (you have regular business with this account and may well be a preferred supplier, but you are only one of many suppliers and pricing is still important).
- 4. *Interdependent* (you have multifunctional, multilevel relationships, but the customer could still exit if necessary).
- 5. *Integrated* (you have multifunctional, multilevel relationships, your systems are interlinked and exit for both parties would be difficult).

This simplified method is useful for gaining an overview of the portfolio when time is short, but the full CSF analysis is important for developing detailed strategies for each account.

Step 8: Produce the portfolio matrix

Now a matrix can be plotted as illustrated by Figure 8.12:

- The circle size is proportional to the firm’s current revenue from the key account. A cross can be used in the case of an account that has been identified as key to the future but where revenue is currently negligible.
- The vertical position is determined by the attractiveness analysis (step 5). Note: it is sensible to spread out the circles, as what matters is their relative attractiveness. So if the least attractive account, for example, is scored at 5.8 out of 10, and the most attractive at 7.5 out of 10, it might make sense to put 5 at the bottom of the vertical axis and 8 at the top.
- The horizontal position is determined by the CSF analysis (step 7). So, for example, if we score 7/10 and the leading competitor scores the same, our relative score is 0 and the circle would appear on the mid-line. If we score 7/10 and the leading competitor scores 6/10, our relative score is +1, so the circle would appear to the left of the line. If we score 7/10 and the leading competitor scores 8/10, our relative score is –1 and we would appear to the right of the line. Generally, it works well to label this axis from +2 at the left to –2 at the right.

Figure 8.13 provides some further guidance as to how each quadrant should be treated; but this guidance should always be subject to management judgement. It is, however, a good prompt for a senior management conversation.

Figure 8.14 is a real example from an insurance company, with the figures disguised to protect anonymity.

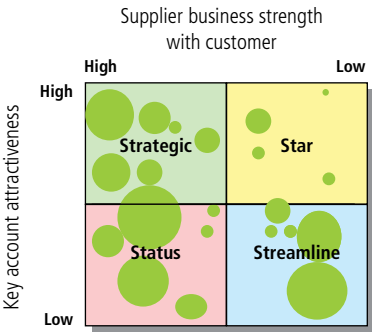


Figure 8.12: The key account portfolio.

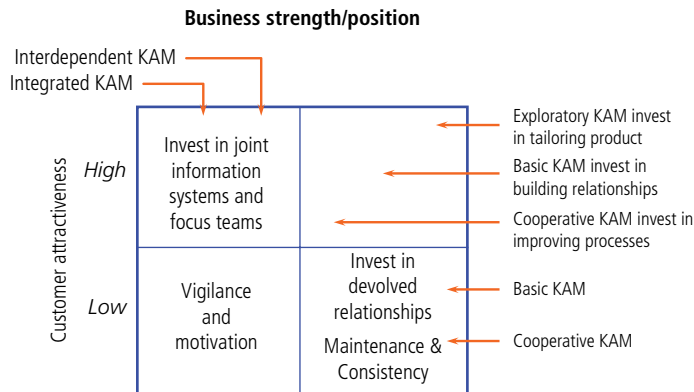


Figure 8.13: Further guidance on key account matrix.

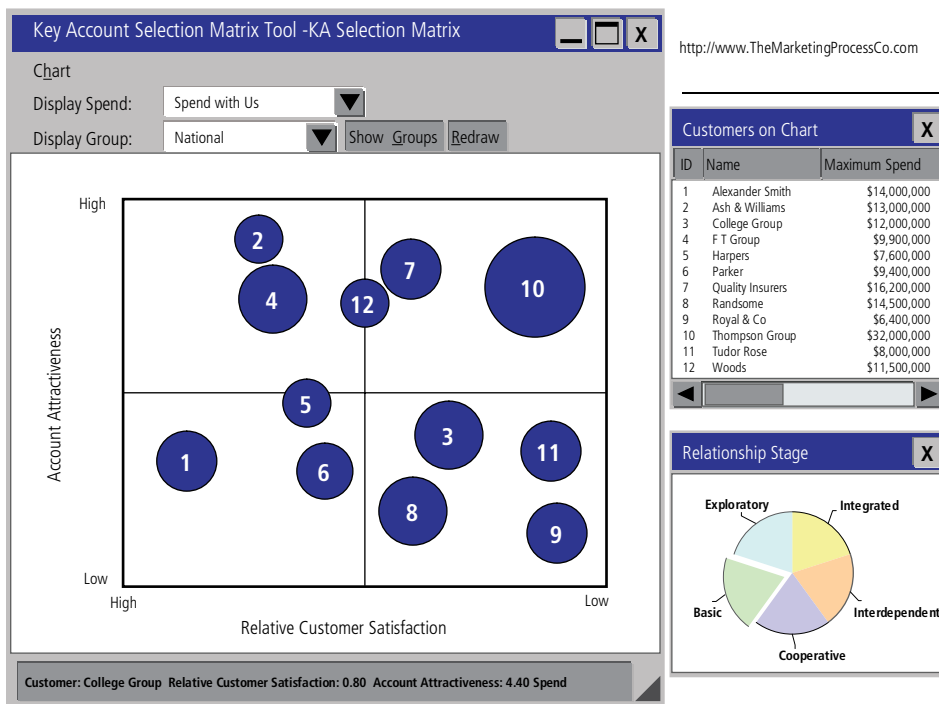


Figure 8.14: Key account matrix – insurance example.

Step 9: Produce a forecast matrix (optional)

This optional further analysis should position the key accounts on the horizontal axis where they are projected to be three years from now, assuming no change to your current policies. This is calculated by re-scoring your competitors on the CSFs (step 7), while leaving your scores the same (or perhaps adjusting them to reflect improvements which are already thoroughly in hand). The key accounts can only move horizontally, either to the left or to the right, because you have already taken account of potential future growth on the vertical axis.

Now enter a new figure for your forecast sales for each account, assuming no change in your current policies. This should take into account your new position on the horizontal axis: if with

no change in policies you are to the right of the mid-line, for example, it is likely that much of the new business will go to the competition.

The first time you complete this analysis, it is unlikely that the forecast position will be satisfactory.

Step 10: Produce a matrix showing the objective position

This analysis should position each key account on the horizontal axis showing the objective position at the end of the planning period (e.g. 3 years ahead). This is done by revisiting the CSF scores, amending our score but also remembering (if step 9 has been omitted) to take into account any changes which we predict the competitors will be making. As a result of this analysis, accounts can stay in their current box, move to the right or move to the left.

Enter a new figure for your objectives sales against each key account. A judgement will need to be made as to what is realistic given the analysis of the customer's buying criteria or CSFs.

It goes without saying that the objectives should reflect the relative positions on the matrix. It is simply not realistic to state that we will make dramatic improvements in every single key account – and yet the authors often see plans which claim that this will occur. Needless to say, the competitors' plans say the same thing! The benefit of the portfolio analysis is that it enables us to look for the greatest gains in the most attractive accounts, and within these to focus on the criteria which really matter to the customer.

Step 11: Outline objectives and strategies for each key account

Finally, a strategic plan for each key account should be produced. It should outline the objectives and strategies for each one.

Table 8.4 sets out more specific guidelines for setting objectives for each of the key accounts in each of the four boxes.

Category	Description
Strategic customers	Very important customers, but the relationship has developed still further, to the level of partnership. The relationship is 'win-win'; both sides have recognized the benefits they gain from working together. Customers buy not primarily on price but on the added value derived from being in partnership with the supplier. The range of contacts is very broad and joint plans for the future are in place. Products and services are developed side by side with the customer. Because of their large size and the level of resource which they absorb, only a few customers fall into this category.
Status customers	Very important customers (in terms of value). Commit to security of supply and offer products and services that are tailored to the customer's particular needs. Price is less important in the customer's choice of supplier. Both parties have some goals in common. The two organizations have made some form of commitment to each other. Invest as necessary in these customers in order to continue the business relationship for mutual advantage, but do not over invest.
Star customers	Price is still a major factor in the decision to buy but security of supply is very important and so is service. Spend more time with some of these customers and aim to develop a deeper relationship with them in time.
Streamline customers	These customers usually want a standard product, 'off the shelf'. Price is the key factor in their decision to buy. The relationship is helpful and professional, but relatively transactional. Do not invest large amounts of time in the business relationship at this stage.

Table 8.4: Guidelines for the KAM portfolio.

It will be observed that each box has a 'label'. These labels can be changed but should NOT be changed to derogatory names such as 'Gold', 'Silver', 'Bronze', 'A', 'B', 'C', 'D', and so on!

Step 12: Check the financial outcomes from the strategies

Cost out the actions which comprise the stated strategies in all boxes other than the bottom right-hand box. There may be circumstances for those in which a strategic plan should be produced for some of them, but generally speaking, forecasts and budgets should be sufficient, as it is unlikely that the supplying company will ever trade on terms other than low prices.

For an explanation, see the mini case study below.

MINI CASE STUDY

Look again at Figure 8.12. Please pay particular attention to the large key account circle in the bottom right-hand box. The authors were doing some consultancy for a global paper company.

A main board director was bemoaning the fact that one of the world's biggest media companies – hence a massive user of paper – was putting its paper order out to tender and was determined to accept the two lowest price bids. It was then to drop all other suppliers. The authors quickly established that to lose such a big customer would be a blow to profitability, as all its mill fixed costs would remain the same, and would have little chance of being fully utilized without this customer.

So the authors advised the paper company to bid the lowest price in order to win the contract, then to withdraw all support other than that specified in the contract. In this case, clearly, sending a key account manager on regular visits and offering other services would have been a waste of resources, as it was clear that this particular customer didn't want a close relationship with any supplier and was obsessed with lowest price, so making it virtually impossible for any supplier to make much profit.

Meanwhile a plan was put together to build other accounts in order to reduce the reliance on this one, so that never again would the company be held to ransom from a customer which it could not afford to lose.

It is accounts such as these, usually in the bottom right-hand box, which are unattractive and driven by price alone, that do not justify strategic key account plans. Such plans are only justified if the supplying company believes there is a real opportunity to move them to a more favourable position in the portfolios.

THE GROWING IMPORTANCE OF KAM

Such is the importance of key accounts for corporate profitability, that many multinationals are now making their most senior key account managers into managing directors of a particular key account. This is not surprising as in the major distribution company their top 13 accounts each made more revenue and profit than any country managing director.

ACCOUNT-BASED MARKETING

We have discussed sales management in general, and key account management in particular. Before we conclude this sector, we should add a little more about account-based marketing (ABM). Referring again to Figure 8.3, please note the 'major accounts' circle. This is where ABM tends to focus: beneath the key-account level.

So what is ABM? Although the term has been around for many years and although it has now become the focus of attention for many companies, there is still some confusion about exactly what it is. At the pinnacle of ABM models is key account management (KAM; strategic account management in the USA). At the next level down are major accounts that are not quite big enough to be incorporated in the KAM programme and it is here that ABM is becoming very popular. Here, buying influencers are reached by what is known as IP-based targeting, and there are now many software companies specializing in this. This is an excellent way of marketing to specific people, as each company has its own IP address. However, another major feature of ABM is the allocation of marketing executives to a number of specific accounts, so for the first time for decades, marketing people become an intrinsic part of the value propositions to specific customers.

ITSMA (2023)²² discovered in a survey of large organizations that 28% of marketing budgets were allocated to ABM, reportedly driving substantial business impact:

- 84% pipeline growth and 77% revenue growth
- 72% say ABM delivers higher ROI than other types of marketing
- 66% say ABM is significantly improving marketing and sales alignment.

ITSMA identify three types of ABM, which have evolved according to the number of accounts targeted:

- **Strategic ABM** – Creating and executing highly customized programmes for individual accounts with a typical ratio of one account-based marketer to four accounts.
- **ABM Lite** – Creating and executing lightly customized programmes for clusters of accounts with similar issues and needs typically targeting 22 accounts on average.
- **Programmatic ABM** – Leveraging technology to tailor marketing campaigns for specific named accounts at scale. Potentially targeting hundreds of accounts.

To summarize, there are many customers who are big and important, but who do not make it into the KAM programme. It is in this area that ABM is making its biggest impact. Even more important for marketing, however, is the re-engagement of the marketing community with big, important customers. There has been a depressing trend towards the almost complete separation of marketing from the real world of customers, as they have been drawn into the diversion of digital marketing.

This trend has seen rapid acceleration since about 2020, and it is set to continue. Furthermore, there will be an increased focus on the measurement of profitability in KAM programmes, including ABM. A feature of inadequate accounting systems has been the measurement only of product profitability, when the reality is that it is the cost of dealing with specific segments and key customers that determines profitability. We also anticipate an increased focus on the role that KAM and ABM plays in creating shareholder value added (SVA, you may recall, is the net free cash flow, having taken account of the time value of money, the cost of capital and the calculated risks of the declared strategies).

Although ABM has traditionally been used by larger organizations, martech platforms enable it to be used by smaller organizations. For example, CXL gives the example of data management platform LiveRamp, who used an ABM approach to pursue a targeted list of Fortune 500 companies²³ and generate \$50 million in annual revenue. They used the Lattice Predictive Insights Platform (now part of the Dun & Bradstreet group) to gather relevant intelligence on the businesses and that helped them narrow their search down to a list of 15 best-fit accounts. LiveRamp identified the attributes that their high-value accounts had in common:

- 5,000+ employees for enterprise companies
- \$50M+ in annual revenue
- Active in retail, consumer packaged goods, insurance, and automotive industries.

They implemented their ABM campaign around those targets through a multi-channel sequence, including: display advertising, email marketing, outbound calling and direct mail.

Conclusions

To summarize, the sales force is a vital but very expensive element of the marketing mix and as much care should be devoted to its management as to any other area of marketing management. This is most likely to be achieved if intuitive sense, which is associated with experience, can be combined with the kind of logical framework of thinking outlined here.

Key account plans need particular attention. Research at Cranfield and elsewhere has shown that it is those organizations that invest resources in detailed analysis of the needs and processes of their key accounts, select and categorize their key accounts correctly, which fare much better in building long-term profitable relationships. Armed with a detailed knowledge of their customer's business, it is more likely that they can discover ways of helping the customer create advantage in their marketplace and build these findings into a strategic key account plan, which will be signed off by both the supplying company and the customer.

But the management of every level of customer, from big to small, is in flux. The ABM movement is transforming the management of major customers in particular. And multichannel transformation, which began with the smallest customers, is now affecting even key accounts, as we will consider in the next chapter.

CHAPTER 8 REVIEW

What is the role of personal selling?

This provides the face-to-face element of the communications mix which is today often delivered via online meetings. There are things it can achieve that advertising and promotion can't, for example, salespeople can be flexible in front of the customer and ask for an order. However, personal selling has to be seen in the context of the total communications mix.

Try Exercise 8.1

How important is personal selling?

Traditionally, companies had sales forces long before marketing was in vogue. Many companies still often spend more on sales forces than on advertising and promotion combined. Though key parts of the marketing mix, sales departments often act independently of marketing. Thus, in achieving their short-term sales goals, they sometimes fail to achieve the mix of products and markets consistent with the longer-term strategic marketing objectives.

How many salespeople should you have?

Basically salespeople have three activities. They:

- make 'calls' (traditional or online) or message prospects
- conduct sales meetings
- administer the sales process for different accounts.

Their workload should be analysed to establish how many calls it is possible to make in a typical working day. Equally, an assessment of existing and potential customers should be made and the annual total number of calls calculated (bearing in mind that different customer categories need different call rates).

What should they do?

Achieve objectives consistent with the marketing plan in terms of:

- how much to sell (volume)
- what to sell (mix)
- where to sell (market segments)
- allowable costs
- profit margins.

There can be many other types of sub- or enabling objectives, for example:

- number of telephone contacts
- number of calls made
- use of sales aids
- number of reports submitted
- safety record, etc.

Try Exercise 8.2**How are they managed?**

To maximize performance, get the optimal balance between incentives and disincentives. Incentives are:

- rewards consistent with performance
- giving praise and recognition where it is due
- minimal boredom and monotony
- freedom from fear and worry
- feeling of belonging
- sense of doing a useful job.

‘There are no bad salespeople, only bad sales managers.’

Try Exercise 8.3**How should key accounts be managed?**

A key account is a customer identified by the selling company as of strategic importance. Future potential should, therefore, be carefully considered in identifying key accounts. Do not have too many key accounts: each will require significant investment.

Key accounts need a key account manager to take overall responsibility for the commercial relationship. Important skills for this role include influencing skills and project management, as a large part of the role involves internal persuasion and coordination across numerous people involved in sales and implementation. Remuneration schemes should reflect the importance of customer satisfaction in development of these key relationships.

Key accounts will need managing in very different ways according to the stage of relationship development. These stages are:

1. Exploratory.
2. Basic.
3. Cooperative.
4. Interdependent.
5. Integrated.
6. Disintegrating.

A key account portfolio matrix is invaluable in planning for key accounts. Try developing a matrix, following the 12 steps of the section 'Planning for a key account portfolio' above.

Questions raised for the company

1. Q: Should sales or marketing be responsible for the sales plan?
A: Marketing objectives should be agreed first. Then, if there is a separate sales force, sales managers can devise a tactical plan to meet the objectives.
2. Q: Salespeople are sometimes described as notoriously reactive and optimistic. Can they be expected to conform to a sales plan?
A: Salespeople such as the ones described here are perhaps the salespeople you don't need. The sales plan is designed to make best use of a scarce and expensive resource, a wholly admirable objective. It must not be undermined.
3. Q: Suppose the sales plan requires salespeople to play a different role. Can old dogs be taught new tricks?
A: Whenever change is introduced, there are often some casualties. However, with well-designed training and sensitive management, the problem is not insurmountable.
4. Q: We've implemented KAM. That is, we've labelled our major 50 customers as key accounts and retitled some salespeople as key account managers. Is that it?
A: Well, that's a good way to hand market share to your competitors. Key accounts expect close relationships, proactive identification of customer needs, creative problem solving and going the extra mile to look after the customer's interests. This requires consultative skills and significant investment, which should be made only for very selective customers.

APPLICATION QUESTIONS

1. What are the key functions of salespeople in your organization? How is their work coordinated?
2. How is the sales force deployed: by geographical territory; by product range; by type of customer? Is this deployment optimal? What other patterns of deployment should be considered by your organization?
3. Who is responsible for the sales force in your organization? What is the relationship between this post of responsibility and other marketing responsibilities in the organization? Does this cause any problems? Where problems arise, how could they be solved?
4. Can you make a case to justify the present size and type of sales force used? Could you defend your position if you were requested to cut back the sales force by 30 per cent? How would you make your case? What do you believe would be the consequences of a 30 per cent cutback in the sales force?
5. How is your own organization's sales force used? Is this the best possible use of the sales force? In what ways do activities of the sales force complement other forms of marketing communications used? Identify any other ways in which you feel the activities of the sales force could enhance the total marketing communications effort.
6. Critically appraise your company's sales plan. Does it flow naturally from the company's marketing objectives?
7. Have you identified key accounts taking into account future potential and not just today's revenue?
8. Have you identified key account managers with the requisite influencing and implementation skills?
9. Do you manage key accounts differentially according to their stage of relationship development? Are there any key accounts where you delude yourselves that a close relationship is possible when the customer has every intention of behaving transactionally?
10. Do you allocate resources (such as your best key account managers) to key accounts differentially, taking into account the position of each account in the portfolio?

EXERCISES

While it is quite possible that some companies will not use advertising and sales promotion, very few fail to have some element of face-to-face selling in their marketing mix. Often the sales force was in existence long before the company became concerned about marketing. This sometimes explains why, in many organizations, sales and marketing are regarded as two separate functions.

When the total cost of recruiting, managing and providing salespeople with all the necessary resources and support systems is taken into account, the sales force is likely to be one of the most costly elements of the company's marketing activities. In order to obtain value for money, it will be important to plan how personal selling will be integrated into the 'communications mix', and then organize the logistics to ensure that the right results are achieved.

Exercise 8.1 looks at how the role of the sales force can be established.

Exercise 8.2 tackles the task of how to set quantifiable objectives for the sales force.

Exercise 8.3 examines issues about managing the sales force and, in particular, how to set the right motivational climate.

As a further exercise, try following the step-by-step guide to creating a KAM portfolio in the section within this chapter on 'Planning for a key account portfolio'.

Exercise 8.1 The role of personal communication in the communications mix

Before attempting to produce a sales plan, we must spend a few minutes getting back to basics and examining exactly what information customers will require from the sales force.

For different sorts of businesses, the role of the salesperson can be entirely different. In some they will just be order-takers, in others negotiators, in others demonstrators, and in others perhaps a composite of these and still other roles. Clearly, then, to claim that a salesperson 'just sells' is very much an oversimplification of the role, and sometimes can be downright misleading.

Taking your marketing objectives as the starting point, that is, which products/services go to which markets or segments, select one of your key markets/segments as a study vehicle and focus on the customers. What sort of information do they require from your sales force?

The next worksheet is designed to help with this task. There are three steps to be tackled:

1. Establish the communication areas that need to be covered.
2. Because of the costs of having a sales force, assess if there are less costly feasible alternatives to personal visits to achieve the same results.
3. List what these alternatives are, together with when and how they will be used.

Thus, on completion of the worksheet you will have a complete breakdown of the personal communications necessary to achieve the company's marketing objectives in your study market segment. In addition, you will have other information to show how personal visits can be a 'backup' to other methods of contact.

Worksheet What information do customers want from sales representatives? (Exercise 8.1)

For study purposes, just consider one important market segment. You can repeat the same procedure for others afterwards.

Recognizing that the sales force plays an important part in the company's communications mix, study the list below and then tick those 'demanded' by customers in column A. Now look carefully at the activities you have just ticked, and, taking each in turn, ask yourself if this information/communication could be provided in a more effective way than by a sales visit. For example, knowing the customer usage of a particular product might make it possible to obtain repeat orders by telephone.

Whenever you see the possibility of an alternative approach, place a tick in column B and make a brief note about the alternative.

Customer info. requirement	A	B	Alternative provision of information
About: product range product performance price discounts special offers promotions placing order after-sales service running cost in use guarantees spares and accessories new developments competitor products/performance assistance with displays assistance with merchandising training for own staff technical services quality assurance proof that product/service works warehousing/storage reordering load sizes leasing agreement delivery arrangements franchise agreement answers to objections joint ventures demonstration of product long-term contracts financial arrangements Add any other information requirements that are pertinent to your business			

(Continued)

Exercise 8.2 Quantifiable objectives

Having decided what role the sales force is to play in the communications mix to service your chosen market segment, you can now get down to drawing up some quantifiable objectives. These stem quite logically from the marketing objectives and should cover three main areas:

- 1. How much to sell (value of unit sales volume).
- 2. What to sell (the mix of product lines).
- 3. Where to sell (the markets/segments that take the company towards its marketing objectives).

Please note that in Exercise 8.1 you have already chosen one component, ‘where to sell’, by selecting an important market or segment.

The sales plan is in effect the translation of these ‘ball park’ figures into individual targets for each sales representative, taking into account special factors such as their territory/sector size, the size of customers within a particular territory/sector, and so on. Thus, how much to sell breaks down into individual targets. The mix of the product lines becomes an individual target. Where to sell becomes a specific customer list.

In addition, there can be other quantifiable objectives, typical examples of which are given on the next worksheet. Using this worksheet, you will be able to devise a set of targets appropriate for each of your sales representatives. The entries towards the end of the worksheet show how the basic targeting can be made somewhat more elaborate if it suits your company to make it so.

If you use one sheet per person, the total will become the sales plan for this particular market segment.

Worksheet Individual sales targets (Exercise 8.2)

Market segment_____

Salesperson_____

Territory_____

Period to which these targets apply,
year, month, week, call cycle, etc. _____

Target	Number	Qualifying notes (assumptions, special local factors, etc.)
Unit sales volume Product A Product B Product C Product D Number of calls planned to be made Number of interviews to be secured Number of enquiries to be raised Number of quotations to be submitted Number of orders to be taken Call/interview ratio* Interview/enquiries ratio* Enquiries/quotations ratio* Quotations/order ratio*		

Cost per visit Calls per day planned Average length of call Average daily mileage Number of new accounts planned Number of letters to be written Number of reports to be written Number of point-of-sale displays to be organized Number of meetings to be held, e.g. with trade, Number of service calls to be made Number of customer complaints Number of customer training sessions to be run Number of competitor activity reports to be submitted Number of general market condition reports to be submitted Add any others that are relevant to your type of business		
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*Based on past experience and future expectations.

Exercise 8.3 Managing the sales force

Although some purists might claim this is an oversimplification, the key management activities are:

- Setting performance standards (both quantifiable and qualitative).
- Monitoring achievements against these standards.
- Helping/training those who are falling behind.
- Setting the right motivational climate.

The word 'management' has been emphasized because many sales managers perceive themselves to be 'super' salespeople and continue to put most of their energies into selling rather than managing.

Setting performance standards

Exercise 8.2 concentrated on the quantifiable standard – what has to be achieved. Equally important are the more subjective elements of how the tasks are achieved: the quality of the actions.

Some companies have quite deliberately set out to create a style to which salespeople are expected to conform. This can cover appearance (of people and their property), the layout of presentations and reports, the way work is planned, the way customers are addressed and various other aspects of the work. You might have to give some consideration to this question of 'the way we do things around here'. But please note that in the examples given above, there is a standard to work against and performance is, therefore, measurable.

Place less emphasis on non-measurable factors, such as creativity, loyalty, interest, enthusiasm – relying on them too heavily is to plant the seeds of discord. Such subjective

(Continued)

judgements can easily be misconstrued as favouritism by some and unfairness by others who have been 'scored' lower. Nonetheless, they can be relevant, so we have included a way of 'measuring' these elements in this exercise.

Monitoring performance

What salespeople are doing can be largely measured by reports, sales figures, internal memos and suchlike. How they do things can in most cases only be assessed by being with them and observing their actual performance.

Thus, performance will have to be monitored at these two levels, and the frequency for doing so will depend upon the experience of the salesperson, the newness of the operation and the uncertainty of the situation. As a rule of thumb, the higher the uncertainty surrounding the salesperson, the territory/sector, the product range, the customers, and so on, the more frequently should performance be monitored. The appraisal summary (Worksheet 1) provided will enable you to monitor and 'measure' all the relevant quantitative and qualitative elements of your sales force.

Helping/training those whose performance is below par

By having measurable standards of performance, it becomes possible to be quite precise about the area and nature of help that salespeople need. After discussing the problem with them, you will be able to decide if it can be best solved by providing the salespeople with:

- More information (about products, prices, etc.).
- More support (report writing, more joint visits, etc.).
- More training (which generally means improving their skills).

Often training, which can be the most costly solution, is rushed into when other actions would serve the purpose more effectively. Should training be required, much of it can be carried out on the job by a suitable skilled instructor, who would follow a process like this:

1. Instruction/demonstration by instructor.
2. Practice by the salesperson.
3. Feedback by the instructor.
4. Further practice with feedback until performance is acceptable.

Setting the right motivational climate

Perhaps little of the above will really work unless the motivation of the sales force is right. While this subject could be the basis of a whole book by itself, it is possible to see a fairly straightforward way of cutting through much of the theoretical undergrowth.

By and large, if you can reduce those factors which tend to demotivate your staff and at the same time accentuate those which motivate them, then the motivational climate must improve. In saying this, it is important to recognize the difference between removing a demotivating factor and accentuating a motivating one. Removing a demotivating factor will not of itself bring about motivation. All it will do is to stop the complaints about the situation. In contrast to this, accentuating or adding to the motivating factors will undoubtedly lead to a higher commitment to the work. Worksheet 2 enables you to establish exactly what these factors will be for your organization.

Worksheet 1 Individual appraisal summary (Exercise 8.3)

SALESPERSON _____

DIVISION _____

TERRITORY _____ YEAR _____

MANAGER _____

Note:
Score between 5 and 1, when 5 represents excellent and
1 represents poor.

Salesmanship	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Product knowledge												
Pre-planning												
Objectives												
Introduction												
Participation												
Handling objections												
Use of benefits												
Visual aids												
Third-party proof												
Investment merit												
Closing techniques												
Merchandising												
Range selling												
TOTAL												

Organization	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Territory planning												
Use of time												
Reporting												
Records												
Sales statistics												
New account												
Follow-up												
Care of equipment												
TOTAL												

Attributes	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Enthusiasm and drive												
Training and self-development												
Appearance												
Punctuality												
Cooperation												
Customer relations												
TOTAL												
GRAND TOTAL												

(Continued)

Worksheet 2 Motivational climate

Get your salespeople to consider the various things, incidents or situations, that have happened to them in their work over the last, say, six months. (You can select the time period.) Then ask them to make brief notes under the headings shown on the form.

Those things I found DISSATISFYING	Those things which gave me SATISFACTION
Find ways to reduce or eliminate as many of these factors as possible.	Find ways to build on or add to these factors. These are the real motivators.

Exercise 8.4 Simulation practice

In your game, choose a key segment, sector or product line and review your marketing objectives set for it (see Exercises 5.4 and 6.6). With these in mind:

- a) Discuss the need for a sales force in your company. Do you need a sales force and, if so, what would be its role, purpose and objectives?
- b) How large should the salesforce be, how should it be organized around products and customers and how should it be managed?
- c) Decide whether you need to change your level of people investment in each of the segments.

Note: if you wish to learn about practising good KAM, then you should enquire about playing our dedicated Strategic Account Management game, SAM2Win.

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Chapter



THE OMNICHANNEL PLAN: THE ROUTE TO MARKET

SUMMARY

- How channels are combined in the customer journey
- How to select the most appropriate channels
- The several components of the distribution mix
- Customer service and customer experience
- How to prepare an omnichannel plan
- Exercises to turn the theory into practice

INTRODUCTION*

Our third chapter on different elements of the marketing mix builds on the previous chapter on personal selling. For many companies, sales occur not just through personal selling but also through a variety of other channels, from agents and distributors to direct sales online and by telephone. For some companies, indeed, personal selling has disappeared entirely. Furthermore, each of these channels can be crucial for service delivery.

Once, Place (route to market) was the dull, neglected P of the famous 4Ps of marketing. Companies' distribution policies were driven by mechanistic cost analysis: shipping and storage configurations, trade-offs between holding cost and the risk of being out of stock, and so on. But since the 1990s, digital technologies have transformed thinking on channels. Evans and Wurster 1997 noted how economic value was being split into physical and virtual (information) streams: the traditional economic trade-offs still held for physical distribution of goods and services, but the virtual stream of information exchange defied these rules. Digital experts advised companies

* The authors are grateful to Professor Stan Maklan, Rod Street, Lindsay Bruce and many other colleagues at Cranfield and Warwick, as well as the blue-chip members of the Cranfield Customer Management Forum, for their significant contributions to our thinking in this chapter on the place of channels today and how marketers need to respond.

to rethink Place as 'spaces' not 'places' and consider strategy for digital channels to disrupt existing business models. New words such as disintermediation, content aggregation and search entered the strategic lexicon.

Online channels spawned many significant successes based upon 'pureplay' information-based strategies, such as Tencent, Booking.com, Google and Meta. However, for many brands offline sales are still significant, so the strategic focus is about how to best integrate new channels into a traditional distribution model. Traditional retailers such as Walmart are not closing all their stores to better leverage new channels. Numerous online startups have followed Apple, which came full circle by investing successfully in physical stores to complement its telephone and Internet channels. India's omnichannel furniture retailer Pepperfry, for example, began as an online store, but now has retail studios in over 100 cities.

Concurrent with the evolving distribution landscape, customer behaviour has changed rapidly, as evidenced by the ever-increasing share of purchasing over the Internet and mobile devices. In the early days of e-commerce, however, many companies mistakenly segmented their customers into those that buy online versus traditional channels. As Alan Hughes, chief executive of UK bank First Direct at the time, put it:

Customers are only too delighted to use a low-cost channel when it's right for the job, but there are other times – such as when they have a complaint – when they would be mad not to roll out the cavalry of warm human contact.¹

It turns out that there are relatively few 'online-only customers'; rather, most customers want to conduct some of their exchanges with suppliers online. When offered a choice of channel, customers will use multiple channels, each dependent on the job that they wish to get done.

And neither is the challenge of channel design restricted to the issue of online versus offline channels. Equally, the maturing of call centre and CRM technology raises questions for firms such as: Should we replace field-based salespeople by desk-based account managers (DBAMs)? Can we divert some of the burgeoning call centre traffic to the web? And how can we ensure that the customer's omnichannel experience is joined up across multiple channels, so the salesperson knows about a complaint that was made on the web yesterday?

Channels, then, have far more importance than simply the issue of physical distribution, important though that is in the goods sectors of the economy. Revising omnichannel strategy offers a vast opportunity to expand market coverage, save costs or improve customer experience. But it is full of pitfalls, and simply following the crowd is hardly likely to lead to competitive advantage.

In this chapter, we discuss how to form an omnichannel strategy. However, those readers who believe they already know enough about channels and CRM, and who are principally concerned with the preparation of a strategic marketing plan, can go straight to Chapter 12, although we do urge readers to read the section in this chapter on customer service and experience.

The omnichannel plan involves three main decision areas, each of which will be examined in turn:

1. Through what marketing channels do we reach our customers (or what channels do our customers utilize to acquire our products)?
2. In the case of goods, how is the physical movement of our product organized?
3. What service and experience attributes does our customer require (and how well do we meet this requirement)?

Omnichannel or multichannel?

What is the difference between 'omnichannel' and 'multichannel' customer management? Well, it all depends who is talking! These terms are often used interchangeably. Since about 2012, some people have distinguished them as follows:

Multichannel customer management: Allowing customers to *choose between* two or more channels in order to complete a task (e.g. buy in store *or* buy online).

Omnichannel customer management: Allowing customers to *combine* two or more channels in order to complete a task (e.g. research online, obtain a demonstration in a store, buy on mobile, have product delivered and assembled at home).

It is clearly the latter that we are talking about here, so for the avoidance of doubt, we mainly use the term 'omnichannel'. But please note that much 'multichannel' literature means exactly the same: indeed, the 2008 book on multichannel by one of the authors was subtitled 'Integrating customer experiences for profit'! The key challenge always has been how you allow customers to touch several channels in their journey while integrating their experience so it is as seamless as buying from the corner-store owner who knows all your preferences before you ask!^{2, 3}

SELECTING MARKETING CHANNELS

Three Common Pitfalls

Before we describe how to choose communication channels, we must first point out three common approaches which do not work.

1. Offering all channels to all customers

Some companies misunderstand the importance of channel integration as meaning that we should offer all channels to all customers: face-to-face meetings whenever they want, call centres, an online community, a call-back button on the website, and so on. Needless to say, this is a sure-fire way to go bust! Even large, well-resourced organizations cannot keep adding channels indiscriminately to their overall customer management mix.

Some of the banks adopted this policy in the 2000s and 2010s, and soon found themselves unable to compete on price with competitors targeting specific segments with specific channel strategies – online specialists such as Egg, phone-and-web providers such as Direct Line, IFA specialists such as Skandia, and so on. Organizations need to make choices and, as in all other areas of business, allocate scarce resources to competing ends.

2. Allocating high-value customers to the most expensive channel

Many companies think that the art of channel management is to identify profitable customers in order to serve them across many channels, while forcing unprofitable customers to change

their behaviour in order to make them profitable, or accepting that they will leave and become someone else’s unprofitable customers. Many banks, for example, allocate personal relationship managers to customers on the basis of their current balance of funds managed.

There is some logic in this approach, but it is only half right. Just because a customer is currently profitable it does not necessarily follow that offering extensive channel choices is an optimal policy: companies often over-serve high revenue customers thus sacrificing profit needlessly and making them vulnerable to new entrants who have a lower cost channel structure. Equally, even seemingly unprofitable customers who do not wish to have a long-term relationship with the company can nevertheless be served profitably, and they can often be nudged gently towards use of lower cost channels without damaging their customer experience. Too many firms leave lower value customers feeling unwanted as they pursue obvious high value customers that all of their competitors target with equal vigour.

3. *Allocating customers to single channels*

The problem we have just described is actually a subset of a bigger problem in the way firms think about channels. Customers should not be allocated to channels at all, as they will typically use different channels at different stages of their journey with the firm: social networks or industry conferences for initial exploration, the website for further information, phone calls to company experts to check on the fit to the customer’s requirements, face-to-face meetings to negotiate, and so on. That’s the ‘omnichannel’ challenge we discussed in the box above. Yet many companies appoint channel barons and give each a profit target, as if the customer meekly stayed within one channel throughout their journey.

Developing an Omnichannel Plan

Below, then, are six simple steps which the marketer can take to develop a more rational channel strategy. They are based on the authors’ work over a number of years with blue-chips such as HSBC, BP, British Gas, and IBM. The steps are summarized in Figure 9.1. For further details of these tools, the reader is referred to the book *The Multichannel Challenge*.⁴

Step 1. *Segment far enough along the market map*

Market maps show the full extent of where an organization sits in the market and how the enterprise is connected to its end customers. We discussed market maps in Chapter 3. The map may

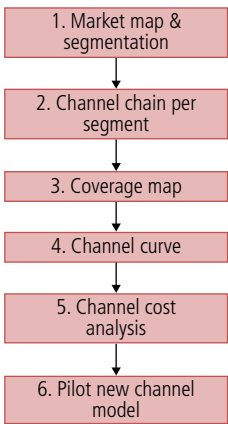


Figure 9.1: Developing an omnichannel plan.

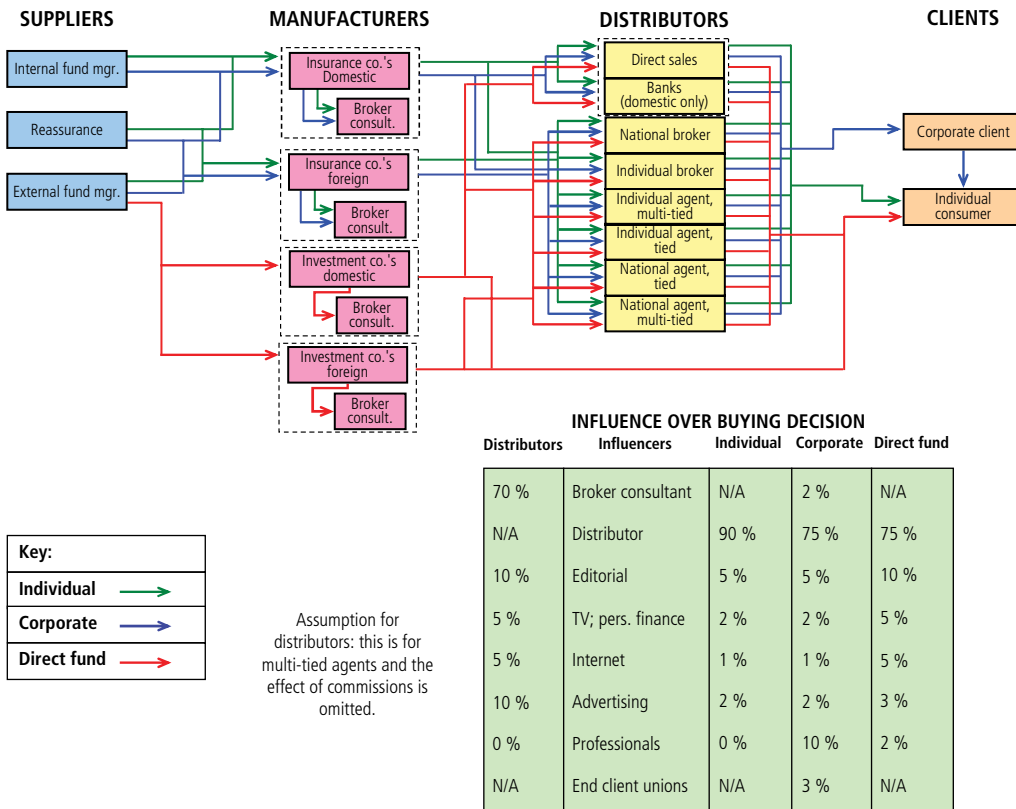


Figure 9.2: Market map – insurance company.

be redrawn as a result of the omnichannel planning process, but the first step is to understand the current market map. In particular, we need to look far enough along the map towards the end customer when segmenting the market, as we may decide in the channel chain analysis which follows that the indirect channels we are currently selling through will be replaced or complemented by other routes to market. The first web boom was driven by a large swathe of businesses trying to disintermediate existing participants, and even now without a proper base of analysis in this area it is possible to have missed whole segments of the market that might otherwise be profitably addressed.

The end customer is often the consumer, but it may equally be businesses in the case of IT suppliers, telecommunications companies, and so on. For channel strategy purposes, segmentation needs to be done at the furthest point in the map towards the end customer where a significant proportion of the buying decision is taken. Generally, this means segmenting at the level of the end customer. This is illustrated in Figure 9.2 for an insurance company.* The map shows its route to market for a particular country in mainland Europe. Below the map is a table showing who influences the buying decision, according to estimates by the company on the basis of market research.

* This insurance example, including the channel curve work described under step 4 later in this chapter, comes from the consulting of Professor Elizabeth Daniel and the authors with an anonymous insurance company.

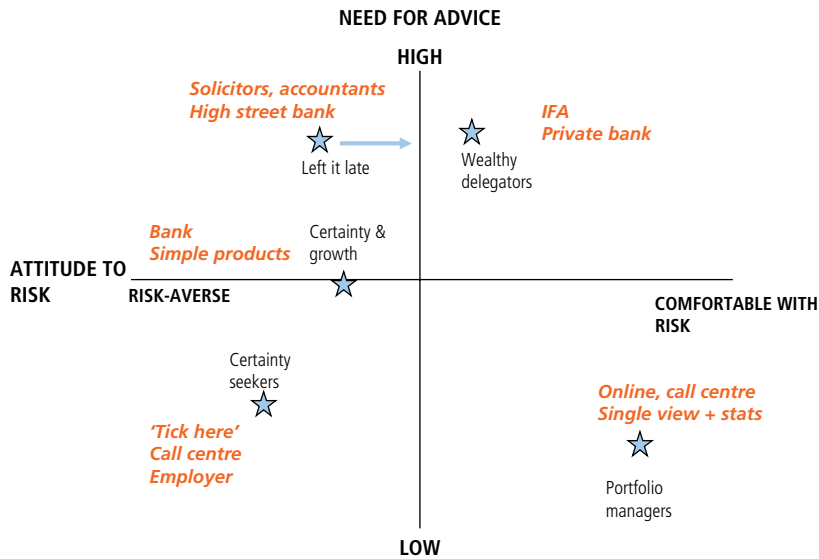


Figure 9.3: Segmentation of market for annuities.

In this example, all types of customer are most heavily influenced in their buying decision by the distributor, which may be a broker, agent, bank or direct sales representative. But whether the customer is a consumer or a corporate client, the distributor has a much easier job recommending a particular insurer if the end customer has heard of the insurer and has a positive image of it. So, a proportion of the decision – ranging from 10 per cent for consumers to 25 per cent for businesses – is thought to be made by the customer as a result of other influences – advertising, the Internet, and so on.

In this situation, segmentation at the level of distributors is certainly relevant for many purposes. But for forming channel strategy, the end customer needed also to be segmented, to evaluate whether their needs could better be served by a different route to market.

Having decided who our customers are, we then need to segment them. The best form of segmentation for forming omnichannel strategy is one based on different customer needs or buying criteria: we described how to form a needs-based segmentation in Chapter 3. Once needs-based segments are understood in detail, it may rapidly become intuitively clear what channels or channel combinations will best suit each segment. The insurance company's market for annuity products is segmented as shown in Figure 9.3.

CASE STUDY

The market for annuities is dominated by individuals at the moment of retirement, who have built up a pension pot and wish to convert some or all of it to an annuity, which pays a guaranteed amount each year until they die. Consumers vary in their attitudes towards such financial decisions, though, on two key dimensions shown in the figure: their need for advice, from highly independent decision takers to those who prefer to outsource their financial decisions; and their attitude to risk, from those who are very comfortable with risky investments such as shares to those who are risk-averse.

The largest segment is of 'certainty seekers', who wish to convert their pension pot to a guaranteed income with the least possible trouble. This segment typically takes out an annuity with their pension provider. A slightly less risk-averse segment is that seeking 'certainty and growth', representing people who are prepared to take some risk in order to achieve a greater return, for example, by investing part of their pension pot in a stock market-based product. 'Wealthy delegators' have a sufficiently large fund that they feel able to take more risk with its investment, and prefer to delegate the fine decisions to an adviser. 'Portfolio managers' may have similar funds but vary in their attitudes from wealthy delegators, preferring to manage their own fund portfolio. Finally, the 'left it late' segment have little or no pension provision.

Clearly the segments vary not just in what product propositions they want but also in what channel to market will best suit them. Certainty seekers can be efficiently served through a simple 'tick here' form, perhaps backed up by a call centre to answer any questions, so as to keep the process as simple and reassuring as possible. Wealthy delegators need to be reached primarily via advice-providing intermediaries such as independent financial advisers. The 'left it late' segment are likely to turn to their bank, and perhaps also their accountant or solicitor. 'Portfolio managers', by contrast, want hard information rather than personal reassurance, and so the Internet backed up by skilled telephone-based advisers may combine a low cost of service with immediacy and a sense of control for the customer.

In this case the most actionable insight for the insurer, though, concerned the growing 'certainty and growth' segment. The company decided that, while these customers were unlikely to use an independent financial adviser, they needed some face-to-face contact for help in selecting the right product and to provide reassurance. So distribution via a bank seemed the best option. This led the company to develop a special product variant which was suitable for this channel, and to them working with a high street bank to distribute it.

By simply asking ourselves what is the right channel strategy for each segment, then, we may improve on an undifferentiated channel strategy which treats all customers equally.

MARKETING INSIGHT

Many IT companies segment purely on the basis of company size or sector. But one major manufacturer applied a needs-based segmentation of its IT director customers to its channel strategy. The 'save my career' segment of IT directors with serious problems to sort out, they decided, needed plenty of face-to-face reassurance from an account manager – and were prepared to pay for it. A 'save my budgets' customer, by contrast, might be perfectly prepared to buy at a distance in order to reduce the cost of sale and thus the price. 'Radical thinkers' needed white papers and seminars with industry opinion leaders plus brainstorming with the firm's thought-leaders. 'Technical idealists' would be visited by company's technical staff while the besuited account managers stayed largely in the background. Overall, channel costs were reduced as the sales force could concentrate on where they were needed, but unlike many channel strategy projects which are driven purely by costs, the customer experience and hence revenue went not down, but up.

Step 2. Develop a channel chain for each segment to show how channels combine

This simple but effective tool helps to work out how channels will best combine by drawing what we call a channel chain diagram.⁵ Channel chain analysis was introduced briefly in Chapter 7. In this diagram, the stages of the buying cycle are drawn down the left. (The details of these stages might vary for each case.) Then, against each stage are listed the channels used to accomplish it. The channel used for one stage will often affect which channel is likely to be used at the next stage, so the relevant boxes are joined with a line, hence creating one or more ‘channel chains’.

CASE STUDY

A luxury hotel chain used this approach in its market research into how its guests found and booked their room. Three of the seven resulting channel chains are shown in Figure 9.4.*

Around 10 per cent of customers were ‘conventionals’, initiating their search for a hotel room with recommendations from friends, online City Guides and so on, and going on to phone the hotel. Some of these ‘conventionals’ complemented their search with information from a website such as TripAdvisor, which contains consumer reports on their own hotel stays, but they preferred to book by phone.

A larger proportion of customers were ‘3rd party loyals’, who put their trust in one of the online aggregators or third parties such as Booking.com, due to successful previous experiences. The marketing director was intrigued to note that many of these were looking at the hotel website for further information, but then returning to the third-party site to book. This was expensive behaviour for the hotel chain, which had to pay between 10 per cent

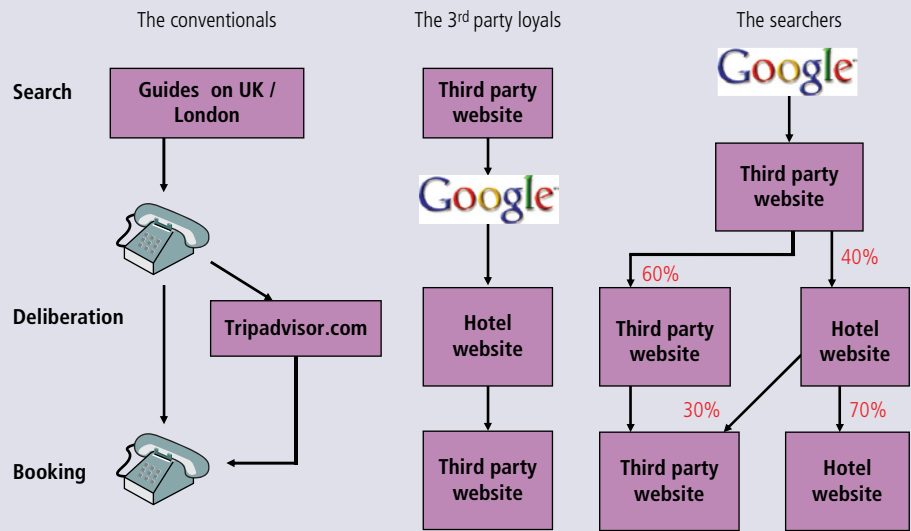


Figure 9.4: Current channel chains – hotel chain.

* This case study is based on the Cranfield Marketing MSc theses of Hrishikesh Mehta, Claudine Epper and Charlene Kosgey, working with the marketing director of the anonymous hotel chain.

and 25 per cent of the room rate to the intermediary. As it was based on a pre-existing relationship with the intermediary, though, it was difficult behaviour to change.

More immediately actionable, however, was the third channel chain for the 'searchers'. These customers would start by typing a search term such as 'luxury hotel London' into Google or another search engine. Expedia, Booking.com and their peers were masters at search engine optimization, and would buy paid search entries just to make sure, so the customer would probably end up on one of these intermediary sites. Again, a good proportion (about 40 per cent) of this segment would seek some further information from the hotel's own website. Having a lower loyalty to the intermediary, though, this time some of the customers would 'stick' on the hotel's site and book there, rather than returning to the intermediary. Nevertheless, in total 70 per cent of this segment would book through the intermediary. Even if this booking was with the hotel chain rather than a competitor, this represented an expensive sale.

Fortunately, the research included questions on why customers were making their channel choices and, crucially, why they made these channel switches from one channel to another. To the marketing director's surprise, the main reason for returning to a third-party site from the hotel chain's site, even for these customers at the very top end of the market, was price. Consumers wrongly believed that the price would be better on the third-party site. With this insight, the marketing director was able to convey some simple messages on the home page to explain that the hotel always offered its best prices directly. Simple search engine optimization also meant that a fair number of these 'searchers' now came straight to the hotel's website, too.

So, an understanding of channel chains led the marketing director to some simple changes at virtually zero cost. By the time she repeated her market research a year later, it was clear that these changes had diverted many customers to buying directly, at considerably lower cost.

A thorough understanding of your customers' current channel chains, then, is essential if these channel chains are to be redesigned to provide added value to the customer, lower costs, or both.

We have seen, however, that the right channel chain will vary both by customer group and by product, presenting the challenge of pulling together the work in each segment or product combination into an integrated strategy, which has a reasonably small set of channel chains across the organization. We turn to this issue next.

Step 3. Develop a coverage map to show how channels vary by product and market

The coverage map tool provides a graphical means for thinking through this problem of how channel chains vary across products and across segments.

In its simplest version, shown in Figure 9.5 for a business-to-business telecoms firm, the tool summarizes how different channels are used by different customer groups and for different parts of the product range. The vertical axis plots customer groups, ranging from low value to high value ones. This is based on the observation that we are more likely to be able to afford the use of high-cost channels for valuable clients.

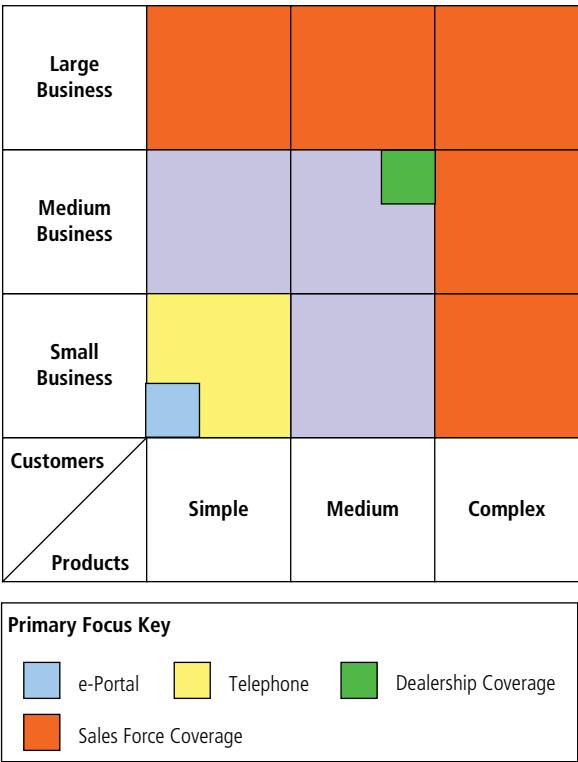


Figure 9.5: Coverage map – business-to-business telecoms provider.

The horizontal axis lists the company’s products or services in order of the complexity of sale. So a simple product, with few options, which requires little explanation to the customer will appear to the left, while a complex product requiring configuration and consultancy and involving price negotiation will be to the right.

This reflects the observation that channels vary in their ability to handle complexity, and customers are well aware of this. An IT company’s key accounts or an insurer’s high net worth individuals may rightly demand face-to-face meetings with account managers or financial advisers to discuss complex, high risk decisions. But equally they are generally more than happy to use low-cost channels such as call centres and the Internet for routine, lower value transactions.

A good coverage map will have several features. The simplest is that it will have good coverage: there will be a channel for each area of the map – or at least each area which represents a target segment for the company – and channels will not be competing for the same space on the map. A good map will also use high cost, high bandwidth channels such as the field sales force or face-to-face meetings with a financial adviser only where they are needed, typically in the top right corner of the map, where the customer value justifies the cost and the sales complexity necessitates it. Low-cost channels such as the Internet will typically dominate the bottom-left corner, and in many cases, the whole of the left-hand side of the map.

When companies first draw the map to illustrate their current channel model, it often demonstrates the lack of conscious management attention to the design of the channel strategy, by revealing one or more of the following faults:

- Overlaps where product/customer combinations are unintentionally served in multiple ways.
- Holes with insufficient coverage of target customers or parts of the product range.
- A resource balance directed to existing rather than potential business.
- Irrational use of expensive channels, with little differentiation behind the channels used to serve each area of the map.

The company of Figure 9.5, while not wholly dysfunctional, illustrates some of these faults. In particular, there appears to be an unnecessarily heavy use of the sales force. One would want to check out whether the high value customers were happy to conduct simpler transactions remotely instead, and whether the sales force really paid its way for the lowest value customers, or whether this business should be delegated to dealers. Moreover, although the web and dealership channels seem sensibly positioned on the diagram, they are in an immature state. The size of their boxes reflects the proportion of business coming through this channel, so, for example, only about 10 per cent of simple products purchased by small businesses are bought over the web. The telephone channel is also underused: its success with simple products for small businesses could be extended upwards on the diagram to medium-sized businesses, as well as rightwards to medium complexity products.

You may have noticed, however, that this example makes a major simplification. We have described the tool as if each area of the map – that is, each product/segment combination – has one and only one channel serving it. And indeed, that is the way in which the coverage map has generally been described and used in the past.⁶ We have seen earlier in this chapter, though, that frequently several channels are needed in the same channel chain to serve a particular product/segment combination. So the tool is far more powerful if each shaded or coloured area on the map is thought of as a channel chain rather than a single channel, even if, for shorthand, the area is labelled by the ‘leading’ channel in the channel chain, typically that where the order is actually taken. This point will become clearer in the next example.

By developing a current coverage map and brainstorming a future one, major opportunities for improving cost, reach and customer experience often emerge. This is illustrated by a highly successful project within BT, which was widely credited with helping to turn around the fortunes of the UK’s former monopoly telecoms provider.

CASE STUDY

BT GLOBAL SERVICES GOES OMNICHANNEL*

BT’s Global Services, a £6.5 billion turnover division of BT serving the UK’s top companies and public sector organizations as well as major organizations internationally, faced some major challenges in its route to market. Nearly all sales – from a £5,000 leased line to a £100 million outsourcing contract – were booked by traditional account managers, who would liaise with their clients whether from the office or by spending time in the customer’s premises. Despite a sales force numbering 2,000 people, BT was unable to serve the

* This case study was researched by Professor Stan Maklan and the authors. We are grateful to Ruth Rowan, Olivia Garfield and Lesley Aberly, then all at BT, for their collaboration.

(Continued)

market adequately. Furthermore, for lower-value sales, the cost of sale was considerable, and difficult to sustain in a competitive marketplace.

BT developed a new coverage map, a simplified version of which is shown in Figure 9.6. The field sales force would be needed more than ever for the highly complex deals, such as outsourcing with high value customers. But, BT suspected, a large area in the middle of the chart could be handled effectively by the new channel of DBAMs ('desk-based account managers') – fully professional account managers, but working entirely from the office. These staff would have a higher proportion of the day in contact with customers which, combined with savings on supporting staff on the road, would lower costs considerably. It was hoped that customers would also benefit from being able to contact a member of the account team at their convenience. At the bottom left corner of the chart, simpler transactions with lower value customers would be carried out either online or via partners.

A successful pilot found that sales and marketing costs did indeed go down dramatically, from 25 per cent of revenue to 17 per cent, adding 8 per cent of revenue straight to the bottom line. It also actually found increased customer satisfaction, as customers preferred the highly available DBAMs for their simpler needs. As a result, BT rolled out 400 DBAMs and reduced the field sales force accordingly. As well as reducing costs – each field sales person costing 2.5 times as much as a DBAM on a fully allocated cost basis – this was generating over £100 million of additional annual revenue, as the field sales force was able to concentrate on high value opportunities.

The word 'led' against each area of the coverage map is significant, as the named channel is really the name of a channel chain in which the named channel is the likeliest to take the order itself. For example, the web is playing a significant role throughout the sales process in all areas of the map. Dedicated pages for large customers and web conferences help the customer to research BT's offerings, while business rules built into the web solution ensure that customer enquiries and orders are routed to the appropriate person for fulfilling. After-sales services allow customers to access basic service and billing information quickly and report faults. This takes pressure off the field and desk-based sales resources: for example, the well-supported web-based customer conferences save field sales over 500 person-days a year.

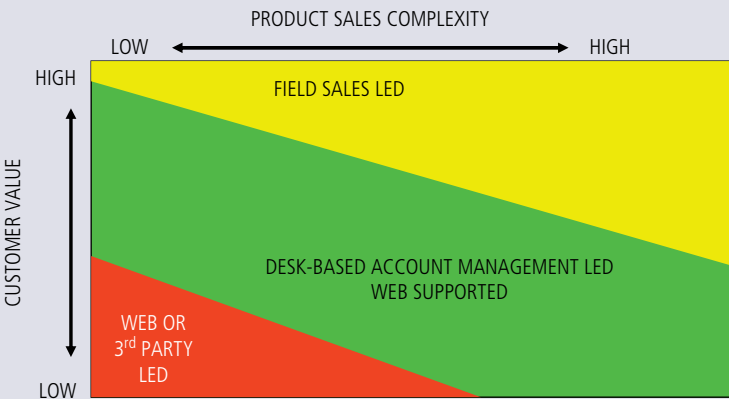


Figure 9.6: Coverage map – BT Global Services.

This closely integrated channel mix requires careful attention to reward systems. To break channel silo habits and encourage cooperation early in the change process, BT experimented with what they called 'double bubble': paying both desk and field resources for sales on which they cooperated. Within six months this was deemed too expensive, and a new system was developed that rewarded both field sales people and DBAMs for all sales over their annual targets without paying twice for each sale. The remit of each was clear – DBAMs were responsible for bringing in new business on their accounts, account managers were responsible for the entire account balance. It was in the account manager's interest to help the DBAMs sell aggressively to their account; and it was in the interest of the DBAM to help the account manager develop opportunities within the account that the desk could exploit.

BT developed rules to allocate sales leads appropriately, based on the logic of the coverage map. Each of the approximately 65 service and product areas sold by the division was scored on seven aspects of product complexity: product maturity, configurability and integration, commoditization, pricing complexity, the length of time to complete the sale, the need for buyer education, and who in the client organization buys. The score of each product determines which channel will normally sell the product. This preferred channel is embedded in the CRM system so leads are automatically allocated to the right channel, although this automatic allocation can then be overruled by the account teams if their account knowledge suggests it is wrong. Nevertheless, the DBAMs take forward more than 75 per cent of enquiries that reach their desk, and win approximately 64 per cent of these, an achievement that is well above BT's expectations. The DBAMs also perform a critical 'triage' function on leads generated from the web or from marketing campaigns, deciding which opportunities need to be referred to the field sales team for progressing, which need specialist input and which ones they can action alone.

Coverage maps, then, can help to integrate the channel strategy into a coherent design. In particular, they are useful for allocating scarce, expensive channel resource where it is most needed, and making the best use of lower cost channels. It is important to use them in conjunction with channel chain diagrams: each area or colour on the coverage map has a different channel chain. For more examples of coverage maps, channel chains and how they fit together, see Wilson et al. (2008).⁷

Step 4. Develop channel curves to check the advantage to the customer

By this stage in the process, we have numerous ideas for improving our omnichannel proposition. How can we validate these ideas before including them in the marketing plan? A useful tool is the channel curve. This tool addresses the question: 'What is the advantage to the customer of our proposed change?' Although we have borne in mind segment characteristics when constructing channel chains, we have only assessed the customer's acceptance of our proposed channel chains intuitively. As this is crucial for estimating the impact of changes on revenue, it is best to do more detailed modelling of the customer perspective before proceeding to piloting. This is the purpose of the channel curve tool.

For example, let us suppose that, on the basis of our coverage map and channel chain work, we would like more customers to use a call centre or web channel in order to lower transaction costs. Clearly we have to look at this issue from the customers' point of view: what is driving their current behaviour, and what would entice them to change? The channel curve analyses

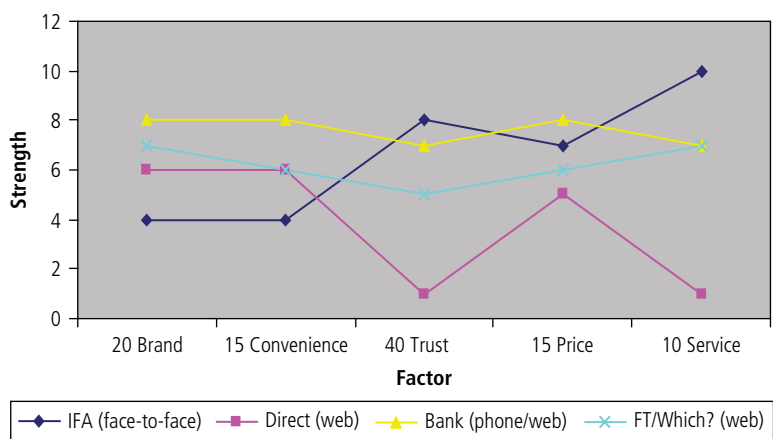


Figure 9.7: Channel curve – pensions.

this, comparing how different channels (or different channel chains, as we will come on to shortly) rate at meeting the customers’ buying criteria. It is illustrated in Figure 9.7 for the insurance company we considered earlier in the chapter, selling pensions to consumers.

First, the main buying factors are listed along the bottom of the chart, with weights indicating their relative importance to the customer’s buying decision (out of 100). These represent the key factors taken into account by the customer in deciding where to place their business. The ability of each channel to deliver against each factor is then rated on a 1–10 basis: the higher the score, the better this channel meets this buying factor.

This financial services company was currently selling pensions through IFAs, but was contemplating whether it should introduce any further routes to market – direct on the web; selling on the web via a trusted intermediary such as the *Financial Times* or Which?; or selling via integrated call centre and Internet banks such as First Direct. This last option represents a call centre/Internet channel combination rather than a single ‘pureplay’ channel. In this situation, such channel combinations can be compared on the channel curve along with any simpler ‘pureplay’ channel options.

In this particular case, it can be seen that the option of direct sales on the web falls down on the target segment’s crucial buying criterion of trust. This reflected the conclusion from market research that, while some customers were willing to do research of possible pension providers online, the great majority would then seek the approval of someone they trusted before they felt confident enough to buy such a high involvement product. The company concluded that a website would be unlikely to deliver this trust – a conclusion which is so far consistent with the available evidence. As the chart suggests, though, they thought it possible that customers would trust a bank with high service standards such as First Direct sufficiently to have such a crucial conversation remotely, suggesting that some trials of this route to market might be worthwhile.

In practice, different segments are best matched to different channels, which would show up clearly if the channel curve was drawn for each segment, since each segment’s buying criteria are, by definition, different from those of other segments. In practice, then, this particular manager would need to draw a similar chart for each major target segment.

All this can be used to define a future proposition on the channel curve. This may simply be a question of adding a channel to the mix, or extending its capabilities to handle a wider part of

the customer interaction. More often, it will involve improvements to an existing channel offer. In this case, two lines will be needed for the channel in question, one for the current situation and one for the envisaged future situation.

DIGITAL MARKETING INSIGHT: REVIEWING THE MARTECH STACK TO SUPPORT OMNICHANNEL MARKETING

Technology plays a strong supporting role within omnichannel marketing; many marketing technology services have been created to support digital marketing activities ('martech' for short). They typically combine two main functions. Some, such as CRM and marketing automation systems, focus on running operational marketing processes to deliver more relevant messages to audiences. We will talk more about these in the next chapter. Others, such as Google Analytics, focus on providing insight for the marketer on digital marketing effectiveness. Most martech products are cloud-based software-as-a-service (SaaS) tools that don't require software to be installed within a business, with the insight and management controls accessed via a browser. The SaaS approach is efficient compared to installing software because typically businesses subscribe to different SaaS for different functions, with many offering data integration with other solutions.

Although SaaS-based martech offer many advantages, there are challenges in selecting and deploying them cost-effectively. One challenge is the sheer number of tools varying in cost, quality and integration with other tools. Incredibly, there are now over 10,000 potential martech tools that businesses can use, as identified by Scott Brinker⁸ in his Supergraphics at ChiefMartech.com, and their number has grown from a few hundred when he first started cataloguing them in 2011.

The range of martech services available to support omnichannel communications across the customer lifecycle is shown by Figure 9.8. This categorizes the tools across the Planning framework we introduced in Chapter 1, so businesses can review gaps where they could make better use of the tools. Within each category shown by each spoke of the 'wheel', Dave Chaffey of Smart Insights has selected examples of services from low or no-cost 'free-mium' tools towards the edge to higher cost, higher capability 'enterprise' tools towards the centre.

The concept of a 'martech stack' has grown out of the categorization of marketing technology. A marketing technology stack is the combination of different software services or tools used to run all marketing operations including customer acquisition, conversion, retention, team communications, and to deliver customer and market insight and reporting. Reviewing the martech stack and creating the business case and roadmap for future additions should be a key part of the omnichannel marketing plan.

When selecting technology to form a martech stack, a key question is whether to choose 'best-of-breed' solutions from specialists providers to a category or better integrated, but

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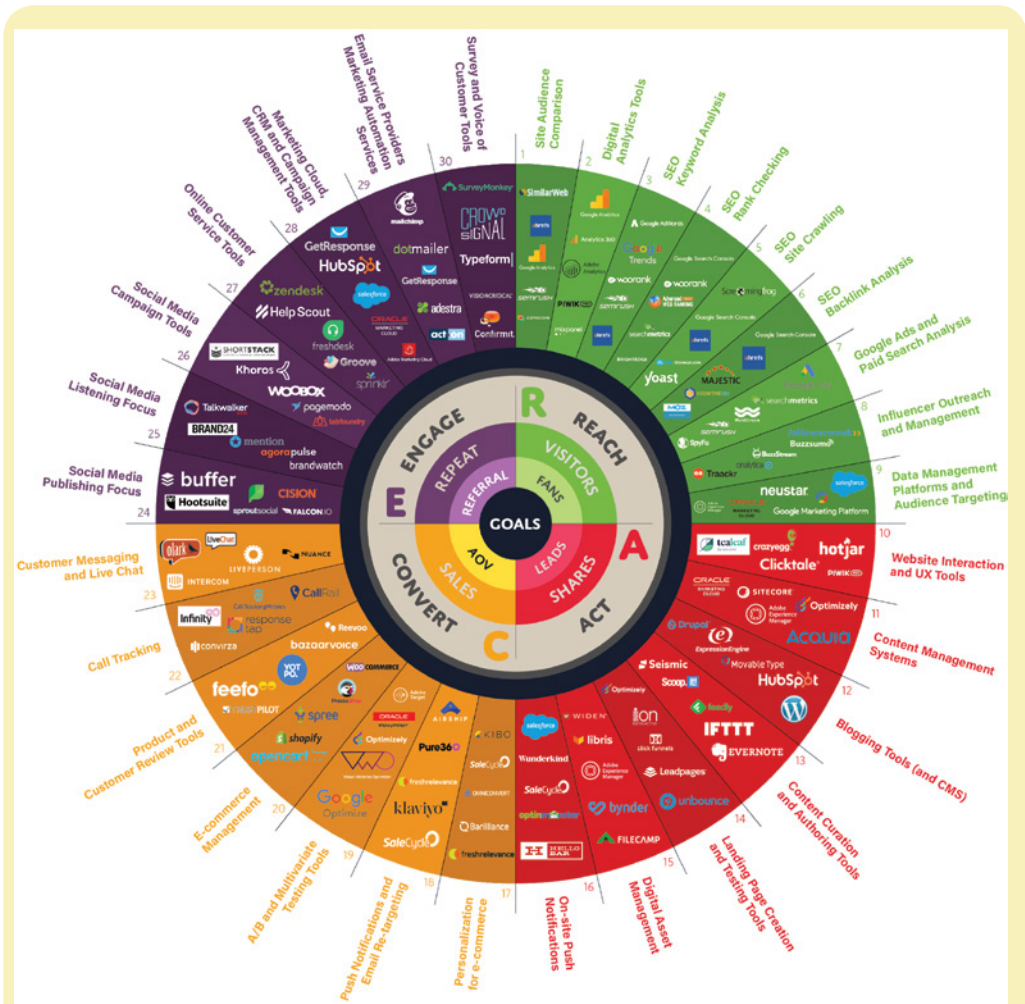


Figure 9.8 Essential digital marketing tools infographic showing recommended marketing technology across the RACE customer lifecycle defined by Smart Insights.

Source: Smart Insights (2023) Essential digital marketing tools [Infographic] by Dave Chaffey. <https://www.smartinsights.com/digital-marketing-platforms/essential-digital-marketing-tools-infographic/>

potentially less capable solutions from ‘marketing cloud’ providers who integrate data into Customer Data Platforms.

For example, Vivienne Westwood, one of the last independent global fashion companies, has stores in 63 locations across the world with a strong presence in the UK and Asia. It uses the MAPP Customer Data Platform to link purchases that happen offline in their stores as well as online. This enables store transactional data to be stored and gives a direct channel for obtaining customer opt-ins. This helps tailor marketing communications through personalization on the website and within email marketing.

Step 5. Understand channel costs

The channel curve, then, helps us to assess a proposed future channel strategy in terms of what is in it for the customer – and, hence, what is the likely impact on sales. The other main dimension we need to assess in constructing the business case is the impact on costs. This essential step is relatively easy to describe, though often a lot of work in practice. The starting point is to analyse the costs of individual channels.

CASE STUDY

LOWERING CHANNEL COSTS FOR AN AIRLINE

Figure 9.9 shows the results of an exercise to analyse costs per channel for a major airline for their four major channels: 'trade', the travel agents; direct sales online; and two categories of call centre. Conventional wisdom in the airline was that e-commerce was by far the cheapest channel, and web sales were priced accordingly with large discounts. The channel director wanted to check out these assumptions in order to work out where to put his future investment.

What he found, after a lot of careful work with the accountants combining information from different sources, came as a surprise. The 'trade' channel (sales through travel agents) had significant commission costs, so the variable costs per sale were far from negligible at 75 currency units per sale. But web sales had an even higher variable cost, for two reasons: credit card charges and the discounts that were being offered online in the mistaken belief that this would save the company money. Furthermore, the fixed costs were much higher for the online channel, due to high costs of IT development and equipment. Higher still were the costs of running call centres.

An analysis purely based on current channel cost might have led to the entirely erroneous conclusion that the direct sales channels should be closed. Indeed, the fact is that some segments wish to deal with travel agents, and this was still the most efficient way to serve customers with more complex requirements. But other segments prefer to buy online,

	Trade Centre	e-Commerce	Call Centre	Contact
Fixed Costs				
Staff & Office	23.8	48.5	248.4	50.7
Investment	0.2	39.4	22.2	0.0
Maintenance	0.2	18.7	7.4	0.0
Communications	0.4	0.0	0.0	0.0
Total	24.6	106.6	277.9	50.7
Variable				
Distribution	49.0	11.4	8.9	10.9
Incentives	20.2	55.8	0.0	0.0
Credit Card	6.2	34.6	25.2	22.6
Total	75.4	101.8	34.1	33.5
Total	100.0	208.4	312.0	84.2

Figure 9.9: Analysing channel costs – an airline.

(Continued)

so the challenge was more one of getting the coverage map right and getting costs and prices in line.

So the channel director developed a new coverage map which directed the travel agent channel at the customers where it was needed. In the light of the cost data, he adjusted the online pricing so that only the price-sensitive segment would be discounted, and then only when the plane would otherwise not be full. And he reprioritized investment in website capabilities to reduce the load on the call centres when website users got stuck – an important omnichannel effect which was driving up the call centres' overall costs. The whole project resulted in projected savings of several hundred million dollars over five years, a target which the airline is on target to meet at the time of writing.

This example shows how important it is to get a handle on current channel costs. But in the use of call centres by customers who then place the order through another channel, we have also seen how omnichannel purchasing can skew this data. The same applies, of course, to other buying combinations such as talking to a travel agent and then buying online. What we really need, therefore, is cost information not per channel but per channel chain.

Step 6. Pilot new channel model

The final step before full implementation of a new channel strategy is to pilot any changes to the route to market. Even with the benefit of channel curve analysis, the customer reaction to new channel models can be difficult to predict with certainty; and there are many examples that show that simply asking the customers how they will react to a model they have never yet seen is far from reliable! A good pilot is, therefore, critical.

The BT Global Services case we described earlier in this section is a good example. Before rolling out DBAMs, the project director conducted a pilot, treating one group of accounts with the new combination of DBAMs and field salespeople, and leaving a 'control' group of similar accounts with the previous, field-based sales model. The metrics which she tracked in this pilot were instructive: revenue and profit in the two groups, of course, but also customer satisfaction and employee satisfaction.

• • •

With the help of this six-step process, which has been refined over a number of years in our work with leading companies, a channel strategy can be defined which reduces costs, improves coverage and enhances customer experience at the same time. In particular, it is the art of combining channels in the same journey, using high cost, personal ones where they are needed and low-cost ones where they are appropriate, which opens up the creative space of channel strategy allowing cost reduction and experience improvement to be seen as complementary and not in competition.

This omnichannel strategy process applies equally in business-to-business and business-to-consumer contexts, and also to both goods and services. There are, however, some additional considerations in the case of goods that require physical distribution, which we will consider next.

PHYSICAL DISTRIBUTION

The Importance of Distribution

For manufacturers, the physical distribution function of a firm provides the place and time dimensions, which constitute the third element of the marketing mix. This is depicted in Figure 9.10, which also shows its relationship to the other utility-producing elements. The figures on the diagram are illustrative only, although they are realistic for some industries.

If a product is not available when and where the customer wants it, it will surely fail in the market.

To achieve this value-adding function, firms generally have a distributive activity within the corporate organizational structure known variously as physical distribution management (PDM), marketing logistics or, simply, logistics. Today, it is frequently called 'supply chain management', which also encompasses the supply side of physical flows. A generalized model of the entire manufacturing entity is given in Figure 9.11; this also depicts the position of (finished) product ► **distribution** vis-à-vis marketing, production, the procurement system and the financial/accounting systems.

Distribution is the movement of all materials, both prior to production and after production. The term 'logistics' is also used in the same way.

The movement of all materials, both prior to production (raw materials, subassemblies, etc.) and after production (finished product) constitutes the total logistics flow of the firm. In this chapter, however, we shall confine our attention to the latter, that is, finished product distribution.

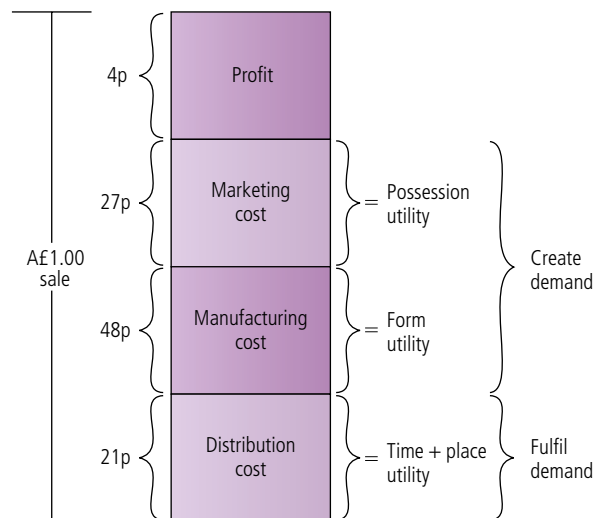


Figure 9.10: The utility producing elements in manufacturing.

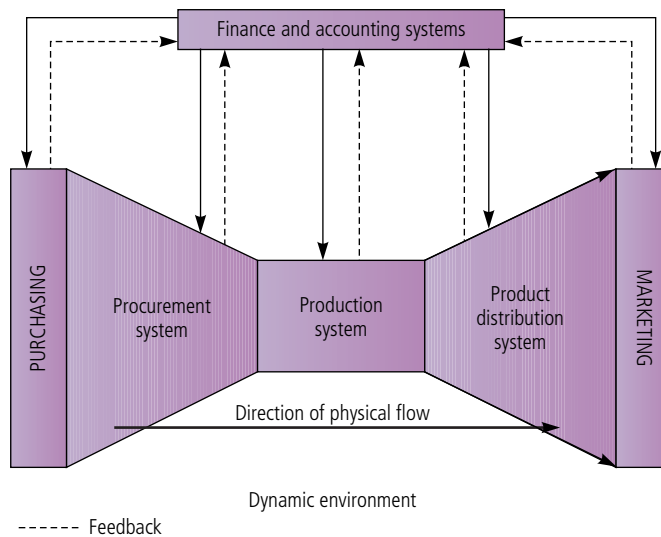


Figure 9.11: Manufacturing flows.

The Distribution Mix

In a typical manufacturing company with a formal distribution structure, the responsibility for distribution-related matters is spread across the other functional departments. For example, production may control warehousing and transportation; marketing may control the channels through which the product moves, the levels of service provided to the customer and communications; and the finance department may control inventory obsolescence, data processing and inventory costs.

Such a compartmentalized arrangement leads to each department working to its own objectives, attempting to optimize its own particular activity, oblivious of others or of the good of the whole company.

Introducing a more formalized distribution arrangement into the corporate organizational structure, although not completely eliminating interdepartmental friction, does at least ensure that all distribution-related activities are organized under a more centralized control, thereby gaining focus.

This, then, is the basis of the total distribution concept, because it now becomes possible to seek out potential 'trade-offs', that is, consciously to incur costs in one area in order to achieve an even larger benefit in another. For example, should a series of field warehouses be maintained, or would one suffice, supplemented by an improved trucking operation? Of course, these types of potential 'trade-off' situations place a heavy burden on the cost-reporting systems of a company.

The professional logistics manager, therefore, has several variables to contend with in the search for trade-offs; taken together these constitute the *distribution mix*. Each of these will now be examined briefly.

Facilities

Decisions in this area are concerned with the problem of how many warehouses and plants should be established and where they should be located. Obviously, for the majority of

companies it is necessary to take the location of existing plants and warehouses as given in the short term, but the question does arise in the longer term or, indeed, when new plants or warehouses are being considered.

The principal marketing task here is to forecast the nature, size and geographical spread of demand.

Increasing the number of field locations will result in an increase in trucking costs and a reduction in retail distribution costs. So, another marketing task is to determine the customer service levels that are likely to be required in order to be able to make a decision about this particular trade-off.

Inventory

A major element in any company's total distribution costs is the cost of holding stock, which is often as high as 30 per cent of its value per annum. This is because of items such as interest charges, deterioration, shrinkage, insurance, administration, and so on. Thus, decisions about how much inventory to hold, where to hold it, in what quantities to order, and so on, are vital issues. Inventory levels are also instrumental in determining the level of service that the company offers the customer.

Transport

The important aspects of the transport decision concern such issues as what mode of transport should be used, whether to own vehicles or lease them, how to schedule deliveries, how often to deliver, and so on. Perhaps of the five distribution variables, it is transport that receives the greatest attention within the firm. It is certainly one of the more obvious facets of the distribution task.

Communications

It must always be remembered that distribution not only involves the flow of materials through the distribution channel, but also the flow of information. Here, we are talking about the order processing system, the invoicing system, the demand forecasting system, and so on. Without effective communications support, the distribution system will never be capable of providing satisfactory customer service at an acceptable cost. It is vital that it should be recognized that inefficiency here can lead to a build-up of costs in other areas of the business, such as in emergency deliveries, as well as a permanent loss of sales through customers turning to alternative sources of supply.

Unitization

The way in which goods are packaged and then subsequently accumulated into larger unit sizes (e.g. a pallet load) can have a major bearing upon distribution economics. For example, the ability to stack goods on a pallet which then becomes the unit load for movement and storage can lead to considerable cost saving in terms of handling and warehousing. Similarly, the use of containers as the basic unit of movement has revolutionized international transport and, to a certain extent, domestic transport as well. Mobile racking systems and front-end pricing by means of scanners are other unitization innovations that have had a dramatic effect upon the way goods are marketed.

Together, these five areas constitute the total cost of distribution within a company.

Aligning the Interests of the Firm and its Distributors

The fundamental role of a company's distribution function is to ensure that the 'right product is available at the right time'.

This implies some organization of resources into channels through which the product moves to customers.

It is necessary to consider both the route of exchange (and its administrative and financial control) and the physical movement route of the product – they may well be different.

Many companies use multiple channels through which to reach their customers, often involving one or even several 'indirect channels' or 'intermediaries'. The role of a distributor is to provide the means of achieving the widest possible market coverage at a lower unit cost. Many such intermediaries hold stock and thereby share some of the financial risk with the principal (or supplier). Figure 9.12 shows that using an intermediary carries benefits for the manufacturer,

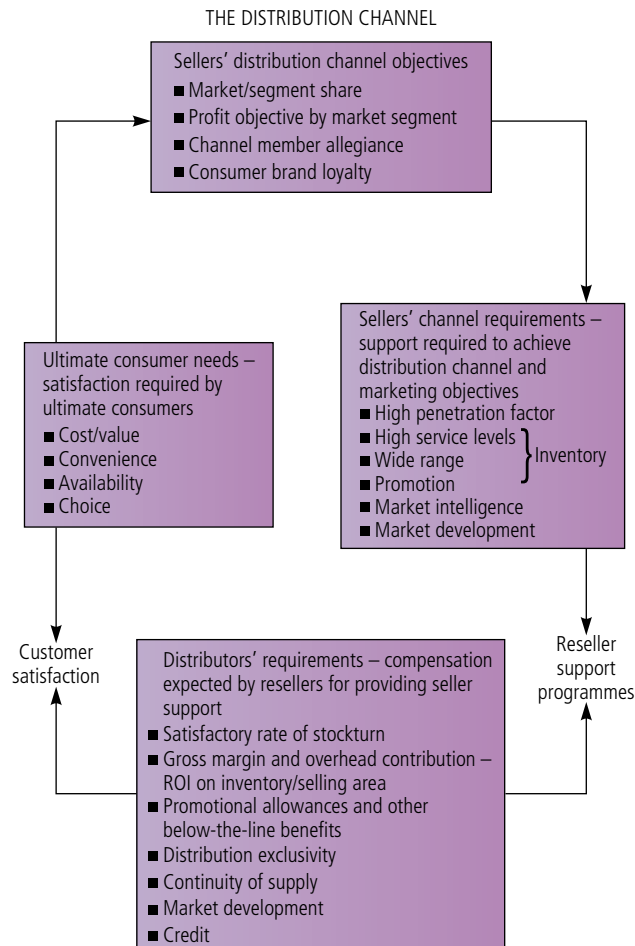


Figure 9.12: Aligning the interests of the firm and its distributors.

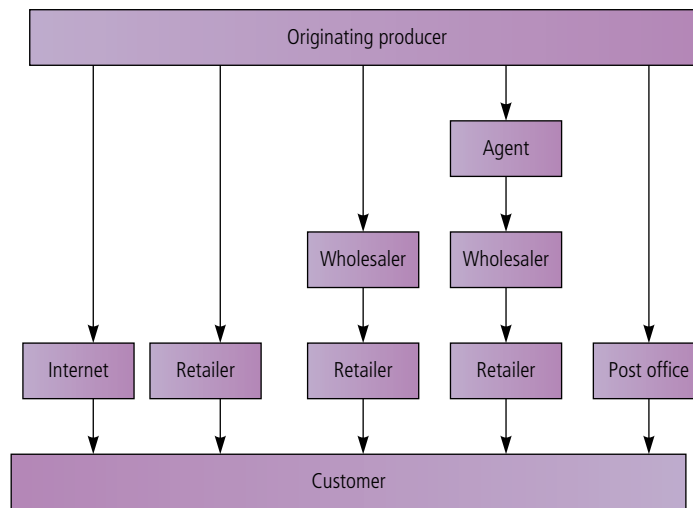


Figure 9.13: Examples of different routes to market.

but it also involves significant ‘costs’, the most important of which is the loss of control which accompanies such a channel strategy.

Often, too, considerable conflict exists between the respective objectives of suppliers and their distributors; this gives rise to conflict and suspicion in the relationship. Nevertheless, suppliers must evaluate the costs and benefits of each marketing channel potentially open to them and decide on a combination which best suits their type of business and the markets they are engaged in. The alternatives depicted in Figure 9.13 quite obviously have different cost/revenue profiles.

Any cost/benefit appraisal needs to be undertaken in the widest context possible. It needs to consider questions of market strategy, the appropriateness of the channel to the product, and customer requirements, as well as the question of the comparative costs of selling and distribution.

Marketing channel decisions for goods are, therefore, key decisions that involve the choice of an intermediary (or intermediaries) and detailed consideration of the physical distribution implications of all the alternatives, in addition to the other considerations for both goods and service sectors, which we discussed earlier in this chapter. The evaluation of distributors is, therefore, of significant importance.

Evaluation Criteria for Channel Intermediaries

Regardless of the type of intermediary to be used, there are a number of basic evaluation criteria, for example:

- Do they now, or will they, sell to our target market segment?
- Is their sales force large enough and trained well enough to achieve our regional sales forecasts?
- Is their regional location adequate in respect of the retail (and other) outlets serviced?
- Are their promotional policies and budgets adequate?
- Do they satisfy customer after-sales requirements?

source to user are integrated and viewed as an interrelated system for purposes of planning, implementation and control.

Organizationally, it makes a lot of sense to make marketing responsible for distribution, since it is probably in the best position to make the difficult trade-off between very high levels of customer service and the high inventory-carrying costs associated with such levels. On the other hand, labour relations, wage bargaining, the technical aspects, and so on, of distribution also demand specialist attention, and there is a grave danger that such issues may begin to divert too much of the chief marketing officer's attention away from other important marketing areas. The logistics director is one possible answer to this problem. Such a role is to view the whole distribution system in an integrated way.

Integrated distribution management is an approach to the distribution mission of the firm whereby the multiple functions involved in moving goods from source to user are integrated and viewed as an interrelated system for purposes of planning, implementation and control.

Whatever the organizational solution, however, all of the above issues are relevant and it is necessary to know where to start.

Where to start?

The distribution audit was referred to in Chapter 2. Like the more general marketing audit referred to there, this is in two major parts – internal and external. Figures 9.15 and 9.16 illustrate the major components of the distribution audit.

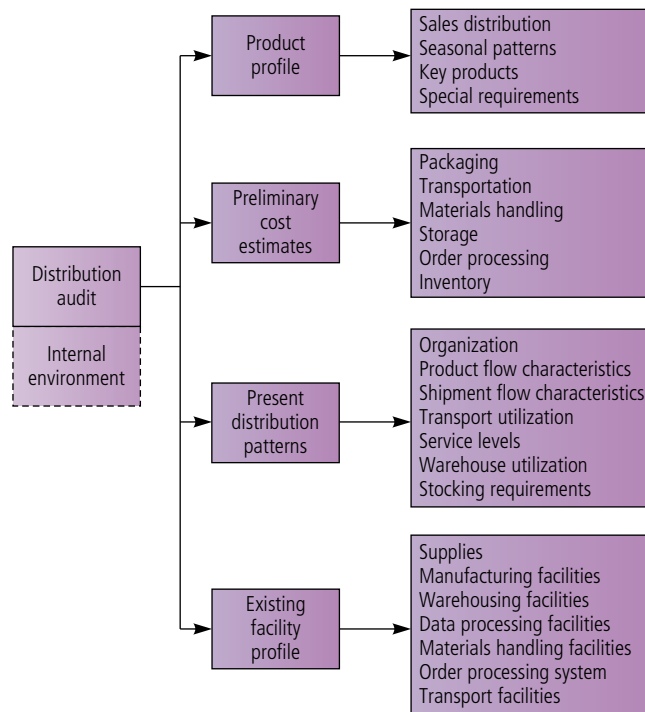


Figure 9.15: Elements of the distribution audit – internal environment.

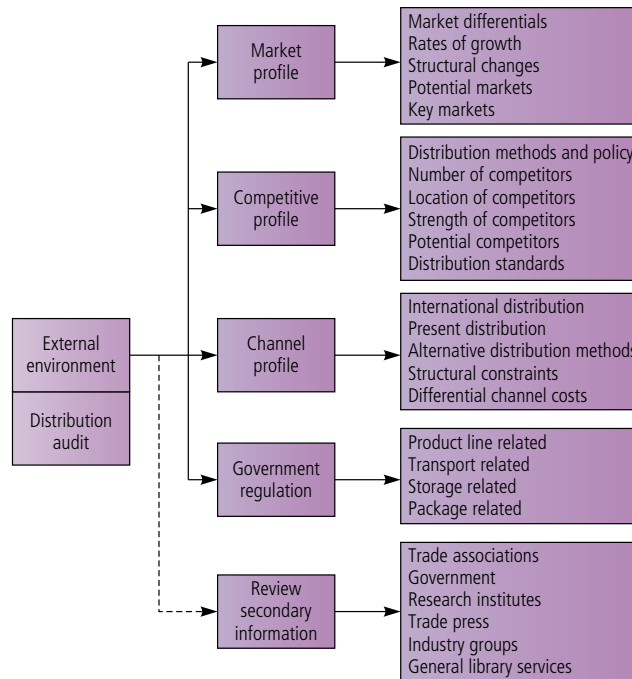


Figure 9.16: Elements of the distribution audit – external environment.

Distribution objectives can be many and varied, but the following are considered basic for marketing purposes:

1. Outlet penetration by type of distribution.
2. Inventory range and levels to be held.
3. Distributor sales and sales promotion activities.
4. Other specific customer development programmes, e.g. incentives for distributors.

When taking an integrated distribution management approach, it is as well to remember that there are several other decisions/trade-offs which need to be specified in the plan. These are depicted in Figure 9.17.

Of course, all of these decisions need not necessarily be located in one plan or be made by one person or department, but clearly they need to be made and written down somewhere in the company's plans.

Finally, the following illustrates a simple iterative approach to distribution planning that should help tighten up what is often a neglected area of marketing management.

Distribution planning approach

1. Determine marketing objectives.
2. Evaluate changing conditions in distribution at all levels.
3. Determine distribution task within overall marketing strategy.
4. Determine distribution policy in terms of type, number and level of outlets to be used.
5. Set performance standards for the distribution organization.

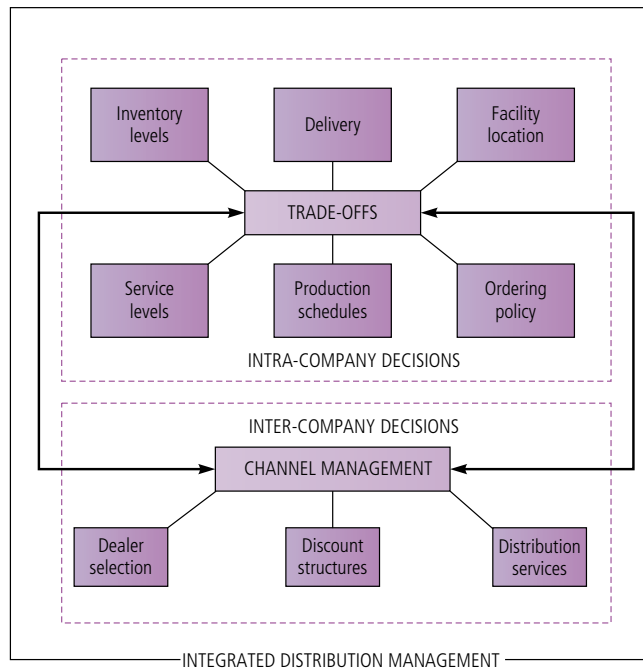


Figure 9.17: Some key distribution decisions.

6. Obtain performance information.
7. Compare actual with anticipated performance.
8. Adjustment where necessary.

CUSTOMER SERVICE

Why Service Matters: The Service–Profit Chain

As services account for an increasing proportion of gross domestic product in developed economies, it has been argued that goods are becoming commoditized and that differentiation is increasingly obtained through service. This is at least half-true! While some companies have strongly differentiated products, such as Dyson or Apple, many others do not. And even Dyson and Apple need to make sure that their service is good enough to live up to the high prices they rightly charge for their differentiated products! Furthermore, many ‘service products’ such as bank accounts are almost entirely standardized, and it is only the ‘service surround’ that makes one bank different from another. For all firms, then, service is important, and for some, it is the key differentiator. For these firms, the service–profit chain^{9, 10} is important. See Figure 9.18.

The logic of the service profit chain is simple, and evidence for most parts of it has multiplied over the last two decades.^{11–14}

1. Satisfied employees provide better service quality. They stay with the firm longer so that they are more productive and well trained in the firm’s processes. They are more committed to the firm and this impacts on how they present themselves.
2. The service quality is noted by customers and they are more satisfied.

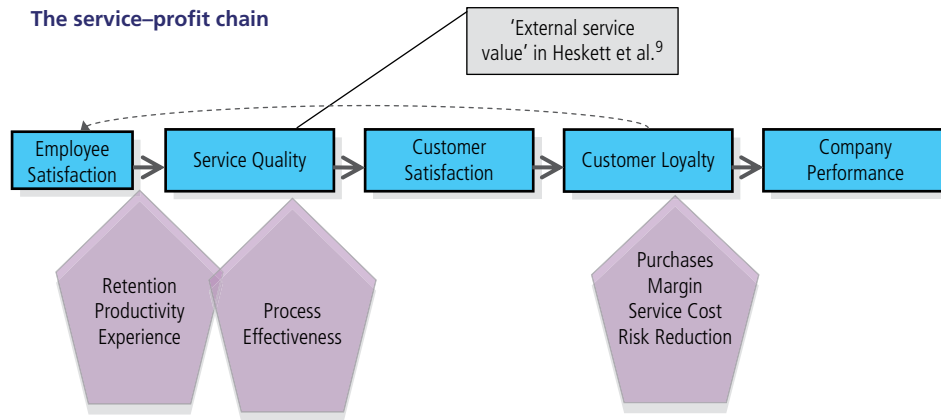


Figure 9.18: The service-profit chain.

3. Satisfied customers are more loyal: they buy more from the firm, they recommend it more and they stay longer.
4. Loyal customers improve profitability because they spend more, they don't leave just on the basis of price, they are familiar with your products and processes so they have lower cost to serve and require lower marketing and promotion budgets versus recruiting new customers. Loyal customers, therefore, create shareholder value by allowing the firm to improve revenue, reduce cost and reduce risk.
5. There is a positive feedback loop to employees in all of this. Satisfied customers tend to treat service employees better and there is a positive reinforcement between employee and customer satisfaction. This improves employees' job satisfaction and commitment to the firm and its customers.

So what is service quality? It varies by industry, but generally there are five key aspects or 'dimensions' of what customers look for in an excellent service: empathy; tangibility; reliability; responsiveness; and assurance. So if you track these through surveys and make sure you optimize them, you are improving some proven key drivers of customer behaviour. See Figure 9.19 (see also Coulthard, 2004¹⁵ and Blut et al., 2015¹⁶).

From Service to Experience

If service is becoming increasingly important relative to goods, a further argument states that service, too, is increasingly commoditized, and that the contemporary customer demands more than just competent service, seeking experiences that are 'engaging, robust, compelling and memorable', as Gilmore and Pine put it.¹⁷ This argument, also, is largely conjectural, but increasing attention is being paid by both practitioners and academics as to whether and how the customer experience might go beyond service. Research at Cranfield, Warwick and elsewhere is showing that experience quality goes beyond service quality in at least five ways:^{18, 19}

1. *Usage processes.* The customer's process of using the firm's goods or services is part of customer experience, which influences how the customer thinks about the firm. For example, an MBA student's experience of applying knowledge gained during the course will influence their evaluation of Cranfield and the extent to which they recommend Cranfield to others. We will return to how value arises not at the factory gate but in use in Chapter 11 on pricing.

Service quality: the five dimensions of SERVQUAL

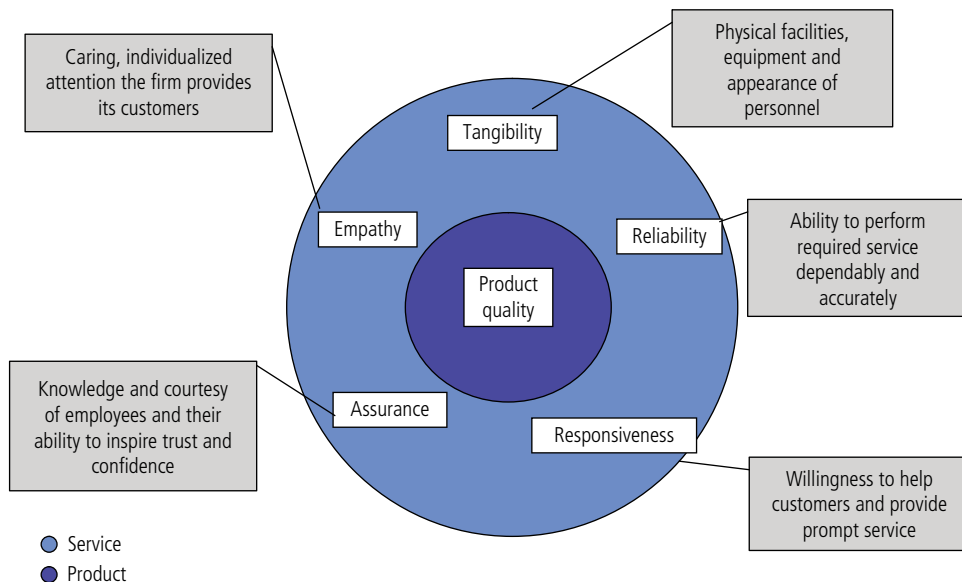


Figure 9.19: Service quality: the five dimensions of SERVQUAL.

Source: Parasuraman, A.B.L.L., Zeithaml, V.A. and Berry, L. (1988). SERVQUAL: A multiple-item scale for measuring consumer perceptions of service quality. *Journal of Marketing*, 64(1), 12–40.

2. **Peer-to-peer interactions.** In many contexts – an MBA classroom, a holiday, a football match – the interactions we have with other customers are as important in our evaluation of the holistic experience as are the interactions we have with the provider's employees.
3. **Relationship.** Many service quality surveys erroneously focus only on individual customer encounters or transactions. In business-to-business contexts but also many business-to-consumer contexts, we also value the quality of our relationship with firms between and across multiple transactions.
4. **Brand image/communication.** Possessing an iPad may not just be of instrumental value in achieving the owner's tasks; it may also be perceived as valuable due to the statement that it makes about the owner. As with interactions with other customers, the social impact of products or services on non-customers can form part of our customer experience.
5. **Emotions.** Much market research on service quality assumes that the customer is entirely rational. But the emotions we have as we go on a customer journey feed into how we evaluate the firm overall.

It is, therefore, essential to ensure, as an important input into the marketing plan, that the customers' needs in each of these areas are well understood.

Customer Service for Goods Firms

The output of a firm's distribution activities is a system organized to provide a continuing link between the first contact with the customer, through to the time the order is received and the goods/services are delivered and used, with the objective of satisfying customer needs continuously. It encompasses every aspect of the relationship.

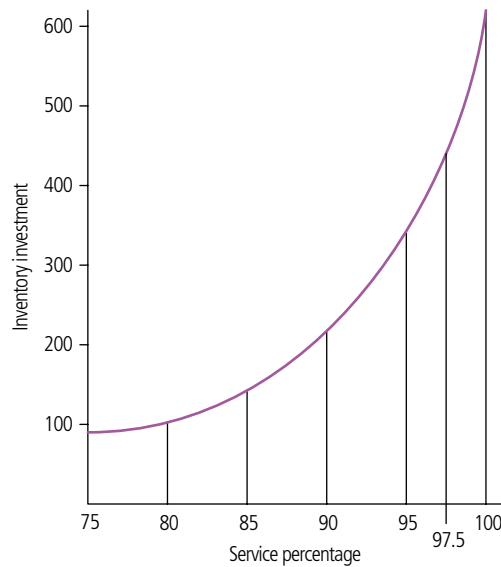


Figure 9.20: The increasing costs of goods availability.

However, the provision of ► **customer service** in all its various forms is likely to involve the firm in large financial commitments. In fact, it can be demonstrated that once the level of service (defined here as the percentage of occasions the product is available to customers, when and where they want it) increases beyond the 70–80 per cent mark, the associated costs increase exponentially. Figure 9.20 demonstrates the typical relationship between the level of availability and the cost of providing it. From this diagram it will be observed that the cost of increasing the service level by a small amount, say from 95 per cent to 97.5 per cent, results in a sharp increase in inventory costs. The implications of this cost relationship bear closer examination.

Significantly, many companies appear to be unaware of the level of service they are offering, that is, there is no customer service policy as such. Even where such a policy does exist, the levels are quite often arbitrarily set and are not the result of a careful market analysis.

The question, then, arises: what level of availability should be offered? This question is relatively simple to answer in theory, but very difficult to quantify and achieve in practice, since different product groups in different market segments could well demand different levels of customer service. Readers who did not study the Globaltech case history on customer service by segment are referred to the end of Chapter 3.

In theory, at least, it is possible to say that service levels can continue to be improved as long as the marketing advantage that results continues to outrun the additional costs incurred. Conceptually, it is possible to draw an S-shaped curve (see Figure 9.21) which suggests that, at very high levels of customer service, customers are unable to distinguish between small changes in the service offered.

When a company is operating in this region, it is quite possibly incurring more costs than are necessary for the level of sales being achieved.

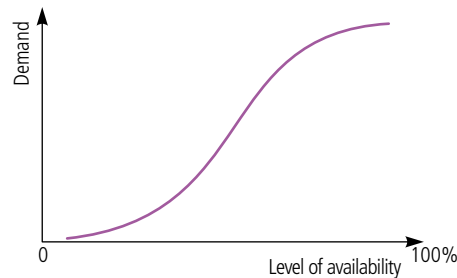


Figure 9.21: The relationship between availability and demand.

For example, marketing and sales managers who insist on offering maximum service to all customers, no matter what the profitability and location of those customers, are quite probably doing their company a disservice.

Somewhere between the costs and benefits involved in customer service, a balance has to be found.

By carefully reviewing customer service policy, perhaps even introducing differential service levels for different products or for different customers (at least on a trial-and-error basis), marketing can enhance its contribution to corporate profitability.

Somewhere between the costs and benefits involved in customer service, a balance has to be found. It will be at that point where the additional revenue returns for each increment of service are equal to the extra cost involved in providing that increment. To attempt to ascertain this point of balance, certain information is required. For example:

1. How profitable is the product? What contribution to fixed costs and profits does this product make and what is its sales turnover?
2. What is the nature of the product? Is it a critical item as far as the customer is concerned, where stock-outs at the point of supply would result in a loss of sales? Does the product have characteristics that result in high stockholding costs?
3. What is the nature of the market? Does the company operate in a sellers' or a buyers' market? How frequently is the product purchased? Are there ready substitutes? What are the stockholding practices of the purchasers? Which markets and customers are growing and which are declining?
4. How profitable are the customers constituting each segment?
5. What is the nature of the competition? How many companies are providing an alternative source of supply to our customers? What sort of service levels do they offer?
6. What is the nature of the channel of distribution through which the company sells? Does the company sell direct to the end customer, or through intermediaries? To what extent does the company control the channel and the activities of its members, such as the stock levels and order policies?

This basic information is the raw material of the service level decision. To take an example, the level of service offered is less likely to have an effect on sales if, in fact, the company is the sole supplier of the product, and there are no substitutes. The situation is the case in some industrial markets and from a short-term point of view to offer a higher level of service, say 90 per cent instead of 85 per cent, would probably have the effect of reducing the total profitability of the product.

Developing a customer service package

In general terms, customer service is normally defined as the service provided to the customer from the time an order is placed until the product is delivered. In fact, it is much more than this.

It actually encompasses every aspect of the relationship between manufacturers and their distributors/customers. Under this definition, price, sales representation, after-sales service, product range offering, product availability, and so on, are all dimensions of customer service, that is, the total activity of servicing one's customer.

However, it is more traditional to think of customer service in distribution-related terms. Under this more restricted definition the key elements of customer service are product availability, overall order cycle time and order cycle time variation. Research has shown that many companies have poor product availability due to a variety of reasons, for example, poor forecasting, production difficulties, inadequate inventory controls, and so on.

Above all else, it is fundamental for suppliers to derive and make operational their concept of customer service from a study of their customers' real needs rather than their own perceptions of such needs. The following list contains the major components of customer service that should be researched.

- Frequency of delivery.
- Time from order to delivery.
- Reliability of delivery.
- Emergency deliveries when required.
- Stock availability and continuity of supply.
- Orders filled completely.
- Advice on non-availability.
- Convenience of placing order.
- Acknowledgement of order.
- Accuracy of invoices.
- Quality of sales representation.
- Regular calls by sales representatives.
- Manufacturer monitoring of retail stock levels.
- Credit terms offered.
- Customer query handling.
- Quality of outer packaging.
- Well-stacked pallets.
- Easy-to-read use-by dates.
- Quality of inner package for in-store handling and display.
- Consults on new product/package development.
- Reviews product range regularly.
- Coordination between production, distribution and marketing.

It is fundamental for suppliers to derive their concept of customer service from a study of their customers' real needs.

This will almost certainly mean designing different customer service packages for different market groups. At present, very few manufacturers/suppliers bother to do this. Basically, six steps are involved in this process:

1. Define the important service elements (and sub-elements).
2. Determine customers' viewpoints on these.

3. Design a competitive package (and several variations, if necessary).
4. Develop a promotional campaign to 'sell' the service package idea.
5. Pilot test a particular package and the promotional campaign being used.
6. Establish controls to monitor performance of the various service packages.

Throughout many types of industry, and especially those that are highly competitive, it is increasingly being recognized that, after all the other terms of trade have been tried and exhausted, it will be customer service considerations that will determine who, in the end, gets the order. The distribution function is becoming as important as that.

APPLICATION QUESTIONS

1. Does your company have a problem with:
 - a) Channel costs?
 - b) Customer experience in individual channels?
 - c) Customer experience across channels (omnichannel integration)?
 - d) Market coverage?
2. If the answer to any of the above is 'yes', are you clear what should be done, or do you need to apply the tools in this chapter to establish an omnichannel plan?
3. Is any executive responsible for marketing, sales and service in an integrated way across multiple channels? Or do you have 'channel barons' responsible for different parts of the customer journey? If there is no single person responsible, can an omnichannel governance board be set up?
4. What else might prevent you from making the changes you would like to make? Metrics? The investment case? Company culture?
5. Is logistics adequately represented at board or senior management level in your organization? How could improvements be made?
6. What coordination takes place between physical distribution management and marketing management? How can any problems be minimized?
7. How are decisions currently made concerning customer service levels?
8. How do service levels compare with competitors?
9. Can you see any way of making savings in your distribution system without reducing customer service?

CHAPTER 9 REVIEW

Channels for reaching customers

Channels no longer operate alone, but typically are combined within a customer's journey with the firm. Creative combining of channels can result in improvements to one or more of:

- total channel cost
- customer experience
- market coverage.

There is a range of possible channels, for example:

- Direct channels: sales force, call centres, direct mail, branches, retail outlets, transactional website, etc.

- Indirect channels: distributors, agents, retailers, specifiers (e.g. architects), influencers (e.g. NICE which makes treatment recommendations to UK doctors), etc.

Which channel or channel combination is best for competitive advantage? There are six steps to forming an omnichannel plan:

1. Do a needs-based segmentation as far along the market map as a significant proportion of the buying decision is made.
2. Develop a channel chain for each segment to show how channels combine in the customer journey.
3. Develop a coverage map to show how channels vary by product and by market.
4. Develop channel curves to check the advantage to the customer of a proposed new channel chain.
5. Understand channel costs.
6. Pilot the new channel model, for example, using control groups.

Try Exercises 9.1 and 9.2

Physical distribution

For goods companies, physical distribution ensures products get to the right place, on time and in the right condition. In some businesses, distribution costs can amount to 20 per cent of the selling price. There are five components to manage:

1. *Facilities.* The number, size and geographical location of storage and distribution depots.
2. *Inventory.* The stockholding levels throughout the distribution chain consistent with customers' service expectations.
3. *Transport.* Made up of transport, delivery, schedules, etc.
4. *Communications.* There is also a flow of information, for example, order processing, invoicing, forecasting, etc.
5. *Unitization.* The way in which goods are packaged and assembled into large units, e.g. palletization, container loads, etc.

Considerable saving can be made by innovating in this area.

Distribution planning

The approach should follow these steps:

1. Determine marketing objectives.
2. Evaluate changing conditions in distribution at all levels.
3. Determine the distribution task within marketing strategy.
4. Establish a policy in terms of type, number and level of outlets to be used.
5. Set performance standards for distributors.
6. Obtain performance information.
7. Compare actual with anticipated performance.
8. Make improvements where necessary.

Try Exercise 9.5

Customer service and experience

Unless a firm has a clear advantage on product design, service will form at least part of the basis of competition. It contributes to customer satisfaction which in turn drives retention, share of wallet, positive word-of-mouth and, therefore, profits.

While what makes good customer service depends on the context, in general there are five dimensions to get right:

1. *Tangibility*. Physical facilities, equipment and the appearance of personnel.
2. *Reliability*. The ability to perform the required service dependably and accurately.
3. *Responsiveness*. The willingness to help customers and provide prompt service.
4. *Assurance*. The knowledge and courtesy of employees and their ability to inspire trust and confidence.
5. *Empathy*. The caring, individualized attention, which the firm provides to its customers.

Often, service levels are so patchy that competence on these five dimensions will yield a significant advantage. If, however, service standards are high within your sector, consider differentiating on the wider customer experience. This includes:

1. *The customer's usage processes*. The firm may be able to redesign these to the customer's benefit.
2. *Peer-to-peer interactions*. In many sectors, the firm can help customers to gain value from each other.
3. *Relationship*. In business-to-business contexts, but also many business-to-consumer contexts, it is critical that the firm stays in touch between transactions, proactively suggesting ways it can help and checking that its past sales are indeed leading to the results the customer hoped for.
4. *Brand image/communication*. The social impact of product/service ownership on the customer's peer group may be perceived as valuable.
5. *Emotions*. How we feel in interacting with the firm or using its goods or services can be as important in our assessment of the firm as the functional benefits we get.

Service considerations for goods companies

Customer expectations about product availability will vary from market to market. In theory, 100 per cent availability should be the norm. In practice, a compromise might have to be found, say 95 per cent, because the additional cost of providing that extra 5 per cent can be prohibitive. In addition, often such high levels of customer service are not necessary. Balance the benefits to the customer with the cost to you.

Factors which impact on customer service include:

- Frequency of delivery.
- Time from order to delivery.
- Emergency deliveries when required.
- Accuracy of paperwork.
- Stock availability.
- Reliability of deliveries, etc.

Key factors should be identified and researched with a view to improving them.

Try Exercises 9.3 and 9.4

Questions raised for the company

1. Q: How do I know when to review my channel strategy?
A: If you have no difficulties with customer experience, your channel costs are acceptable, and you have the market coverage you need to achieve your objectives, then you do not

need to review your channel strategy. Problems in any of these three areas suggest that you will need to read this chapter with care and go through the exercises.

2. Q: How important is it to have a distribution plan?
A: It depends on the type of business. In some industries distribution costs amount to 20 per cent or more of sales revenue. Distribution is the Cinderella of marketing, but can often be the area where a competitive edge can be won – through planning.
3. Q: Can services be distributed? After all, they can't be stocked.
A: No, but services can be franchised. Once a rational decision has been made to use indirect channels, it is the company's responsibility to work at developing a good business relationship based on trust and mutual respect. It is to both parties' mutual advantage.
4. Q: Are there any new developments in distribution?
A: Franchising is becoming popular. In addition, some transport contractors now also supply warehousing, inventory control and other services, in effect providing the manufacturer with an 'off-the-shelf' distribution facility.
5. Q: I'm not in the entertainment business. Is customer experience relevant?
A: Yes. The many entertainment examples of highly emotional customer experiences in the popular press are good for opening our minds to the importance of emotion and the process of dealing with the firm in all markets. But the specific value that customers require will, of course, be different in each context.

EXERCISES

For many businesses, channels play a small part in their marketing plans. The route to market, whether direct or indirect, tends to be taken for granted – 'the way we do things in this industry'. When channels are considered, the prime concern in the goods sectors seems to be the physical aspects – the logistics of getting goods transported from the company to the customer. In services contexts, the main concern seems to be making use of low-cost channels – indeed a golden opportunity, but cost is only one of several considerations.

The exercises in this section provide a broader view of channels for marketing, sales, service and distribution.

Exercise 9.1 helps you to think through how to make the best use of your most expensive channels with a coverage map.

Exercise 9.2 helps you to decide whether or not intermediaries are required in your type of business.

Exercise 9.3 provides simulation practice.

Exercise 9.1: Developing a coverage map

A coverage map helps you to think through how different channel combinations will be used for different products and markets, in order to lower costs, improve customer experience and/or improve market coverage. This exercise asks you to develop a current and future coverage map as a basis for the omnichannel plan.

You should be warned that it is not a quick exercise. To properly follow these steps to developing an omnichannel plan will probably take several workshops with key colleagues, and someone will need to collect inputs from customers in between. It may, however, transform your business! Having said that, even a quick attempt on your own will prove illuminating and demonstrate the value of a more thorough exercise: we recall one business whose performance was vastly improved through a coverage map that one of the authors brainstormed with the marketing director on a short-haul plane journey!

First, review the section 'Selecting marketing channels' earlier in this chapter. Then proceed as follows.

1. List your key needs-based customer segments. If in doubt, see Chapter 4.
2. Draw up channel chains for how each segment currently buys your products and services. Note: these may differ for each major group of products/services. See Figure 9.4 for an example of channel chains. You may, of course, need to talk to some customers to complete this step!
3. Now summarize this analysis with a current coverage map, using the worksheet below:
 - a) List products or services along the top, in order of the complexity of the sales process, with simple ones to the left.
 - b) List markets or segments along the side, with highest value segments at the top.
 - c) Choose a name for each major channel chain (see Figure 9.4 for an example). Channel chains may, for example, be named after the 'leading' channel in the chain – for example, see Figures 9.5 and 9.6. Choose a colour for each. Fill in each cell with the requisite colour, and add a key – for example, see Figure 9.5. Some examples are provided on the worksheet: add or replace these labels as required.
4. Now consider whether this coverage map can be improved. For example:
 - a) Are your most expensive, high touch channels (e.g. sales visits or face-to-face retail outlets) being used where they are most needed – for highly complex sales – and where they are most justified – for highly valuable customers?
 - b) Are you making appropriate use of low cost channels (e.g. Internet or call centres) for simple transactions and/or lower value customers?
 - c) Even where high cost channels are needed, are they needed for the whole of the customer journey, or can a channel chain be drawn up that uses lower cost channels for part of it?

Draw up a revised future coverage map to reflect your conclusions, along with revised channel chains for each area of the map.

5. Optionally, use the channel curve technique to check out how well your proposals will meet customer buying criteria.
6. How might you pilot any changes you recommend?

(Continued)

Worksheet Coverage map (Exercise 9.1)

	Offer A	Offer B	Offer C	Offer D	Offer E	Offer F	Offer G
Segment A							
Segment B							
Segment C							
Segment D							
Segment E							

Face-to-face sales

Call centre

Online

Distributor

3rd party integrator

Other

Exercise 9.2: Do we need channel intermediaries?

At first sight, the choice of channel is deceptively easy. After all, basically there are only three options from which to choose:

- 1. To sell direct to the customer/user.
- 2. To sell to customers/users through intermediaries.
- 3. To use a combination of 1 and 2, i.e. dual distribution.

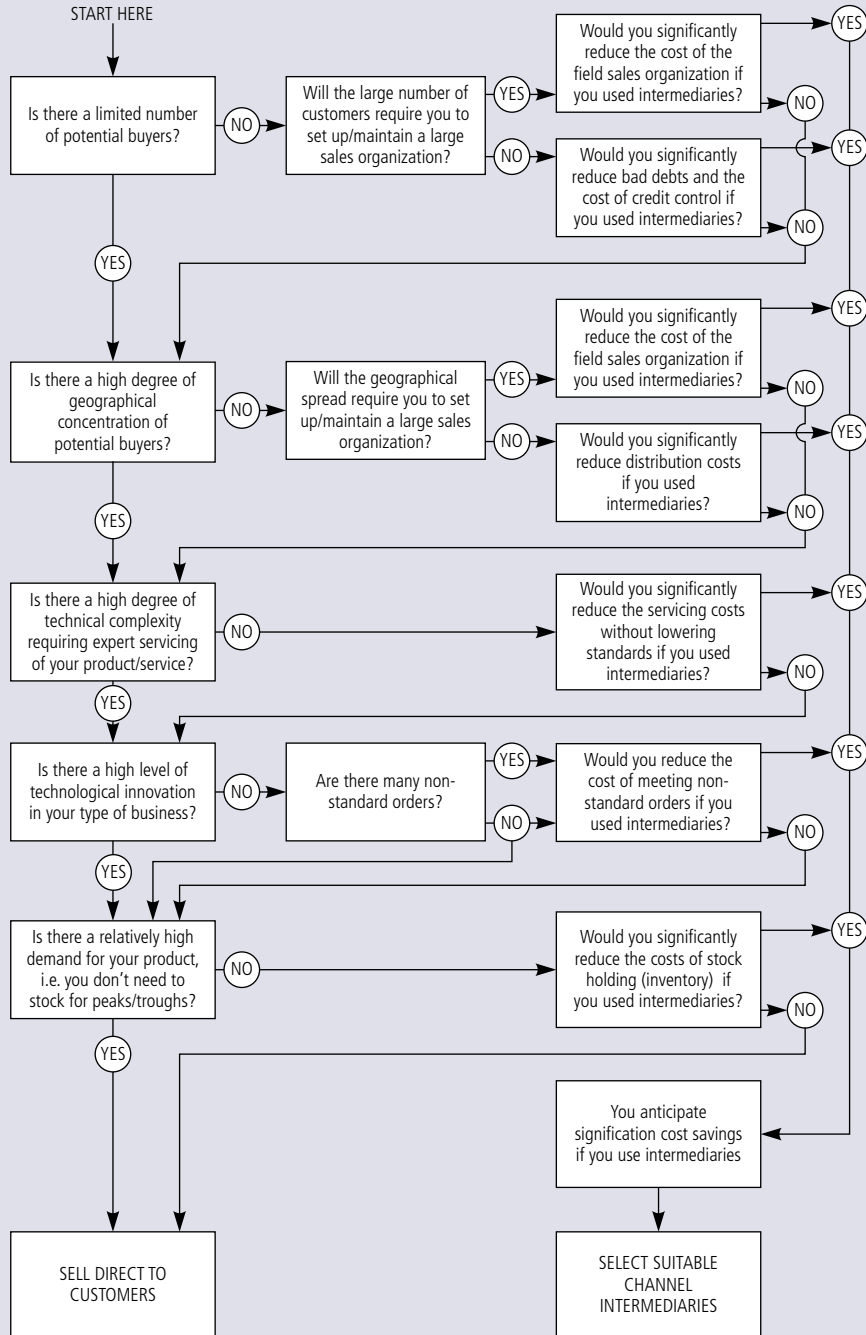
The final choice will always be something of a compromise, with, on the one hand, the desire to keep control of the distribution of one’s products or services, and, on the other hand, the practical need to keep channel costs to a bearable level.

The worksheet is designed to help you to make a choice about channels of distribution. This is what you do:

- 1. Take each product/service in your portfolio in turn and subject them to the algorithm given on the worksheet.
- 2. Note the decision for each product, i.e. sell direct or use channel intermediaries. Do these seem the best decisions or can you see good reasons for ignoring them?

In working through the algorithm, can you see a case for dual distribution for some products or services? For example, do you sell direct to some customers or regions and sell through intermediaries to others? Remember the major problem associated with dual distribution is determining a fair division of the market between yourself (as the supplier) and the intermediary.

Worksheet Distribution channel algorithm (Exercise 9.2)



(Continued)

Exercise 9.3 Simulation practice

In Period 4 of the game, you can invest in the new e-Tailers channel and in Period 5 you can invest in the new Technology Value-Added-Resellers channel.

- a. Draw a channel map that shows how these organizations affect the flow of money and flow of digital products between your digital music company and the end customer.
- b. How does the channel change for different customers and products?
- c. How is your channel strategy evolving in the game? Add this to the Marketing Strategies sheet in the Marketing Plan.
- d. What marketing technologies (martech) are the most important to supporting the channel plan? Add this to the Resources sheet in the Marketing Plan.
- e. Why do digital music companies sell through third-party channels? It is a digital product after all so would it not be simpler and more profitable to cut out the 'middle man' and sell direct?

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Chapter

10

THE CUSTOMER RELATIONSHIP MANAGEMENT PLAN

SUMMARY

- The case for customer relationship management (CRM)
- A stage model for CRM adoption
- Integration maturity: organizing around the customer
- Interaction maturity: the art of relevant conversation
- Planning for CRM: the benefits dependency network (BDN)
- Exercises to turn the theory into practice

INTRODUCTION

In the last chapter, we discussed channel strategy: what channel combinations are used for the customer journey across marketing, sales and customer service. Once these channels and the marketing technology is in place to support them, we then have the challenge of developing relationships with individual customers through these channels.

We have already discussed how these relationships begin in Chapter 7 on integrated marketing communications. In the great majority of businesses, though, most profits come from repeat purchases or relationships.

This is not easy in an omnichannel world. In a single-channel business such as a café bookshop, the 'CRM' is done in the heads of the staff. Here is what happened when one of the authors (Hugh) walked into a university café bookshop on the day of writing this introduction.

Amy (one of the owners) greeted me by name, asked how the book revision was going, presented me with a double-shot cappuccino without asking, and told me about the lunchtime specials that were likely to appeal to me, including my favourite parsnip and coconut soup. Somewhere within this one-minute masterclass in CRM, she asked me to write a sentence of recommendation of the bookshop for new students, and asked me what books she should ensure were in stock for the arrival of the new MSc intake. The guest I had arranged to meet there said that Amy had guessed who he was, told him that I would be arriving in five minutes or so, and provided him with a coffee on my account. Somehow, by the time I left, my wedding anniversary present and card were bought and wrapped as, being a man, I had left them until the last minute. . .

We can all recall similar examples. Entrepreneurs provide this level of service and customer life-time value management as a matter of instinct: as the proverb has it, ‘A man without a smiling face must not open a shop.’* But when one interaction occurs in a call centre, the next online and the next in a bank branch, maintaining the same degree of proactive personalization is significantly harder.

As we have seen in Chapter 8, where the dominant channel is face-to-face sales, the salesperson can similarly do a lot of this job of relationship development through their own memory and records. But here, too, coordination among multiple people soon becomes essential.

In this chapter, then, we discuss the mechanisms that all but the simplest businesses need to put in place in order to treat different customers differently. We begin by briefly reviewing the case for long-term relationship development. We summarize the stages of CRM maturity that, our research has found, companies go through as they strive to make the best of every interaction with every customer. We then outline the ten components of world-class CRM, which are summarized in Figure 10.1. As can be seen in the figure, these components fall into two groups:

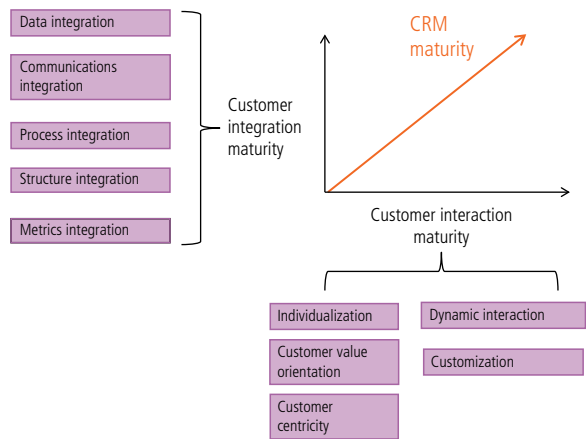


Figure 10.1: A framework for world-class CRM.

* We have heard this proverb described as Chinese. A Chinese source cites it as English. In this connected world, perhaps it's simply human. Though we would advise shopkeeping bots, too, to keep a smiling face.

customer integration maturity, which relates to how well the organization focuses itself on the customer; and customer interaction maturity, or how effective the firm's interactions with its customers are in developing the relationship. We end the chapter with an invaluable tool for managing cross-functional CRM projects, the benefits dependency network. The exercises provide a simple diagnostic for assessing your company's current CRM maturity and considering your next steps to include in the marketing plan.

The framework of Figure 10.1, around which the chapter is structured, arises from our synthesis of the substantial literature on CRM, as well as our own research. There are several illustrative sources in the literature.¹⁻⁸ If the reader already knows enough about CRM and wishes to proceed to considering pricing in more detail, this chapter can be skipped.

However, we should add a health warning. If the view in the company is that CRM is not the job of marketing but is owned by IT, and if you are not concerned with CRM because an initiative is already in place, it is perhaps worth asking yourself: Do you remember the last time you felt like this? When was it, about the time of business process re-engineering, the dotcom boom, the service outsourcing movement? None of these initiatives was inherently a bad idea, but none had a hope if they were not cross-functionally embedded and, in particular, sense-checked against the needs of key target segments in a marketing plan. CRM initiatives that do not have a single objective that relates in any way to a customer buying criterion are hardly likely to improve customer relationships.

THE CASE FOR CRM

Acquiring customers can be expensive. Usually it involves certain one-off costs, such as advertising, promotion, a salesperson's time, commission to intermediaries, and so on. Thus, every customer represents an investment, the level of which will vary from business to business.

If they are treated correctly and remain customers over a long period, there is strong evidence that they will generate more profits for the organization each year they maintain the relationship. Across a wide range of businesses this pattern is the same (Figure 10.2; see also Keiningham et al., 2005 and Verhoef and Lemon, 2013).^{9, 10}

For example, an industrial laundry almost doubled its profits per customer over five years. A car servicing business expects fourth-year customers to generate three times the profit of a first-year customer. A distributor of industrial products found that net sales per account continued to rise even into the nineteenth year of the relationship.

Retaining customers is extremely profitable.

This trend holds true for many sectors. As the relationship extends, the initial 'contact' costs, such as checking creditworthiness, no longer figure on the balance sheet. In addition, the more that is known about the customer as the relationship develops, the more offers can be tailored effectively to meet their needs.

Thus, the customer gets greater value, which in turn encourages more frequent and larger purchases.

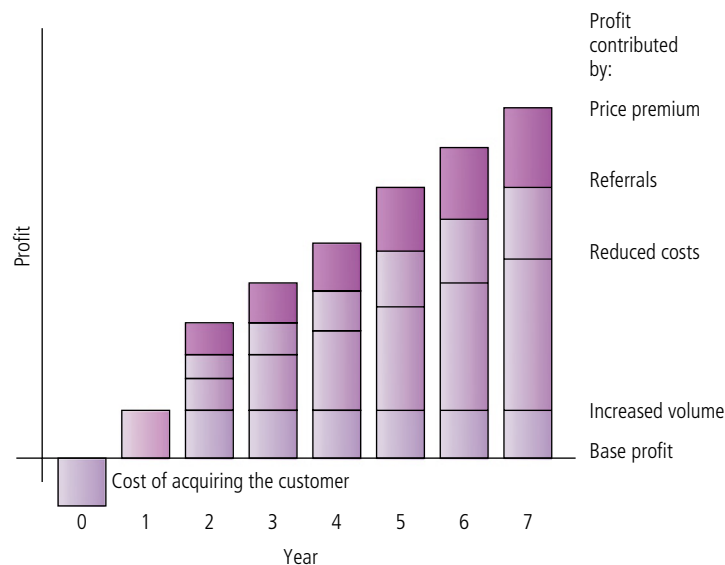


Figure 10.2: Retaining customers pays off.

Source: Reichheld, F.R. (1994) Loyalty and the renaissance of marketing, *Marketing Management*, 12(4), 17.

	Total market	Segment 1	Segment 2	Segment 3	Segment 4	Segment 5	Segment 6
Percentage of market represented by segment	100.0	14.8	9.5	27.1	18.8	18.8	11.0
Percentage of all profits in total market produced by segment	100.0	7.1	4.9	14.7	21.8	28.5	23.0
Ratio of profit produced by segment to weight of segment in total population	1.00	0.48	0.52	0.54	1.16	1.52	2.09
Defection rate	23%	20%	17%	15%	28%	30%	35%

Figure 10.3: Retaining the right customers – a counter example.

It follows, therefore, that when a company lowers its customer defection rate, average customer relationships last longer and profits climb.

There is evidence that few companies bother to measure customer retention on a regular basis, while even fewer measure customer retention by segment. However, as can be seen in the data in Figure 10.3, this particular organization’s best performance is in the least profitable segments and its worst performance is in the market’s most profitable segments.

High customer retention, then, is highly beneficial to most businesses, not just because of lower acquisition costs, but also because retained customers tend to spend more. Furthermore,

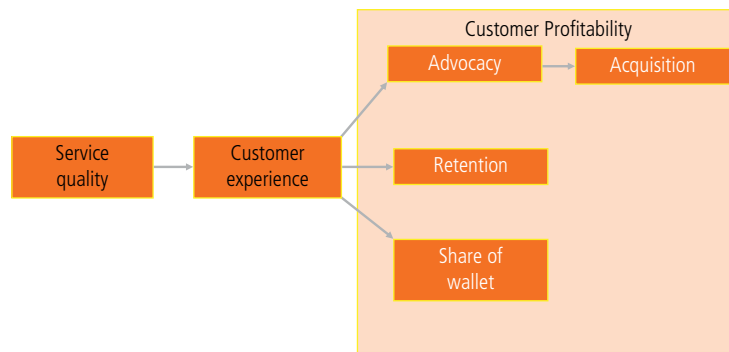


Figure 10.4: The triple benefits of satisfied customers.

satisfied customers who stay with the company are also more likely to praise the company to others, further lowering acquisition costs. This is represented diagrammatically in Figure 10.4.

This figure, which is a simplified version of the service–profit chain we described in the last chapter, shows this triple benefit of high service and experience quality.

You might reasonably ask, though: if retention results from a great customer experience, isn't relationship management just a matter of delivering a great service, with retention automatically following?

Well, yes and no. Certainly a high level of product and service quality at an acceptable price is essential to retention. UK bank First Direct has excellent retention and advocacy rates because its service standards are so high, despite having CRM processes, such as cross-sell mailings, which are little different from those of its competitors. And without such a high customer satisfaction with existing products, the firm does not have permission from the customer to propose a cross-sell.

And for businesses with intermediaries between them and their end customers, who cannot develop their own individualized relationships, a good customer experience can be the only game in town. FMCG manufacturers have traditionally been in this position – though the maturing of retailers' loyalty cards and social networking both now give them vehicles to begin to build their own one-to-one relationships with consumers.

However, where the firm has access to individual customer data, there are many things the firm can do to develop the relationship with a satisfied customer, by proposing other goods or services which they might find valuable. And if this is done well, it feels like service to the customer and hence enhances retention as well as increasing the share of the customer's wallet in the product/service category. In fact, if the firm does not proactively suggest things that would help the customer, it can feel like being forgotten and neglected.

All too often, though, CRM is not this customer centric. Bombarding our customers with unsolicited, unfocused direct mail, or annoying them with clumsy cross-sell pitches at the end of service calls, may be initiated by a CRM department but it certainly does not represent best practice. Neither does it work very well, even in the short term.

Fortunately, there is now enough evidence about what works in CRM for us to be able to lay out the basic principles of how to get CRM right. First, though, we must define our terms. Here is a selection of definitions of CRM:

A continuous performance initiative to increase a company's knowledge of its customers.

CRM comprises the organization, processes and systems through which an organization manages its relationships with its customers.

Consistent high quality customer support across all communications channels and business functions, based on common information shared by employees, their customers and business partners.

A methodology, based on new information technology, that helps companies reach their long-held goals for improved customer satisfaction.

An integrated, multiple-delivery channel strategy that allows companies to capture profitable new customers and improve service.

ERP is from Mars, CRM is from Venus.

You will have noted that the IT/systems backbone of CRM keeps peeking through the skin. This is not automatically a bad thing, but we need to recognize CRM, at least as it currently stands, for what it is. Because in all but the simplest businesses it is impossible to maintain an individualized relationship with the customer across multiple touchpoints and multiple channels without IT support. But on the other hand, the IT will not of itself deliver the benefits we seek. Because, as an IT director once told us (and we only exaggerate a little), those annoying people called front office staff keep on coming between our beautifully crafted IT systems on the one hand and our customers on the other.

So we have all seen 'CRM initiatives' driven by the IT department which have fallen flat on their face, to vanish without trace a year or two later. IT, then, is a crucial enabler, not the essence of the issue. We suggest that a more appropriate definition of CRM is:

The management of individual customer relationships across functions, channels and products so as to maximize customer satisfaction and customer lifetime value. In all but the simplest organizations, CRM is underpinned by integrated customer data.

Even this starting point of integrated customer data, though, is far from easy. The fact is that no organizations can become world-class at CRM in one step. We will next turn to the stages through which CRM tends to evolve.

A STAGE MODEL FOR CRM ADOPTION

We conducted a research study into how companies adopt CRM across numerous industry sectors by surveying 600 leading European companies.* The companies fell broadly into four stages, shown in Figure 10.5.

The figure plots these stages on two dimensions:

1. **Integration maturity.** The extent to which the organization has an integrated view of each customer, supported by structures and metrics which encourage the management of customer relationships holistically across products, channels and functions.
2. **Interaction maturity.** The extent to which the organization holds individualized, customer-centric conversations with its customers through every touchpoint in order to build customer lifetime value.

By the beginning of the CRM revolution in the 1990s, most companies had evolved unthinkingly into the situation represented by stage 1. Databases and applications had grown up around the need to take customer orders for different products, each of which often had separate systems. Channel choices were often hardwired into the systems, so in the case of an industrial goods firm, for example, a sales force automation system might take all orders for larger customers, while a call centre for distributors might take the orders for indirect customers. This met immediate operational requirements, but made it very difficult even to know what holdings a customer had across the product range. While naturally individual firms may not be exactly at any of the four stages, many companies today are still closest to stage 1.

Stage 2, 'Information access', represents a common next step. Changing frontline systems can be prohibitively difficult. So often a compromise is reached, where data from different operational

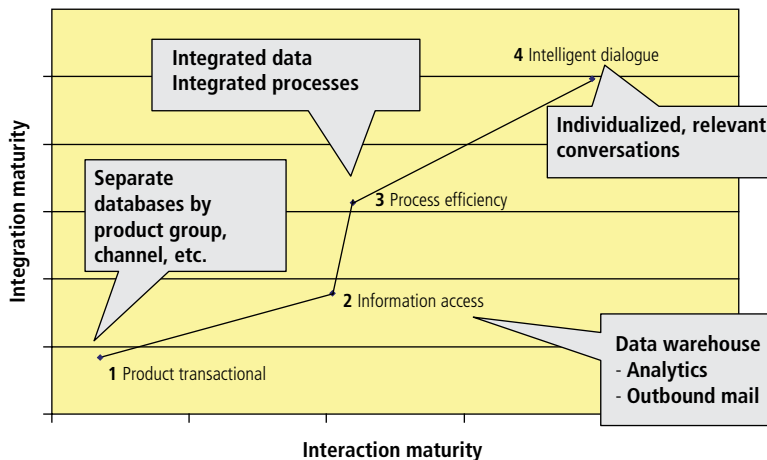


Figure 10.5: A stage model for CRM maturity.

* One of the authors (Hugh Wilson) conducted this study with CRM expert Aly Moore, Dr Aamir Khan of Lahore School of Economics and Professor Moira Clark of Henley Management College. We are grateful for the assistance of Swati Phadnis with data analysis.

systems are dumped (perhaps overnight) into a back-end customer database, or marketing warehouse. This can at least enable some key analytics such as profiling of which segments customers fall into, calculating their propensity to buy products they do not currently hold, and so on. For batch processes like direct mail, this insight can then be actioned in individualized messages. But if the operational systems themselves are not altered, it can be difficult to feed this insight back to frontline staff in field sales, field service, call centres, and so on.

MARKETING INSIGHT

Many loyalty cards run by retailers and travel companies are at stage 2. Nectar is a UK-based loyalty card where the consumer gains points from any of a coalition of retailers from grocer Sainsbury's to petrol retailer BP. Initially, the only information collected by its central database, run by Nectar's coordinators Aimia, was the retailer name and transaction value. This meant that its offers to consumers were somewhat generic, and suffered by comparison with the leading rival Tesco Clubcard, which could offer highly individualized coupons based on basket analysis. Once Nectar began to collect data on individual product purchases, it was able to tailor its offers better, leading to an increase in redemption rates from 13 per cent to 18 per cent in two years. This dialogue helps with retention as well as share of wallet: customers of utility EDF Energy churn 30–50 per cent less if they hold a Nectar card than those that don't.

Some benefits, then, can be gained at stage 2, but it does not make the best use of every touch-point, such as when a customer calls in. And service levels can still suffer if the right hand does not know what the left hand is doing. If the salesperson does not know about a complaint made on the web yesterday, the customer will tend to conclude that the firm does not care.

This, then, is the argument for integrated 'CRM systems': customer databases with applications referring to a central repository of information about the customer. Fortunes have been made by shifting firms to stage 3 where these systems from vendors such as Oracle and SAP replace the previous front-office systems.

Here, there is a significant improvement on the 'integration' axis but only a small one on the 'interaction' axis. That is, having an integrated view of the customer will not of itself deliver better conversations with those customers. It will avoid the disadvantage that comes from front-office staff not knowing about past interactions, but will not, without further work, create the advantage that comes from using this information to increase share of wallet.

Having an integrated view of the customer will not of itself deliver better conversations with those customers.

For this, we need stage 4, 'Intelligent dialogue'. By this stage – and few companies yet claim to be even near it – each conversation with each customer is individualized and relevant to their needs, irrespective of channel. Some companies are achieving this in specific channels, but few can yet provide truly individualized dialogues irrespective of how the customer contacts them.

MARKETING INSIGHT

UK bank Nationwide has a good reputation for service, meaning its customers are happy to have conversations about buying further products from the bank. Its CRM team develop propensity models which predict the likelihood of a customer buying each product that they do not currently hold. Many banks use this technology to improve the targeting of direct mail, but Nationwide was one of the first to deploy it in inbound call centres, on the web and in branches as well. Conversion rates, they find, are higher in these inbound channels, when the customer is calling on their own time when they want to be in conversation with the bank, than in outbound direct mail. They are particularly high when a human agent can help the dialogue, collecting further insight which the systems are not aware of and ensuring that any additional product is right for the customer.

DIGITAL MARKETING INSIGHT: AUTOMATED CONTACT STRATEGIES

Improvements in integration and interaction maturity are ultimately aimed at improving contact strategies or cadences of how an organization communicates with its customers. Automated contact strategies should help improve relevance for the customer and value for the business in both inbound and outbound communications. Inbound customer communications need to be responded to efficiently via customer service and support processes and systems. Outbound communications are needed to nurture interest in products and services leading to sale or repeat listings. In today's digital world, there is a huge and growing range of messaging media and formats delivered on different devices as shown in the visual. This complexity requires automation, particularly since a contact strategy usually involve multiple messages in a series that can be varied based on how an individual interacts with messages.

A contact strategy or cadence defines the ideal sequence of messages and related content to engage or persuade audiences. A simple example is a welcome email sequence. If someone subscribes to a retail newsletter, as a minimum, most retailers would send an acknowledgement email or mobile push notification. But the interaction should be more effective for both subscriber and business if this message is carefully crafted and branded based on communications goals. If you sign up for the Clinique newsletter you will find that the welcome email is much more than a simple 'thank you'. Instead, it explains the brand value proposition and gives reasons to engage. They send out a series of communications based on profile, for example female or male. Such communications are much more likely to be effective if they are based on goals by defining how different message elements are varied as shown in Table 10.1.

Such contact strategies are equally important in business-to-business communications to nurture leads based on educational content. These cadences may also integrate with other messaging formats other than email. For example, conversational marketing platforms such

Automated email code	Trigger event	Source	Trigger interval and rule	Message focus and template style	Primary marketing aims	Secondary marketing aims
Welcome – 0d	Online brochure download	Landing page	+0d	Welcome. Build brand favourability and familiarity Standard welcome – Postcard plus longer content	1. Engage with deals offer to encourage purchase 2. Generate a callback	1.Explain brand values 2. Convince about company proposition 3. Offer help
Welcome – 2d	Online brochure download	Landing page	+2d	Try our service taster Standard welcome	Generate additional lead event	Generate callback, 'Ask the Expert' to capture phone number or book online.
Welcome – 7d	Online brochure download	Landing page	+7d if no response to Email 1	Time-limited discount/ bonus Shorter post-card welcome	1. Buy before lose attention 2. Encourage social sharing	Generate callback, 'Ask the Expert' to capture phone number or book online.

Table 10.1: An example of a simple automated email sequence of three messages aimed at explaining a brand and encouraging purchase.

as Drift and Intercom enable messages to also be delivered via personalized messages served from a website. In organizations where personal selling is important, communications from sales people also need to be integrated including emails, texts of social media messaging, for example through LinkedIn. For consumer brands, mobile push notifications are more important and platforms such as Airship, Braze and OneSignal are used to automate contact sequences for these depending on digital customer interactions with the brand.

We will now look at what is involved in developing integration maturity in more detail, before taking a similarly close look at interaction maturity.

INTEGRATION MATURITY

Integrated customer data is certainly important, but it is not the only challenge in enabling the firm to focus on maximizing the lifetime value of each customer. We will discuss five key dimensions of integration maturity, which are summarized in Table 10.2.

<i>Data integration</i>	Having a 'single customer view' of each customer across channels, products and business functions
<i>Communications integration</i>	Having a single person responsible for coordinating all inbound and outbound communications with each customer
<i>Process integration</i>	Ensuring that the firm's processes for responding to each customer are joined up through the customer journey, so each step leads seamlessly to the next in the eyes of the customer
<i>Structure integration</i>	Having an organizational structure that encourages all managers and front-office staff to look after the interests of each customer holistically and hence grow their customer value
<i>Metrics integration</i>	Having targets and reward systems which encourage all staff to look after the interests of each customer and grow their value

Table 10.2: Five dimensions of integration maturity.

Data Integration

Mapping out of the customer journey soon reveals many points at which data need to be shared between different touchpoints, if the customer is to feel that the organization knows what it is doing. The most obvious solution is for the applications supporting the first channel – a website, perhaps – to pass the specific information that is needed to the applications supporting the second channel – perhaps a call centre. But this soon results in a spaghetti-like set of connections between systems, with many performance issues and high costs of ownership. Even if it works, the end result is an inflexible system in which it is very hard to evolve the customer journey over time, as is frequently needed, as we saw in the previous chapter in our discussion of omnichannel routes to market.

A better solution, therefore, is to have a single central database for key information about the customer – at least, conceptually – with systems reading or writing to the database as required. This has been one of the major drivers of the substantial market for integrated master data and a stronger information architecture, and for the growth of broader, more integrated CRM application suites. Many organizations are working towards a unified view of the customer, so that all aspects of the customer interface can be coordinated.

Task-independent data management

It is not sufficient, though, to have a single repository of customer data – difficult though that is to achieve for many long-standing organizations with complex legacy systems. The customer-facing systems also need to manage customer data independently of the task being performed. For example, if a customer enters their name and address on a website, they do not wish to be asked the same information on the telephone. This requires all tasks to call on a single module which manages this customer data. We call this the principle of task-independent data management.

This point can clearly be seen in Figure 10.6. The 'task management' layer needs to be separate from the 'data management' layer, rather than systems for each task endeavouring to manage parts of the customer data, as is still often the case.

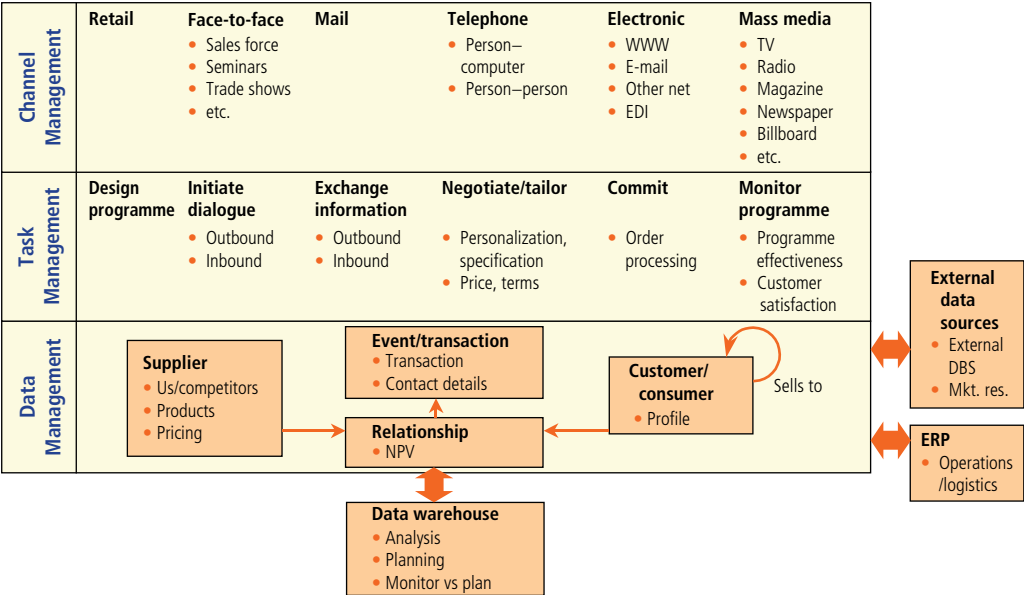


Figure 10.6: Towards a flexible CRM architecture.

Channel-independent task management

Another point that is clearly illustrated by Figure 10.6 is the importance of channel-independent task management. The ‘channel management’ layer of managing different channels or media is often bundled in with particular tasks. A ‘direct mail system’ will be the way in which the organization generates leads; an ‘order processing system’ will assume that orders come in to an order processing clerk (rather than, say, being made by a website); and so on. Such architecture is inherently inflexible. An ideal architecture separates the issue of managing the medium from that of managing the task.

Extending the single customer view to indirect channels

It is widely accepted, then, that maintaining an integrated customer relationship is difficult, if not impossible, without an integrated customer database linked across channels as well as across products. Leading companies are extending this principle, though, to data held about the customer by intermediaries – indirect channels – as well as the company’s own direct channels. The customer holds the supplier responsible for agents, distributors and retailers who provide frontline customer service, so it may be necessary to share customer contact information with them, or even roll out the CRM system to them, too.

The logic for this is clear from our discussion of channel chains in the last chapter. Lines on a channel chain connecting an indirect channel to a direct one will imply the customer passing between two organizations during the same purchase process. So for exactly the same reason that integrated CRM systems are needed within the enterprise, there frequently needs to be data transfer between organizations to make this transition smooth.

The BT Global Services case study we described in the last chapter is a good example. With a project under the title of Managed Accounts Through Partners (MATP), the Major Customers division reduced its number of partners to five, who collectively manage about 1,000 accounts on behalf of BT. These major distributors have access to BT's CRM system and record all their client details and activities on the same system. This allows BT and the partner to put together integrated marketing campaigns as well as provide a seamless service.

MARKETING INSIGHT

General Motors' Dialogue programme, which we describe in detail later, is an example of the same principle of data sharing but with simpler technology. In this CRM initiative, GM collected prospect information through direct channels on such issues as when the prospect intended to buy a new car and which models they were considering. Near to the time of intended purchase, they were, therefore, able to send local dealerships a list of genuinely interested prospects, along with this information. Information also needed to flow in the other direction if GM was to track the success of the programme.

Details of how this data sharing was achieved varied from country to country. In three cases – the Netherlands, Belgium and Italy – an online tool was deployed with dealers to distribute leads and collect feedback. In other countries, leads were simply faxed to dealers and, if necessary, dealers were chased on the end result by outgoing calls from GM's own call centres.

Communications Integration

An integrated relationship with the customer can be undone, though, by communications which are not joined up. All too often one unit is responsible for direct mail, another for email, a third for who is invited to seminars, a fourth for the call centre, a fifth for face-to-face interactions. Stories of advertising campaigns leading to a surge in traffic with which the call centre is utterly unable to cope are all too common.

An insurance company rebranded after a takeover, spending hundreds of millions of dollars on launching a new brand name. The market research said that individualized service was needed, so that was the theme of the advertising campaign. Through mass channels. With no individualization. Once customers made contact with the firm, they discovered that inbound channels were no more personalized than outbound ones; 20 per cent of existing customers could not even clear security and get details of their account! The company continued to languish towards the bottom of service quality tables, and its customers knew it. Thankfully, cynicism doesn't always pay!

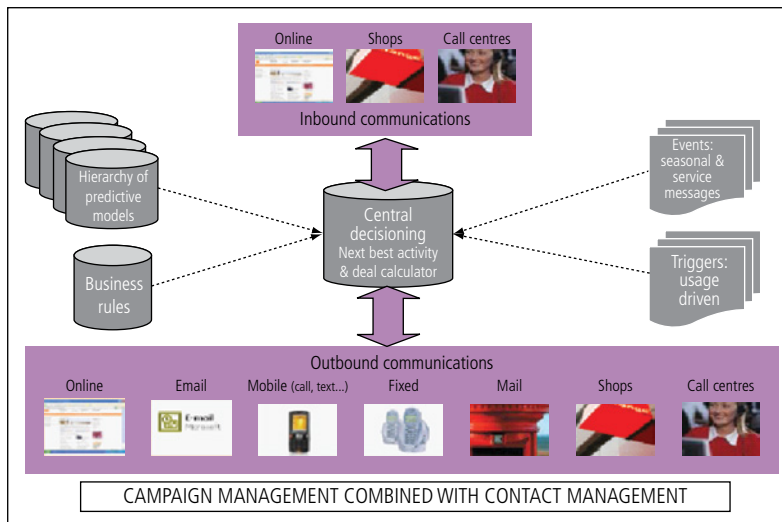


Figure 10.7: Communications integration.

Like all the integration challenges, communications integration is not easy to solve. After all, specialists are needed in managing call centres, websites, and so on. But someone has to be appointed with sufficient authority to ensure that in the eyes of the customer, the experience joins up.

That someone may be a CRM director, or the marketing director, or even a board meeting regularly, though an individual is the best. The aspiration is shown by Figure 10.7, adapted from a leading telecoms company.

The 'central decisioning' box represents a business process, under the control of an individual and with IT support from CRM technology, which decides what to say to each customer, whether the communication is outbound or inbound. So a mailing about a complex purchase offer with a leaflet providing details might be followed by a conversation the next time the customer calls in or visits a store, while a simpler proposal might be made on the website.

Process Integration

This integration needs to continue through purchase and service interactions. And if the customer is to perceive the journey as easy and joined up, they will expect it to be as straightforward as buying in a coffee shop.

Once we have integrated data, we have some hope of joining up processes across functions, product silos and channel silos. The fact that marketing does not talk to sales or service is no excuse for the systems to act as badly as the humans. But this still requires some thinking through of the customer journey.

In the IT trade, this is known as 'workflow management'. And it is indeed vital to map out the firm's flows of work and make sure that a customer contact seamlessly triggers the right response. But it is important to note that the most important workflow to understand and join up is the *customer's* job, be it making a complaint, booking an airline ticket or obtaining advice.

MARKETING INSIGHT

First Direct is famous for its superb telephone service. But 98 per cent of First Direct transactions are now online (and four-fifths of those are on mobiles). This was not achieved by giving away margin through price incentives. Nor by reducing the quality of the existing channel. Nor by insisting that the digital director delivered profits through that single channel. No, the key was attitudinal. When the website was being developed, the chief executive put signs up saying: 'How does it feel to the customer?' Because the answer is positive, customers require no incentive to use the service frequently, freeing up the call centre to concentrate on value-adding matters like new mortgages.

One more story will make the point. This time, it is a counter-example of processes which are not thought through.

A financial services company found that one office serving business customers had such disastrous service levels that it was thinking of closing it down. Buzz in head office blamed the people. The customer experience director visited with a 'hit squad'. While a few of the staff did indeed seem to have negative attitudes, the great majority were relieved to have some attention. They poured out stories of the process problems that got in the way of serving customers. To take credit card orders, staff had to ask the customer to hang on while they went to a different floor and queued to use the only credit card machine. One agent taking orders in euros would ask the customer to wait while he called his retired father at home, who would look up the latest exchange rates on his laptop – his father rather enjoyed it, but it was hardly ideal for the customer experience! It wasn't the people that needed fixing but the processes. The office is now frequently visited for the opposite reason – an example to others!

Integrating omnichannel processes

One specific integration issue is how to ensure that the customer experience is integrated across the various channels in a channel chain. Scenario analysis is useful for this.

Figure 10.8 shows an example.*

In this example, a bank customer is considering the purchase of an additional product. At the top of the figure, the segment is brought to life by naming and describing a typical member of it.

Then a table is drawn up, as shown, describing a walkthrough of the interactions between this named customer and the bank as they conduct the purchase. The walkthrough teases out ways in which the channels need to interact and support each other in order to deliver the ideal experience.

* We thank IBM for these scenario analysis examples, drawn from their UK channel transformation consulting practice.



Name: Peter Muller
Job role: MD of an IT company in Frankfurt.
Background: Herr Muller has been a standard current account customer for the last seven years and in that time his interest in investments and his financial sophistication have grown.
Current portfolio: Peter now has both a standard current account and flexible fund account. He holds cash, funds and securities in his accounts.
Situation: He has a good relationship with his broker, but also uses direct channels, especially the web, for convenience.
Scenario: Buying Alternative Investment Products (AIPs)

Task	Channel	Experience	Implications
Initiate dialogue	Mail	Concise, signed personal note from broker, two weeks before annual review meeting, suggesting that Markus look into AIPs, with leaflet & web URL	Integration of mail & face-to-face channels
Exchange information	Web	Peter looks up his flexible fund account briefing on AIPs. He models impact on his investment portfolio using what-if facility	Extensions to web-based portfolio management tool
Negotiate/tailor	Face-to-face	Peter discusses options with his broker. Together they decide on appropriate level of risk	Broker access to personal portfolios in meetings
Etc. . .	Etc. . .	Etc. . .	Etc. . .

Figure 10.8: Scenario analysis.

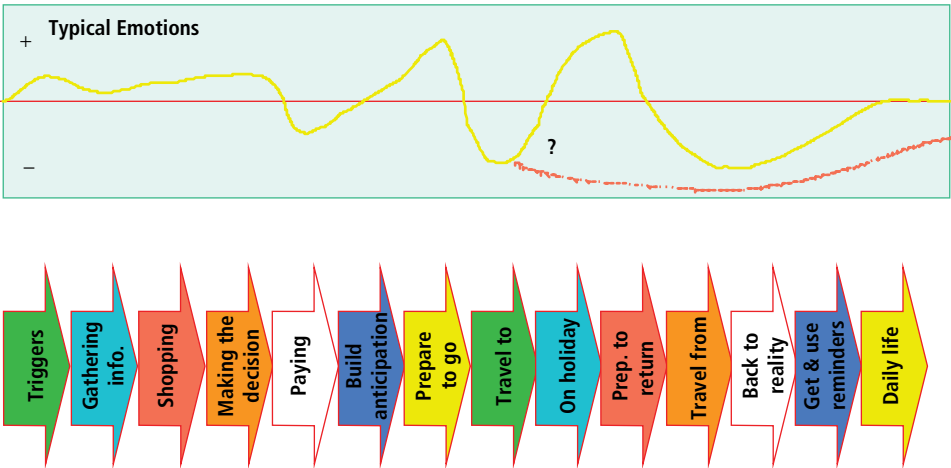


Figure 10.9: Scenario analysis and emotions – a travel company.

This process of ‘walking through’ scenarios, stepping into the shoes of the customer to make sure that the movement between the channels is smooth, can benefit from market research to really ‘walk through’ the customer journey as it is at the moment, in order to work out where the disconnects are and how value can be better created for the customer.

This is illustrated in Figure 10.9, drawn from work in the travel industry looking at the customer highs and lows through their holiday experience. Travelling out to the holiday is often a stressful experience, battering much of the positive anticipation that has built up, to a point where some really dramatic positive experiences are needed at the start of the holiday itself if the mood is to swing up again rather than continue on a downward path. The journey back is another crucial time: even where this experience cannot be fully improved, the memory of the holiday itself can be reinvigorated by some warm communication soon afterwards.

Structure Integration

One reason why processes are not always integrated is that different parts of the process are the responsibility of different executives. If each business unit head is responsible only for specific product lines or channels, there may be no one motivated to do the most important job of all: maximize the satisfaction and lifetime value of each individual customer.

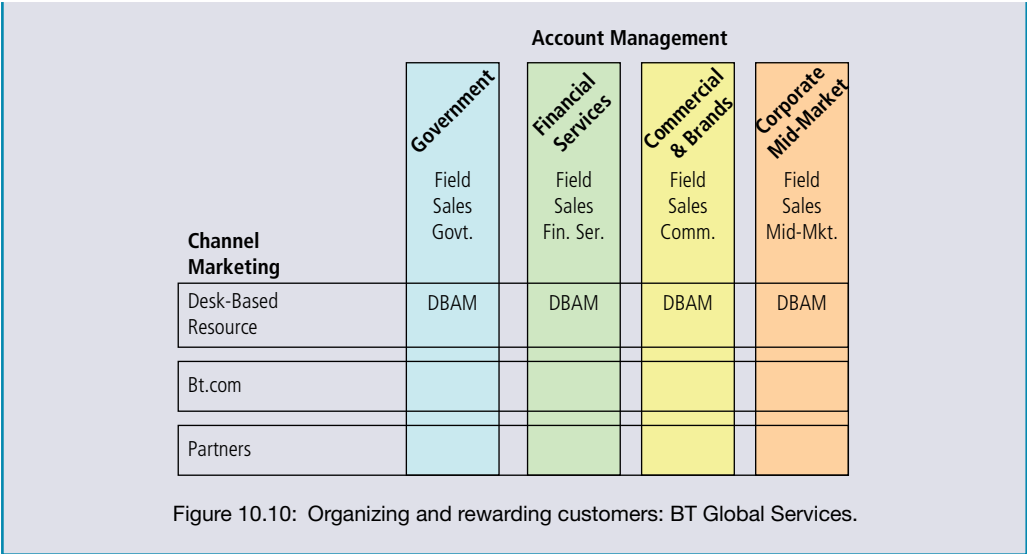
One of the authors was in a workshop with the operating board of a large European financial services company. Like many such companies, business units were structured primarily on product lines: pensions, mortgages, general insurance, and so on. The director of the protection business unit, selling products which protect the individual against events like redundancy, was bemoaning the fact that when a financial adviser sold, say, a mortgage, they often did not get round to cross-selling the protection product on top of it as, for the adviser, this was a relatively small additional sale. This was a shame, he said, as the margins on protection products were high. He showed the figures and, indeed, they were high. His colleagues, remunerated on the sales of other products, were of course distraught at their fellow director's predicament.

The author asked why the protection product couldn't instead be cross-sold by the service centre when the customer phoned in, as was bound to happen a few times in the early months while setting up the mortgage. The directors looked at him as if he was from Mars. How could one possibly cross-sell from a service centre? It was a cost centre, not a profit centre! And anyway, it belonged to the mortgage business unit – the protection business unit had its own call centre . . .

CASE STUDY

BT Global Services had a similar issue with the channel transformation project we described in the previous chapter. Once some interactions were occurring through desk-based account managers, others through the field sales force and yet others through the web or third parties, how would these channels be motivated to collaborate? The answer was to keep these channel specialists as a minor dimension of the matrix, but to make the major dimension customers. Account directors were responsible for total revenue from a group of customers minus total costs – sales force costs, DBAM costs, costs for tailored web pages, commission for distributors, and so on. This provided the motivation to the account directors to make the best use of each channel. Meanwhile, individual staff were remunerated not on revenue from their channel but on total revenue for the customers with whom they worked. See Figure 10.10.

(Continued)



Metrics Integration

The BT story illustrates that just as structure needs to encourage a holistic relationship with customers, so do metrics. Important customer-focused metrics include:

- Customer satisfaction.
- Customer advocacy, e.g. net promoter score (NPS).
- Service quality and experience quality (see Chapter 9).
- Customer retention (or its opposite, churn).
- Number of product holdings per customer.
- Customer profitability.
- Customer lifetime value.

DIGITAL MARKETING INSIGHT: MEASURING THE VOICE OF THE CUSTOMER IN DIGITAL MEDIA

Online voice of customer (VoC) measures are useful for reviewing customer sentiment online. They are qualitative assessments of the effectiveness of digital presence based on direct customer feedback. They answer ‘who and why’ questions about how customers interact with brands online. Net promoter score (NPS) ratings we have reviewed are one example of VoC measures. Another approach is intent-satisfaction gap surveys where the reasons for why a customer is visiting a site are compared against their success in completing tasks and their satisfaction ratings. This is a key technique for improving online customer journeys.

NPS is a key VoC measure of advocacy originally popularized by Reichheld (2006)¹¹ in his book, *The Ultimate Question* – which is essentially: ‘would you recommend us?’ The aim

is to work out techniques to maximize this NPS. A measure of the number of advocates a company (or website) has who would recommend it compared to the number of detractors. Reichheld explains the main process for NPS as follows:

1. Systematically categorise customers into promoters, passives or detractors. If you prefer, you can call them loyal advocates, fair-weather friends and adversaries.
2. Create closed-loop processes so that the right employees will directly investigate the root causes that drive customers into these categories.
3. Make the creation of more promoters and fewer detractors a top priority so employees up and down the organization take actions based on their findings from these root-cause investigations.

In practice, consumers are asked 'Would you recommend [brand/company X] to a friend or colleague?', answered on a scale between 0 (not at all likely) and 10 (extremely likely). The actual score is calculated by subtracting the percentage of detractors (those giving 0–6 answers) from promoters (9–10s). The middle section, between 7 and 8, are the so-called 'passives'.

In an online context, businesses can assess NPS for the digital experience and understand which negative factors are impacting the score so these can be improved.

*Measuring omnichannel integration**

Omnichannel journeys raise a particular challenge concerning customer satisfaction. Most companies, if they measure channel satisfaction at all, do so in each channel individually. But how about consistency of the experience across channels? We have seen that this matters to customers; is it, however, reflected in what is asked in customer satisfaction surveys?

Until recently, the value of integration across channels was no more than a widely accepted premise. But the case for the importance of consistency has now been strengthened by numerous academic research projects, of which we give two examples from our own research.

The first involved a blue-chip organization delivering products and services through a number of business-to-business channels. This research confirmed what CRM professionals have long suspected; consistency of information, impression and customer knowledge across different touchpoints (or delivery channels) is critical. In fact, this perceived omnichannel integration ranked alongside product satisfaction in terms of its importance in driving customer satisfaction, trust and intention to repurchase (see Table 10.3). We were taken aback by quite how important omnichannel integration is – more so than website satisfaction, or call centre satisfaction, or even sales force satisfaction. It seems that, if the salesperson ploughs blithely on with their sales pitch without mentioning the complaint which the customer made on the web yesterday, customers are as unforgiving as if the product does not work.

* We acknowledge with thanks the contribution of Rita Madaleno to the research reported in this section, and Lindsay Bruce's contribution to the drafting of this section.

What parts of the experience matter most in driving . . .		
Customer satisfaction	Trust	Intention to repurchase
1. Omnichannel integration	1. Product satisfaction	1. Product satisfaction
2. Value for money	2. Omnichannel integration	2. Value for money
3. Product satisfaction		3. Omnichannel integration

Table 10.3: The importance of omnichannel integration in a large business to business firm.

As an important technical note to those involved in commissioning market research, the results in Table 10.3 were arrived at not by simply asking the customer what drives their customer satisfaction, but by measuring customer satisfaction, separately asking about omnichannel integration, product satisfaction, and so on, and then correlating the two using such techniques as multiple regression. This is a much more reliable way of assessing how customers actually behave.

In the second project, the same approach was applied in a business-to-consumer service organization providing entertainment. Customers were asked the equivalent questions and their answers again revealed the importance of joining up the experience across channels. Consistency of information, impression and customer knowledge was the only factor apart from satisfaction with the basic entertainment service that each time appeared among the top three drivers for satisfaction, trust and propensity to recommend.

Interesting it may be, but you might say this discovery is hardly going to rock the marketing world. Marketers have, after all, widely assumed the importance of omnichannel integration even without such research-based evidence. The challenge set by this research is not that marketers should acknowledge the importance of omnichannel integration, but that they should measure it – to make sure that they actually do something about it.

The billions that have been invested the world over in CRM software systems on the basis that the ‘single customer view’ would deliver an enhanced customer experience might suggest that organizations recognize the importance of omnichannel integration. Yet most companies continue to measure customer experience and satisfaction ‘silo-fashion’, with survey questions related only to certain channels. Better marketers benchmark their performance against competitors. The most innovative not only ask customers how well the company has performed, but also assess the importance of each aspect of experience through techniques such as multiple regression and structural equation modelling, to make sure we do not waste time fixing aspects of the experience that ultimately do not drive repurchasing and advocacy behaviour. But even such relatively sophisticated techniques fail to measure omnichannel integration.

So, how can you be sure that you are delivering a consistent customer experience across different touchpoints? As CRM system vendors will rightly point out, the software is necessary but not sufficient. While the system may deliver a single view of the customer, it does not obviate the need for staff to be adequately trained, equipped and motivated to deliver an appropriate level of service. A bad-tempered, discouraged call centre representative is unlikely to deliver good customer service, regardless of whether or not the CRM system has highlighted a cross-selling opportunity. Similarly, the fact that your CRM system identifies the different service quality needs of customers will have little impact on your online sales performance, if your website is unable to differentiate between and meet those service-level expectations.

If you want to know that your CRM investment is really paying off, you need to know that customers are receiving a consistent experience across all channels. This, as we have already discovered, is a core driver of customer loyalty and propensity to repurchase or recommend. Equally important, if you haven't yet got it right, is to uncover the source of the inconsistency. In doing so, you avoid being 'blinded' by your CRM system and blaming it when the failure lies in your own processes. Conversely, you also arm yourself with evidence to hold the CRM vendor to account if it is, indeed, the CRM system that has failed to deliver.

The solution is twofold. First, you need to include questions in your customer research that investigate whether the customer experience is consistent across your different channels. The five core questions used in our work with the two organizations we have described cover impression, information, choice and staff knowledge (see Table 10.4).

Second, when respondents are matched with their main purchase channel (or channel chain – see Chapter 9), their responses can be broken down to identify where improvement is required. An example of this is shown in the graph in Figure 10.11. From the answers to this question, it is evident that customers in this example who buy mainly from the direct sales force perceive a greater level of integration than those who most often buy online or through resellers. Further investigation will then reveal the source of this lack of consistency. It may be that the company's sales managers are particularly good at recording information in the CRM system. Or it might be a flaw in the online purchasing system or reseller extranet, where data are poorly recorded or utilized.

When it comes to customer satisfaction, companies are eager to deliver a good customer experience. Traditionally, marketers take a view from their customer insight and measure satisfaction against factors that they believe are important. But even relatively sophisticated techniques fail to measure how consistent service delivery is across different customer touchpoints.

Consider the cost of investment in CRM software by organizations that fail to measure whether their CRM system actually delivers what it set out to achieve. Is your company one of them? Take a look at how your organization measures customer satisfaction. Omnichannel integration is a crucial driver. With the amount that you invest in CRM, can you afford not to know if it is working?

In addition to your other customer satisfaction questions, ask your customers to assess their agreement with the following statements on a sliding scale.
1. I have a consistent impression from [company], regardless of the channel I use.
2. The information I get from [company] is consistent across all channels.
3. Regardless of the channel I use, people I deal with are informed about my past interactions with [company].
4. I can choose among a range of channels while dealing with [company].
5. Regardless of the sales channel I use to purchase from [company], I can use other channels to get information or help.

Table 10.4: Five killer questions to check omnichannel integration.

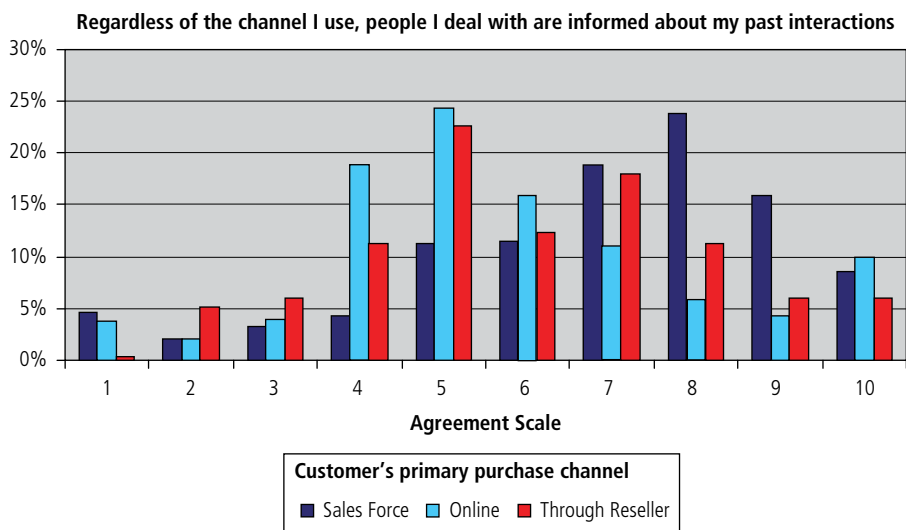


Figure 10.11: Differences in omnichannel integration across customer groups.

INTERACTION MATURITY

An integrated view of the customer, and an organization motivated to treat each customer holistically, is half of the CRM challenge. And, indeed, they are hard enough! However, integration maturity is primarily an enabler of better conversations, better interactions. We will now look at what makes for powerful, value-creating interactions with customers. The five key factors are listed in Table 10.5.

Individualization	Treating each customer in a way appropriate to everything that is known about them
Customer value orientation	Understanding the customer's overall value to the firm, and taking this into account when determining how to treat the customer (without losing customer centricity)
Customer centricity	Ensuring that every offer to the customer has the customer's best interests at heart, as well as the firm's
Dynamic interaction	Responding to what the customer says or does appropriately and speedily, ideally within the same dialogue
Customization	In categories where this is relevant, tailoring the product or service to the individual customer in accordance with everything that is known about them

Table 10.5: Five dimensions of interaction maturity.

CASE STUDY

GM'S DIALOGUE PROGRAMME*

We saw in the previous chapter that 'channel chains' representing the customer's journey may include indirect channels such as agents, distributors and retailers, as well as the company's own direct channels. Just as these direct channels, such as the web, call centres and the sales force, often complement each other rather than work as alternatives, so indirect channels do not necessarily 'own' the whole customer relationship; rather, they may be complemented by the company's direct channels in an integrated channel chain. Maintaining an individualized conversation across both direct and indirect channels is a particular challenge.

An innovative programme termed 'Dialogue' at GM Europe provides a good example of the step-change improvements in customer acquisition and retention costs that can result from getting this right. It is worth describing this programme in some detail (Figure 10.12).

The traditional channel chain used for consumer car sales is on the left of the figure. The original equipment manufacturers (OEMs), such as GM, have traditionally had little one-to-one contact with the motorist, direct consumer sales instead being supported through a network of independent dealers. The manufacturer's communications role has historically been one way. Advertising and product information is communicated to consumers

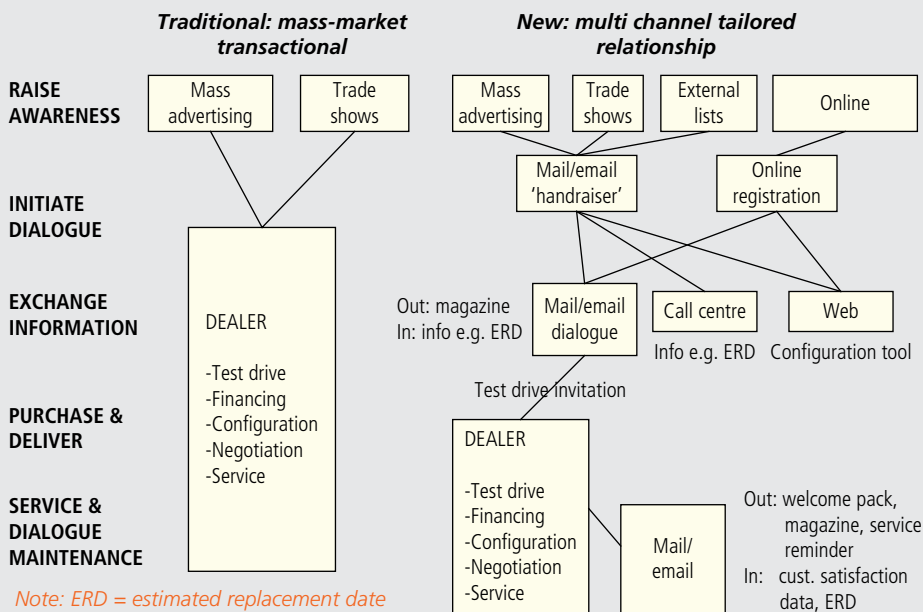


Figure 10.12: Channel chains – GM Europe.

* We thank Rob Malyn, then Head of CRM for GM Europe, and his colleagues for their assistance with this case study.

(Continued)

through broadcast media and, to a lesser extent, more targeted channels such as direct mail. The aim is to create awareness of the brand and drive traffic to the dealerships. This model is analogous to that in most consumer packaged goods.

However, this communication approach allows no direct feedback from consumers as to whether they are 'in market' to buy or not, resulting in large amounts of wasted money and effort, especially with infrequent purchase decisions. There is also little opportunity to distinguish between individual potential customers on the basis of model preferences, purchase intentions, and so on.

For the motor industry, the Internet opened up real possibilities to move to a two-way communication model. The web offers an inexpensive channel through which consumers can respond to and interact with OEMs, and perhaps even purchase a vehicle online. The prospect of OEMs selling directly via the Internet inevitably sets alarm bells ringing among dealers, though, and has forced OEMs to think carefully before upsetting the distribution channel they have been so dependent upon.

The niche for direct online sales is now beginning to be significant, but GM's Dialogue programme sought instead to explore the hybrid solution shown on the right of the figure. The idea was to use the Internet to create relationships with customers that might yield valuable information about their purchase intentions and enable higher quality leads to be introduced to dealers during the time window when they were preparing to buy their next vehicle.

Cars are an infrequent purchase, but there is a high incidence of repeat purchase. This suggests there is a compelling case for maintaining contact with existing customers during the years between them buying cars.

In tandem with the acceleration of online customer preferences, other developments in hardware and software created the possibility to fully integrate communications with consumers across a range of channels, both online and offline. Advances in database technology meant that it was much easier to 'clean' data held on individual customers so that names could be readily and accurately matched between purchase order systems, acquired lists, those responding to promotions, and so on. CRM software could then enable a complete view of the consumer across channels, enabling a true two-way relationship to be established.

THE NEW CHANNEL CHAIN

In GM's new channel chain, the initial expression of interest could come via any one of a number of sources. In some markets, mailing lists were built through purchasing registration data; where this was not possible lists were purchased through brokers such as Claritas, who offer the possibility to filter those who intend to buy a car in the next 12 months. People who responded to these mailings were termed 'Responders'. A second group, 'Handraisers', consisted of those who initiated the contact by registering on a web-site, calling a freephone number, or taking a card from a dealership or at a motor show.

In a simple example of giving some channel choice to the consumer, these potential customers were then asked to nominate whether they preferred to receive communications by post or e-mail. Much of the outgoing communication that followed – for example,

newsletters and test drive offers – could be sent electronically to those that requested it, although some other pieces, notably the Welcome Pack (provided on car purchase) and the prior-to-test-drive offer (called the Kitchen Table Pack), were delivered only in hard copy.

A further use of online channels was the development of microsites for each model launch as an interaction and information hub. The potential of these microsites was felt to be so high that targeted mailouts were sent to post-preferring prospective customers as well as those preferring email, to drive traffic to the sites, which was also boosted through point-of-sale material, and so on. The microsites were linked to the main website for the brand, providing an opportunity for prospective customers to register.

In certain aspects of the Dialogue programme, then – for example, launch advertising – GM continued to depend largely upon one-way, high-volume channels such as TV and print media. But in the subsequent phases, interactive channels were essential to elicit the key information, such as the motorist's estimated replacement date, which would determine where the customer was in the buying process and what products they might be interested in. Subsequent pieces of communication could still be mass produced – for example, a newsletter designed to keep the prospect informed and interested – but they would only be sent to the consumer according to their own individual calendar, which was determined by the estimated replacement date. A requalification process gave prospective customers the opportunity to reaffirm their purchase intentions in order to keep these vital data up to date, such as the 'Check/update your details' prompt in the e-mail newsletter (Figure 10.13). A high proportion of consumers, feeling they were engaged in a relevant conversation, took the trouble to update these details.

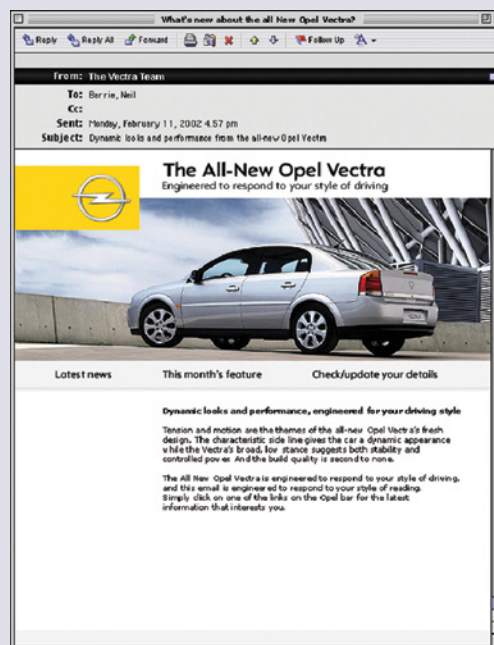


Figure 10.13: Inviting interaction – GM's email newsletter.

(Continued)

A key objective of Dialogue was to supply dealers with well-qualified ‘hot’ leads at the point of readiness for a test drive, rather than the poor-quality leads generated by non-interactive and non-relationship-based marketing campaigns. Ultimately, the programme aimed to better integrate GM’s marketing with the work of this indirect sales channel.

GM made successful use of piloting and control groups to measure the effect of the Dialogue programme on sales, and found that the additional cars sold as a result of the programme were equivalent to incremental revenue of over €300 million and additional profit of over €50 million.

Individualization

The first principle of interaction maturity is that each interaction with the customer should be individualized. We want to be known as an individual and treated as one. When we are, we respond enthusiastically. Not surprisingly, sales propositions that are individualized are far more effective than generic propositions that are made to every customer.

The simple tailoring of the dialogue with the customer was far from one-to-one, but it was ahead of other manufacturers within this industry, which has traditionally left all customer dialogue to the dealers. And it worked in the eyes of the customer. It is proving highly influential as other car manufacturers follow suit.

Customer Value Orientation

Another key aspect of effective CRM is ‘customer value orientation’. This means understanding the value of each customer, and taking this into account in the firm’s dealings with the customer.

The importance of customer value orientation is illustrated by those few firms that have processes in place to calculate the true profitability of each customer. Where this can be done, it is always insightful. An example is in Figure 10.14.

The chart shows the profits made from each ‘decile’ of customers, from the largest 10 per cent to the smallest, at two time periods 12 years apart. The trend is alarming: at the end of the 12-year

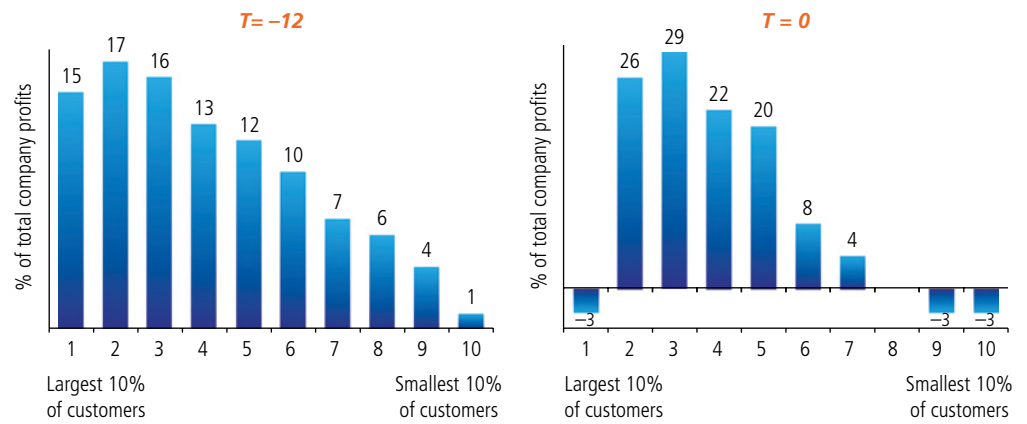


Figure 10.14: Customer profitability of large and small customers.

period, the major customers have used their power to negotiate significant discounts simultaneous with improved service levels, so they are actually losing the company money. Channel specialists with low-cost models are simultaneously serving the smallest accounts more efficiently, so they are losing money, too!

These data are crucial if the company is to take sensible decisions about how to treat each customer. Research by Professor Aamir Khan of Lahore School of Economics found that this customer value orientation or 'customer selectivity' is a strong driver of firm performance – stronger, in fact, than market orientation within some sectors.¹²

Customer Centricity

Customer centricity means that propositions to the customer should have the customer's best interests at heart. In common business parlance, they should be 'win-win' offers.

We have all been on the wrong end of cynical marketing which captures our money for the wrong reasons. Exorbitant charges made by one insurer to customers who wished to cancel their car insurance halfway through the year was one anger-fuelling example, damaging not just the external reputation of the firm but also internal morale. (Call centre agents would get round this restriction by advising customers to say that they were cancelling as they were buying an Aston Martin. At this point the agent would be obliged to say that as they did not cover Aston Martins, the customer would not have to pay a cancellation charge!)

There is no denying that it is possible to run a business with such cynical practices. One of the authors recalls a patisserie near Montmartre that sells beautiful-looking produce which, however, tastes disgusting. The owner has clearly calculated that the cheapest possible cooking oil, rather than butter, will do for the tourist customers who are most unlikely ever to return, however tasty the produce!

Quite apart from the ethics involved, however, the good news for the great majority who wish to go to work and earn an honest pound is that customer centricity pays. Our survey of 600 companies demonstrated that those with more customer-centric cross-sell, upsell and retention practices were more profitable relative to competitors. Given the economics of lifetime value, the power of word-of-mouth and the importance of employee motivation, this is not surprising.

Dynamic Interaction

One related feature of good customer conversations is that they should be dynamic. That is, the firm should respond appropriately depending on what the customer says.

Listening, learning and responding are at the heart of normal human relationships, so it is no surprise that it is crucial in commercial encounters. A tailored direct mailing is a form of dialogue, which might be a response to something the customer said to the firm several weeks earlier, but it is hardly as dynamic as a conversation in a store, in a branch, in a sales meeting or on the telephone. Not surprisingly, therefore, these interactive channels at their best have far higher conversion rates than direct mail, which like its cousin email marketing becomes less effective every year.

And yet some companies manage these 'inbound channels' as if they were direct mail encounters, providing agents with predetermined, carefully scripted prompts as to what to offer the customer. A propensity model-driven prompt to an agent is certainly better than having no insight at all, but a prompt calculated in real time during the call – taking into account the reason that the customer called up in the first place – is far more effective.

Customization

The final feature of mature interactions is appropriate customization of the core product or service. This is not always relevant, of course, as in some sectors, the product/service cannot be customized. But in many contexts, proactively suggesting appropriate variants of the standard offer to the customer, taking into account everything that the firm knows about them, can deeply impress the customer and differentiate the firm significantly from its peers.

CASE STUDY

O2's VISION SYSTEM

O2's Vision system was an influential early example of IT support for customized dialogue in call centres, and it is still ahead of most. See Figure 10.15 for the agent's screen. The bars in the top right corner show the three products that the customer is most likely to buy at this moment, based on everything that is known about the customer, including the reason for calling. The agent is not forced to talk about them, but depending on their judgement of the conversation, they are provided the tools to do so if they wish.

Because this interaction is customer centric, dynamic and individualized, it is highly effective. O2 reports conversion rates of consistently above 30 per cent.¹³

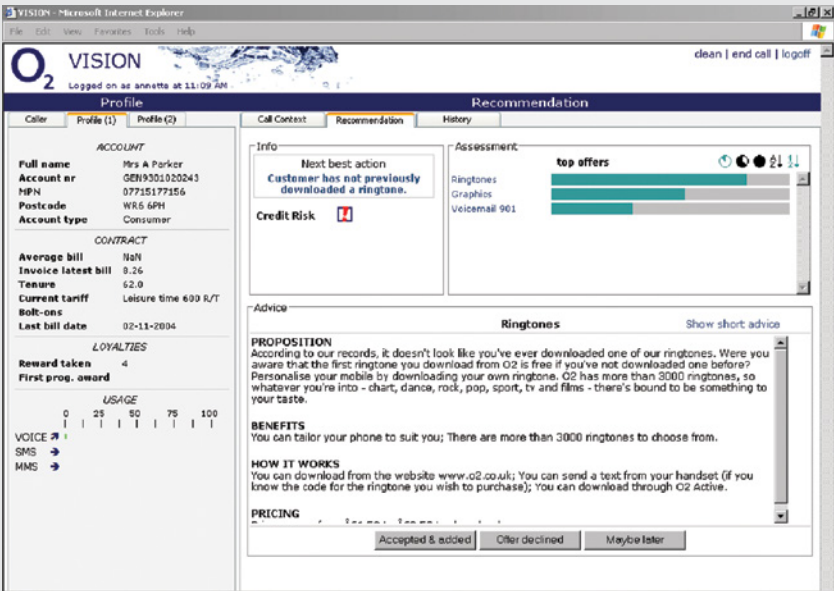


Figure 10.15: O2's vision system.

If you have never had cause to go to a Build-A-Bear Workshop store, borrow a godchild, niece or nephew and make them a tailored teddy bear. Mainly for the sake of the child, but also as an example of adding value through customization. But keep a tissue to hand, as we challenge anyone to be unmoved by the moment when the bear is given its heart . . .

B2B	B2C
1. Extent of personal contact	1. Helpfulness
2. Flexibility	2. Value for time
3. Implicit understanding of customer needs	3. Customer recognition
4. Proactivity in eliciting customer's objectives	4. Promise fulfilment
5. Pro-activity in checking that everything is OK	5. Problem solving
6. Promise fulfilment	6. Personalization
7. Knowledge	7. Competence
	8. Accessibility

Table 10.6: What makes for a great customer experience? Comparing business-to-business and business-to-consumer contexts.

Source: Lemke, F., Clark, M. and Wilson, H. (2010) Customer experience quality: an exploration in business and consumer contexts using repertory grid technique. *Journal of the Academy of Marketing Science*, 39(6), 846–869.

Customization can come at a price in a higher cost of manufacture or higher cost to serve, so it is not for every category. But for experiential consumer markets such as this example, mass customization can still be cost effective.

And in many more relational business contexts, customization is essential. The reader with business-to-business selling experience will need no persuasion on this point, but it is nevertheless insightful to see the *customer* view of the most important factors in their experience of suppliers, see Table 10.6.

While the business-to-consumer list is dominated by the customer service factors which we discussed in the previous chapter – helpfulness, valuing the customer's time, customer recognition and so on – the business-to-business list has a strong emphasis on understanding the customer's individual needs and flexibly providing a solution that meets those needs. This requires a deep understanding of the customer's business, of course, so knowledgeable staff are paramount. Whatever the contract states, what business customers really value is a supplier who cares about their objectives and is prepared to go to whatever lengths are necessary to solve their particular issues. The loyalty that can result from suppliers going the extra mile is incalculable.

PLANNING FOR CRM: THE BENEFITS DEPENDENCY NETWORK

Our CRM stage model demonstrates that it is not possible to move straight to world-class CRM; rather, a series of staged projects is typically needed. Even in steps, achieving CRM maturity is a major undertaking, requiring commitment from the whole organization. This is a far more complex project management task than organizing a marketing campaign. Neither can it be delegated to IT, as we have seen. The reader may be daunted as to how success can be gained.

There is no substitute for high degrees of commitment from experienced executives with consistent backing from the board. Nevertheless, a project management tool that is specifically

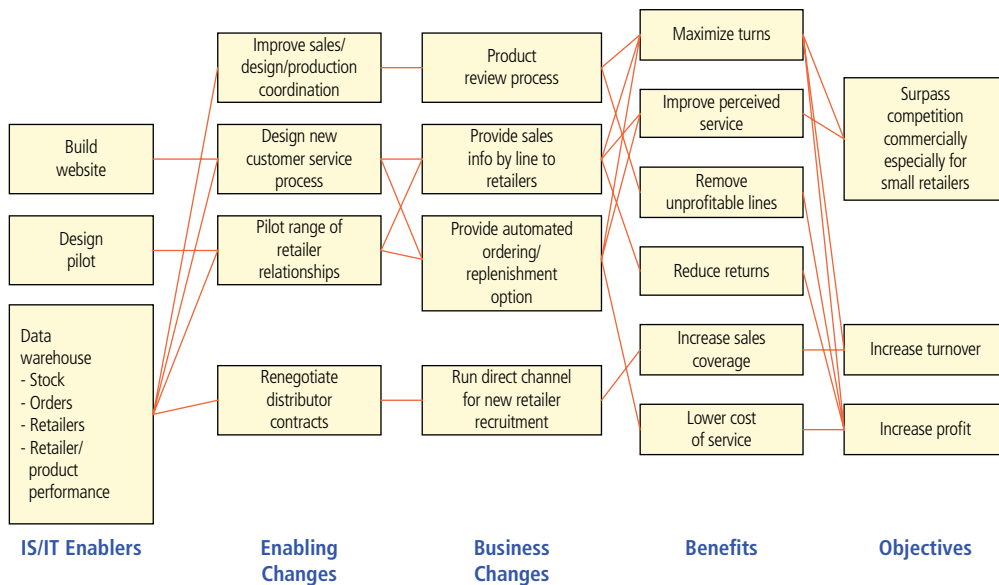


Figure 10.16: BDN: a gift manufacturer's website for retailers.

designed for *IT-enabled projects* that deliver *business benefits* will be a significant help. A tool that many companies have reported is highly beneficial is the *benefits dependency network* (BDN). Developed by John Ward, Elizabeth Daniel, Joe Peppard and their collaborators,^{14, 15} this tool works backwards from the project's objectives to ensure that all necessary business changes are made, as well as any necessary IT developments completed. A simplified example from one project the authors advised on, a gift manufacturer's extranet for retailers, is shown in Figure 10.16.

The main elements of the network are as follows:

- First, *drivers* of the project are defined. A driver is a view by top managers as to what is important for the business, such that the business needs to change in response. In this case, the drivers (which are not shown in the figure) included the directors' desire to expand beyond their current profitable but small niche, and their recognition that this would imply reducing the organization's dependence on a small number of large retailers.
- The *investment objectives* are then a clear statement of how the project under consideration will contribute to achieving effective beneficial changes in relation to one or more of the drivers. In this example, the objectives related to turnover, profit, and market share of the small retailer segment.
- In order to achieve these objectives, some *benefits* will need to be delivered to different stakeholders, including customers. These are now explicitly identified and quantified. For the gift manufacturer, these included maximizing the number of 'turns' – how often an item on a retailer's shelf is sold and replenished each year; minimizing the number of returns; and so on.
- In order to achieve the *benefits*, it is necessary for organizations and people to work in different ways, and it is these changes that are captured in the business changes part of the network. In this case, *business changes* included the need to offer retailers a variety of options for how stocks would be replenished. At one end of the scale, a retailer could choose to 'out-source' much of the selling of gifts to a manufacturer-provided facility on the website, which

could select and order gifts, keep them replenished, change the gift range according to past and predicted demand, and arrange payment. At the other end of the scale, other retailers could simply choose to use information provided by the website to inform their own decisions on what gifts to order, when to replenish and so on. By offering a choice, the retailer was left with the important sense of control.

- Other one-off changes may also be required before the technology can be implemented, for example, to define new processes which are needed, and to establish organizational roles and skills sets. These are termed *enabling changes*. Here, these included the renegotiation of contracts for the existing agent network, and a piloting exercise with a handful of retailers.
- It is only when this analysis has been carried out that the specific role technology will play in project's objectives can be defined in detail. These technology changes are listed under *IS/IT enablers*. Here, they included extensions to the company's core operational systems, as well as introduction of the website itself.

We have found that using this technique for CRM projects seems to require an iterative approach. In more traditional IT projects, the network is used to ensure that the technology and business changes will deliver benefits required to meet the business drivers. Given the current stage of innovation with many CRM technologies, a further iteration starting with 'what can technology enable us to do?' is needed, to explore the potential changes and consequent benefits that could result. Balancing this more creative use of the BDN with the more outcome-focused, analytical use proved valuable both in uncovering new options and in realistically assessing what could be achieved.

Although time-consuming to apply – a thorough BDN typically taking two half-day workshops – this tool is invaluable for fleshing out the business changes which are needed to make the new use of technology effective if a CRM project is to succeed. This can also lead to more rational decisions on whether to proceed with a project: in one case, a forward-looking BDN brought to light such a scale of business transformation that the company decided it could not currently afford to proceed.

What was the result of the BDN's development in this gift company? It pointed out that many of the business changes relied on the managing director, clarifying the need for a new sales appointment, which was rapidly made. It also made clear that a pilot was needed to flesh out how retailers could best be supported online, as well as how the organization needed to adapt to complement the website itself. Most importantly, it convinced senior management that it needed to devote enough time to the relevant business changes and that this was not purely an IT exercise.

The company had experienced considerable difficulties in the past with new computer systems, due not to the system itself as much as the accompanying organizational changes, which had not been fully thought through beforehand. The level of rigour demanded by the BDN was not universally popular – salespeople rarely welcome being hauled into meetings of any sort – but the company was left well placed to avoid a similar expensive mess.

The tool needs, though, to be used at the right point in the planning process. Notice that it is not possible to get as far as listing benefits which will be sufficient to achieve the intended objectives, let alone listing business changes, until the market is well understood and the strategic rationale for the proposed project is clear. That is why we have delayed covering this fine management tool until the end of Chapter 10! However, once a well-thought-through marketing strategy is defined, we believe the BDN to be a real contribution to the crucial issue of implementation. For further examples of applications of the BDN to CRM challenges, see the articles by Wilson et al. (2007)¹⁶ and McHenry and Makarius (2023).¹⁷

APPLICATION QUESTIONS

1. Whose responsibility is CRM in your organization? The sales and marketing director? The IT director? Or is it delegated to individual business units, with piecemeal approaches that cannot deliver a joined-up experience to the customer?
2. Most firms do not have an explicit definition of CRM. But what is the implicit definition? A software package for sales automation or outbound direct mail, perhaps? Or a customer database?
3. What stage of CRM maturity are you at? See Figure 10.5. Do your systems and processes support:
 - a. Product transactions only (stage 1)?
 - b. Access to integrated customer information only for marketers and other back-office staff (stage 2)?
 - c. Access to integrated customer information for all front-office staff (stage 3)?
 - d. Individualized, relevant conversations with every customer through every channel (stage 4)?

For a more detailed diagnostic, see the exercises at the end of the chapter.
4. Does your marketing plan include objectives and strategies relating to:
 - a. Customer retention by segment?
 - b. Cross-sales to existing customers, by segment (or key account)?
 - c. Customer profitability or customer lifetime value by segment (or key account)?

CHAPTER 10 REVIEW

The case for CRM

Customer acquisition is expensive. It, therefore, pays to retain customers for as long as possible. The longer customers stay, the more they spend and the more profit they generate. While a large part of the art of retaining customers is to deliver good products and service, customers also value proactive suggestions from the firm as to other products and services that would add value.

This relationship development in the interests of both parties requires, in all but the simplest organizations, integrated IT systems and cross-functional processes. This is the job of CRM, which we define as the management of individual customer relationships across functions, channels and products so as to maximize customer satisfaction and customer lifetime value. In all but the simplest organizations, CRM is underpinned by integrated customer data.

Four stages of CRM adoption

Achieving world-class CRM is not easy. It requires the organization to develop competencies in two areas:

- *Integration maturity.* The extent to which the organization has an integrated view of each customer, supported by structures and metrics that encourage the management of customer relationships holistically across products, channels and functions.
- *Interaction maturity.* The extent to which the organization holds individualized, customer-centric conversations with its customers, which the customer perceives as adding value and which optimize customer lifetime value to the firm.

Most organizations develop these competences in a series of stages – review Figure 10.5:

1. *Product transactional.* The firm has separate systems and processes for selling different products through different channels. This is transactionally adequate, but the firm cannot

gain a complete view of the customer. If a firm does not seem to know us as individual customers, we tend to conclude that the firm does not care.

2. *Information access.* At this stage, a marketing database has integrated customer information. This enables analyses such as allocating customers to segments, and can also help to produce more tailored direct mail. But at this stage, front-office staff still do not have a complete view of the customer.
3. *Process efficiency.* At this stage, the firm has implemented an integrated customer database or 'CRM system'. But the promise of the system vendors that relationships would improve has only begun to be realized, because many marketing activities continue to make little use of this individualized insight.
4. *Intelligent dialogue.* At this stage, each conversation with each customer is tailored to everything that is known about the customer. Some firms manage this through one channel – Tesco with its Clubcard mailings, Amazon with its online recommendations, O2 with inbound call centre interactions – but none is perfect. This is good news, as differentiation can still be gained from CRM.

Try Exercise 10.1

Ten criteria for world-class CRM

World-class CRM requires an integrated approach to each customer, and interactions which take full account of everything that is known about the customer. The first five criteria for world-class CRM relate to integration:

1. *Data integration:* having a 'single customer view' of each customer across channels, products and business functions.
2. *Communications integration:* having a single person responsible for coordinating all inbound and outbound communications with each customer.
3. *Process integration:* ensuring that the firm's processes for responding to each customer are joined up through the customer journey, so each step leads seamlessly to the next in the eyes of the customer.
4. *Structure integration:* having an organizational structure that encourages all managers and front-office staff to look after the interests of each customer holistically and hence grow their customer value.
5. *Metrics integration:* having targets and reward systems which encourage all staff to look after the interests of each customer and grow their value.

The second five criteria for world-class CRM relate to interaction maturity:

6. *Individualization:* treating each customer in a way appropriate to everything that is known about them.
7. *Customer value orientation:* understanding the customer's overall value to the firm, and taking this into account when determining how to treat the customer (without losing customer centricity).
8. *Customer centricity:* ensuring that every offer to the customer has the customer's best interests at heart, as well as the firm's.
9. *Dynamic interaction:* responding to what the customer says or does appropriately and speedily, ideally within the same dialogue.
10. *Customization:* in categories where this is relevant, tailoring the product or service to the individual customer in accordance with everything that is known about them.

Try Exercise 10.1**Planning for CRM: the BDN**

Sophisticated project management is needed to ensure the CRM projects deliver business benefits. One tool that can help to ensure this is the BDN.

Try Exercise 10.2**Questions raised for the company**

1. Q: Is CRM relevant for business-to-business firms?
 - A: Yes. Precisely the same principles apply as in business-to-consumer contexts. Firms who do not manage each customer relationship holistically, sharing knowledge about the customer across every touchpoint, and crafting individualized propositions for the customer, come across as amateur. In very few firms is client contact exclusively with a single account manager, so systems and processes are needed to share learning and coordinate communications.
2. Q: What should the marketing plan include concerning CRM?
 - A: As a minimum, the plan should consider separately objectives and strategies for existing customers, with objectives and strategies for:
 - customer satisfaction and advocacy (positive word-of-mouth)
 - customer retention by segment
 - one or more share of wallet metrics, e.g. number of product holdings or total share of the customer's spend in the relevant product/service category.
 The plan might also include:
 - a. objectives and strategies for customer lifetime value by segment
 - b. a project plan for improvements in the firm's CRM capabilities (see Exercise 10.2).
3. Q: How can we calculate customer lifetime value?
 - A: Customer lifetime value is the profits from the customer this year and in future years, added up. But future years are 'discounted' to reflect the fact that a dollar today is worth more than a dollar next year. For detailed help, see *Managing Customers Profitably* by Lynette Ryals.¹⁸ Even to calculate current-year profitability, though, is a great step forward for most companies, who might know the profitability of products, but rarely of customers. This requires detailed work with your accountant, but can yield great benefits in targeting resources at the right customers and avoiding over-serving of marginally profitable or loss-making customers.

EXERCISES

Exercise 10.1 profiles your firm's current level of CRM maturity. You can also use this exercise to study a firm you believe to represent best practice within your sector.

Once you have used Exercise 10.1 to determine your firm's next steps for CRM, you can use Exercise 10.2 to develop a plan for making these steps, using the benefits dependency network. This plan can be included, using the BDN diagram as a summary, in your strategic marketing plan.

Exercise 10.1. Profiling your CRM maturity

Please fill in this form to assess your CRM maturity. If appropriate choose a business unit to fill it in for you.

Company/business unit:

If you have several different customer groups (boxes on the market map/value network), choose one group and fill in the form for this group. For example, a pharmaceutical company could fill in the form for hospital specialists, primary care practitioners (GPs), patients, and so on. A financial services company could fill it in for consumers, insurance brokers, company pension schemes, and so on.

Customer group:

Step 1. Thinking of this customer group, to what extent do you agree with these statements? Please score out of 7, where 7 = 'strongly agree' and 1 = 'strongly disagree'.

Integration maturity

		Score 1–7
Q1	<i>Data integration:</i> We have integrated customer data across all products and channels, which gives us all the information we need on a customer	
Q2	<i>Communications integration:</i> We have a single person responsible for coordinating all inbound and outbound communications with each customer	
Q3	<i>Process integration:</i> Our processes for responding to each customer are joined up through the customer journey, so each step leads seamlessly to the next	
Q4	<i>Structure integration:</i> Our organizational structure encourages all staff to look after the interests of each customer holistically and grow their customer value	
Q5	<i>Metrics integration:</i> Our targets and reward systems encourage all staff to look after the interests of each customer and grow their customer value	
	Total:	
	Integration score – divide total by 5:	

Interaction maturity

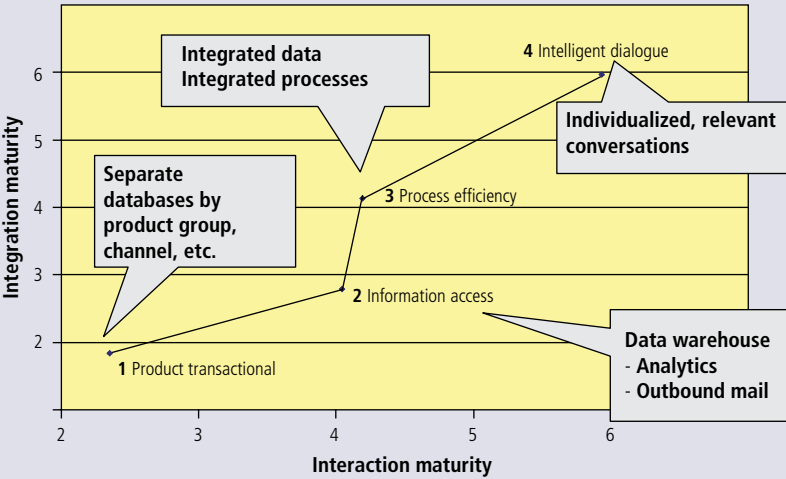
		Score 1–7
Q6	<i>Individualization:</i> Everything we say or write to customers is based on individual-level customer insight	
Q7	<i>Customer value orientation:</i> We understand the lifetime value of each customer and take this into account in all our dealings with them	

(Continued)

		Score 1–7
Q8	Customer centricity: We put our customers’ interests first when making sales or service propositions to them	
Q9	Dynamic interaction: What we say or write to customers depends on what the customer has said to us within the same dialogue	
Q10	Customization: We tailor our products and services to customers on the basis of individual customer insight	
	Total:	
	Interaction score – divide total by 5:	

Step 2. Plot your company/business unit on the grid below. Which stage are you nearest? Of course, all companies vary, so each stage is the centre of a ‘cluster’ and you may well be between stages, or stronger on integration than interaction or vice versa.

Step 3. The tables below list the aspects or dimensions of CRM maturity which we were asking about in the questions above. What do you think your company’s next steps could be to improve your CRM maturity? Choose two or three dimensions where you think you could improve your performance, and write how this might be achieved in the right-hand column.



Integration maturity

	Integration dimension	How we might improve
Q1	Data integration	
Q2	Communications integration	
Q3	Process integration	
Q4	Structure integration	
Q5	Metrics integration	

Interaction maturity

	Interaction dimension	How we might improve
Q6	Individualization	
Q7	Customer value orientation	
Q8	Customer centricity	
Q9	Dynamic interaction	
Q10	Customization	

Exercise 10.2. Designing a CRM project

1. Take one or more of your 'next steps' for CRM development, which you identified in Exercise 10.1. Develop a BDN for how you will achieve this greater level of CRM maturity. See the section 'Planning for CRM' for an example. You will need to work in conjunction with colleagues across marketing, sales, customer service and IT in order to develop this key project management tool.
2. Now identify who is responsible for each box on the network. Note that it is not realistic for an IT director to be responsible for business changes that fall outside of the IT function!
3. Now develop a measure for success for each box on the network. How will you know when objectives have been reached? When benefits have been delivered?
4. Finally, set up a project team to implement the project. Use the BDN to track not just whether each step in the project plan is achieved on time and to budget, but crucially, whether the intended benefits are being achieved. Only declare project success when this has happened.

Exercise 10.3 Simulation practice

In your game:

- a. What are the key needs of digital music customers? How are these changing? Are there any needs missing?
- b. What would a good, automated contact strategy look like for your company? How would this be different for different customers and products? Add the most important insights to the Digital Marketing Tactics sheet in the Marketing Plan.
- c. How strong is the customer value orientation for your company? i.e. which customer sectors make up the majority of your profits? Is this likely to change in the future?
- d. How customer centric is your strategy? Have you developed propositions that are right for the customer, even if these are not traditional strengths of your brand?
- e. If you had to develop a CRM Plan for your company, what would be its key points?

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Chapter



THE PRICING PLAN

SUMMARY

- Cost-plus pricing approaches and their dangers
- Portfolio management, lifecycle analysis, product positioning and pricing implications
- Costs as an input to pricing decisions
- Pricing for channels
- Gaining competitive advantage through value-in-use
- How to prepare a pricing plan
- Exercises to turn the theory into practice

INTRODUCTION

Those readers who believe they already know enough about pricing can go straight to Chapter 12.

The first important point to be made about the pricing plan is that very rarely is there a pricing plan in a marketing plan!

The reason is not too hard to find. Promotion, in all its various forms, can be managed and measured as a discrete subset of the marketing mix. So too can marketing channels. But while the product itself, the price charged, service elements and communication strategies are all part of the 'offer' which is made to the customer, price itself is such an integral part of the offer that it is rarely separated out and put into a plan of its own.

It is more common to find objectives for a certain group of products or for a particular group of customers, with a pricing strategy attached to it in whatever detail is necessary to indicate what the pricing policy is expected to do to help the company achieve its marketing objectives.

However, we have chosen to address the issue of pricing as a separate element of the marketing mix because this is the only sensible way that all the complex issues relating to pricing can be discussed. We shall, then, refer throughout to a pricing plan as if the intention were to write a separate pricing plan, although it will be structured in such a way that the elements of pricing can be integrated into the individual product/segment plans as appropriate.

The same could, of course, be said for each of the other elements of the marketing mix discussed in this book. How they are all integrated into a total plan is discussed in detail in Chapter 13.

PRICING AND ACCOUNTANCY

Many people know the story told on pricing courses of the conversation between the restaurateur who decides to put a peanut rack on the side of the bar and his accountant expert. Essentially the plan is to sell peanuts for £1 a bag, the cost price being 30p.

Unfortunately, the accountant insists that the restaurateur must allocate a proportion of overheads into the peanut operation, including rent, heat, light, equipment, depreciation, decorating, salaries, the chef's wages, window washing, soap, and so on. These allocated costs, plus a rent for the vacant amount of counter space, amount to £5,200 a year which, on the basis of a sales level of 50 bags of peanuts a week, amount to £2 per bag, so demonstrating that, at a selling price of £1 per bag the restaurateur would be losing £1.30 on every bag!

Many readers will appreciate the feelings of this imaginary restaurateur and will readily agree that nowhere in an organization are the seeds of potential strife more firmly sown than in the interface between accountants and marketing people, particularly when it comes to pricing issues. Often, however, both parties are equally to blame.

Accountants often fail to understand the essential role that marketing plays in an organization. Many accountants know quite a lot about business in general, but very little about marketing, and what little is known tends to be somewhat jaundiced.

Somehow, marketing is seen as a less worthy activity than the act of producing goods for society. Marketing's more vocal activities, such as television advertising, are not seen in their total perspective, and it is not always easy to understand the complex decisions that have to be made about an activity that is concerned essentially with human behaviour rather than with things that can be conveniently counted. There is, alas, also the issue of marketers who are unprofessional in the way they manage the marketing function. An exercise we regularly conduct in executive development courses with non-marketers confirms the low regard in which marketing people are held. So the blame lies just as much on the side of marketers.

For their part, those marketing people who fail to understand both the financial consequences of their decisions and the constraints of money on their decision making have only themselves to blame for the inevitable internecine disputes that arise.

One area where it all bubbles to the surface is pricing. Our intention here is to explain pricing from a marketing point of view, while still recognizing the financial constraints and implications that accountants face. For one thing is certain – any team comprising a financially alert marketer and a marketing-orientated accountant will make formidable opposition in any market. 'Demand exists only at a price', so price is an important determinant of how much of a certain product will sell, although it is obviously not the only factor involved. Given its importance, both as an element in the overall marketing mix, and as a major factor in determining profitability, it is somewhat surprising to find just how haphazard the pricing policy of so many companies is. More sophistication might be expected.

The pricing decision is important for two main reasons: price not only affects the margin through its impact on revenue; it also affects the quantity sold through its influence on demand.

In short, price has an interactive effect on the other elements of the marketing mix, so it is essential that it is part of a conscious marketing scheme, with objectives that have been clearly defined.

Although in some areas of the economy pricing may be determined by forces that are largely outside the control of corporate decision makers, prices in the marketplace are normally the result of decisions made by company management. What should the decision be, however, when the accountant wants to increase the price of a product in order to maximize profitability, while the marketer wants to hold or even reduce the net selling price in order to increase market share? The answer would appear to be simple. Get the calculator out and see which proposal results in the biggest 'profit'.

One thing is certain. Any team comprising a financially alert marketer and a marketing-orientated accountant will make formidable opposition in the marketplace.

But there are some nagging doubts about the delightful simplicity of this approach.

In order to introduce a structured consideration of such doubts, let us first quote in full the Boston Consulting Group on the issue of the almost defunct British motorcycle industry:

"The fundamental feature is its emphasis on model-by-model profits made. It is seen as essential that throughout the lifecycle, each model, in each market where it is sold, should yield a margin of profit over the costs incurred in bringing it to the market. With this as the primary goal, a number of subsidiary policies follow:

1. Products should be up-rated or withdrawn whenever the accounting system shows they are unprofitable. Unfortunately, the accounting system will be based on existing methods of production and channels of distribution, not on cost levels that could be achieved under new systems and with different volumes.
2. Prices are set at levels necessary to achieve profitability and will be raised higher if possible.
3. The cost of an effective marketing system is only acceptable in markets where the British are already established and hence profitable. New markets will only be opened up to the extent that their development will not mean significant front end expense investment in establishing sales and distribution systems ahead of sales.
4. Plans and objectives are primarily orientated towards earning a profit on this existing business and facilities of the company, rather than on the development of a long-term position of strength in the industry.

These are the policies that led to the British industry's low and falling share of world markets, to its progressive concentration on higher and higher displacement models. What is more, profitability, the central short-term objective to which these policies have been directed, has in fact deteriorated in the longer term to levels that now call into question the whole viability of the industry."

We now know, of course, that the British motorcycle industry is, to all intents and purposes, dead, and the above viewpoint of the Boston Consulting Group about pricing and profits must be seriously considered at least as a contributing factor.

In contrast, the typical Far East manufacturer makes dedicated efforts to increase its market share, and will often achieve this by cutting its prices, despite the possible short-term penalties of doing so. In other words there has tended to be a recognition of the pay-off in the longer term from the sacrifice of short-term profitability.

However, there remain some serious doubts even about this point of view. It is a well-known fact that manufacturers and retailers alike have begun to question the value of price cuts, especially when, against a background of falling profitability, research shows that the average shopper, far from having a precise knowledge of prices, has only a general understanding of and feeling towards value and price.

The idea of a price cut, of course, is to increase the quantity sold, as shown in Figure 11.1. The aim is for area B ($p_2 \times q_2$) to be bigger than area A ($p_1 \times q_1$). Additionally, increased volume should lead in theory to cost reductions through the experience effect (explained in Chapter 5). However, what often happens is that market sales do not increase enough to balance revenue and costs, with the result that profitability declines. The result is shown in Figure 11.2, area B being less than area A. In this scenario, revenue has reduced, so given the cut in prices

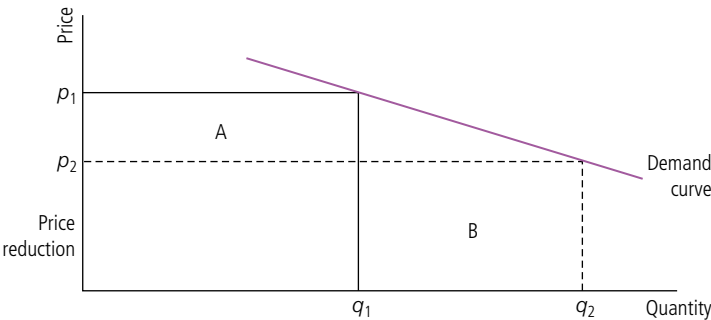


Figure 11.1: The intended effect of a price cut – greater revenue.

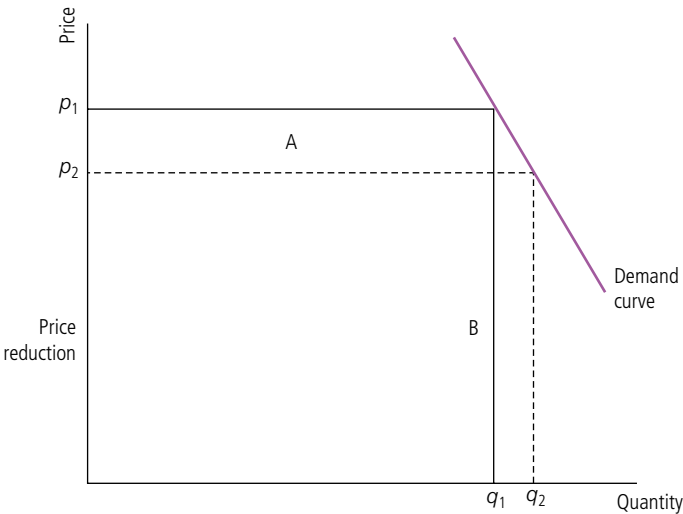


Figure 11.2: The common effect of a price cut – reduced revenue.

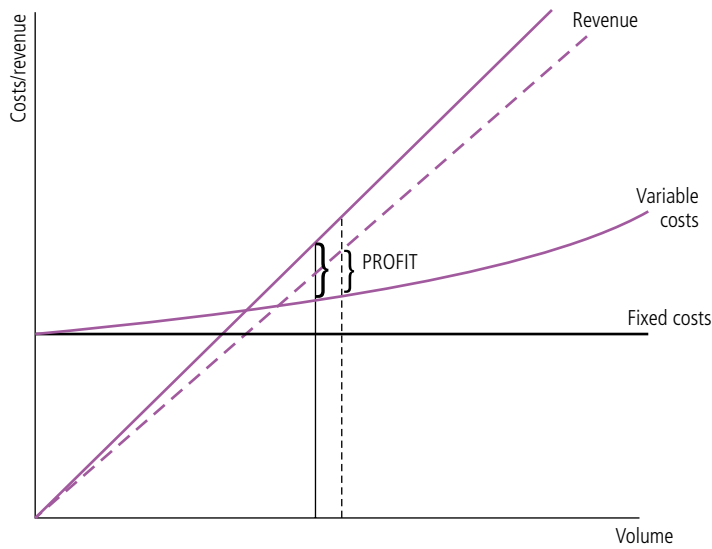


Figure 11.3: How a small reduction in margins can drastically reduce profit.

and, therefore, margins, profitability has reduced even more. It is expressed in another way in Figure 11.3.

This brings into focus the question of time, for the shape of demand curves changes over time, depending on a number of factors. There can be little merit in accepting profit reductions in the long as well as the short term.

It is appropriate, then, to begin to introduce those factors that should be taken into account when trying to resolve the question raised earlier of whether the objective for pricing should be to increase profitability or to increase market share. These factors are:

- objectives (corporate and marketing) and the product portfolio
- the product lifecycle
- the product's position in the market
- competitors
- potential competitors
- costs (own and competitors')
- channels of distribution.

OBJECTIVES AND THE PRODUCT PORTFOLIO

Unfortunately, many arguments within firms about pricing take place in the sort of vacuum created when no one has bothered to specify the objectives to which pricing is supposed to be contributing.

We know now that it is important that a company should have a well-defined hierarchy of objectives to which all its activities and actions, including pricing, can be related. For example, corporate objectives may well dictate that the generation of short-term profits is a requirement. (This may well be due to a particular business unit's position in a matrix vis-à-vis other units in

the same corporation. For example, a group decision may have been taken to invest heavily in one business unit's growth and to fund this growth from one of their 'cash cow' units elsewhere in their portfolio.)

Conversely, it may well be that a product is a 'star', which the company has chosen to invest in. This might result in a strategy to grow market share today in order to take profits tomorrow, and the pricing strategy would seek to achieve this.

The setting of marketing objectives for any particular product, then, is without doubt the starting point in any consideration of pricing.

PRODUCT LIFECYCLE

The importance of the product lifecycle in determining marketing objectives has already been stressed. For example, for a product estimated to be in the maturity stage of a lifecycle, with only a short time to run, it would probably be unwise to set market share growth as a marketing objective.

The role of pricing will change over a product's lifecycle.

Profit contribution would probably be a more appropriate goal, providing of course market share did not slip to a point below which it would jeopardize the company's ability to introduce a new or replacement product.

It will be remembered that when the market reaches saturation level, we could well have a very profitable 'cash cow' on our hands for many years to come.

It is also important to stress that the role of pricing will change over a product's lifecycle. For example, during the high growth phase in the product lifecycle, price tends not to be the customer's primary consideration, since demand is growing at such a rapid rate and it is still relatively new. Here there are plenty of profit opportunities, which have to be carefully balanced against market share considerations.

It is important, then, not to write one's pricing policy on 'tablets of stone'.

On the other hand, if there is estimated to be plenty of life left in the product, it can often make a lot of sense to reduce the price in order to maintain market share.

MARKETING INSIGHT

There was a period when the policy of Woolworths of Australia was to enter a market later in the product's lifecycle, to price very low, and to promote heavily. However, lifecycle analysis indicated to the company that it unwittingly bought some products early in the lifecycle, to which they applied exactly the same pricing strategy. They quickly realized that they were giving profits away unnecessarily and from then on began to be more thoughtful about pricing, devising pricing policies that were appropriate to the product's progress through the lifecycle.

PRODUCT POSITIONING

The meaning of the term ‘product positioning’ was explained in Chapter 3. For pricing, it is a highly relevant concept.

It is clearly foolish, for example, to position a product as a high-quality, exclusive item, and then to price it too low.

Price is one of the clearest signals customers have of the value of the offer that a company is making them, and there has to be a sensible relationship between the two.

Three simple examples will suffice to illustrate this point.

MARKETING INSIGHT

One company launched a new pure juice smoothie on the market after tests had indicated an overwhelming acceptance by consumers. When sales fell far short of expectations, research indicated that consumers simply did not believe that the claims on the bottle about the product could be true at such a low price. So the company doubled the price and relaunched it, and it was a resounding success.

MARKETING INSIGHT

Likewise, some tertiary educational establishments claim their courses are the best in the world, then charge lower prices than their competitors. Research indicates that for directors and very senior managers in industry, a low price is more likely to be counterproductive because in this particular product field it is considered to be an indicator of quality.

MARKETING INSIGHT

Middle-class parents will often pay for individual tutorials to help their teenagers get into the best university they can. One tutorial college supports students with a typical package of individual coaching and application support, and targets applicants to elite universities such as Harvard and Oxford in particular. To buy such a service at self-employed tutors’ typical hourly rates might cost \$1,000. The firm instead prices its service at around eight times that. And it adds a ‘success fee’ if the student gets into their first-choice university on top. This signalling of quality – along with smart offices, a smart website, and smart, well-vetted tutors – provides plenty of demand.

Product positioning, then, is another major consideration in the pricing decision.

COMPETITION AND POTENTIAL COMPETITION

In spite of product positioning, most products have competitors, and it goes without saying that these must be carefully considered.

It is true, of course, that what are referred to derisively as ‘pimplly little me-too products’ cannot in most circumstances be expected to succeed if they are priced higher than competitive products. It is also true, in such circumstances, that if price is a principal determinant of demand, being higher priced is unlikely to be the right strategy.

This brings into sharp focus again the whole question of product positioning and market segmentation. It will be clear that, wherever possible, a company should be seeking to blend the ingredients of the marketing mix in such a way that their ‘offer’ to the customer cannot be compared directly with anyone else’s ‘offer’. For, if two offers can be directly compared, it is obvious that the one with the lowest price will win most of the time.

If two products are the same, it is obvious that the one with the lowest price will win most of the time.

Nonetheless, competitive products, in all their forms, clearly have to be taken into account in the pricing decision, as indeed do potential competitors.

Some firms launch new products at high prices to recover their investment costs, only to find that they have provided a price umbrella to entice competitors, who then launch similar products at much lower prices, thus moving down the experience curve quicker, often taking the originating company’s market away from them in the process. A lower launch price, with possibly a quicker rate of diffusion and hence a greater rate of experience, may make it more difficult for a potential competitor to enter the market profitably.

COSTS

Another key factor for consideration is costs – not just our own costs, but those of our competitors as well. There are many cost concepts, and this is not the right medium to go into any detail. However, the two most common cost concepts are marginal costing and full absorption costing.

The conventional profit-maximizing model of economists tends to indicate that a price should be set at the point where marginal cost equals marginal revenue, that is, where the additional cost of producing and marketing another unit is equivalent to the additional revenue earned from its sale. The theory is indisputable, but in practice this procedure is difficult, if not impossible, to apply. This is largely because the economists’ model assumes that price is the only determinant of demand, whereas in reality this is rarely the case.

In practice, the costs of manufacturing or providing a service provide the basis for most pricing decisions, that is, a ‘cost-plus’ method. However, as the example given earlier indicates, the trouble with most such ‘cost-orientated’ pricing approaches is that they make little attempt to reconcile what the customer is prepared to pay with what it costs the company to be in business and make a fair return on its investment of resources.

An example of the ‘cost-orientated’ approach is when a company targets for a certain return on costs, that is, the company will set itself a target level of profits at a certain projected level of sales volume. In fact, this type of approach uses a simple form of ‘breakeven’ analysis, as depicted in Figure 11.4.

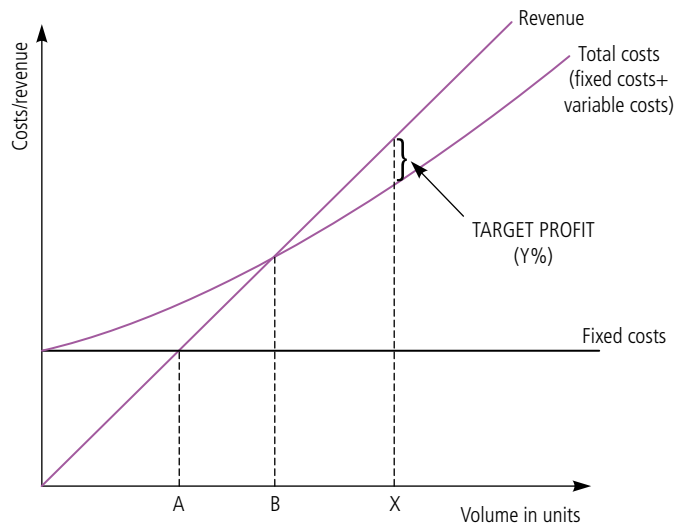


Figure 11.4: Pricing based on a target return on costs.

In the diagram, fixed costs are shown as a straight line and all other costs are allocated on a cost-per-unit basis to produce an ascending curve. At point A, revenue covers only fixed costs. At point B, all costs are covered and any additional sales will produce net profit. At point X, Y per cent target profit is being achieved. Obviously, the major problem with such an approach to pricing is that it tends to assume that at a given price a given number of products will be sold, whereas, in reality, the quantity sold is bound to be dependent to a certain extent on the price charged. Also, this model assumes a breakeven point, whereas in most companies the best that can be said is that there is a breakeven area at a given level of production. It is, however, quite useful for helping us to understand the relationship between different kinds of costs.

By far the most common way of setting price is to use the cost-plus approach, arriving at a price that yields margins commensurate with declared profit objectives.

When making a pricing decision, it is wise to consider a number of different costing options, for any one can be misleading on its own, particularly those that allocate fixed costs to all products in the portfolio. Often the basis of allocation is debatable, and an unthinking marketer may well accept the costs as given and easily make the wrong pricing decision.

For example, in difficult economic times, when cost savings are sought, unprofitable products are eliminated from the range. Unprofitable products are identified by the gross or net margins in the last complete trading year, and also by estimates of these margins against estimated future sales. However, because conventional cost accounting allocates the highest costs to high-volume products, they show lower margins, so sometimes these are sacrificed. But product elimination often saves only small amounts of direct costs, so the remaining products have to absorb higher costs, and the next profitability crisis appears. Product elimination also reduces the scale of operations, as well as reducing the product mix, so there is less incentive to invest and the company is less competitive. This approach may be repeated several times under successive management teams and sometimes leads to the demise of the company.

Andrew Lorenz, writing in the *Financial Times*, used the expression ‘anorexia industrialosa’ for this process, which describes an excessive desire to be leaner and fitter, leading to total emaciation and eventually death!

This is not intended to be an attack on any kind of total average costing method. Our intention here is merely to advise caution and a broader perspective when using any kind of costing system as a basis for pricing decisions.

Finally, some account has to be taken of our competitors’ costs and to try to understand the basis of their pricing policies. For, clearly, everything that has been said so far about pricing applies as much to them as it does to us.

Whatever your pricing problem, however, you will never go far wrong if you sit alongside your accountant and discuss all these issues.

CHANNELS OF DISTRIBUTION

Conventional pricing theory does not help much in determining one’s policy towards margins for distributors and agents. The intermediaries which constitute a particular marketing channel perform a number of functions on behalf of the supplier, which enables the exchange transaction between producer and end customer to be fulfilled. In return for their services, these intermediaries seek to be rewarded; this reward is in effect the ‘margin’ between the price of the goods or service products (such as financial products) on leaving the factory or its service equivalent, and the price the consumer pays. However, the total channel margin may have to be shared between several intermediaries and still reach the end customer at a competitive price. Intermediaries, therefore, live or die on the economics of their respective operations. The ideal reward structure in the marketing channel is to ensure that an acceptable rate of return on investment is earned at each level; this situation is often not achieved because of the imbalances of bargaining power present.

There are a number of devices available for rewarding channel intermediaries, most of which take the form of discounts against a nominal price list. These include:

<i>Trade discount</i>	This is discount given against the price list for services made available by the intermediary, e.g. holding inventory, buying in bulk, redistribution, etc.
<i>Quantity discount</i>	A quantity discount is offered to intermediaries who order in large lots.
<i>Promotional discount</i>	This is the discount given to distributors to encourage them to share jointly in the promotion of the product(s) involved.
<i>Cash discount</i>	For example, in order to encourage prompt payments of accounts, a cash discount of around 2.5 per cent for payment within 10 days might be offered.

In the situation where there is a dynamic marketing channel, there will be constant pressure upon suppliers to improve margins. Because of these pressures, the question of margins should be seen at a strategic as well as at a tactical level. This whole area of margin management can be viewed as a series of trade-off type decisions, which determine how the total channel margin

should be split. The concept of the total channel margin is simple. It is the difference between the level of price at which we wish to position our product in the ultimate marketplace and the cost of our product at the factory gate, or the internal transfer cost paid for service provision. Who takes what proportion of this difference is what margin management is about. The problem is shown in Figure 11.5.

It will be seen that the firm's channel requirements will only be achieved if it either carries them out itself or goes some way towards meeting the requirements of an intermediary who can perform those functions on its behalf. The objective of the firm in this respect could, therefore, be expressed in terms of willingness to trade off margin in order to achieve its marketing goals. Such a trade-off need not lead to a loss of profitability; indeed as Figure 11.6 suggests, the margin is only one element in the determination of profitability, profitability being defined as the rate of return on net worth (net worth being share capital and capital reserves plus retained profits).

It can be seen that by improving the utilization of capital assets (capital management) as well as by using a higher gearing, it is possible to operate successfully on lower margins if this means that marketing goals can be achieved more effectively.

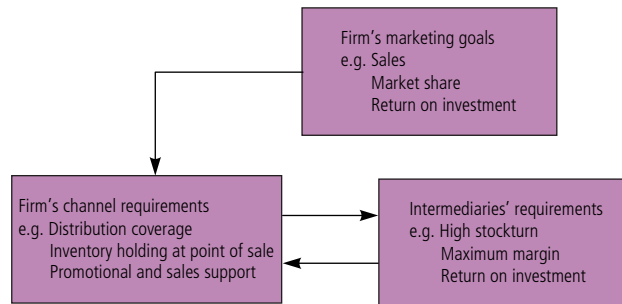


Figure 11.5: The trade-offs affecting channel margins.

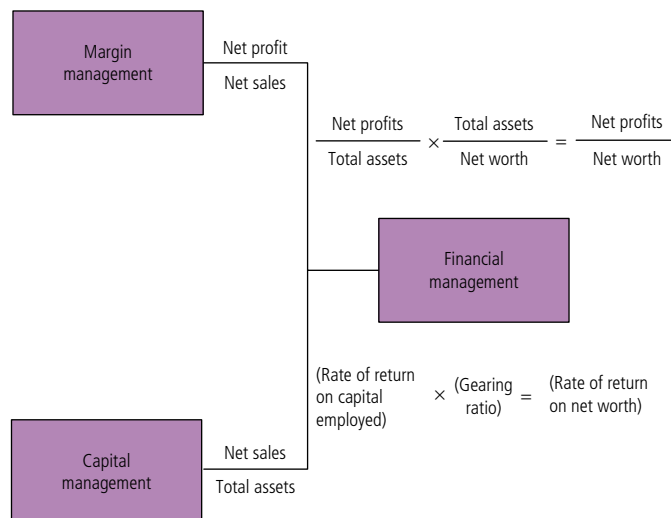


Figure 11.6: Why margins are only one contributor to the return on net worth.

From the foregoing, it becomes apparent that the question of margins (both the margin retained by the firm and thus by implication the margin allowed the distributor) cannot be examined without consideration of the wider implications of overall marketing strategy and the financial policy and capital structure of the firm.

As a general rule, however, a firm should not give away its profits to an agent or distributor. Rather, it should give away only the costs it saves by using an intermediary.

DIGITAL MARKETING INSIGHT: DIGITAL PRICING OPTIONS

Since the advent of e-commerce, the potential for many new pricing options was apparent. However, many of these innovative options have not stood the test of time. Some of these approaches are not now widely used. Online pricing options include:

- **Digital channel discounts.** This approach was originally popular for multichannel businesses to encourage adoption of digital channels, which typically have lower costs of sale. For example, low-cost airline easyJet initially offered lower cost tickets when booked online to encourage customers to book and service bookings using the web channel. Many retailers offered exclusive online pricing. In financial services, some incumbent banks offered digital specific propositions for online savings accounts, for example. Mobile app-based banks such as Starling, Revolut and Mondo will often offer more competitive rates for loans and savings than incumbents since their operational costs are much lower.
- **Personalized pricing.** Retailers can potentially serve different prices to customers based on propensity or lifetime value models. Amazon used customized pricing in some tests, but once customers became aware of differential pricing, it caused negative publicity, so this approach isn't widely used nowadays in consumer markets.
- **Group buying.** This was initially pioneered at the height of dot.com experimentation by Let's Buy It.com, which closed in 2001. Although the concept of bulk discounts was appealing, the approach did not prove practicable. Groupon has used a similar approach based on discounts, often of remaindered stock provided by brands. Brands can also use platforms available in some sectors – for example, SportsPursuit.com has over 7 million members worldwide who joined for free to get access to discounted prices. It is an online model similar to that of TKMax, but made available in one sector.

Of these options, the digital channel discounting approach is still used, but the goal of most multichannel businesses is to facilitate purchase integrating the web store with offline channels through approaches such as Click and Collect. This requires the same price both in store and online. Dixons Carphone Warehouse, for example, sells through multiple channels with uniform pricing. It facilitates this through an app and e-commerce sites, which allow its users to search for products by keyword or bar codes, get instant pricing information, up-to-the-minute stock availability, and also shop and manage orders and their accounts.

- **Dynamic pricing** is also facilitated online, but it tends to be used in sectors where the services lend themselves to this, such as travel, holiday and entertainment ticketing, where pricing can be dynamically changed based on demand for services and competition.^{1,2} For example, Trivago, a global hotel metasearch service, is able to track and record rate fluctuations and pricing trends of over 5 million hotels and alternative accommodation from hundreds of booking sites.

GAINING COMPETITIVE ADVANTAGE THROUGH VALUE-IN-USE

The final consideration in pricing relates to the design of the product or service. It stems from the observation that customers do not obtain value at the factory gate, but at the moment when a product is used to achieve the customer's goals – that is, when 'value-in-use' is obtained.³⁻⁶ Similarly, services such as training do not deliver value at the moment of service delivery, but later when the training is applied in the student's job. If customers achieve higher value-in-use they will be prepared to pay a higher price – even if the core product or service looks similar.

The lesson is that before settling on a pricing strategy, it is worth considering carefully what the customer's goals in using the product or service are, and whether these can be better realized than the competition through such techniques as guarantees, service standards, advice to the customer on their usage processes, and so on. Examples abound; three will make the point.

MARKETING INSIGHT

There are not many more price-sensitive businesses than cleaning of business premises. Poorly paid staff and the cheapest of supplies are the norm in order to win price-dominated tenders. Yet one company, the memorably named Bugs Burger Bug Killers, found it could commonly charge 100 per cent more than the competitors and still get the business. How? By making a promise not about the service attributes at the moment of service delivery – who would clean the buildings, when, what they would do – but about the value-in-use the customer would get. Here is an extract from their promise to their restaurant and hotel clients for their 'pest extermination' service:

You don't owe a penny until all the pests on your premises have been eradicated. If you are ever dissatisfied with BBBK's service you will receive a refund for up to 12 months' services, plus fees for another exterminator of your choice for the next year. If a guest spots a pest on your premises, BBBK will pay for the guest's meal or room, send a letter of apology and pay for a future meal or stay. If your facility is closed due to pests, BBBK will pay any fines, as well as all lost profits, plus \$5,000.

Customers are prepared to pay considerable sums for a transfer of risk of this sort. Naturally it needs to be carefully costed, but the company was confident that this proposition would only cost a few per cent of revenue based on past records – far outweighed by the extra price premium.

MARKETING INSIGHT

Another business where attention to price is key is providing automation equipment into factories. There is fierce competition for the equipment purchases themselves, and just as tough a fight to get and keep maintenance, repair and operation (MRO) contracts. One large US-based manufacturer has found that it can gain significantly improved market share and, importantly, build longer-term relationships, which can lower costs for both parties, in the face of low-cost Far Eastern competition. It is doing this by focusing not just on its own products and services but on redesigning the customer's factory operations processes. Its aim is not to sell good equipment or efficient service, but to sell more efficient factories. One blue-chip client studied in depth by Macdonald, Kleinaltenkamp and Wilson⁷ reported that a production line, which was previously running at 35 per cent operating efficiency, was now running at 85 per cent operating efficiency. Millions of dollars of obsolete stock was taken out of stores through a redesign of the spares ordering process. Factory managers had more time to focus on more strategic issues. And if things did go wrong, they had someone to blame, a genuine benefit as far as these purchasers were concerned! While the supplier found that margins were still modest, it was at least able to protect them from head-on price competition, as competitors were some way away from being able to offer a similar proposition. The firm is achieving growth in revenue, profits and capitalization considerably ahead of its country's stock market average.

From these and other examples, the 'rules' for gaining competitive advantage through value-in-use can be listed as follows:

1. *Understand the value-in-use required by customers.* This cannot simply be done by satisfaction surveys, which obsess on the boundary between the firm and the customer, not on the customer's end goal: the quality of the performing, rather than whether the young man had a successful date! Rather, it is necessary to interview some customers in depth, continually asking why they care about a particular feature of a product or service, to establish the 'value-in-use' which they seek. While some specialized market research techniques are available for this, such as repertory grid,⁸ some common-sense interviewing can achieve much. Options for recrafting the value proposition to maximize value-in-use then include the following.
2. *Design products and services to reduce lifetime costs.* Customers are often willing to pay a considerably higher initial price for a product with significantly lower post-purchase costs – particularly if the supplier is prepared to contract on the basis of these lifetime costs. Such a transfer of risk should not be undertaken lightly, but if properly costed, the price premium may outweigh the cost implication considerably.
3. *Expand value through functional redesign* – for example:
 - A product that increases the user's production capacity or throughput.
 - A product that enables the user to improve the quality of reliability of their end product.
 - A product that enhances end-use flexibility.
 - A product that adds functions or permits added applications.

- A service with higher post-service value: for example, for a business school, the quality of the alumni network and ongoing career assistance is as important as the teaching during an MBA.
 - A service with higher experiential value: a holiday designed with careful attention to end-to-end experience from the moment of booking to the moment of coming back home, so the journey home does not undo all the relaxation of the holiday!
4. *Expand incremental value by developing associated intangibles* – for example, ‘prestige’, financing or access to experts.
 5. *Expand value-in-use by redesigning the customer’s usage processes*. If we take responsibility not just for our products and service delivery but also for the customer’s processes, we can expand the creative space for finding differentiation to counteract price pressures. This was evident from the case of the factory equipment manufacturer: a key part of its proposition was to advise its customers on how to organize their own maintenance operation – often with the aid of a full-time employee situated at the customer’s site.

MARKETING INSIGHT

Hotel questionnaires focus on service attributes: the cleanliness of the room, the helpfulness of the staff, food quality. But what is the value-in-use sought by hotel customers? One luxury hotel chain found, with help from one of the authors, that the answer is largely emotional: feeling relaxed, safe and, above all, special. The research uncovered all sorts of ways in which feeling special could be enhanced. And this benefit could be promoted, too, making the firm’s communications stand out strongly. The chain is growing strongly.

MARKETING INSIGHT

It is ever harder to create and patent ‘blockbuster drugs’ which are so superior to their generic competitors that health customers are willing to pay for them. One of the ways pharmaceutical companies can compete is through service redesign – redesign not of their processes but of their customers. One company has worked with some pilot hospitals to redesign their treatment processes for outpatients within its therapy area. The effect is a higher throughput of patients, reduced waiting times, better compliance of patients with their treatment regimes and hence better outcomes. Other hospitals are keenly interested to hear from the company’s salespeople about these projects – a far cry from the sinking feeling that many medics report when the rep turns up! This approach is helping to maintain a price differential, and gives the company the interesting strategic decision as to whether to start charging for these services separately.

These rules will not, of course, avoid the need for creativity from marketers in how to increase the value perceived by the customer. But we find that for mature marketers with a good knowledge of the target market, simply to ask the question of what the customer’s ultimate goals or objectives are will often lead to creative solutions which outflank the competition and lead to price maintenance if not price premiums.

PREPARING THE PRICING PLAN

We have so far considered some of the main issues relevant to the pricing decision. We can now try to pull all of these issues together. However, let us first recapitulate on one of the basic findings which underpin the work of the Boston Consulting Group.

It will be recalled that, under certain circumstances, real costs reduce according to the accumulated experience of producing goods or delivering services. Figure 11.7 describes this effect. One of the implications of this is that unless a firm accumulates experience at the same or at a greater rate than the market as a whole, eventually its costs will become uncompetitive. Figure 11.8 illustrates this point.

In the light of this cost–experience effect, two major types of pricing strategy are a skimming policy or a penetration policy. It is easiest to consider these policies in the context of new product launches.

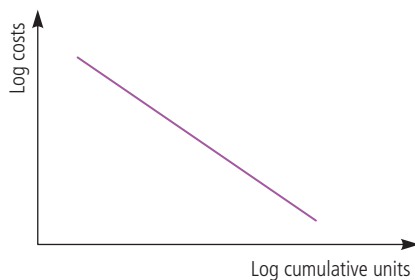


Figure 11.7: The cost–experience effect.

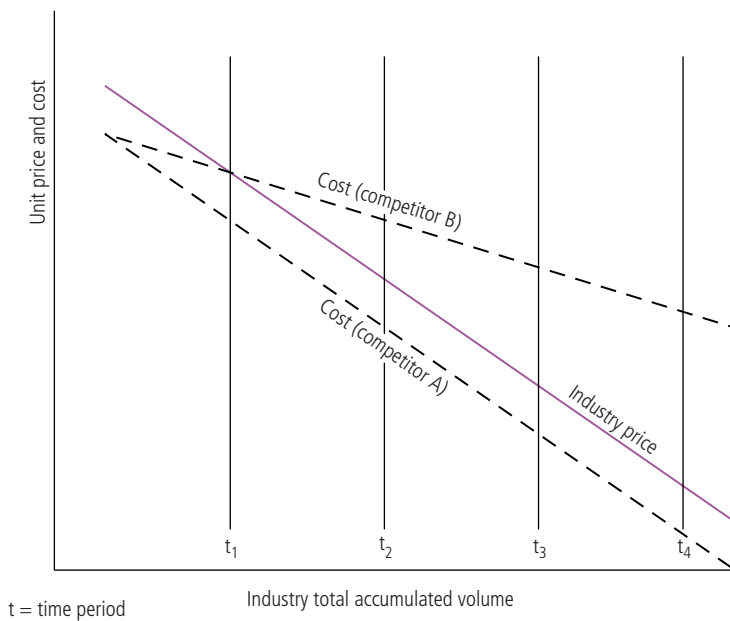


Figure 11.8: How the cost–experience effect impacts on competitiveness.

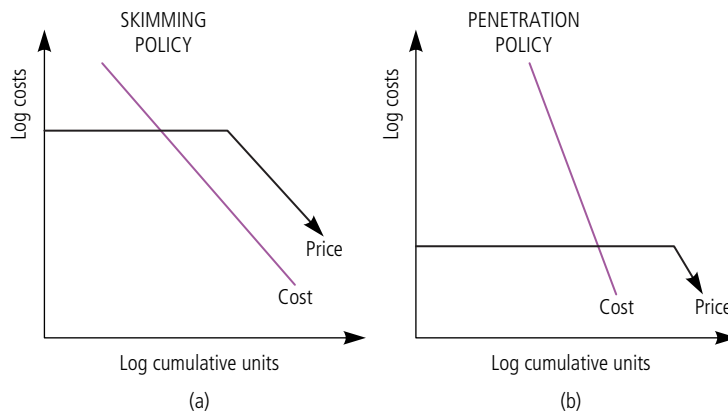


Figure 11.9: Skimming versus penetration pricing.

Essentially, a skimming policy is a high initial price, moving down the experience curve at a slower rate, while a penetration policy is a low initial price, with a much faster rate of product adoption, hence a steeper experience curve.

Both policies are summarized in Figure 11.9.

The circumstances favouring a skimming policy are:

1. Demand is likely to be price inelastic.
2. There are likely to be different price–market segments, thereby appealing to those buyers first who have a higher range of acceptable prices.
3. Little is known about the costs of producing and marketing the product.

The circumstances favouring a penetration policy are:

1. Demand is likely to be price elastic.
2. Competitors are likely to enter the market quickly.
3. There are no distinct and separate price–market segments.
4. There is the possibility of large savings in production and marketing costs if a large sales volume can be generated (the experience factor).

However, great caution is necessary whatever the circumstances and, apart from these, all the other factors mentioned above should also be considered.

In conclusion, it must be emphasized that the price charged for the product affects and is affected by the other elements of the marketing mix. It is a common mistake to assume either that the lowest price will get the order, or that we can sell enough of our product at a cost-plus price to give us the required rate of return.

The reality is that pricing policy should be determined after account has been taken of all factors that impinge on the pricing decision. These are summarized in Figure 11.10. The first part shows the discretionary pricing range for a company. The second shows those factors we should take account of in reaching a pricing decision.

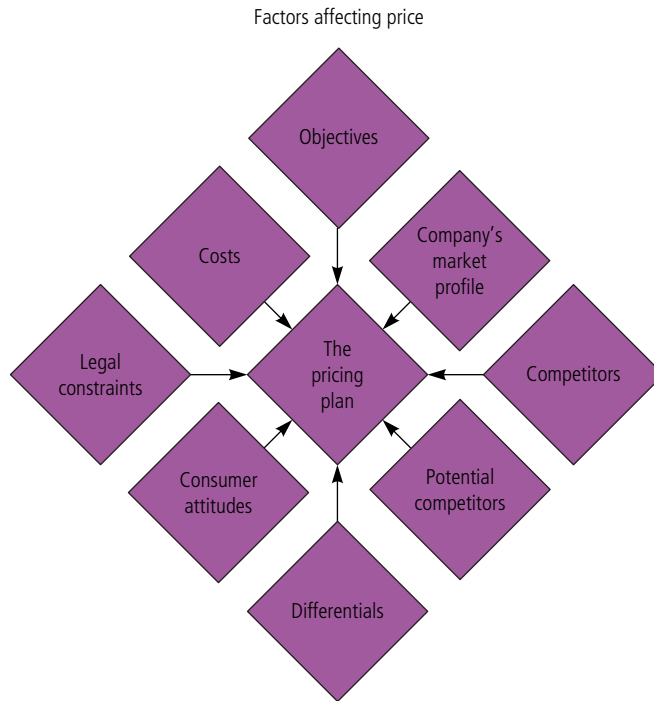
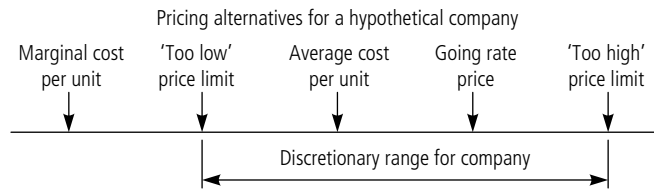


Figure 11.10: Factors impinging on the pricing decision.

APPLICATION QUESTIONS

1. When you last introduced a new product or service, how was the price established?
2. Was the pricing decision correct? What additional information could you have used to help you with the pricing decision? What would you do differently given the same circumstances?
3. Describe your pricing strategy for one of your major products. How does it compare with that of your major competitors?
4. Describe how you deal with pricing:
 - in times of high inflation, market stagnation or recession
 - at each phase in the product lifecycle.
5. During the past 10 years, what trends have occurred in margins in your industry? Are these trends acceptable? What policy has your organization got towards these trends?
6. Are trade margins justified? What is your policy towards trade margins?

CHAPTER 11 REVIEW

Reasons for a pricing plan

Pricing is a key part of the marketing mix and needs to be managed intelligently, in the same way as the other parts. Generally, pricing is included as part of product/segment plans and doesn't appear as a separate entity. This can disguise some of the complex issues to be found in pricing.

Cost-plus pricing

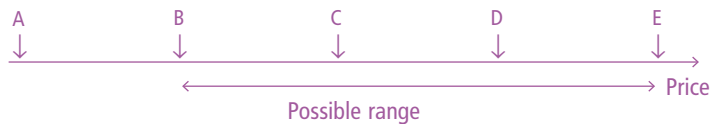
Traditionally, pricing has been the remit of accountants. Their concern was mainly about the impact of price on margin and hence revenue. The weaknesses of this approach are:

1. Product can be overpriced because of arbitrary loading of production and other overheads.
2. There is no room for strategic thinking.
3. Products can be eliminated from the range, regardless of their synergy with others.

In contrast, marketers look at price in terms of its influence on demand.

Competitive pricing

The possible pricing spectrum is:

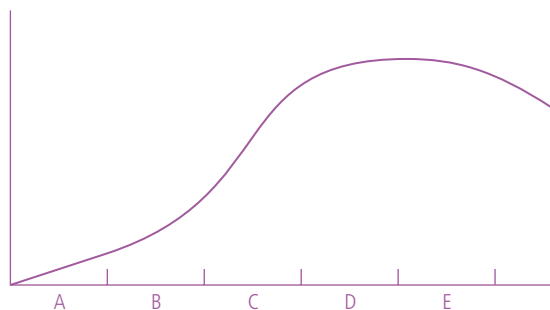


where

- A marginal cost per unit
- B lowest price limit in the market
- C average cost per unit
- D 'going rate' price in the market
- E top end price limit in the market

Try Exercise 11.1

Pricing and the product lifecycle



Try Exercise 11.3**Factors affecting price**

Price can be influenced by:

- marketing objectives
- the cost structure
- legal constraints
- consumer attitudes
- competition (direct)
- competition (substitutes)
- company/product image
- economic situation.

Try Exercises 11.4 and 11.5**Questions raised for the company**

1. Q: Is it possible to develop a sound pricing policy if one's costing is suspect?
A: While 'prices' and 'costs' are separate entities, it is essential that a company has an accurate costing system. Without this there is no point of reference to put pricing into perspective.
2. Q: What is the true price of a product?
A: Seen by the buyer it is purchase price, cost of introduction and cost of usage of the product or service; this can include training costs, maintenance, energy consumption, disruption costs, consumables, floor space, etc. However, these items can be a source of differential advantage over competing products, which in effect provides a 'better price' in real money terms.
3. Q: Is it better to price high or low?
A: It depends on a number of factors, such as market share, etc. It is as well to remember, however, that if you try to have the lowest price, someone will usually try to go even lower. This is a difficult battle to win.

EXERCISES

Clearly, pricing is a marketing 'tool' just as much as advertising, promotions and the use of the sales force. Moreover, it is generally easier and quicker to change a price than it is to alter an advertising campaign, revamp a sales promotion, or to deploy the sales force in a different manner.

Pricing decisions not only affect the revenue the company can earn, but also they influence demand, thereby making an impact on the quantities sold. Yet for all this, few companies have a pricing plan. Indeed, rather than a positive strategy, the very topic often becomes a battleground in a war of apparently conflicting interests between marketers and accountants.

Exercise 11.1 looks at how to set a competitive price for a product or service, taking into account a number of different factors that can have a bearing on the pricing decision.

(Continued)

Exercise 11.2 is concerned with selecting the price.

Exercise 11.3 provides some insights into the real impact of price discounts.

Exercise 11.4 provides some simulation practice.

Exercise 11.1 Setting a competitive price

This exercise will enable you to use pricing in a creative way, one which will support your marketing plan. It will use information from your marketing audit and a few new pieces of data to help you to arrive at a sensible pricing plan for your products or services.

It goes without saying that unless the company has an accurate costing system, one that realistically reflects its internal situation, then it will be impossible to establish anything like a sensible pricing policy. The reason for this will become self-evident as you provide the information requested below.

Figure 11.11 shows some key positions on the costing/pricing continuum. Taking just one of your company's major products or services, enter on the worksheet the actual figures that correspond to the numbers 1 to 5, in the positions marked in Figure 11.11, that is, the actual marginal cost, bottom end price limit, and so on.

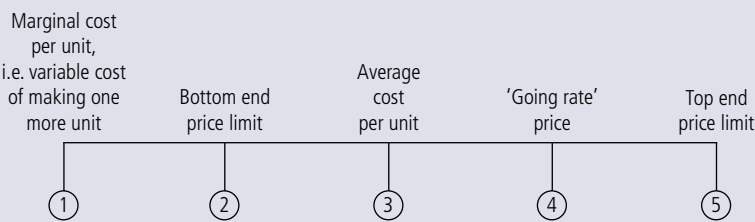


Figure 11.11: Some key positions on the costing/pricing continuum.

When considering the average cost please remember that costing systems that allocate fixed costs to all products in the range, while being popular, can produce some very misleading results, especially if the basis of cost allocation is somewhat arbitrary. Some products can never survive the cost load they have to carry. Knowing what the customer is prepared to pay for your chosen product or service (the going rate price), consider different costing options, with the objective of getting the average cost per unit as low as possible, thereby providing you with a wider range of pricing options.

Consider other products and services and repeat this process for them. The worksheet is useful in order to establish the range of discretion open to you, but the more important task will be to identify where exactly on this scale to select your price position.

Worksheet Cost price continuum (Exercise 11.1)

PRODUCT/SERVICE	1 Marginal cost per unit	2 Bottom end price limit per unit	3 Average cost per unit	4 Going rate price per unit	5 Top end price per unit
Example	£6.50	£8.50	£10	£13	£20

Exercise 11.2: Selecting the price

It can be shown that there are a number of factors that can influence your ultimate choice of price. These will be considered in turn.

Corporate objectives

If the corporate objectives dictate that it will be important to generate short-term profits for your chosen product or service, it would be reasonable to select a high price, somewhere between 4 and 5 on the scale established in Figure 11.11. Alternatively, if the aim is to extend market share, then a position between 3 and 4 would be more suitable.

You can see from this example that whatever the nature of the corporate or marketing objectives for your chosen product or service, it is possible to select a position somewhere on the scale which appears to be most appropriate. Select a position for your chosen product and record the price on the worksheet where indicated.

Worksheet Factors affecting price (Exercise 11.2)

	Example (based on example on preceding worksheet)	Prod. 1	Prod. 2	Prod. 3	Prod. 4
1 Corporate objectives	£18.00				
2 Portfolio matrix	£16.00				
3 Lifecycle analysis	£16.00				
4 Product position	£10.00				
5 Current competition	£12.00				
6 Potential competition	£10.00				
7 Channels of distribution	Not applic.				

(Continued)

	Example (based on example on preceding worksheet)	Prod. 1	Prod. 2	Prod. 3	Prod. 4
8 Differential benefits	£9.00				
9 Consumer attitudes	£9.00				
Total score	£100.00				
Number of factors	8				
Suggested price average	£12.50				

Portfolio matrix

It has been shown that a different marketing strategy would be required according to which quadrant 'housed' your chosen product. Generally speaking, this would mean that prices should be selected as follows:

1. 'Question mark' – price competitively to get market share.
2. 'Star' – price to maintain/increase market share.
3. 'Cash cow' – stabilize or even raise price.
4. 'Dog' – raise price.

With these guidelines in mind, select a position on the 1–5 scale for your product or service and again record the price on the worksheet.

Lifecycle

Your chosen product's position on its lifecycle will also be significant when calculating its price:

1. *Introduction stage* – either price low to capture market share or, if there is genuine novelty or innovation associated with the product, price high in recognition of its prestige value.
2. *Growth stage* – price low to get market share.
3. *Maturity* – as for growth stage.
4. *Saturation* – stabilize price, consider raising it.
5. *Decline* – raise price.

Using these suggestions, select a position for your chosen product on the 1–5 scale and, again, note the price on the worksheet.

Product position

Your price will have to take into account the marketing profile you are trying to establish for your chosen product. If yours is the biggest, the best, the most technologically advanced product, then your price ought to echo the fact. Similarly, if your target is just high-income customers, your price should reflect that exclusivity. The converse will be true

for downmarket economy models, where a lower price would be more consistent with the product position.

Carefully consider your product position and use your judgement to 'score' a position on the 1–5 scale. Record your choice of price on the worksheet.

Current competition

Analyse the prices charged by your competitors for their versions of your product or service. Will these influence your ultimate choice of price?

Where does this information suggest you position the price on the 1–5 scale? Enter your answer on the worksheet.

Potential competition

Another consideration you will have to take into account will be the extent to which your chosen price might either attract or repel competitors. Clearly, if you can get away with charging high prices and making correspondingly high margins, then it will not be long before others become interested in your sphere of business.

Estimate the price you can charge using the 1–5 scale as a reference. Note the selected price on the worksheet.

Channels of distribution

If your business is one where you need to use intermediaries to reach your customers, then, in return for their services, they will expect a reward in the shape of a 'mark-up' or margin on the goods. Thus, the price you charge at the factory gate has to be profitable for you, yet still allow the intermediary a fair margin without leading to an excessively high price for the ultimate consumer. What will this mean for your pricing decision?

Choose a position on the 1–5 scale and enter the price on the worksheet.

Differential benefits

If your product or service provides differential customer benefits, which your competitors do not provide, then you could justify a higher price and gain the reward from higher revenue. Your option for doing this might be limited by some of the other considerations above. For example, it might be better to use your product advantage to gain a larger market share. Nevertheless, if the benefit analysis you carried out in Chapter 3 suggests any room for manoeuvre on pricing, score the new choice on the 1–5 scale and enter the actual figure on the worksheet.

Consumer attitudes

Consumer attitudes to your particular product or service or to your company, because of its name and reputation, might also influence your ultimate choice of price. To what extent

(Continued)

will this be the case? Again select a price position on the 1–5 scale that you believe can be justified as a result of consumer attitudes to your product.

Record the price on the worksheet.

You have now looked at nine different factors that are known to influence pricing. These have been considered in isolation and a notional price position for your product has been calculated against each factor.

The price positions were established by using a cost–price continuum, with key positions numbered 1–5. The actual money value of each of these positions was calculated in the worksheet of Exercise 11.1.

The worksheet in this exercise is a record of the results you have attributed to the various pricing factors. You will now use this information in the following way:

1. Find the average price position for your product by adding up the column of prices and dividing it by the number of factors you used (an example is shown on the worksheet). This average figure would seem to be the 'best fit' when taking all the factors into account, and should, therefore, be selected as the price for your chosen product, unless, of course, there are other factors known to you which would militate against this decision.
2. Now repeat this process for other products/services.

Critique of example provided on worksheets

This approach to pricing raises many important issues. In the example provided it is quite evident that the corporate objectives are for the product to generate revenue. The positions on the portfolio matrix and lifecycle also appear to support this strategy of pricing high.

But look at some of the other factors. The product position would not appear to justify a high price, there seem to be few differential benefits and consumer attitudes are not very positive. In addition it looks as if the company will have to price below the 'going rate' if it is going to cope with the competition.

Result a compromise price of £12.50 per unit.

Moral if the company wants to price high, it must upgrade the product in terms of providing more differential benefits and work to improve customer attitudes.

Alternatively, or in addition, it should carefully re-examine the actual costs and its costing system and by doing so try to improve the margin that would be achievable at £12.50. By these means, it might well obtain results similar to its original objectives of pricing high.

Exercise 11.3: The use of discounts

To give a price reduction, which is really what a discount is, appears on the surface to be a fairly straightforward and easy-to-apply mechanism for stimulating demand. However, it is not always fully appreciated how many extra products have to be sold merely to break even, to get back to the original situation.

Here is a simple example. Suppose a company had sales of 100 units of a product per week, priced at £10. Thus, the total income was £1,000 and this yielded a profit of £200. The marketing director of the company decides that a 10 per cent reduction in price will stimulate a demand in sales. What new level of sales in units would have to be achieved to break even?

Write your answer here: _____

Probably this was how you calculated your figure:

	Units	Price	Total income	Profit
Original situation	100	£10	£1,000	£200

Since 100 units yielded £200 profit, profit per unit = £2. With price reduced to £9 (10 per cent reduction) new profit per unit = £1.

Therefore, new situation becomes:

	Units	Price	Total income	Profit
New situation	200	£9	£1,800	£200

Thus, the company would have to double its sale of units to maintain its existing profit level if it sold at the new lower price. Perhaps some questions would have to be asked about the feasibility of this happening.

To avoid having to make tedious calculations each time you contemplate making a price reduction, Table 11.1 provides an easy-to-use reference.

(Continued)

If you cut your price	And your present gross profit is							
	5%	10%	15%	20%	25%	30%	35%	40%
	You need to sell this much more to break even							
	%	%	%	%	%	%	%	%
1%	25.0	11.1	7.1	5.3	4.2	3.4	2.9	2.6
2%	66.6	25.0	15.4	11.1	8.7	7.1	6.1	5.3
3%	150.0	42.0	25.0	17.6	13.6	11.1	9.4	8.1
4%	400.0	66.6	36.4	25.0	19.0	15.4	12.9	11.1
5%	–	100.0	50.0	33.3	25.0	20.0	16.7	14.3
6%	–	150.0	66.7	42.9	31.6	25.0	20.7	17.6
7%	–	233.3	87.5	53.8	38.9	30.4	25.0	21.2
8%	–	400.0	114.3	66.7	47.1	36.4	29.6	25.0
9%	–	1,000.0	150.0	81.8	56.3	42.9	34.6	29.0
10%	–	–	200.0	100.0	66.7	50.0	40.0	33.3
11%	–	–	275.0	122.2	78.6	57.9	45.8	37.9
12%	–	–	400.0	150.0	92.3	66.7	52.2	42.9
13%	–	–	650.0	185.7	108.3	76.5	59.1	48.1
14%	–	–	1,400.0	233.3	127.3	87.5	66.7	53.8
15%	–	–	–	300.0	150.0	100.0	76.8	60.0
16%	–	–	–	400.0	177.8	114.3	84.2	66.7
17%	–	–	–	566.7	212.5	100.8	94.4	73.9
18%	–	–	–	900.0	257.1	150.0	105.9	81.8
19%	–	–	–	1,900.0	316.7	172.7	118.8	90.5
20%	–	–	–	–	400.0	200.0	133.3	100.0
21%	–	–	–	–	525.0	233.3	150.0	110.5
22%	–	–	–	–	733.3	275.0	169.2	122.2
23%	–	–	–	–	1,115.0	328.6	191.7	135.3
24%	–	–	–	–	2,400.0	400.0	218.2	150.0
25%	–	–	–	–	–	500.0	250.0	166.7

Example: Your present gross margin is 25 per cent and you cut your selling price by 10 per cent. Locate 10 per cent in the left-hand column. Now follow across to the column headed 25 per cent. You find you will need to sell 66.7 per cent more units.

Table 11.1: Effects of price reductions.

Exercise 11.4 Simulation practice

In your game, choose a key segment, sector or product line and review your marketing objectives set for it (see Exercises 5.4 and 6.6). With these in mind:

- a. Review the value proposition and assess the customer needs around pricing. Are they looking for a strong (low price needed) or weak (high price ok) price performance? How do these needs differ between segments and will they change at all?
- b. Understand your pricing customer gap and competitive gap. Are you below the customer needs but ahead of the competition? Are the competition catching up (becoming keener on price?)
- c. What insights do the SWOT, BCG, DPM, Ansoff, value maps, research reports, websites and our own marketing plan provide about the right price position?
- d. Adjust your value propositions accordingly.
- e. How do real digital music companies price their services? What digital pricing options do they use?

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Part Three

Marketing plans measurement and implementation

INTRODUCTION TO CHAPTERS 12–14

These chapters are crucial reading because they spell out how to prove financially that all the effort expended on marketing planning results in growth in sales and profits. They discuss some practical issues in making planning work, such as who develops marketing plans, and how this process should be coordinated with other planning processes in the firm. They also provide worksheets that can be used in the plans.

Chapter

12

IMPLEMENTATION ISSUES IN MARKETING PLANNING

SUMMARY

- The implications of size and diversity on marketing planning
- The role of the chief executive in marketing planning
- The role of the strategy or planning department in marketing planning
- Organizing for marketing planning
- The marketing planning cycle
- Marketing planning timescales and horizons
- Barriers to marketing planning and how to overcome them
- Exercises to turn the theory into practice

THE IMPLICATIONS OF SIZE AND DIVERSITY ON MARKETING PLANNING

Our research has exposed some of the many myths that surround marketing planning and spelled out the conditions that must be satisfied if any company is to have an effective marketing planning system.¹⁻⁶ These are:

1. Any closed-loop marketing planning system (but especially one that is essentially a forecasting and budgeting system) will lead to entropy of marketing and creativity. Therefore, there has to be some mechanism for preventing inertia from setting in through the over-bureaucratization of the system.

2. Marketing planning undertaken at the functional level of marketing, in the absence of a means of integration with other functional areas of the business at general management level, will be largely ineffective.
3. The separation of responsibility for operational and strategic marketing planning will lead to a divergence of the short-term thrust of a business at the operational level from the long-term objectives of the enterprise as a whole. This will encourage a preoccupation with short-term results at operational level, which normally makes the firm less effective in the long term.
4. Unless the chief executive understands and takes an active role in marketing planning, it will never be an effective system.
5. A period of up to three years is necessary (especially in large firms) for the successful introduction of an effective marketing planning system.

Some indication of the potential complexity of marketing planning can be seen in Figure 12.1. Even in a generalized model such as this, it can be seen that, in a large diversified group operating in many foreign markets, a complex combination of product, market and functional plans is possible. For example, what is required at regional level will be different from what is required at headquarters level, while it is clear that the total corporate plan has to be built from the individual building blocks.

Furthermore, the function of marketing itself may be further functionalized for the purpose of planning, such as marketing research, advertising, selling, distribution, promotion, and so on, while different customer groups may need to have separate plans drawn up.

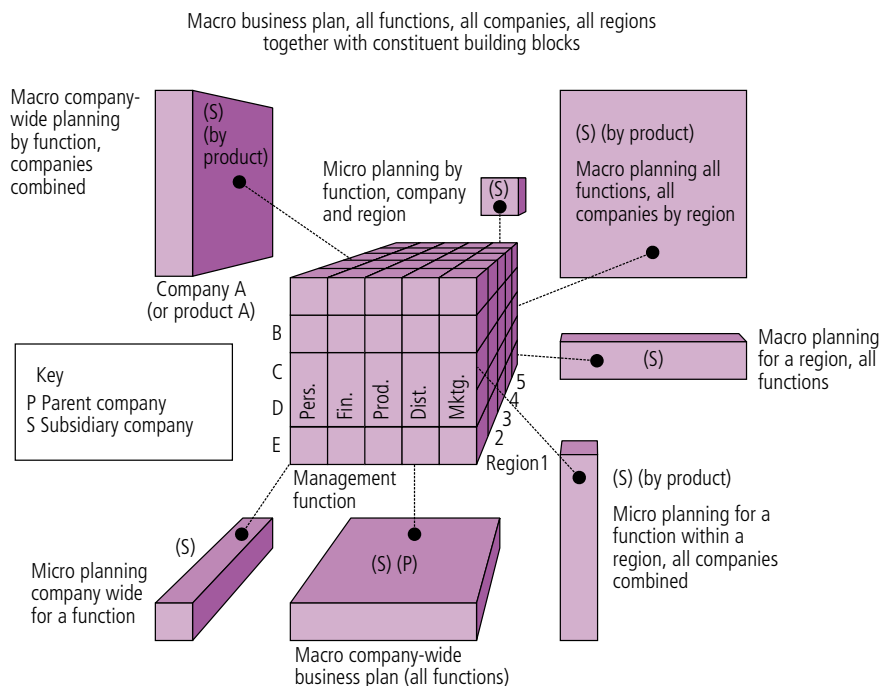


Figure 12.1: The potential complexity of marketing planning.

Let us be dogmatic about requisite planning levels. First, in a large diversified group, irrespective of such organizational issues, anything other than a systematic approach approximating to a formalized marketing planning system is unlikely to enable the necessary control to be exercised over the corporate identity.

Second, unnecessary planning, or overplanning, could easily result from an inadequate or indiscriminate consideration of the real planning needs at the different levels in the hierarchical chain.

Third, as size and diversity grow, so the degree of formalization of the marketing planning process must also increase. This can be simplified in the form of a matrix (Figure 12.2).

The degree of formalization must increase with the evolving size and diversity of operations. However, while the degree of formalization will change, the need for a complete marketing planning system does not. The problems that companies suffer, then, are a function of either the degree to which they have a requisite marketing planning system or the degree to which the formalization of their system grows with the situational complexities attendant upon the size and diversity of operations.

It has already been stressed that central to the success of any enterprise is the objective-setting process. Connected with this is the question of the design of the planning system and, in particular, the question of who should be involved in what, and how. For example, who should carry out the situation review, state the assumptions, set marketing objectives and strategies, and carry out the scheduling and costing-out programme, and at what level?

These complex issues revolve essentially around two dimensions – the size of the company and the degree of business diversity. There are, of course, many other issues, such as whether a company is operating through subsidiary companies or through intermediaries, but these can only be considered against the background of the two major dimensions of size and diversity.

		Company size		
		Large	Medium	Small
Market/product diversity	High	High formalization	High/medium formalization	Medium formalization
	Medium	High/medium formalization	Medium formalization	Low formalization
	Low	Medium formalization	Low formalization	Very low formalization

Figure 12.2: Guidelines for formalization of the marketing planning process.

Size of operations is, without doubt, the biggest determinant of the type of marketing planning system used.

SIZE

Of these two dimensions, size of operations is, without doubt, the biggest determinant of the type of marketing planning system used.

In small companies, there is rarely much diversity of products or markets, and top management has an in-depth knowledge of the key determinants of success and failure.

There is usually a high level of knowledge of both the technology and the market. While in such companies the central control mechanism is the sales forecast and budget, top managers are able to explain the rationale lying behind the numbers, have a very clear view of their comparative strengths and weaknesses, and are able to explain the company's marketing strategy without difficulty. This understanding and familiarity with the strategy is shared with key operating subordinates by means of personal, face-to-face dialogue throughout the year. Subordinates are operating within a logical framework of ideas, which they understand. There is a shared understanding between top and middle management of the industry and prevailing business conditions. In such cases, since either the owner or a director is usually also deeply involved in the day-to-day management of the business, the need to rely on informational inputs from subordinates is considerably less than in larger companies. Consequently, there is less need for written procedures about marketing audits, SWOT analyses, assumptions, and marketing objectives and strategies, as these are carried out by top management, often informally at meetings and in face-to-face discussions with subordinates, the results of which are the basis of the forecasts and budgets. Written documents in respect of price, advertising, selling, and so on, are very brief, but those managers responsible for those aspects of the business know what part they are expected to play in achieving the company's objectives.

Such companies are, therefore, operating according to a set of structured procedures, and complete the several steps in the marketing planning process, but in a relatively informal manner.

On the other hand, many small companies that have a poor understanding of the marketing concept, and in which the top manager leaves their strategy implicit, suffer many serious operational problems.

These operational problems become progressively worse as the size of company increases. As the number and level of management increase, it becomes progressively more difficult for top management to enjoy an in-depth knowledge of industry and business conditions by informal, face-to-face means. In the absence of written procedures and a structured framework, the different levels of operating management become increasingly less able to react in a rational way to day-to-day pressures. Systems of tight budgeting control, without the procedures outlined in this book, are, in the main, only successful in situations of buoyant trading conditions, are often the cause of high levels of management frustration, and are seen to be a major contributory factor in those cases where eventual decline sets in.

In general, the bigger the company, the greater is the incidence of standardized, formalized procedures for the several steps in the marketing planning process.

DIVERSITY OF OPERATIONS

From the point of view of management control, the least complex environment in which to work is an undiversified company. For the purpose of this discussion, 'undiversified' is taken to mean companies with limited product lines or homogeneous customer groups. For example, hydraulic hose could be sold to many diverse markets, or a diverse range of products could be sold into only one market such as, say, the motor industry. Both could be classified as 'undiversified'.

In such cases, the need for institutionalized marketing planning systems increases with the size of the operation, and there is a strong relationship between size and the complexity of the management task, irrespective of any apparent diversity.

MARKETING INSIGHT

For example, an energy company will operate in many diverse markets around the world, through many different kinds of marketing systems, and with varying levels of market growth and market share. In most respects, therefore, the control function for headquarters management is just as difficult and complex as that in a major, diversified conglomerate. The major difference is the greater level of in-depth knowledge which top management has about the key determinants of success and failure underlying the product or market worldwide, because of its relative homogeneity. Though even here, the sustainability transition is requiring many new skills and competences, as oil and gas majors transition to renewable energy as well as carbon-reduction services.

Because of this homogeneity of product or market, it is usually possible for headquarters to impose worldwide policies on operating units in respect of things such as certain aspects of advertising, public relations, packaging, pricing, trade marks, product development, and so on, whereas in the headquarters of a diversified conglomerate, overall policies of this kind tend to be impracticable and meaningless.

The view is often expressed that common planning in companies comprising many heterogeneous units is less helpful and confuses, rather than improves, understanding between operating units and headquarters.

However, the truth is that conglomerates often consist of several smaller multinationals, some diversified and some not, and that the actual risk of marketing rests on the lowest level in an organization at which there is general management profit responsibility. Forecasting and budgeting systems by themselves rarely encourage anything but a short-term, parochial view of the business at these levels, and in the absence of the kind of marketing planning procedures described in this book, higher levels of management do not have a sufficiently rational basis on which to set long-term marketing objectives.

Exactly the same principles apply at the several levels of control in a diversified multinational conglomerate, in that, at the highest level of control, there has to be some rational basis on which to make decisions about the portfolio of investments. In our research, the most successful companies were those with standardized marketing planning procedures to aid this process. In such companies, there is a hierarchy of audits, SWOT analyses, assumptions, strategies and programmes, with increasingly more detail required in the procedures at the lowest levels in the

organization. The precise details of each step vary according to circumstances, but the eventual output of the process is in a universally consistent form.

The basis on which the whole system rests is the informational input requirements at the highest level of command. Marketing objectives and strategies are frequently synthesized into a multidisciplinary corporate plan at the next general management profit-responsible level until, at the highest level of command, the corporate plan consists largely of financial information and summaries of the major operational activities.

This is an important point, for there is rarely a consolidated operational marketing plan at conglomerate headquarters.

This often exists only at the lowest level of general management profit responsibility, and even here it is sometimes incorporated into the corporate plan, particularly in capital goods companies, where engineering, manufacturing and technical services are major factors in commercial success.

Here, it is necessary to distinguish between short-term operational plans and long-term strategic plans, both products of the same process. Conglomerate headquarters are particularly interested in the progress of, and prospects for, the major areas of operational activities, and while obviously concerned to ensure a satisfactory current level of profitability, are less interested in the detailed short-term scheduling and costing out of the activities necessary to achieve these objectives. This, however, is a major concern at the lowest level of general management profit responsibility.

To summarize, the smaller the company, the more informal and personal the procedures for marketing planning. As company size and diversity increases, so the need for institutionalized procedures increases.

The really important issue in any system is the degree to which it enables control to be exercised over the key determinants of success and failure.

The really important issue in any system is the degree to which it enables control to be exercised over the key determinants of success and failure. To a large extent, the issue, much debated in the literature, of where in an international organization responsibility for setting marketing objectives and strategies should lie, is something of a red herring. Of course, in a diversified multinational conglomerate, detailed marketing objectives and strategies for some remote country cannot be set by someone in London. It is precisely this issue, that is, finding

the right balance between the flexibility of operating units to react to changes in local market conditions and centralized control, that a formally designed system seeks to tackle.

Those companies conforming to the framework outlined here have systems that, through a hierarchy of bottom-up/top-down negotiating procedures, reach a nice balance between the need for detailed control at the lowest level of operations and centralized control. The main role of headquarters is to harness the company's strengths on a worldwide basis and to ensure that lower level decisions do not cause problems in other areas and lead to wasteful duplication.

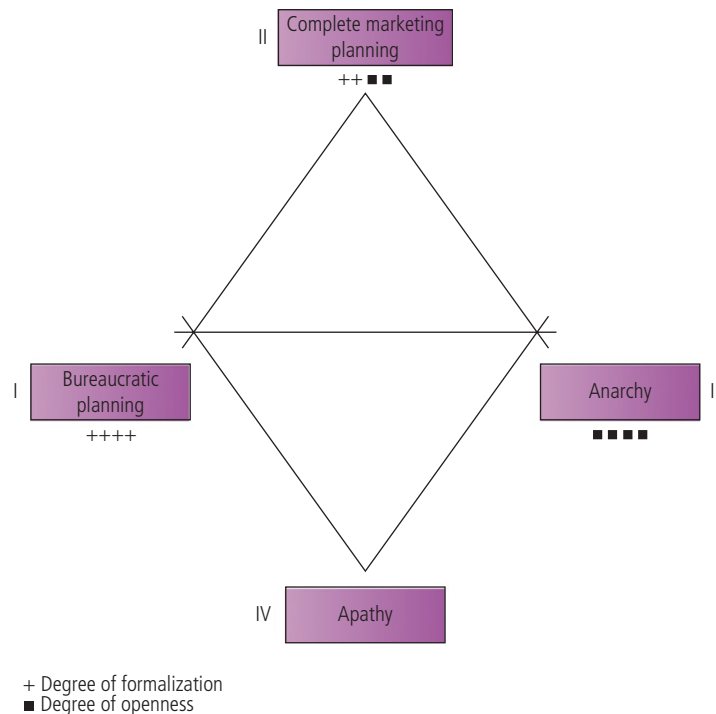


Figure 12.3: Marketing planning effectiveness model.

Figure 12.3 explores four key outcomes that marketing planning can evoke. It can be seen that systems I, III and IV, that is, where the individual is totally subordinate to a formalized system, or where individuals are allowed to do what they want without any system, or where there is neither system, nor creativity, are less successful than system II, in which the individual is allowed to be entrepreneurial within a total system. System II, then, will be an effective marketing planning system, but one in which the degree of formalization will be a function of company size and diversity.

Creativity cannot flourish in a closed-loop formalized system. There would be little disagreement that in today's abrasive, turbulent and highly competitive environment, it is those firms that succeed in extracting entrepreneurial ideas and creative marketing programmes from systems that are necessarily yet acceptably formalized that will succeed in the long run. Much innovative flair can so easily get stifled by systems.

Certainly there is ample evidence of international companies with highly formalized systems that produce stale and repetitive plans, with little changed from year to year and that fail to point up the really key strategic issues as a result. The scandalous waste this implies is largely due to *a lack of personal intervention by key managers during the early stages of the planning cycle.*

There is clearly a need, therefore, to find a way of perpetually renewing the planning lifecycle each time around. Inertia must never set in. Without some such valve or means of opening up the loop, inertia quickly produces decay.

The critical intervention of senior managers, from the chief executive down through the hierarchical chain, comes at the audit stage.

Such a valve has to be inserted early in the planning cycle during the audit or situation review stage. In companies with effective marketing planning systems, whether such systems are formalized or informal, the critical intervention of senior managers, from the chief executive down through the hierarchical chain, comes at the audit stage. Essentially, what takes place is a personalized presentation of audit findings, together with proposed marketing objectives and strategies and outline

budgets for the strategic planning period. These are discussed, amended where necessary, and agreed in various synthesized formats at the hierarchical levels in the organization before any detailed operational planning takes place. It is at such meetings that managers are called upon to justify their views, which tends to force them to be more bold and creative than they would have been had they been allowed merely to send in their proposals. Obviously, however, even here much depends on the degree to which managers take a critical stance, which is much greater when the chief executive takes an active part in the process. *Every hour of time devoted at this stage by the chief executive has a multiplier effect throughout the remainder of the process.* And let it be remembered we are not, repeat not, talking about budgets at this juncture in anything other than outline form.

Until recently, it was believed that there may well be fundamental differences in marketing planning approaches, depending on factors such as the type of business-to-business goods and markets involved, company size, the degree of dependence on international sales and the methods used to market goods abroad. In particular, the much-debated role of headquarters management in the marketing planning process is frequently put forward as being a potential cause of great difficulty.

One of the most encouraging findings to emerge from our research is that the theory of marketing planning is universally applicable, and that such issues are largely irrelevant.

While the planning task is less complicated in small, undiversified companies, and there is less need for formalized procedures than in large, diversified companies, the fact is that exactly the same framework should be used in all circumstances, and that this approach brings similar benefits to all.

In a multinational conglomerate, headquarters management is able to assess major trends in products and markets around the world, and is thus able to develop strategies for investment, expansion, diversification and divestment on a global basis. For their part, subsidiary management can develop appropriate strategies with a sense of locomotion towards the achievement of coherent overall goals.

This is achieved by means of synthesized information flows from the bottom upwards, which facilitates useful comparison of performance around the world, and the diffusion of valuable information, skills, experiences and systems from the top downwards. The particular benefits which accrue to companies using such systems can be classified under the major headings of the marketing mix elements as follows:

- *Marketing information* – there is a transfer of knowledge, a sharing of expertise and an optimization of effort around the world.

- *Product* – control is exercised over the product range. Maximum effectiveness is gained by concentrating on certain products in certain markets, based on experience gained throughout the world.
- *Price* – pricing policies are sufficiently flexible to enable local management to trade effectively, while the damaging effects of interaction are considerably mitigated.
- *Place* – substantial gains are made by rationalization of the supply chain management function.
- *Promotion* – duplication of effort and a multitude of different platforms/company images are ameliorated. Efforts in one part of the world reinforce those in another.

The procedures that facilitate the provision of such information and knowledge transfers also encourage operational management to think strategically about their own areas of responsibility, instead of managing only for the short term.

It is abundantly clear that it is through a marketing planning system and planning skills that such benefits are achieved, and that discussions such as those about the standardization process are largely irrelevant. Any standardization that may be possible will become clear only if a company can successfully develop a system for identifying the needs of each market and each segment in which it operates, and for organizing resources to satisfy those needs in such a way that best resource utilization results worldwide.

The Role of the Chief Executive in Marketing Planning

Our research showed that few chief executives have a clear perception of:

- purposes and methods of planning
- proper assignment of planning responsibilities throughout the organization
- proper structures and staffing of the planning department
- the talent and skills required in an effective planning department.

The role of the chief executive is generally agreed as being:

- to define the organizational framework
- to ensure the strategic analysis covers critical factors
- to maintain the balance between short- and long-term results
- to display their commitment to planning
- to provide the entrepreneurial dynamic to overcome bureaucracy
- to build this dynamic into the planning operation (motivation).

In respect of planning, the chief executive's principal role is to open up the planning loop by means of personal intervention. The main purpose of this is to act as a catalyst for the entrepreneurial dynamic within the organization, which can so easily decay through bureaucratization. This is not sufficiently recognized in the literature.

When considering this in the context of the reasons for failures of marketing planning systems, it is clear that, for any system to be effective, the chief executive needs to be conversant with planning techniques and approaches, and to be committed to and take part in the marketing planning process.

The Role of the Strategy or Planning Department in Marketing Planning

This raises the important question of the role of the strategy department or planning department, which many larger firms have – though its name and responsibility differs. The role of such a central function in marketing planning is:

- to provide the planning structure and systems
- to secure rapid data transmission in the form of intelligence
- to act as a catalyst in obtaining inputs from operating divisions
- to forge planning links across organizational divisions, e.g. R&D and marketing
- to evaluate plans against the chief executive's formulated strategy
- to monitor the agreed plans.

The planner is a coordinator who sees that the planning is done – not a formulator of goals and strategies.

The planner's responsibility has three basic dimensions. They are:

- Directive.
- Supportive.
- Administrative.

In the *directive* role, the planning executive acts on behalf of top management to supervise the planning procedure to promote orderly and disciplined implementation of the planning process. This function can be performed well only when managers have both the *ability* and *willingness* to make it happen. The planning executive is likely to be more effective by acting in a *supportive*, rather than in a *directive*, role.

A *supportive* role brings the planning executive into service as an internal consultant and advisory resource. In this role, the planning executive:

- advises line management on the application of planning principles
- assembles background information to provide insight into the economy, industries, markets, investment alternatives, etc., which are relevant to each business served
- directs or supports forecasting of the economy, industries and end-user markets
- renders assistance in installing progress-monitoring systems and interpreting their output
- renders assistance to line executives in applying advanced methods and procedures
- provides other internal and consulting assistance to line managers in preparing their plans and monitoring their progress.

In their *administrative* role, planners ensure that planning procedures are implemented on schedule and that communications are accurate and rapid. In this role, it is suggested that they have limitations. They can provide coordinating and communicating services, but they cannot enforce them. If line management does not participate willingly, someone else with the appropriate authority must take corrective or disciplinary action.

Again, when this is taken in the context of the failures of marketing planning systems, it is clear that an understanding of the proper role of the planning department is an important determinant of planning success.

The Marketing Planning Cycle

The schedule should call for work on the plan for the next year to begin early enough in the current year to permit adequate time for market research and analysis of key data and market trends. In addition, the plan should provide for the early development of a strategic plan that can be approved or altered in principle.

A key factor in determining the planning cycle is bound to be the degree to which it is practicable to extrapolate from sales and market data, but, generally speaking, successful planning companies start the planning cycle formally somewhere between nine and six months from the beginning of the next fiscal year.

It is not necessary to be constrained to work within the company's fiscal year; it is quite possible to have a separate marketing planning schedule if that is appropriate, and simply organize the aggregation of results at the time required by the corporate financial controller.

Planning Horizons

It is clear that, in the past, one- and five-year planning periods have been by far the most common, although three years has now become the most common period for the strategic plan, largely because of the dramatically increasing rate of environmental change. Lead time for the initiation of major new product innovations, the length of time necessary to recover capital investment costs, the continuing availability of customers and raw materials, and the size and usefulness of existing plant and buildings are the most frequently mentioned reasons for having a five-year planning horizon. Increasingly, however, these five-year plans are taking the form more of 'scenarios' than the detailed strategic plan outlined in this book.

Many companies, however, do not give sufficient thought to what represents a sensible planning horizon for their particular circumstances. First, a five-year time span is clearly too long for some companies, particularly those with highly versatile machinery operating in volatile fashion-conscious markets. The effect of this is to rob strategic plans of reality. A five-year horizon is often chosen largely because of its universality. Second, some small subsidiaries in large conglomerates are often asked to forecast for 7, 10 and, sometimes, 15 years ahead, with the result that they tend to become meaningless exercises. While it might make sense for, say, a glass manufacturer to produce 12-year plans (or scenarios) because of the very long lead time involved in laying down a new furnace, it does not make sense to impose the same planning timescale on small subsidiaries operating in totally different markets, even though they are in the same group. This places unnecessary burdens on operating management and tends to rob the whole strategic planning process of credibility.

The conclusion to be reached is that there is a natural point of focus into the future, beyond which it is pointless to look. This point of focus is a function of the relative size of a company.

Small companies, because of their size and the way they are managed, tend to be comparatively flexible in the way in which they can react to environmental turbulence in the short term. Large companies, on the other hand, need a much longer lead time in which to make changes in direction. Consequently, they tend to need to look further into the future and use formalized systems for this purpose so that managers throughout the organization have a common means of communication.

DIGITAL MARKETING INSIGHT: AGILE 90-DAY PLANNING

Traditionally, strategic marketing planning has used long-term planning horizons from annual marketing plans to the three or even five-year strategy for larger organizations. A disadvantage, if the annual or longer-term planning approach is used exclusively, is that it may not be sufficiently agile to respond to changing competitive forces or other innovations. For example, the launch of ChatGPT by OpenAI in 2022 was disruptive for businesses in some sectors where digital content-based services or communications were significant since it enabled content to be generated more rapidly using machine learning. Businesses in those sectors such as agencies or publishers who were able to change their services to leverage customer interest in generative AI were able to gain advantage compared to their less agile rivals.

A 90-day planning approach to review campaign and always-on marketing priorities to meet quarterly targets has become more popular in recent years. The benefit of this approach is that it can operate within quarterly priorities contained within annual marketing plans such as communications plans, but it encourages flexibility based on learning in previous quarters.

From a digital marketing point of view, a 90-day planning cycle can be used to introduce new website functionality or to test new always-on approaches across the pillars of marketing of the customer lifecycle. For example, the Smart Insights approach to 90-day planning using the RACE framework⁷ recommends that businesses identify priorities for each quarter to support the Reach, Act, Convert and Engage customer lifecycle goals, as introduced in Chapter 1. These can be scaled according to resources available. So, for example, a small to medium business might set goals for an upcoming quarter as follows:

- **Plan.** Create digital marketing dashboard to compare year-on-year and month-on-month performance for always-on channels such as organic and paid search, social media and email automation.
- **Reach.** Test a new bidding strategy in Google Ads based on the Experiments feature.
- **Act.** A/B test two different versions of the home page to improve conversion to lead.
- **Convert.** Change to a different Ad retargeting approach to encourage purchase from prospects.
- **Engage.** Introduce a new email sequence to increase engagement and purchase from existing customers.

These would potentially be practical within a 'marketing team of one'. Larger organizations with more people dedicated to testing could scale this process to increase more tests each month across the customer journey. For example, one omnichannel retailer presenting at Technology for Marketing described their aspiration to scale from tens to hundreds of tests per month for their e-commerce sites. They noted that typically, their experience was that

one-third of tests have little or no impact, one-third of tests have a negative impact on sales, while the one-third of tests that give a significant positive impact that make the optimization approach worthwhile. Large transactional online businesses often highlight potential value generated for shareholders through their optimization efforts. Within the clothing sector, both Asos and Zalando have published improvements in their conversion rates or other e-commerce KPIs in their annual reports.

ORGANIZING FOR MARKETING PLANNING

The purpose of this section is not to delve into the complexities of organizational forms, but to put the difficult process of marketing planning into the context of the relevant environment in which it will be taking place. The point is that you start from where you *are*, not from where you would like to be, and it is a fact of business that marketing means different things in different circumstances. It is not our intention here to recommend any one particular organizational form. Rather, it is to point out some of the more obvious organizational issues and their likely effect on the way marketing planning is carried out. These observations are informed by the best-practice forums of blue-chip companies that the authors have run for many years, which regularly put organizational structure on their list of thorny issues to discuss. What these senior practitioners report as working well is consonant with the academic literature on the topic – see, for example, Homburg et al. (2000),⁸ Greenley et al. (2004),⁹ Lee et al. (2015)¹⁰ and Eriksson et al. (2022).¹¹

The interesting fact to emerge from the executives we hear from is that most advice they receive from books and consultants concentrates almost exclusively on the ‘medicine’ itself and shows relatively little concern for the ‘patient’ (if indeed the company can be viewed as being ill and in need of attention).

That this should happen makes about as much sense as a doctor dispensing the same drug to every patient, irrespective of their condition. Certainly, the treatment might help a proportion of the clients, but for a vast number it will be at best irrelevant and, at worst, perhaps even dangerous.

In the case of those promoting the ‘marketing strategy nostrum’, it is particularly ironic to observe how the product has somehow become more important than the customer. Whatever happened to all that good advice about focusing on customers and their situations?

What must be recognized is that there has to be a symbiotic relationship between the patient and the cure. It is the two working together which brings success. Similarly, the ‘doctor’, if the third-party adviser might be described as such, must be more prepared to take a holistic approach to the situation. Instead of writing an instant prescription, the doctor should first find out more about the patient.

Since the research study referred to above set out to consider how marketing planning might be introduced more effectively into organizations, let us remember that, like the good doctor, we are going to try to understand more about our patients.

ORGANIZATIONAL LIFE PHASES

At first sight, every organization appears to be quite different from any other, and, of course, in many ways it is. Its personnel and facilities can never exist in the same form elsewhere. Its products, services, history and folklore also play their part in creating a unique entity.

Yet it is also possible to look at organizations in another way and find that instead of uniqueness, there are also similarities.

What, then, is this commonality all organizations share? As companies grow and mature, it seems that they all experience a number of distinct life phases. Certainly, our research experience has convinced us that, once the phases of corporate life are explained to managers, they can readily position their own company on its lifeline.

The significance of this is that the senior executives can then understand the nature of their company's growing pains and how these might contribute to current operational problems and even to a particular organizational culture.

Moreover, sometimes this culture will be most receptive to marketing planning, at other times less so. Equally, the marketing planning process itself might need to be modified to sit more comfortably within a given corporate culture.

For now, however, let us look at the way companies grow and develop. First, as firms grow in sales, so they tend to go through an organizational evolution. Figure 12.4 shows a firm starting off its existence and growing in turnover over a period of time (see also Boeker and Wiltbank, 2005¹² and Phelps et al., 2007¹³).

When such a firm starts off, it is often organized totally around the owner who tends to know more about customers and products than anyone else in the company.

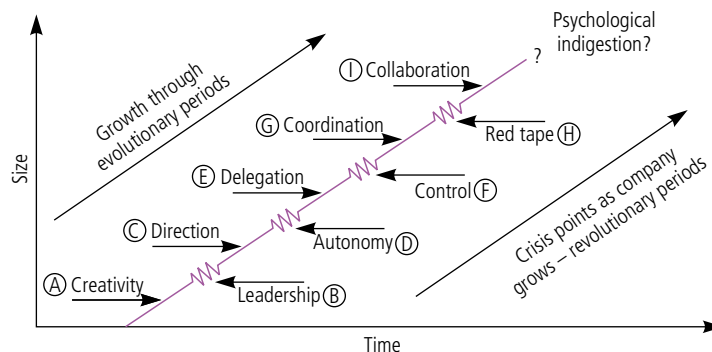


Figure 12.4: Organizational life phases.

Source: Greiner, L.E. (1998) Evolution and revolution as organizations grow. *Harvard Business Review*, 76(3), 55–64.

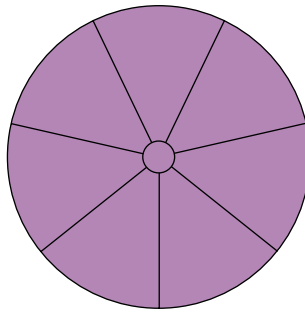


Figure 12.5: Sole owner organizational structure.

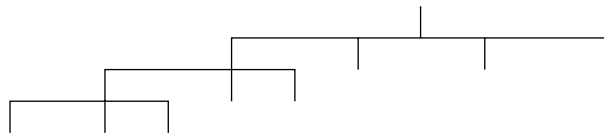


Figure 12.6: Functional organizational structure.

This organizational form can be represented as in Figure 12.5, with all decisions and lines of communication revolving around one person. The point here is that formalized marketing planning by means of systems and written procedures will certainly be less relevant than in, say, a diversified multinational.

The First Crisis and the Solution

However, as this firm grows in size and complexity, as new products and new markets are added, this organizational form begins to break down and the first crisis appears, which is resolved in one of two ways. Either the owner/entrepreneur sells the business and retires or starts up again, or they adopt the more traditional organizational form with which most of us are familiar (Figure 12.6), in which certain functional duties are allocated to individuals to manage by means of their own specialized departments. Some aspects of the work will need to be delegated and systems and procedures will have to be developed to replace the ad hoc arrangements of the initial phase. Above all, organizational loose ends have to be tidied up and a new sense of purpose and direction instilled in the employees.

Thus, a strong leader is required to bring the company out of the leadership crisis phase and into the next, relatively calm period of directed evolution.

Here, the leader, who may by now no longer be the founder, directs events from a centralized position. They preside over a hierarchical organizational structure, which is set up to achieve what the leader prescribes. Again, steady growth can accompany this phase of corporate life until another crisis point is reached. This is the so-called 'autonomy crisis'.

The Second Crisis and the Solution

Eventually the company will reach a certain size or complexity at which the directive leadership is no longer so appropriate.

Individuals working in their particular spheres of activity know more than the central authority. Not only do they resent being told what to do by someone they perceive to be 'out of touch', they actually want to have more personal autonomy to influence company policies and operations. The struggle for power at the 'autonomy crisis' can be accompanied by a tightening of central control, which, in turn, exacerbates the problem, causing poor morale and even, perhaps, high staff turnover.

The crisis is eventually resolved by the company providing a much more delegative style of leadership, which does, in fact, generate more autonomy at lower levels. Again a relatively trouble-free, evolutionary growth period follows from this delegated style.

The Third Crisis and the Solution

However, as growth continues, senior management become increasingly concerned about the high levels of autonomy lower down the organization. They experience feelings of powerlessness and sense the need to regain control.

This control crisis can be another very destabilizing phase of the company's development. Understandable though the feelings of impotence might be for senior management, it seems to be very difficult to turn the clock back to a directive style again. Too much has happened in the intervening years.

The solution to the control crises seems to be to embark upon a programme for establishing better coordination between the various parts of the organization.

This is often achieved by using such mechanisms as formal planning procedures, centralizing some technical functions, but leaving daily operating decisions at the local level, setting up special projects involving lower-level employees, and so on. Thus, another period of relative calm comes with the coordinated evolutionary phase of development.

The Fourth Crisis and the Solution

With continued growth, there is a tendency for the coordinating practices to become institutionalized, thus planning procedures become ritualized, special projects become meaningless chores and too many decisions seem to be governed by company rules and regulations.

A new crisis point has been reached – the 'bureaucracy' or 'red-tape' crisis. Procedures seem to take precedence over problem solving.

The only solution seems to be for the company to strive towards a new phase of collaboration in which, once again, the contributions of individuals and teams are valued as much, if not more, than systems and procedures.

There has to be a concerted effort to re-energize and re-personalize operating procedures. More emphasis has to be put on teamwork, spontaneity and creativity.

If a company can win through to the collaborative phase of evolution then, again, a period of relatively trouble-free growth can be expected as a reward. However, as we have seen, this pattern of evolutionary growth followed by a crisis appears to be ever-repeating.

Each solution to an organizational development problem brings with it the seeds of the next crisis phase.

The Fifth Crisis?

Thus it is that the collaborative evolutionary crisis will probably end when there is a surfeit of integrating mechanisms and, perhaps, employees begin to lose the ability to function independently.

This last point is purely conjecture, because not many companies seem to have moved far enough along their biographical lifeline for this to be an issue. But from the work we have completed in a number of companies, this idea of company life phases has helped us to understand much more about a client's operating problems and how we might more suitably provide help.

Centralization or Decentralization?

Within this second phase of growth, there are basically two kinds of organization, which can be described as either decentralized or centralized, with several combinations within each extreme.

Looking first at decentralization, it is possible to represent this diagrammatically as in Figure 12.7. The shaded area of the triangle represents the top-level strategic management of the firm. It can be seen from this diagram that the central services, such as market research and public relations, are repeated at the subsidiary company level. It can also be seen that there is a strategic level of management at the subsidiary level, the acid test being whether subsidiary company/unit top management can introduce new products without reference to headquarters.

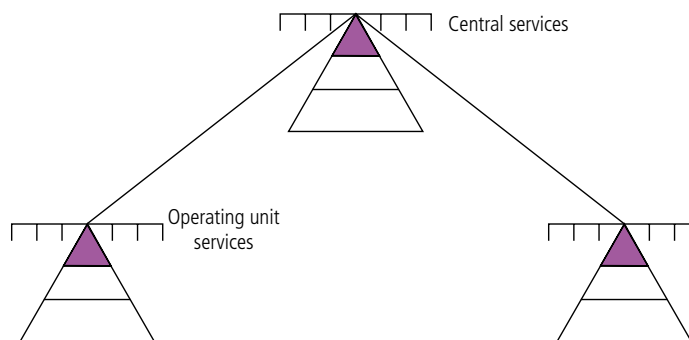


Figure 12.7: Decentralized organization structure.

The point about this kind of decentralized organizational structure is that it leads inevitably to duplication of effort and differentiation of strategies, with all the consequent problems, unless a major effort is made to get some synergy out of the several systems by means of a company-wide planning system. Within digital marketing activity, it is common for large, global brands to centralize digital marketing expertise within a *digital marketing or marketing centre of excellence*. This team supports generalist marketers in other brand and communications teams by evaluating the marketplace opportunities from new technology platforms and completing training or defining best practices in marketing playbooks based on tests of communications approaches.

MARKETING INSIGHT

One telecommunications company had a range of 1,500 products, and one of those products had 1,300 different variations, all of which was the result of a totally decentralized marketing-orientated approach in the subsidiary companies. It was not surprising that any sensible economies of scale in production were virtually impossible, with the result that the company made a substantial loss.

The same problems apply to marketing research, advertising, pricing, distribution and other business areas. When someone takes the trouble to find out, it is often very salutary to see the reaction of senior managers at headquarters when they are told, for example, that the very same market problem is being researched in many different countries around the world, all at enormous expense.

MARKETING INSIGHT

It is this kind of organizational structure which, above all others, requires strong central coordination by means of some kind of planning system, otherwise everyone wastes enormous amounts of corporate resources striving to maximize their own small part of the business.

If, however, some system can be found of gaining synergy from all the energy expended, then the rewards are great indeed. The point is that marketing in this kind of system means something different from marketing in other kinds of system, and it is as well to recognize this from the outset.

A centrally controlled company tends to look as depicted in Figure 12.8. Here it will be seen that there is no *strategic* level of management in the subsidiary units, particularly in respect of new product introductions. This kind of organizational form tends to lead to standardized strategies, particularly in respect of product management. For example, when a new product is introduced, it tends to be designed at the outset with as many markets as possible in mind, while the benefits from market research in one area are passed on to other areas, and so on.

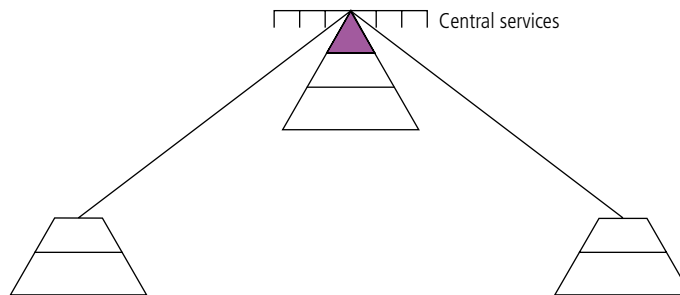


Figure 12.8: A centrally controlled organization structure.

The problem here, of course, is that unless great care is exercised, subsidiary units can easily become less sensitive to the needs of individual markets, and hence lose flexibility in reacting to competitive moves.

The point here, again, is that marketing in this kind of system means something different from marketing in the kind of system described above.

There is a difference between financial manipulation and business management in respect of the headquarters role. There is a difference between a corporation and its individual components, and often there is confusion about what kind of planning should be done by managers at varying levels in the organization, such confusion arising because the chief executive has not made it clear what kind of business is being managed.

We have looked briefly at two principal organizational forms, both of which consist essentially of a central office and various decentralized divisions, each with its own unique products, processes and markets which complement the others in the group. In enterprises of this type, planning within the divisions applies to the exploration of markets and improved efficiency within the boundaries laid down by headquarters. The problems and opportunities that this method throws up tend to make the headquarters role one of classifying the boundaries for the enterprise as a whole, in relation to new products and markets that do not appear to fall within the scope of one of the divisions.

In this type of organization, the managers of affiliated companies are normally required to produce the level of profit set by headquarters management within the constraints imposed on them, and such companies need to institutionalize this process by providing a formal structure of ideas and systems so that operating management know what they are expected to do and whether they are doing the essential things.

The point about these kinds of organization seems to be that some method has to be found of planning and controlling the growth of the business in order to utilize effectively the evolving skills and growing reputation of the firm, and so avoid an uncontrolled dissipation of energy.

It is probably easier to do this in a centrally organized firm, but, as we have pointed out, both organizational forms have their disadvantages.

Finally, the *financial trust* type of organization needs to be mentioned briefly, in which the primary concern of central management is the investment of shareholders' capital in various businesses. The buying and selling of interests in various firms is done for appreciation of capital rather than for building an enterprise with any logic of its own. Planning in this type of operation requires different knowledge and skills, and addresses itself to kinds of problems that are different from those in the two organizational forms described above.

Organizing for Marketing at Board Level

Before going on to describe marketing planning systems, there are two further points worth making briefly about organizing for marketing.

The first is that where marketing and sales are separated at board level, marketing planning is going to be a very different kind of activity from a situation in which both functions are coordinated at board level.

Figure 12.9 illustrates these two different situations.

In the first of these organizational forms, marketing is very much a staff activity, with the real power vested in the sales organization. While strong chief executives can ensure that the two activities are sensibly coordinated, unfortunately this rarely happens effectively because they are often too busy with production, distribution, personnel and financial issues to devote enough time to sales and marketing. The point here is that a sales force is quite correctly concerned with today's products, problems, customers, and so on, while a marketing manager needs to be thinking about the future. The sales force is also quite correctly concerned mainly with individual products, problems and customers, while a marketing manager needs to be thinking about groups of products and customers (portfolio management and market segmentation).

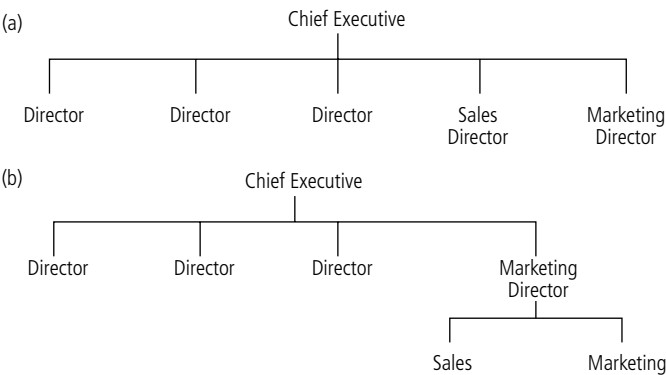


Figure 12.9: Sales and marketing separated and combined.

The two jobs are closely connected, but fundamentally different, and great care is necessary to ensure that what the marketing department is planning is the same as what the sales force is actually doing in the field. All too often they are not.

The second kind of organizational form tends to make it easier to ensure a sensible coordination between planning and doing.

The second and final point about marketing organizational forms is that there are a number of issues that all firms have to address.

These are:

- functions (such as advertising, market research, pricing, etc.)
- products
- markets
- geographical locations
- channels.

Of these, most firms would readily agree that, in most cases, the two main issues are products and markets, which is why many companies have what are called 'product managers' and/or 'market managers'.

There can be no right or wrong answer to the question of which of these is the better, and common sense will dictate that it is market circumstances alone that will determine which is most appropriate for any one company.

Each has its strengths and weaknesses. A product manager-orientated system will ensure good strong product orientation, but can also easily lead to superficial market knowledge.

MARKETING INSIGHT

Many a company has been caught out by subtle changes in their several markets causing a product to become practically redundant. In consumer goods, for example, many companies are beginning to admit that their rigid product/brand management system has allowed their major customers to take the initiative, and many are now changing belatedly to a system where the focus of marketing activity revolves around major customer/market groups rather than individual products.

On the other hand, a market manager-orientated system can easily result in poor overall product development.

Ideally, therefore, whatever organizational form is adopted, the two central issues of products and markets constantly need to be addressed. This conundrum can be summarized in the following brief case study.

Northern Sealants Limited manufactures a range of adhesives that fall into two main categories: seals and sealants. The company supplies these products to a large number of markets. However, the main users come under four industry headings: gas, oil and petrochemical refineries; automotive; electrical; and OEM. *Advise how the marketing function should be organized.*

Figure 12.10 illustrates this case diagrammatically in what is often referred to as a matrix organization. Figure 12.11 puts this structure into the context of this particular company. Here, it will be seen that, organizationally, Northern Sealants has both a product management and a market management structure. The basic role of the product manager is to ensure that the aspects of the product are properly managed, while the role of the market manager is to pay particular attention to the needs of the market. Close liaison between the two is obviously necessary and a basic principle of this kind of organization is that ultimate authority for the final decision must be vested in either one or the other. Even when this is done, however, communications can still be difficult, and great care is necessary to ensure that vested interests are not allowed to dominate the real product/market issues.

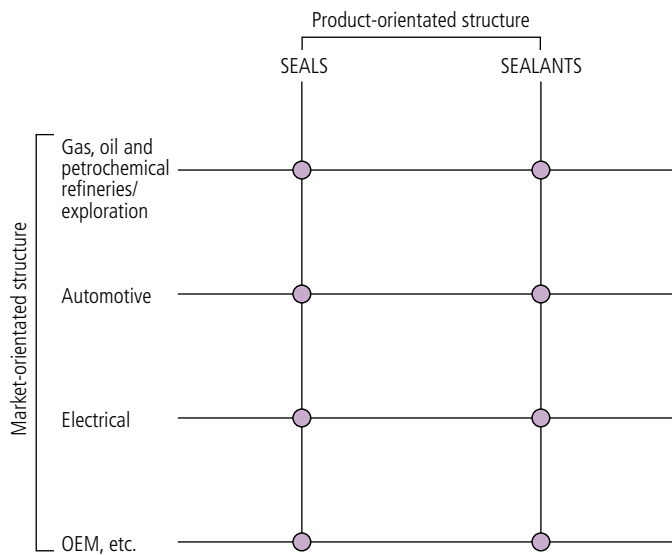


Figure 12.10: The product market range of Northern Sealants.

Organizing for Marketing Planning at the Operational Level

In our experience, the very best marketing plans emerge from an inclusive process. Fundamentally, marketing planning is simply a process, with a set of underlying tools and techniques, for understanding markets and for quantifying the present and future value required by the different groups of customers within these markets – what marketers refer to as segments. It is a strictly specialist function, just like accountancy or engineering, which is proscribed, researched, developed and examined by professional bodies such as the Chartered Institute of Marketing in Europe and Asia and the American Marketing Association in the USA. Sometimes

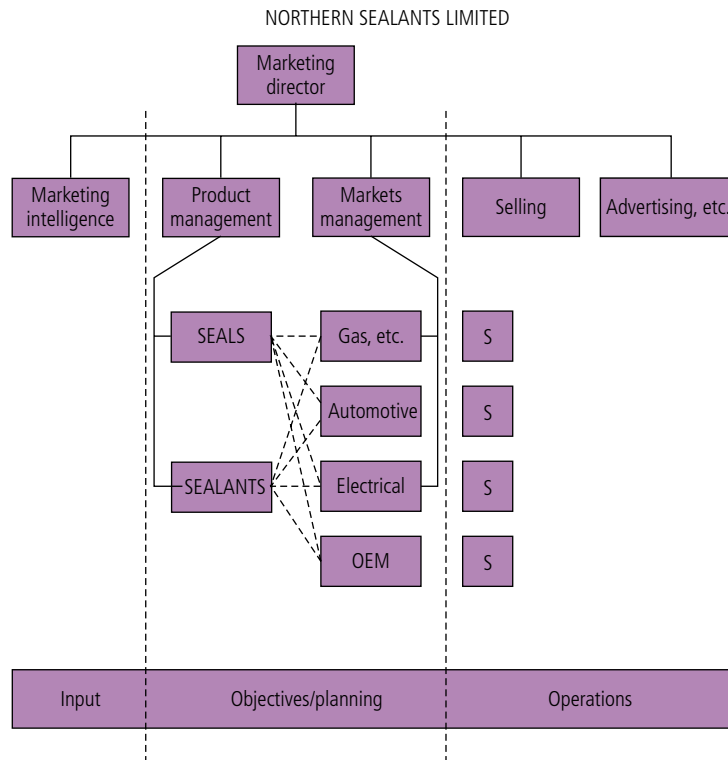


Figure 12.11: The organization structure of Northern Sealants.

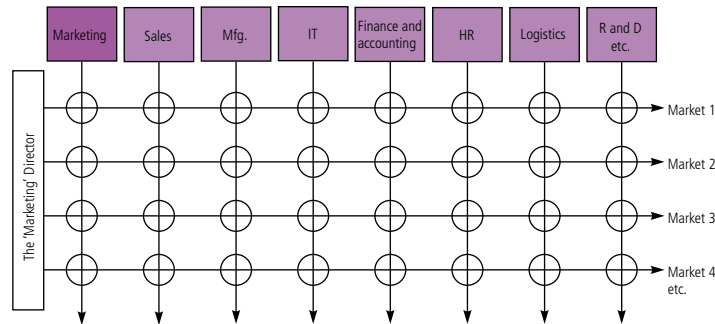


Figure 12.12 Organizing for marketing planning.

customer-facing activities such as customer service, selling, product development and public relations are controlled by the marketing function, but often they are not, even though many of them are included in the academic marketing curriculum.

In the model in Figure 12.12, representatives from appropriate functions are members of marketing planning teams, with the main body of work being done by the marketing representative who has the professional skills to accomplish the more technical tasks of data and information gathering and market analysis. The team might also include a representative from product development, brand managers, key account managers, and so on, depending on circumstances.

The advantages of this approach are as follows:

1. Any plans emerging are based on a deep understanding of the organization's asset base and capabilities.
2. Members of the team 'own' the plan, thus preventing implementation problems later on.
3. The marketing director, or whoever is responsible to the board for integrating and coordinating all the plans emanating from this process, can be sure that unwanted plans are not being foisted onto reluctant functional heads.
4. Any strategic functional plans, such as IT, logistics, purchasing, R&D, and so on, will be genuinely market driven or customer needs driven rather than production driven.
5. Any business or corporate plans that emerge at a higher level will also be market driven.

But this is not how most organizations plan for creating superior value. Too often marketing plans emerge from a marketing 'department' and are developed in isolation and largely ignored by the power brokers.

To summarize, no one particular organizational form can be recommended, common sense and market needs being the final arbiters. However, the following factors *always* need to be considered:

- marketing 'centres of gravity'
- interface areas (e.g. present/future; salespeople/drawing office; etc.)
- authority and responsibility
- ease of communication
- coordination
- flexibility
- human factors.

Wherever practicable, however, it appears to be sensible to try to organize around customer groups, or markets, rather than around products, functions or geography. Increasingly, firms are organizing themselves around customers or around processes, such as product development. Quite a large 'industry', known as Business Process Redesign (BPR), has grown up around this issue. The Cranfield/Chartered Institute of Marketing research study into the future of marketing has clearly demonstrated that the world's leading companies now organize themselves around customer groups and processes rather than around products. Computer firms, such as AT&T, for example, organize around end-use markets and appoint multidisciplinary teams to focus their attention on their specific needs. The result is personnel, accounting, production, distribution and sales policies that are tailored specifically to a unique set of market needs.

The world's leading companies now organize themselves around customer groups and processes rather than around products.

While this team-building approach has gone a long way towards overcoming this kind of organizational barrier, of much more importance is to get the task of defining strategic business units (SBUs) right. Let us repeat the definition of an SBU:

A strategic business unit:

- will have common segments and competitors for most of its products
- is a competitor in an external market
- is a discrete, separate and identifiable unit
- will have a manager who has control over most of the areas critical to success.

But SBUs are not necessarily the same as operating units, and the definition can, and should, be applied all the way down to a particular product, or customer, or group of products or customers, and it is here that the main marketing planning task lies.

What is certain is that one of the major determinants of the effectiveness of any marketing planning that is attempted within a company will be the way that it organizes for marketing. The purpose of this section has been to point out some of the more obvious facts and pitfalls before attempting to outline a marketing planning system, to which we can turn in the final chapter.

DIGITAL MARKETING INSIGHT: INTEGRATING AI INTO MARKETING OPERATIONS

The opportunities for using AI for marketing are many, as summarized by Figure 12.13 showing opportunities across the customer lifecycle.

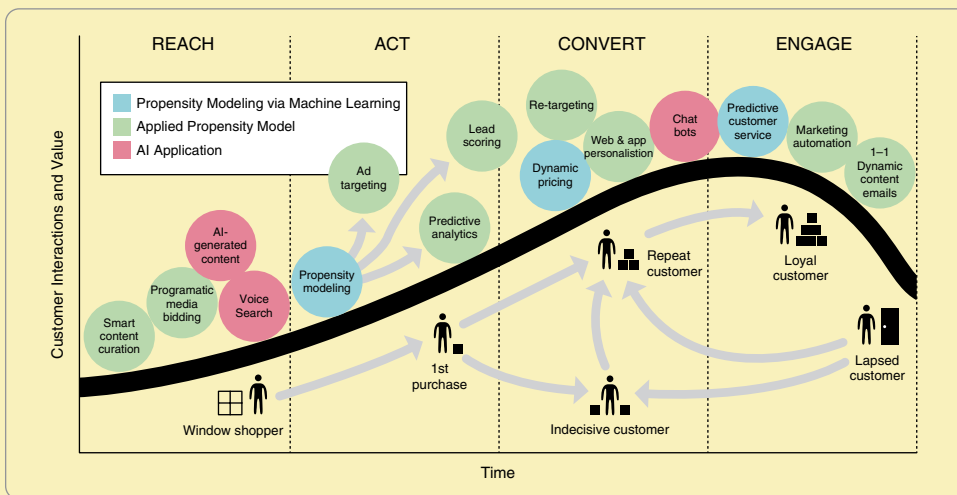


Figure 12.13: Fifteen applications of AI in marketing across the customer lifecycle.

Source: Smart Insights (2023) Trends in using AI for marketing: 2023–2024. <https://www.smartinsights.com/digital-marketing-strategy/trends-in-using-ai-for-marketing-2023-2024/>

These opportunities have been available for several years. However, the launch of ChatGPT by OpenAI in 2022 greatly increased interest in and usage of AI in marketing as it became available to many to support copywriting in campaigning and always-on marketing activities. While the new technology is lauded by many for the quality of the copy it produces based on suitable prompts of its Large Language Model, there are many practical, legal and ethical issues to consider in its use. The practical issues are whether the quality is sufficient and in keeping with the brand tone of voice and communications objectives. There are also legal issues of copyright ownership and intellectual property. For these and other reasons, many businesses are now seeking to develop AI policies for marketing and other opportunities.

THE MARKETING PLANNING PROCESS AND CORPORATE CULTURE

Assuming that marketing planning is acceptable at something deeper than a cosmetic level, it becomes possible to see how the process aligns with different phases of the company's lifeline.

Creative Evolution Phase

In our research, we did not find a single marketing planner at this stage of development. Most of the companies were still really formulating their business ideas and the senior executive was in close touch with customers and the company's own staff. The organization had a high level of flexibility to respond to changes in customer needs. In our research, many of these companies were showing high growth and to introduce marketing planning did not appear to offer any additional benefits.

It has to be recognized that some companies do not have a sufficiently good product or service to develop very far along their life path. The infant mortality rate for businesses is very high.

However, if the company successfully negotiates this initial phase, eventually it reaches the leadership crisis. As we have seen, a strong leader is required who will provide the drive and direction that will lead to the next evolutionary phase.

Directed Evolution

Companies at this stage of development fall into two camps. Naturally enough, the underlying style behind the marketing planning process was directive in each case, but the impact and effectiveness was significantly different for each type.

The first type we have referred to as 'Directed Marketing Planning Type 1'. Here, the senior executive took responsibility or delegated the task of producing a marketing plan. This person would then spend time analysing data, performing a situational review, and so on, until they finished up with a document. Generally, an approving mechanism was built into the process. For example, the board of directors would have to vet the marketing plan before it could be issued, but by and large thereafter the plan acts as a directive for the organization.

The second type – 'Directed Marketing Planning Type 2' – involved the appropriate member of staff being told what information to provide about their areas of work, the form in which the information should be provided, and so on.

Thus, in this case, rather than the plan being directed, the process is spelt out carefully. The resulting information is assembled at a senior level and the resulting planning document is issued as before.

Although in both cases all the creative thinking and control takes place at the top level of the organization, the second method holds a prospect of generating more useful data without sacrificing the directive, power-based culture.

Delegated Evolution

As a solution to the autonomy crisis, which can develop when directive leadership becomes inappropriate, more delegation becomes an operational feature of organizations.

What seemed to be a problem for marketing planning in these companies was that people in the 'front line', or operating units, of large companies were expected to produce marketing plans, but without very much guidance.

MARKETING INSIGHT

For example, one company had to send its marketing plans to head office, where they were rigorously examined and then given the corporate thumbs up or down. Only through a process of acceptance or dismissal were the criteria for 'good' plans eventually pieced together.

Our conclusion was that a delegated form of marketing planning can lead to some very high-quality inputs and certainly to high levels of commitment on behalf of those involved. Yet, ultimately, the solely bottom-up planning procedures seem to be difficult to integrate and can be demotivating to those involved. Somehow, the sum of the parts is less in stature than it ought to be.

Coordinated Evolution

At this stage, the lessons of the directed and delegated phases seem to have been learned. There is much more emphasis on a plan for planning and a means to incorporate top-down direction and bottom-up quality.

Equally, a coordinated approach enables the company to make best use of its specialized resources and to generate commitment from the staff.

In many ways, the marketing planning processes, which are the stuff of textbooks and so on, appear to be most suited for a company at this stage of its development.

However, as we have seen, it is possible for the planning process to degenerate from essentially a problem-solving process into a fairly meaningless, bureaucratic ritual. It is at this stage that the planning process will become counterproductive.

Collaborative Evolution

Here, the bureaucracy has to make way for genuine problem solving again. At present we do not have very much evidence about what this means in practice. But it is possible to speculate that, as business environments change at an ever-increasing pace, so new marketing planning procedures might need to be developed.

Creativity and expediency would appear to be the passwords to this new phase of development.

Summary

We have shown how the acceptance of marketing planning is largely conditioned by the stage of development of the organization and the corporate culture. Thus it is that different modes of marketing planning become more appropriate at different phases of the company's life.

While the marketing planning process itself remains more or less consistent throughout, *how* that process is managed must be congruent with the current organizational culture. The alternative to this would be to take steps to change the company culture and make it more amenable to a particular planning process.

Since culture tends to act to maintain the existing power structure and the status quo, marketing planning interventions in companies must be recognized as having a 'political' dimension and are not purely educational. Not least among the political issues is the question of whether or not a company's management style can adapt sufficiently to enable the marketing planning process to deliver the rewards it promises.

Can managers who have led a company down a particular path suddenly change track? In other words, is it possible for frogs to change into princes?

The iconoclastic books would claim that they can, because this is a much more optimistic message with which to sell copies. However, those who have carried out academic research, or are experienced consultants, would have some reservations.

We remain open-minded about this issue, believing that, if the business pressures on a company are sufficient, intelligent behaviour will win the day. We might be proved wrong, but, in the meantime, this chapter provides some useful messages for both marketing advisers and senior executives of companies.

While we see our research as being an important step along the road to effective marketing planning, we are also realistic enough to recognize that there is still far to travel.

HOW THE MARKETING PLANNING PROCESS WORKS

There is one other major aspect to be considered. It concerns the requisite location of the marketing planning activity in a company. The answer is simple to give.

Marketing planning should take place as near to the marketplace as possible in the first instance, but such plans should then be reviewed at high levels within an organization to see what issues have been overlooked.

It has been suggested that each manager in the organization should complete an audit and SWOT analysis on their own area of responsibility. The only way that this can work in practice is by means of a *hierarchy* of audits. The principle is simply demonstrated in Figure 12.14.

This illustrates the principle of auditing at different levels within an organization. The marketing audit format will be universally applicable. It is only the detail that varies from level to level and from company to company within the same group. For example, any one single company can specify without too much difficulty the precise headings under which information is being sought.

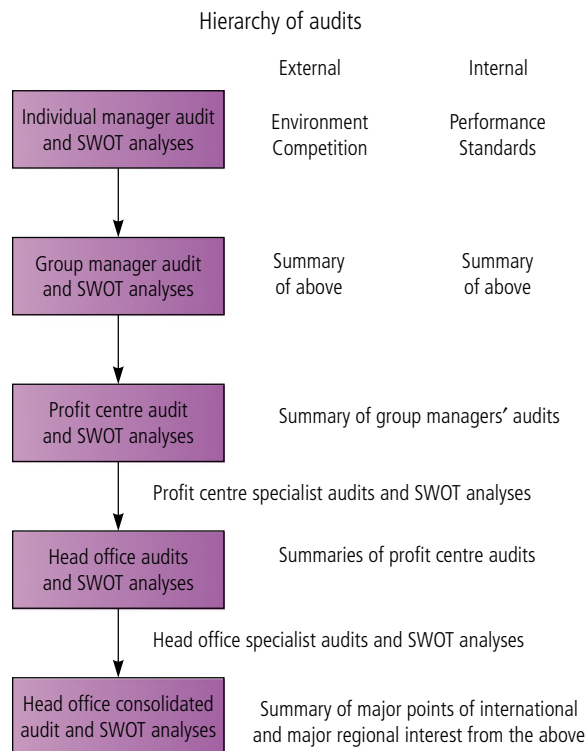


Figure 12.14: A hierarchy of audits.

In the case of an industrial lubricants company, under an assessment of the market environment, information and commentary were required on capital investment schemes, foreign investments, economic growth rates, health and safety regulations (clearly important in this market), inflation rates, tariff protection, and so on, together with an assessment of their effect on the lubricants market.

Under the heading 'market', key product groups and key market sectors were defined (in this case the British Standard Industrial Classification System was used). It was left to each subsidiary to specify what the particular key industries were in their particular territories. Data sheets were provided for this purpose.

In the case of the competitive and the internal audit, each operating unit was merely asked to provide, for each major product, its strengths and weaknesses and those of competitive products; likewise for opportunities and threats. To assist with this process, a checklist was provided which included, inter alia, international approvals from original equipment manufacturers, compliance with health and safety regulations, and so on. Some data sheets were provided for market share analysis by key industry, pricing against competitive products, and so on.

At each operating level, this kind of information can be gathered by means of the hierarchy of audits illustrated in Figure 12.14 with each manager completing an audit for their area of accountability. While the overall format can be universal for a large and diversified group, uniformity is only necessary for units engaged in like activities. The advantages that accrue to the several headquarters levels are substantial in terms of measuring worldwide potential for products and market segments. Without such an information-collecting vehicle, it is difficult to formulate any overall strategic view.

It has to be recognized that information and data are not always readily available in some parts of the world in the sort of format that is required, but given training, resources and understanding between headquarters and units, it is surprising how quickly information links can be forged which are of inestimable value to both sides. The same is also true of agents and distributors, who quickly respond to the give and take of such relationships in respect of audit-type information, which they inevitably find valuable for their own business.

Since, in anything but the smallest of undiversified companies, it is not possible for top management to set detailed objectives for operating units, it is suggested that at this stage in the planning process, strategic guidelines should be issued. One way of doing this is in the form of a strategic planning letter. Another is by means of a personal briefing by the chief executive at 'kick-off' meetings. As in the case of the audit, these guidelines would proceed from the broad to the specific, and would become more detailed as they progressed through the company towards operating units. Table 12.1 contains a list of the headings under which strategic guidelines could be set.

Under marketing, for example, at the highest level in a large group, top management may ask for particular attention to be paid to issues such as the technical impact of microprocessors on electro-mechanical component equipment, leadership and innovation strategies, vulnerability to attack from the flood of products from countries such as India, China and Korea, and so on. At operating company level, it is possible to be more explicit about target markets, product development, and the like.

It is important to remember that it is top management's responsibility to determine the strategic direction of the company, and to decide such issues as when businesses are to be managed for cash, where to invest heavily in product development or market extension for longer-term gains, and so on. If this is left to operating managers to decide for themselves, they will tend to opt for actions concerned principally with today's products and markets, because that is what they are judged on principally. There is also the problem of their inability to appreciate the larger, company-wide position.

Nevertheless, the process just described demonstrates very clearly that there is total interdependence between top management and the lowest level of operating management in the objective- and strategy-setting process.

In a very large company without any procedures for managing this process, it is not difficult to see how control can be weakened and how vulnerability to rapid changes in the business environment around the world can be increased. This interdependence between the top-down/

bottom-up process is illustrated in Figures 12.15 and 12.16, which show a similar hierarchy in respect of objective and strategy setting to that illustrated in respect of audits.

Financial	Operations
Remittances	Land
• dividends	Buildings
• royalties	Plant
Gross margin %	Modifications
Operating profit	Maintenance
Return on capital employed	Systems
Debtors	Raw materials supplies
Creditors	Purchasing
Bank borrowings	Distribution:
Investments	• stock and control
Capital expenditure	• transportation
Cash flow controls	• warehousing
Manpower and organization	Marketing
Management	Target markets
Training	Market segments
Industrial relations	Brands
Organization	Volumes
Remuneration and pensions	Market shares
	Pricing
	Image promotion
	Market research
	Quality control
	Customer service

Table 12.1: Chief executive's strategic planning letter
(possible areas for which strategic guidelines could be issued).



Figure 12.15: Interdependence of strategic and operational planning.

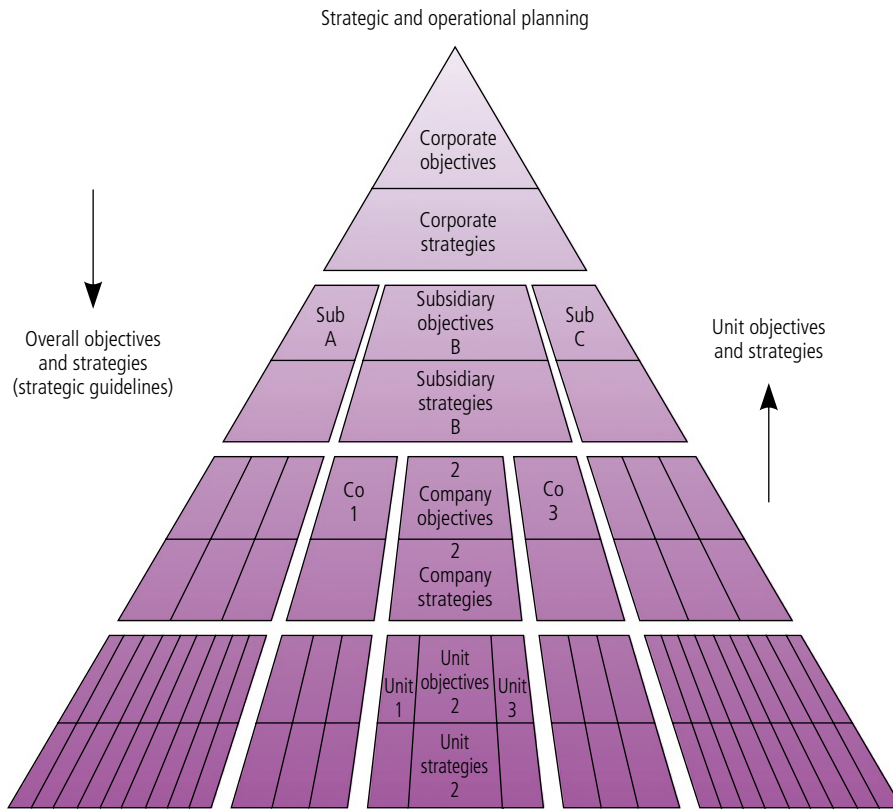


Figure 12.16: The interdependence of top-down/bottom-up planning.

Having explained carefully the point about *requisite* marketing planning, these figures also illustrate the principles by which the marketing planning process should be implemented in any company, irrespective of whether it is a small exporting company or a major multinational. In essence, these exhibits show a *hierarchy* of audits, SWOT analyses, objectives, strategies and programmes.

Figure 12.17 is another way of illustrating the total corporate strategic and planning process. (This was first shown in Chapter 2.) This time, however, a time element is added, and the relationship between strategic planning letters, long-term corporate plans and short-term operational plans is clarified. It is important to note that there are two 'open loop' points on this last diagram. These are the key times in the planning process when a subordinate's views and findings should be subjected to the closest examination by a superior.

It is by taking these opportunities that marketing planning can be transformed into the critical and creative process it is supposed to be, rather than the dull, repetitive ritual it so often turns out to be.

These figures should be seen as one group of illustrations showing how the marketing planning process fits into the wider context of corporate planning.

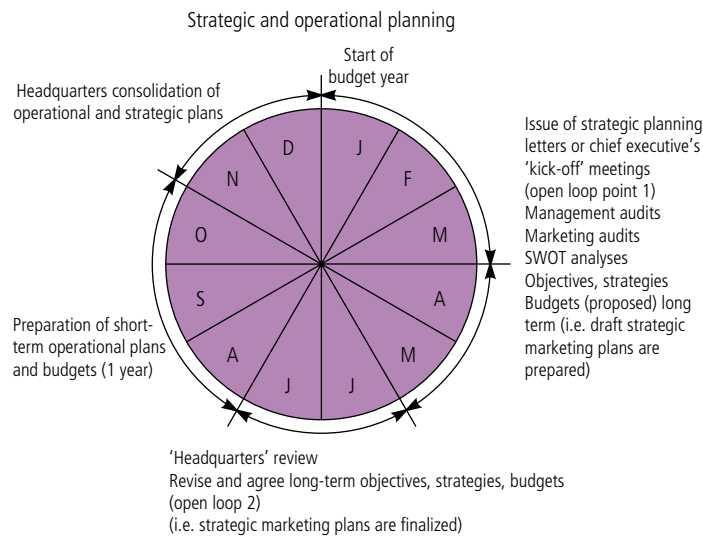


Figure 12.17: A planning timetable.

TEN BARRIERS TO MARKETING PLANNING

This book has described a number of barriers to effective marketing planning. The ten principal barriers are:

1. Confusion between marketing tactics and strategy.
2. Isolating the marketing function from operations.
3. Confusion between the marketing function and the marketing concept.
4. Organizational barriers – the tribal mentality, for example, the failure to define strategic business units (SBUs) correctly.
5. Lack of in-depth analysis.
6. Confusion between process and output.
7. Lack of knowledge and skills.
8. Lack of a systematic approach to marketing planning.
9. Failure to prioritize objectives.
10. Hostile corporate cultures.

The '10S' Approach to Overcoming these Barriers

Figure 12.18 summarizes the '10S' approach developed by the authors to overcome each of these barriers. The sections which follow elaborate briefly on each of the '10Ss'. Ten fundamental principles of marketing planning are provided.

Marketing planning – Principle 1. Strategy before tactics

Develop the strategic marketing plan first. This entails greater emphasis on scanning the external environment, the early identification of forces emanating from it, and developing appropriate strategic responses, involving all levels of management in the process.

A strategic plan should cover a period of between three and five years, and only when this has been developed and agreed should the one-year operational marketing plan be developed.

Never write the one-year plan first and extrapolate it.

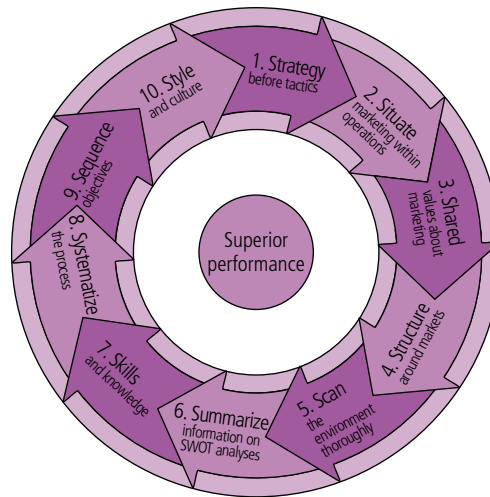


Figure 12.18 Marketing planning for competitive strategy.

Marketing planning – Principle 2. Situate marketing within operations

For the purpose of marketing planning, put marketing as close as possible to the customer. Where practicable, have both marketing and sales report to the same person, who should not normally be the chief executive officer.

Marketing planning – Principle 3. Shared values about marketing

Marketing is a management process whereby the resources of the whole organization are utilized to satisfy the needs of selected customer groups in order to achieve the objectives of both parties. Marketing, then, is first and foremost an attitude of mind rather than a series of functional activities confined to the marketing department. However, use the expression 'market led' or 'customer driven' to describe the philosophy, *not* 'marketing driven'.

Marketing planning – Principle 4. Structure around markets

Organize company activities around customer groups if possible rather than around products or functional activities and get marketing planning done in these strategic business units. Without excellent marketing planning in SBUs, corporate marketing planning will be of limited value.

Marketing planning – Principle 5. Scan the environment thoroughly

For an effective marketing audit to take place:

- Checklists of questions customized according to level in the organization should be agreed.
- These should form the basis of the organization's management information system.
- The marketing audit should be a *required* activity.
- Managers should not be allowed to hide behind vague terms like 'poor economic conditions'.
- Managers should be encouraged to incorporate the tools of marketing in their audits, e.g. product lifecycles, portfolios, and so on.

Marketing planning – Principle 6. Summarize information in SWOT analyses

Information is the foundation on which a marketing plan is built. From information (internal and external) comes intelligence.

Intelligence describes the *marketing plan*, which is the intellectualization of how managers perceive their own position in their markets relative to their competitors (with competitive

advantage accurately defined – e.g. cost leader, differentiation, niche), what objectives they want to achieve over some designated period of time, how they intend to achieve their objectives (strategies), what resources are required, and with what results (budget).

A 'SWOT' should:

- be focused on each specific segment of crucial importance to the organization's future
- be a summary emanating from the marketing audit
- be brief, interesting and concise
- focus on *key* factors only
- list *differential* strengths and weaknesses vis-à-vis competitors, focusing on competitive advantage
- list *key* external opportunities and threats only
- identify and pin down the real issues – it should not be a list of unrelated points
- enable the reader to grasp instantly the main thrust of the business, even to the point of being able to write marketing objectives
- follow the implied question 'which means that . . . ?' to get the real implications
- not over-abbreviate.

Marketing planning – Principle 7. Skills and knowledge

Ensure that all those responsible for marketing in SBUs have the necessary marketing knowledge and skills for the job. In particular, ensure that they understand and know how to use the more important tools of marketing, such as:

1. Information
 - how to get it
 - how to use it.
2. Positioning
 - market segmentation
 - Ansoff
 - Porter.
3. Product lifecycle analysis
 - gap analysis.
4. Portfolio management
 - BCG matrix
 - directional policy matrix.
5. The 4Ps management
 - product
 - price
 - place
 - promotion.

Additionally, marketing personnel require communications and interpersonal skills.

Marketing planning – Principle 8. Systematize the process

It is essential in complex organizations to have a set of written procedures and a well-argued common format for marketing planning. The purposes of such a system are:

1. To ensure that all key issues are systematically considered.
2. To pull together the essential elements of the strategic planning of each SBU in a consistent manner.
3. To help corporate management to compare diverse businesses and to understand the overall condition of, and prospects for, the organization.

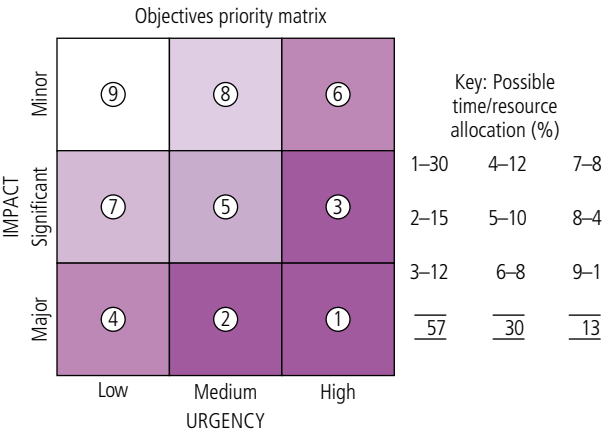


Figure 12.19: Objectives priority matrix.

Marketing planning – Principle 9. Sequence objectives

Ensure that all objectives are prioritized according to their impact on the organization and their urgency and that resources are allocated accordingly.

A suggested method for prioritization is given in Figure 12.19.

Marketing planning – Principle 10. Style and culture

Marketing planning will not be effective without the active support and participation of the culture leaders. But, even with their support, the type of marketing planning has to be appropriate for the phase of the organizational lifeline. This phase should be measured before attempting to introduce marketing planning.

APPLICATION QUESTIONS

- 1. Does the principle of hierarchies of audits, SWOTs, objectives, strategies and programmes apply in your company? If not, describe how they are handled.
- 2. If it does, describe in what ways it differs from the principles outlined here.
- 3. Design a simple system for your company, or describe in what ways your existing system could be improved.

CHAPTER 12 REVIEW

Conditions that must be satisfied

- 1. Any closed-loop planning system, especially if it is based just on forecasting and budgeting, will deaden any creative response and will eventually lead to failure.
- 2. Marketing planning that is not integrated with other functional areas of the business at general management level will be largely ineffective.
- 3. The separation of operational and strategic marketing planning will lead to divergent plans, with the short-term viewpoint winning because it achieves quick results.

4. The chief executive must take an active role.
5. It can take three years to introduce marketing planning successfully.

Try Exercises 12.1 and 12.2

Ten principles of marketing planning

1. Develop the strategic plan first; the operational plan comes out of this.
2. Put marketing as close as possible to the customer and have marketing and sales under one person.
3. Marketing is an attitude of mind, not a set of procedures.
4. Organize activities around customer groups, not functional activities.
5. A marketing audit must be rigorous. No vague terms should be allowed, and nothing should be hidden. Managers should use tools like portfolio analysis and product lifecycle.
6. SWOT analyses should be focused on segments that are critical to the business; concentrate only on key factors that lead to objectives.
7. People must be educated about the planning process.
8. There has to be a plan for planning.
9. All objectives should be prioritized in terms of their urgency and impact.
10. Marketing planning needs the active support of the chief executive and must be appropriate for the culture.

Planning horizon

There is a natural point of focus in the future beyond which it is pointless to plan for. This can differ from firm to firm, depending on its business. Generally, small firms can use shorter horizons, because they are flexible, to adjust to change. Large firms need longer horizons.

Planning paradox

Companies often set out to achieve the impossible. It is not unknown to see planning objectives that seek to:

- maximize sales
- minimize costs
- increase market share
- maximize profits.

Not only are these incompatible, but they damage the credibility of the managers who subscribe to such commitments.

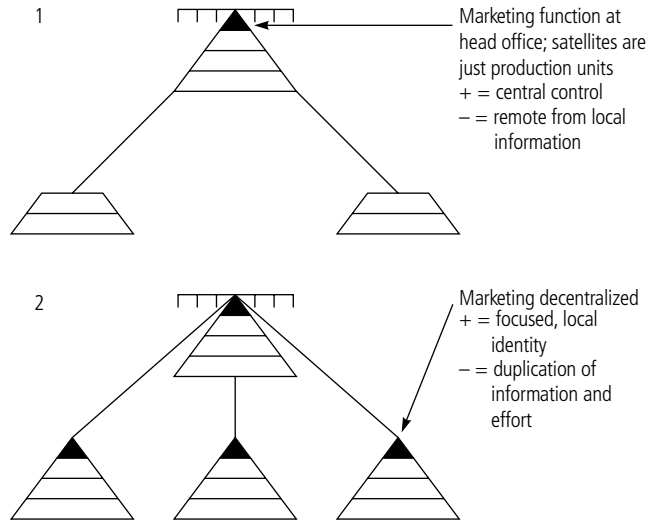
Organizational barriers

A number of potential barriers exist:

1. *Cognitive* – not knowing enough about marketing planning.
2. *Cultural* – the company culture is not sufficiently developed for marketing planning.
3. *Political* – the culture carriers feel threatened by marketing.
4. *Resources* – not enough resources are allocated to marketing.
5. *Structural* – lack of a plan and organization for planning.
6. *Lack of a good management information system.*

Try Exercise 12.3**Centralization versus decentralization**

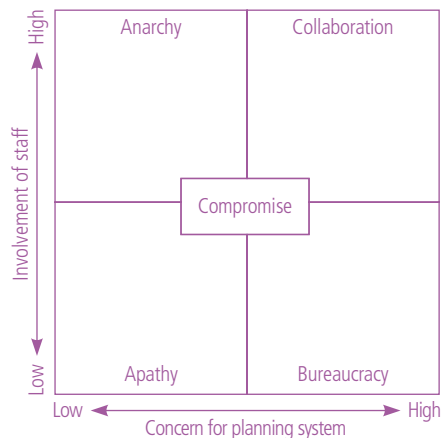
For multi-unit/international organizations there are two possibilities.



Choose an approach where the advantages outweigh the disadvantages.

Try Exercise 12.4**Questions raised for the company**

1. Q: What influences whether research is carried out internally or by external consultants?
A: There can be a number of factors – speed, timing, cost, nature of the research problem, skill requirements, the need for anonymity or objectivity, access of information, etc. Each decision must be taken on its merits.
2. Q: What criteria should be used to assess external researchers?
A: Again, there are a number of issues to consider.
 - a. Reputation – in general, in the industry, for particular types of research, etc.
 - b. Capability and experience – how long established, quality and qualifications of staff, number of staff, repeat business, recommendations and references, etc.
 - c. Organization – size, links with sources of information, premises, location, geographical coverage, full-time or part-time interviewers, terms of business, etc.
3. Q: Are there different approaches to marketing planning?
A: We believe there are. Please see the following diagram.



The most successful marketing plans are collaborative. Here, relevant executives take part in the process in a caring way, and at the same time planning is done rigorously.

EXERCISES

Exercise 12.1 looks at the theory issue of how formalized the planning process should be, and how to take the correct steps to get close to the ideal system for your company.

Exercise 12.2 examines how to set up a timetable for planning. This is particularly useful in getting all contributors to the marketing plan working in unison, and coming up with the necessary information at the appropriate time.

Exercise 12.3 provides a diagnostic to evaluate the extent to which the firm exhibits barriers to marketing planning, and what can be done to overcome them.

Exercise 12.4 examines the strengths and weaknesses of the current organizational structure.

Exercise 12.5 provides simulation practice.

Exercise 12.1 Designing the marketing planning system

Figure 12.20 shows how the degree of formalization of the marketing planning process relates to company size and the diversity of its operations.

1. Select a position on this figure which best describes your company's situation.

(Continued)

		Company size		
		Large	Medium	Small
Market/product diversity	High	High formalization	High/medium formalization	Medium formalization
	Medium	High/medium formalization	Medium formalization	Low formalization
	Low	Medium formalization	Low formalization	Very low formalization

Figure 12.20: Marketing planning.

2. In the space below, write down a few key words or sentences that would best describe the marketing planning system you would need for your company, e.g. high formalization, etc.

Identifying the improvement areas

1. Imagine that it is possible to measure the efficiency of a marketing planning system on a scale of 0–100, where 100 is equivalent to a 100 per cent efficiency, i.e. the system works well and conforms with your model. How would you rate the current approach to marketing planning in your company? To what extent does it match up with your ideal?
2. Enter your score into Figure 12.21, drawing a horizontal line as shown.

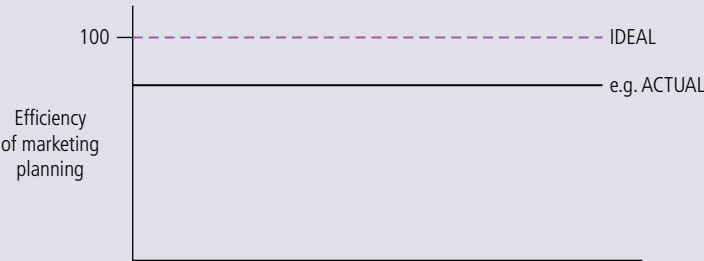


Figure 12.21 Efficiency of marketing plannings ideal and actual.

The difference between your score line and the ideal must represent where there is room for improvement.

Transfer your score line to the worksheet, the force field diagram, then complete the worksheet by following the instructions given below.

Worksheet Force field diagram (1) (Exercise 12.1)



- Identify all those factors that have 'pushed' your actual efficiency line below the ideal. Add them to the worksheet, showing them as actual forces pushing down. If you can, represent the biggest forces with longer arrows, as shown in Figure 12.22. You will probably have more than three factors, so list as many as you can. Remember, you should be noting only those that affect the marketing planning system, not the company's general approach to marketing. We will call these downward forces 'restraining forces', because they are acting against improvement.

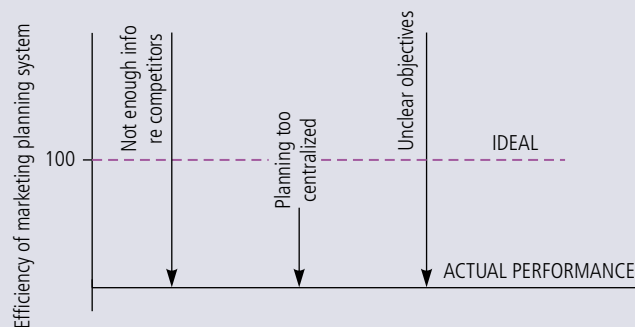


Figure 12.22: Force field diagram (2).

- Now ask yourself, why isn't the actual performance line you have drawn lower than it is? The reason is, of course, that there are several parts of the system that work well, or there are other strengths in your company. Identify these positive forces and add them to the worksheet, as shown in Figure 12.23, again relating the arrow size approximately to the influence of each factor.

Again, the factors shown above are only examples. You will identify many more. We call these 'driving forces' because they are pushing towards improvement.

(Continued)

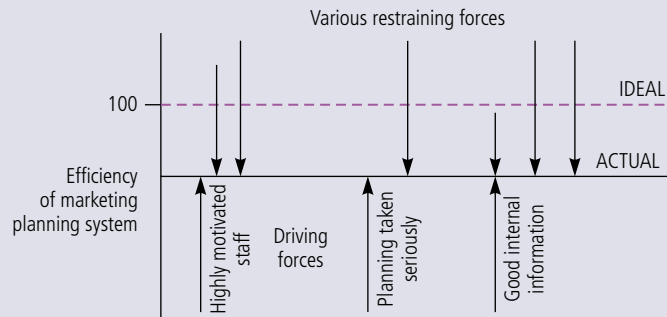


Figure 12.23: Force field diagram (3).

5. The worksheet should now be complete, showing the two sets of forces lined up against each other. What next? Well, it might have struck you that what you have assembled is somewhat analogous to a ship at sea. Your ship (the marketing planning system) is wallowing below its ideal level in the water but is prevented from sinking by buoyant forces (driving forces). To restore the ship to its correct level, it would be natural to remove or jettison some of the cargo (the restraining forces), not to try to get out and push from below. As it is for the ship, so it is for your marketing planning system, therefore:
 - a. Select the major restraining forces and work out ways that you can reduce their impact, or preferably eliminate them altogether. These will be the source of the greatest improvements, but some remedies might need time to take effect.
 - b. So, concurrently, select minor restraining forces and plan to eliminate them also. Although their impact on improvement might be less, you will probably find they respond more quickly to treatment.
 - c. Finally, select the smallest driving forces and work out if there are any ways to increase their impact.
6. Assemble your various responses to 5(a), (b) and (c) together into a comprehensive improvement plan, then take steps to get it accepted and acted upon.

Put most of your energy into removing the restraining factors. To focus on the major driving forces, for example, trying to make highly motivated staff even more motivated, is likely to be counterproductive.

Force field analysis theory

The force field analysis, upon which much of designing a system is based, stems from the work of Kurt Lewin.^{14, 15}

His reasoning, adapted to the programme situation, operates thus:

1. If a company's marketing system is functioning well, then the company could be said to have no problems. Diagrammatically, the efficiency level could be shown at something approaching 100 per cent. See Figure 12.24.
2. Few companies reach this happy state of affairs. Without resorting to precise measurement (a consensus of views is generally enough), most companies would 'score' their planning system somewhat lower, as shown in Figure 12.25.



Figure 12.24: Force field diagram (4).

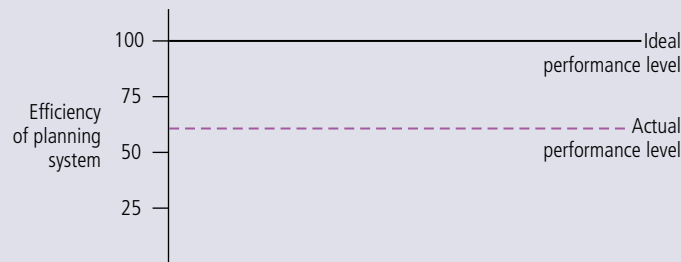


Figure 12.25: Force field diagram (5).

3. Wherever the 'actual' line is drawn, it poses two interesting questions upon which the subsequent analysis hinges, namely:
 - a. What causes the performance level to be where it is?
 - b. Why doesn't it fall any lower?
 4. Clearly the answer to 3(a) is that things are going wrong in the system; that there are missing or malfunctioning areas. Until these are put right, there will always be a drag on the efficiency, holding it down. These negative forces are termed restraining forces, because they are restraining improvement.
 5. Similarly, the reason that efficiency does not drop lower than has been shown is that there must be several parts of the planning system that work quite well. There are many strengths in the system. These positive factors are termed driving forces, because they are the forces pushing towards better efficiency.
 6. In Figure 12.14, for the efficiency of the planning system to be below the ideal level, then the restraining forces must be greater than the driving forces.
 7. Let us take a simple illustration. We are driving a car and it is going more slowly than it ought to because the brakes are rubbing (restraining force). If we want to resume driving at normal speed then we have two courses of action open to us:
 - a. we can put our foot down on the accelerator (increase the driving force)
 - b. we can free the brakes (remove the restraining force).
- We can see that by putting our foot down all sorts of troubles are likely to materialize. Unless something is done to free the brakes, then probably they would overheat, perhaps catch fire or jam up completely.

(Continued)

8. A similar overheating could take place in the company's marketing planning system unless it is tackled properly. To get lasting improvements, it will be important to identify all the restraining and driving forces. Indeed, many of the earlier exercises were designed to do just this. Using this information, it will be important to *plan how to reduce or remove the restraining forces and, only when that is done, consider how to plan to boost the driving forces.*
9. Figure 12.26 is an example of how a finished force field diagram might look, although most people will have identified several more factors than shown here. Many of the factors identified by you ought to be unique to your company.

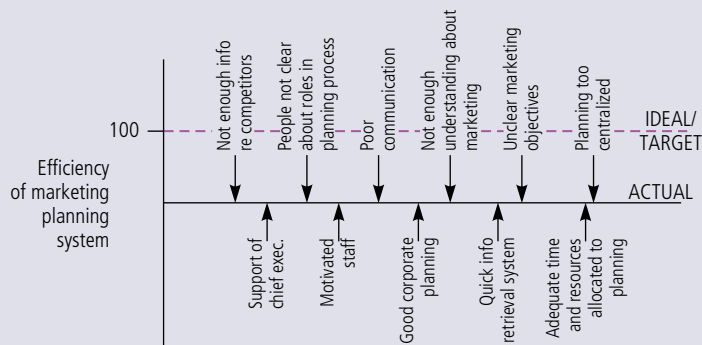


Figure 12.26: Completed force field analysis.

Notes

1. Remember that only factors that affect the marketing planning process ought to appear in the force field diagram.
2. It is possible to draw the force arrows proportional in length to their influence.

Exercise 12.2 Implementing the marketing planning system

Perhaps you will be unable to implement a marketing planning system until your improvement plan from Exercise 12.1 has eliminated the more serious obstacles. Nevertheless, from what you have read in this book, you will know that a successful marketing planning system will have to follow these steps.

1. There will have to be guidance provided by the corporate objectives.
2. A marketing audit must take place.
3. A gap analysis must be completed.
4. A SWOT analysis must be drawn up.
5. Assumptions and contingencies must be considered.
6. Marketing objectives and strategies must be set.

7. Individual marketing programmes must be established.
8. There must be a period of review and measurement.

Because of the work required, all this takes time. Various people might have to participate at different stages. There will certainly have to be several meetings or discussions with other functional departments, either to get information or to ensure collaboration.

Therefore, in order to keep the planning 'train' on the 'rails', it will be in everybody's interest to be clear about the sequencing of these different activities, to have a schedule or timetable.

As the company gets more experienced in planning, then probably the timetable can be tightened up and the whole planning period shortened. However, to get events into perspective, it is often helpful to present a timetable of the planning activities, as shown in Figure 12.27. The circle represents a calendar year and the time periods are merely examples – not to be taken as recommended periods.

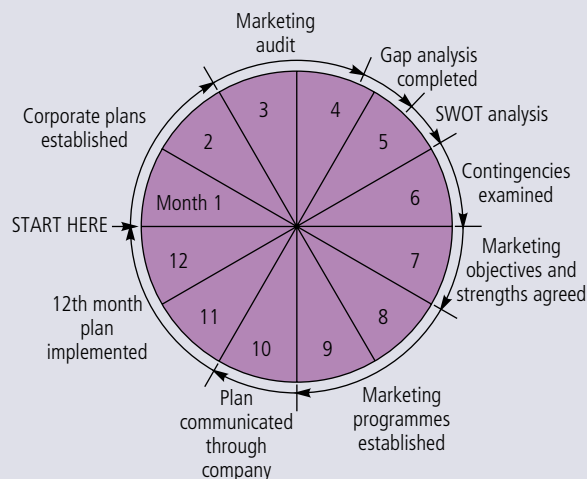


Figure 12.27: Marketing planning timetable.

In the second planning year, months 11 and 12 could be used to evaluate the first year's plan and thereby prepare information for the next round of corporate planning.

This diagrammatic approach clearly shows how the planning process is a continual under-current throughout the year.

Now, as your final task, try drawing up the planning timetable for your company using Figure 12.28.

(Continued)

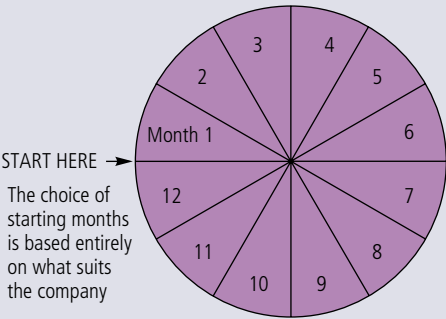


Figure 12.28: Marketing planning timetable template.

Exercise 12.3 Marketing planning questionnaire – organizational issues

You are asked to answer a series of statements about your organization’s approach to marketing planning. Since this quest is for useful and genuine data, please try to be as accurate and objective as you can as you complete this document.

You score the questionnaire by entering a number, 1–5, only in the position indicated by the line next to each statement. Choose your scores, using these criteria:

- 1. If you strongly disagree with statement
- 2. If you tend to disagree with statement
- 3. If you don’t know if you agree or disagree
- 4. If you tend to agree with statement
- 5. If you strongly agree with statement.

	A	B	C	D	E
1. The chief executive and directors show an active interest in marketing planning					-
2. The chief executive and directors demonstrate their understanding of marketing planning	-				
3. The chief executive and directors use the marketing plan as the basis for making key marketing decisions				-	
4. The chief executive and directors allocate adequate resources to ensure the marketing plan is completed satisfactorily		-			
5. The need for a marketing plan is clearly explained to all managers	-				
6. There is adequate information/data upon which to base a marketing plan		-			
7. Our marketing plan has a good balance between short-term and long-term objectives			-		
8. People are clear about their role in the marketing planning process					-

	A	B	C	D	E
9. Line managers are trained to understand how the marketing planning process operates	-				
10. Line operational managers believe the marketing plan is a useful document				-	
11. Enough time is allowed for the planning process		-			
12. It is made easy for line managers to understand the plan	-				
13. Marketing planning is never starved for lack of resources		-			
14. It is reasonable for a company like ours to have a well-thought-out marketing plan				-	
15. Reasons for past successes or failures are analysed			-		
16. In our organization we don't leave planning just to the planners; other managers have a valuable contribution to make					-
17. Our organizational style encourages a sound marketing planning process				-	
18. There is a clear understanding of the marketing terminology we use in our organization	-				
19. Market opportunities are highlighted by the planning process			-		
20. Functional specialists contribute to the marketing planning process					-
21. We limit our activities so that we are not faced with trying to do too many things at one time		-			
22. Taking part in marketing planning in our organization holds a high prospect of being rewarded, either financially or in career terms				-	
23. Only essential data appear in our plans			-		
24. Marketing does not operate in an 'ivory tower'				-	
25. From the wealth of information available to use, we are good at picking out the key issues	-				
26. There is a balance between narrative explanation and numerical data in our plans			-		
27. Our field sales force operates in a way which is supportive to our marketing plan					-
28. Our plan demonstrates a high level of awareness of the 'macro' issues facing us	-				
29. Inputs to the planning process are on the whole as accurate as we can make them		-			
30. Marketing planning is always tackled in a meaningful and serious way			-		

(Continued)

	A	B	C	D	E
31. Our plan doesn't duck the major problems and opportunities faced by the organization				-	
32. There is a high awareness of 'micro' issues in our plan	-				
33. Our plans recognize that in the short term we have to match our current capabilities to the market opportunities		-			
34. Inputs to the marketing planning process are an integral part of the job of all line managers					-
35. Marketing planning is a priority issue in our organization				-	
36. Our planning inputs are not 'massaged' to satisfy senior executives		-			
37. People understand and are reasonably happy that our marketing planning process is logical and appropriate	-				
38. We use the same timescale for our marketing plans as we do for finance, distribution, production and personnel		-			
39. We view our operational plan as the first year of our long-term plan, not as a separate entity			-		
40. Senior executives do not see themselves as operating beyond the confines of the marketing plan				-	
41. The advocates of 'correct' marketing planning are senior enough in the company to make sure it happens			-		
42. People are always given clear instructions about the nature of their expected contribution to the marketing plan		-			
43. We try to make data collection and retrieval as simple as possible	-				
44. Our marketing plans do not go into great detail, but usually give enough information to make any necessary point			-		
45. The role of specialists is made quite clear in our planning process					-
46. We are always prepared to learn any new techniques that will make our marketing planning process more effective	-				
47. The role of marketing planning is clearly understood in the organization					-
48. Marketing research studies (by internal staff or agencies) are often used as inputs to our marketing planning process		-			-
49. Our marketing planning is regularly evaluated in an attempt to improve the process			-		
50. The chief executive and directors receive information which enables them to assess whether or not the marketing plan is coming to fruition as expected					-
TOTAL SCORES					

Add up the total scores in each column.

The rationale behind the questionnaire

There are many ways of looking at organizations and establishing 'models' of how they operate. One very common model is the organization chart, which attempts to show how responsibility is distributed throughout the company and to clarify the chains of command.

Other models are derived from the inputs and outputs of the company. For example, a financial model is built up by analysing all the necessary financial inputs required to conduct the business and monitoring the efficiency by which these are converted into sales revenue.

The questionnaire in this exercise is based on a particularly useful model, one which helps us to understand the relationship between different facets of the organization. By understanding the nature of these relationships, we are better placed to introduce organizational change – in this case, an improved marketing planning system.

There are three main assumptions behind this model:

1. *That the organization today is to some extent often very strongly conditioned by its historical background.* For example, if historically there has never been a pressing need for a comprehensive marketing planning system because of favourable trading conditions, then this will be reflected in the current planning system and the attitudes of the company's staff.
2. *That the organization today is to some extent sometimes strongly conditioned and directed by its future goals.* For example, the company that senses its marketing planning processes need to improve will take steps to introduce changes. That these changes will make an impact on organizational life is self-evident. Furthermore, much of the resistance to be overcome will stem from the 'historical' forces mentioned above.
3. *What actually happens in an organization is determined by the skills, knowledge, experience and beliefs of the organization's personnel.* Thus at the heart of any organization is the collective expertise or 'knowledge' at its disposal. This will ultimately determine the success it has in any work it undertakes, whether it is making goods or providing services.

Clearly, then, the level of 'knowledge' will also be a determining factor in the quality and scope of the company's marketing planning process. These assumptions provide the following 'skeleton' of our organizational model (see Figure 12.29).

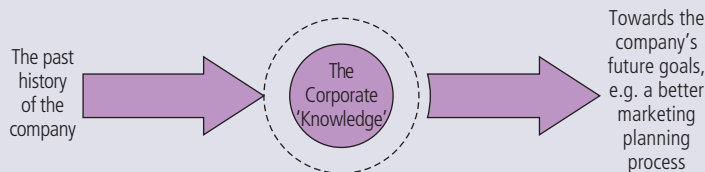


Figure 12.29: Knowledge and marketing planning.

(Continued)

There are still important elements missing from this model. Irrespective of the company's corporate sum of available skills and knowledge, nothing can be produced without physical resources being made available. The key resources required for marketing planning will be accurate data, means of storing and retrieving the data, adequate staff and time to analyse the data.

There are still important elements missing from this model. Irrespective of the company's corporate sum of available skills and knowledge, nothing can be produced without physical resources being made available. The key resources required for marketing planning will be accurate data, means of storing and retrieving the data, adequate staff and time to analyse the data.

However, having the right resources isn't the whole solution; the company must also develop the best systems or routines to optimize the use of these resources. In marketing planning terms, concern is likely to focus on routines associated with collecting data, evaluating past performance, spotting marketing opportunities, sifting essential information from non-essential information, and so on.

Routines, however, do not necessarily look after themselves. As soon as any system is set up, roles and relationships need to be defined. Who is going to do what to ensure that things happen?

Again, in marketing planning terms this will call into question the role of various members of staff from the chief executive downwards. How clear are people about their role in the planning process? Should planning just be left to the planning department? What is the role of functional specialists? Who actually collects marketing data? Whom do they present it to? Many questions have to be answered if the subsequent routines are going to function smoothly.

Even this isn't the end of the story, because once roles are defined, there is still the problem of setting up the right organizational structure and climate, one that will enable people to fulfil their roles in a productive way.

From a marketing planning viewpoint, structure and climate issues surface in several ways. For example, the level of commitment to the planning process, the degree to which functional specialists are integrated into the planning process, the degree to which long- and short-term issues are accommodated, the extent to which the company is prepared to tackle the real and important issues it faces, the openness of communications, and so on.

It is now possible to see how the completed model looks (see Figure 12.30).

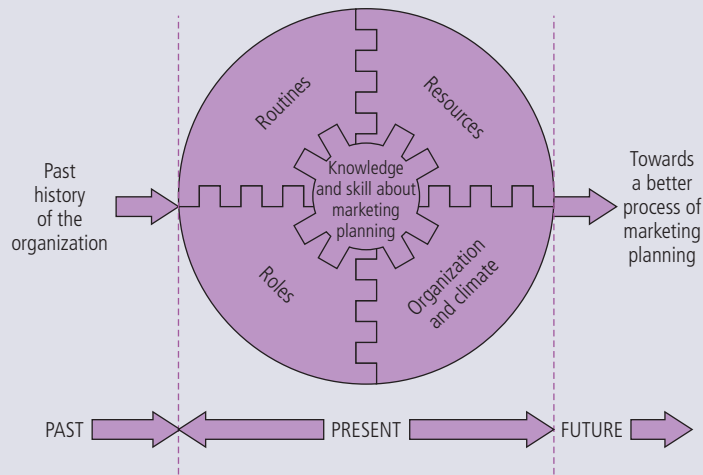


Figure 12.30: Marketing planning model.

From the foregoing explanation, it is possible to see how the different facets of the organization all interrelate:

- A. the 'corporate knowledge', about marketing planning
- B. the resources allocated to planning
- C. the routines or systems that are used
- D. the roles and relationships of those engaged in marketing planning
- E. the organizational structure and climate, and the extent to which it supports marketing planning.

Thus, to introduce an improved marketing planning system might call for changes in all these areas. Some personnel might need training, more or different resources might be required, routines or systems might need improving, roles and relationships perhaps need to be reappraised, and the structure and climate of the organization re-examined.

Conversely, only one or two of these areas might need tackling. The questionnaire is designed to provide a 'snapshot' of the company and to help you identify which areas might be the starting point for introducing improvements.

Interpretation of Exercise 12.3

Add up the scores for columns A, B, C, D and E and write them in the boxes provided. Each of the letters represents a potential barrier to marketing planning, namely:

- A. Cognitive barrier, i.e. knowledge and skills
- B. Resource barrier, i.e. lack of time, people, data
- C. Systems/routine barrier, i.e. lack of procedures

(Continued)

- D. Organizational climate barrier, i.e. belief and interest in marketing planning
- E. Behaviour barrier, i.e. the roles people play

The maximum score for each of these areas is 50 points. The higher the score, the less that potential barrier to marketing is likely to be making an impact. In other words, the areas with low scores (below 30) will probably be the areas worth investigating initially in the search for improvement.

Implications for action

List what actions need to be taken.

Exercise 12.4 Organizational structure

Business environments are always changing. Demand patterns change, new technology comes in, new legislation is introduced, there is an economic crisis, and so on.

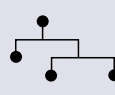
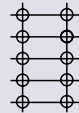
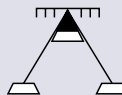
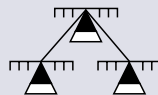
Since the key to successful marketing is to have a suitable organization structure, one that can adjust and cope with the environment, it is not surprising that much experimentation has taken place with the different types of structure. Perhaps no one has yet found the perfect answer to this complex problem of getting the organization right. Nevertheless, research studies have shown that, in certain circumstances, some types of structure are going to be more successful than others.

The accompanying worksheet tries to encapsulate these findings in a fairly crude way, showing that structure will to some extent relate to company size and the diversity of its operations. The degree of formality in the marketing planning process will also be related to these factors.

Please answer the following questions:

1. Where would you place your company on the size/complexity of operations continuum?
2. How does your current structure compare with that suggested on the chart?
3. Do the breakdown signals sound familiar?
4. In what ways do you think your structure ought to change?

Worksheet Organizational structure (Exercise 12.4)

Company size	small					large
Diversity of products	low					high
Diversity of markets	low					high
Degree of formalization of planning	low					high
Typical organizational structure						
Description	'Pioneer'	'Scientific'	'Matrix'	'Centralized'	'Decentralized'	
Description	No need for big systems One person can cope Frequent but informal communications Highly flexible	System becomes developed Specialist roles created Communications more formal	More flexibility in dealing with products and markets Communication frequent and informal	Centralized marketing restores element of control Expertise from specialist roles	Marketing specialists in close touch with operating units	
Breakdown signals	Person can't cope Becomes difficult to get answers	Communications breakdown People get frozen into roles	As size/diversity increases, management loses control Communication breakdown	Get out of touch with what is happening in the field Slow responding	Duplication of effort, work Costly in manpower	

Exercise 12.5 Simulation practice

In your game:

1. Reflect upon your company's performance so far. To what extent has this been driven by the success of the strategy and to what extent has this been driven by successful implementation?
2. Reflecting both on your company and how you work as a team, what are your barriers to better implementation? For more information on this, see Bradford et al. (2012).¹⁶
3. How can you improve your ability to implement the strategy more *effectively* (e.g. faster, across the entire market, hitting the objectives on time and achieving greater impact on the competitors)?
4. How can you improve your ability to implement the strategy more *efficiently* (e.g. by using less resources and generating more profits)?
5. Can you improve the way you are organized as a team?
6. For a real digital music company:
 - a. What marketing tasks should be kept local and what placed in a global Centre of Excellence?
 - b. How can artificial intelligence be exploited to improve both the plan and its implementation?

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Chapter

13

MEASURING THE EFFECTIVENESS OF MARKETING PLANNING

SUMMARY

- An appraisal of marketing investment techniques
- Shareholder value added
- Marketing due diligence and assessing the riskiness of strategic marketing plans
- Linking marketing expenditure to corporate financial objectives
- Measuring promotional expenditure effectiveness
- Measures for digital media channels
- Exercises to turn the theory into practice

A THREE-LEVEL MARKETING ACCOUNTABILITY FRAMEWORK

The ultimate test of marketing investment, and indeed any investment, is whether it creates value for shareholders. But few marketing investments are evaluated from this perspective, and many would argue that it is almost impossible to link financial results to any specific marketing activity.

But increasingly, boards of directors and city analysts the world over are dissatisfied with this lack of accountability for what are, very often, huge budgets. Cranfield School of Management decided to tackle this problem systematically with a thorough, multi-year research project through its Marketing Value Added Research Club, later renamed the Marketing Accountability Research Club, a syndicate of several blue-chip companies. The club set out to create and test

a new framework which shows how marketing systematically contributes to shareholder value, and how its contribution can be measured in an objective and comparable way.

MARKETING INSIGHT

There is an urgent need for such a framework. Not only does marketing need it, to answer the widespread accusations of poor performance,¹ but corporate and financial strategists need it too, to understand how to link marketing activities to the wider corporate agenda. All too often marketing objectives and strategies are not aligned with the organization's overall plans to increase shareholder value.

The purpose of this chapter is to set out the logic of this framework, which is underpinned by a Cranfield PhD² and two books^{3, 4} dedicated to the topic.

The chapter starts with a brief justification of the need for a wholly new approach to measuring the effectiveness of marketing.

It then proceeds to set out another accountability framework also developed in the Cranfield Research Clubs.

The work on marketing effectiveness is continuing in research in Cranfield, Warwick, Smart-Insights.com and elsewhere.⁵⁻⁸ However, this chapter provides some fundamental principles of marketing metrics.

WHAT COUNTS AS MARKETING EXPENDITURE?

Historically, marketing expenditure has tended to escape rigorous performance appraisal for a number of reasons. First, there has been real confusion as to the true scope and nature of marketing investments. Too often, marketing expenditure has been assumed to be only the budgets put together by the marketing function, and as such, a (major) cost to be controlled rather than a potential driver of value. Second, the causal relationship between expenditure and results has been regarded as too difficult to pin down to any useful level of precision.

Now, because of the demands of increasingly discerning customers and greater competition, marketing investments and marketing processes are under scrutiny as never before. From the process point of view, as a result of insights from management concepts such as the quality movement and re-engineering, marketing is now much more commonly seen as a cross-functional responsibility of the entire organization rather than just the marketing department's problem.

Howard Morganis, past Chairman of Procter and Gamble, said, 'There is no such thing as a marketing skill by itself. For a company to be good at marketing, it must be good at everything else, from R&D to manufacturing, from quality controls to financial controls.' Hugh Davidson, in *Offensive Marketing*, commented, 'Marketing is an approach to business rather than a specialist discipline. It is no more the exclusive responsibility of the marketing department than profitability is the sole charge of the finance department.'⁹

But there is also a growing awareness that, because of this wider interpretation of marketing, nearly all budgets within the company could be regarded as marketing investments in one way or another. This is especially the case with IT budgets. The exponential increase in computing power has made it possible to track customer perceptions and behaviours on a far greater scale, and with far greater precision than previously. When used correctly, these databases and analytical tools can shed a much greater light on what really happens inside the 'black box'. However, the sums involved in acquiring such technologies are forcing even the most slapdash of companies to apply more rigorous appraisal techniques to their investments in this area.

This wider understanding of what 'marketing' is really all about has had a number of consequences. First, the classic textbook treatment of strategic issues in marketing has finally caught up with reality.

Topics such as market and customer segmentation, product and brand development, databases and customer service and support are now regularly discussed at board level, instead of being left to operational managers or obscure research specialists.

CEOs and MDs are increasingly accepting that they must take on the role of chief marketing officer if they want to create truly customer-led organizations. Sir Clive Thompson – highly successful chairman of Rentokil among many other appointments – commented, 'I am convinced that corporate and marketing strategy are more or less the same things. The chief executive has to be the chief marketer. If you delegate that responsibility, you are not doing your job.'

Second, because of their 'new' mission-critical status, marketing investments are attracting the serious attention of finance professionals. As part of a wider revolution in thinking about what kind of corporate assets are important in today's business environment, intangibles such as knowledge about customers and markets, or the power of brands, have assumed a new importance. The race is on to find robust methods of quantifying and evaluating such assets for the benefit of corporate managements and the wider investment community.

Unfortunately, this new focus on the importance of marketing has not improved the profile of marketing professionals. Instead, the spotlight has merely highlighted their weaknesses and shortcomings. After one survey on the perceived status of the profession, John Stubbs, CEO of the UK Marketing Council, was forced to comment, 'I was taken aback by just how little reputation marketing actually has among other functions . . . marketing and marketers are not respected by the people in their organizations for their contributions to business strategy, results or internal communication. We often do not know what or who is good or bad at marketing; our measurements are not seen as credible; our highest qualifications are not seen to have compatible status with other professions.'

MARKETING INSIGHT

A survey at Cranfield during a two-year period has revealed that marketers are seen as 'slippery, expensive, unreliable and unaccountable'.

THREE DISTINCT LEVELS FOR MEASURING MARKETING EFFECTIVENESS

When one of the authors was marketing director of a fast-moving consumer goods (FMCG) company 30 years ago, there were many well tried-and-tested models for measuring the effectiveness of marketing promotional expenditure. Indeed, some of these were quite sophisticated and included mathematical models for promotional campaigns, for advertising threshold and wear-out levels and the like.

Indeed, it would be surprising if marketing as a discipline did not have its own quantitative models for the massive expenditure of FMCG companies. Over time, these models have been transferred to business-to-business and service companies, with the result that, today, any organization spending substantial sums of shareholders' money on promotion should be ashamed of themselves if those responsible could not account for the effectiveness of such expenditure.

MARKETING INSIGHT

Nonetheless, with the advent of different promotional methods and channels, combined with an empowered and more sophisticated consumer, the problems of measuring promotional effectiveness have increased considerably.

Consequently, this remains one of the major challenges facing the marketing community today and, as mentioned above, the research and practice of specialists in the authors' institutions continue apace.

But, at this level, accountability can only be measured in terms of the kinds of effects that promotional expenditure can achieve, such as awareness or attitude change, both of which can be measured quantitatively.

But to assert that such expenditure can be measured directly in terms of sales or profits is intellectually indefensible, when there are so many other variables that affect sales, such as product efficacy, packaging, price, the sales force, competitors and countless other variables that, like advertising, have an intermediate impact on sales and profits. Again, however, there clearly is a cause-and-effect link, otherwise such expenditure would be pointless. This issue is addressed later in this chapter.

Indeed, this definition of marketing as a function for strategy development as well as for tactical sales delivery, when represented as a map (see Figure 13.1), can be used to clarify the whole problem of how to measure marketing effectiveness. This figure refers to the three levels of marketing measurement described in Table 13.1.

So, the problem with marketing accountability has never been with how to measure the effectiveness of promotional expenditure, for this we have had for many years. No, the problem occurs because marketing isn't just a promotional activity. As explained in detail in Chapter 1, in world class organizations where the customer is at the centre of the business model, marketing as a discipline is responsible for defining and understanding markets, for segmenting these markets, for developing value propositions to meet the researched needs of the customers in the segments, for getting buy-in from all those in the organization responsible for delivering this value, for playing their own part in delivering this value and for monitoring whether the promised value is being delivered.

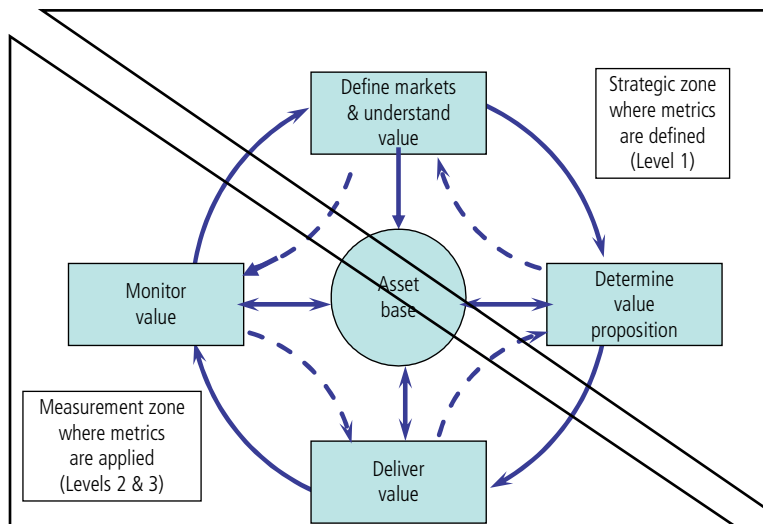


Figure 13.1: Map of the marketing domain and the three-level accountability framework.

Level of marketing measurement	Areas considered	Outputs
Level 1 Marketing due diligence	The marketing strategy, i.e. the choice of target customers and value proposition	An objective assessment of whether or not the marketing strategy will create or destroy shareholder value, together with the identification of how the strategy may be improved
Level 2 Marketing effectiveness	The marketing tactics (i.e. the full range of products, pricing, promotional and channels), employed for each segment identified and targeted by the marketing strategy	The likelihood of the marketing tactics creating the necessary competitive advantage in each segment
Level 3 Promotional effectiveness	The marketing communications strategy (i.e. advertising, sales team, etc.), employed to communicate with each segment	The effectiveness of the communications activity in achieving marketing communications objectives such as awareness recall, etc.

Table 13.1: Three levels of marketing measurement.

Level 1: Shareholder Value Added (SVA)

SVA is profit after tax, minus net capital employed multiplied by the cost of capital. There are only three things you can do to affect SVA:

- increase revenue
- decrease costs
- decrease the amount of capital tied up in the business.

All of these are highly influenced by the strategic marketing plan. A very simple example of how SVA can be calculated follows: A has £15,000 invested in the company. The cost of capital is 10 per cent. The company makes a net profit of £2,000. Therefore, the company has created £500 SVA ($£15,000 \times 10\% - £2,000 = +£500$).

Level 1 is the most vital of all three, because this is what determines whether or not the marketing strategies for the longer term (usually three to five years) destroy or create shareholder value added. It is justified to use the strategic marketing plan for assessing whether shareholder value is being created or destroyed because, as Sean Kelly¹⁰ agrees:

The customer is simply the fulcrum of the business and everything from production to supply chain, to finance, risk management, personnel management and product development, all adapt to and converge on the business value proposition that is projected to the customer.

Thus, corporate assets and their associated competences are only relevant if customer markets value them sufficiently highly that they lead to sustainable competitive advantage, or shareholder value added. This is our justification for evaluating the strategic plan for what is to be sold, to whom and with what projected effect on profits as a route to establishing whether shareholder value will be created or destroyed.

MARKETING INSIGHT

A company's share price, the shareholder value created and the cost of capital are all heavily influenced by one factor: risk. Investors constantly seek to estimate the likelihood of a business plan delivering its promises, while the boards try to demonstrate the strength of their strategy.

How much is a company really worth? We spelled out in Chapter 1 the huge discrepancy between the tangible assets and the share price; there are innumerable tools that try to estimate the true value of intangibles and goodwill. However, these mostly come from a cost-accounting perspective. They try to estimate the cost of recreating the brand, intellectual property or whatever is the basis of intangible assets. Our research into companies that succeed and fail suggests that that approach is flawed, because what matters is not the assets owned, but how they are used. We need to get back to the basics of what determines company value.

We should never be too simplistic about business, but some things are fundamentally simple. We believe that a company's job is to create shareholder value, and the share price reflects how well the investment community thinks that is being done. Whether or not shareholder value is created depends on creating profits greater than investors might get elsewhere at the same level of risk. The business plan makes promises about profits, which investors then discount against their estimate of the chance a company will deliver it. So it all comes down to this. A company says it will achieve \$1 billion, investors and analysts think it is more likely to be \$0.8 billion. The capital markets revolve around perceptions of risk. What boards and investors both need, therefore, is a strategic management process that gives a rigorous assessment of risk and uses that to assess and improve shareholder value creation. Just such a process has emerged from many years of research by the authors, a process we have called, appropriately, 'marketing due diligence'.

There is a whole book dedicated to explaining this process,¹¹ so we will provide only a brief summary here.

Where Does Risk Come From?

Marketing due diligence begins by looking for the risk associated with a company's strategy. Evaluation of thousands of business plans suggests that the many different ways that companies fail to keep their promises can be grouped into three categories:

- The market wasn't as big as they thought.
- They didn't get the market share they hoped for.
- They didn't get the profit they hoped for.

Of course, a business can fail by any of these routes or a combination of them. The risk inherent in a plan is the aggregate of these three categories, which we have called, respectively, market risk, strategy risk and implementation risk. The challenge is to accurately assess these risks and their implications for shareholder value creation.

Our research found that most estimates of business risk were unreliable because they grouped lots of different sources of risk under one heading. Since each source of risk is influenced by many different factors, this high-level approach to assessing business risk is too simplistic and inherently inaccurate. A better approach is to subdivide business risk into as many sources as practically possible, estimate those separately and then recombine them. This has two advantages. First, each risk factor is 'cleaner', in that its causes can be assessed more accurately. Second, minor errors in each of the estimations cancel each other out. The result is a much better estimate of overall risk.

How Risky Is a Business?

Marketing due diligence makes an initial improvement over high-level risk estimates by assessing market, strategy and implementation risk separately. However, even those three categories are not sufficiently detailed. We need to understand the components of each, which have to be teased out by careful comparison of successful and unsuccessful strategies. Our research indicated that each of the three risk sources could be subdivided further into five risk factors, making 15 in all. These are summarized in Table 13.2.

Armed with this understanding of the components and subcomponents of business risk, we are now half-way to a genuine assessment of our value creation potential. The next step is to accurately assess our own business against each of the 15 criteria and use them to evaluate the probability that our plan will deliver its promises.

This gradation of risk level is not straightforward. It is too simplistic to reduce risk assessment to a tick-box exercise. However, a comparison of a strategy against a large sample of other companies' strategies does provide a relative scale.

MARKETING INSIGHT

By comparing, for instance, the evidence of market size, or the homogeneity of target markets, or the intended sources of profit against this scale, a valid, objective, assessment of the risk associated with business plan can be made.

Overall risk associated with the business plan		
Market risk	Strategy risk	Implementation risk
Product category risk, which is lower if the product category is well established and higher for a new product category.	Target market risk, which is lower if the target market is defined in terms of homogeneous segments and higher if it is not.	Profit pool risk, which is lower if the targeted profit pool is high and growing and higher if it is static or shrinking.
Segment existence risk, which is lower if the target segment is well established and higher if it is a new segment.	Proposition risk, which is lower if the proposition delivered to each segment is segment specific and higher if all segments are offered the same thing.	Competitor impact risk, which is lower if the profit impact on competitors is small and distributed and higher if it threatens a competitor's survival.
Sales volumes risk, which is lower if the sales volumes are well supported by evidence and higher if they are guessed.	SWOT risk, which is lower if the strengths and weaknesses of the organization are correctly assessed and leveraged by the strategy and higher if the strategy ignores the firm's strengths and weaknesses.	Internal gross margin risk, which is lower if the internal gross margin assumptions are conservative relative to current products and higher if they are optimistic.
Forecast risk, which is lower if the forecast growth is in line with historical trends and higher if it exceeds them significantly.	Uniqueness risk, which is lower if the target segments and propositions are different from that of the major competitors and higher if the strategy goes 'head on'.	Profit sources risk, which is lower if the source profit is growth in the existing profit pool and higher if the profit is planned to come from the market leader.
Pricing risk, which is lower if the pricing assumptions are conservative relative to current pricing levels and higher if they are optimistic.	Future risk, which is lower if the strategy allows for any trends in the market and higher if it fails to address them.	Other costs risk, which is lower if assumptions regarding other costs, including marketing support, are higher than existing costs and higher if they are lower than current costs.

Table 13.2: Factors contributing to risk.

What Use Is this Knowledge?

Marketing due diligence involves the careful assessment of a business plan and the supporting information behind it. In doing so, it discounts subjective opinions and side-steps the spin of investor relations. At the end of the process the output is a number, a tangible measure of the risk associated with a chosen strategy. This number is then applied in the tried and trusted calculations that are used to work out shareholder value. Now, in place of a subjective guess, we have a research-based and objective answer to the all-important question: 'Does this plan create shareholder value?'

Too often, the answer is no. When risk is allowed for, many business plans create less value than putting the same money in a bank account or index-linked investment. Such plans, of course, actually destroy shareholder value because their return is less than the opportunity cost of the

investment. An accurate assessment of value creation would make a huge difference to the valuation of the company. The result of carrying out marketing due diligence is, therefore, of great interest and value to both sides of the capital market.

For the investment community, marketing due diligence allows a much more informed and substantiated investment decision. Portfolio management is made more rational and more transparent. Marketing due diligence provides a standard by which to judge potential investments and a means to see through the vagaries of business plans.

For those seeking to satisfy investors, the value of marketing due diligence lies in two areas. First, it allows a rigorous assessment of the business plan in terms of its potential to create shareholder value. A positive assessment then becomes a substantive piece of evidence in negotiations with investors and other sources of finance. Second, if a strategy is shown to have weaknesses, the process not only pinpoints them but also indicates what corrective action is needed.

For both sides, the growth potential of a company is made more explicit, easier to measure and harder to disguise.

For anyone involved in running a company or investing in one, marketing due diligence has three messages. First, business needs a process that assesses shareholder value creation, and hence the value of a company, in terms of risk rather than the cost of replacing intangible assets. Second, business risk can be dissected, measured and aggregated in a way that is much more accurate than a high-level judgement. Finally, marketing due diligence is a necessary process for both investors and companies.

Eventually, we anticipate that a process of marketing due diligence will become as de rigueur for assessing intangible value as financial due diligence is for its tangible counterpart. Until then, early adopters will be able to use it as a source of competitive advantage in the capital market.

Figure 13.2 is a summary of how SVA should be calculated using the marketing due diligence process.

This high-level process for marketing accountability, however, still does not answer the dilemma of finding an approach which is better than the plethora of metrics with which today's marketing directors are bombarded, so Cranfield's Research Club took this issue on board in an attempt to answer the following questions:

- What needs to be measured.
- Why it needs to be measured.
- How frequently it needs to be measured.
- To whom it should be reported.
- And the relative importance of each.

The approach we took to answering these questions was to drive metrics from a company's strategy and the model shown in Figure 13.3 was developed. This clearly shows the link between lead indicators and lag indicators.

This process model is explained in much greater detail in *Marketing Value Metrics*,¹² so here we will provide a brief summary only.

Background/Facts

- Risk and return are positively correlated, i.e. as risk increases, investors require a higher return.
- Risk is measured by the volatility in returns, i.e. high risk is the likelihood of either making a very good return or losing all your money. This can be described as the quality of returns.
- All assets are defined as having future value to the organization. Hence assets to be valued include not only tangible assets like plant and machinery, but intangible assets, such as key market segments.
- The present value of future cash flows is the most acceptable method to value assets including key market segments.
- The present value is increased by:
 - increasing the future cash flows
 - making the future cash flows 'happen' earlier
 - reducing the risk in these cash flows, i.e. improving the certainty of these cash flows, and, hence, reducing the required rate of return.

Suggested Approach

- Identify your key market segments. It is helpful if they can be classified on a vertical axis (a kind of thermometer) according to their attractiveness to your company. 'Attractiveness' usually means the potential of each for growth in your profits over a period of between three and five years. (See the attached matrix)
- Based on your current experience and planning horizon that you are confident with, make a projection of future net-free cash in-flows from your segments. It is normal to select a period such as three or five years.
- These calculations will consist of three parts:
 - revenue forecasts for each year
 - cost forecasts for each year
 - net-free cash flow for each segment for each year.
- Identify the key factors that are likely to either increase or decrease these future cash flows.
- These factors are likely to be assessed according to the following factors:
 - the riskiness of the product/market segment relative to its position on the Ansoff matrix
 - the riskiness of the marketing strategies to achieve the revenue and market share
 - the riskiness of the forecast profitability (e.g. the cost forecast accuracy).
- Now recalculate the revenues, costs and net-free cash flows for each year, having adjusted the figures using the risks (probabilities) from the above.
- Ask your accountant to provide you with the overall SBU cost of capital and capital used in the SBU. This will not consist only of tangible assets. Thus, £1,000,000 capital at a required shareholder rate of return of 10 per cent would give £100,000 as the minimum return necessary.
- Deduct the proportional cost of capital from the free cash flow for each segment for each year.
- An aggregate positive net present value indicates that you are creating shareholder value – i.e. achieving overall returns greater than the weighted average cost of capital, having taken into account the risk associated with future cash flows.

Portfolio analysis – directional policy matrix (DPM)

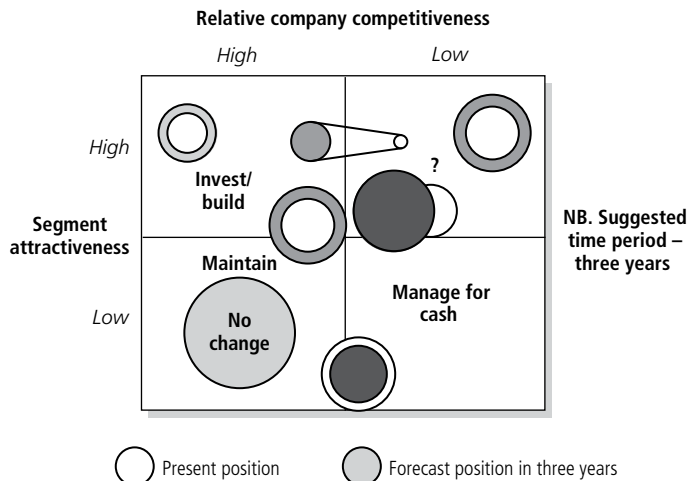


Figure 13.2: Valuing key market segments.

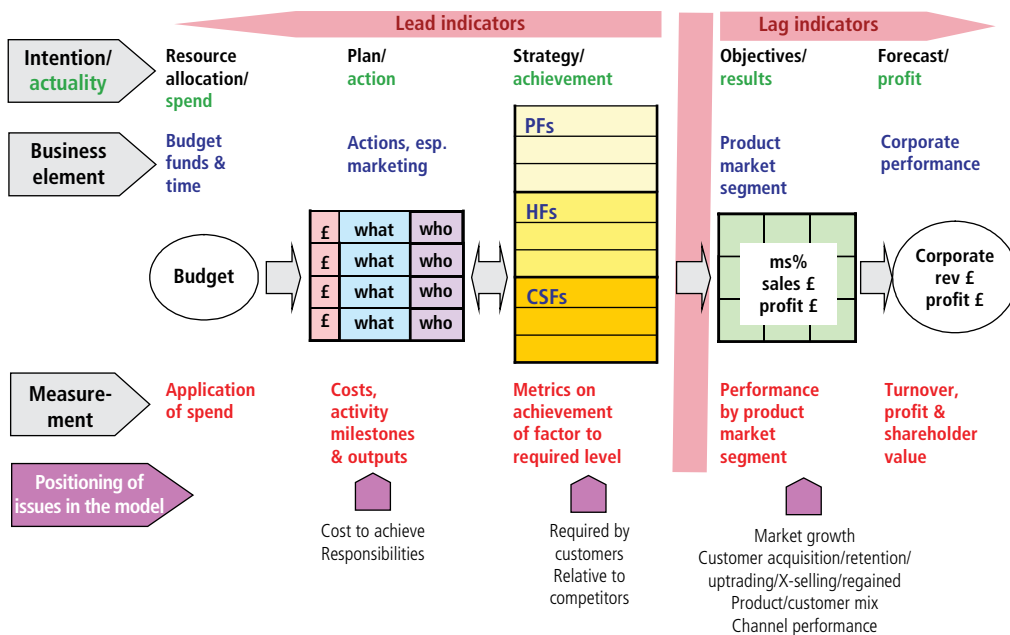


Figure 13.3: Overall marketing metrics model.

Level 2: Linking Activities and Attitudes to Outcomes

Few academics or practitioners have addressed this second level to date, which links marketing actions to outcomes in a more holistic way. We shall describe it briefly here, although it must be stressed that it is central to the issue of marketing metrics and marketing effectiveness.

First, however, let us destroy once and for all one of the great myths of measurement – marketing return on investment. This implies ‘return’ divided by ‘investment’ and, for marketing expenditure such as promotional spend, it is an intellectually puerile notion. It is a bit like demanding a financial justification for the wings of an aircraft! Also, as McGovern et al.¹³ say:

Measuring marketing performance isn’t like measuring factory output – a fact that many non-marketing executives don’t grasp. In the controlled environment of a manufacturing plant, it’s simple to account for what goes in one end and what comes out the other and then determine productivity.

But the output of marketing can be measured only long after it has left the plant.

Neither is the budget and all the energy employed in measuring it a proxy for measuring marketing effectiveness, a point we emphasized in great detail in Chapter 1.

In Figure 13.3, reading from right to left, it can be seen that the corporate financial objectives can only be met by selling something to someone – represented in the figure as the Ansoff Matrix (yellow box).

So how do we set about linking our marketing activities to our overall objectives? We will start with the Ansoff Matrix shown in Figure 13.4.

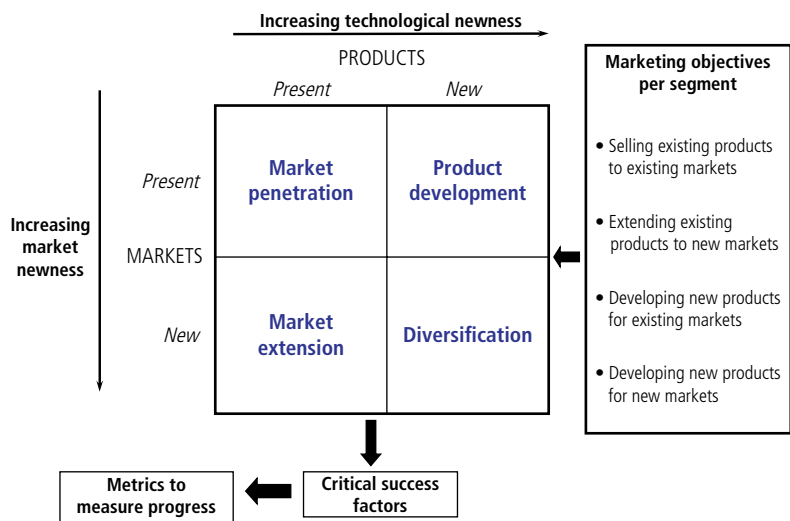


Figure 13.4: Ansoff Matrix.

Each of the cells in each box (cells will consist of products for segments) are planning units, in the sense that objectives will be set for each for volume, value and profit for the first year of the strategic plan.

For each of the products-for-segment cells, having set objectives, the task is then to determine strategies for achieving them. The starting point for these strategies is critical success factors (CSFs), the factors critical to success in each product for segment, which will be weighted according to their relative importance to the customers in the segment. See Figure 13.5.

Critical success factors	Weighting factor	Your organization	Competitor A	Competitor B	Competitor C
CSF 1					
CSF 2					
CSF 3					
CSF 4					
Total weighted score (score x weight)	100				

Figure 13.5: CSFs: in each segment, defined by the segment.

In these terms, a strategy will involve improving one or more CSF scores in one or more product-for-segment cells. It is unlikely, though, that the marketing function will be directly responsible for what needs to be done to improve a CSF. For example, issues like product efficacy, after-sales service, channel management and sometimes even price and the sales force are often controlled by other functions, so marketing needs to get buy-in from these functions to improve the CSF scores.

It is very rare for this information to be perfectly available to the marketer. While models such as price sensitivity, advertising response or even marketing mix or econometric approaches may help to populate the CSF form, there are generally several other factors where information is less easy to gather. Nevertheless, a CSF analysis indicates where metrics are most needed, which can steer the organization towards measuring the right things.

Figure 13.6 shows the actions that have to be taken, by whom and at what cost in order to improve the CSFs.

Figure 13.7 shows how these actions multiply for each box of the Ansoff Matrix.

There are other factors, of course, that influence what is sold and to whom. These may be referred to as 'Hygiene Factors' (HFs) – that is, those standards that must be achieved by any competitor in the market. Other factors may be referred to as 'Productivity Factors' (PFs) – that is, those issues which may impact on an organization's performance unless the required productivity is achieved in its relevant activities.

Thus, it can be seen how the expenditure on marketing and other functional actions to improve CSFs can be linked to marketing objectives and, ultimately, to profitability, and it becomes clear exactly what must be measured and why. It also obviates the absurd assumption that a particular marketing action can be linked directly to profitability. It can only be linked to other weighted CSFs which, if improved, should lead to the achievement of volumes, value and, ultimately, profits.

Figure 13.3 is repeated here as Figure 13.8, as it summarizes all of this in one flow chart, which clearly spells out the difference between 'lag indicators' and 'lead indicators'. Lead indicators are the actions taken and the associated expenditure that is incurred. These include, of course,

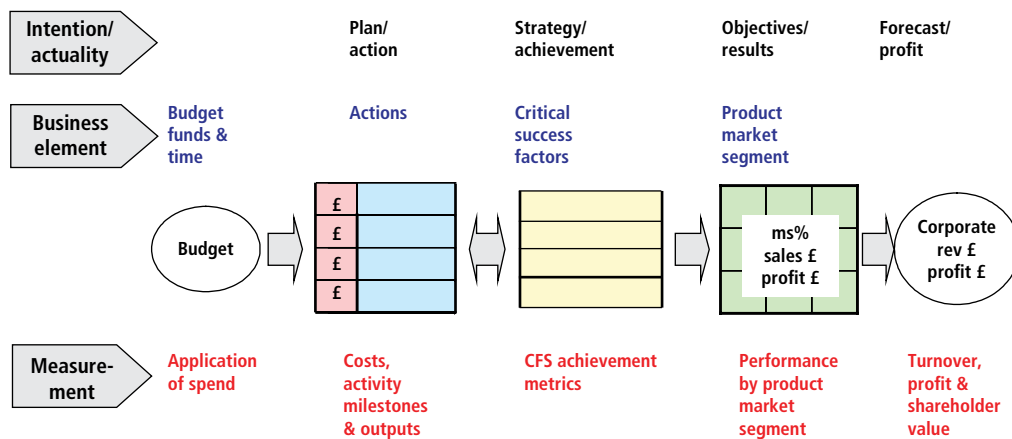


Figure 13.6: Marketing metrics model.

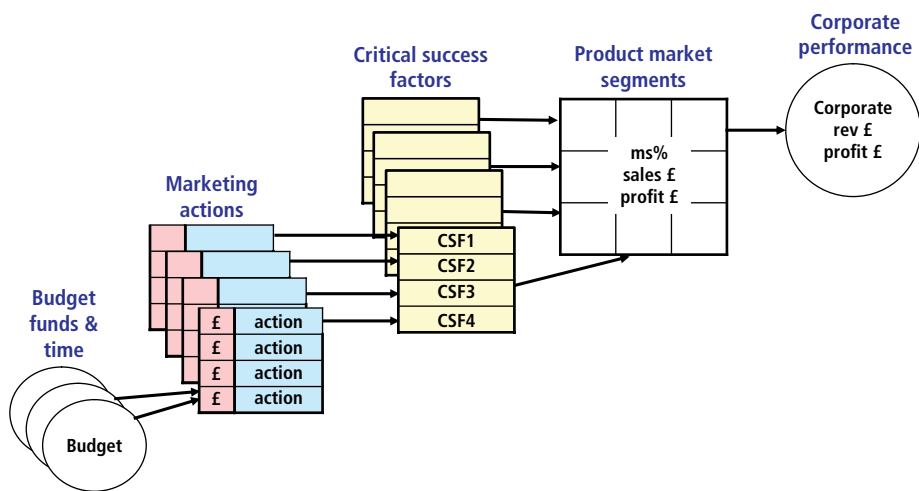


Figure 13.7: Cascading actions from the Ansoff Matrix.

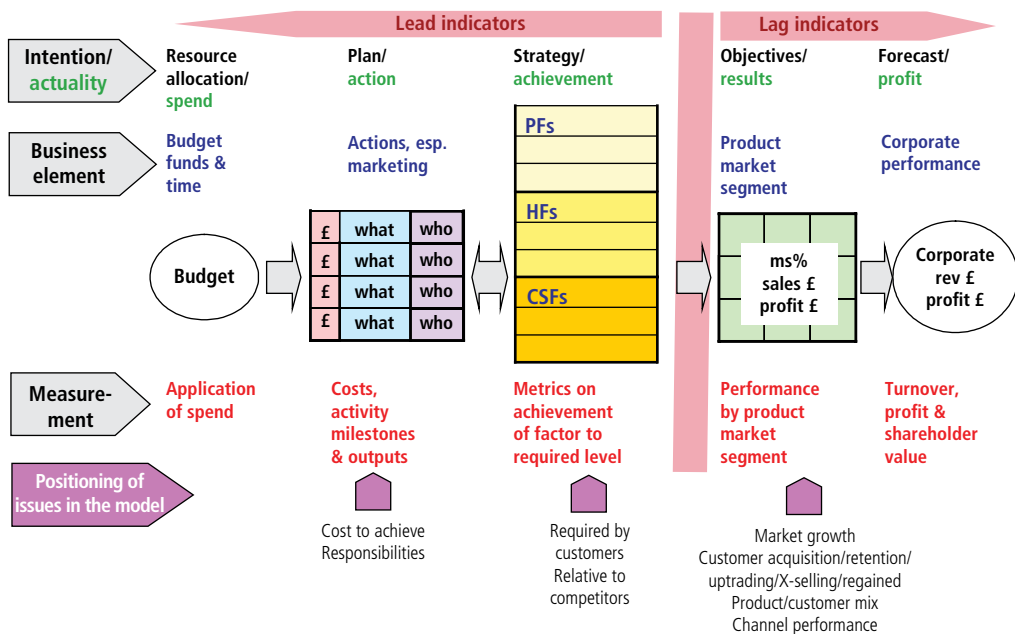


Figure 13.8: Overall marketing metrics model.

promotional expenditure, which will be addressed later in this chapter. Lag indicators are the *outcomes* of these actions and expenditures and need to be carefully monitored and measured. Thus, retention by segment, loss by segment, new customers, new product sales, channel performance and the like are *outcomes*, but these need to be linked back to the appropriate *inputs*, an issue that is addressed later in this chapter.

There is one other crucial implication to be drawn from this model. Most operating boards on scrutinizing profit and loss accounts typically see only one line for revenue, while costs are

covered in considerable detail and it is around costs that most of the discussion takes place. In the view of the authors, there should be at least two sets of figures – one to detail where the sales revenue has come from, as outlined above, another to detail costs. A key task of marketers, rarely carried out, is to link the two documents together. Figure 13.3 goes some way towards this.

We stress, however, that the corporate revenue and profits shown in the right of Figures 13.3, 13.6 and 13.7 are not the same as shareholder value added, which takes account of the risks involved in the strategies, the time value of money and the cost of capital. This brings us to Level 3.

Level 3: Promotional Effectiveness

Level 3 is the fundamental and crucial level of promotional measurement.

It would be surprising if marketing as a discipline did not have its own quantitative models for the massive expenditure of FMCG companies. Over time, these models have been transferred to business-to-business and service companies, with the result that, today, any organization spending substantial sums of shareholders' money on promotion should be ashamed of themselves if those responsible could not account for the effectiveness of such expenditure.

Nonetheless, with the advent of different promotional methods and channels, combined with an empowered and more sophisticated consumer, the problems of measuring promotional effectiveness have increased considerably. Consequently, this remains one of the major challenges facing the marketing community today.

For example, in fast-moving consumer goods, supermarket buyers expect and demand a threshold level of promotional expenditure in order to be considered for listing. Indeed in most commercial situations, there is a threshold level of expenditure that has to be made in order just to maintain the status quo – that is, keep up the product or service in consumer consciousness to encourage them to continue buying. The authors refer to this as 'maintenance' expenditure.

In most situations, however, not to maintain existing levels of promotion over time results in volume, price and margin pressure, market share losses and a subsequent declining share price.

There is some evidence from the IPA's analysis of almost 900 promotional campaigns, presented in a report.¹⁴ The graph in Figure 13.9 shows that, in one experimental scenario, the promotional budget was cut to zero for a year, then returned to normal, while in another, the budget was cut by 50 per cent. Sales recovery to pre-cut levels took five years and three years respectively, with cumulative negative impacts on net profits of £1.7 million and £0.8 million.

It is important to make one final point about measuring the effectiveness of promotional expenditure in taking account of 'maintenance' expenditure. This point relates to the tried and tested method of measuring the financial impact of promotional expenditure – net present value (NPV).

As can be seen from the following, by not taking account of the expenditure to maintain current sales and by including total promotional expenditure in the NPV calculations, a totally false result ensues. However, by taking account of maintenance expenditure, a much better result emerges.

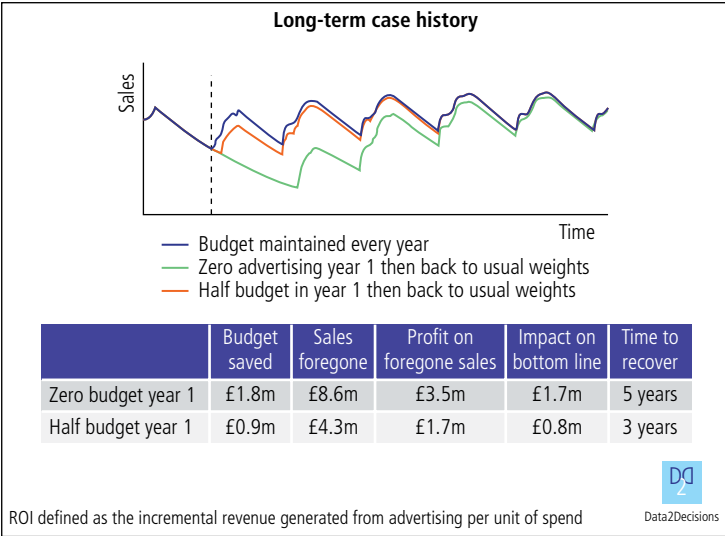


Figure 13.9: ROI – long-term case history.

Present values

Discounting a future stream of revenue into a ‘present value’ assumes that a rational investor would be indifferent to having a dollar today, or to receiving in some future year a dollar plus the interest that could have been earned by investing that dollar for those years.

Thus it makes sense to assess investments by dividing the money to be received in future years by $(1 + r)$, where r is the discount rate (the annual return from investing that money) and n is the number of years during which the investment could be earning that return.

PV, or NPV or DCF, is denoted as:

$$PV = \frac{\sum C_t}{(1 + r)^n}$$

where Σ is the sum of the cash flows in years t (1, 2, 3, 4, etc.).

This summation of the cash flows is then divided by $(1 + r)^n$ where r is the discount rate and n is the number of years the investment could be earning that return.

Hence, for a net-free cash flow of \$2 million a year over four years and a cost of capital of 10 per cent, the net present value is:

$$\frac{2}{(1.1)} + \frac{2}{(1.1)^2} + \frac{2}{(1.1)^3} + \frac{2}{(1.1)^4} = \$6.4 \text{ million}$$

Minus an initial investment of, say, \$5 million, the NPV of this investment is \$1.4 million.

However, a promotional investment of, say, \$7 million, using the above figure, would produce a loss of \$0.6 million. If, however, a company needs to spend, say, \$6 million just to maintain current sales, the investment is only \$1 million and the NPV would then be:

$$-\$1 \text{ million} + \frac{2}{(1.1)} + \frac{2}{(1.1)^2} + \frac{2}{(1.1)^3} + \frac{2}{(1.1)^4} = \$5.4 \text{ million}$$

The research issue facing our community is how to estimate what might be classified as ‘maintenance’ promotion and what as ‘investment’ promotion. This is complicated by the different forms of promotion and the many different channels available today, but it is not impossible.

DIGITAL MARKETING INSIGHT: REVIEWING VQVC MEASURES FOR DIGITAL MEDIA CHANNELS

While digital media have been called ‘the most measurable media ever’ in relation to traditional media, there are still challenges in measuring them. It is still common to hear ‘vanity metrics’ such as the volume or number of visitors to a website, or the number of likes or followers for a social media account, which don’t relate to commercial outcomes. One of the authors (Dave Chaffey of Smart Insights) has developed the simple VQVC mnemonic to help marketers review the effectiveness of their measurement for digital media channels in relation to digital analytics systems such as Google or Adobe Analytics. VQVC measures are in four categories:

1. **Volume measures** include impressions, clicks, visitor session and unique visitors. Opportunities to See (OTS) or impressions can be used to benchmark the volume of content viewed online or in traditional media in different campaigns.
2. **Quality measures** include conversion rates to action and bounce or engagement rate. Traffic volume measures give no indication of whether the audience referred to the site engages with it or leaves straight away, so we need quality measures to show us this. Conversion rate is the best-known quality measure, which shows what proportion of visitors from different sources within a defined time period convert to specific marketing outcomes on the web, such as lead, sale or subscription.
3. **Value measures** include revenue per visit and profitability for transactional e-commerce sites. These are more difficult to assess for business sites which do not sell online, but we can assess the value of outcomes such as leads. For example, a test drive originating online for a car manufacture could be given a value based on the known propensity to convert from test drives.
4. **Media cost measures** include cost-per-click and cost-per-thousand. The cost of visitor acquisition is usually measured as the cost-per-click (CPC) specific to a particular digital media channel, such as pay-per-click search engine marketing, since it is difficult to estimate for an entire site with many visitors referred from offline advertising. A digital campaign is unlikely to succeed if it just meets its objectives of acquiring site visitors and customers but the costs are too high. It is essential to have specific objectives and accurate costing for using different digital media channels to achieve specific objectives and drive visitors to the site and convert to transaction. This is stated as the cost-per-acquisition (CPA) (sometimes cost-per-action). A related measure, which does not take profitability into account, is return on advertising spend (ROAS).

Branding measures, customer satisfaction and lifetime value measures can and should also be measured for digital channels and compared to other channels.

APPLICATION QUESTIONS

Having provided some insights into marketing accountability, it should make it slightly easier to answer the following questions:

- What needs measuring?
- Why?
- When?
- How?
- How frequently?
- By whom?
- Reported to whom?
- At what cost?
- Etc.

It is suggested that the following also need to be explored:

1. What counts as marketing expenditure?
2. What does 'added value' really mean?
 - value chain analysis
 - shareholder value added (SVA)
 - customer value
 - brand value
 - accounting value
 - value-based marketing.
3. What are the major 'schools of thought'? What are the strengths and weaknesses of each?
4. Preliminary conclusions from the above with our own recommendations/hypotheses.
5. Some small-scale field work to test findings on world-class companies.

The metrics below show a summary of some of the more common metrics that are in use in companies today:

- brand awareness
- channel efficiency
- cost per lead
- customer satisfaction
- growth in customers
- lead conversion rate
- orders: number average, total value
- repurchase rate
- share of customer
- total marketing cost per order.

Whatever models emerge from the above, it is highly unlikely that any organization will be using them all. There will be examples of excellence along a number of dimensions, which will help us to refine and develop the models.

CHAPTER 13 REVIEW

The chapter outlined a number of marketing investment appraisal techniques, starting with a discussion of what counts as marketing expenditure.

It continued by describing three levels of marketing measurement:

1. *Marketing due diligence.* Marketing due diligence assesses the risks associated with the three main components of strategic marketing plans: the market; the marketing strategy; and the profit pool. The forecast net-free cash flows for the planning period are reduced if appropriate by the probability that they can be achieved. The accountant will then take account of the cost of capital to assess whether these risk-adjusted net-free cash flows will create or destroy shareholder value.
2. *Marketing spend evaluation.* The model provided a framework for linking principal products for market (the Ansoff Matrix) to critical success factors, productivity factors and hygiene factors. These are then translated into actions, with costs and responsibilities associated with each action.
3. *Promotional spend evaluation.* Here, the difference between maintenance and investment expenditure was explained and examples provided, which illustrated the very different net present value outcomes based on maintenance and investment expenditure.

Questions raised for the company

Ask the marketing team to attempt to answer the following questions:

1. What needs measuring?
2. Why?
3. When?
4. How?
5. By whom?
6. How frequently?
7. Reported to whom?
8. At what cost?

EXERCISES

For this difficult topic, the authors suggest two main exercises.

Exercise 13.1 Valuing key market segments

Get a team together and go through the following repeat of Figure 13.2. Just follow the directions and take your time over it.

Exercise 13.2 Workshops

This exercise involves a number of workshops, as follows.

(Continued)

Background/Facts

- Risk and return are positively correlated, i.e. as risk increases, investors require a higher return.
- Risk is measured by the volatility in returns, i.e. high risk is the likelihood of either making a very good return or losing all your money. This can be described as the quality of returns.
- All assets are defined as having future value to the organization. Hence assets to be valued include not only tangible assets like plant and machinery, but intangible assets, such as key market segments.
- The present value of future cash flows is the most acceptable method to value assets including key market segments.
- The present value is increased by:
 - increasing the future cash flows
 - making the future cash flows 'happen' earlier
 - reducing the risk in these cash flows, i.e. improving the certainty of these cash flows, and, hence, reducing the required rate of return.

Suggested Approach

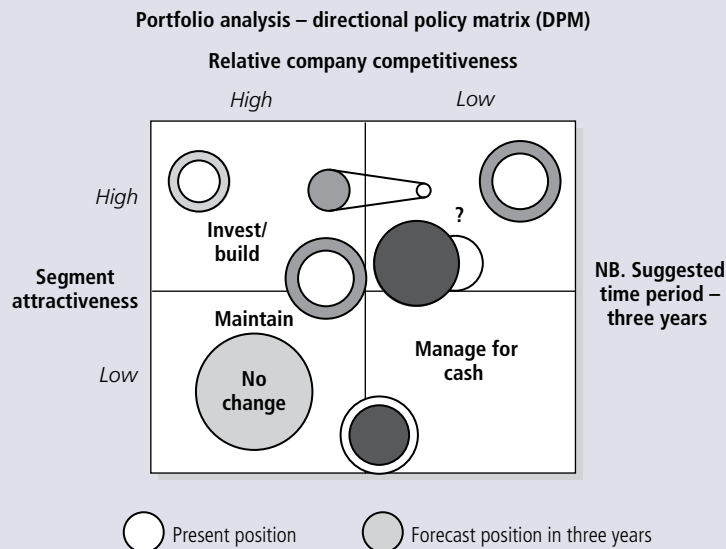
- Identify your key market segments. It is helpful if they can be classified on a vertical axis (a kind of thermometer) according to their attractiveness to your company. 'Attractiveness' usually means the potential of each for growth in your profits over a period of between three and five years. (See the attached matrix)
- Based on your current experience and planning horizon that you are confident with, make a projection of future net-free cash in-flows from your segments. It is normal to select a period such as three or five years.
- These calculations will consist of three parts:
 - revenue forecasts for each year
 - cost forecasts for each year
 - net-free cash flow for each segment for each year.
- Identify the key factors that are likely to either increase or decrease these future cash flows.
- These factors are likely to be assessed according to the following factors:
 - the riskiness of the product/market segment relative to its position on the Ansoff matrix
 - the riskiness of the marketing strategies to achieve the revenue and market share
 - the riskiness of the forecast profitability (e.g. the cost forecast accuracy).
- Now recalculate the revenues, costs and net-free cash flows for each year, having adjusted the figures using the risks (probabilities) from the above.
- Ask your accountant to provide you with the overall SBU cost of capital and capital used in the SBU. This will not consist only of tangible assets. Thus, £1,000,000 capital at a required shareholder rate of return of 10 per cent would give £100,000 as the minimum return necessary.
- Deduct the proportional cost of capital from the free cash flow for each segment for each year.
- An aggregate positive net present value indicates that you are creating shareholder value – i.e. achieving overall returns greater than the weighted average cost of capital, having taken into account the risk associated with future cash flows.

Workshop 1

This workshop has two objectives. The first is to identify those current corporate-level metrics that might be expected to be influenced by marketing activity, and the second is to develop a set of metrics for the key segments in the organization's market.

Corporate metrics

Those likely to be influenced by marketing activity might include measures such as gross sales, market share, gross margin, loyalty (e.g. net promoter score), customer satisfaction, brand equity/image, and so on. The reporting might be at total market or by key market



segments. These metrics might be included within the customer section of a standard four business perspective balanced scorecard model. The discussion should also lead to possible gaps in the current measures being identified. As the model is designed to help meet medium-term targets, the corporate level goals for the current year and each of the measures over the following three years need to be identified. At this stage in the process, the key objective is simply to list the current metrics and the targets set for them over this three-year period. This list needs to be revisited at the end of the process to see if any other metrics should be recommended at board level, and to ascertain whether the application of the model has identified links between the actions proposed and the corporate measures (the horizontal arrows in the marketing metrics model of Figure 13.3).

Market segment metrics

As described earlier, the model process is segment based. As explained in Chapter 4, most markets can be divided into a number of key differentiated segments, a process that enables the organization to focus its resources more effectively. However, to apply the model to all segments in one go would be overly complex. Therefore, organizations applying the model are advised to start by focusing on two segments in the initial application in order to gain a detailed, and manageable, understanding of the overall process, and then repeat it for remaining segments over time. In most situations, organizations don't try to cover an entire market. The objective of segmentation is to identify those segments likely to be most attractive when consumer needs/profiles are matched to the capabilities and goals of the organization. This means that once an organization has analysed the market and divided it into segments, using the methodology described in Chapter 4, a few key segments will be the focus of future attention, perhaps at the expense of others that the organization decides

(Continued)

are no longer of prime interest. So, the second objective of the first workshop is to focus on two market segments and identify the metrics that are critical first to tracking the segment in the market over time, and second to measuring the performance of the organization against the goals set for each segment. It is recommended that the selected segments for the first application of the model are those likely to be of most value to the future success of the organization. Selected initial segments could be of three types:

- One that is currently delivering a high level of value, and is forecast to continue to do so.
- One that is identified as currently delivering poor returns but is considered as offering high future potential.
- One that the organization considers has potential but an appropriate strategy to deliver value has yet to be identified.

Workshop 2

Once the segments have been identified and a full analysis of the two selected segments has been undertaken, the next step is to ensure that the strategies for achieving the goals defined in the marketing plan are appropriate, and that the key metrics necessary to track performance towards achieving these goals have been identified. The focus in the second workshop is on how to use an impact factor analysis to help develop effective strategies for each segment, and identify the metrics necessary to track performance of the strategy.

Workshop 3

Once the strategy for each segment has been confirmed, and the necessary metric set identified using the impact factor analysis framework described earlier in this chapter, the next steps, covered in the third workshop are:

- Identify the actions necessary to deliver the strategy. Some of these actions might be under the control of marketing (e.g. develop and implement a specific direct marketing campaign), but others may be within the responsibilities of other departments (e.g. improve customer satisfaction either through changes in the logistics chain or revised call centre goals).
- Agree the budgets necessary to fund the agreed actions.
- Estimate the likely impact of these actions, in financial terms, and identify those actions that are forecast to give a disproportionately high return on investment – i.e. those with a high ‘gearing’.
- Identify and agree the appropriate metrics to track the actions, budget funding and impact in achieving goals.

Workshop 4

The objective of the final workshop is to finalize the list of metrics and develop an outline plan for implementing the agreed measurement strategy. For example: Who will be exposed to different metrics? Who will be responsible for collecting the data and producing the metrics? Who is responsible for corrective action if a metric indicates that performance is below target?

The workshop team

The implementation of the model process within the workshops is through a team of appropriate individuals drawn from relevant functions across the organization. 'Success' is not just in terms of developing a set of metrics, it is also about agreeing an implementation strategy, which in turn relies on the organization having 'bought into' the process and sees the value to be gained in achieving the organization's goals by implementing the recommendations from the workshops. This is particularly important at board level.

For the workshops to be effective, this team needs to be kept small – but it is vital that its members are individuals who can play key roles in the marketing, financial and planning processes within the organization.

The workshop team should comprise no more than six to eight members. It is suggested that key team members are the:

- market research manager
- corporate planning manager
- corporate finance manager
- customer database manager
- market planning manager
- finance manager (with responsibility for marketing)
- marketing communications/advertising manager
- senior marketing manager (acting as champion of the process)
- customer service (or operations) manager
- brand, product or customer segment manager.

Exercise 13.3 Simulation practice

In your game:

- a) What is the greatest risk to your company's Marketing Plan: is it market risk, strategy risk or implementation risk? Agree the key actions needed to mitigate the underlying risks.
- b) What are the CSFs for your company? To deduce these, you should use the Ansoff Matrix and the SWOT analysis in the Marketing Plan and include your team performance in the scope of thinking
- c) What metrics should you use to measure the effectiveness of your marketing planning?
- d) What digital tools could be used to help track implementation?
- e) Which of these are lag indicators and which are lead indicators?
- f) If enabled in your game, take a look at your NPV calculation in the Cash Flow Forecast. How has this changed over the course of the game and what does it say about the value of your strategy?

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Chapter

14

A STEP-BY-STEP MARKETING PLANNING SYSTEM

SUMMARY

PART 1

- A summary of the contents of a strategic marketing plan

PART 2

- A step-by-step approach to preparing a strategic marketing plan
- A step-by-step approach to preparing a tactical marketing plan
- A format for those who have to consolidate many strategic marketing plans
- Forms and templates are provided to turn the theory into practice

PART 1 MARKETING PLANNING SUMMARY

Introduction

This chapter contains a step-by-step system for completing:

- a strategic marketing plan
- a tactical marketing plan
- a consolidated multi-SBU strategic marketing plan.

It is, of course, possible to complete the proformas provided without reading this book, but we stress that this is very dangerous and may well lead to a plan without any real substance. Consequently, we refer readers back to the relevant sections of the main text.

The Purpose of Marketing Planning

The overall purpose of marketing and its principal focus is the identification and creation of competitive advantage.

What Is Marketing Planning?

Marketing planning is simply a logical sequence and a series of activities leading to the setting of marketing objectives and the formulation of plans for achieving them.

Why Is Marketing Planning Necessary?

Marketing planning is necessary because of:

- Increasing turbulence, complexity and competitiveness.
- The speed of technological change.
- The need for *you*:
 - to help identify sources of competitive advantage
 - to force an organized approach to developing strategy
 - to ensure consistent relationships.
- The need for *superiors*:
 - to inform.
- The need for non-marketing functions:
 - to get support.
- The need for *subordinates*:
 - to get resources
 - to gain commitment
 - to set objectives and strategies.

What Should Appear in the Strategic Marketing Plan?

A summary of what appears in a strategic marketing plan and a list of the principal marketing tools/techniques/structures/frameworks that apply to each step is given in Figure 14.1.

It must be understood from the foregoing that marketing planning never has been just the simple step-by-step approach described so enthusiastically in most prescriptive texts and courses. The moment an organization embarks on the marketing planning path, it can expect to encounter a number of complex organizational, attitudinal, process and cognitive problems, which are likely to block progress (see Chapter 12). By being forewarned about these barriers, there is a good chance of successfully using the step-by-step marketing planning system which follows in Part 2 of this chapter and of doing excellent marketing planning that will bring all the claimed benefits, including a significant impact on the bottom line, through the creation of competitive advantage. If they are ignored, however, marketing planning will remain the Cinderella of business management.

PART 2 A MARKETING PLANNING SYSTEM

Introduction

This marketing planning system is in three sections. Section A takes you through a step-by-step approach to the preparation of a strategic marketing plan. What actually appears in the strategic marketing plan is given under the heading 'Strategic marketing plan documentation', which appears later in this chapter.

The marketing planning process	The output of the marketing planning process strategic marketing plan contents	Marketing theory (structures, frameworks, models)
Phase 1 Goal setting	Mission statement Financial summary	
Phase 2 Situation review	Market overview Market structure Market trends Key market segments Gap analysis Opportunities/threats (By product) (By segment) (Overall) Strengths/weaknesses (By product) (By segment) (Overall) Issues to be addressed (By product) (By segment) (Overall) Portfolio summary Assumptions	Marketing audit Market research Market segmentation studies Gap analysis Product life cycle analysis Diffusion of innovation Ansoff Matrix Forecasting Market research Issue management Key success factors matrix Market research Market segmentation studies BCG matrix Directional policy matrix Downside risk assessment
Phase 3 Strategy formulation	Marketing objectives (By product) (By segment) (Overall) Strategic focus Product mix Product development Product deletion Market extension Target customer groups Marketing strategies (4 x 4 Ps) (Positioning/branding) Product Price Promotion Place	Porter Matrix Ansoff Matrix BCG Matrix Directional policy matrix Gap analysis Market segmentation studies Market studies Response elasticities Competitive strategies
Phase 4 Resource allocation and monitoring	Resource requirements	Forecasting Budgeting
		Measurement and review

Figure 14.1: Contents of a strategic marketing plan and associated diagnostic tools.

Section B takes you through the preparation of a one-year marketing plan. What actually appears in a one-year marketing plan is given under the heading ‘The one-year marketing plan documentation’. Finally, Section C refers to the need for a headquarters consolidated plan of several SBU strategic marketing plans and provides a suggested format.

SECTION A

Step-by-step approach to the preparation of a strategic marketing plan for a strategic business unit.

A strategic business unit:

- will have common segments and competitors for most of its products
- will be a competitor in an external market
- will be a discrete and identifiable unit
- will have a manager who has control over most of the areas critical to success.

Strategic business units (SBUs) are not necessarily the same as operating units and the definition can, and should if necessary, be applied all the way down to a particular product or customer or group of products and customers.

The marketing planning process is formally expressed in two marketing plans, the strategic marketing plan and the tactical marketing plan, which should be written in accordance with the format provided in this system. It is designed for SBUs to be able to take a logical and constructive approach to planning for success.

Two very important introductory points should be made about the marketing plan:

1. The *importance of different sections* – in the final analysis, the strategic marketing plan is a plan for action, and this should be reflected in the finished document. The implementation part of the strategic plan is represented by the subsequent one-year marketing plan.
2. The *length of the analytical section* – to be able to produce an action-focused strategic marketing plan, a considerable amount of background information and statistics needs to be collected, collated and analysed. An analytical framework has been provided in the forms, included in the database section of the 'Strategic marketing plan documentation', which each SBU should complete. However, the commentary given in the strategic marketing plan should provide the main findings of the analysis rather than a mass of raw data. It should compel concentration upon only that which is essential. The analysis section should, therefore, provide only a short background.

Basis of the System

Each business unit in the organization will have different levels of opportunity depending on the prevailing business climate. Each business unit, therefore, needs to be managed in a way that is appropriate to its own unique circumstances. At the same time, however, the chief executive officer of the SBU must have every opportunity to see that the ways in which these business units are managed are consistent with the overall strategic aims of the organization.

This system sets out the procedures which, if adhered to, will assist in achieving these aims.

Sections A, B and C set out the three basic marketing planning formats and explain how each of the planning steps should be carried out. They explain simply and clearly what should be presented, and when, in the three-year marketing plan, in the more detailed one-year operational plan and in the headquarters consolidated marketing plan.

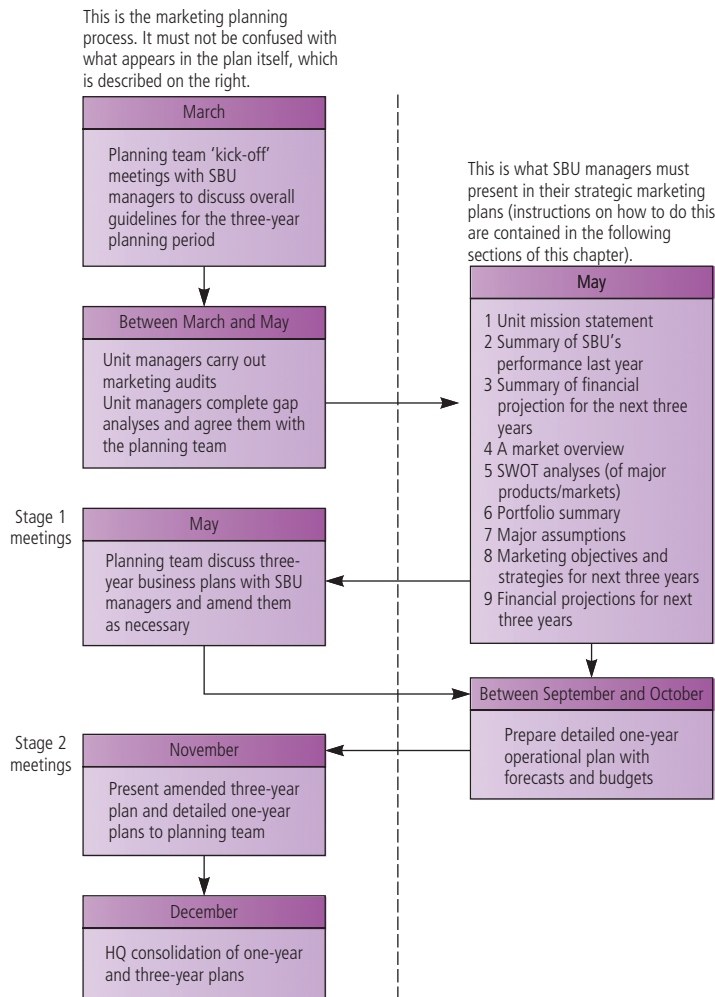


Figure 14.2 The marketing planning process and output.

The overall marketing planning format is described in Figure 14.2. (Note that, for the sake of simplicity, it has been assumed that the organization's year runs from January to December.) The following sections explain how each of the steps in the planning process should be completed.

The Marketing Audit

(For completion between February and May each year.)

Note: the marketing audit is not for inclusion in the plan or its presentation.

For the purpose of a marketing planning system, it is usual to provide users with an agreed list so that all SBUs using the system use similar nomenclature for products and markets.

All managers carrying out their audit should use internal sales data and the SBU marketing information system to complete their audit. It is helpful at this stage if the various SBU managers

can issue to any subordinates involved in the audit a market overview covering major industry and market trends. The audit will inevitably require considerably more data preparation than is required to be reproduced in the marketing plan itself. Therefore, all managers should start a *running reference file* for their area of responsibility during the year, which can also be used as a continual reference source and for verbal presentation of proposals.

It is essential to stress that the audit, which will be based on the running reference file, *is not a marketing plan and under no circumstances should voluminous documents relating to the audit appear in any business plans.*

The Contents of a Strategic Marketing Plan

The following forms describe what should be presented in strategic marketing plans. These should be completed by the end of May each year. (For details of how to complete Form 1, please refer to Chapter 2, Step 1 Mission Statement.)

Form 1**Unit mission statement**

This is the first item to appear in the marketing plan.

The purpose of the mission statement is to ensure that the *raison d'être* of the unit is clearly stated. Brief statements should be made which cover the following points:

1. Role or contribution of the unit
e.g. profit generator, service department, opportunity seeker.
2. Definition of the business
e.g. the needs you satisfy or the benefits you provide. Don't be too specific (e.g. 'we sell milking machinery') or too general (e.g. 'we're in the engineering business').
3. Company or brand purpose
Make a brief statement of how the business can impact the lives of customers, wider society, and/or the environment. For example, 'To improve the self-esteem of women and girls' (Unilever's Dove brand).
4. Distinctive competence
This should be a brief statement that applies only to your specific unit. A statement that could equally apply to any competitor is unsatisfactory.
5. Indications for future direction
A brief statement of the principal things you would give serious consideration to (e.g. move into a new segment). It helps if these are under the headings:

Things we WILL do
Things we MIGHT do
Things we will NEVER do

Form 2

Summary of SBU's performance

This opening section is designed to give a bird's eye view of the SBU's total marketing activities.

In addition to a quantitative summary of performance, as follows, SBU managers should give a summary of reasons for good or bad performance.

Use constant revenue in order that comparisons are meaningful.

Make sure you use the same base year values for any projections provided in later sections of this system.

	3 years ago	2 years ago	Last year
Volume/turnover			
Gross profit (%)			
Gross margin (000 ecu)			

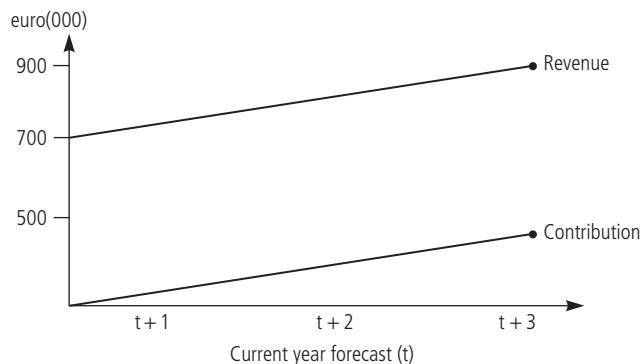
Add rows to this table for any social and environmental metrics that the organization has defined in its sustainability plan (e.g. carbon footprint, employee well-being, etc.).

Summary of reasons for good or bad performance

Form 3**Summary of projections**

This is the third item to appear in the marketing plan.

Its purpose is to summarize for the person reading the plan the financial results over the full three-year planning period, as well as results for social and environmental issues within the firm's sustainability plan, that the marketing plan also needs to be consistent with. It should be presented as a simple diagram along the following lines:



1. from productivity by product for market for existing products from existing markets
2. from new products in existing markets
3. from existing products in new markets
4. from new products in new markets.

This should be accompanied by a brief commentary. For example:

'This three-year business plan shows an increase in revenue from 700,000 euros to 900,000 euros and an increase in contribution from 100,000 euros to 400,000 euros. The purpose of this strategic plan is to show how these increases will be achieved.'

These financial projections should be accompanied by projections of any social and environmental metrics mentioned in the mission statement above.

Form 4

Market overview (with 'market map', if appropriate, together with implications for the organization). (Details of how to complete this section are provided in Chapter 3, Stage 1 Your Market and How It Works.)

It is also helpful if the principal segments can be described here (see Chapter 3, Stage 3 Segmenting the Market):

- market definition
- market map showing volume/revenue flows from supplier through to end user, with major decision points highlighted
- where appropriate, provide a future market map
- include commentary/conclusions/implications for the company
- at major decision points, include key segments.

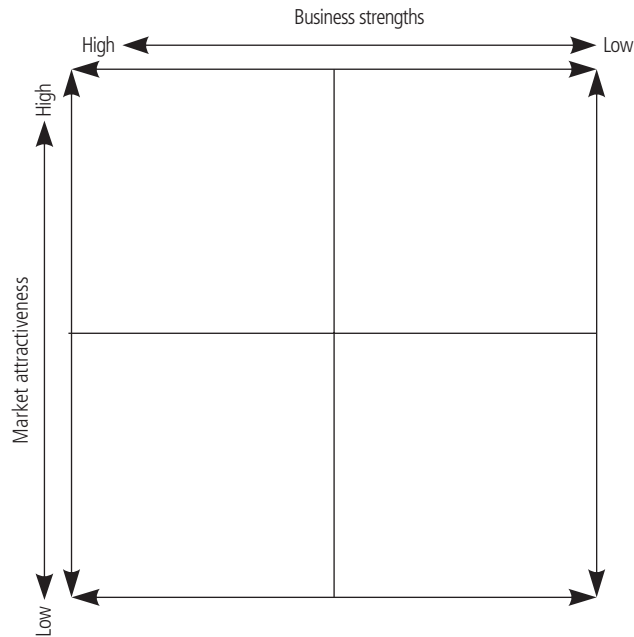
Form 6

Note: This form should be completed for each product market segment under consideration (guidelines for completing this section are given in Chapter 6).

<i>Main competitor</i>	<i>Products/markets</i>	<i>Business direction and current objectives and strategies</i>	<i>Strengths</i>	<i>Weaknesses</i>	<i>Competitive position</i>
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Form 7**Portfolio summary of the SWOTs**

Detailed instructions for how to complete this are given in Chapter 5, in the section 'A detailed, step-by-step approach to creating a portfolio'.



Show pictorially:

- the attractiveness of the segments over the next three to five years
- the current competitive position of your organization in each segment
- the planned competitive position of each segment over the next three to five years.

Form 8

Assumptions

Overall, assumptions should be few in number. If the plan can happen irrespective of the assumption, it should not be included.

Form 10

Summary of marketing objectives and strategies					
Principal product groups. Summarize remaining product groups as 'OTHER'	Last year (t-1)	Current year (t0)	Planning period (t+3)	Principal marketing strategies (describe)	Cost of marketing strategies
	Vol./market gross value % share % margin	Vol./market gross value % share % margin	Vol./market gross value % share % margin		

Form 11

Summary (in words and numbers) of main marketing objectives and strategies

Form 12

Consolidated budget for the next three to five years

This will be a consolidation of all the revenues, costs and profits for the next three to five years and should accord with the financial summary provided earlier.

Financial projections for three years

(Financial projections for the full planning period should be provided under all the principal standard revenue and cost headings as specified by your organization.)

SECTION B

The one-year marketing plan.

(This should be kept separate from the three-year strategic marketing plan and should not be completed until the planning team has approved the strategic plan.)

Specific sub-objectives for products and segments, supported by more detailed strategy and action statements, should now be developed. Here, include *budgets* and *forecasts* and a *consolidated budget*. These must reflect the marketing objectives and strategies, and in turn the objectives, strategies and programmes must reflect the agreed budgets and sales forecasts. Their main purpose is to delineate the major steps required in implementation, to assign accountability, to focus on the major decision points, and to specify the required allocation of resources and their timing.

If the procedures in this system are followed, a hierarchy of *objectives* will be built up in such a way that every item of budgeted expenditure can be related directly back to the initial financial objectives (this is known as task-related budgeting). Thus, when, say, advertising has been identified as a means of achieving an objective in a particular market (i.e. advertising is a strategy to be used), all advertising expenditure against items appearing in the budget can be related back specifically to a major objective. The essential feature of this is that budgets are set against both the overall marketing objectives and the sub-objectives for each element of the marketing mix. The principal advantage is that this method allows operating units to build up and demonstrate an increasingly clear picture of their markets. This method of budgeting also allows every item of expenditure to be fully accounted for as part of an objective approach. It also ensures that when changes have to be made during the period to which the plan relates, such changes can be made in a way that causes the least damage to the SBU's long-term objectives.

GUIDELINES FOR COMPLETION OF A ONE-YEAR MARKETING PLAN

Because of the varying nature of SBUs, it is impossible to provide a standard format for all. There is, however, a minimum amount of information that should be provided to accompany the financial documentation between September and October. There is no need to supply market background information, as this should have been completed in the three-year strategic marketing plan. A suggested format is as follows:

1. (a) *Overall objectives (see Forms 1 and 2 in the one-year marketing plan documentation below)* – these should cover the following:

Volume or value	Value last year	Current year estimate	Budget next year
Gross margin	Last year	Current year estimate	Budget next year

As with the three-year plan, you can add rows for any social and/or environmental sustainability objectives, which the marketing plan may also contribute to. Against each row, there should be a few words of commentary/explanation.

- (b) *Overall strategies* – e.g. new customers, new products, advertising, sales promotion, selling, customer service, pricing. For a list of marketing strategies, see Chapter 6.

2. (a) *Sub-objectives (see Form 3 in the one-year marketing plan documentation)* – more detailed objectives should be provided for products, or markets, or segments, or major customers, as appropriate.
 (b) *Strategies* – the means by which sub-objectives will be achieved should be stated.
 (c) *Action/tactics* – the details, timing, responsibility and cost should also be stated.
3. *Summary of marketing activities and costs (see Form 4 in the one-year marketing plan documentation).*
4. *Contingency plan (see Form 5 in the one-year marketing plan documentation)* – it is important to include a contingency plan, which should address the following questions:
 - (a) What are the critical assumptions on which the one-year plan is based?
 - (b) What would the financial consequences be (i.e. the effect on the operating income) if these assumptions did not come true? For example, if a forecast of revenue is based on the assumption that a decision will be made to buy new plant by a major customer, what would the effect be if that customer did not go ahead?
 - (c) How will these assumptions be measured?
 - (d) What action will you take to ensure that the adverse financial effects of an unfulfilled assumption are mitigated, so that you end up with the same forecast profit at the end of the year?

To measure the risk, assess the negative or downside, asking what can go wrong with each assumption that would change the outcome. For example, if a market growth rate of 5 per cent is a key assumption, what lower growth rate would have to occur before a substantially different management decision would be taken? For a capital project, this would be the point at which the project would cease to be economical.
5. *Operating results and financial ratios (see Form 6 in the one-year marketing plan documentation).*
Note: This form is provided only as an example, for, clearly, all organizations will have their own formats – this should typically include:
 - net revenue
 - gross margin
 - adjustments
 - marketing costs
 - administration costs
 - interest
 - operating result
 - ROS
 - ROI.
6. *Key activity planner (see Form 7 in the one-year marketing plan documentation)* – finally, you should summarize the key activities and indicate the start and finish. This should help you considerably with monitoring the progress of your annual plan.
7. *Other* – there may be other information you wish to provide, such as sales plans.

Form 1

Overall objectives				
Product/market/ segment/ application/customer	Volume	Value	Gross margin	Commentary
	(t - 1) (t0) (t + 1)	(t - 1) (t0) (t + 1)	(t - 1) (t0) (t + 1)	

Form 2

Overall strategies	
Strategies	Cost
1	
2	
3	
4	
5	
6	
7	
8	
9	
10	
Comments	

Form 4

	<i>t – 1</i>	<i>t0</i>	<i>t + 1</i>	<i>Comments</i>
Depreciation				
Salaries				
Postage/telephone/stationery				
Legal and professional				
Training				
Data processing				
Advertising				
Sales promotion				
Travelling and entertainment				
Exhibitions				
Printing				
Meetings/conferences				
Market research				
Internal costs				
Other (specify)				
Total				

Form 5

Suggested downside risk assessment format						
Key assumption	Basis of assumption	What event would have to happen to make this strategy unattractive?	Risk of such an event occurring	Impact if event occurs	Trigger point for action	Actual contingency action proposed

Form 6

	(t - 1)	(t0)	(t + 1)
Net revenue			
Gross margin			
Adjustments			
Marketing costs			
Administration costs			
Interest			
Operating result			
Other interest and financial costs			
Result after financial costs			
Net result			

SECTION C

Headquarters consolidation of several SBU strategic marketing plans.

The authors are frequently asked how several SBU strategic marketing plans should be consolidated by senior headquarters marketing personnel. A suggested format for this task is provided below.

Directional statement

1. *Role/contribution.* This should be a brief statement about the company's role or contribution. Usually, it will specify a minimum growth rate in turnover and profit, but it could also encapsulate roles such as opportunity seeking service, and so on.
2. *Definition of the business.* This statement should describe the needs that the company is fulfilling, or the benefits that it is providing for its markets. For example, 'the provision of information to business to facilitate credit decision-making'. Usually, at the corporate level, there will be a number of definitions for its SBUs. It is important that these statements are not too broad so as to be meaningless (e.g. 'communications' – which could mean satellites or pens) or too narrow (e.g. 'drills' – which could become obsolete if a better method of fulfilling the need for holes is found).
3. *Distinctive competence.* All companies should have a distinctive competence. It does not have to be unique, but it must be substantial and sustainable. Distinctive competence can reside in integrity, specialist skills, technology, distribution strength, international coverage, reputation, and so on.
4. *Indications for future direction.* This section should indicate guidelines for future growth. For example, does the company wish to expand internationally, or to acquire new skills and resources?

The purpose of this section is to indicate the boundaries of future business activities.

Summary of the main features of the plan

1. Here, draw a portfolio matrix indicating the current and proposed relative position of each of the strategic business units. Alternatively, this can appear later in the plan.
2. Include a few words summarizing growth in turnover, profit, margins, etc.
3. Draw a graph indicating simply the total long-term plan. At least two lines are necessary – turnover and profit.

Financial history (past five years)

Include a bar chart showing the relevant financial history, but, at the very least, include turnover and profit for the past five years.

Major changes and events since the previous plan

Here, describe briefly major changes and events (such as divesting a subsidiary) which occurred during the previous year.

Market characteristics

	SBU1	SBU2	SBU3	SBU4
Market size				
Market growth				
Competitive intensity				
Relative market share				
Etc.				

Critical success factors/competitors	Our company	Competitor 1	Competitor 2
CSF1			
CSF2			
CSF3			
CSF4			
CSF5			

[illegible]

Alternatively, or additionally, put a portfolio matrix indicating the current and proposed relative position of each of the SBUs.

Financial goals (next three to five years)

Here, draw a bar chart (or a number of bar charts) showing the relevant financial goals. At the very least, show turnover and profit by SBU for the next five years.

Appendices

Include whatever detailed appendices are appropriate. Try not to rob the total plan of focus by including too much detail.

TIMETABLE

The major steps and timing for the annual round of strategic and operational planning is described in the following pages. The planning process is in two separate stages, which are interrelated to provide a review point prior to the detailed quantification of plans. 'Stage One' involves the statement of key and critical objectives for the full three-year planning period, to be reviewed prior to the more detailed quantification of the tactical one-year plan in 'Stage Two' by 30 November, for subsequent consolidation into the company plans.

Planning Team's 'Kick-Off' Meetings (to Be Completed by 31 March)

At these meetings, the planning team will outline their expectations for the following planning cycle. The purpose of the meetings is to give the planning team the opportunity to explain corporate policy, report progress during the previous planning cycle, and to give a broad indication of what is expected from each SBU during the forthcoming cycle. The planning team's review will include an overall appraisal of performance against plan, as well as a variance analysis. The briefing will give guidance under some of the following headings (as appropriate).

1. Financial
 - gross margins
 - operating profits
 - debtors
 - creditors
 - cash flow.
2. Manpower and organization
 - organization
 - succession
 - training
 - remuneration.
3. Export strategy.
4. Marketing
 - product development
 - target markets
 - market segments
 - volumes
 - market shares
 - pricing
 - promotion
 - market research
 - quality control
 - customer service.

This is an essential meeting prior to the mainstream planning activity which SBUs will subsequently engage in. It is the principal means by which it can be ensured that plans do not become stale and repetitive due to over-bureaucratization. Marketing creativity will be the keynote of this meeting.

Top-Down and Bottom-Up Planning

A cornerstone of the marketing planning philosophy is that there should be widespread understanding at all levels in the organization of the key objectives that have to be achieved, and of the key means of achieving them. This way, the actions and decisions that are taken by managers will be disciplined by clear objectives that hang logically together as part of a rational, overall purpose. The only way this will happen is if the planning system is firmly based on market-centred analysis that emanates from the SBUs themselves. Therefore, after the planning team's 'kick-off' meetings, audits should be carried out by all managers in the SBUs down to a level that will be determined by SBU managers. Each manager will also do SWOT analyses and set tentative three-year objectives and strategies, together with proposed budgets for initial consideration by their superior manager. In this way, each superior will be responsible for synthesizing the work of those managers reporting to them.

The major steps in the annual planning cycle are listed below and depicted schematically in Figure 14.3.

Activity	Deadline
• Planning team's 'kick-off' meetings with SBU managers to discuss overall guidelines for the three-year planning period	31 March
• Prepare marketing audits, SWOT analyses, proposed marketing objectives, strategies and budgets (cover the full three-year planning horizon)	31 May
• 'Stage One' meetings: presentation to the planning team for review	31 May
• Prepare short-term (one-year) operational plans and budgets, and final three-year SBU managers' consolidated marketing plans	31 October
• 'Stage Two' meetings: presentation to the planning team	30 November
• Final consolidation of the marketing plans	31 December



Figure 14.3 Strategic and operational planning cycle.

AND FINALLY, A TEST TO CHECK THE QUALITY OF YOUR STRATEGIC MARKETING PLAN

This test has been developed by Dr Brian Smith, Chief Executive of Pragmedic. It is the result of much in-depth research into the output of the process of strategic marketing planning. It consists of 12 tests. Please answer them honestly, otherwise there is no point in doing them.

If you get a high score, congratulations. If you get a low score, you have much work to do, but nothing that cannot be accomplished by implementing what has been written in this book.

Test 1

- Our marketing strategy makes it clear what markets or parts of the market we will concentrate our efforts on
 - If your strategy attacks all of your market sector (e.g. retail groceries, superconducting magnets) equally = 0
 - If your strategy is focused by 'descriptor group' (e.g. ABC1s, large firms, SMEs etc.) = 1
 - If your strategy attacks needs-based segments (e.g. efficacy focused customers with high ego needs) = 2
 - If you don't know = -1

Test 2

- Our marketing strategy makes clear what actions fit with the marketing strategy and what does not
 - If your strategy allows complete freedom of action = 0
 - If your strategy allows a high degree of freedom of action = 1
 - If your strategy makes most of your action plan decisions for you = 2
 - If you don't know = -1

Test 3

- Our marketing strategy clearly defines our intended competitive advantage in the target market segments
 - If there is no strong and supported reason why the customer should choose you = 0
 - If there is a reason the customer should buy from you but no strong proof = 1
 - If you can state clearly the reason the customer should buy from you and not the competitor and substantiate that reason = 2
 - If you don't know = -1

Test 4

- Our marketing strategy allows synergy between the activities of the different parts of the organization
 - If the strategy is a compromise of what each department is capable of = 0
 - If the strategy uses the strengths of only one or two departments = 1
 - If the strategy uses the best strengths of all departments = 2
 - If you don't know = -1

Test 5

- Our marketing strategy is significantly different from that of our competitors in our key market segments
 - If you attack the same customers with the same value proposition = 0
 - If you attack the same customers OR use the same value proposition = 1
 - If you attack different customers with a different value proposition = 2
 - If you don't know = -1

Test 6

- Our marketing strategy recognizes and makes full allowance for the needs and wants of our target customers
 - If you only meet the basic functional needs (safety, regulation, efficacy) = 0
 - If you also meet the higher functional needs (efficiency, service, price) = 1
 - If you also meet the emotional and ego needs (brand, confidence) = 2
 - If you don't know = -1

Test 7

- Our marketing strategy recognizes and makes full allowance for the strategies of our competitors
 - If you are ignoring the competitors' strategy = 0
 - If you are allowing for some of the competitors' strategy = 1
 - If you are allowing for all of the competitors' strategy = 2
 - If you don't know = -1

Test 8

- Our marketing strategy recognizes and makes full allowance for changes in the business environment that are beyond our control, such as technological, legislation or social change
 - If your strategy is designed for today's conditions = 0
 - If your strategy allows for one or two changes (e.g. technology or demographics) = 1
 - If your strategy considers the combined effects of all the external factors = 2
 - If you don't know = -1

Test 9

- Our marketing strategy either avoids or compensates for those areas where we are relatively weak compared to the competition
 - If you have taken little or no account of your relative weaknesses = 0
 - If you are trying to fix your relative weaknesses = 1
 - If your strategy means that your relative weaknesses don't matter = 2
 - If you don't know = -1

Test 10

- Our marketing strategy makes full use of those areas where we are relatively strong compared to the competition
 - If you have taken little or no account of your relative strengths = 0
 - If you are trying to use your relative strengths = 1
 - If your strategy means that your relative strengths become more important = 2
 - If you don't know = -1

Test 11

- Our marketing strategy, if successfully implemented, will meet all the objectives of the organization
 - If your strategy, fully and successfully implemented, does not deliver your financial or non-financial objectives = 0
 - If your strategy, fully and successfully implemented, delivers only your financial objectives = 1
 - If your strategy, fully and successfully implemented, delivers your financial and non-financial objectives = 2
 - If you don't know = -1

Test 12

- The resources available to the organization are sufficient to implement the marketing strategy successfully
 - If you have neither the tangible nor the intangible resources to implement the strategy = 0
 - If you have only the tangible or the intangible resources, but not both = 1
 - If you have both the tangible and the intangible resources needed to implement the strategy = 2
 - If you don't know = -1

How Did You Score?

- 18–24 – Well done! (are you sure?)
 - Can I buy some shares?
- 12–17 – You will succeed
 - If your competition is weak!
- 6–11 – You will survive
 - If your competition is weak!
- Less than 6
 - Oh dear, it was nice knowing you.

EXERCISES

Exercise 14.1 Simulation practice

Undertake Dr Brian Smith's Quality Test for your company. What does it show about your marketing planning process? Agree the key actions to improve the process.

Exercise 14.2

Follow the step-by-step approach in this chapter to develop a much better Marketing Plan for your company.

And when you've got great results, sell the benefits of the improved process to the rest of the company!

Conclusion: Guidelines from the Authors on World-Class Marketing

INTRODUCTION

Below is a ten-point summary of most of the wisdom set out in the pages of this book (section A). Each of these ten guidelines is then expanded on in sections B to F.

A: Ten Guidelines for World-Class Marketing (summary)

1. Understand that marketing is the driver of strategy in the boardroom.
2. Understand your market and how it works.
3. Carry out proper, needs-based segmentation on decision makers.
4. Understand your own strengths and weaknesses.
5. Understand your portfolio of segments.
6. Set realistic objectives and strategies for each segment to grow your sales and profits.
7. Focus and play to win in a few segments only.
8. Calculate whether your objectives and strategies will create shareholder value.
9. Justify financially investments in marketing.
10. Be professional and ethical.

B

1. **Understand that marketing is the driver of strategy in the boardroom**
 - It is NOT promotion.
 - Everything an organization does from R&D through to delivery adapts to and converges on the business value proposition that is projected to the customer.
2. **Understand your market and how it works**
 - Define the market in terms of needs, not products.
 - Map how it works from end to end, showing product/service flows in total and your shares.
 - Understand how it is changing.
 - Identify major junctions where decisions are made.

C

3. **Carry out proper, needs-based segmentation on decision makers**
 - Do not confuse needs-based segmentation with descriptors such as socioeconomics, demographics, geo-demographics and psychographics.
 - List what is bought (including applications, where and when it is bought).
 - List who buys.
 - List why they buy.
 - Group those with similar needs.

4. Understand your own strengths and weaknesses

- For each segment, list their needs and the relative importance of each (weights).
- Score out of 10 how you and each of your major competitors meet these needs.
- List the external opportunities and threats for each segment.
- List the major issues that need to be addressed for each segment.

D**5. Understand your portfolio of segments**

- Classify on a four box matrix each segment according to its potential for growth in your profits over the planning period (the vertical axis).
- Classify each segment according to your relative strength in each (the horizontal axis).
- This will position each segment as follows:
 - less attractive segments where you have strengths (1)
 - more attractive segments where you have strengths (2)
 - more attractive markets where you have few strengths (3)
 - less attractive markets where you have few strengths (4)

6. Set realistic objectives and strategies for each segment to grow your sales and profits

- Set clear priorities and stick to them. You cannot be all things to all customers.
- For quadrant 1, manage for sustained earnings.
- For quadrant 2, manage for growth in revenue and profits.
- For quadrant 3, elect the most promising segments and invest for improving your competitive position. Do NOT try to maximize your profits in these segments.
- For quadrant 4, manage for cash and minimize costs.

E**7. Focus and play to win in a few segments only**

- Develop a winning offer for each.
- Quantify the value proposition (creating advantage, not just avoiding disadvantage).
- Become the best in your chosen segments.

8. Calculate whether your objectives and strategies will create shareholder value

- Carry out risk assessment on each strategy in each segment.
- Calculate risk-adjusted net-free cash flows for each segment over the planning period.
- Allocate the relative capital employed multiplied by the cost of capital for each segment.
- An overall surplus means that the plan is creating shareholder value.

F**9. Justify financially investments in marketing**

- Measure the indirect impact on sales and profits of all marketing expenditure.
- Measure the impact of promotional expenditure using econometric models.
- Measure and report to the board that your risk-adjusted marketing strategy creates shareholder value.

10. Be professional and ethical

- Develop professional marketing skills.
- If possible, get qualified like other professions.
- Be innovative and open-minded.
- Be ethical at all times and consider the impact of your actions on all stakeholders.

These ten guidelines can be summarized even more – see sections G and H.

1. Define your market in terms of needs, not products. Know how it works from end to end.
2. At decision points, do proper needs-based segmentation.

3. Carry out a detailed SWOT analysis on each segment.
4. Categorize the resulting segments according to the potential of each for you to grow your profits over the next three to five years and according to your relative strength in each compared with your competitors.
5. Focus and play to win in the one or two best segments from 4 above.
6. Set only a few priorities, involve your team and don't try to be all things to all people.

G: Six ways to develop a winning strategy

1. Identify a profitable, under-served segment (niche).
2. Target only one segment at a time.
3. Create an irresistible offer. Offer quantitative proof that you are the best.
4. Become the obvious expert in your niche.
5. Create a hit list of customers you want to win. Concentrate your firepower.
6. Get high quality referrals.

H: How to become a very profitable leader

Armed with the tangible results of the wisdom you have captured in the strategic and tactical marketing plans, you can face the future with confidence. In the following final section of the book, 'Marketing Planning: Yes, it really works! Experiences from the real world', you'll find excerpts from two former directors of multinational companies who have since worked extensively in small and medium enterprises (SMEs). They spell out how the processes set out in this book work perfectly in either domain.

The authors of this book wish you all happy and profitable planning!

Marketing Planning: Yes, it really works!

Experiences from the real world

Dr Stewart Barnes, Chief Executive Officer of QuoLux

Yes, it does work, but it needs senior leadership focus and drive from the top.*

Creating a market focused business plan is too important to be delegated down the organization. As Professor McDonald notes, “The top 50 USA corporations lose \$50 billion a year through failed strategy implementation, i.e. poor leadership. Without effective leadership, even the most outstanding growth strategies will fail” (Barnes et al., 2015).¹

So, there is the challenge.

If you truly wish to transform your company into a high-performing business, then a game changing activity that is critical to shape the destiny of your leadership and your company is to understand where your sales and profits come from, segment your market, build strategies for the segments you choose to compete in and then align your operations to deliver the value that customers seek. You then must do that consistently over a period of time.

I first met Malcolm in the mid-1990s and was exposed to the Strategic Marketing Planning (SMP) process, which I refer to as MPP – Marketing Planning Process. Impressed by its rigour and robustness I used it successfully in Pilkington, across a family-owned group of companies in many European countries and more recently in my own company, QuoLux, taking it into hundreds of small and medium-sized enterprises (SMEs). These companies are from various sectors operating in different countries facing an array of opportunities and challenges.

Typically, when I walk into them, I find most leaders cannot describe their markets, how those markets work, what position their business has in the market compared to that of their competitors and what market segments are available. If organizations cannot do that, how can they create competitive advantage? How can they generate superior profits (over the long term)? Moreover, many organizations do not analyse their own sales and financial data so do not understand where they make money and what are the most attractive segments and consequently do not consider how to achieve the appropriate balance between purpose and profit (Freeman et al., 2019).²

* ‘It’ refers to a strategic Marketing Planning Process (MPP).

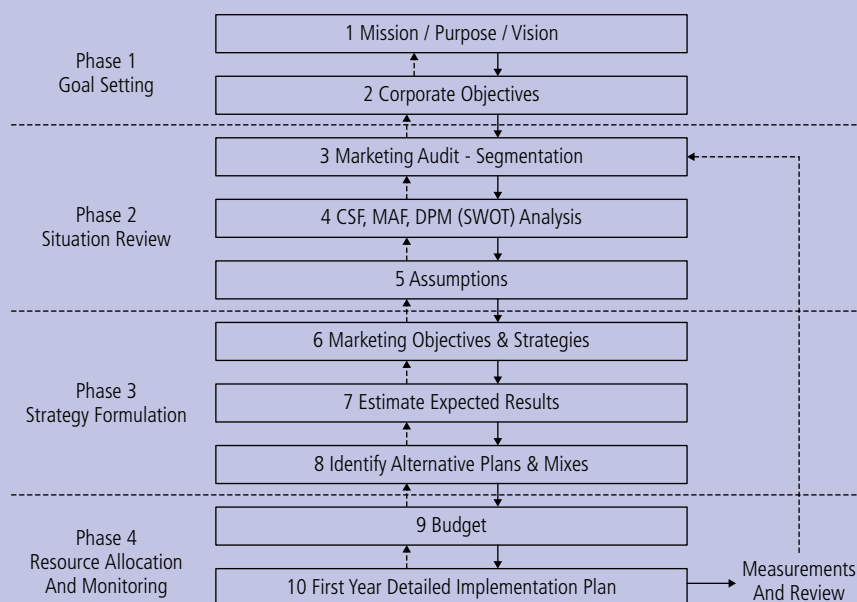


Figure A: Strategic Marketing Planning Process (MPP).

For the last number of years, my organization has exclusively worked with SMEs. Research conducted by ACCA (2021) reveals that 65 per cent of SMEs do not have a business plan or financial forecasts in place. This is a frightening statistic especially when considering SMEs represent 95 per cent of all companies in the UK and 60 per cent of the country's turnover. You wouldn't go on a fortnight holiday without a destination in mind or a map to hand. Why then treat your business with such disregard?

Research on the QuoLux LEAD programme³ confirms an increase from 53 per cent to 89 per cent of companies having a business plan and an increase from 52 per cent to 86 per cent in understanding the priority and profitability of target markets. The business outcome is an average growth of 27 per cent the year after completing the programme. The assertion – strategic marketing planning works with effective leadership – seems to hold some sway.⁴

On LEAD, we encourage businesses to implement an MPP and follow the four phase and 10 stage approach in Figure A.

PHASE 1 (STAGES 1 AND 2) – GOAL SETTING

For those businesses who attempt to create business plans, I often observe that they fall into the trap of writing poor mission and vision statements that can apply to any company rather than being meaningful to them, while almost always failing to discuss purpose, the 'why'.

So, phase 1 in a robust strategic planning process has two stages. Firstly, Stage 1 brings the senior leadership team together to agree the mission – 'we are in business to do . . . (what?)'. By adding 'in order to' at the end of the mission statement then the purpose can be formed. Next, establish the vision by asking, 'where do we want to be in x years and what do we want our company to look like?'

The vision can be viewed as milestones on the way towards the purpose. Critically, the mission and purpose are constant, whereas the vision should change over time, especially when the vision is realized.

Creating a mission, purpose and vision is not as easy as it sounds. The senior leadership team must debate and agree what the business is about (the mission) and the true purpose of the organization, ideally related to relevant United Nations Sustainable Development Goals (UNSDGs) ahead of galvanizing around a vision.

Stage 2 is to agree the corporate goals, specifically the financial goals – primarily, turnover and profitability – and the non-financial goals.

PHASE 2 (STAGES 3, 4 AND 5) – SITUATION REVIEW

Rather surprisingly, phase 2 – the situation review with its three stages – is often missed out. Organizations collect a lot of data in their everyday business but fail in turning it into usable management information to generate more knowledge of the markets in order to make better decisions.

Stage 3 is a 'Marketing Audit' where I suggest senior leaders take time to analyse where their sales and profits comes from. This is a crucial piece of work and must not be hurried. Three key pieces of analysis are worth highlighting.

Firstly, undertake Pareto analysis as typically 80 per cent of sales (turnover) come from 20 per cent of customers, and often 80 per cent of profits come from 20 per cent of customers too, though not necessarily the same.

Case Study A: An engineering firm had enjoyed a Covid bounce finding that its online after-market motor parts were in high demand during lockdown. As the world opened up, sales levelled. For the first-time in the company's 30-year history, the Sales Manager did a Pareto analysis and found that the 80/20 rule was alive in the organization. The Sales Manager identified two key market segments and then grouped the key products into three areas, two of which had high priority. After sense-checking the analysis with the senior leadership team and obtaining buy-in, the Sales Manager recommended a new sales and marketing approach to target and support key dealers whilst developing the new online consumer market which did not conflict with the strategies of their key dealers. This segmented approach then led to a revision in stock levels, which improved lead times and stimulated growth. Finally, research and development (R&D) was aligned with the prioritized market segments so that the R&D team worked on what the market wanted and not on what the internal team preferred to do.

A second key piece of analysis is identifying the rate determining step – the bottleneck – as the profitability of the key product/service in the key market segments is dependent on the flow of the product/service through the bottleneck.

Case Study B: Many businesses price using a percentage gross margin that can lead senior leaders to focus on the wrong areas for growth. A professional service company marketed three distinct services. Service X had a 60 per cent margin, Service Y had a 40 per cent margin and service Z a 25 per cent margin. The senior leaders wanted to grow their company and were about to focus most of their efforts on 'X' until they realized that the bottleneck was their fee-earners. A benchmark of what was the most profitable

work that could be 'produced and billed' in an hour was calculated, i.e. gross profit per bottleneck hour (GP/hr). Comparing the services they found:

- Sales of service X *produced* in one hour = £100 @ 60% margin was GP/hr of £60.
- Sales of service Y *produced* in one hour = £200 @ 40% was GP/hr of £80.
- Sales of service Z *produced* in one hour = £1,000 @ 25% was GP/hr of £250.

Services X, Y and Z were required to varying degrees by clients in the market segment who preferred having the one 'supplier' to deliver all three services. The professional services company focused its efforts on clients with demand for Z and kept providing services X and Y to ensure they always secured service Z work. Sales grew by over 20 per cent per annum and profitably increased five-fold.

The third key piece of analysis is mapping out the 'route-to-market', that is, how your product/service flows through your industry. This may highlight some previously unexplored market opportunities.

Case Study C: An SME manufacturer was the largest supplier of its type of product in a few market segments and spotted an opportunity in a related market segment where it had little presence.

The normal route-to-market in this 'new segment' was for manufacturers to supply distributors who in turn sold to installers. The distributors' positional power led to large demands for large annual rebates from suppliers. So, at distributor level, a market rate of '100 dollars' was an actual price of 97 (nett after rebates). Price at installer level was 110.

The SME manufacturer used the route-to-market analysis to enter the segment by supplying installers direct and offering a price of 109, i.e. a 9 per cent premium to what its competitors were receiving from distributors. Competitors of the manufacturer could not follow this action and sell to installers as that would destroy their relationships with distributors. All that distributors could do was react by dropping the price to 108 and demanding a new purchase price of 98 (nett 95). The SME manufacturer reacted with a new price of 107. Again distributors re-priced at 106 and bought at 96 (nett 93). This cycle was repeated until the SME manufacturer was selling at 100 and its competitors were losing money, eventually leaving the segment or going out of business.

So what can we learn from these three case studies? Use the Pareto 80/20 approach, cluster similar customers to create meaningful 'key market segments', identify the key products or services that are purchased, prioritize these 'key product/services to key market segments' by understanding profitability, market demand and market potential. Finally, create a market map to identify possible opportunities.

Stage 4 in the MPP commences by identifying why customers in these segments buy these key products/services. Ask clients to prioritize their 'buying needs', their Critical Success Factors (CSF), scoring you and subsequently your competitors.

You now have agreed the prioritized market segments in terms of profitability and have an insight into customers' (and/or potential customers') buying priorities and their views on how they rate you and your competitors – marketing intelligence gold dust!

This piece of work can be undertaken by your teams or independently. I prefer the former, as almost no organization carries out this sort of focused research and customers delight in the fact that suppliers are taking an interest in them and their business. This results in customers

sharing 'tacit' knowledge that independent researchers may dismiss as unimportant or miss as they do not have the commercial awareness to ask a timely follow-up question to gain further understanding. I encourage senior leadership teams to spend time exploring Stage 4 as it shines a light on potential opportunities, strengths and areas to focus on.

The next part of Stage 4 is for the senior team to meet and agree what an attractive market looks like, i.e. establish Market Attractiveness Factors (MAF), and prioritize the key product to key market segments. This is an area of lively debate and quite essential in ensuring senior management teams agree and coalesce around the aspects of greatest importance to the firm. Whether the venture is a private company or charity, the goal is to make money⁵ as they move towards their purpose. Therefore, what are the MAFs that enable the firm to maximize its position?

Now you have CSF from customers and MAF agreed by the senior leadership team, by plotting them you can create a Directional Policy Matrix (DPM). Companies that do this find it a transformative experience as they can now see their prioritized business on one page.

Do not fall into the trap of undertaking a traditional SWOT analysis where the same words appear under both 'Strengths' and 'Weaknesses' and 'Opportunities' and 'Threats'. Rather, use the CSF, MAF and DPM to create a SWOT per segment.

In Stage 5, ensure you note all the assumptions so that you can refer to them next year when you come to refresh the plan. Yes, good practice is to write a new plan every year.

PHASE 3 (STAGES 6, 7 AND 8) – STRATEGY FORMULATION

A key step is for the business leaders to create winning strategies that deliver sustainable competitive advantage, ensuring the outputs of marketing (branding, websites, brochures, flyers, social media etc.) are tailored to the customers' needs in the market segments in which the business leaders choose to compete.

The aim in the MPP is to identify sustainable competitive advantage. Bowman and Raspin (2019)⁶ suggest that ultimately there is only one sustainable strategy – low cost focused differentiation – highlighting the importance of being different from competitors, remaining focused on how customers value this differentiation, avoiding distractions, wasting time on so-called opportunities and finally ripping out all unrelated costs continuously. I use this to channel the senior leaders as they wrestle with strategy formulation. Similarly, the Ansoff Matrix (Figure B) is a useful tool with its reminder that market penetration strategies are more than twice as likely to succeed compared to new product development strategies or market extensions. Diversification is highly risky.

Using these approaches and the pointers from Figure 6.6 as a guide, senior leaders can ask themselves what they should do in each key product/service to key market segment – the 4Ps (product, price, place, promotion), market share, operations, cost control, R&D, people, investment and working capital. By answering these pointers senior leaders are creating the marketing objectives and strategies of Stage 6 and the actions within Stage 10.

Note that phases 1 and 2 must be driven from the top and not delegated to people further down the organization. It is the company's future and fortunes that are at stake.

Deep down, when they are asked, companies know the answers to the above questions. The leaders must step back from the day-to-day activities so that they can create the time to ask the question of themselves so that they properly plan.

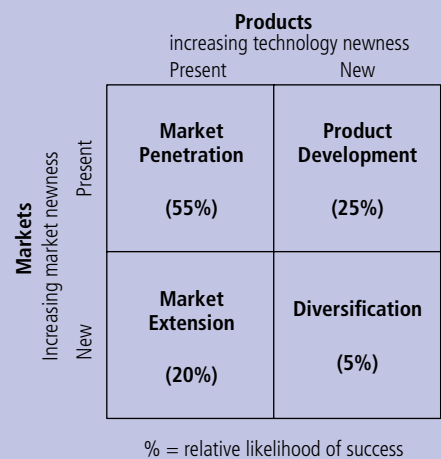


Figure B: Ansoff Matrix.

Case Study D: The main board, including non-executive directors, of a multinational industrial group were visiting a stand-alone subsidiary and meeting the senior leadership team who had transformed the business unit, tripling sales and increasing profits by a factor of ten. When the local managing director was asked by the chair what was the single most important change in the business, the reply was, ‘Introducing the MPP’. The chair noted that for a business with 80 employees, the business plan, tools and management understanding of customers and the markets were as advanced as would be seen in leading global players.

By following this approach, senior leaders should now have a better understanding of where competitive advantage lies and how to deploy it in the market segments they choose to compete in, they can use past results, market size, market share and market growth figures (if they have them) to consider what sales (and profitability) they can expect in each segment. This is Stage 7.

Senior leaders also need to ask, ‘What if. . .?’ and create a contingency plan by exploring what are the key sensitivities to the success of the plan (Stage 8).

Case Study E: A small company processing building materials had used the MPP in a five-year plan which convinced investors to provide £4 million of loans and grants. Key was a sensitivity analysis which the leadership team switched to after a couple of years because of an unexpected global event. Their prompt action gave the funders confidence to continue with the investment. At the end of the 5-year period, the original forecast profits were realized.

PHASE 4 (STAGES 9 AND 10) – RESOURCE ALLOCATION AND MONITORING

Stage 9 is the preparation of the one-year budget. It never ceases to amaze me that, in the main, those companies that produce a business plan skip stages 1–8 and go straight to Stage 9. Marketing directors and managers need to be more proactive in senior leadership meetings to ensure their voices are heard and promote the MPP rather than give ground to the typical finance director who traditionally advocates budgeting, thus bringing an internal perspective rather than a market-led one – which is what the MPP delivers.

Stage 10 naturally flows from Stages 6 and 7. Here, objectives are granulated into action plans that are SMART – specific, measurable and agreed, which ensures that they are realistic and time bound. A named person must be responsible for each action and be accountable for the outcome of the action at review meetings. The results of these actions feed back into next year's plan at Stage 3.

Arguably, future plans should not be too different. Many markets do not change considerably over time and employees lose confidence in leadership teams that exhibit knee-jerk reactions, changing plans mid-course. This leads to confusion for staff, customers, suppliers and other stakeholders alike.

How do you integrate the market-led plan with the rest of the organization?

Another pictorial way to consider the MPP is shown in Figure 3. The MPP is shaded, as I argue it is the most important business pillar^{*} because it is the only one that is actively looking outside the organization.

When senior leadership teams reach Stage 7 in the MPP, i.e. agreeing the sales and marketing objectives and strategies, I encourage the head of sales/marketing to share the objectives and strategies with the heads of operations, design/technical, customer services, finance, HR, IT etc. (if they are not already involved in the MPP). All these 'internally facing' pillars then need to undertake an audit to assess if the resources in their 'pillar' can meet the demand identified in the sales/marketing objectives. Each pillar then considers what objectives and strategies they need to deploy, which in turn becomes their departmental plan. The overall company-wide business plan is created by pulling together all the departmental plans. Of course, sense-making is applied along the way to ensure the company can afford to do everything in the plan and that the plan is feasible.

The heads of the internal pillars should consider 'performance objectives' and identify 'order winners and order qualifiers' (Slack et al., 2022)⁷ consistent with CSF in each key product/service to key market segment.

I believe in the adage that 'structure follows strategy'. Too many senior leaders, particularly in SMEs – though large companies do this as well – fiddle with the structure, often reorganizing without a clear plan of where to compete. I advocate adopting the structure in Figure D, which follows the strategic process of Figure C, and adapting it to the context of your own organization (note IT and HRM are often subsumed under Finance Manager in SMEs).

Last but Not Least – the Review

You have a plan! Well done! But now you must bring it alive and ensure proper reviews. Figure E sets out a planning and review cycle. I advocate that the full senior leadership team must meet every three months to review progress or otherwise and discuss what needs to be done to bring outstanding actions back on plan. In between these meetings, the managing director should be discussing progress of the key actions with the heads of departments (who can do the same with their reports on a regular/monthly basis) so that matters are moved forward and that there are no surprises at the quarterly reviews.

^{*} I use the metaphor of pillar in the sense of constructing something that is robust, e.g. a set of departmental plans (as pillars) that hold up the overarching corporate objectives.

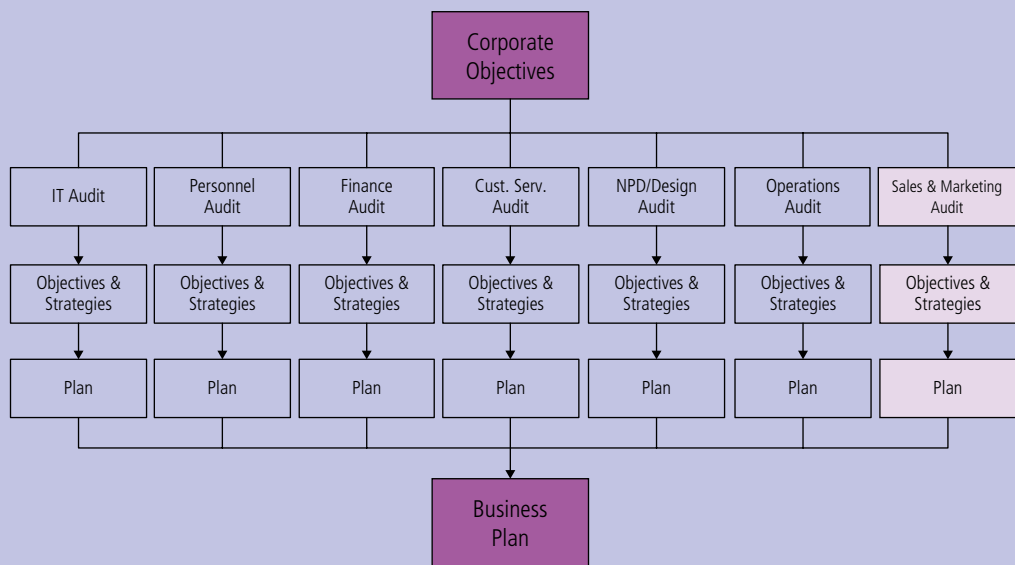


Figure C: The business pillars.

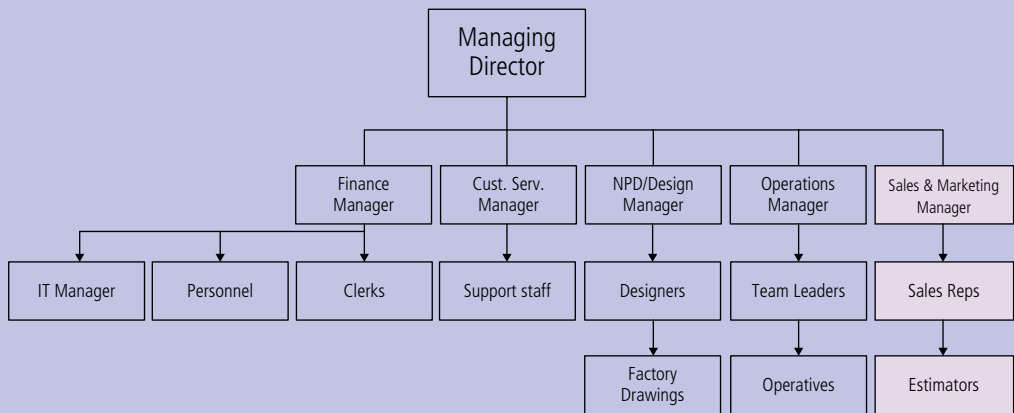


Figure D: Structure follows strategy in the business pillars of typical SMEs.

Not Convinced Yet that it Works?

On the LEAD programme, we work with business leaders running organizations employing 5–1,000 people to devise segment leading market penetration strategies and encourage them to broaden and deepen relationships with existing customers and to find similar new clients. We then assist businesses to implement the appropriate follow-up systems to ensure success.

The above approach represents a complete mind-set change and paradigm shift for the leader and their business. The inputs and outputs are based on facts and most importantly what customers think about their company allowing them to proactively plan their sales activities.

Case Study F: The MD of a micro company employing eight staff observes, ‘We had unwittingly invested time and money dealing with an unattractive market segment where

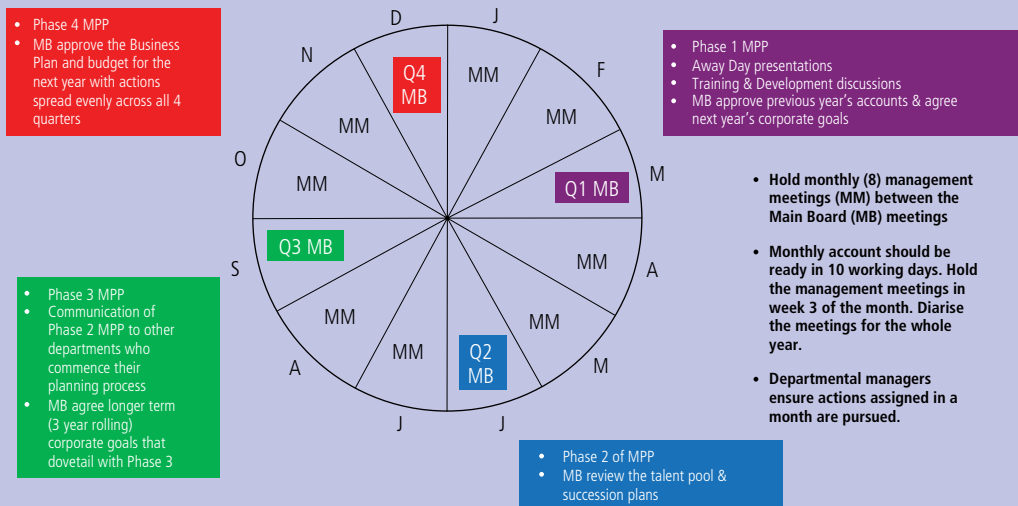


Figure E: How to build a business planning cycle to lead and manage the MPP process.

the customers did not rate us highly. We should have been raising pricing, minimizing promotion and cutting back on the organisation to that segment. But we did not realise what our customers thought, or that our other products were so much more attractive for both us and our customers. It was an eye opener! We reassigned employees to focus on other segments, making us more profitable and competitive. We now win over 75% of the jobs we quote for!

The MPP is more than conducting research and making plans for the company. It affects the way you think in your working life. It has changed the way I do business for the better.'

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TONY MOORE

I was trained in marketing planning by Professor Malcolm McDonald and using the process spelled out in this book have achieved spectacular results throughout my business career with companies such as Alfa Laval, Tetrapak and others.

This story, however, concerns a job I was given of turning around a small privately held, US glove manufacturing 'cut and sew' company that manufactured certified firefighting gloves. The company was heading into certain closure after 90 years of business and had, at one time, been a market leader in the US glove-making industry. Now, however, it had become a dinosaur with outdated manufacturing processes, poor quality products and lengthy lead times.

In order to know where we were, our market and where we were headed, I began the strategic marketing planning process. I began to make the strategic plan containing market size, competitive analysis, SWOT analysis, product positioning cost of operations and all of the factors that I needed to know in order to develop this failing company.

I have to note here that before I began this process I had absolutely no idea about the structure, size and influencing factors that would affect this company as I had never been involved with gloves of any kind, let alone firefighting gloves.

Sales within the United States were through a large distribution network of some 420 distributors that included around 10 per cent overseas sales. We were selling at 'transfer' or distributor prices but we were not selling to the end user. The market we were in required expensive annual recertification of our products to a very high standard (for US firefighting gloves) and this was a very high cost way of doing business.

In completing the planning process, I used excellent and readily available market data available through various organizations involved with the firefighting market, and several other government departments involved with statistical data, which is always readily available, if you know where to look.

The Data Revealed Within the 'Strategic Plan'

Several things became apparent as I steadily went through the market planning process:

1. The market we were in was saturated with similar undifferentiated products.
2. Prices were depressed, through tough competition, with little room for increased margins.
3. The cost of annual recertification was extremely high (a barrier to entry for all).
4. Deliveries were protracted and our quality was poor.
5. Our manufacturing was outdated – 'batch and queue' – and was highly expensive, incurring a 50 per cent turnover of unhappy sewing and production staff who had never had any increase in pay.
6. Our market share was 20 per cent and rapidly declining.
7. We were also in a very low cost industrial glove business that we were losing money on with each pair of gloves that we manufactured.
8. Our product mix included considerable overlap with our own products that made no sense.

We now had our 'Road Map' and the actions we were to take that emerged from the plan became obvious. Externally we needed to re-engage our distribution network to believe in our company and our products as soon as possible and this was important and urgent!

Internally, in order to do this, we had to reduce manufacturing costs, improve delivery times, and above all improve our quality. I also believed we had to create a product differentiation from our competitors, though that was important but not urgent.

I met our main distributors and shared with them my findings, explaining where we needed to focus if we were going to succeed in our chosen market. Normally, this information would be confidential, but time was running out and my plan required that our distributors remained loyal and did not move to another manufacturer, which, as I found out, 30 per cent had already done so.

Implementing the Plan

In order to reduce our costs I introduced lean manufacturing, which had become obvious from completing the market plan that this had never before been done in a US cut-and-sew glove manufacturing operation. I reached out to the Department of Economic Development who agreed to help me implement lean manufacturing and together we completed the task in only four months. Prior to this we had a complicated production process that was not streamlined, with 82 production staff.

The company had an archaic 'piece rate' pay system that encouraged our sewing staff to rush their work in order to make any kind of living and this had led to our poor quality, since they had to work fast if they were to make any production bonus. I changed this system into a timed sewing system, as a part of a lean introduction that rewarded them more for getting it right first time over their sewing speed. This led to 'teams' working together to mutually benefit from production and quality bonuses instead of working only for themselves.

After implementation we had spectacular results: reduction of costs by 33 per cent, improved lead times, faster overall speed of production, better quality, and we managed to increase production with fewer staff.

I also shut down the industrial glove business, as imports were selling at less than our leather costs alone! This, too, became apparent within the plan.

A New Look and a New Pay Structure

Everyone in the company was on board with the positive changes we were making. The machines were freshly painted, the factory was cleaned (for the first time in decades), the production had a new fresh look, an excellent workflow system was laid out and we were now on track. In the planning process the 'piece rate' pay system had become highly visible as a negative to all of our staff. The fix was to link pay with overall production and not just pay for finishing each component, as it was prior to the change. I created 'cells' where finished pairs of gloves, coming off the line, were the base unit for production pay, and quality was measured at a higher rate for their bonuses over speed of operation. As part of lean manufacturing we had re-timed every operation and created new timings, which they could all manage without rushing. If we also had resulting higher quality we would not waste money in re-manufacture. This new process led to a significant pay increase, which was covered out of the increased production efficiency and higher quality of finished goods. In other words we shared the win-win with all of our staff.

Threats, Now a Reality

When completing the strategic plan, I had identified two main threats during the SWOT analysis. One threat was new competition from overseas and the other was a limited and fixed market size. Our market size had not changed in more than 15 years and part of the threat analysis is

the ability to be forewarned of a threat. This leads to the creation of ‘opportunities’ from these identified threats.

The threat of overseas competition became a reality very quickly when a brand new product from Pakistan entered our market: a glove with a much lower sales price and with higher dexterity than any in our market. This occurred just as we were gaining our market confidence back and could not have happened at a worse time. That’s often the way in business, so you have to move fast! The result was that 20 per cent of our sales were lost in a very short time, leaving us with an urgent problem we had to solve.

Sharing the Problem

I wanted all of my production staff to understand the issue and the reality that would affect all of them if we continued to lose market share, in that the company would close down.

Moving production overseas was not a choice for us, since our quality had taken such an effort to improve, and our deliveries and agility to quickly switch between products through demand were far better than with imported products. Added to this the cost of transition to overseas production was not something we could now afford. I wanted to maintain a US production with more competitive products and an acceptable price that our market would choose over imported products.

I engaged the entire staff in my development of a new US-made certified firefighting glove in order to not only meet, but to beat our competition and to increase our market share as a result. This threat had now become an incredible opportunity for us but would not be easy.

Involvement in the Solution

Many times in many companies, production staff never see what the competition really is and thus have no idea what happens in the sales process, only that they are busy or slack week to week. I wanted them all to realize the nature of the problem so I laid out all of our competitors’ gloves next to ours, then I showed them the cause of our downtrend in sales with the new imported product. I asked for their help with the fix and they all readily agreed.

I then focused on nothing other than to design a new, radically different, high dexterity, high quality US-made glove. My message here is to focus, focus, focus on the project at hand and do not allow anything to interrupt the ‘fix’ of the problem. I looked at a ski glove that was pre-curved, had incredible dexterity and other similar properties to a firefighting glove (a liner, moisture barrier and an outer shell).

I began the design process and piece-by-piece I created, with my staff’s help, a new radically different product. When I had finished the design part of the process, I had to assess the manufacturing operation. I sat with each of the sewing staff to time their individual operation in the manufacture of our new product and this led to modifications of the design so that it would be easy to manufacture at high speed.

Spectacular Results

When we had finished the design and certification, we had a new product, new adhesive technology and a three-dimensional glove that no one in the United States was able to make. We called the glove the ‘Blaze Fighter’ and when we launched it we had absolutely no cash for a big advertising campaign. I thought if the product is as good as we think it is then word-of-mouth marketing would have to do. We made 80 pairs and sent them out to our top dealers.

The results were spectacular: within six months we had sold a million dollars' worth of the Blaze Fighter glove alone and over the next twelve months we made another three million dollars in sales. The Blaze Fighter became the biggest selling glove ever in the American firefighting market and was taken up by the prestigious New York City Fire Department. Because we had involved our production staff in the development our costs were very low and the resulting profit was five times higher than any other glove we had made. We now had the biggest glove manufacturing operation in the United States with two facilities, not one as we had originally. The second was a prison operation where our costs were low and the staff never had 'Mondays off' or continuous sick leave.

A Strategic Marketing Plan Works

Had I not developed a focused strategic marketing plan, as I had been trained to do by Professor Malcolm McDonald, I would not have been able to make the numerous changes required to turn our operation around. The plan had a logical and analytical approach to what was required and became the road map for the way forward.

Each improvement and activity we had to undertake, in order to become successful, was within the 'strategic plan' and sales, believe it or not, was not the focus. If you have the plan and you have followed the steps in creating it, then sales will follow.

Versatility

Each company I have worked with only looks at annual sales. They spend a few months going through opportunities, based on what their sales staff can see. Then they set a sales growth for the following year, based on very little factual knowledge. I have now used this planning process in a fragrance company start-up, leading to it becoming second in sales in the US fragrance market in the second year of operation. I have also implemented this planning process in a Fortune 500 Swedish company to implement 'Strategic Market Planning' in 30 countries. They too had the annual sales meeting to 'guess' where they would be in each following year. After the implementation of Strategic Market Planning, they were able to meet demands of their market and create many new markets for themselves.

These are excerpts from my autobiography, *One of a Kind, Making it Happen*, available from Amazon.

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